HDFC Life Insurance Company Ltd. (HDFCLIFE)

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NSE Symbol: HDFCLIFE BSE Security Code: 540777
Dear Sir / Madam, Sub: Transcript of Earnings Co nference Call for the quarter e nded June 30, 2022

We wish to inform you that pursuant to Regulation 30 of the SEB I (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed transcrip t of the earnings conference call with analysts and investors held on Tuesday, July 19, 2022, to discu ss the financial results of the Company for the quarter end ed June 30, 2022.
The said transcript is also hosted on the Company's website at https://www.hdfclife.com/about■us/investor■relations .
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary
Encl. As above

"HDFC Life Insurance Company Limited
Q1 FY2023 Earnings Conference Call "

July 1 9, 2022

 Moderator: Ladies and gentlemen, good day and welcome to the HDFC Life Insurance Company Limited Q1 FY2023 Earnings Conference call. As a reminder all particip ant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchton e telephone. Please note that this conference is being recorded. I now hand the conference over to Ms. Vibha Padalkar, MD & CEO, HDFC Life Insurance Company Limited. Thank you and over to you Madam!
Vibha Padalkar: Thank you Faizan. Good afternoon, everyon e. Thank you for joining us for the discussion on our results for the quarter ended June 30, 2022. Our results including the investor presentation, press release, and regulatory disclosures are already available on our website as well as that of the stock exchanges. I have with me Suresh Badami, Executive Director; Niraj Shah, CFO; Srinivasan Parthasarathy, Chief Actuary; Eshwari Murugan, our Appointed Actuary and Kunal Jain, from Investor Relations. I will take you through the key highlights of our Q1 FY20 23 results and would be happy to take questions post that.
Starting with the business update:
We continue to maintain a consistent growth trajectory growing by 22% in terms of total APE in Q1 FY2023. This has enabled us to maintain our market leadership as top three life insurer across individual and group businesses. Our product mix remains balanced with non-par savings at 35%, participating products at 30%, ULIPs at 25%, individual protection at 5%, and annuity at 6% based on individual APE. On a total APE basis our non -par savings segment has grown by 29%, protection by 31%, annuities by 39%, par by 23%, and unit linked by 10%. Within the non -par segment our shorter tenure product Sanchay FMP continued to grow well and now contributes almost a fourth of our non -par individual APE. The prevailing high interest rate scenario augurs well for demand across our traditional savings products. While elevated inflation has not materially impacted savings products, premium flow into retail protection has remained tepid for the quarter possibly due to

postponement of expenditure on account of tight household budgets. However, we see this as a temporary phenomenon and with resolution of the ongoing global conf

lict and consequent easing of macroeconomic stress; we exp ect to see traction in the second half of this year.

We continue to steadily improve our individual protection policy conversion ratios and will adhere to a risk -based approach to underwriting. Our credit protect business has registered strong growth of 9 6% on the back of rise in disbursements across most of our partners. We continue to look at overall protection growth across individual and group platforms in an

 agnostic manner since we assess risk as well as service members covered under the group platfo rm at an individual level. Our protection share based on APE has improved from 15.7% last year to 16.9% during Q1 FY2023.

On the retirement front our annuity business has grown by 10% on received premium basis compared to a 9% degrowth for the industry in the quarter. Growth of annuity on an APE basis was 39%. The regular premium variant of our recently launched annuity product systematic retirement plan has been well received across channels and is almost a fourth of our annuity in APE terms. We have also launched a new product systematic pension plan, which is a participating pension plan. This product adds to the existing suite of pension products being offered to customers.

Moving onto key operating and financial metrics:

Renewal premiums have grown b y 19% supported by improving persistency. Our 13th and 61st month persistency for limited and regular pay policies is at 88% and 54% respectively, which is an expansion of 2 and 3 percentage points, respectively. New business margin for Q1 was 26.8% up fro m 26.2% in Q1 of the previous year on the back of profitable product mix and growth in protection business. The value of new business has consequently grown by 25% and is at Rs.510 Crores for the quarter. Over the past several years we have seen a distinct seasonality in quarter -on-quarter new business volumes and therefore a steady uptick in new business margins. We expect this trend to continue.

Our standalone embedded value as on June 30, 2022, was 29 ,709 Crores with an operating return on embedded valu e of 16.5% in Q1 FY2023. The drop in embedded value since March end is primarily on account of dividend payout and anticipated adverse economic variances caused by interest rate movements and fall in equities. We expect the latter to reverse as macroeconom ic volatility subsides.

The profit after tax for Q1 FY2023 was Rs.365 Crores , an increase of 21% over Q1 FY2022. As highlighted in our last earnings call, we completed raising sub debt worth Rs.350 Crores during this quarter. Post the dividend payout of R s.1.70 per share which was approved by our shareholders in the AGM our solvency stands at 178%. In order to further strengthen solvency to fuel growth we will continue to evaluate raising equity capital as needed.

 Next on channel performance:

Our banca ssurance channel grew by 18% in Q1 FY2023 based on individual APE. Within bancassurance while HDFC Bank continues to grow steadily, we are seeing strong growth momentum across our newer relationship such as Yes Bank, Bandhan Bank, IDFC Bank amongst others. Agency channel grew by 26% based on individual APE. We added about 9500 agents in Q1 and continue to focus on improving activation and productivity across our base of financial consultants. We are also taking multiple initiatives to augment our direct cha nnels including geo -based lead management for increasing efficiency, AI based incentivization for promoting productivity and cloud telephony for simplified sales process. With these tech enabled initiatives coupled with capability building programs we aim to build a robust, agile, and empowered pr

oprietary distribution.

Moving onto tech and innovation:

Post the successful implementation of the initial rollout of our in -house automated underwriting engine we continue to expand its scope across a larger rang e of businesses. Tools such as MediEasy enable customers to schedule real -time video medicals and get assistance for financial underwriting. Innovative solutions such as enabling cardiac risk assessment at the customer’s residence for medical underwritings furthers our motive of

simplifying customer journey and provide best in class service.
Now for an update on our subsidi aries :
Subsidiary #1: we are delighted to share that our pension subsidiary HDFC Pension crossed the 30000 Crores AUM mark and has alm ost doubled its AUM in just 15 months. As on June 30, 2022, HDFC Pension had a market share of 38% maintaining its leadership position in the private pension fund manager space in terms of NPS AUM.
Subsidiary #2: HDFC International , our overseas subsidiar y has received an in -principle approval from International Financial Services Centres Authority - IFSCA to set up a global in-house centre at GIFT city. This entity will pool and optimize all processing activities of our international business. This is an important step for us towards eventually setting up an IFSC insurance office IIO at GIFT city which can cater to the overseas insurance needs of the Indian Diaspora .
Subsidiary #3: Exide Life witnessed strong growth of 34% based on individual WRP in Q1 FY2023 and continues to enjoy a healthy product mix and growth across channels. The integration of Exide Life is on track. We have received the initial NCLT approval for

 triggering the merger process including intimations to various regulatory authorities an d related NOCs. Subsequent to receipt of the NOCs from various regulatory authorities we can expect to receive the final NCLT approval. We expect to receive the final nod from IRDAI and to be able to merge the subsidiary in the second half of FY2023.
On t he regulatory front we have been in regular dialogue with IRDAI and working on charting a roadmap to deepen life insurance penetration in India and welcome the initiatives taken by the regulator in this direction.
Moving on to the impending merger of a pr omoter HDFC Limited with HBFC Bank as you are aware an in -principle approval was received from the RBI on July 4, 2022, on the merger application. We look forward to a further strengthening of our relationship with HDFC Bank with our largest partner also b ecoming our promoter subject to all regulatory approvals.
To conclude, our objective remains to empower individuals to provide financial protection to their loved ones and widen insurance coverage through a mix of innovative products and diversified distr ibution. The detailed disclosure on our results is available in our investor presentation. Wishing everyone success as we embark on a new financial year. We are happy to take questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Hi! Good afternoon. Two questions, firstly on the margins, protection retail premium continues to appear to be struggling yet overall p rotection mix has improved . Even non-par has increased, all in all our ULIP has gone down and also with improving scale we could have expected a better margin expansion . But, it seems that the operating leverage is actually somehow missing and margin impro vement as compared to product mix looks a bit I would say on the disappointing side . So, that is question number one and second on your EV walk , the economic varian ce if I look at your interest rate to EV sensitivity that is like 2% for every 100 bps a

nd a lso consider some bit of equity market relate d sensitivity yet close to 3.5% of a negative economic variance looks a bit on the higher side so can you please also explain this ? Thank you.
Vibha Padalkar: I will take the first question and maybe the second one I will pass it on to Srini. The first one you are right, however just keep in mind that our margins are mark -to-market in terms of cost . So, whatever we incur here and now , there is no straight lining of that and sequentially you should see the through put of fixed costs coming through as you know

 every quarter is sequentially higher ending up . Typically Q4 is the highest , so you will see that coming through. Some of it is back to business on COVID receding and so on so a lot of activity, travel , investm ents that perhaps were somewhat on the backburner you will see a fair bit of that coming through . So that is why you have in the walk you will see , the expense impact having a 0.6% drag on the margins.
Srinivasan P: On the negative economic variance, th ere is equity fall that is contributing to about 400 crores of the total 1200 crores of negative variance and the remaining 700 odd crores is on account of rise in interest rates . So if you l ook at the sensitivity separately for equity and interest rates it will broadly t ie-in with the overall impact that we see on the econom ic variance
Avinash Singh: We are looking from March to June, so if you broadly say 700 Crores that is kind of 2.5%

broadly or 2.4% of your March 2022 EV . So that sort of a sensitivity mo re than 100 basis
points or 1% movement in interest rates ?
Srinivasan P: 2% positive right . So, the expected return for the year is roughly around 8% . So for the
quarter , you will expect a positive 2% for one quarter as against that we actually seen equity
fall. So, you have to relate it with a positive 2% as expected and the actual drop that we
have seen in the equity markets.
Avinash Singh: Equity is fine . I am talking about the yield led, you are saying 700 crores , that is like almost
reflecting more than 100 basis points move in yield curve . So, from March to June more
than 100 basis points looks a bit unlikely mo ve?
Srinivasan P: It is the shorter end of the curve that has rise n a little bit more and as we are holding
shareholder funds which has got no liabilities and there are some excess asset s in the VI F or
the Value of in -force . So, those are exposed more to the shorter end of the yield curve
which has risen by 130 basis points during the quarter.
Avinash Singh: That makes it clear. Thank you.
Modera tor: Thank you. The next question is from the line of Hitesh Gulati from Haitong. Please go
ahead.
Hitesh Gulati: Thank you for giving me the opportunity. I just wanted to check on the operating
assumption change in the VNB walk that we have shown and also what is our view on
unwind rates this year given that risk free rates are generally expected to be higher ?

 Vibha Padalkar: On the first question , we are fairly pleased that right from inception from when we started
disclosing our embedded value and the wa lk, our operating assumptions have been positive
and we continue to do that . Excluding the COVID impact that we have seen , barring that , it
has been positive and we continue to show that.
Hitesh Gulati: Sorry Madam , if I can just interrupt on the VNB margi n also there is some change on
operating assumption . Can you talk about that also ?
Vibha Padalkar: These are change in assumption versus the assumption s that we put in last year , in the
month of March typically that we put in has come through, which is an annual exercise; this
is really a strengthening of

assumptions that we do annually.
Srinivasan P: That is right. So primarily , it is the mortality assumptions on the protection book that we
strengthened in March . So, that is the impact that we captured in this slide . As far as your
unwind rate is concerned , we are not very g ung-ho on the equity markets for this year . So,
that is reflected in our lower unwind compared to last year.
Hitesh Gulati: Should we expect this kind of a rate for the full year as well because last year' s rate was
about 8.6% ?
Srinivasan P: Yes, we can expect the same 8.1 %. We basically set the unwind rate at the start of the fiscal
year and we keep it fla t throughout the fiscal year, s o next time change will be in the next
fiscal year.
Niraj S: So any change from this will be reflected in the investment variance through the rest of the
year till we reset this rate at the beginning of next year.
Moderator: Thank you. The next question is from the line of Adarsh from CLSA. Please go ahead .
Adarsh: My question is relating to protection . Within term life , both you and your peer group have
seen a 30%, 40% drop . Just wanted to understand the tightening of norms have been there
for about six months , so looks a little awkward and just want to un derstand from a little
more medium -term perspective . Do you all see this some of the tightening in underwriting
and norms to really affect the population set atleast over the next 2-3 years as to how much
protection could have been underwritten earlier ver sus what you can do now ?
Vibha Padalkar: I will give you a background to this. Our industry was hardly writing any term business just
before the pandemic . Maybe couple of years before the pandemic , overall typically it was
1% or 2% in individual APE terms . I am leaving out credit life and then suddenly to expect

 that to ratchet up for the sector , we just need to put it into context. Yes, there was an uptick
that we saw during the pandemic and we do nt want to lose that and we have been a believer
in this sto ry. However , again it has been a continued perfect storm , there was COVID that
happened , then the reinsure rs like you mentioned, now there is inflation . Like I said in my
opening comments , in the basket of goods in terms of disposable income , we are sensin g
that either there is a pullback to say this is my outlay that I can afford and then let me bear
down on my sum assured or else let me defer it a little bit or I am taking a loan let me cover
it through credit life at least . So, atleast I have some cover or I want to lock in at more
attractive interest rates that we are seeing currently . This will anyway give me 10x to 20x
cover depending on which product and so on. So , these are various thi ngs that are going on

in people' s minds and so relative to what we saw in last year first quarter again which was in the th ick of the pandemic , it appears that , it is muted . But what we are certainly no longer seeing is that why do I need insurance, o r why do I need pure protection . I do not think that question is coming up very much right now. So , that is a good progression in the minds of people , but it will take time I think . Another aspect is that if you look at IRDA or respective company's annual report and if you see each company and how they are retaining risk on their balance sheet , you will find that some of the smaller companies have shown a fairly steep r ise in what they are retaining on their balance sheet. Now, we h ave always maintained that this has to be somewhat calibrated and we will triangulate between to pline , whether it is a retail protection or anything else , topline as well as bottomline , risk management , persistency and it will grow steadily. We still expect in second half , if there is some tempering on inflation retail p

rotection will come back.

Sure sh Badami: The overall demand in the market for protection, the surge has also come down a little bit for the industry, Secondly, from a risk perspective we are also looking at conversion ratios that is improving . Not to take away the story of the overall protection gap and the opportunity I think there is enough opportunity for us to be able to grow protection . But, for the next six to seven months , given that there are certain good products in the market even for the field teams and the channel to look at return on effort on some of the other products and all the factors that Vibha mentioned , you may probably see a little tepid growth . But again , this is on the back of a fair amount of demand which came in last year.

Vibha Padalkar: Last point I will add , Suresh has touched upon it , is on the Google search trends . While they have come down , whatever searches are happening , HDFC Life continues to remain right up there.

Niraj Shah : When we are looking at the current environment , interest rate s are going up an d it is starting to maybe pinch household budgets and disposable income , there are a couple of these things to look at . One is if you look at some of the surveys that have come off recently in terms of

 how people are feeling about the job prospects and pay hikes in the current environment , a lot of people are optimistic . Two-thirds of the people surveyed are optimistic about that , which basically means people are not worried about income coming through . At the same time, this is what is going to give a tailwind to the savings, but on the expenditure side anything that was seen as a discretionary expense , people do start looking at what is really coming for the same rupee that was spent earlier. So these are t rends that you will see for some more time in a fa irly low middle income country like India . So, that is something that we should not be too surprised with . We have always maintained that retail protection will grow over a period of time in India and this is something that we will have to be comfortable w ith, so that we continue to balance growth with profitability and risk management . So that is how we are thinking about it.

Adarsh: Just a follow -up here. Majority of the reasoning looks to be more like discretionary power of spending going down . Just refl ect on how much do you think is it caused by the tightening like what kind of population set it cuts off at least for the near -term in terms of processes becoming onerous or the ask rate of processes going up including medicals ?

Vibha Padalkar: I think peo ple start getting used to whatever is prevalent in the industry. Yes, there are loosers and then on the other spectrum tighter guidelines , but largely people do start getting quite accustomed to the new normal . It is always difficult to exactly pinpoint , but my hunch would be that it is more to do with the inflationary aspects rather than the process per se. I think , largely companies have stabilized on their process , we have and so have others to the new normal that these documents are required because a r einsurer requires it or we have tried to triangulate who is this customer through other means and so on . So that is 50 :50 or 30:70, it is difficult to know, but the new aspect certainly is inflation.

Moderator : Thank you. The next question is from the line of Sanketh Godha from Spark Capital. Please go ahead.

Sanketh Godha: Thank you for the opportunity. If you look at the credit protect business in the current quarter of around 250 -260 crores. It is back to pre -pandemic levels on a lower base but almost a doubling of the business has happened . Just wanted to understand the sustenance of th is particular business in the immediate quarters Q2, Q3, Q4 because we

have got to the run rate of 200 to 230 kind of number even in second quarter, third quarter, and fou rth quarter of last year . Do you think that this growth will moderate going ahead once the low base effect is over?

Suresh B : From what we have seen across most of our partners and we have a fair spread across banks, NBFCs, small finance banks, who we work with in this space , the growth has really come in from the loan disbursements year -on-year growth that they have seen which range anywhere between 70% to 90% . Some of the larger players have, have grown fairly fast. Now at our end , we look at higher value penetration, we look at rider attachment, we look at a little bit of a price increase . So, that has led to a faster growth for us even above the loan disbursement which is happening for our partner. So I would assume that the loan growth would continue at a certain rate . It may not be as high as this given that last year the base effect started coming into place between Q2, Q3, Q4 . But a significant growth on the partner loan disbursement and a slightly higher growth on our CP business can be expected for the rest of the year.

Sanketh Godha: Within the products , probably is it still MFI because we are the market leaders in MFI segment . So it is largely led by MFI segment or its mortgage which is driving the growth ?

Suresh B : No, we are very well diversified now across almost all the verticals . If you really look at it across the partnerships that we have got , we are present across mortgage, we are present across MFI, we are present across each of the segments . So it is not just we have housing, we have LAPs, we have MFIs, we have others and each one of them has grown . While some of the other ones have grown by almost 70% -75% also , MFIs have grown slightly higher . But if you look at HDFC Bank itself the growth in terms of their overall disbursement has been 70 %, some of the NBFC large partners have grown anywhere between 60% to 150% and we are present across most of the verticals.

Sanketh Godha: The second question is just wanted to understand on the part of protection itself , we have almost 15 months or more t han 15 months since we launched launched the ROP plan . So just wanted to understand any tractions there whether it still continues to contribute around 16% to 18% of the total protection business . Because the absolute amount has come up whether ROP somehow has supported or you do not see the trend that ROP supporting the growth of protection business ?

Vibha Padalkar: It continues to . We are present in all offerings and all parts of possibilities . ROP continues to bec ome more and more meaningful. T oday , it is about a third of our business on the retail side, just on a standalone quarter basis . It was about a fourth , it is about a third now. It could vary here and there , but we do not really drive a product , it depends on which chann el, what is the preference of the customer , but it is there as an offering.

Suresh B : But if I can add , I think as a trend , as we go more into Tier-2, Tier-3, in some of these markets , the ROP product share in some of those markets will be fairly high.

 Niraj Shah: Also coming back t o the earlier discussion in terms of the impact of higher interest rates on both savings and spends , ROP is seen as a hybrid in terms of buying protection but yes if nothing happens then money comes back . So in some sense , it is a bit of a hybrid between protection and savings , so that does address the current sentiment as well.

Sanketh Godha: Last one from my side just some data keeping points what is our market share right now in HDFC Bank compared to what it was pro

bably for the same quarter last year or FY2022 in total?

Vibha Padalkar: We are not really giving out numbers like that because it changes quarter -on-quarter . Suffice to say that at HFC bank , we will continue to write business that makes sense, accretive on VNB . We will look at what is our pers istency because often just taking one lever will not make sense because we might say no to some business as we either do not believe philosophically in some kind of a product or the persistency , we might not be very convinced about a nd be okay to say no to . On term, there might be a price war in a particular quarter , so I think we will have to say typically we have been about two -thirds of their business and like I mentioned in the opening comments as the merger fructifies we are hoping to strengthen furthe r.

Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Thank you for the opportunity and good afternoon everyone. The first question on solvency margins , 176 went to 178 %, you did some sub debt raise during the quarter as well . So are we now full up in terms of capacity to do any more incremental sub debt . I think Vibh a you made comment that you could look at equity as well . So just want to understand what is the comfort level o n where solvency is ? Let us assume it is at this level , how many years of growth can we do without having to raise equity if you can help us understand some of the dynamics around solvency ?

Vibha Padalkar: So the straightforward answer is that today our gr owth is not getting impacted , in terms of retail growth , because of the solvency . Our stated ob jective has been around 180, we have

been in the 180% to 190% range, sometimes been about 200 but anywhere between 180 to 200 or thereabout s, so slightly shy bec ause of the Exide Life merger. Now in terms of looking at raising equity , we might look at it depending on whether there a re growth opportunities or we perceive prolonged stress in the system so that we feel little bit more comfortable with strengthening o ur solvency , we might do that . It should not be a very large amount but back into the kind of zone that I just mentioned.
 Shyam Srinivasan: Got it. So you are at the lower end so you think once you cross 182 you should be okay from a growth perspective ?
Vibha Padalkar: Yes, anything 200 , 220 something like that would ensure that we do not have to keep tapping the markets again and again . But we are still in the process of evaluating and seeing how prolonged some of the global tensions are and are they reced ing, some of the largely macroeconomic factors.
Niraj Shah : If you recollect before the Exide transaction like Vibha mentioned , we operate d in the 180 - 190 band and we have been fairly comfortable that this will support organic growth for the 3-5 year perio d. Two things have happened since then , Exide Life transaction yes and also the environment has become a lot more volatile compared to where we were talking about this maybe a couple of years back . So that pushes up our threshold marginally from say 190 odd to maybe a little over 200 , but that is about it really.
Shyam Srinivasan: Got it, that is helpful. Just back on to retail protection . I am just looking at your slide #19 to understand where the weakness in terms of this is most exemplified right . Seems to be atleast some bit in agency and some bit in online seems to be the biggest drop . So is the whole push thesis around this coming off or am I reading this kind of table or chart wrong and I would assume online people have higher incomes . So just trying to understand even from a demand perspective , what is happening across these channels on retail term ?
Suresh Badami : Let me just address the onli

ne first like Vibha had mentioned earlier the Google searches really have started coming off as compared to the previous year and you are also right that in our online channel as well as overall for HDFC Life , the profile of customers is slightly higher on the affluent side . So we remain ed the number one brand when it comes to search, we remain ed there , but the num bers are coming down a bit in terms of the total online conversion which is happening. So there has been a dip which you have seen and we assume it probably holds true for the full industry because the same trending in terms of Google searches seems to be happening on keywords either on term or in terms of the specific brands which are there in the market. So there has been a little bit of a slowdown on online but we are putting in our efforts in terms of digital marketing and all of that and we expect that to pick up over a period of time. Agency like we mentioned earlier I think yes it is probably a little lower than what it was but there again there are a combination of factors what we explained in the previous question I think a little bit of inflation, a little bit of push on the ground where agents are able to sell a non -par kind of a product at much easier return on effort as well as the fact that some of the customers are waiting for this whole thing to go through before they come back and take term m aybe easier processes or better pricing . But, frankly for us it is broadly in the range in terms of how we expect agency business and
 product mix to happen . We should be able to push the pe dal in terms of agency protection as we go forward.
Shyam Srinivasa n: Another data point I know you share this for every 100 applications that come through I remember in fiscal 2022 , it was 60 for retail term in terms of what we were able to close . Is that number changed at all ?
Suresh Badami : Yes, that has started improv ing for us now . So it is around 3 % points improvement in terms of the conversion . It is a combination again in terms of what person a and profiles you are sourcing on the ground, what is the underwriting credit easing that we have done as well as a little bit of analytics at the back end that we are able to push some of these down so we have moved up a bit in terms of the conversion throughput.
Vibha Padalkar: Also you would have picked up during the last month , we had mentioned about how we are doing cardi ac risk assessment . This is one of the things that would help and this is something we have been solving for the past 24 months atleast because getting people to go to a hospital or a nursing home to do their stress test during COVID and so on was just becoming a roadblock and details are there in our investor presentation. With this now , we are able to use the stepper to go to the individual ’s home to be able to assess cardiac risk and so on and this would have been a bottleneck earlier for example. So jus t systematically working through each one of these bottlenecks to be able to one , give ease to the customer

and equally important not take on risks on a balance sheet just because somebody else is
willing to do it.
Shyam Srinivasan: Fair enough thank you a nd all the best. Thank you.
Moderator: Thank you. The next question is from the line of Akshen from Fidelity. Please go ahead.
Akshen: Hi! Question on the EV walk on the investment varian ce could you just maybe help us
understand on how much of the hit was due to interest rate and how much of it was due to
equity market, just if you could break that up ? Thanks.
Srinivasan P: Equity is around 400 odd crores and the balance is from interest rates out of the total 1200
crores .
Akshen: Because I was just lookin g at the sensitivity that you had published in F Y2022 which called
for a roughly 2% hit o

n EV for a 1% move in interest rate . So interest rate movement has
been slightly lower than that if I am just looking at y ear end or average maybe 80, 90 bps

 and then the sensitivity to EV seems to be a little higher than that . Please help us understand
that.
Srinivasan P: The shorter end of the curve has actually gone up by 130 basis points during the quarter , it
is more than 100 basis points.
Akshen: So it is more sen sitive to shorter end or to if we just use a 10 -year as proxy but you are
saying we should look more at the shorter end of the curve ?
Niraj Shah: Yes, so we need to look at the full curve because the different assets are sitting at different
ends of the cu rve. So what we discussed a little while back as well at the shorter end , the
hardening has been a lot more 130 odd basis points . At the longer end , it has been say 50 to
60 basis points increase. So basically , wherever the assets are sitting at the shorte r end that
is where the impact is. To give you an example shareholder assets and also the excess assets
sit at the shorter end of the curve and the non -par assets for example backing the 15, 20, 25
year products or annuity products sit at the longer end . So the effect is different at different
parts and wherever the assets are being held so collectively you will see that this is the
impact of about 700 odd crores in debt and like Srini mentioned about 450 odd crores in
equity.
Akshen: Niraj , assuming intere st rates re main stea dy here on and market remain flat here on
incrementally there would not be any negative investment variance right ?
Niraj Shah: Now take a base scenario of let us say the yield curve going up parallel . If the yield curve is
going up para llelly then you will be able to correlate one -to-one with the sensitivity table
that you see , like you started off with 1% sensitivity that is basically a parallel shift. If there
is a slope change that happens , which has happened in the past few quarters , this is the
result of that . A parallel shift upwards or downwards will have the linear impact that you
see in the sensitivity table.
Akshen: Got it. Now my question was that assuming June 30, 2022, rates, yield curve and market
levels hold , incremental in vestment variance would not be there right ?
Niraj Shah: On account of interest rate it would not , but equity would have other aspects of it and then
that is your question right . On your interest rate , nothing changes.
Akshen: Yes.

 Srinivasan P: We are basi cally expecting around eight -point whatever percentage the unwind is what we
are expecting to earn on the assets . So if you are saying there is no further shock we assume
that it will earn 8% . The assets will earn around 8% , so if there is no variance agai nst that
expected then you will not see any fur ther investment variance.
Akshen: Okay that is it for now I will come back in the queue for another question. Thanks.
Moderator: Thank you. The next question is from the line of Surya Kumar from Birla Sun Life
Insurance. Please go ahead. As there is no response from the current participant, we will
move on to the next question from the line of Prakash Kapadia from Anived Portfolio
Managers. Please go ahead.
Prakash Kapadia: Just one question from my end. Recent ly, the regulators came out with risk -based capital
adequacy norms and the idea of the regulator is to increase penetration . So they have set
growth targets , how does this change the dynamics for the industry and for us if you could
comment on that ?
Vibha Padalkar: We are still awaiting in terms of some clarity on RBC and we are hopeful that they take into
account s ome of the ask s of the industry . Ei

ght committees have been formed and at least in
couple of committees this has been an ask. Yes, they have rol led out targets to insurers and

we appreciate that the regulator is equally focused on developing as much as it is on regulating, so that is welcome . But having said that , I think I am sure all the life insurers would , whether the regulator is directing th em to focus on topline or not , they would anyway want to solve for low penetrations and so on , so more of that will continue.

Prakash Kapadia: But this would not in a sense lead to margin erosion or profitability being compromised in lieu of higher growth or it is too early to ?

Vibha Padalkar: I think it is too early because I would hope that it is more in terms of cajoling life insurers to continue with their attempts at insurance penetration rather than mandating. Even today , there are companies that perh aps the persistency is a lot lower than the listed players , there is next to no disclosure on their margins , there is next to no disclosure on their operating variance on embedded value or embedded value itself . So all of that is there , so in the absence o f apart from the listed players disclosing these numbers , it is very difficult to say what are companies operating at today and where and post the drive on top line where have they ended everything is fairly difficult. So we will have to wait and see . I think directionally , it is welcome but personally I would hope that it is calibrated because especially life insurance is a very long tail product and risk management and quality of business , right selling, customer mis -sale complaints, claims, s ettlement ra tios, all of those

 aspects are equally important and that happens post sale . I am sure regulator is very cognizant of all of those aspects so I would like to see the holistic ask from us as a sector.

Prakash Kapadia: Sure thank you.

Moderator: Thank you. T he next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hi! Thanks for the opportunity. One question around the competitive intensity how do you see it in the non -par savings business and with the recent inc rease in product IRRs how do you see the margins trending in this line of business ?

Vibha Padalkar: I will answer the end of your question on margin. Given our upward trajectory , continued smooth upward curve on margin quarter -on-quarter and year-on-year, doubling in four years in terms of VNB all of that, that will continue to happen no change in that . Yes, there will be some quarter here and there . What we do find , is more in case of mid -tier apart from the listed players a lot of competitive intensity , but again there is very little disclosure , next to none , on any of their metrics . So that is expected I guess and if we extend the horizon a little bit , things do tend to normalize and that too will happ en. T here is a trade -off in the minds of the customer between a market leader for example a Sanchay Plus has been our innovation as Sanchay P ar Advantage has been our innovation . So there is lot of premium that customers are willing to pay for that. Yes, we have to stay in the zone but if you were to look at annuity , we have grown by about 10% , when market has degrown by 9% . This is on NBP terms and there too there is competitive intensity , I think that is par for course .

Nitin Aggarwal: One clarification regarding the shareholding of HDFC Limited I just want to know like how easy or difficult it is to do a fresh issue to HDFC limited and will there be any regulatory hindrances in that ?

Vibha Padalkar: See they are our promoter . It is every promoter’s obligation and for them to extend support to the life insure rs so they ha ve always expressed that. I do not see there to be any issues per

se because the capital that we might want to raise and might feel comfortable about like I talked earlier depending on market volatility is not going to be huge . It is going to like I said put us in the zone of maybe 200% to 220% or somewhere along that line so none of that should take it above the currently permitted regulatory norms.

Nitin Aggarwal: No I am asking this question not from your perspective but from HDFC Limited’s angle ?

 Vibha Padalkar: Yes, from their angle only , they are permitted to hold up to 50% today . Had the Exide Life transaction not happened , they would have been there.

Niraj Shah: So they are currently at 47.8 %.

Nitin Aggarwal: No the question was like if they now want to increase , then is it easy to like to do a fresh issue and get this done ?

Vibha Padalkar: From what angle, from a funding angle or a regulatory angle ?

Nitin Aggarwal: Regulatory angle.

Vibha Padalkar: So that is what I am saying . What is the exten t of regulatory requirement , that they should not exceed 50% . What Niraj just mentioned , the kind of capital we might want to look at will not take it abo ve 50%. There is no regulatory issue here per se , apart from yes we are in the midst of a merge r and yes all regulatory people will be kept in the loop . But it is when you look at underlying that your subsidiary would be more comfortable against a volatile situation on havi ng a little bit more of capital, current extent regulatory norms will not get violated.

Niraj Shah: And it will be the normal course of business.

Nitin Aggarwal: Right sure thanks so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Atul Mehra from Motilal Oswal Asset Management. Please go ahead.

Atul Mehra: Hi! Good afternoon and thanks for the opportunity. Just one followup on the previous question . So the current regulations says that maybe if you were to imply HDFC's shareholding as HDFC Bank 's shareholding in the life insurance company , then they are at 47 and the regulator basically says that either you will be at 30 or you will be at 50 . So there have been some instances where there has been some confusion around this so just to reconfirm what we are saying is going from 47.5 to 50 tha t does not require any kind of regulatory approval in the current scheme of things ?

Vibha Padalkar: No, I want to make it clear here that extent regulatory guideline this is when HDFC Ergo bought Apollo Munich that is when HDFC was asked to bring down the stake to 50% . We would have stayed there had it not been for the Exide Life merger ; so that still holds and this capital we are looking for is within what already holds.

 Atul Mehra: Is there any timeline to those fundraise?

Vibha Padalkar: No, we have not said that there is going to be a fund raise . All we are saying is that , we will evaluate all options in front of us and also whether we need to have more but given the extended volatility it is something that we might feel comfortable about but it is an ev olving situation as you know on the macroeconomic front.

Atul Mehra: I was just saying that there was another parallel in the industry around ICICI Lombard where they went to an M&A and it is not perhaps too clear now what is happening there where ICICI Ba nk shareholding has to get down to say 30% or they will be allowed to get it back to 50% . So from our perspective will we see that as a parallel at all or not at all ?

Vibha Padalkar: So you are selectively picking an example . What about at least five examp les wherein there is 100% or 60% or 55% and so on , so all the senior companies and I think this is a point that has been mentioned by HDFC

Bank leadership , HDFC Limited leadership to say we would welcome parity . This is not a new application . This is an ex isting application . We were the first ones to get a life insurance license and there are enough examples wherein there is more than 50% . The example that you g ave, in that particular scenario , the other insurance entity under the bank , they were not asked to bring that down . So I am sure this is well known reason and it has been said this by our current promoters and new promoters . So really very little that I can add here given that the regulators are looking at it.

Niraj Shah : Another fact here really is that if you look at the HDFC's shareholding in HDFC Life it was 50% before the Exide Life transaction. Exide Life transaction is not undertaken by HDFC Limited or HDFC Bank . It was an HDFC Life transaction which resulted in HDFC Limited's holding falling f rom 50 to 47.8 . So that i s the difference between this and the Lombard transaction.

Vibha Padalkar: Final point is I think HDFC Bank leadership have also clarified that in their minds whether it is 50% or 30% , it is going to be the irs and it is a material investment and they will be the promoter subject to regulatory approvals.

Moderator: Thank you. The next question is from the line of Rohit Jain from Carnelian Capital. Please go ahead.

Rohit Jain: Thank you. I had two questions. One is on the EV , I heard Srini say impact of 700 crores on the shareholder and the excess of VIF assets . I would guess the change of long -term interest rates and the size of our book would not that be much higher impact on the debt portfolio . That is point one , and point two if my interest rates rise , ideally I am able to invest at a

 higher rate whilst my savings rate or offered rate is similar would no t my VNB margin increase ? Thank you.

Srinivasan P : So this is on the back book, VNB will increase for the new policies that will be written at a higher interest rate , you are right . Also, bear in mind that we hedge , as and when we write any new policies , we immediately hedge the book as well . So what we are actually exposed to, when interest rates rise , is to the extent of the shareho lders assets where there is no corresponding liability and also the excess assets on the non -par book as well . So those are the ones that are sensitive to the interest rates going up and like we explained earlier the shorter end of the curve where these sh areholder assets and excess assets are in the VIF . So those are the ones who get exposed to the short end of the curve . The yields have gone up by 130 basis points during the quarter . So that is why you see this 700 crores on the interest rate sensitivity. On the new business , like you rightly pointed out , on the new policies as and when we write it , we will be able to write it at a higher interest rate and all things being equal we will be able to get a higher margin as well.

Rohit Jain: Sure thank you. Bu t our margins in Q1 have not increased materially right ?

Srinivasan P : Corresponding to the same quarter of last year it has gone up . Also, you understand that there is a little bit of seasonality to our business . So it has gone up by 60 basis points compa red to the first quarter of last year.

Niraj Shah : Yes, typically in Q1 you see about give or take 15% of the year's business coming in Q1 . Expenses typically get front -ended in terms of things like manpower, technology, etc., and you see that effect unwin ding through the rest of the year.

Srinivasan P : Also our actual expenses are reflected in our VNB margins . We do not normalize it throughout the year , so it is as and when it gets incurred , it will reflect in the margin for the quarter.

Rohit Jain: Unders tand thank you.

Moderator: Thank you. The next que

stion is from the line of Nischint Chawathe from Kotak Securities.
Please go ahead.

Nischint Chawathe: Hi! Thank you for the opportunity. I am just looking at margins on a year -on-year basis which is essent ially 1Q to 1Q and trying to understand if there were any changes at the product level margin . I do understand that I think there were some higher expenses because of travel and new i nvestments, etc., kicking in, but at a product level have you seen any

 pressure on margins given the fact that probably the cost of hedges would have gone up or maybe even on the protection side you would have seen the insurance rates going up ?

Niraj Shah: If you look at the Q -on-Q product mix , you will find that the changes ar e fairly small . You will find that unit link ed has come down marginally, p ar is at a similar level, term has gone down Q1 to Q1 . We have discussed that on the non -par side , it has gone up but the profile of the non -par products have changed , we have discus sed, we have Sanchay FMP which is a significant part of this business , annuities have gone up. So there are a fair number of compensating effects in terms of what is happening in the product mix itself . Product level marg ins may not have moved too much There could be instances in a period where the spreads may have gone up to some extent , on some of the products like annuities and maybe non -par, but that again depends on what the rate is at a particular point in time , how are we reacting to competition with in the quarter . So a lot of these effects are kind of canceling out each other and the key really is 60 bps in expansion and basically the smallest quarter of the year and the expenses are not necessarily in that sense to that extent . So expenses are more front -ended compared to what you will see in terms of revenue pan out over the rest of the year . So it is all of these effects which are creating this net effect of 60 bps expansion.

Vibha Padalkar: So on the expenses , for example , HDFC Bank added about 70 0 branches in Q4 of last year . Some of our other partners , the newer partners , I mentioned quite a few names in my opening remarks , so there is a lag in terms of us having manpower , feet on street versus beginning to see business and that is also a bit of a COVID impact . We had reigned in quite a bit of these sorts of investments and now it is full throttle. Also some of the activities that we have in order to kick start sales that is also front -ended and you will see this e vening out as a percentage as we go through the year . But like Srini said we mark -to-market every quarter , we do not straight -line our NBMs

Nischint Chawathe: That is right thanks. The second one is on the term business I understand that at this point of time probably the return on effort for the team was to sell some other products or system , etc., but do you really see that changing in the second half of the year or should we kind of remain in negative for the entire year in term?

Suresh Badami : Look I think it is a combination of multip le things that we will need to do, one is of course like we said that the overall customer sentiment has to improve, two in terms of the overall awareness and what kind of ease of journey we will be able to provide to the customer . There is a little bit of effort on our side in terms of ensuring that all channels all frontline is activated in terms of being able to convince customers in terms o f term being available for them, a little bit of innovation is also possible in terms of the product and the featur es that

 we can do , but frankly there are a fe w positives also, customers are now more willing to go for medicals . So som

e of those trends we have started seeing . So as we go into Q3, Q4 a
little bit of push in terms of how do we activate all the channels, the product proposition and
the journ ies becoming easier will lead to , we believe , an increase in term business . So we
have still budgeted higher numbers in term , but we will have to wait and watch as to how
the overall industry grows over Q3 and Q4. But these are trends that we see across the
industry. We can easily do it by changing pricing but really that is not what the end
objective is.
Nischint Chawathe: Perfect I think that i s very insightful, thank you very much and all the best.
Moderator: Thank yo u. The next question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh: Thanks for the opportunity. Two questions, first is with this inflationary expectation going
up and interest rates going up how do we see the growth for non -par savin gs business for us
through the year . That is the first question and secondly how do we think about the
sustainable operating RoEV for business . I think it has decline d from 18% to 16.5% . Is
16%, 17% the new normal or we expect to go back to 18%, 19% in fut ure?
Vibha Padalkar: I will answer the first one and then hand it over to Niraj. The first one we continue to see
very robust demand for non -par and that wi ll continue . We are even versus b ank fixed
deposits , even on the shorter end , with Sanchay FMP , we are at least 100 to 130 basis points
more attractive . This is at the highest marginal tax bracket , and even at lower tax brackets ,
we come out meaningfully more attractive than just parking it in fixed deposits , I think that
is well understood. Apart from t hat the longer tenure non -par also , the category has been
born. Now, we have launched this about four years ago and people understand reinvestment
risk and no longer confuse a debt mutual fund or parking it into fixed deposits with long
tenure Sanchay Plus and so on , because locking in and getting assured returns until you are
alive all of that is now well understood. So no issues on that front we also repri ced fairly
swiftly , so taking advantage of what we are able to earn we look at it on a dynamic manner .
So really no major concerns on that front.
Niraj Shah: If you de-construct the RoEV , you will look at the two key aspects of unwind and the NBC
accretion. S o in terms of unwind we already discussed , we are expecting our assets to earn a
little over 8% i n this year . Anything over and above that will get or rather different from
that will get reflected in the investment varian ce and NBC accretion has started on a strong
footing in Q1 . We expect that to continue with gradual steady margin expansion as we ha ve
delivered in the past couple of years . So last year if you look at the RoEV it was about
16.5% . This is after normalizing the impact of COVID , prior to that it has been in the 17%,
 18% range . So that band of 17% - 18% is something that we believe is poss ible to achieve
and of course this will depend on the interest rate environment over the years as we go
forward. Given our philosophy , we expect operating variances to be in a fairly small
territory , in the neutral to positive territory. So these two block s of unwind and VNB
accretion is what would dictate this number . So we would expect this to gradually inch
upwards as the year progresses.
Vibha Padalkar: Also I hope you are not comparing the first quarter RoEV with the full year RoEV because
there is a f airly large uptick in terms of seasonality. Just in terms of the numbers because it
is important that we compare quarter -with-quarter, Q1 with every Q1 of the previous year
and it has been in the range of about between 14% and 16% somewhere in that zone ov er
the last three years Q1 to Q1.
Nidhesh: Just

lastly on the reported profitability how should we think about that given that las t year
in Q1 there was a major disruption because of COVID and COVID claims would have hit
our P&L despite that Y -o-Y growth i mpact is not that significant so any light on that ?
Vibha Padalkar: So if you de-construct it further and we do give what is the shareholder versus policy
holder . Last year , because of the markets being good there was a profit booking that we did
in the Shareholders' account , but when you look at what the policyholder back book
generation has been , that has been extremely robust . So about a 50% growth which you will
agree is a fairly decent growth.
Nidhesh: Sure, thank you that is it from my side.
Moderator : Thank you. The next question is from the line of the Dipanjan Ghosh from Citi. Please go
ahead.
Dipanjan Ghosh: Hi! Good evening. Just few questions from my side. First is you have highlighted that on
the new banca channels have demonstrated strong growt h if you can just quantify
something on that what is the mix o r what has been the Y -o-Y growth . Second is if you can
qualitatively mention your counter share o r how it varies between HDFC Bank branches
with vintage of less than five years and vintage more than five years more qualitatively .
And third I think one point we have discussed on the non -par side we have seen IRR of the
Sanchay Plus product increasing significantly during the quarter so does that reflect
competitive intensity ? Do we still hold up t he spread for the margins that we are doing in

the business , again , if you can give some color on that ?

 Vibha Padalkar: I will answer the last one on the spreads , margins have not been impacted any significantly so yes more or less the spreads have been stable. It is not just a spread business , there is expenses in there as well , how we underwrite , so all of that goes in . So into that melting pot we have been able to hold our margins on non -par.
Suresh Badami: Your first question was on term growth across the channels or also on overall growth across the channels ?
Dipanjan Ghosh: Overall growth across the non -HDFC Bank channels and also what is the mix today on the overall of this non -HDFC Bank channels in your overall mix ?
Suresh Badami: We have seen fair g rowth firstly on our proprietary channels which was in line with our overall strategy . We have been investing both on our agency as well as direct . I think also plus to note that Exide on the other hand , while we run as a subsidiary , on the agency has also grown in the first quarter . So you will find our strategy in terms of being able to grow agency and d irect. I n broking , we continue to maintain our market share and the growth there has also been much higher than what we are seeing at an overall level. Th e other banca relationships , which is other than HDFC Bank , in most of our other partnerships whether it is Yes Bank, Bandhan, IDFC , we have seen significant growth almost 90% to 100% growth which has come at an overall other banca relationships . So if you were to leave aside HDFC Bank which has also grown at a fairly decent rate in Q1 given that they have always had a large base and there we have a different pressure on multi t ie. But we have seen growth across proprietary which is agency , direct. The only cause of concern, which like I had mentioned earlier right now is online business where there is a little bit of pricing war which is happening as well as a lower sentiment on the direct . So those are the two channels, which we probably need to focus on b ut other ban ca, broker and proprietary on agency and direct have been growing reasonably fast.
Dipanjan Ghosh: Counter share at HDFC Bank based on branch vintage?
Suresh Badami: HDFC Bank obviously now has a huge number of br

anches and they have been growi ng
700 branches. We do track branches based on city categories as well as they have A, B, C, D to I categorization which is happening. Their presence in terms of the large branches in the metro Tier -1 and Tier -2 is obviously very large. The productivity of these branches is huge because , one they have a very large customer base in most of these A and B category branches . So there of course , we have more or less similar market share across each of these type of branches. Probably the presence for HDFC Life i n some of the upcountry markets is higher, but now more or less that has evened out after 3-4 years of multi -tie. So obviously the productivity of the larger branches as well as the growth has been fairly similar across. I

 think some of the Tier-2 and Tier-3 branches have been growing faster, but it is not huge deviation in terms of how, I do not have the exact specific in terms of how the greater than five year and less than five-year vintage branches are . But I would assume that the growth would be on sim ilar lines.
Dipanjan Ghosh: Sure just one data keeping question can you quantify the other ban ca channels what is their proportion in your overall individual business today?
Suresh Badami: So approximately 15% to 20% is the kind of number but they are grow ing very, very rapidly.
Dipanjan Ghosh: Sure. Thank you and all the best.
Moderator : Thank you. The next question is from the line of Jayant from Credit Suisse. Please go ahead.
Jayant: Thank you for the opportunity. Just one question. This change in assum ptions of mortality strengthening , is this across the protection book or specific to any segments like CP or individual?
Srinivasan P: It is b oth.
Jayant: After this change are we provided for FY2023 or this will be an evolving situation?
Srinivasan P: We do not provide anything. Just like I said we set the assumptions at the start of the year so that goes through . So next revision , if at all , depending on experience would be in the next February or March of next year 2023.
Jayant: Great. Thank you Sir.
Mod erator : Thank you. The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.
Rishi Jhunjhunwala: Thanks. Most of the questions have been answered just one quick thing . You mentioned about decline in the ter m protection business on the online channel . Is that trend similar

between your own online website versus web aggregators because it seems like the largest aggregator is still doing reasonably well?

 Suresh Badami: They are along similar lines. I think look for us we needed to ensure that there is cl arity on our pricing between our own sourcing as well as what we have on the large st aggregator. There is a little bit of a price differential which you can see on the web aggregator level which is one of the rea sons we have like Vibha had mentioned earlier any kind of pricing which we have on any particular platform is what we would like to maintain across all our partners and all our channels . So the trending is similar and we also tr ied to ensure that we have t he right product mix even with the large aggregators or whoever we are playing with.

Rishi Jhunjhunwala: Understood and just you mentioned in your PPT about new product Click 2 Protect Optima being launched in FY2023 just wanted to understand here the heal th cover is something that again it is a benefit one or is it something that you are doing with your general insurance sister concern?

Srinivasan P: We have been doing this Click 2 P rotect Optima for some time. It is ERGO which has launched a new health indemnity product called Optima Secur

e . So they had Optima Restore earlier and now they got Optima Secure . So this combi product is to reflect their new product.

Rishi Jhunjhunwala: Understood. Thank you and all the best.

Moderator : Thank you. The next quest ion is from the line of Dhaval Gada from DSP Mutual Fund. Please go ahead.

Dhaval Gada: Thanks. Sir just one relating to the GTI business if you could just comment around sort of prospects there and profitability around that business? Thanks.

Srinivasan P: GTI is now coming to some sort of normalcy now more recently . We believe that the pricing is more reasonable now , so ther efore , we have also seen some up tick in our business and we believe that at these prices it will make some money for us.

Niraj Shah : It will be fairly relatively tactical kind of a business because it is bid out every year right , so it really depends on how the pricing kind of works for the risks that we take and that is how we look at this business.

Dhaval Gada: Got it thanks.

Moderator : Thank you. The next question is from the line of Prateek from Nippon India Mutual Fund. Please go ahead.

 Prateek: If I were to look at individual protection and compare it to 1Q FY2020 the absolute amount is the same but there is a pricing element sittin g over here plus this quarter you had ROP which was not there in 1Q FY2020 . So adjusted for that , on volume terms , the de -growth seems substantial to the extent of 30% to 40% . Is this only consumer discretionary the reason for it or is there something more to this?

Srinivasan P: There is also tightening of the underwriting norms right so when you look at FY2020 we are talking about a couple of years ago and in the last two years you have seen there is a lot of stringency in the underwriting norms so that is also sort of contributing to the drop.

Prateek: I think somebody was asking also there is a cut off right with higher pricing the size of opportunity has reduced right , is that a fair understanding for protection?

Vibha Padalkar: It is either that or peop le are saying that I will reduce the sum assured so either they reduce the premium or they reduce the sum assured these are the two levers or they will postpone.

Prateek: When I look at your number of individual policy sold on a three -year basis the CAGR i s just 1% , the lives insured is -6% whereas our total individual AP E has grown by 15% can you help me reconcile this in the sense that is there an element of volume de -growth happening and only average ticket size increasing I am asking on a global basis?

Suresh Badami: Given some of the products that we have launched on the non -par and par side , the average ticket size of some of these products has been significantly higher and it has also been , like I mentioned earlier , an ease of sale for some of these p roducts given the high demand which has been there for these products. The NOPs on the term have actually de -grown that is right . Like Vibha mentioned , there were a few reasons in terms of the customer postponing or not taking it up based on the pricing an d we are also tightening our underwriting norms . So if you were to look at it without term , our growth on NOPs has been there , but overall the industry has been struggling with NOP growth which is really where the challenges for the industry in terms of th e number of lives which we need to cover . But we have grown , if we exclude certain cohort, we have grown at three years CAGR of almost 10% in te rms of NOP. I just mentioned that there were certain cohorts on the low-ticket size that we have exited because we found the quality of the business either in terms of persistency or in

terms of claims or mortality being higher.
Prateek: Srini can you give some rough idea of number of unique customers which you would have a

nd the growth o f them let us say over FY202 0 versus FY2022?
Vibha Padalkar: We might feed that in subsequently do not have it handy.
 Prateek: Surely thanks. Looking forward to that. Thank you.
Moderator : Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahe ad.
Avinash Singh: Quickly one thing on retail protection is that again in terms of the volume fall entirely led by the subdued demand and if you can quantify that how much subdued demand is contributing and how much of it is because of your acceptance rate from proposal stage had gone down that is all and second if you are already able to launch this combination product HDFC ERGO , if at all regulatory allow you to distribute a health product what does it change really?
Vibha Padalkar: I will take the secon d question and then Suresh can answer the first one. We have been at the forefront of nudging the regulator to allow us to sell and this is something that we have been selling in the past until about 2015. What this will do is , it will depend on what form or shape we are allowed to , the idea l would be right from manufacturing to distribution we can do both . Otherwise it will just be distribution which is what we have given and what we were allowed to recommend so distribution is an ask that is there in the report that has been submitted . So first is that it will depend on the form or shape. If we are allowed to manufacture , great , what this will do is not just offer mediclaim products that is fine but it will allow us a lot of product innovation which today that is the missing piece and while we can collaborate with and we do collaborate with companies like HDFC ERGO. It is at best a force fit and it is somewhat clunky from the customer's point of view . So this will allow us to give a feature and build in a f eature into our existing product offerings wherein it becomes very customer centric as a one stop shop for everything from mortality to wellness to morbidity everything in between and for us to ratchet it up and down to be able to add riders similar to wha t we see in some of the other geographies and I talked about wellness as well . So it will allow us to do that but we will have to see what we are allowed to do and then do the best that we can under that new regulatory regime.
Suresh Badami: So I will add first to Vibha's second p oint. I think the overall value proposition and the improvement in productivity that we can see at a customer touch point or engagement especially when we have a combination product like that I think can significantly add value both in terms of the customer coverage that they will get as well as the total sales that we can generate or the additional sales that we can generate at every engagement. On your fi rst question frankly , Niraj had mentioned this in one of the earlier question s if you really look at our product mix , it has more or less remained stable across par, non -par, UL, and term . So there is a slight dip in term business, the par has more or less remained the same . We mentioned this earlier I think , we do tend to balance our product mix based on what the
 overall market scenario is like and we have been managing to do that across each of the channels . So while on the term side , we do see a little bit of a customer sentiment slow down in terms of searches , we see that happen ing like we had mentioned and there is may be the impact of inflation or a delay in postponing there has been a little bit of a tightening at our end because we are looking at all product lines across all channels to help us deliver on both the risk side a s well as the quality of business . So if yo

u have noticed our
persistency continues to remain top in class , our product mix remains the same and if for a certain quarter we see a little bit of term slowing down we have tried to make sure that the overall s um assured or the protection that we grow has aided from the credit protect business . So both protection and annuity combined put together are going up. Our credit protect business is leading to the overall protection in terms of both number of lives as we ll as the sum assured that we are covering and depending on how we find the overall market evolving , we will be able to change the product mix as we go forward.
Avinash Singh: Any sort of quantificati on in terms of the acceptance risk from proposal origina tion to your issuing a policy is there some matrix , how much sort of income expected from your side rather earlier if you were kind of issuing 8/10 proposal hypothetically?
Suresh Badami: I think there is a fair amount of effort in terms of understanding w hich person a, which profile , which markets we want to source and where we would want to push the channels to

source . So while our throughput has increased like I mentioned earlier almost 3% to 4% points our throughput has increased what we have tried to do also is to ensure that we are getting the right profile in today's underwriting norms like we have mentioned earlier there were certain cohorts where we saw the risks higher or the persistency lower , we have tried to go back and say that we probably do no t want to source those profiles . So there has been improvement in terms of our through put. We are looking at that but it is very closely balanced with the risk that we want to take on these kinds of profiles.

Moderator : Thank you. The next question is from the line of Madhukar Ladha from Elara Capital. Please go ahead.

Madhukar Ladha: Thank you for taking my question. You mentioned that the shorter end of the yield curve has risen more than the longer end of the yield curve which implies the yield curve is flattening a little bit . So the question is if this trend continues and if we go back to a yield curve which was probably prevailing two or three years back which was very much more flatter than what we are right now , how would you see that to impact the s upply of FRAs and then would it be that ea sy to sort of construct the non -par products that the market seems to be doing now , your comments on this would be helpful?

 Niraj Shah : We do not expect the shape of the curve to change the supply of FRAs. More and more banks are coming into this. The banks are increas ing their capacity and more banks , domestic and foreign , are coming into this so we do not expect the supply of FRAs to get impacted by the slop e of the curve. What can change is in terms of the econom ics, in terms of what happens to the spread , that gets dictated by the difference between the spot and the OIS yields and that is someth ing that can change from time -to-time but ultimately from our perspective, it is about managing the spread. We were doin g non-par using our internal capacity before FRAs were allowed. When FRAs were allowed then we started using that. Even today when we look at our entire risk management approach it is not disproportionately dependent on FRAs . So what we are doing today if you look at our FRA numbers for the last couple of years you will find a Rs.10 ,000 crores odd number in FY2021 , we got it down to Rs.8 ,000 Crores in FY2022 , in spite of business having going up. So as such dependence on FRA , it is a good instrument , we use it for risk management but we are not overly dependent on it . So the economics of it we will try and manage by managing our spreads . So if we are getting a positive spread on that , some of it can be reflected in the rates given t

o the customer , some of it can get reflected in terms of the spread that we get . So that is how we look at it Madhukar.

Madhukar Ladha: Just a followup on this , from the bank 's perspective obviously a more flatter interest rate curve would mean lower spreads for them . Do you not think that would then disincentivize them from writing more FRAs ?

Niraj Shah : Again you can of course talk to the counter parties but actually if you look at the way this business works is really , the bank is using the balance sheet to earn this spread thems elves. Now unless that balance sheet is being used to write some other business at higher levels it is very, very different and also you see the economics of global banks the kind of returns that they may have in their own global balance sheets what you ge t in India is still very attractive no matter how flat the curve gets just because of the level of the inter est rates itself.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I now hand over the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: We would like to thank all of you for participating in today's results call. Good evening.

Call: Nov 2022

November 1, 2022

Ref. No: HDFC Life/CA/2022■23/71
L i s t i n g D e p a r t m e n t   L i s t i n g D e p a r t m e n t National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
B a n d r a ■ K u r l a C o m p l e x ,   D a l a l S t r e e t ,
B a n d r a (E a s t) ,   F o r t , Mumbai■ 400 051 M u m b a i – 4 0 0 001
NSE Symbol: HDFCLIFE
BS E Security Code: 5407 77

Dear Sir / Madam, Sub: Transcript of Earnings Co nference Call for the quarter a nd half■year ended September 30, 2022

We wish to inform you that pursuant to Regulation 30 of the SEB I (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed transcrip t of the earnings conference call with analysts and investors held on Friday, October 21, 2022, to dis cuss the financial results of the Company for the quarter and half■year ended Se ptember 30, 2022.

The said transcript is also hosted on the Company's website at https://www.hdfclife.com/about■us/investor■relations .
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited

N a r e n d r a G a n g a n
G e n e r a l C o u n s e l , C h i e f C o m p l i a n c e O f f i c e r &
Company Secretary
Encl. As above

"HDFC Life Insurance Company Limited Q2 FY23
Earnings Conference Call "

October 21, 2022

Moderator : Ladies and gentlemen, good day and welcome to the HDFC Life Insurance Company Limited Q2 FY23 Earnings Conference call.
As a reminder , all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Vibha Padalkar – MD & CEO of HDFC Life Insurance Company Limited. Thank you and over to you , ma'am.
Vibha Padalkar: Thank you , Faizan . Good afternoon everyone. Thank you for joining us for the discussion on our results for the half year ended September 30, 2022. Our results including the investor presentation, press release, and regulatory disclosures are already available on our website as well as that of the stock exchanges. I have with me Suresh Badami, Executive Director; Niraj Shah, CFO; Eshwari Murugan, our Appointed Actuary and Kunal Jain, from Investor Relations.
I would like to take this opportunity to congratulate Suresh on his e levation as the Deputy Managing Director. We look forward to continue building an industry -leading and customer -centric franchise. I will take you through the key highlights of our H1 FY23 results and would be happy to take questions post that.
As you may be aware, our subsidiary Exide Life merged with HDFC Life on October 14th, pursuant to the receipt of the final approval from IRDAI. The entire transaction – right from the announcement of the deal in September 2021 followed by the acquisition i n January 2022 and the eventual merger – was completed in less than 14 months. I would like to thank our regulator – IRDAI and all other authorities involved in the M&A for their encouragement, support and

timely approvals.
Customers across both entities will now have access to a wider bouquet of products and service touch points. All policyholders of Exide Life will continue to receive best -in-class service from us. All Exide Life distribution partners now have access to HDFC Life’s market -leading product s, services and digital capabilities. This merger accelerates the scale -up of HDFC Life's agency and BroCA channels and also enhances its geographical presence in tier II and tier III markets. We strongly believe that this amalgamation will result in value creation for our customers, shareholders, employees and distribution partners.
As we emerge from the shadow of Covid, we wanted to take stock of the performance of the Indian life insurance industry compared to regional insurers. The Indian private life i nsurance sector has grown at a 2 year CAGR of 14% during the Covid years and continues to record double digit growth in the current year. While growth in retail protection continued to be a challenge, companies had several other levers to deliver consisten t margin expansion and hence robust growth in value of new business, while maintaining balance sheet resilience. This is commendable, especially given that large life insurers in the Asia Pac region have experienced

de-growth in both top -line as well as va lue of new business. We are happy to have played our part holistically, delivering a 2 year CAGR of 17% in top -line, 18% in value of new business and about 150 bps expansion in new business margins between FY20 and FY22. This was possible on the back of co ntinued product innovation, diversified distribution, balanced product mix, focus on technology and calibrated risk management approach.
It is worthwhile to note that despite a claims payout during the pandemic of over Rs 40,000 cr in FY21 and around 69,00 0 cr in FY22 by our industry, adequate solvency levels

were
maintained and there was a range -bound impact on the embedded values of the large insurers. This speaks quite highly of the inherent strength of the Indian life insurance sector.
We continue to be excited about the growth prospects of the industry, on the back of renewed support and encouragement from the regulator. We are enthused by the regulator’s vision of significantly improving the global ranking of Indian life insurance from its current no. 10 position to no. 6 and look forward to being a meaningful contributor in this journey.
Starting with our business update : We continue to maintain a steady growth trajectory, growing by 11% in terms of total APE in H1 FY23 on a pre -merger basis i.e. exclu ding Exide Life. We have grown in line with the industry and faster than listed peers this quarter which also led to market share improvement from 14.6% in Q1 to 15.0% in Q2 on a pre -merger basis. We have maintained our market leadership position as a top three life insurer across individual and group businesses. Market share in terms of individual WRP for the merged entity i.e. including Exide Life stands at 16.1% amongst private players and 10.2% within overall industry.
Our product mix both on a pre -merger basis as well as for the merged entity remains balanced. On a pre -merger basis, non -par savings is at 37%, participating products at 29%, ULIPs at 23%, individual protection at 4%, and annuity at 7% based on individual APE. Within the non -par segment, our shorter tenure product Sanchay FMP continues to grow well and now contributes over a fifth of our non -par individual APE. The prevailing high interest rate scenario continues to augur well for demand across our traditional savings products.
On the pro tection front, the credit protect business has registered strong growth of 66% for H1 FY23 on the back of rise in disbursements across most of our partners. While growth in retail protection remained tepid on a YoY basis, Q2 growth is sequentially higher b y 26%. We expect YoY growth to gradually pick up in the second half of the year. We also launched a new product - Click2Protect Super during the quarter. This product has been received well across channels, especially on digital platforms. We continue to s teadily improve our individual protection policy conversion ratios through process efficiencies and several other initiatives. Protection APE has grown by 24% in H1 FY23 on a pre -merger basis.
On the retirement front, our annuity business in H1 FY23 has g rown by 4% on received premium basis compared to a 4% de -growth for the industry. Growth of annuity on an APE basis is 44%.

Our regular premium annuity product - Systematic Retirement Plan, introduced in December’21 last year continues to attract interest from customers across channels.
We also launched Click2Protect Optima Secure in partnership with HDFC Ergo. It is a comprehensive financial protection plan that offers the dual benefits of health and life insurance.
We continue to explore innovative ways to help deepen protection penetration. Hence, in addition to the existing products such as pure term, Return of premium variant, credit life and

group term, we are also now offering savings products that offer higher than the typical 10 times risk cover.
Moving onto key financial and operating metrics:
New business margin for H1 is 27.6%, up from 26.4% in H1 FY22, on a pre -merger basis. There has been margin expansion for both the existing business i.e. pre -merger and the acquired Exide Life business in H 1 FY23. We are close to achieving our aspiration of maintaining FY22 -margin neutrality for the combined entity, having delivered 26.2% NBM, compared to 26.4% in H1 FY22. The value of new business has grown by 16% on a pre -merger basis and is at Rs. 1,258 Crore for H1.
Our embedded value on a pre -merger basis, stood at 33

,015 Crore as on Sep 30, 2022, with an
operating return on embedded value of 17.7% for H1 FY23. The embedded value of the merged entity stood at 36,016 Crore. Profit after tax on pre -merger basis stood at Rs. 682 Crore, a YoY increase of 18% during H1 FY23. This was aided by strong growth of 35% in existing business surplus.
Our Solvency ratio is 210% as on September 30, 2022, as against 178% last quarter. The solvency was strengthened by wa y of an equity capital raise of Rs 2,000 Crore during the quarter.
Renewal premiums have grown by 21% on a pre -merger basis. Persistency continued to improve for both, the existing business i.e. pre -merger basis and the acquired business. Our 13th and 61st month persistency for limited and regular pay policies is at 88% and 54% respectively on pre - merger basis and 87% and 51% on merged basis.
Next on channel performance:
Our bancassurance channel grew by 12% in H1 FY23 based on individual APE. Within banca ssurance, we continue to see strong growth momentum across our newer relationships such as Yes Bank, Bandhan Bank, IDFC First Bank amongst others.
In our quest to expand and diversify our distribution, we have won the bancassurance mandate with India Post Payments Bank. IPPB has a vast network of 650+ branches and over 1.5 lakh post offices, serving a customer base of over 55 million customers. A large part of the post

offices are in rural areas, thereby giving us wider access and furthering our goal of “I nsuring India”.
Our Agency channel grew by 23% based on individual APE in H1 FY23 on a pre -merger basis. We added about 24,000 agents in H1 FY23 and continue to focus on improving activation and productivity across our base of financial consultants. The sh are of agency to individual APE has increased from 15% to 18% in the merged entity. We expect growth in this channel to be driven by the larger agent base, with access to a wider suite of products.
Moving onto tech and innovation:
We have integrated our customer journey with external databases such as credit bureaus, TRACES & EPFO, to ensure seamless on -boarding. This will enable us to access latest ITR filings and EPFO passbook with customer consent, ensuring stronger and faster underwriting and quicker policy issuance for both salaried and non -salaried customers.
Innovative solutions such as enabling cardiac risk assessment at the customer’s residence for medical underwriting furthers our motive of simplifying customer journey and provide best in class s ervice. In an industry first initiative, we have now launched home medicals for our overseas customers in over 20 countries.
Now an update on HDFC Pension. As on Sep 30, 2022, HDFC Pension had a market share of 39.3%, up from 35.9% a year ago and an AUM of Rs 35,146 Cr clocking growth of 57%, thereby maintaining its leadership position in the private NPS pension fund manager spa ce.
Moving on to Regulations:
IRDAI has taken several measures with a clear focus on increasing insurance penetration in the country and enhancing ease of doing business. One of the initiatives they have taken is the formation of Bima Sugam, a digital pl atform that will give more choice to the customer. We believe this is a step in the right direction. Having several insurers on this platform would increase collaboration and help save resources spent on individual campaigns to increase customer awareness. Bima Sugam can help sharpen underwriting through real -time data access from account aggregators and multiple repositories, with due customer consent, thereby enabling faster turnaround. The most noteworthy distinction between Bima Sugam and existing digit al marketplaces is opening up a direct to customer connect, that besides policy purchase, shall also serve as a platform for servicing and grievance redressal.
To conclude, our objective remains to empowe

r individuals to provide financial protection to
their loved ones and widen insurance coverage through a mix of innovative products and

diversified distribution. The detailed disclosure on our results is available in our investor presentation. We are happy to take questions now.

Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Suresh Ganapathy from Macquarie. Please go ahead .

Suresh Ganapathy: Mr. Ganapathy, your line is in talk mode . Please go ahead with your question . As there is no response from the current participant , we will move on to the next question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: So, one is on the segmental part. In the Non-par, we have surplus /deficit movement. Now it seems in this financial year , with the Exide and HDFC merged number , it looks like you ha ve no deficit. But earlier, where we had standalone HDFC Life, there used to be a bigger deficit. So, what kind of product dynamics has changed becaus e of this merger , that's sort of leading to this quarterly surplus ? Of course, I know that these numbers keep moving with product dynamics in that particular quarter. So, that's one.

Second, because you touched upon Bima Sugam, do you see , not immediatel y, but that be coming a meaningful number contributor . How is that going to behave with other channels ? Unless , there is a kind of a pricing difference , as a customer , you have n number of reasons to be in touch with a lot of other distributor s, be it agent s or banks . So, if I'm going to get this product at the same price on that platform , why should I just get attracted to that platform ? And if there is a sort of price benefit , how are you going to manage channel conflicts?

Vibha Padalkar: So, on the first point on the segmental non -par, it is largely because of the claim settlement . Segmental non-par will have a profitable o utcome . As compared to unit linked, unwinding of profits to Indian GAAP will take a little bit longer , but that should be very , very healthy .

Also, in terms of your next question on Bima Sugam , the way we see it is that may a thousand lotuses bloom , to put it very succinctly , that it is not this or that. It should be in whatever form or shape , that we are able to extend insurance to the average Indian . So that by 2047 , this is the regulator's vision , that every Indian has some level of insurance cover . And so, the more modes of reach to the customer , the better .

Now to your point , will it be cheaper , I think some of those modalities will get worked out , but there will be no intermediation . There will be no calling . So, it is not that you log in something and there is a calling or there's an intermediary . That is not to say that eith er all business will come through Bima Sugam or no business will come .

I think it's a question of different avenues of purchase like with everything else . Some people will want advisory at least for more complex products . Some lower tickets , simpler products might go through with Bima Sugam and so on . I think what is very creditable is the vision of the regulator . In a way , it is like a Farm to Table concept , wherein as a manufacturer , I am directly able to offer it to the customer .

Another important aspect is what the regulator rightly said that even existing distributors or partners can come on to Bima Sugam . So, it can be that there is a broker , for example , who is also on Bima Sugam who says, I'm broker XYZ slash Bima Sugam slash whatever the name . So, you go through that broker and somebody might want that . It's a hybrid - phydigital model . So, really it is a one-stop

shop . We'll have to see how the pricing evolves , but I think it will be more attractive at least for certain types of products than perhaps in some of the channels .

Moderator: Thank you. The next question is from the line of Suresh Ganapathy from Macquarie. Please go ahead .

Suresh Ganapathy: So, I have two questions or rather three questions . One is on the FRA aspect itself . Now that we have seen some problems emerging in some of the European Banks and also the fact that the yield curve has significantly flattened out, do you think there could be an issue of supply of FRA s in any way which could hamper your ability to offer non-par guaranteed products ? That's question number one .

Second thing , Vibha, very clearly , there is weakness in the protection segment . I mean , you may argue QoQ has gone up but YoY, the individual AP E in the protection segment is down 39% as per my calculation . And you know, even in your overall business , you have lost market share . Your overall growth for the quarter has been only 4% APE. The other guys have done brilliantly well. Some of your other channel , HDFC Bank channel partners like Tata, Birla, all of them have done very , very well with very strong growth . So, you have actually lost market share this year. So, wanted to understand what's happening on the growth front because it's pretty rare that HDFC Life loses market share .

And the third question is on Bima Sugam. Obviously , you did explain , but do you think it can possibly take away some of the market share from other digital market -place players ? In case they're really coming up with a great deal and an open platform like UPI , there is a possibility that the other digital market players may lose market share . I just wanted your views on that.

Vibha Padalkar: Suresh , I am taking the second question first which is on market share . So, typically , in the private space , we have trended at about 14.8 % to 15 %. We are very much there in terms of market share . It is the mid-tier companies that have grown quite significantly on market share . And when you triangulate that holistically with how much of risk is being taken on the balance sheet as well as what are the ir cost ratios , with very little disclosure ; then just one aspect of it becomes uni-dimensional .

We are fairly confident of continuing to grow down the line faster than the market . This I'm talking about the private life insurance sector . Yes, there will be some blip s. Q2 has been better in terms of market share than Q1 market share . Excluding Exide Life, market share has been 15% in Q2 versus 14.6% in Q1 and we will definitely trend upwards .

If I were to deconstruct between growth in HDFC Bank versus other than HDFC Bank , non-HDFC Bank channels, in terms of every metric you take , whether it is Q2, whether it is on H1 and so on , we have grown faster than the industry , at least 2 x to 3x faster than the industry . So, it is in my proprietary channel s, broker channel , new tie ups that has happened . With HDFC Bank , we have slowed versus the industry growth and consequently , some of the mid -tier players have grown .

Now , two things here. One is that there is a base effect . So, base effect will also normalize . Also , the merger itself wherein HDFC Bank becomes our promoter . It is bound to happen , and HDFC Bank management has also alluded that closer to regulatory approvals coming through , there certainly will be alignment because your promoter is also your largest distributor . So, alignment will start happening . I think deconstructing where there's been de -growth , wherever we've had a direct control , we have grown . So, quarter one , quarter two and so on , we have grown much faster than the market .

Suresh Ganapathy: How much do

es HDFC Bank contribute now compared to a year earlier ?

Vibha Padalkar: It's about 48 %, between 46% to 48 %

Suresh Ganapathy: And year before ?

Vibha Padalkar: It's about 200 basis points higher than that.

Suresh Ganapathy: So, it is 200 basis points lower now you mean to say ?

Vibha Padalkar: Lower. Yes. So, about 5 0-50 if you see . In Q2, for example, we've grown , in other than HDFC Bank, we've grown about 18%, which is about 2.5 times what the private industry growth has been . So, it's more in terms of just, getting this part of it sorted out with some of the structural changes that should come through . Of course , we'll continue to offer innovative products and customer service and all of that , but I think structurally that changes have happened .

Second , if I can move on to protection , like you mentioned , Q2 is better than Q1. But, last year , if you recall , there was a bit of a ramp up before end of December when again price changes happened - second price hike by the reinsurers . So, it was reasonably gaining traction , before again reinsurers increase d the prices .

Now on retail protection , we tried to continue taking a calibrated approach . Obviously , we would not want to say no to business . But on aggregator platforms or where there's a direct comparison , and we can see that the pricing at which there is an ask as well as the risk is not asking the right underwriting questions , which is not making sense to us , we want to stay away from those profiles of life .

We do believe that down the line , and we are beginning to see some level of stress when you calibrate it with either claims rejecti ons or from s um assured and so on . You know the balance sheet risk that is there . Anecdotally , we know that a lot of high ticket cases that we say no to does get converted elsewhere , and some of those balance sheets do show higher levels of risk that are being retained . And here we are talking about maybe 400x of the first year premium . So, while we remain enthused and we've been the first movers in this space , we will grow this brick by brick , and the traction is being seen Q2 versus Q1.

Another data point is that we did mention that we were low in conversion ratio, which is around 60%. Some of the channels have now exceeded 70 % in terms of conversion . So, we are looking at aspects that we can get right .

We are also doing another thing . We are a lso retaining more risk , calibrated risk , on our balance sheet . For example , if reinsurers are taking a very , very conservative view to say that , I won't say yes because we don't have last three years of tax returns . But we have the last two and the last i.e. the third year from today going back in time that individual doesn't have . We will try and triangulate that with some other means rather than saying no to business .

Now that we have more capital and we have raised that , in this quarte r it's come through , we are taking some calibrated calls rarely in the case of medical calls, but in the case of financial calls . So, we are doing that , but we have no reason to believe that the business we are saying no to will magically exhibit very good levels of mortality . And when you triangulate that with most of the industry , apart from the mid-tier players , where there is no disclosure versus what has been assumed by actuaries of their companies . In the absence of that , it's very difficult to understand what is going on . Suresh , you want to add anything on this particular thing?

Suresh Badami: No, I think you covered it well. There has been a fair amount of focus in continuing to diversify and grow our proprietary channels as well as the new partnerships in Banca , and we see significant traction there in terms of both market share

and quality of business . I think even at HDFC Bank , while there has been a slight difference , Vibha correctly mentioned that it should correct once the overall merger is in place and they see the value in the subsidiary . But I would also say that , we have been fairly cautious in terms of which business and what quality of business we acquire , and we are quite happy in terms of the business that we are writing through HDFC Bank . And we do believe that over the next half of the year , you will see significant growth in terms of the market share of HDFC Bank also.

Vibha Padalkar: We are also trying to get to the same answer , like I mentioned in my opening remarks , of higher levels of sum assured rather than going through just a pure protection . We are also looking at Return of Premium , how do we increase that , to customers that want to buy that? We are also looking at riders . So these are different ways of getting to the customer rather than just loosening on risk management .

The next one is on Bima Sugam. I'll just finish that before I hand over to Niraj on FRA s. On Bima Sugam, you asked as to how this is versus other digital platforms and so on . In the near term, I don't think it will get impacted . However , we have seen the payments ecosystem , at least on smaller ticket payments , massively taking off . I expect to see that happening at lower end or lower ticket kind of simple products and younger people coming there and buying without the need for a n intermediary . I do see that taking off , but it will take some time. It will take some time and traction , word of mouth , because none of this is going to be with a massive advertising budget .

All the companies have to come together to perhaps pool together advertising money . We already have that through the life council , but everyone needs to join to be able to also include it in there . Otherwise , how do you pass on the message that you can come onto this website , and if you're reasonably savvy , you can do your own search , pinging the companies you want to ping and then , do your buying journey from here .

So, it's conceptually a very, very strong proposition . I think over the next two or three years or that kind of a roadmap , it can start getting meaningful , especially in the term space . And for FRA s, I'll hand it over to Niraj.

Niraj Shah: On FRAs, a couple of things that you mentioned was in terms of situation with a couple of banks and second is in terms of the way the interest rates are moving . So, I will start with the second one first. The primary objective of FRA s is risk management . Yield pickup , if it comes because of a certain interest r ate environment , is just a bonus . Yes, that source has obviously dried up now compared to what it was a couple of years back , but that's fine . It's about spread management to be able to be neutral on that front , and that is something that we continue to do .

So, for us , we continue to focus on FRA s as one of the tools of risk management for us . Our dependence on FRAs probably is very different and lower than some of the other players who may be actually looking at this instrument . For us, this continues to be diversified across more than 10 counterparties . The two banks th at are in the news now, that's not more than about 10 to 12% each. And again , from a n instrument perspective , as you know, these are basically daily margins settled in any case . So, there is no credit risk that is carrying on in this instrument . What happens is in a scenario where there is an event because of which further operations are not possible to be continued , it's about unwinding the contract and carrying on that contract with somebody else . So, that's the only aspect of it which can be a bit of

an operational issue or challenge for a couple of weeks before that can get that done , but nothing really beyond that . And as we speak , we see more and more banks coming into the fray . Domestic banks are getting larger in this space . So, we don't see a supply side issue here .

Moderator: Thank you. The next question is from the line of Prakash Kapadia from Anived Portfolio Managers. Please go ahead.

Prakash Kapadia: Two questions from my side . On the EV walkthrough , could you give the breakup of the 12.4 billion negative impact between debt and equity this quarter ?
Eshwari Murugan: The part of the 1,250 odd crores of negative investment variance is mainly because of the increase in the interest rate , thereby having a n MTM on the bonds that we hold i.e. about Rs. 1,000 crores . The balance is from the equity . We expected around 4% return based on an unwind rate, but the equities have been more or less flattish. That is why there is an impact due to the equity on the economic variance.
Prakash Kapadia: And with the current interest rate regime , any change in unwind rates from the 8% envisaged earlier ? Do we expect any?
Eshwari Murugan: So, we have been following the method of setting the unwind rate at the start of the year . At the start of the year , we take a view based on the economic environment at that time . This 8.1% has been set based on the environment at the start of the year and we don't change it during the year . Any difference is reflected in the investment variance . At the start of next year , again based on the environment at that time and based on the assets we hold , we will reset the unwind rate.
Prakash Kapadia: That's helpful . And lastly , now given the Exide merger is done , what kind of APE growth and VNB margins can we look at in the second half ? Because you know, this quarter also , few months have been good in terms of growth . Few quarters have been muted . As we step into the second half , Q4 was a bit muted last year . So, on a consolidated basis , what are we looking at in the second half of the year ?
Vibha Padalkar: So, we are looking at about a 15 % to 17 % kind of a growth . And again , some of the things that I mentioned in terms of the parent company merger will help accelerate that . On the margins , what we have said is that we will get to margin neutrality by middle of next year . If you exclude this one year , from 14th of October onwards , one year from that of our merger with Exide Life, thereafter , we should get back as if we are back on the treadmill of where HDFC Life standalone was. So, the entire merger and synergy extraction would have got subsumed with in us .
Moderator: Thank you. The next question is from the line of Swarnabh Mukherjee from B&K Securities . Please go ahead .
Swarnabh Mukherjee: Thank you for the opportunity . My questions are on two areas . First of all , on your group portfolio , if I look at the product categories Group Term Life and Group Annuity , there are very divergent pictures there , and I wanted to have your comments on the same . So, Group Term Life looks seems to be doing pretty well , but what are the trends you are seeing about pricing in that portfolio ? And how do you see it growing ahead? And on the Group Annuity book, it seems to be de-growing every quarter , and your annuity portfolio seems to be driven by the individual side. So, what is happening on the Group Annuity side, if you can paint some color on that as well? So, that is the first area .

On the second thing , I wanted some color on how we should think about the EV roll forward after this merger for the combined entity ? So, how should we think about the u nwind rate ? And given that

VNB is a very small component for Exide Life right now, what would be the operating ROE V which you expect when you start reporting the consolidated EV? And h ow would the persistency be given that the renewal rate for Exide Life is much lower than what our standalone entity has right now? So, those are my questions.
Suresh Badami: So, let me address your question on the group product . I think you are referring to the Group Credit Life . I'll cover both the Group Credit Life as well as the Group Term Insurance . See, in GTI, actually we have still not picked up and gone into fully because we are calibrating in terms of the risk as well as the pricing . It's an annual renewable product .
So, in some sense , we will monitor and come into the Group Term . But the Group Credit Life is where , to add on to the earlier question which was the re on protection , we have been fairly agnostic in terms of how do we cover protection overall . That business has been growing considerably for us because of multiple parameters .
One, of course , is the fact that our partnerships by themselves are growing in terms of disbursement . Second , there has been a deepening of relationship across most of our partners in terms of the value penetration , as well as the newer loan verticals that we have been able to add on.
We have also been able to add on a fair number of newer partners . And more importantly , having gone through the whole COVID experience , understanding the market across each of these

relationships , we have been able to repri ce significantly in terms of what is it that we can do across each of these in particular . So, you know, both in terms of profitability as well as growth , we are seeing a significant improvement on the credit life business . And in some sense , frankly , while the individual protection has been slightly muted overall for the industry , we have managed to get our overall protection growing on a combined basis .

On the Group Annuity side, we had invested in the pension company . We also have a huge amount of relationships which are happening in terms of the PSU relationships . We do believe that in terms of market share across most of the key clients , we have a significant presence . So, we have been able to grow that .

We have had a steady increase in market share if we were to look at it in terms of the annuity business . In fact, while the overall annuity numbers for the industry has de-grown , we have been able to get a growth as HDFC Life. So, there ha s been a little bit of a slowdown in the group annuity because of deferment in anticipation of better rates , but I do believe that over a period of time , the annuity segment will continue to grow at fairly significant rate over and above the industry growth rates .

Niraj Shah: To your question on what happens to the Embedded value post Exide Life, there are a couple of things here . We did discuss in terms of our aspiration to get to margin convergence in the next few quarters . As you know on half yearly basis already including Exide, we are very close to last year margin levels .

So, the two components of the Embedded value would be the VNB accretion and the second would be what is earned on the existing assets or the unwind . On VNB , as we are talking about convergence to HDFC Life margins over a period of three to four quarters . You should see that coming through in a similar form as it is in HDFC Life . So, there should not be any s ort of leakage from that perspective .

Unwind is more in terms of the kind of assets that you hold. The product mix as you are aware is very little unit linked; largely it's a bond kind of a portfolio . So, the unwind rate and the methodology will be set when we are looking at setting our assumptions at the en

d of the year .

So, there would be a uniform approach on those assets as well .

So, given that Exide Life is less than 10% of the embedded value of the overall combined entity today , we do no t see much of a gap coming through on account of that. There could be a couple of quarters while this alignment happens , but over a year or a couple of year s, we do not see any sort of gap in the pre -merger and post-merger EVOP .

Persistency also as mentioned has been improving . So, on a standalone basis , 13-month improved from 73 % to 76 %. We have a line of sight of getting to 80 % very quickly . Also, given the kind of product mix that is being generated in those segments , we do believe that the experience is fairly close to the assumptions that have been set . So, that's something that we had very carefully assessed in the early part of the transaction itself . So, no concerns on that front either .

Moderator: Thank you. We will take the next question from the line of Akshat Mehta from Sameeksha Capital . Please go ahead .

Akshat Mehta: So, my first question was on the ROP business . What will be the share of ROP in the overall business post the merger? And what kind of strategy are you planning to expand the share going forward , and if there is any kind of target share that you are looking at ? That is the first question.

Vibha Padalkar: So, Akshat, no target per se. We are reasonably agnostic as long as the end game is to protect oneself adequately in whichever form or shape . So, this is a product offering we have . We are in the zone of 20 plus percent, and it will also depend on which channel is selling it . So, we have had this product for quite some time , and we continue to sell this. Between this , regular premium , limited pay to credit life, these are all different modes of getting to adequate protection .

Akshat Mehta: My second question is on the FRA part. You know, given the current environment , what could be the mark -to-market losses in your FRA , if you can give some kind of a number ? And I mean ,

because of that , is the re any requirement to increase the rates on your annuity and non-par products given that the FD rates are also increasing ? And what would be the impact on the margins on account of that ?

Niraj Shah : So, on FRA , the mark -to-market on a net basis , there is no impact because of the equity F VC. You can set off against any sort of negative FVC that you may have on the debt side in an increasing interest rate environment . So, there is no impact on that front on a net basis . As far as being competitive o n non-par products goes, the headline rates , if they continue to move up , we have the opportunity to increase the rates , and we have taken those opportunities both on the annuity front as well as on non-par savings while managing our spreads .

So, that is something that we can continue to offer compared to shorter term products . These are , on a tax advantage basis , a fairly strong proposition from a customer perspective , and the tenure is 10 years and above . So, as such they do not really compete with the shorter -term products that are offered by other financial services .

Akshat Mehta: Any new pr oducts you're trying to launch in second half of the year ?

Niraj Shah : Yes, so that journey continues . In fact, across all segments , Vibha mentioned already , we introduced a new product Click2 Protect Super , which allows a fair bit of flexibility to customers to switch and change their cover mid-policy as well . That was launched just a couple of weeks back . We have launched two products on the retirement front , one on the participating side and one regular premium annuity product . So, that's something that has been done in the last few months .

We have launched in partnership

with our sister concern HDFC Ergo , a combination product

with a fairly well-regarded Optima Secure best-in-class health product in the market , and we have a combination product along with that as well . So, that was something that was launched last month . And as we go forward there are many such products in the pipeline across protection , savings , as well as retirement and pension . So, you'll hear more about it as we go forward . With some of the guidelines having been more flexible in terms of the go to market with use and file, I think there will be more coming through in each of these categories .

Moderator: We will take the next question from the line of Nidhesh from Investec . Please go ahead .

Nidhesh: Firstly , on the EV walk , can you share the breakup of the operating variance between persistency, modality and expenses ?

Eshwari : The operating variance is mainly coming from persistency and expenses. Mo rtality is almost neutral because the experience has now normalized post Covid.

Nidhesh: Secondly , how should we think about the volume growth for the industry as well because if you look at the data for last 4-5 years , the volume growth for industry and for most of the players

have been quite weak ? So, how should we internally think about the volume growth for the industr y? Is this going to be the trend going forward also?

Vibha Padalkar: So, you know, I'm smiling a little bit because when you say over the last 3-4 years , volume growth is weak . Actually , that's exactly what I covered in my opening remarks wherein if you are looking at us , for example , we have doubled over the last four years in terms of everything - Topline , bottom -line and so on .

Also , if you were to look at the two years CAGR in terms of topline , it has been a 17 % two-year CAGR. This year, it’s a little bit weaker . But there also, it's also a little bit weaker on the number of policies . So, that I will certainly admit that as a sector we were all selling higher ticket size policies , perhaps thanks to the father of all this, Sanchay Plus, and so perhaps to a slightly more affluent customer . So, all of us need to also focus on how do we increase penet ration in real terms , in terms of number of lives covered . So, there we do have our work cut out for us .

At the same time, we have covered the number of lives overall through Credit Life of 28 or close to 3 crore lives , and this has grown by 41%. So, group has done well ; individual not so well .

Also , the less than Rs. 50,000 ticket size, which also has not done very well while more than 1 lakh ticket size has done well.

So, if data is available , then we can price it more appropriately . With Bima Sugam , while we've talked a lot about it on this call , what the regulator is promising is that different databases that the government collects and with customer consent , it could be more enriching in terms of how we underwrite policies , which today , frank ly, is a challenge , and especially it's a challenge at the lower end in terms of ticket sizes .

So, a combination of that would mean nothing has changed in terms of demand , and so the demand is there . Lower penetration or insurance coverage is there . The protection gap is there . So, there is also a little bit of inverse correlation perhaps with banks , minorly , because the size is very big. Protection again , and I talked about it in this call , retail protection has been slow while Credit Life has done well. Retail protection for almost everyone in the industry has lagged versus the past couple of years . As protection starts getting fixed , and it's a matter of time before it does . Again, protection is based on much higher levels of number of policies cov ered, ticket sizes are small , but number of

people covered is more . Some of this should start turning around .

Also , if you were to look at cyclicality on a few things , for example , unit link ed has not done well at all , while for us it's always been calibrated , but even as a sector , unit link ed has not done well. Some of our new tie-ups include , for example , I did mention about India Post Payment s

Bank . We are very gung ho about it , we are talking about 650 plus locations over 1.5 lakh number of their feet on street and , you know, the Gramin Dak Sevak . So, that augurs well in terms of expansion in non -metros , Tier 2-3 cities .

Exide Life acquisition was also for us to increase our footprint in Tier 2-3 cities , and we won this RFP with India Post Payment s Bank , and we will start work on it as we speak . That also should see a lot more of penetration in the true sense .
Suresh Badami: Broadly, we will look at expanding the distribution , but I think even at an industry level , the number of steps being taken by the chairman of IRDAI and the regulator in terms of looking at growth , allowing so many new flexibilities in terms of how the overall sector should open . I think at an industry leve l, there is clearly , given the opportunity , a fair amount of growth that we will se . I agree with Vibha , I think the challenge really is for all of us to get together and look at an NOP increase where we need to be increasing the number of lives and , our strategy in terms of how do we reach out to Tier 2-3 cities and how do we reach out to newer geographies . How do we have state level coverage ?
There are fair amount s of detailing that , I guess , each one of us is doing as insur ers. Definitely , as HDFC Life, we are very clearly focused . Some things like in terms of, how do we deepen some of these markets . Just the fact that we can look at use and file, we can come out with more innovative products . There are so many such things which will aid the overall industry growth . And as HDFC Life, we would expect to grow a little faster than the industry .
Nidhesh: And lastly , just one question , so if you look at the competition , earlier it used to be very intense competition on protection . Now on non -par and on annuities , I see that there is a significant price -based competition which is increasing . So, in that context , are these products becoming commoditized ? And in that context , how should we build our present s o that we will be able to generate higher returns for shareholders despite these segments getting commoditized ?
Vibha Padalkar: Only market share is something that every financial services industry sees, whether it's banking , mutual funds , and especially banking . If you look at insurance , and you talked about growing market share on the back of non-par. When you triangulate that with read ing the balance sheets as well as what is the retained risk , and what is the hedging strategies based on the interest rate sensitivity that some have put out , it could be something that we don't want to go down that path . So, we want to have market share growth .
At the same time , I think the previous caller ask ed what your operating variance is ; we want to have an operating variance that is close to zero . We want an operating variance which is very close to what actuarial assumptions are , and we disclose this every quarter . So, that's really the treadmill that we have been for the past decade and we want to continue with this . But it's not to say that we don't want to grow . We do, and so amongst all these constraints , we launched Sanch ay FMP , and today it's close to 25 odd percent of our non -par savings business and continuing to grow . That is easier to hedge as it is shorter end of the spectrum and we can have an aggressive play over there , as a

gainst having an aggressive play on lifelong payouts on some of the non-par products .

So, we will continue to push and pull in this space so that the combination of various stakeholders including risk management is something that we can be fairly comfortable with . We pride ourselves on having a pristine embedded value , and there is no known risk that has not been factored into our embedded value , and we want to keep it that way .
Moderator: Thank you. We will take the next question from the line of Shyam Srinivasan from Goldman Sach s. Please go ahead .
Shyam Srinivasan: Thank you for taking my question . Just on HDFC Bank again , I think you mentioned 46 % to 48% of your revenues comes from there , but how is it the other way around ? In the sense market share for you in their life insurance business , how has that been trending ?
Vibha Padalkar: So, we have not really been giving what the share is. There are many nuances to this because again, just looking at the share as against looking at the share of value of new business becomes a very one -sided discussion . Not looking at the persistency , claims ratio and so on. So, I think the way we look at this is , even from a risk management perspective , we like hovering around 50% in terms of HDFC Bank share , growing our other channels faster than industry growth . We have demonstrated this for multiple time horizon , whether it's the recent Q2 or FY22 or FY21 . So, the track record of channels other than HDFC Bank is growing faster by a mile than the private sector . So, we will continue to do that rather than just looking at one metric of HDFC Bank .

Suresh Badami: We do expect a greater alignment in terms of the overall strategy of the HDFC Bank team along with us , and the merger is not very far away . So, hopefully , we will be able to get our market share up, but like Vibha rightly mentioned , I think it is also a question of , what quality of business , where we want to do the business , what is the share of VNB that we are looking at . All those are into consideration , and we do believe that getting the topline back based on our product mix will move upwards .
Shyam Sr inivasan: And just the second question . I think , during your opening remarks , you talked about multiple levers for VNB growth , right ? I think retail protection like you mentioned has been challenging , but what are the other things now ? I think you called out like product innovation , risk management and stuff , but I'm just looking at product mix . Keeping aside Exide Life, now we have reached a phase and where do you think there is further scope for improvement ? So, let's assume FY24 and FY25, what can change right in terms of helping VNB growth to be not correlated to AP E growth , for example ? What are some of the other levers that are still there ?
Vibha Padalkar: So, many , many . For example , new pools of profitability , and obviously , I can't sh are all of them . And we've been the market leaders , everyone talks about pure term and market leaders in pure term, or looking at the cancer , cardiac to looking at deferred annuity to Sanch ay Plus kind of products to riders to other kinds of products . And we have the more recent kid on the block , Sanchay FMP, again , margin accretive for us. Even if you look at par, we believe that we are the highest in terms of par margins . And so any switch between some of the other lower margin

products to par, of course with customer consent , makes a lot of sense . Also , some of the tweaks in terms of whether it's riders , whether it's group annuity , whether it's individual annuity will help in margin expansion .
Also in terms of expense leverage , that's an important po

int . While it might optically look like our expense ratios have gone up , but actually the fixed costs have continued to trend downwards . When you look at agency , in our agency channel , say about 60 -70% is fixed costs . So, with agency growing upwards of 20 % plus, most of that should fall to the bottom -line as margin accretive contribution . Also , mix change becomes important , especially on say participating . Even with Exide Life , right at the beginning , we did mention that i t's low single digits . Now we are talking about high single digits in terms of Exide Life , around 8 odd percent. So, in a span of less than a year , we have been able to get Exide Life margin from low single digits to close to 10 % and that has not been with any major surgery as you know , because it was still a separate entity . So, that can only continue to increase getting to margin neutrality . So, I am adding in a way market share of 1.2 %, 1.3%, but at the same time able to get Exide Life very close to HDFC Life margins .
So, all of these are levers , but obviously I can't talk about some of the things that are in the pipeline , but we will continue to extract margins . And I think that is our core stre ngth because we have not dropped margin in any quarter versus the previous year , for the last several years . The only exception was when we launched Sanch ay Plus, and we told all of you that . So, that was a product -specific aspect , but apart from that , this margin trending upward curve every quarter , every year has been because of many , many levers to margin as against just one big-bang lever , that could be either copied or it could be affected when there's some disruption , macro disruption that happens .
Moderator: The next question is from the line of Dipanjan Ghosh from Cit i. Please go ahead .
Dipanjan Ghosh: Just o ne question . I think you mentioned on your Credit Life business that some of the newer partnerships have been delivering strong growth and also some new product verticals have been added . So, can you kind of extend this argument and give some color on the attachment rates or maybe the growth across all the newer partnerships versus the existing partnerships ? And how do you see it going forward ?
Suresh Badami: We have 300 plus partnerships now across bank s, NBFC s, SFBs and MFIs. We have registered a growth of almost 66 % on this particular business in H1 FY23. We are a fairly large player across all the verticals . So, we do have a complete gamut of products whether it's unsecured loans to CVC to home loans to LAP, MFI all of that . So, you know , in H1 , for instance , the LAP housing business was almost 29 %, MFI was 35 %. The housing and LAP grew by 44 %. The MFIs grew much faster at 100% and the other segments grew by almost 50%.

There is a , complete attachment range which varies from vertical to vertical . It varies anywhere between 30 % to 70 % depending on what product m ix and which loan vertical we are talking about . For MFIs, it's 100 % because they need to work on that particular model . We are trying to

see how we can look at the value penetration more than just the attachment rates in terms of the number of loans , and that's something that we have done .
In parallel , what we have also done is that we have integrated a lot of our technology platforms across all our partners . So, in terms of claim settlement , in terms of processing , we have significant embedding , which has happened with many of our partners . So, we have been looking at this . So, I do believe that if the industry continues to grow in terms of disbursements , we will grow so much , and this is across outside HDFC also . You know , HDFC group in some sense gives only less than 30 % of overall credit life business . So,

it's fairly well diversified even within the Credit Life LOB .
Moderator: Thank you. We will take the next question from the line of Anand Bhavnani from White Oak Capital . Please go ahead .
Anand Bhavnani: Thank you for the opportunity . With regard s to the India Post tie up, can you give us some sense of what's the rollout schedule ? And do they have any other tie ups other than us?
Suresh Badami: So, Vibha did mention in terms of their vast postal network which is there , they do have an Aadhaar enabled payment service , which is a single largest platform in terms of doorstep banking to a set of customers . We have recently launched the relationship . Only last week or 10 days back is when we had the official launch along wit h their field teams . We see a huge opportunity in terms of both the protection and savings across the group and individual customers . The POSP model will work very well in this particular case.
Secondly , you know , we should be able to go across not just through their offices but through the Gram Dak Sevaks , which is under the Department of Post. Now , one of the challenges which we mentioned earlier on the call was in terms of growing our NOP s as well as looking at a certain set of products which can go into the Tier 2-3 cities and the rural markets . Normally , it takes anywhere around 90 days to 120 days for us to be able to launch a relationship end -to-end in terms of integration , in terms of product training , in terms of resourcing on the ground , and we have been fairly successful in terms of on -boarding new partners . So, you should see us active in terms of logins fairly quickly on this . Even as we speak , internally , we have already aligned a fresh vertical which will handle this particula r relationship , and we should start seeing the business soon .
Vibha Padalkar: I want to add one more point , and that is HDFC Bank is also tied up with them . So, down the line when HDFC Bank becomes our parent promoter , there can be a lot more of integrated working and integrated offering . And these are two independent tie ups, and so we look forward to that .

Second point I want to make here is that persistency is robust . So, what we have struggled typically in smaller towns is one is reach , how do you get to them ? And second is quality of business . So, what we feel very enthused is the very good work and the traction that has been seen. So, you know , we intend to be able to grow quite meaningfully into Tier2-Tier 3 towns.
Moderator: Thank you. We will take the next question from the line of Madhukar Ladha from Elara Capital. Please go ahead.
Madhukar Ladha: Thank you for taking my question . Most of my questions have been answered . Just a clarification . You mentioned 46 to 48 % of the business comes from HDFC Bank . Now does that also include the group side of the business or this is only individual ?
Vibha Padalkar: Only individual .
Madhukar Ladha: And on the group side, how much comes from HDFC Bank ?
Vibha Padalkar: It's relatively very small . Like Suresh mentioned , all HDFC entities put together , which is HDFC Limited , HDFC Bank and HDB is about 30 %.
Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kota k. Please go ahead .
Nischint Chawathe: Vibha, you mentioned that , you are looking at margin neutrality over the next 12 months . But if I look at the data today , you are almost there , right ? So, I wonder why it would take another four quarters or so for you to achieve margin neutrality .
Vibha Padalkar: So, you are right . I think the more likely scenario is faster . However , Nischint, you will agree that now it is truly a part of us . While we are very , very happy that our key distributors have migrated to us , key employees hav

e migrated to us and so on , but we are just a little bit cautious that post some of these , the migration , golden handcuff and so on ; we want to see that stability .
So, we will have a better sense certainly , and we will give you an update when we connect in Jan.
Nischint Chawathe: Because whatever could have , I mean , you know it's been almost four quarters , right ? So, whatever had to go out could have gone out already , I mean .

Vibha Padalkar: No, no, Nischint, absolutely not , because we didn't tamper with their model at all . The last thing we wanted to do is start meddling into their model . Of course , we had our HDFC Life person there oversight was certainly there . Their Board comprised of members from our Board , but the business model on the ground was as is . So, now we are , for example , having an overlay of say persistency .

Niraj mentioned about it, and it's also known that they have lower levels of persistency . So, we are now mandating to say at least above a certain t icket size , please have a SI/ECS mandate ,

standing instruction , like it is in HDFC Life. So, this is one example . Like that, there could be several other examples , wherein there is an HDFC Life rigour, governance and so on , which we stayed away from largely up till now. Branch reductions will happen . A technology revamp will happen . In products , today they have from day one most of our marquee products , we will also have theirs . How is that panning out , you know , and so on . So, we will also move into other geographies .

So, the whole point of this acquisition was not just to acquire it and have a 1.2 % or 1.3 % increase in market share . We will be investing in new geographies because they are strong typically in the south . But we are expanding into Tier2 and 3 cities and replicating that model into especially West and North . So, that will require , investments , all of that is factored in here . So, there is nothing that we know that we are not telling you , but it's just that for us to really invest in the Exide Life formula and grow it and invest in it, just little bit of caution in terms of margin neutrality . Yes, it could happen a quarter or so earlier .

Moderator: Thank you. We will take the next question from the line of Deepika Mundra from JPMorgan . Please go ahead .

Deepika Mundra: Thanks for taking my question . Just again on HDFC Bank , post the bank becomes the parent , how you foresee the visibility on , better alignment given that some of the other competitors within the channel , of course , are selling very attractively priced products it seems . Given the growth that we are seeing in HDFC Life versus some of these ?

Vibha Padalkar: So, Deepika , this is not the only the first one , in terms of open architecture and how do they handle . We are in many , many open architecture situations , and the senior management of those banks have a rough way of how they are allocating the shares between their insurance partners while at the same time , of course , giving the customers a choice . So, if other banks are also doing it and all the various partners that we work with , HDFC Bank would . There are various levers of doing it and that's what you will see happen . It's not only a product thing . There are also many white spaces that today nobody is doing .

Obviously , I don't want to talk about those white spaces , but they are there , and those conversations have already been had with the Bank . So, you will see some of that happening . Also ultimately , Bank is going to be our promoter and so governance , risk management , all of that, Bank will partake in those aspects . And also, it is not a surprise that no bank today that holds more than 50 % has embraced open architecture . So, HDFC Bank also understa

nds that .

While they are not going to roll back on open architecture , but there is a reason why apart from HDFC Bank , there is no large bank in India today that has opened up . So, clearly , there is a balance between three things . One is open architecture accretion , second being a parent of that entity , and hence all the risks and rewards being aligned and third is that at the same time giving customer a choice . So, all those conversations are had, and they are completely aligned on those .

Sure sh Badami: Just to add, Deepika, so many of our products have clearly a much stronger value proposition both from the brand , servicing , claim settlement and overall technology perspective . So, given the customer profile , given the segments we operate in , I think there is a significant upside even in terms of the product value proposition .

Vibha Padalkar: I also want to add to what Suresh is saying . So, hypothetically , what you is saying is that if somebody has a much cheaper product , then, you know , in the open architecture , then that's where business goes to . By that logic , with an aggregator , for example , we would not be able to sell even a single policy , because we are rarely the cheapest , but we do . And we have enjoyed share of anything between 20 % to 25 % and same in term . So, it goes beyond pricing especially when you are buying protection , especially when you are buying long-term larger ticket savings . So, it's holistically in terms of the experience , the brand , are you in the zone in terms of pricing , what is your track record on claims settlement , servicing , you know entire thing . So, while it's made out to be about price , it is a full package . So the bank also as a promoter would be very cognizant that it's an entire package , and so there is alignment .

Moderator: Thank you. Ladies and gentlemen, we will take the last question f rom the line of Anand Bhavnani from White Oak Capital . Please go ahead .
Anand Bhavnani: Thank you for the opportunity . The theme that we are seeing as an industry wide phenomenon about protection is that despite low penetration levels , periodically , there is bounce of de-growth and it doesn't sustain secular growth . As an industry , is there a kind of campaign required like you've seen in case of mutual funds, there is a consistent , high decibel campaign by the industry ? Do you think , there is a change in approach needed by the industry ? Maybe campaign is one of the options , but any other option do you think that industr y as a whole could do, needs to do for this to not happen on a recurrent basis ?
Vibha Padalkar: So, Anand, maybe you have not seen some of those campaigns . So, we have had 'Sabse Pehle Life Insurance '. So, that campaign again will take off. You will see some more visibility on that, but ultimately , anywhere in the world , people are not going to wake up and buy insurance . You do require that nudge. You do require a little bit of prod. Just comparison versus some of the other sectors might not really work . That's why I am a great proponent that some level of hand holding of all our channels . That's why there is a place under the sun for all our channels to evangelize the need for life insurance . You know , even credit life was hardly prevalent , and with a CAGR of about 15 to 18 % growth in retail credit off take , now credit life has come into its own. So, it takes time , and it will happen. I have no doubt in my mind ; especially younger population will continue to be interested in buying this . And also, it's easier for them in terms of light-touch underwriting .
We do have a portal . If you have not seen it , please do check, it's called KlarifyLife . And you know , it is to engage with younger people to say it's not so complex . D

on't buy it if you don't have XYZ situations in your family , but to have an honest conversation on what pure term is . At

the same time , it will take time like I said, for it to percolate , for the need for it , but I have no doubt in my mind that all things being equal on this reinsurance , COV ID and so on , it should grow faster than overall industry level growth .
Anand Bhavnani: I have one data keeping question, if I may.
Vibha Padalkar: Please go ahead.
Anand Bhavnani: So, if I w ere to look at the persistency numbers , we have two different numbers given in the disclosure . One is in the IRDA I format which is on the page 10 of the PDF uploaded on the exchange , whereby I see the 61st month persistency has fallen year-on-year, and some bit even sequentially as well , whereas in the presentation on slide 6, we see year-on-year persistenc y is higher , and it's different . So, I presume the methodologies are different in these places . Can you please explain this?
Vibha Padalkar: Anand , it is because of the merge r. One is a merge d number .
Anand Bhavnani: So, fine. The first one in the IRDA format it's completely merged , and the second one is pre-merger comparison.
Vibha Padalkar: The higher number is pre-merger .
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments.
Vibha Padalkar: Thank you everyone for joining the call today . I wish everyone a Happy Diwali . Thank you. Take care.

Call: Jan 2023

January 30, 2023

Ref. No: HDFC Life/CA/2022■23/88
Listing Department Listing Department National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra■Kurla Complex, Dalal Street,
Bandra (East), Fort, Mumbai■ 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE
BS E Security Code: 5407 77

Dear Sir / Madam, Sub: Transcript of earnings conference call for the quarter a nd nine months ended December 31, 2022

We wish to inform you that pursuant to Regulation 30 of the SEB I (Listing Obligations and Disclosure Requirements) Regulations, 2015, p lease find enclosed transcrip t of the earnings conference call with analysts and investors held on Friday, January 20, 2023, to dis cuss the financial results of the Company for the quarter and nine month s ended December 31, 2022.

The said transcript has been hosted on the Company's website at https://www.hdfclife.com/about■us/investor■relations .
This is for your information and appropriate dissemination.

Thanking you, For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. As above

"HDFC Life Insurance Company Limited
Q3 FY2023 Earnings Conference Call"
January 20, 202 3

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY23 Earnings Conference Call of HDFC Life Insurance Company Limited.
I now hand the conference over to Ms. Vibha Padalkar, MD and CEO of HDFC Life Insurance.
Thank you and over to you, ma'am.
Vibha Padalkar: Thank you, Rutuja. Good afternoon everyone. Thank you for joining us for the discussion on our results for the nine months ended December 31st, 2022. Our results including the investor presentation, press release, and regulatory disclosures are already available on our website as well as t hat of the stock exchanges. I have with me Suresh Badami, Deputy Managing Director; Niraj Shah, CFO; Eshwari Murugan, our Appointed Actuary and Kunal Jain, from Investor Relations. I will take you through the key highlights of our 9M FY23 results and would be happy to take questions post that.
As you are aware, we have completed the merger of our subsidiary Exide Life in October 2022. Henceforth, we will be reporting only the merged numbers as our businesses are now fully enmeshed. The previous year numbers hence might not be strictly comparable.
While globally, headwinds persist from an economic perspective, India appears to be relatively better positioned. Insurance as a sector continues to be a beneficiary of a relatively robust economy, stable savings t rends and favourable regulatory regime. Against this backdrop, we continue to maintain a steady growth trajectory. In Q3, we grew by 17% in terms of Individual WRP, which is ahead of industry growth. On a YTD basis, we grew by 13% leading to a market share of 15.8% amongst private insurers. Despite intense competition, we have consistently been ranked amongst the top 3 life insurers across individual and group businesses.
Our product mix remains balanced with non -par savings at 39%, participating products at 29%,

ULIPs at 21%, individual protection at 4%, and annuity at 6% based on individual APE. Within the non -par segment, our shorter tenure product Sanchay FMP continues to do well and now forms about a sixth of this segment.

HDFC Life remains enthused over the protection opportunity in India, whilst balancing it with good risk management, in a holistic and calibrated manner. We maintained market leadership in credit life by delivering strong growth of 52%, across nearly 300 p artnerships. Whilst growth in retail protection remained tepid on a YoY basis, we saw sequential growth of 13% in Q3. Online search trends indicate that we continue to be amongst the top searched companies in our peer set. There has been normalisation of s earches for term as a category to pre -pandemic levels. We have taken several initiatives to improve customer convenience, such as development of an in-house automated underwriting engine, mobile cardiac assessment and med -tech solutions to measure heart r ate, BMI and other vitals, using video inputs from the customers' mobile devices. With a combination of data analytics, insights into customer profiles and calibrated risk retention, overall protection APE grew by over 20% in 9M FY23 and we expect individu al protection to continue picking up in the coming quarters.

On the retirement front, we have steadily gained market share in the annuity business. Our annuity business in 9M FY23 grew by 22% on received premium basis compared to a 1% growth for the indus try. APE growth is much higher at 68% due to a pickup in our regular premium annuity product - Systematic Retirement Plan.

Moving onto key financial and operating metrics:

We are on track to deliver margin neutrality for the combined entity for the year, having delivered a New Business Margin of 26.5%, similar to that in 9M FY22. The value of new business is Rs. 2,163 cr., implying a YoY growth of 22%.

Our embedded valu

e stood at 37,702 Crore as on Dec 31st, 2022, with an operating return on embedded valu e of 17.5% for 9M FY23. Profit after tax for 9M FY23 stood at Rs. 1,001 Crore, a robust YoY increase of 18%. The profit emergence continues to be aided by strong growth of 30% in backbook surplus.

Our Solvency ratio was 209% as on December 31, 2022. Renewa l collection trends continue to be healthy on the back of improving persistency. Our 13th and 61st month persistency for limited and regular pay policies stood at 87% and 52% respectively.

Next on channel performance:

Our bancassurance channel grew by 18% in 9M FY23 based on individual APE. We have started seeing the positive impact of a closer collaboration with HDFC Bank as the merger process progresses ahead steadily. We continue to see strong growth momentum across other valued relationships, with us e ither increasing or holding our counter shares.

Our distribution network has been growing with time, as we build newer, long -lasting partnerships. This quarter, we are pleased to announce our corporate agency partnership with AU Small Finance Bank. We bel ieve AU Small Finance Bank, with its vast presence and a customer base of more than 3 million customers, will further strengthen our efforts and contribute significantly towards financially securing a large number of individuals. We look forward to creatin g new milestones as we walk ahead together in this journey.

We continue to grow well across the board. All large channels other than HDFC Bank have recorded growth of over 20% on a YTD basis. We would like to take this opportunity to thank all our corporat e agents and bancassurance partners for their continued support.

Our agency channel clocked more than 2x company level growth in individual APE in 9M FY23. The share of the channel has increased from 14% to almost 18% in the merged entity. We continue to f ocus on improving activation and productivity across our base of financial consultants. We expect growth in this channel to be driven by deeper geographic and customer penetration.

We are happy to share that the post -merger integration and synergy realisa tion from the combined business is progressing as per plan. This has been demonstrated by achievement of margin neutrality during this period. The newly added distribution partners now have access to HDFC Life's products and digital capabilities.

Our subs idiary HDFC Pension Management Company's AUM doubled in less than 17 months to reach the Rs 40,000 Cr milestone on 2nd January, 2023. For 9MFY23, HDFC Pension has a

market share of 40%, up from 37% last year, with AUM growing by 63%.
We are pleased to anno unce that our subsidiary HDFC International has been granted the Certificate of Registration to set up a branch in GIFT City by the relevant regulator. The branch will commence business and operations on receiving other statutory licenses and approvals.
On to the tech front:
We have initiated a technology transformation exercise with the objective of building INtelligent Systems and Platforms for Insurance REimagination, christened INSPIRE, to aid scale up of our business.
A new age enterprise and data arch itecture will be built to enhance our go -to-market capabilities and also improve the overall customer experience going forward.
Moving on to Regulations:
There are many regulatory changes proposed by IRDAI that are aimed at increasing insurance penetratio n and facilitating sustainable growth of the industry and ease of doing business.
We welcome the relaxations provided by our regulator with respect to allowing certain categories of products to be launched through the use and file approach, relaxation in solvency requirement for ULIPs, dematerialisation of insurance policies and allowing insurance companies to raise alternative investments like subordinated debt and preference s

hares without
seeking prior approval of the regulator. Further, the IRDAI is al so examining implementation of risk based solvency approach. We believe that this will benefit the sector by not just freeing up excess capital deployed but also ensure capital required is in line with the risk on the balance sheet.
We also welcome the cha nges recommended by Ministry of Finance including composite license and permission to distribute other financial services products. We believe that such changes can further the overall development of the sector.
To conclude, we remain enthused with the gro wth potential of the sector and are committed to increasing insurance penetration in a meaningful way.
The detailed disclosure on our results is available in our investor presentation. We are happy to take questions now.

Moderator: The first question is from the line of Suresh Ganapathy from Macquarie Capital. Please go ahead.
Suresh Ganapathy: So 2-3 questions I had. First, all these guaranteed return policies that you have been selling, can you let me know as a percentage of policyholders' A UM, what would be the outstanding number?
Vibha Padalkar: Niraj, do you want to take this?
Niraj Shah: So, this would be about 15 -odd percent at an overall level.
Suresh Ganapathy: Overall AUM ? Policyholder s' AUM you mean?
Niraj Shah: Yes. So that's about INR 2,40,000 crores. So, the total amount will be in the 12 to 14% range. But I don't know if that's the way you want to really look at it .
Suresh Ganapathy: Niraj, the context in which I'm asking this question is one of your c ompetitors is at 3%, but the number is hugely different . More than 5x the number that you' re talking about. So, I know of - course that things could change, but are you pretty confident about the fact that the interest rate risk is reasonably managed here?
Niraj Shah: Yes. So, the way to look at it is in terms of the scale at which you're operating when you started the segment and also how you're managing the risk in the particular segment. In fact, we don't even look at it in terms of total AUM. We basically look at i t in terms of the various categories and how are we managing the risk on each of the se categories.
Are we comfortable with the level at which we're operating? The answer is yes, because we are using the required he dging mechanisms to manage the risk in th at and managing the spreads by being fairly disciplined in the market in terms of repricing. So, all the fundamentals are there in place from that perspective. It really depends on at what point in time, you started the business and we're not even sure how some of the folks are tracking it.
A lot of it also has to do with the annuity business, which is single premium, and a part of this. Risk management is very, very different. On the group side also, there will be certain products. All of this forms part o f that base. So, I think it's better to kind of look at it in isolation in terms of each of the categories and how the risk is getting managed there.
Vibha Padalkar: Another point to add here is that if you look at Slide 23 of our investor presentation, we 've given sensitivity to interest rate changes. And for quite some time, ever since we launched this category, we have been giving sensitivity of just this category to inter est rate changes as well. So, that is really what is important as against what it is as an overall % of AUM . The overall % is relevant if it is an entirely unhedged or largely unhedged position.
Suresh Ganapathy: Anecdotal evidence has revealed that Sanchay Plus has done very well this quarter. As a

proportion of overall premiums, how mu ch would be Sanchay Plus with in individual APE, if you can give that number?

Niraj Shah: So overal

l, Sanchay Plus and Sanchay FMP put together is about 39% for the period. Vibha mentioned that Sanchay FMP is about 1/6th of that overall business . So, Sanchay Plus would be about early 30s and t he rest of it would be Sanchay FMP.
Suresh Ganapathy: For the third quarter, you mean?
Niraj Shah: No, I'm talking about for the period of 9 months.
Vibha Padalkar: Also within Sanchay Plus, there are shorter end varian ts and longer end varian ts and so on. And of course, 1/6th of the business is Sanchay FMP . The balance also is various tenure s.
Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.
Swarnabh Mukherjee: So two quest ions. First on the margin side. So, if I look at the product mix , the quality of the mix has not significantly changed. I think the share of higher margin products look fairly steady, and the mix in certain cases like non -par or individual protection, has gone up quite a bit. However, margins look fairly stable. It has not gone up to that extent in the way the mix ha s panned out. So just wanted to know, is there a factor of how the channel mix has played out in this, because I see that the broker channel ha s done quite well. Now how would the cost structure be in that and whether it is impacting the overall margin profile or not?
Just one addendum to that question was , for nine months we are at 26.5% in terms of VNB margin , and for full year, our guidance wa s a flattish structure of 27.4% odd. Last year Q4, we had a very spectacular performance in terms of margin. Are we confident of repeating that again this time , or would we be bringing the guidance down? So first question will be that.
Vibha Padalkar: Just to answer your last point, yes, we are reasonably confident of margin neutrality on a full - year basis versus last year. And just to clarify, this will be at an overall consolidated level.
Niraj, do you want to take the question on the waterf all?
Niraj Shah: Yes. So , the margin expansion that you see and are referring to is the function of a couple of things. On the product mix side, you've seen that unit -linked mix for the period has dipped significantly from 26% last year to 21%. That has been replaced largely by the non -par business on the individual side. Also, there is a significant shift in the annuity business, as you can see. Between both individual and gro up annuity, the mix was about 5 to 6% last year. It's moved to 8% and so that's a very significant shift. Also in other group businesses, the fund business, which is a low -margin business has dipped significantly and the credit life business has grown at over 50% for the nine -month period.
So there is a significant upgrade really in terms of the product mix that has happened apart from the usual elements on the expense side . You see a negative there that is a function of a couple of things. One is in terms of reflecting in the overall business now, including Exide Life, which was oper ating at a certain scale. As Vibha did mention that all of this gets subsumed in the margin neutrality objective that we have for the rest of the year.

Swarnabh Mukherjee: Sure. If you are even comparing nine -month to nine -month, the thing that I wanted to ask was that the product mix has evolved to be a higher mix of better margin products, but despite that, the margin doesn't look like it has gone up that much. So, that's what my query was. Is it a function of cost only or anything else to look into that?
Niraj Shah: No. So, the number that we're talking about , 26.5% , is for the period of nine-months is including Exide Life. And if you recollect, in the previous period, for the six -months, we had reported standalone margins for Exide Life and for HDFC Life . The Exide Life margins , if you remember were in single digits, so that obviously will have

an impact in terms of the overall number. And that's the reason why we talked about margin neutrality in the first place when we announced our transaction. And soo n after that, we basically said the first objective is to obviously preserve the business and to achieve margin neutrality, which we have achieved in this period.
Vibha Padalkar: In fact, just to add here, we said margin neutrality will take about a year a nd we have managed to advance it by about nine months. So hypothetically, if we were to deconstruct before and after the merger, then HDFC Life margin has gone up and was then offset by Exide Life margins. But even there, synergy extractions are happening as we speak and that's why we have been able to deliver margin neutrality sooner than what we had thought would be possible.

Swarnabh Mukherjee: Also, if you could give some comments on two product segments, one is individual protection and the other is group annuity? On these two categories, if y ou could share some comments on the growth. F or example, in individual protection, what kind of products and channels are we tapping in to? Is it ROP or pure term ? In group annuity , have we got a sizable tender recen tly, which has helped the book?

Vibha Padalkar: Yes, individual protection continues to trend upwards. So sequentially, we have grown about 13%. NOP s also continue to move upwards. However, there is a growth in ticket size also for it to make a difference . All the headwinds that we've talked about in the past about medicals and so on have also made a difference . And then if you have 10 minutes with the prospective customer, so you focus on what are you likely to sell and the surety of being able to convert and so on . While there is a need -based assessment , at the same time, reality is that for protection, a customer would have to be a little bit more patient and go through the whole process , especially if they are slightly of an older age.

So, yo u're seeing all of that. But what we are fairly happy about now is that the reinsurer arrangement is now back in the spirit of partnership again . There is learning from both ends. Some of the things that perhaps were difficult for us to reinsure, now there are conversations that are happening. So in that sense, in terms of supply side stability, that has happened. Second is we have raised INR 2,000 crores of capital. So with the use of analytics, we are seeing, if there are certain lives w hich we can take o n our books. Thirdly, what we're seeing is in terms of digital , in terms of improving our journeys as well as through our partnerships and product innovation, how do we continue to make inroads into protection.

Suresh, do you want to add anything on this?

Suresh Badami: I think Vibha covered it, but just to add, we did launch ‘C2P Super ’ product this year. It has got us good traction across a lot of our partners. Based on this diversification and a lot of analysis in terms of the risk and analytics an d which segment we want to play in, we are slowly increasing our focus in terms of growing the retail protection.

Of course, having mentioned that , we continue to ensure that on an overall basis, we are agnostic to both the retail as well as credit life pr otection, which has grown for us at 52% . This allows us to play very sensibly in terms of the overall risk that we're taking on the retail protection. There has been a little bit of a muted response on the customer s entiment and the overall demand is low i n the market. But having said that, HDFC Life remains one of the topmost searched names in terms of Google searches.

So, we do have a brand presence. Our product has had a great presence across some of our key web aggregator platforms, as well as our chann el partners. We have received fairly good response, and we believe in Quarter 4 ,

we will continue to show the sequential progress which is there. Similarly, on group annuity, I think we have a very strong presence and a large market share. And that segment has grown significantly by almost 50% plus in terms of growth. So that remains . We had mentioned earlier that is a key focus area for us. 56% actually is the growth that we have seen over last year. And that's the number that we will continue to focus on. There, again, we see a large opportunity. In fact, it's not just on group annuity, we are seeing how we can scale up given the open market opportunity on the annuity business. So the overall annuity opportunity also remains fairly large for us.

So, with a combination of product features, we are looking at some other products which can get launched in this. Ev en in the term product, we are now looking at how we look at products, which can probably cater to the higher ticket size and look at how we price. And if you were to look over the last few quarters, we've priced our term product very sensibly as compared to what kind of risk that we want to take and we will continue doing that over the next few quarters.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: Congratulations on a good set of numbers. Fir st, I remember there has been some commentary around high competitive intensity and there has been some share loss in the HDFC Bank channel as well as a result of that. So, can you update us on that part of the business? How is that moving? Are we gaining share again there?

Second, there is a negative variance due to low fixed cost absorption of about INR 150 crores. Is it more to do with Exide Life, and can you explain why this has arisen? And how do we see this moving?

And finally, looking at business fro m the agency channel, Q -o-Q, there seems to be some drop over there. So, what is exactly happening? I thought that the third quarter would be even stronger .

Now we've got more Exide Life agents also. So if you could update us on how that integration has pr ogressed? How many of the agents have we been able to retain? Some color around that?
Vibha Padalkar: Yes. Madhukar, I'll start off with HDFC Bank, hand over the fixed cost question to Niraj and then agency channel question to Suresh. On HDFC Bank, we're w orking very closely together, right from senior leadership all the way down to folks at their branches and you will start seeing uplift. We've already started seeing that in some of the branches and some of the geographies where we were lagging. Also, what is noteworthy is that topline is also a function of what kind of risks one is willing to take on one's balance sheet, what kind of risk one reinsures and retains, and at what margins. So, H DFC Bank certainly understands those nuances. And what I can say is that there is a concerted focus on how the counter share can move upwards and stabilize. So, you'll see more of that happening. As the date of culmination of merger starts coming closer, you will certainly start seeing more of that.
What is noteworthy is that even ex -HDFC Bank, we have grown about 2 -2.5x market growth. And that is really what is important and this is nothing new because this is one of our stated objectives of having a balanced distribution mix. And that has helped us in good stead, whether it is winning new partnerships like AU Small Finance Bank or last quarter, when we won India Post Payments Bank and so on. So, we'll continue to do that. And while Suresh will handle this later, but just top of the mind recall, agency channel has actually gone up in share from 14% to 18%. So, I'm not very sure and maybe we can take it offline as to where you're getting the numbers from.
But I'll hand it over to Niraj on the fixed cost absorption question.
Madhukar Ladha

: I'm calculating quarter -over-quarter. So Q3 over Q2 of FY '23, if I back calculate, if I subtract the numbers, then that's what I'm getting. Maybe yes, we can also take it offline.
Suresh Badami: No, o ur Q3 growth over Q2 growth has been higher in agency. So, I'm not sure which number you are referring to, but effectively, we'll ask the IR team to give you the specific numbers. But the growth has been stronger in Q3 in Agency. In fact, we have had a ver y good Q3 in Agency. And like Vibha mentioned that the proprietary channel growth and other than HDFC Bank also has shown tremendous growth for us.
Madhukar Ladha: Ok, got it. And the INR 150 crores question .
Niraj Shah: Yes. So in terms of cost absorptio n, you're right. Basically, what you see here is a combination of two things. One is, of course, the difference in the operating expense ratio of Exide Life and HDFC Life. So, that is something that you see here as a significant component of the expense impact.
The second bit is reflecting the market realities of increasing cost of acquisition in the open architecture environment. So that is both in terms of individual business, as well as the high growth in group credit life business. So it's a combination of both of these. And as we discussed,

the first objective, from the Exide Life integration was to absorb the business appropriately and then get to margin neutrality. We've done that. As we do this, we continue to focus on synergy realization in terms of infrastructure, in terms of all other expenses, as well as in terms of how to effectively deploy the manpower that we have from there.
So all of these things are something that you will see regular updates on from our end, but largely, it will get reflec ted in terms of how the margin expansion starts to happen once the consolidation is done.
Moderator: The next question is from the line of Ansuman Deb from ICICI Securities.
Ansuman Deb: If I look at a quarter -on-quarter VNB margin and if I assume Exide L ife is at 8% margin, I know it is an assumption ; apart from the standalone margin and the Exide Life margin, is there a negative ad justment to that because of the acquisition? Otherwise, it looks like the standalone margin could have been lower on a quarter -on-quarter basis, if I assume 8% margin for Exide Life?
Vibha Padalkar: No. I think 8% margin is now very difficult because we've moved towards seasonality and especially for smaller companies, Q3 is a very big quarter. So that assumption itself pe rhaps is not quite right. And also if you look at the combined number of branches and so on , an easing - off of those , some of that infrastructure has already started happening.
Eshwari, do you want to add anything?
Eshwari Murugan: Yes. Just to add, the combined margin for H1 was 26.2 %, and now it is 26.5%. So all the components of the margin on a merged entity basis have increased in this quarter.
Ansuman Deb: I was just saying because it was, I think, Q2 standalone would have been somewhere in the range of 28%. So , it might have been because of the seasonality that you are referring. It looks like

there has been a decline , if I assume the margin, obviously that's an assumption.
Niraj Shah: So if you recollect, in H1, we had reported 26.2% on a combined basi s versus 26.4% H1 last year on a standalone basis. There was a 20-basis points gap, which we said we will attempt to bridge over the rest of the year. And in nine -months, we've done that with 26.5% versus 26.5% last year.
Ansuman Deb: The second question t hat I have is on the composite license. And I remember in one of our annual reports also, we mentioned how we were eager to exploit that opportunity. So any thoughts on the opportunity to sell health insurance?
Vibha Padalkar: So, this is no surprise because HDFC Life has been spearheading

this opportunity, not really to
redistribute the pie with standalone health insurers or the general insurers. It is more in terms of how do we expand the pie keeping in mind customer incentive s, rather than asking the customer to go to different types of insurers for fulfilling different covers that they need. That was the

intention. And so we've been at it at least for the last three years, and then a committee was formed as you would recall.
And I was part of this committee, a report was submitted over 18 months ago. Thereafter, there were eight committees formed under the new IRDAI Chairman of which ‘Development and Penetration Committee ’ was chaired by HDFC Life. And in that report, we did p ut the suggestion of composite license, a suggestion of being allowed health indemnity from a product innovation point of view and increasing insurance penetration as an objective.
So, we remain committed on that and I'm sure all my peers will also be. So it's more in the spirit of joining hands to see how we can deliver more insurance to people and that is the need of the hour.
Moderator: The next question is from the line of Avinash Singh from Emkay Global.
Avinash Singh: A couple of qu estions. First, on distribution , we see direct share reducing. Of course, some part of it could be explained by Exide merger that could have a slowdown in Direct channel . But if it's also to do something with any struggle on retail protection overall and also ULIP sales bei ng tapered, because I would assume these two products to be having higher share in Direct channel . So, that's number one.
Second , on this back book surplus generation. Yes, I mean versus INR 23 billion last year , INR 30 billion looks a good number. But we also need to see in the context that your last year INR 23 billion would have a material impact from COVID Delta wave. So if we were to see the COVID loss or excess death claims, then back book surplus growth looks a bit muted. So any clarity on that? Thes e are my two questions.
Suresh Badami: Yes. So look 2-3 things on Direct channel . I think one, of course, there has been a little bit of a slowdown due to lower branch walk -ins and online business also has seen lower traffic. But I think, primarily, we hav e been focusing on the quality of business in Direct channel . So 2-3 things have happened. One, we have tried to see which segment and what ticket size we want to play in, to make sure that the persistency as well as the product mix improves in Direct. So that has ensured that we bring the margins up in Direct and led to a lower number of NOPs and growth. And it has been a stated strategy by us.
Second, of course, is the fact that how we are looking at the Exide merger . We are trying to look at in terms of overall consolidation of the structures between both of them. So as that happens, the pickup in terms of numbers over next 2-3 quarters will start showing again. Some of it also has been a realignment. Some of these partners like Policybazaar and all have moved in from an Online -Direct kind of a web aggregator model to a Broking channel. So, that's how we are defining it.
But overall, given the expanding customer base, we are looking at a growth in Direct channel . And as we expand our branch network, the bigger advantage with Exide Life is that we are getting a significant number of new branches, especially in South and Tier 2 , Tier 3. So we

should be able to get what we call the branch channel to activate all over again in terms of growth. But really the flattening has been more in terms of quality of business and us exitin g a smaller ticket size in the Direct business over the last 2-3 quarters.
Avinash Singh: Quickly on this. So, on the branch thing, you are not looking to close down

or rationalize any
branches that you acquired from Exide?
Suresh Badami: No. So, there is obviously a lot of synergy that we will deliver . We will be able to create in terms of looking at how we map these through sets of branches. We have gone through a very detailed exercise as part of our integration work streams, where we have seen which are the branches.
So, for instance, HLIC has around 383 branches and ELIC had 204 branches . Combined, we had around 587 branches on the day of the merger. We will merge and close maybe around 140 of these branches. But the idea is not that we will shut down . We will look at how we can expand because the customer segment that we are able to service, as well as the employees who we need to place out of the existing branches has been completely mapped out.
So, we have looked at the infrastructure which is a vailable as a combined entity, where we believe that the ELI branches are better, our teams are moving in there. Where we believe the HLI branches are better, we are moving ELI team in there. And we believe where both the branches need an upgrade, we have kind of looked at a new location and made sure that we are servicing the customers, both from IRDA perspective as well as overall perspective.
And we will then look at newer locations that we can expand on. So, there is clearly a cost synergy that we can g et out of this , but that gives us the ability to invest in further branches in other towns that we want to get into.
Avinash Singh: Okay. And my question on th e back book surplus?
Eshwari Murugan : On the back book surplus, while, for YTD, it looks like 30 % is a low er number. However, if you look at the quarterly EB surplus , where the last 2-3 quarters didn't have any COVID impact, the growth is around 18%. So that is a steady -state growth that we expect on the E B surplus , around the range of 18 to 20% , without any one -off that may come through. And that is in line with what we expect the VIF to emerge given the profile of products that we h ave been selling in the last 4 -5 years.
Avinash Singh: Okay. So, 18 to 20 % kind of back book surplus growth ?
Eshwari Murugan : If you look at FY 21, which is pre -COVID , the E B surplus we generated i n just nine months is very close to that. So obviously, for the full year, it's going to be much higher than that.
Moderator: The nex t question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh Jain: Firstly, on protection, how are the trends in pure protection ex cluding ROP? What are the growth trends? And if you can share what is the share of ROP in the pure retail p rotection?

Vibha Padalkar: It's about in the region of 20% and doing well. But again, we're not going overboard on it. We've been selling it for quite some time now and we'll continue to do that wherever customer preference is for ROP.
Nidhesh Jain: And in pure protection, ex of ROP also, are we seeing growth? You mentioned 13% sequential growth on overall basis ? So, excluding ROP, what would be the growth Q -on-Q?
Niraj Shah: So, we don't necessarily track it that way . The way we see it , with a multiple o f 150 on ROP, that also is pure protection. So, whether it's limited pay, regular pay or ROP ; overall, this is the sequential growth that we are speaking about and we are kind of seeing that across the segments.
Our ROP proportion has been in the 15 -20% range for the past 2-3 quarters. So, it's not that segment has exploded in any big way. It is definitely becoming more meaningful but in a gradual manner. So this whole sequential growth that we're seeing is something that we are seeing across each of the categories.
Nidhesh Jain: And secondly, how much of our APE is coming from HDFC Bank for 9M and the Q3?
Niraj Shah: About 45% to 47% is coming from HDFC Bank.
Vibha Padalkar: In

the individual business.
Moderator: The next question is from the line o f Sanketh Godha from Spark Capital. Please go ahead.
Sanketh Godha: Vibha, you said in the call that we are closely collaborating with HDFC Bank. So, in that context, just wanted to understand that , last year, we paid around INR 1,130 crores as an advertis ement spend at HDFC Bank branches or ATMs. So, do we see this number to grow at a rate, which is substantially lower or in line with the APE growth, which was not the case in the last 4-5 years?
So just wanted to understand , could that potentially be a lever for margin expansion going ahead.
When you say closer collaboration, is it market share or cost? What exactly do you mean to say in that sense?
Vibha Padalkar: See, right now, given that the merger is yet to be consummated, it is still in terms of worki ng together but not into any deep strategic level conversations . When they become our Parent and sit at the Board level, they will strategize with us and so on. Those are conversations perhaps for another day.
Right now, it is more in terms of how does our counter share stabilize . This is because ultimately, when you're competing with unlisted players, topline is often a function of how much risk one is willing to underwrite, how strong one's underwriting practices are and at what cost. So, some

of that calibration is what I was referring to.
Other things in terms of what is the cost of business and so on, I think the very fact that no bank that holds more than 50% does not even have open architecture at all, forget abo ut even

commercials. So, I think those sorts of things are more strategic level discussions which will follow.
Suresh Badami: And some of these costs will also be based on how HDFC Bank expands . Their number of branches was going to increase by almost 700. We would want to make sure the visibility of our products is across all these branches. So, some of t hem will grow in tandem, and all said and done , it is a product which is fairly competitive and we need to ensure visibility across all the branches.
Sank eth Godha: But have you seen the market share at the counter increase since th e announcement of the merger has happened?
Vibha Padalkar: We are beginning to see in a lot of geographies.
Sanketh Godha: And second question is more on data keeping. So the ec onomic variance number of INR 1,160 odd crores, can you break it down into how much was driven by debt? And is there any impact of equity on the INR 1,160 odd crores?
Eshwari Murugan: This is mainly coming from the increase in the yield curve at the short er end. If you see the yield curve from one year to five years , it has increased in the range of 1% to 2.25% , average about 1.6%. And if you look at our sensitivities , for 1% increase in interest rates, the EV falls by around 2%.
So, i f you add the 1.6%, th e EV has fallen by 3 -odd percent, which is about INR 1,030 crores .
The balance is from the equity volatility because of lower equity returns during the nine months .
Due to this, we have negative impact of INR 125 crores. These are the two broad reasons for the negative investment variance .
Sanketh Godha: The reason I was asking this question is that we said at the start of this year that we are baking in lower unwind rate because we expect the equity returns to be lower. So, do we see a positive surprise? I s there any possibility, or will it remain the level that is expected today?
Eshwari Murugan : It's expected to remain at the current level because there is a lot of volatility. Only in Q3 , there is a small upside, but again, we see some stress.
Sanketh God ha: And last one from my side. Do you want to disclose the hedge coverage ratio which you might be calculating internally based on whatever the instruments you have like FRAs, some PPBs and in

ternal cash flows from the other product s?
So, if you want to put a number against the hedge coverage ratio against the likely cash flows, which you get in the guarantee d product, any number that you want to suggest on how is our hedge coverage ratio?
Niraj Shah: So, Sanketh, a couple of things here. One is basically there are two kinds of guaranteed products .
One is the single premium guarantee d products, which are basically duration -matched through

just matching the asset and liability duration. On the regular premium products, we said this is basically cash flow ma tching using three large areas. One is internal cash flows from lower duration liability products. Second is FR As. Third is partly paid bonds and then some sort of a G-Sec stripping.
So, these are 3-4 components that we use. We don't necessarily want to talk about each of the numbers because it's dynamic at the back end. We do take calls based on how the interest rates are moving and how the FRA spreads are moving in the market. And this multi -pronged strategy helps us do that from time to time. And through a combination of each of these, we want to stay as closely cash flow matched as possible.
Moderator: The next question is from the line of Nitin Jain, an Individual Investor.
Nitin Jain: You mention ed that company has achieved margin neutrality in the 9M FY23. So, will this continue going for the full year ? For FY 22, the VNB margins were north of 27% . Can we expect to maintain margin neutrality for the full year as well?
Vibha Padalkar: Yes. Based on trends that we're seeing right now, we don't see any significant threats to that , all things being equal on the economic front.
Nitin Jain: And this will be on a consolidated basis, right?
Vibha Padalkar: Yes.
Nitin Jain: And just a follow -up to that. A lthough the pre -merger numbers are not disclosed in the press

release, will it be possible to share the VNB margins pre -merger?
Vibha Padalkar: So, that's the point that I made in my comments that it's not that we have it and we're not disclosing it. Every thing is completely enmeshed. So, for example, it's not like that they had a broking business or they had some other business and we didn't have it. Whatever they had, we had.
Management teams are now all merged, the hierarchy has been collapsed, locations have been collapsed and like Niraj mentioned, branch rationalization has happened.
Even internally, now we call it Bangalore office and Mumbai office. There are people movements that are completely fungible. Even in senior executive management team, we have representation and so on. So, we just don't track that anymore.
Nitin Jain: So just in terms of qualitative comment, have you seen an increase in the pre -merger VNB margins Q -o-Q?
Vibha Padalkar: Definitely. Yes, absolutely. That's why our earlier estimates were that it would take earliest 12 months and maybe little bit more for us to get there. But we've been able to deliver this in a much earlier timeframe, almost three quarters earlier.

Moderator: The next ques tion is from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: First one on composite license. Just going back, which are the areas that you think you will show more priorities on? Will it be health insurance? Could there be organic or ino rganic options that you will look at, also M&A s? So, I just wanted to get a sense, do you think this opens up M&A not only for you, but maybe for the industry as well?
Vibha Padalkar: Yes. I think various permutations will emerge . I'm also of the belief th at it's not going to happen overnight. The reason I'm saying it is look at FDI today, people are allowed to invest up to 74% and we are far away from that. So just because there

is an enabling provision does not mean it will immediately happen. S ome of the se things are group -level decisions. There are capital allocations and t here are multiple companies in the group.
There are different valuations - cost, tax etc. Taxation aspects are very different and the horizon is very different for a life insurance company versus a general insurance company. The way we look at it is that let us see what are the contours of eventual regulations are and then we will see. Of course, we have done some homework, but it's not slam dunk. And also we don't have to be a manufact urer in every case. In some cases, we might just be a distributor. In something, we might have this as a rider. So, there are various aspects. Even today we have a combined product with HDFC ERGO, and that's doing well, which effectively enables us to dist ribute health protection cover for our customers and so on. So various models will emerge.
And actually, speaking with the regulator, that's also the intention, wherein what I understand is that you don't have to be a full bells and whistles insurer. You c ould be a specialized insurer only doing crop or only doing rural or only doing disability and so on, which might require lesser capital than the onerous capital requirements of a life insurer. So, we'll have to see.
But apart from composite, and this was also there in the development and penetration committee report also, that why not allow insurers to also distribute other products , each of those products which are, first of all, anyway, govern ed by our common regulator.
And secondly, if banks can distribute life insurance and general insurance, why can't we mobilize some of those other financial services products and be a distributor, especially in our branches, our feet on street, our direct channel, our online channel a nd so on. So, we would be equally enthused if some of that were to come through.
Shyam Srinivasan: And quickly sneaking in my second question. Deposit rates have seen a very sharp jump as banks have fallen over each other to raise rates. Despite that, non -par savings, even for the Q3 has been strong. So , are you seeing any early signs that as rates go up , there is pressure on your guaranteed income products? Have you responded by raising our own rates? What are the dynamics around this and maybe the path fo rward for these two asset classes?
Vibha Padalkar: I'll start off and Suresh, you can add. So , like we mentioned last quarter when there was a lot of question in terms of what's going to happen because of deposit mobilization and we put the

numbers into pe rspective . Life insurance premium is less than 2% in terms of new mobilization and about 0.2% to 0.3% if you include the back book of banks. So that is number one. Number two is that these non -par ‘Sanchay Plus ’ category products, which in a way now has be en born ; has caught the imagination of people and how they are able to do asset allocation in terms of

their savings.
Some portion might be for liquidity purposes in bank fixed deposit. At the same time, this is a lifelong guarantee or some other forms of longer -term guarantee, which they also want. So it's not really fungible as such. And that's exactly what panned out, not only for us but for the sector also. There is no real big-ticket impact or dent because of this drive towards deposit mobilization.
Suresh Badami: I mean, Vibha covered it . Frankly, this segment on the non -par side has almost grown by some 60-67% for the industry. So it's really created a segment by itself and it's a question of asset allocation into this. In fact, we are fairly agile in terms of our pricing. It need not necessarily be that we need to increase. Right now, we've actually brought a little bit of a reduction to maintain profitability of this particular segment.

And we do believe over a period of time, we will probabl y see the industry following this. So it's not that we need to compete with deposits. I think this has a space for itself, and we will do it with the independent pricing to make sure that this segment remains profitable for us.
Moderator: The next questio n is from the line of Supratim Datta from Ambit Capital.
Supratim Datta: So, I will just continue from where the last participant left off . So typically, with the yield curve flattening, the profitability of guaranteed products reduced. So just wanted to u nderstand that what needs to be the spread between the short -term and long -term yield for this product to remain viable?
Niraj Shah: Yes. So, I think that's one factor which you can't control in terms of the slope of the yield curve. So, what you have to d o is some of what Suresh mentioned and what we've been talking about in terms of being disciplined in terms of pricing. Whether it's the annuity product or the regular premium guarantee d product, you largely, first of all, ensure that your risk management is appropriate , be it in terms of matching your cash flows, especially for the regular premium products and duration match for the single premium products . That's something that's top priority. Then you figure out what kind of credit risk you're willing to take to try and get the yield pickup. Within tolerance, you do that to try and get the maximum yield that you can out of the assets that match the liability.
Then you figure out what's the kind of a competitive landscape that is around to be able to not be the highest rate, but at least be in the vicinity. And then, of course, you have your margin profile in mind and all of these things need to be considered to be able to manage the profitability.
So when we launched the product, we had a fairly steep yi eld curve, as you know, about 3.5 years back and today, we have a flattish yield curve. But we've been able to manage our spreads

broadly given the pricing discipline that we followed in terms of both the annuity as well as the non-par savings products.
Moderator: The next question is from the line of Abhishek Singhal from Naredi Investments.
Abhishek Singhal : Thanks for taking the question. Has the company got permission to do health business, if you have got it, should you do some business now ? Will healt h insurance plan be from a third party?
And second and last question, HDFC Bank is opening branches aggressively , when will the effect on the insurance premium start?
Vibha Padalkar: On the first part, like I mentioned to one of the earlier callers, right now the extant regulations do not permit us to seek or file any license to do health indemnity. So , we will have to wait based on what the finance ministry says, in what form or shape we see final light of day on composite license , health and so on. So , we'll have to wait for some time.
What I did allude to earlier was that we continue to remain interested in being able to incorporate some of these things that we are not allowed to do today . Having features within our product so that we can have product innovation and not have these artificial constructs as to where does the life company start, where does the general company start, whe re is the stand -alone health, where is pension and so on because we have to keep customer in center of what we do.
Ease of giving solutions to some of the risks being faced by the common person, I think , is really what all of us should be focused on. So , we will wait and see, and we will hopefully have some clarity towards the end of this financial year.
On your second point on HDFC Bank opening up new branches, while they are opening, and we are certainly there in the new branches, new branches do take some time because they're fledgling branches and often s

tart with a very small area. It is stabilizing in terms of their banking activities and it takes a good 2 -3 years before it starts focusing on distributing third -party products. But we are there in most of the branches. You will s tart seeing some of the uptick, like I mentioned to you, over the next 6 to 12 months in terms of closer working with the bank and that stabilizing.

Moderator: The next question is from the line of Atul Mehra from Motilal Oswal Asset Management.
Atul Mehra : In terms of the compos ite license, as and when hypothetically it goes through, would there be merit in one mega organization of HDFC, basically the general insurance business and the life insurance business coming together? And do you see like the two co mpanies coming together then and creating one large insurance company for all the needs? Do you see merit in that or you believe it would perhaps do better individually?
Vibha Padalkar: So, we have this model across the world and even where this is a possi bility, both models exist. There are some groups that have composites, some groups that are bespoke only for one or the other. There are merits and pros and cons in both. Obviously, the merits would be that you would require lesser overhead, you would prob ably be able to have better end -to-end view of your

customers. Your customer doesn't have to go elsewhere for their insurance needs . You can upsell, cross -sell, you know all of those things.
And some of the negatives could be that these are very different products, especia lly when you're looking at crop, motor and P&C. There could be different capital requirements, investment horizon and outlook could be very different, taxation could be different and so on. So , these are really for shareholders to take a view on and more a strategy level call rather than an operating company level call.
Moderator : The next question is from the line of Bhavya Sanghvi from Fortress Group.
Bhavya Sanghvi: My question has been answered. I'd just like to get some data points for bookkeeping. Could you just give us the data for HDFC Bank's counter share within individual business o ver the past few years, like FY 20, FY21 and FY22 year end on channel mix?
Vibha Padalkar: See, we are not giving specifics of counter share be cause if you were to look at counter share of value of new business, it's a very different outcome. If you look at counter share of what is the risk on the balance sheet, these are very different outcomes and so on.
I think what is important is that our g rowth in Q3, for example, has been faster than industry level growth, regardless of any counter shares or regardless of any of the other dynamics of open architecture that we drive in , and ability to attract new partners. So just defocusing on just one relationship of any kind has been our core stated strategy, and that has stood us in good stead time and again.
Moderator : The next question is from the line of Pallavi Deshpande from Sameeksha Capital.
Pallavi Deshpande: So, I think in the previous answer, y ou alluded to the fixed cost absorption being actually a split between the higher cost of acquisition and Exide Life business. If you could just give us a sense of split between the two ? Also on the cost of customer acquisition, which channel would that be?
Niraj Shah: Yes. So , you could take it as broadly half and half . Directionally, you could take it as that. And we did mention to you in terms of our plans to get the synergy realization out of the combined business now. That is something that you heard. We've already started delivering on that. Margin neutrality is the first proof of that, and we'll see expansion as we go forward.
As far as cost of acquisition going up, that's something that is happening across the board, largely in corporate distribution with open architect

ure . That's something that we've seen in all our relationships . That's something that we are seeing across the board in terms of increasing cost of acquisition, in terms of partners, as well as in terms of expansion, putting in more manpower.
We're acquiring new distribution with companies such as India Post Payments Bank last quarter and more recently, AU Small Finance Bank. We've s caled up our partnerships with Yes Bank, IDFC, Saraswat, as well as Bandhan Bank in a very big way. All of that requires a fair bit of

investment and that is something that we would expect to continue. Of course, we will try and get synergies out of any fi xed cost absorption that will come out of our proprietary distribution. That's the reason we want to continue growing that to get more fixed cost leverage.
But as far as corporate distribution is concerned, we do see this investment continuing as we go forward. And our margin realization, VNB growth as well as cash generation through PAT is something that would happen after absorbing all of that.
Pallavi Deshpande: So the fixed cost absorption of Exide , is that over? Do you expect to see more impact of tha t in the fourth quarter?
Niraj Shah: No, that's something that is baked in. We will obviously keep chipping away at that as we go forward.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS India.
Neeraj Toshniwal: So, I wanted some sense on life beyond FY2 3 post margin neutrality . How do we see APE, VNB growth ? Because we are seeing some green shoots in terms of HDFC Bank coming back , productivity improving, mix improving, protection will be coming back? So just wanted your sense, h ow we are factoring these in? What kind of growth can we give?
Vibha Padalkar: So, we should grow . We should be back on track to grow faster than th e industry. All our channels should do well. We have demonstrated that. I mentioned in the opening remarks about all our bancassurance partnerships doing very well and agency being 2x our company -level growth. So, we expect that trend to continue and also the distribution synergies to kick in with the merger, especially in some of the geographies, wherein we wer e not really focused on. So , that should come through. And also, in terms of profitability, we should continue to inch upwards and deliver VNB growth in the range of about 18 to 20%.
Neeraj Toshniwal: And anything on per sistency , given that we have been de livering improvement on per sistency for quite some time? On only ULIPs probably , we are lagging. And is EV on actuals right now or do we have some assumption change capacity bandwith available? How should one think about it?
Vibha Padalkar: So right now, we're tracking well. What is also noteworthy is that when we talked about margin neutrality, we have reached close to neutrality on 13 M persistency , despite Exide Life being much lower.
And as we write new business emanating out of distribution stren gth of Exide Life, we will put in a lot of rigo ur and you'll start seeing that new business delivering fairly decent levels of 13 - month persistency, inching upwards to ours.
Having said that, I think we are very enthused to be present meaningfully in the non-Tier 1 segment and the way we are going to be looking at it closely from next year onwards . Obviously,

we don't want to dilute the high -quality business that we have built in the Tier 1 segment. So , that is something we'll be monitoring separately.
But at the same time, in terms of mix, we will see some different level of persistency in Tier 2 and 3 because that is really the nature of that geography. With both the persistency and mortality, there will be a haircut to what you see in Tier 1 outcomes. S o, you'll see some of

that. And that's
how we are building our projections going forward.
Also, if you were to look at it, I just mentioned that we have tied up with AU Small Finance Bank, India Post Payments Bank and all of this is with a purpose . Apart from being great partners and franchises, those are the places that interest us, and you will see more penetration into those geographies. So , there will be a mix impact in a nutshell.
Neeraj Toshniwal: Last question, in terms of VNB triangulation . If I co mpare to stand -alone margin w alk last quarter , there have been 2 impacts in terms of both the product mix and the fixed cost that you all have talked about. Product mix also, I think we have done well. So how fast can we ramp up or have we categorized thes e 2? Which will ramp up faster in terms of movement given mix is improving? Any road map to that?
Niraj Shah: It will have to be a bit of both, really. No real clarity in terms of how much will be contributed by each of these . It would really depend in terms of what period of the year we're talking about. Both of these will be equally important as we go forward.
VNB growth is going to be a function of three things. It's going to be a function of the growth. We've already articula ted our aspiration to grow fast er than the sector . Inching up margins will come out of some of these shifts. From a medium - to long -term perspective, we know that protection will become a larger part of the business. Annuity is already scaling up. We'll co ntinue to do so as we go forward as well.
So, product mix shifts over a period of time will continue to be meaningful. And as we expand our proprietary distribution, operating leverage is also something that will be very meaningful as we go forward, apart from the shorter -term synergy realization from the combined business.
Moderator: The next question is from the line of Amit Jain from Axis Capital.
Amit Jain: So just wanted to check that in terms of HDFC Bank, so do you see any particular product segment, which is selling higher or is it uniform and how does that bear to other banca partners?
Suresh Badami : So there has been a little bit of a focus across most of our banca partners on the non -par segment. That has grown . Even if you were to look at it, that segment has grown in banks from almost 30% in FY21 to 38%, which is reflecting in our number also. The whole segment for the industry has grown by ~67%, whic h is our estimate.
Similarly, there has been growth in the annuity business also. So , these are actually f lavours of the year in terms of how the product is positioned. We will probably see some focus coming

back in terms of the retail term over the next o ne year. But clearly, we have always managed to maintain a balanced product mix. UL is the only segment in which we have been cautious, in terms of that it shouldn't go beyond a certain percentage.

I think we mentioned in earlier calls also that we want t o ensure that each of our channels is profitable, and we make sure that the product mix is appropriate to the channel to make sure that the channel by itself remains profitable. So, depending on how we want to push at HDFC Bank or agency channel or our oth er banca partners, we maintain th e mix across these channels.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: So, you mentioned in your opening remarks about approvals that you applied for opening the branch at GIFT City. Can you talk a little bit more about what sought of business would you look to build from there?

Suresh Badami : This is in the initial stages. We h ave opened a branch of our HDFC Life and Re subsidiary out of DIFC at the GIFT City. We have a distinct advantage in terms of being able to operate as a branch and in so me sense, a lead into the market. We

are evaluating our product strategy , but we are lo oking at dollar -denominated products, whether it's in terms of health, whether it's in terms of education or whether it's in terms of annuity. We have certain frameworks in mind, but we are still waiting for the overall guidelines to emerge from the regula tor there. Once the guidelines have fallen into place, we will confirm which products we would want to launch.

We are, in some sense, ready with our business plan and operating plan. But clearly, these are different segments and different markets. But it w ill be a huge opportunity for the NRI customers who can look at these products coming out of a brand like HDFC in India and also an opportunity for the Indians to be able to take dollar -denominated products for coverage of health and some of these educatio n-based products. So there are initial thoughts and concepts . Some of them we have firmed up . We are waiting for the overall clearances to come in and we should be quick to launch on this.

Madhukar Ladha: What's the expected timeline ? Who exactly is the re gulator in DIFC for insurance? And what would be the timeline for something like this?

Suresh Badami : So, timelines in some of this is not very easy to predict as such. The IFSC is regulated by IFSCA, which is a GIFT City unified regulator, which is there in place. We also have DFSA who manages our overall regulations for the Dubai subsidiary. We have recently got a certificate of registration, which has been set up by the IIO and the IFSC branch will be an IIO setup. This came in November. But some of the other regulations are expected to come in.

We will obviously wait for the product guidelines in terms of who will approve these products. But clearly, this will have to be first cleared by the IFSCA, here in India , in terms of what kind of products will we be allowed for us to sell.

Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: One question because the budget is around the c orner . There ha s been a lot of noise on both ends. If at all, life insurance maturity proceeds are to be brought under the ambit of taxes . If that happens then do you see the Non-par guaranteed products will remain viable to be sold profitably?

Vibha Padalkar: So Avinash, I think it's hypothetical and also given the need for actually having more tax benefits than lesser , just given that our insurance penetration has gone down than moving steadily upwards.

But hypothetica lly, if you're referring to 10 (10D), if that were to go away, I still think that category has been bor n. Why is that category born? Because people are saying, if I were to retire in the next 10 years or thereabouts, I don't know what are going to be the interest rate and what am I going to earn at that point in time . It could be low single digits. And I wa nt to remove this volatility to avoid having a worrisome retirement time. So , I want certainty and which is exactly our campaign, which says my first salary after retirement . That has caught the fancy of people to say that there is this particular aspect w ill be completely non -negotiable, regardless of any macro events, any other economic events and so on.

So, it is lesser to do with tax. Yes, one has to be competitive on IRR. So that is something we have to see. But this birth in category is not a tax -led demand, but more in terms of having certainty of cash flows when one is in the retirement phase or later on in life.

Avinash Singh: Yes. I mentioned before asking the question , that's a potential scenario. On the annuity side, it is already taxable, so I u nderstand that part. I just wanted to highlight that , if they proceed with taxes , then particularly for the affluent class who are in the high tax bracket would be affected. A lot of this is hypo

thetical and I do agree with you.

Moderator: The nex t question is from the line of Saumyak Shah from Sameeksha Capital.

Saumyak Shah : Yes. Do you expect any reduction in reinsurance premiums, or can they be flat going ahead?

Vibha Padalkar: So I'll start off and, Niraj, you can add. There are different ways of us getting a better arrangement from reinsurers. Price is one. And like I alluded to earlier in one of the questions that we are beginning to see a lot more reasonable and collaborative approach quite rightly by reinsurers now that COVID fears have receded. That in a way helps us write more business and defray some of our costs. So , we're seeing that. Hypothetically, can it happen ? Niraj, you want to take this question?

Niraj Shah: I'm s orry, just to be clear, was the question in terms of the rates coming down ? Yes, okay. So directionally, the way we are going is we are looking at increasing penetration and expanding into Tier 2, Tier 3, expanding beyond covering just a salaried high -income individual. So , when we are directionally moving that way, you can expect the risk profile, the consequent underwriting process that Vibha spoke about , as well as pricing , to reflect that to be able to build a sustainable business. So , pricing should be appropriate. We have no real preference for which

way they would go. We would want it to be appropriate in terms of offering meaningful cover. At the same time, business should be profitable with risk being appropriately priced. If there is expansion that 's going to happen in higher risk segments, pricing should reflect that. And any business that is done without keeping that in mind, we believe will not be sustainable. Even today, we are seeing different practices in the marketplace in terms of pricing as well as in terms of underwriting. I guess for a product, which typically has a term of 20 to 40 years, it's only appropriate that pricing takes that into account.

Pricing is one factor. It's important, but not the only one. There are also avenues which ar e important in terms of being able to assess the profile of an individual, being able to use data more effectively, being able to use underwriting models more effectively and to be able to improve the customer acquisition process. So , a lot of these things , we believe, will be enablers as we go forward with more -and-more data, not just on demographics in terms of income, but also in terms of health over a period of time based on customer consent should be available . That should make the process a lot more e fficient and pricing finer based on customer segments that we are going to be offering.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: Just a fe w questions. One is on the annuity segment. You've been the market leader , taken multiple price hikes on few products. So , in that context , from a medium -term perspective, how sensitive is this segment to pricing? And how do you see the margins in that segment shape up? Second, on the non -par side, it seems that there has been marginal increase in ten ure and also a bit of increase in the regu lar pay variant? So from a sequential perspective, has that had some impact on margins? And lastly, a data -keeping question, if you can break your operating variance on YTD basis ?

Vibha Padalkar: Yes. On your first point, on annuity pricing, we keep calibr ating it. At the same time, like with everything else, it is never only the price. It's a whole host of things. There is a lot of engagement on the ground. There are engagements at various levels with corporates, that's on the group side, on the retail bus iness, with nodal officers and many other aspects.

So yes, price is important, like even in retail business . But

I would say that it is one of the levers that is there. And we stay away from taking really aggressive calls . It is very tempting to go down th at path. However, if you are not able to really earn that spread, then we would really question as to why we are doing this because that way, we could do many other things, for example, we could be very aggressive on protection . Why do it only in annuity b usiness? So, it's always a balance in terms of either mortality or financial risk management. At the same time, you have to stay in the game with a healthy dose of strong partnerships and building bottoms up connect . Do you want to add anything, Suresh, on annuity?

Suresh Badami: No. I think, Vibha is right in sense that we have been calibrating like we mentioned. We see a huge opportunity on the OMO segment. We try and look at the group annuity based on relationships as well , the process and how we've been able to work with a lot of large corporates in terms of being able to get this business. The brand helps us get a clear leverage in terms of the pricing. And I think it is important because a lot of people who would want to invest, would want to stay with HDFC over a longer period of time.

But we remain competitive. We have a very large, trained workforce on the ground who is able to explain the benefits. We're trying to build an ecosystem around what kind of platform we'll be able to offer the customers in this particular segment. So , it is a very large opportunity. And I think in some sense, we're happy if more -and-more people come in as it will only expand the pie in this particular segment.

So, we are focused. I think we are very clear, and i t's always good to stay within limits or tolerance in terms of what part of the overall business it is. We keep coming in and out of this segment because we're fairly well diversified. So , for instance, on group term, we have been quiet, for quite some tim e. We feel that we can probably play larger on the group term now that things have stabilized. So , these are some of the plays that we have between the term and annuity business.

Vibha Padalkar: I think on the next one on non -par tenor you had. You're sayi ng that it is more on the longer tenor side

Dipanjan Ghosh: Yes. So my question was, it seems that there has been some increase in customer demand towards longer tenure, regular pay variant as a whole for the industry to commission maybe for HDFC Life also ? So from that prospective, has that had any benefit on the margin?

Niraj Shah : So, this entire return guaranteed segment over the last 3.5 to 4 years, we've actually seen a fairly broad spectrum of customer demand. It has been at the longer end for sure. It also has now with Sanchay F ixed Maturity Plan, that we launched a few quarters back. It's at the shorter end as well. Folks who are preferring to pay maybe one premium or maybe five premiums and have a 10-year horizon instead of a 20 -year horizon, that' s also a fairly meaningful segment. And for business, we mentioned about 1/6th of our non -par business is coming from there.

And also at the longer end, also, there are preferences for either taking bullet payments or lump sum payments or some preference f or taking income over extended period of time. So , there are multiple such options that exist and there is preference around that.

As far as margin delivery is concerned, again, it's a function of managing the spreads. Of course, longer -term products will be more profitable compared to shorter -term products. But even within shorter -term products, we had mentioned that with pricing discipline, we can manage fairly respectable margins out of that as well.

Dipanjan Ghosh: Sure. And lastly, if you can just quantify the operating variance breakup for YTD?

Eshwari Murugan : It's mostly persistency variance, mortal ity is just small positive and expense is moderately positive. So , most of the operating variance is coming from better persistency.

Moderat or: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you, Rutuja. We would like to thank you all for attending the call. H ave a great weekend.

Call: May 2023

May 04, 2023
Ref. No .: HDFC Life/CA/2023- 24/13
Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 540777
Dear Sir/ Madam,
Sub: Transcript of earnings conference call for the quarter and year ended March 31, 2023
We wish t o inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Wednesday, April 26, 2023, to discuss the financial results of the Company for the quarter and year ended March 31, 2023.
T
he said transcript has also been hosted on the Company's website at:
https://www.hdfclife.com/about-u s/investor-r elations.
T
his is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Narendra Gangan
General Counsel, Chief Compliance Officer & Company Secretary
Encl. As above

"HDFC Life Insurance Company Limited
Q4 FY23 Earnings Conference Call"

April 26, 2023

Moderator : Ladies and gentlemen, good day, and welcome to the HDFC Life Insurance Company Limited Earnings Conference Call.
I now hand the conference over to Ms. Vibha Padalkar – MD and CEO of HDFC Life. Thank you, and over to you, ma'am.
Vibha Padalkar : Thank you, Da rwin. Good evening, everyone. Thank you for participating in this conference call to discuss the financial highlights of the y ear ended March 31st, 2023. Our results, which include the investor presentation, press release, and regulatory disclosures, have already been made available on both our website and the stock exchanges. Accompanying me are Suresh Badami, Deputy Managing Di rector; Niraj Shah, CFO; Eshwari Murugan, our Appointed Actuary, and Kunal Jain, representing Investor Relations. I will provide an overview of our FY23 results, and be happy to respond to any queries following that.
As was done in the previous quarter, w e will be presenting the financials including the acquired business. Therefore, it is possible that the numbers from the previous year may not be entirely comparable.
Before I proceed, I would like to take this opportunity to congratulate Niraj on his ele vation to the Board of HDFC Life as Executive Director and CFO.
As you may be aware, the RBI has permitted HDFC Bank or HDFC Ltd to increase their shareholding in HDFC Life to more than 50% prior to the effective date, thus clearing any uncertainty around HDFC Bank's eventual shareholding in us. We look forward to collaborating with our parent to be, towards creating value for all stakeholders.
Moving onto our operating performance during the year :
We closed the year with a strong growth of 27% in individ ual WRP with a market share of 16.5% and 10.8% in the private and overall sector respectively, clocking expansion of 40 and 70 basis points respectively. We continue to grow faster than the private industry and be ranked amongst the top 3 life insurers acr oss individual and group businesses. In terms of Individual WRP, we have outpaced the private industry over multiple timeframes including, in the past 3, 5 and 7 years, thereby consistently demonstrating growth leadership.

As you are aware, the fourth qua rter saw budget announcements with respect to changes in tax regulations, effective April 1, 2023. Individual WRP growth till February was about 15% and did not have any impact of budget changes. The new business premium recorded in the month of March 2023 was buoyed on account of the additional demand, especially in the non -par and high-ticket size segment. The incremental business can be estimated for us as the difference between actual growth for the year of 27% and extrapolation of the 11M growth trajec tory of around 15 -16%. In the month of March, we were able to leverage the opportunity, by offering competitive solutions whilst managing profitability and adhering to a calibrated risk

management approach. In this month we stood number one across agency, broCa, bancassurance as well as sales through our website, which quadrupled. As a result, we registered a growth of 56% in Q4, more than 2x growth of the industry and ranked #1 amongst private players.

Looking ahead, the medium to long term growth opportu nity in our sector remains intact. The long-term guaranteed savings product proposition is unique and the returns offered are best in class, even after the recent tax changes. We believe that the opportunity has only widened with the tax changes for certai n other asset classes. Moreover, protection and annuity remain areas that are exclusive to life insurers.

In light of the above, we remain confident about being able to grow our APE in FY24, after adjusting for the additional business that was generated i n March and we will continue to aspire for higher than industry

growth. Our focus will be on broadening our customer base and
increasing number of policies sold and the lives covered. The building blocks for this are in place, aided by our diversified netw ork of distribution partnerships and agency distribution, which was boosted by our acquisition of Exide Life. These avenues give us the ability to reach out to multiple customer segments, across tier 2 and 3 cities and deepen our reach. Further, our larges t distributor and our parent to be, HDFC Bank, has embarked upon its branch expansion in Tier 2 and 3 locations which will be complementary to our strategy. We recognise that the persistency and mortality experience would be different for some of these seg ments, and the same is being factored in our overall actuarial assumptions. Our distribution continues to be supported by suitable product propositions for this segment.

Our overall product mix remains balanced. Amongst the savings products, non -par savin gs was at 45%, participating products at 27% and ULIP at 19% of individual APE. The non -par share increased to 53% in Q4, due to the higher demand and is expected to normalise in FY24. Within the non -par segment, our shorter tenure product Sanchay FMP comp rised about 13% to 15%.

There has been an increase in protection share in total NBP from 24% in FY22 to 29% in FY23. Our overall protection APE grew by about 20% in FY23. This was led by our market leadership in credit life, delivering strong growth of 46 %, across nearly 300+ partnerships. Retail protection trends remain encouraging with sequential growth of over 50% and YoY growth of over 40% in Q4. Our FY24 outlook for retail protection is positive on the back of the growth trends experienced over the la st 3 quarters across channels.

On the retirement front, we have steadily gained market share in the annuity business. Our annuity business in FY23 grew by 18% on received premium basis compared to a 2% growth for the industry. APE growth is much higher at 59% due to a pickup in our regular premium annuity product - Systematic Retirement Plan during the year.

Moving onto key financial and operating metrics:

Our new business margin for the year was 27.6% thereby delivering value of new business of Rs. 3, 674 cr. which is a growth of 37%. Margin neutrality, after considering the acquired business, was achieved well ahead of target. The full year margin factors in an investment of Rs. 50 crore that was made towards our technology transformation strategic ini tiative named 'Project Inspire', which I had spoken about in the last analyst call.

We expect to continue our VNB expansion in FY24, through faster than industry APE growth, whilst maintaining close to FY23 margins. We will increase our investments in tec hnology and distribution, including our propriety channels to take advantage of digital opportunities as well as achieve our growth objective. We anticipate further investments of about Rs. 100 crore each in FY24 and FY25 towards Project Inspire to make us agile and future -ready, by providing a 360 degree view of our customers, seamless integration with new partners, resulting in an improved customer experience and productivity across channels.

Our embedded value stood at 39,527 Crore as on March 31st, 202 3, with an operating return on embedded value of 19.7% for FY23. Profit after tax for FY23 stood at Rs. 1,360 Crore, a robust YoY increase of 13%. This is despite the increased new business strain arising from higher growth in Q4. The profit emergence cont inues to be aided by strong growth of 27% in back book surplus. The Board has recommended a final dividend of Rs. 1.90 per sha re, translating to a payout of about 30% of our PAT, in line with our dividend payout ratio since FY17.
Our Solvency ratio was 20 3% as on March 31, 2023. Renewal collection trends continue to be healthy on the bac

k of steady persistency. Our 13th and 61st month persistency for limited and regular pay policies stood at 87% and 52% respectively compared to 87% and 54% last year.
Next on channel performance:
Our bancassurance channel grew by over 25% in FY23 based on individual APE. We are witnessing robust growth in all our partnerships. Our collaboration with HDFC Bank remains strong as we strive to enhance insurance accessibility t o the bank's customer base.
Our agency channel witnessed strong growth, surpassing company level growth by more than 1.5 times in terms of individual APE. It has grown at a 5 year CAGR of 34%, almost doubling its share from 11% in FY18 to 20% in FY23 aide d partly by a strong performance in the market place as well as by inorganic growth. Our focus remains on enhancing activation and productivity of our financial consultants, and aim to drive growth by expanding our presence in new territories and reaching out to a wider range of customers.
Our subsidiary, HDFC Pension Management Company, doubled its AUM in a year and a half to exceed Rs 45,000 Cr as of 31st March 2023. It is the largest and fastest growing pension fund manager in both Retail and Corporate NPS AUM segments. Our market share has increased

from 36.9% to 41.2% over the last year with 60% growth in AUM. Our subsidiary HDFC International has received the final approval from the concerned regulatory authority, enabling us to establish a branch in GIFT City. We are excited about the new opportunities it presents for us to expand our global presence as we target to commence operations in Q1 of FY24.
Moving on to Regulations:
IRDAI is proposing several changes that would enhance insurance penetratio n, facilitate sustainable growth and ease the operating environment. We are enthused about the new EoM regulations, which provide greater flexibility for cost management, encourage the development of longer -term products, and improve persistency by offerin g higher allowances on renewals. These changes will also aid in the revival of the pension segment.
Slide 5 of our investor deck plots how we have fared better than the industry post every major turbulence. The first significant disruption was in FY11 pos t the new Unit Linked guidelines. The second was when HDFC Bank adopted open architecture in FY18. The third upheaval was the pandemic with the industry being hit both by business disruption along with a massive surge in claims as well as change in UL tax exemption limit in FY21. The latest disruption is due to the budget announcement made on 1st Feb 2023.
Between the first and second disruption, i.e. UL to open architecture, we delivered 2 times industry growth. Between the second and third disruption, i. e. open architecture to Covid, we delivered 1.5 times industry growth. In the last 3 years, we delivered 2 times industry growth despite Covid and the UL tax changes.
We have consistently doubled on all key metrics including New business premium, Renewal premium, Value of new business, Embedded value, amongst others, across multiple blocks of 4 years. Being able to deliver a predictable performance, predicated on sustainable business practices remains a hallmark of our way of conducting business.
Hence, w e believe that the recent changes, whether on taxation, business models or regulations, are part of the growth pangs of the private life insurance sector that has only recently reached adulthood. The larger companies with strong corporate governance and di sclosure standards are poised to fare better holistically, on growth, profitability, business quality as well as risk management.
To conclude, our focus remains to provide a wide range of insurance products that cater to the diverse needs of our customers , thereby ensuring their financial security. Furthermore, we are dedicated to leveraging technology and digital

advancements to create a smooth and convenient customer journey. We are optimistic about the growth prospects of the industry and are committed to driving a significant increase in insurance penetration in line with the regulator’s vision.

The detailed disclosure on our results is available in our investor presentation. We are happy to take questions now .
Moderator : We will now begin the question -and-answer session. The first question is from the line of Suresh Ganapathy from Macquarie Group. Please go ahead.
Suresh Ganapathy : I have got 2-3 questions . First, you said something about the contribution of high -ticket polic ies. Just to understand thi s a bit better, your full year APE growth was 37% and your Q4 APE growth was more than 70%? What is the contribution of high -ticket policies to the overall business done in Q4? Can you tell in percentage terms for greater than Rs. 5 lakh business ?
Niraj S hah: For the year, it was in the region of about 12%-14% and for Q4, it was about 35 %. And that's the reason why we referenced actual growth and normalized growth. Y ou could take 27% as actual growth and 16% as normalized growth, the delta would be the imp act of the budget.
Suresh Ganapathy : It’s a bit confusing. Full year, you ended at 37% . So, what is the normal ized growth ?
Niraj Shah : 27% is full year actual growth . Till February, we were at 16% growth . The budget impact was actually in the month of Mar ch, which is the incremental business . That's what we called out.
Vibha Padalkar : February had next to no impact. Most of the impact came from about the second week of March. And there, the delta works out to about Rs. 1,000 crores.
Suresh Ganapathy : Okay. Now the other 2 questions . You had a 37% VNB growth for FY23, means there is a very strong base. So, on the backdrop of this strong base, can you deliver a strong VNB growth heading into FY24?
Vibha Padalkar : Yes, we are very confident, that we should be able to deliver growth that is in line with the APE growth while holding margins. The only caveat is the investment in tech transformation of about Rs. 250 crores which we talked about. Out of this, we have spen t Rs. 50 crores this year . Rs. 100 crores wou ld be the outlay in FY24 and FY25 . We should be able to deliver similar margins except for the tech transformation.
Suresh Ganapathy: And the last 2 questions, one is on the relationship with HDFC Bank. In an earlier call, y ou mentioned that the contributi on has down come dow n from 50% to 45% -47%. What is the target here? Any conversation with Sashi that you have done, which you can share ? Can you increase this to 60% ? Can you give us some guidance on it? And finally, on the EOM guideline s, how does this wo rk? Depending upon players ’ competitive advantage either in product or distribution, can there be adverse effects ? If I want to pay a banker more, I can pay more. If I want to push a particular non -PAR product, I can pay more and push it and create an adve rse effect in that particular channel because it gives complete freedom and flexibility. Do you think that's the way it plays out or there’ll be fair competition in the entire market?

Vibha Padalkar : On the first point, we don't track a channel as a percen tage of our overall composition because different channels can grow at different rate s and by targeting that bancassurance and HDFC Bank’s share has to be a particular percentage point, then you have to calibrate others. So, that's not how we look at it. In terms of the counter share at HDFC Bank , as Sashi and Srini have articulated, is that as they are now our parent to be and that the market share should start inching up. Those are conversations that will fall in place because if you were to look at it, i t's not

just
in HDFC Bank, but in all the other new partnerships . We have been making significant inroads even without them being our parent. So, it is in terms of do we have the depth, triangulation between product, pricing, brand, claim settlement, etc. And if we are making inroads in other banks, then even here as a parent, that should organically happen. And of course, we will be the best in terms of presence in branches . So, you should start seeing that trending upwards, but not tracking in terms of pe rcentage of our business, but certainly, the percentage of the business that's being done by HDFC Bank.
On the second question about EOM, it all depends on how the regulator is looking at it . It is to move towards a principle -based approach to sell more l onger -term products which very well augurs to how we've been selling. And this is an aspect wherein we pride ourselves that we have one of the biggest share of longer -term products. We also give some of this information. So, not very onerous for us and it also depends on affordability , since d ifferent companies have different levels of expense of management. 100 minus the expense of management is the maximum that you can go to. At the same time, we hope that everyone triangulates in terms of distributor, customer economics and regulators direction to bring cost down. So, it's a 3 -way triangulation, which will evolve. For us, we have 300 partners, and these conversations are going on, keeping this principle -based approach in mind.
Moderator : The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.
Deepika Mundra : In terms of margin guidance that you mentioned, it being flattish next year, could you comment on the key drivers between the merger synergies , expenses as well as product mix?

Vibha Padalkar : Yes, sure. I'll start off and hand it over to Niraj. The way we look at this is that VNB certainly, like I mentioned, will be driven by APE growth. There will be more margin extraction from some of the products, for example, protectio n. The quarter -on-quarter trend is also the re in our investor presentation and that will continue to go up. I also mentioned about credit life continuing to do well. So, that will continue to give us the upside.
In terms of investments that we have made i n a lot of partnerships, whether it is in AU Small Finance Bank , India Post Payment Bank , Yes Bank and so on . As you know, we have to invest ahead in terms of manpower before the revenue starts kicking in. So, we expect that also to happen. Similar is with the acquisition of Exide Life in Tier-2 and 3 locations. The costs have already been incurred and are being carried in our P&L and reflected in our margins. So, the upside should start coming in, in terms of productivity increase. Niraj, do you want to add to that?

Niraj Shah : No Vibha, you covered it.
Deepika Mundra : Any comments on potential for composite license and how do you think about the health offering in conjunction with HDFC ERGO? Or would you like to do it stand -alone?
Vibha Padalkar : If you rec all, out of all the committees that were formed, H DFC Life chaired the Development and Penetration Committee. And in that report, we did ask for composite license . So, it's no surprise that, it has come through. We asked for a whole host of other things li ke the genesis of Bima Sugam and to have a marketplace . We talked about being allowed to distribute other financial services products, including products that are regulated by IRDA I and other regulators. We're happy that this is hopefully seeing light of d ay wherein the bill gets passed and we are able to do this.
Now , if you are allowed to do this, the next step is the regulator needs to form regulations to be able to say what is it that they would like to see. But assuming that they are on -b

oard to your
last question, we're not really interested in re -distributing the pie. We want to grow the pie. And when you triangulate that, wherein 60% -70% is still out of pocket expense and the numbers are not even a percent in terms of penetration, much lower than wha t it is in life insurance, then I think we would be doing dis -service by just redistributing the pie. So, we don’t really want to play just in the mediclaim space, but having to juxtapose between life and m ediclaim.
There are many layers. It could be in te rms of riders. It could be in terms of embedding health solutions within a life product and so on. We do have a few ideas on which we are ready to press the button if we are allowed to sell it. At the very least, our ask in the earlier committee has been to allow us to distribute health products if not to manufacture. Yes, that is admittedly not the best outcome, but at least that.
So, all these options are open and worldwide health fits much closer with life and underwriting becomes easier with an understa nding of the person's health condition . We'll wait and watch, but we certainly have our plan ready, depending on any of these avatars that we're allowed to do.
Moderator : The next question is from the line of Avinash Singh from Emkay Global. Please go ahea d.
Avinash Singh : A couple of questions. First one is on your back book surplus . If I were to adjust for last year's excess mortality reserve, probably the back book surplus revision looks like 7% -8%, typically much weaker than your trajectory. If you can provide some more colour on that . That's my question one. And second question is just to repeat perhaps , in terms of FY24 outlook . On this strong bumper base, do you expect APE to grow in FY24? And on margin I'm a bit confused because you are seeing a posit ive trajectory for retail protection. You are going to see probably more granular growth as far as non-par policies are concerned and some synerg ies from HDFC Life-Exide merger as their base performance will improve going forward as well. Yet you are being guarded on margin guidance. These are my questions.

Niraj Shah : I'll start with the margin question . What Vibha did mention is that there will be a couple of things here. One is in terms of product mix, we said that there will be more longer -term business that we would expect to get over the next year. We will look at product mix beyond that. As we've said, in terms of protection for the quarter, we had a significant growth ~40%, and we expect protection to continue to grow on a normalized base as we go fo rward. Some of these things will help in margin accretion . That will be balanced by the investments that we have made, and we continue to make in building our distribution in terms of people on the ground as well as in terms of the technology investments t hat Vibha spoke about. We started that, and we'll continue with that over the next couple of years. So, the idea really is to generate VNB growth out of APE growth. We did mention that we are fairly confident about delivering growth next year on a

normaliz ed basis and our aspiration will be to continue to grow faster than the industry.
On our VNB growth , we expect it to come from APE growth next year while maintaining margins in spite of all the investments that we will make. And of course, there will be adjustments that will happen as the year progresses in terms of how the market evolves. There was an earlier question around EoM and the practices that may be followed across the industry. So, we'll have to look at all of that as well. But all in all, we hav e talked about directionally how we would like to approach it, and that's how we are looking at margins for next year.
As far as the question on EB surplus is concerned, even on a normalized basis, we are looking at adjusting for the

COVID number , 18% to 2 0% EB surplus growth. So, that is something that we believe has been achieved, and it's something that we will expect to continue.
Avinash Singh : No, my question was on the back book surplus that's on Slide 10. The Rs 34.9 bn in FY22 , if you normalize for excess mortality reserve for COVID, it goes up to Rs 41.4 bn . And from there, with Rs 44.2 bn in FY23 , it's like some 7% -8% growth. That is a lot muted considering your past. Of course, FY21 and FY22 had some COVID impact. So, what is driving this sort of a slower trajectory of back book surplus. Is it Exide Life or is it something else?
Niraj Shah : I think what you're doing is basically taking the full COVID impact into the EB surplus , that's not really the right way to look at it because there is a new bu siness impact as well. So, you have to actually distribute the impact on new business and also on existing business surplus . If you back that out, then you get to the number I mentioned .
Eshwari Murugan : To add to that, there will be some other impacts lik e we have our assumption changes or some operating varian ces that would flow into the IGAAP . So, just completely including the COVID impact would not be the right way to look at the underwriting profit or the existing business profit emergence.
Moderator : The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha : Vibha, just wanted to understand that HDFC bank, which will ultimately become a 50% owner , whether it will be a new fresh capital infusion or it will be a secondary market purchase? So, to

understand , if there is fresh capital infusion , the way HDFC Limited did in the early part of this year, then what kind of capital or solvency you would be looking at? After you answer that question, I have a couple of data keeping questions.
Vibha Padalkar : Yes, sure. At this point in time, we haven't had concrete discussions with HDFC Bank . We will , over the next few days. But we don't require extra capital. As you know, we raised Rs. 2,000 crores. So, in all probabili ty, it will be secondary.
Sanketh Godha : And if I look at the unwind rate, probably it is lower compared to what it was last year, which you guided at the start of the year , at around 8%. So, given the interest rates are a little higher, can we expect that your ROE V next year cou ld be driven by better unwind rate ?
Eshwari Murugan: Yes. Like we mentioned in the first quarter, we have computed the unwind for the year based on assets that we had and the cash flow pattern at the start of the year. For the comin g year i.e. FY24, we will do the same exercise. And based on the computation , we will let you know what the unwind rate is in the first quarter. But yes, as you rightly said, as the interest rate curve has gone up, we expect the unwind rate to be higher. But it's not that it is going to be only influenced by the interest rate increase in the shorter end because at the longer end , the interest rate s have been fairly similar. So, depending upon the composition of the cash flows that comprise the VIF, the unwi nd rate will be influenced by the average of the movement. And then we'll definitely let you know the computation in the first quarter of the year.
Sanketh Godha : And last question , 12% -13% of the entire year's business, which is high ticket entirely gets disrupted. So, assuming it entirely get s disrupted or you can't regain that business in FY24, then is your confidence of APE growth largely driven by the market share increase in HDFC Bank? Or additional business could come from some other channels? I just want to understand the thought process because 10% disruption, mean s 100 becomes 90 and at 90 even if business grows by 20% next year, then the growth we are looking at is 7-8%. So, in that sense what gives you con

fidence that APE growth could be driven e ven if high ticket gets disrupted next year?
Suresh Badami : Just to let you know, even until February before this spike came in March because of the budget changes, we were growing in the range of 15% -16%. And if you really look at the growth which has com e in, has come across product segments and has come across different channels. Our proprietary channels, which is agency and direct have been growing. A lot of our new banca partners and partners other than HDFC Bank have also given us great support. So, whether it's Yes Bank , Bandhan or IDFC, we have been tremendously supported in terms of growth from them. And we see that trend continuing as they expand.
The third piece, of course, is the fact that there are certain opportunities, which we see in the

smal ler ticket par and non -par because that will be a segment which will open up and the number of policies that we'll be able to gather from there should be fairly high.

Lastly, most importantly, we do believe that now with HDFC Bank as parent, they will give us a fair amount of spike in terms of market share, and we are working towards that in close coordination with them. So, we will definitely , like how we have done in the past , target to grow faster than the industry, we're fairly confident of that. Whethe r we are confident of 10% to 15% growth , I think, like Vibha, mentioned earlier, there have been 4 -5 instances of disruption in the market and across all those disruptions, you will find that we have somehow managed to grow in the range of anywhere between 10-15%. And we are hoping that even in this case, we'll be able to replicate that.
Niraj Shah : Just to add to that, apart from on the distribution side that Suresh spoke about. On the product front itself, this whole premise of 100 going to 90 and 90 bein g the starting position is something that we don't necessarily believe in. Because even after the budget changes and specifically more after the other announcements that were made around debt mutual funds, we believe that this product category still is inc omparable. There is no product proposition that exists over this period of time, which gives this kind of proposition even on a post -tax basis. So, we don't really subscribe to the thought process of the starting position being lower. Of course, the bump u p that has happened, we are looking at normalizing that. But the starting position in our mind, will not be less than 100 from that perspective . And we'll aspire to grow from a normalized base.
Vibha Padalkar : And I want to add one more point to this. Whil e there's a lot of talk and focus on more than Rs. 5 lakhs ticket size, an important data point is that in the month of March, our below Rs. 5 lakh ticket size business grew by close to 50%. So, it is not that there is no growth there . Another data point i s in that unit -linked , after this Rs. 2.5 lakh tax change happened, our composition of unit-linked for higher ticket size has actually gone up significantly . Rather one would have expected it to have gone down. So, there is a fair bit of decoupling between tax being the reason, at least for our section of customers, and it's actually translating into their buying behavio ur.
Moderator : The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.
Swarnabh Mukherjee : So, first question is on the cost structure. Given the VNB walk that you have provided, we have had a very strong scale up in FY23 . Despite that, I see that VNB has a negative impact coming from fixed cost absorption, while I would have thought that because of stro ng growth, there would be some amount of operating leverage actually playing out in a positive manner. So, I wanted to understand how to read this and what will be the proportion of variable cost in this cost st

ructure which is resulting in this? And also, if you could look at it from the lens of E OM ratio glide path. Where are we? Our EoM ratio is closer to 20% , the number that you report. So, how should we look at it? Are we above the limits that IRDA calculations prescribe and how the glide path will be? So, this would be my first question.
And secondly, in terms of persistency, I see that in 61st month bracket, there is a drop in persistency while in all other cohorts , you have improved the persistency. Just wanted to

understand, is this related to some kind of persistency challenge in ULIP book that has played out particularly or anything else to read into that?
Niraj Shah : Yes, I'll just quickly start with the second question on persistency . 61st month that you're referring to , it's largely the impact o f the merger. There were certain cohorts of the acquired business, which was historically trading at lower persistency. While there has been improvement across the business that has happened over the last few years in Exide Life, the business that was written 6 or 7 years back, did indeed have poorer persistency. That is something that is getting addressed and that was the impact that you saw. If you look at whether it's category -wise in terms of product segment or ticket size, persistency across the board has been improving over the past few years, and we expect that trend to continue as we go forward.
To your question on VNB trajectory , there has been clearly, some operating leverage that we saw in Q4 because of the volume pickup. Some of that got neutrali zed by the investments that we have made and continue to make on the people front as well as on the technology front that we spoke about. And this also does carry the impact of Exide Life business, which was operating at a particular scale. And while some of the synergies have been realized in this period and the cost of acquisition or the cost of writing business has come down from over 100% to 70-75%. We expect that to go down even further going forward.
Swarnabh Mukherjee : Got it. Just a follow -up on thi s answer. The Rs. 100 crore investment that we plan to make this

year, how much headroom does it leave us to push some kind of favourable terms in terms of commission in certain products? Do we have a lot of headroom given that we would also have to have a glide path for EOM directionally, which should be lower?

Vibha Padalkar : I didn't understand the question. Are you asking whether we can afford the Rs. 100 crores within EOM ? Yes, very comfortably we can because we do have a fair bit of headroom and have h ad for the last several years. We have been one of the few companies that have been compliant both at the company level as well as at a segment level. So, no issue at all on that front.

Moderator : The next question is from the line of Madhukar Ladha from N uvama Wealth. Please go ahead.

Madhukar Ladha : First, I missed out a little bit in the beginning. So, when you say the growth in this quarter was 16% that was normalized and 11% was the high -ticket size tax impact, right? So, are these numbers on what basi s? These numbers are for the full year or for the quarter because for the full year, the individual APE has grown about 39% year -over-year. And for the quarter, it's at about 75%, right? I didn't quite follow these numbers.

Vibha Padalkar : Madhukar, you ne ed to take Exide Life into the base. So, the growth is 27%. What we explained at the beginning of the call is that if you were to look at where we were trending, which is YTD Feb, we were trending about 15% -16%. So, from 27%, if you back out 15% -16%, which comes to about Rs. 1,000 crores , could be attributed to what we said is the March effect.

Madhukar Ladha : No, I missed the Exide Life

part in the earlier part of the call. Sorry about that. And the other thing also about this Project Inspire, what exactly are you trying to do out here?

Vibha Padalkar : So, it is a holistic transformation of everything from having a 360 -degree view of the customer and looking at various capabilities. For eg. We are l ooking at our application architecture, the IT governance m odel, road map on the cloud strategy, while we've embarked upon it, suitability of our tech assets in terms of how much would be on -prem, how much would be on cloud , to look at our overall architecture. Typically, we would have the core policy admin system , every life insurer, whether in India or abroad would have that and then you have a middleware. But that does reduce our speed to market, both in terms of customer propositions, partner integration, new products and so on. Apart from having a single view i.e. 360-degree view of the customer that I mentioned, we would like to have a 360 -degree view of the family as well with a lot of adjacencies that we can triangulate as well as having a data strategy at the core of it. So, it’s not only tech but tech plus data. We already have a data lab in Bangalore. And how do we use data also enriched by what IIB is trying to do, Bima Sugam will hopefully happen. And triangulating that, how can we reduce the pain that a customer goes through in terms of underwriting? Ho w can we give pre -approved sum assured ? How can we have customer nudges? How can we triangulate where in exactly like you have where we start watching a movie on one device and then end up on a handheld device when you're traveling. Similarly, how can we h ave a customer conversation on sales or servicing on one platform and end up s eamlessly on another platform and many things like that? When the time is right, we do intend to have a Tech day , and we haven't had one for some time , wherein we would like to s howcase to all of you in terms of the inroads that we have made in this journey.

Madhukar Ladha : And one final question. So, you also mentioned that you saw growth of about 50% year -over-year in the less than Rs. 5 lakh category. So, are you worried or wha t are your thoughts on how much pre -buying has happened , so that people keep their Rs. 5 lakh limit available for FY24 and beyond. Could that sort of dampen sales a little bit in FY24?

Vibha Padalkar : I just want to put out very categorically , and Niraj me ntioned this and Suresh mentioned it as well, but I just want to mention this again, I have no doubt in my mind about the prospects of life insurance, and that has nothing to do with here and now tax or no tax. Because now, there is parity, which is rightl y so between similar kinds of products . With that, Niraj also alluded, even if I exclude life cover thrown in, our IRRs are better and the product proposition, that's the most important , there's no other product that gives long -term assurance of return. I think we’re somewhere minimizing it and narrowing it down to an IRR conversation that an HNI will want . That cannot be further away from truth. Another part is that a lot of HNI whether fortunately or unfortunately, have very low tax rate. So, tax is often not the driver for it. And the fact that you get no ambiguity in terms of what am I going to get 20 years from now, no other product can give that. So, that doesn't change and that's what gives us the confidence that we go back to basics in terms of engag ing with the customer and explaining some of the nuances. And to say that, okay, if unfortunately, something were t o happen to you, your dependents will get this no matter whether a person is there or not. Suresh, would you like to add?

Suresh Badami : I think Vibha covered it, but one is not the issue in terms of whether pre -buying has happened. I think the fact that now almost every

body who is in less than Rs. 5 lakhs category in terms of the number of unique lives that we can cover can see this as a produ ct that they can buy because it's a very strong value proposition below Rs. 5 lakhs in any case . Because that has not gone away below Rs. 5 lakhs. So, the number of customers who may want to look at this almost like an 80 C even from a tax perspective, it's almost similar to that to say why don't I invest at least Rs. 5 lakhs into it, and we should be able to broad base. And this is really in line with the vision to say that with the smaller ticket size, everybody should have insurance in India. We should be now able to maybe drive multiple policies because the product proposition remains very strong.

Vibha Padalkar : And the last point I want to make is that in the overall objective of going back to basics, HDFC Life has always been a middle class , upper midd le class and affordable segment focus ed insurer . Somewhere market was pulling us into the high net -worth segment. So, it is, in a way, playing to our strength to come back to the core of what we are comfortable with, wherein the levels of underwriting, esp ecially on mortality are not compromised. This is be cause it's not difficult to say, I won't ask any questions, I'll ask very few questions , I will keep this on my books. You just have to triangulate with a lot of public information that is available for a lot of insurers that have kept more and retained, more and more on the books. Now for some of th ese, there's no reason to believe why that retention at high ticket sizes is okay, and it's going to pan out the way it is going to pan out. So, my limited poi nt is that we are now playing to the strengths of HDFC Life, and that's what gives us also the comfort and the confidence that the growth will be unaffected.

Moderator : The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh J ain: 2 questions. So, first, on protection, the growth that we have seen in this quarter, is it any channel specific? Or are we seeing broad -based growth? If you can comment on the growth, how we have seen on our agency side, specifically on the protection . Secondly, if you could share the mix of APE, which is coming from more than Rs. 5 lakh category because I remember that when the budget announcement came at that point of time, we have said that such policies contribute around 10% to 12% of our business. And I believe in Q4 that share of business would have gone up quite significantly from those policies. So, what is the share for the full year from Rs. 5 lakhs plus policies in our APE?

Vibha Padalkar : So, the growth, if you were to look at, almost all ch annels have done fairly well. But one noteworthy aspect that is showing very good traction is our bancassurance channel and on the back of some of the product launches that we've had. And another noteworthy aspect is that other than the top 10 cities, we a re beginning to see traction in the protection space. We're delighted by th e kind of a traction that we are seeing. Of course, somewhat early days because we're talking about a quarter, but that is quite noticeable. If you were to look at HDFC Bank itself, the branch activation on protection, and this is there on Slide 15, that has increased by 50% year -on-year. That focus will only increase, and we had multiple conversations with HDFC Bank to say that this is an opportunity , it's a question of focus and there are solutions such as the return of

premium to give lighter touch underwriting. All of that has come through and worked well. To summarize all channels have done well, but noteworthy is what we see in bancassurance. Sorry, your second question?

Nidhesh Jain: What is the share of high ticket /more than Rs. 5 lakh policies for full year? We remember that the last time when you shared the

data , that number was around 10% to 12% . Given that we have seen very sharp growth in Q4, that number would have been qu ite high. So, what is the number for the full year?

Vibha Padalkar : Yes, until February, it was 10-12% and for the month of March, Niraj has given this number.

Niraj Shah : About 1/3 for the month of March.

Nidhesh Jain : And when we're talking about normali zed base, should we remove the entire number from FY23 APE? Or should we just remove Rs. 1,000 crores of delta that we have seen in March '23?

Niraj Shah : Yes, Nidhesh . That's what we should do because honestly, a lot of it is conjecture in terms of what wi ll happen to greater than Rs 5 lakh category , less than Rs 5 lakh category . And we'll all have different point of view on that. But , if we look at the data as to what was the growth YTD February, which was normalized growth and what has happened in March. If you back that out and take 15% -16% as the normalized growth for the year, that's what we would have actually achieved had it not been for the budget and that's what we are working with. And then various segments within that will anyway evolve as the bus iness progresses going forward.

Nidhesh Jain : Sure. So we are guiding that on a Rs. 12,300 crores of APE, we expect positive growth next year?

Niraj Shah : Yes, absolutely.

Nischint Chawathe : If I look at the increase in existing business surplus, is a part of it contributed because of the merger as well ?
Niraj Shah : No, Nishchint . If you just look at the stand -alone business, which we now don't track, there isn't any significant accretion to the PAT or EB surplus coming from the acquired business because of the cost at which th at business is getting done. At the time of acquisition, the cost was over 100% , though now we've brought it down significantly below that. So, there isn't any significant EB surplus generation from that business yet.
Nischint Chawathe : And any specific drivers that you could call out for this EB growth?
Vibha Padalkar : Our product mix has been changing quite significantly over the years, and it is taking longer for profits to emerge. If you recall, we started on this non -par and some o f the new par products about 4 -5 years ago, and that has increased in its intensity. So, it has taken about 4 to 5 years for

those profits to emerge as against a unit -linked product or even some par category products , where profits will emerge sooner , over a 2-3 years kind of a time horizon. You want to add anything, Eshwari?
Eshwari Murugan : Just to add to that, unlike the earlier product mix where we wrote more of unit-linked products, profits would be coming mostly in the first 5 years and not much later on. The contracts that we're writing now are longer term in nature and we will continue to get the profits over a period of 25 -30 years . This means that after say 5-10 years, the backbook surplus emergence or the growth will be much higher. However, as we are in the transition period of the last 5 years business getting replaced, the emergence or the growth looks lower.
Nischint Chawathe : And just 1 more question about the business that you're looking at from the new branches of HDFC Bank. You somewhere me ntioned that the persistency outcomes and the mortality outcomes would be different. Does it mean that margins in those branches would be a little lower?
Vibha Padalkar : We don't really see it that way . It's an overall portfolio approach, and it will be su bsumed within the company -level margin.
Niraj Shah : So, Nischint, just to add to what Vibha mentioned, the good thing is that we've been tracking our persistency across geographies, customer segments and there has been an improvement across the board. And that's the reason why we're very confident about getting into Tier-2, Tier-3 with very good expe

rience now compared to what we would have done probably seen 3 to 5 years back. So, what we are saying that , can we expect Tier-1 kind of persistency in a Tier -3 market? Maybe not. However, we believe that our Tier-3 persistency will keep improving from where it is today . So, all of this would be priced into our products, and we will ensure that this is factored into our assumption setting as well.
Moderator : The next question is from the line of Akshen Thakkar from Fidelity.
Akshen Thakkar : Most of my questions have been answered. Just going back to the point on growth . On the statement of 27% and 15% growth , that's largely towards retail APE, right? The group bu siness shouldn't get impacted by that?
Vibha Padalkar : That's right. Yes.
Akshen Thakkar : All right. So broadly, just assume Rs. 1,000 crores of excess APE and then think about growth . The way you're thinking about it is on a normalized base, you see indus try-leading growth after removing the Rs. 1,000 crores.
Vibha Padalkar : That's right. Yes.
Moderator : The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta : So, 2 questions here. One, on the annuity side, it looks like the growth in the fourth quarter slowed. So, is there any particular reason for that? And number 2 would be, do you see a scope for this Rs. 5 lakh threshold that is there now, also being taken away going forward? Based on that, what kind of product innovations are you looking at?
Vibha Padalkar : Yes. So, on the annuity front, we held our market share and continue to be robust even in Quarter 4. Overall, it was an industry thing in terms of what are the government employees doing and is there some deferment or are there lesser funds that are flowing into annuity . Sometimes the release is not done by the public sector undertaking and a myriad of issues like that. You want to add anything, Suresh?
Suresh Badami : No, I think frankly, the idea was also to maximize on the opportunity in the non -par segment. The March numbers were almost like a full year number of what normally happens across some of the others. So, the volume, the channel, everything was devoted to this. And we ensure d that we didn' t slow down on annuity . We continue to maintain our market share as such. Also, like

Vibha mentioned, some of the group annuity numbers depends on a lot of other factors on the ground in terms of how many people are coming in. Having said that, the channel s on the field were quite swamped with the kind of budget related business, which flowed into us, thanks to the brand as well as the product.
In fact, our annuity business in FY 23 grew by almost 18% on received premium basis compared to a 2% growth for the industry. So, you can see that the focus on annuity , like we've been saying, continues to be there.
Supratim Datta : And on the second question?
Vibha Padalkar : Sorry, can you just repeat that question?
Supratim Datta : So, what I was saying is that now you have been given a Rs. 5 lakh threshold, but a similar threshold has not been given to debt mutual funds or fixed deposits. So, should the government take that away , what would be your strategy? Have you started strategizing for a similar event or not?
Vibha Padalkar : Yes, absolutely. And it goes back to what I mentioned that we have no doubt in our mind that the whole concept of reinvestment risk is very well understood. See, if this ha d happened just when we had launched Sanchay Plus and nobody else in the industry was selling Sanchay plus, then people would not have appreciated what reinvestment risk does and long -term assurance of returns. Now that almost every player amongst our peer set is selling some avatar of this product, a category has been born o ver the last 2 -3 years, and there's a pull for this product, and it is

well
understood versus the nuances of fixed deposit or a debt mutual fund.
So, we believe that it will go back to the basics of asset allocation. If a person has, say, Rs. 50 lakhs, may be there could be Rs. 30 lakhs allocated into a Sanchay Plus kind of a product . The

rest 20 lakhs or 10 lakhs each could be allocated into other forms of savings which will give him more liquidity . That could happen, but it's not going to go down to 0. And that's what gives us the confidence. The Rs. 5 lakh going away will be somewhat of an unfortunate outcome because of the fact that people do need to save longer term . It is something that they don't dip into , at the shortest or the first emergency or firs t discretionary spending . That is very important. But yes, we do believe that it goes back to the fundamentals of what this product has to offer, and that's not going to change.
Last point here is that the math very clearly shows that the post -tax IRR is m ore attractive versus any other product that is there. And also, today, people buy annuity . Just now we talked about annuity , and you raised a valid point that we are market leaders by a mile. Annuity is taxed, and that is something that is factored in by people. So, it doesn't deter people from buying annuity. And these are not only people who are buying annuity because that's the feature, but also people buy annuity in the open market. So, longevity risk is very well understood, and that's only going to increase as our population shift s more and more towards age of 50 and above.
Moderator : The next question is from the line of Parag Thakkar from Anvil Wealth. Please go ahead.
Parag Thakkar : So, first of all, congratulation s to the entire team and HDFC Grou p that you got through the relaxation due to which HDFC Bank would be able to increase stake. And definitely, with ski n in the game, I can also understand that now the entire machinery of HDFC Bank, will be more willing to sell HDFC Life pr oducts. Another trend, is that in order to mobilize more and more deposits, including HDFC Bank, which is taking the lead f rom the front because of merger with HDFC Limited, many other banks are also opening branches in Tier-2, Tier-3, Tier-4 cities. So, I would ask whether HDFC Life is focused on developing products for this Tier-2, Tier-3, Tier-4 cities where HDFC Bank is now going to open branch es, or any other banks are also going to open branch es to attract those customers where the ticket sizes might be small and the insurance penetration might be negligible.
Niraj Shah : Absolutely. So, thanks for the question. We just discussed in terms of our progression to Tier-2, Tier-3 in terms of quality of business. That gives us the confidence that as we broad base our customer base in these branches that you're talking about across not just HDFC Bank but other new partnerships that we have like AU Small Finance Bank and some of the other larger banks which are also increasing presence in Tier-2, Tier-3, and also, our variable agency business, which is primarily in Tier-2, Tier-3 markets . We are very confident of being able to not just distribute and get growth out of that, but get growth with quality and maintain ing our profitability.
In terms of product constructs, yes, definitely, wh at we have to address is in terms of recognizing that the kind of documentation that's probably available in Tier-1, Tier-2 may not be available in Tier-3. We are looking at a lot of solutions around that as well. A lot of information is now available acro ss third -party databases, which we are able to leverage. In lower ticket size typically the kind of underwriting , from a medical perspective , that's required is a lot limited.

We are already in arrangements and discussions with our reinsurers to

be able to participate in
this kind of an opportunity and the reinsurers are fairly enthusiastic about it. So, all of this put together gives us a lot of confidence in our ability to not just create products and reach out to these customers, but do that business at scale and on a sustainable basis.
Parag Thakkar : Yes. So, if we put all this together, that the banks are opening branches in Tier-2, Tier-3 towns where insurance penetration is not there. Looking at th is, if you just leave aside FY 24, where you have a disadvantage of a very high base of FY23 because of the budget thing. What is the overall expectation of growth over the next 3 to 4 years , considering the under penetration of insurance and considering the fact that now banks are opening branches every where in order to mobilize deposits ?
Suresh Badami : You're absolutely right. Our whole strategy of ensuring that we reach to every segment in every part of the country, is something we have been working on for the past several years. And of course, we have the advantage of HDFC Bank, which now has increased their branch network to 7,800 . They added some 638 branches even during the last quarter , and 1,479 for the full year .
But if you really look at it, whether it's Bandhan in the East, whether it's CS B, SIB, Ujjivan, Equitas, whether it's Capital Small Finance Bank, Utkarsh, whether it's AU Small Finance Bank, a lot of them have very strong regional presence, and we've been actually getting extremely good support, like I menti oned earlier, from all of them.
So, clearly, if we have to work with them, we will find our growth and our product strategy also syncing with what they are doing. Of course, now we have the added adva ntage of acquiring Exide Life. If you remember, the entire proposition of looking at the acquisition of Exide Life was to look at the South market, which was a little weak for us as well as the Tier-2, Tier-3 markets . There's a lot of learning, which has c ome in terms of their product and the way that they go about their business , whether it's in terms of the venue marketing, or in terms of the agency model that they have, which we plan to now scale that up and take it across.
Thirdly, more importantly, I thin k being pioneers in technology, we've had a fairly strong presence in a lot of ecosystem partners. Now with multiple things happening in terms of the India stack , in terms of 5G, in terms of mobile penetration, in terms of how we've been working in the past , we do believe that there is again an opportunity in terms of increasing the NOP s as well as our penetration into the Tier-2, Tier-3 markets. Clearly, this year, we will focus in terms of how do we expand in some of these markets. And of course, the regulator is also looking at some of the other initiatives like Bima Vi staar and Bima Vahak. These are great initiatives to be able to take markets beyond even the Tier-2, Tier-3.
Parag Thakkar : HDFC Bank is increasing stake and HDF C Life does not need capital. So, mostly, it will happen through a secondary route, right? And generally Standard Life has been selling stakes in the past.
So, what is the stance over there?

Vibha Padalkar : So, you're right. In all probability, it will be secondary because we don't need capital. And you're also right that Aberdeen has been a seller. And there's a last bit that is there of 1.66% more because it is part of the promoter group . So, these are all conversations to be had between HDFC Bank and who they want to buy the stake from . And I guess that should materialize in the next month or so.
Moderator : The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.
Dipanjan Ghosh : Just 2 or 3 data keeping questions. If yo u can provide your rider attachment rates. Second, some colour on the credit life growth maybe across you

r channel partners, maybe segregate it across
some of the channel partners out there on the MFI side. And lastly, on the annuity margins, we have seen the market leader take multiple rate hikes. So, how are the margins shaping up across that particular business segment without taking into consideration the mix change within annuities?
Vibha Padalkar : Yes. On rider, we are growing . Not really giving out sp ecifics of that, but the focus continues to be there at every product that we can attach and at every channel level. Yes, there are push es and pulls, but that has grown fairly well, both in terms of individual and group riders. Your second question was in terms of MFI.
Dipanjan Ghosh : Sorry. On the credit life business across channels.
Vibha Padalkar : Yes, credit life . We are very happy in terms of how well distributed it has been over the years .
And the reason why we are happy is that there are many possible business disruptions . One kind of a sector goes up or down or one kind of a line of business is unattractive, mortgage is

unattractive for something, or it is attractive for something else , etc. So, it's about 1/3 rd, 1/3rd, 1/3rd. So, MFIs is about 1/3 rd and HDFC group is about less than 1/3 rd and balance is whole host of marquee banks and NBFCs. And similarly, we are very well spread across the lines of business es as well.
Dipanjan Ghosh : And maybe the last part on the annuity margins and how that is shaping up for the industry ?
Vibha Padalkar : Very robust. And I was a bit surprised, I thought we were the market leaders on annuities in the private sector .
Dipanjan Ghosh : I was referring to the PSU player out there.
Niraj Shah : So, the annuity market has been developing quite well. And what we are really seeing is a fairly calibrated approach from all the players who are participating in this . It is primarily the 3 or 4 large players who are writing this business . If you were to track in terms of how the market is behaving, you'll find fairly frequent repricing that is happening in the marketplace as a consequence of any changes in the interest rate environment. That's something that we expect to continue to see, given that this is a long -term risk management product, and we will be in a

position to manage our spreads and maintain higher than company level profitability in the annuity business as we go forward because of the market conduct that we hav e seen over the past many years since this product category has expanded.
Across the whole business, there are multiple sources from which this business really comes . As Vibha mentioned before , in terms of discretionary savings as a segment has been growing in the annu ity business . As the NPS business becomes larger, it is also contributing fairly well to this category of business. And we did discuss in terms of some of the regulatory changes that have happened more recently in terms of EoM . We do expect that the pension category as a product will also get revived very shortly. When that happens, that will also become a feeder to the annuity business as it was till a few years back.
Moderator : We have the next question from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.
Nitin Aggarwal : So, Vibha, the first question is how easy do you think it will be to redesign the KRA and change the overall strategy, focusing on granularity so as to limit the impact of budgetary changes? And also, if you can provide as to how April has trended so far to suggest the impact of new tax laws?
Vibha Padalkar : So, on the first one, it's going back. If you look at 3 to 4 years previously, we were doing exactly this, wherein we were selling to more a nd more customers. We were selling a lot more to middle class, upper middle -class kind of customers as well as solving for how do we broad -base growth. So, it’s goin

g back to that. It plays to our strength, again, because of the DNA. So, I think it's a question of maybe a quarter or so, if at all. This was coming. And really, one point I want to make is that even if the budget had not come, this is exactly what we would have done. And this is something that my management team is very aware of that our focus has been to go back to basics about number of policies because broad basing and getting more customers was equally important. And so, this is not really a budget led recalibration of KRA sheets, and that gives me a fair bit of confidence.
As regards April , this is a forward -looking statement, and that's something that we will give you an indication when we report our June numbers.
Nitin Aggarwal : And one more question as to how do you see the HDFC Bank counter share now moving ove r coming years?
Suresh Badami : Obviously, once they become the parent, they will see the overall strategy more closely . We expect a huge amount of support in terms of how HDFC Life is being looked at . It's not that we don't have that supp ort right now. But I think the way we are looking at it is in any of the business that we do, we have always looked at the right balance between the quality of the business as well as the risk that we take. And given the relationship that we have at all le vels across the bank and their comfort with HDFC Life brand, we do see the counter share moving up. In various forums, we've had the senior management of both the entities saying that we will inch it back up to the 70% mark. And I don't see any reason why we shouldn't be heading there.

Obviously, it is open architecture and HDFC Bank has very clearly stated that they would want to remain in the open architecture model. So, we will have to be competitive, whether it's in terms of product or whether it's in t erms of servicing. So, those actions clearly are planned for us, but you will see a sequential quarter -on-quarter growth in terms of our market share, and we are working very closely with the team there to see how we can take this up.
Moderator : We have th e next participant in queue, Ms. Pallavi Deshpande from Sameeksha Capital with the next question. Please go ahead.

Pallavi Deshpande : I wanted to know what would be the share of ROP in the product mix? And any expected hardening on the reinsurance front ?
Niraj Shah : So, ROP overall would be about 20 -odd percent of the business. It has gradually expanded over the last couple of years. We started in single digits a couple of years back and now it has caught on as we go deeper into Tier-2, Tier-3 markets . Also , the Exide Life business was catering to this segment. So, we are around 20 -odd percent at this point in time.
On the reinsurance front, it's been a fair bit of conversations that we've had with them in terms of how they are looking at the market place now . Two of the reinsurers are fairly active now. I did mention some time back that they are fairly excited about now getting back to the growth mode . From a pandemic perspective, there was a bit of defensiveness of course, at that point in time, but all of that is now gone. Clearly, i t is in terms of ensuring that we are back to growth in this segment. There is a lot of excitement around the protection growth coming back, and there is a fair bit of enthusiasm amon g the reinsurers on that front as well in terms of taking on new risks, new segments as well as deepening the current business.
Also, the good bit here is that some of the practices have been put in place, which will safeguard the interests of the customer as well as the insurers and the reinsurers and we expect that to continue. Pricing will continue to reflect the changing risk environment. So, as you go deeper into Tier-2, Tier-3 markets, the mortality experience is likely to be different and that will g

et
priced in as appropriate.
Pallavi Deshpande : Lastly, on the banca channel, which you mentioned HDFC Bank, which products would you focus on?
Vibha Padalkar : We are having a balanced product mix at HDFC Bank, and that will continue. Really, it's all the products that we have. The only nuance there, which I alluded to one of the earlier callers is that we are also having a SURU focused strategy, which is semi -urban and rural areas and looking at non-top 10 cities . And there, we have seen a fair bit of traction for us in both protection as well as some of the easier underwritten product s. So, that will continue.
Suresh Badami : So, if I can also add, I think really, the way we are looking at our product mix also is in terms of the overall opportunity on the product penetration at every branch level. So, we understand at a

specifi ed person level or FLS level , what is the opportunity in terms of being able to be par active, non -par active, term active. So, while Vibha mentione d that we always drive a balanced product mix, our objective would be to make sure that we totally penetrate in terms of the customer base on whether it's the annuity opportunity, whether it's in terms of the par opportunity less than Rs. 5 lakhs as we ll as the term. And in certain markets, we will sell ROP. But somehow across all the channels and the segments, we should be able to get to the right product mix with the right quality.
Moderator : The next question is from the line of Viraj Shah from Axis Capital. Please go ahead.
Viraj Shah : So, the first thing that I wanted to understand is that with the merger going through, the kind of branch addition that is expected to be done in the next 2 years would be about 1,200 to 1,500. I wanted to understand where could this take the bancassurance contribution to in the overall distribution pie? And what kind of impact could it have on the distribution expenses itself? Could they significantly come down with the addition of the branches and the bancassurance network going up?
And the second question was, there have been various reports about some GST and income tax notices being sent to the company. Is there any ask in terms of what could be the amount? What are the charges? And what could be an impact of this on the company?
Suresh Badami : Yes. So, let me answer the first thing about the branch expansion and what will be the bancassurance contribution. Really, we don't look at that, that way. I think Vibha answer ed in one of the earlier questions that, we don't target by contribution. Yes, obviously, bancassurance will go up because the branches are expanding, and it's not just at HDFC Bank. I think all our partners - there are like 300 partners, 28 partners on th e scheduled b ank side, where we'll be expanding, and we can see that growing. But similarly, the re are other investment in terms of growing the agency business or where we have a broking partner or where we have large other direct relationships, I think th at will also continue to grow. So, the way we look at it, each of our channels, in some sense, are regular business lines, and each of them is headed by a channel CEO, who is looking at end -to-end growth, profitability and quality of business. So, yes, we do believe the bancassurance growth will be there and we will gain share in HDFC Bank and when they expand, maybe the HDFC Bank contribution will go up. But really, the idea would be to ensure that we have a diversified distribution mix as well as grow eac h of the other channels.
And obviously, the cost structures will depend on whether we can get the scale and can get the volumes. I think we have demonstrated that in the past also in terms of brand expansion and we have amongst the best -in-class productivity across most of our banca partners.

And on the GST, I'll just hand it over to Niraj.

Niraj Shah : So, on the GST front, as you are aware, this is an industry -wide issue, and there has been a request for information to be provided around t he deductions that have been availed off on the input tax credit. We've been cooperating with the authorities and giving them all the requisite

information. We await to hear from them in terms of a formal show cause notice . Future course of action will obv iously be determine d based on what we hear from them. As of now, we are not in the receipt of any such communication from the authorities.

Moderator : The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.

Neeraj Toshniwal : So, first question is on the product line margin. If I look at the product mix, it has moved significantly towards higher margin products. But in terms of margin outcome not much improvement seen. So any gaps here or we would see it is largely because of t he investments we are doing? Or there has been some weakness because of the higher pool coming in because of high competition in the last 15 days? How to think about it?

Vibha Padalkar : If you're talking about the waterfall of margin, is that what you're r eferring to?

Neeraj Toshniwal : Yes, that is one question. You can see the result that new business profile has gone down significantly from what was there in nine months. But yes, I wanted to understand any change or drop in any product level m argin s we have seen?

Vibha Padalkar : No. So, actually, that's a very good point because there is intense competition that you see . Even if you saw that even in the month of March in terms of giving very aggressive rate on non -par, we stayed away from doing that, and that just means preservation of product level margins. You will find the same thing, especially on aggregator platforms. We are rarely the cheapest because then the pricing becomes extremely thin . So, even if one or two lives a re worse off than what you have factored in assumptions, then it becomes a problem . So, we have a very calibrated approac h and there's been no drop in product level margins. So, I mean when you compare, say March versus before March or Q4 versus Q4 before , there's nothing that is changed at a product level.

Neeraj Toshniwal : Got it. So, what kind of margin you expect over the next 2 -3 years . Obviously next year , you said that it will be somewhat flattish . But, over the next 2 -3 years, where do we aspire to kind of reach in t erms of margin profiling ?

Vibha Padalkar : Over a period of time, as the synergies between HDFC Bank and us as its subsidiary starts coming through, then you would see some level of margin expansion. Also, there are some optionalities that we talked ab out that are there in the Insurance Bill, whether it is in terms of being allowed to do some part of health, health riders or whether it is in terms of being able to distribute other financial products. So, there are a lot of optionalities that are o ut there . There is also GIFT city, because you're talking about next 2 to 3 years. Apart from our base, which should not change , we will be able to layer it and be first mover in many things that we already are. So, that will start showing some margin uptake once this year, which has a couple of moving parts settles down . Then we should get back on to the upward movement on margin.

Neeraj Toshniwal : So, why I'm asking this particularly because at one point, we were the leaders in margins compared to peers . Now, I think everybody has passed that . I just wanted to know what are the different levers, because we have the best products and still margin -wise, we are probably not the best . So, wanted to know when we are getting back to that?

Vibha Padalkar : Yes. So, a couple of points here. When you say that we're not the best in margins, I think one thing is that we need to look at, are we holding market s hare. So, if you look at HDFC Life, we are holding market share as well as growing market share and holding our positioning. So, we are amongst the top 3 life insurers in any which way that you look, in terms of new business and renewal premium and tha t continues. So, if you were to give up one or two positions, then the margins can be much higher. So, that triangulation between top line , margins, VNB growth, EVOP will be there for us . So, all of that is a holistic score card. That is point number 1. Number 2 is t hat, if you look at the consistency of margins because if you take one particular cut, then one can say that, in this period, you've not grown in terms of margin. But if you look at the 4 -year period which is what we put out in our investor presentation charts , that if you look at any 4 -year period, we have d oubled in all parameters. So, you would agree that, that is not an easy ask and we will continue to do that. Even way forward , over the next 4 years, we will continue to double. So, whether it is embedded value, assets under management, value of new business and so on. So, that kind of a trajectory, we have time and again showed over many cohorts of 4 years and not just one cohort of 4 years, and we'll continue to do that. So, margins will go up o ver time in a nutshell.

Sorry, last point I want to make on margins is that there is very little in terms of headwinds because, there are companies wherein the banks have not adopted open architecture. So, it's more in terms of , is that the right approach? And do customers really need a choice because , down the line, if customers don't have a choice in this world, then in all probability, the younger ones at least are goi ng to wander into other ecosystems. Whether , it is into an aggregator platform, whether it is into some other kind of digital platform and perhaps at least explore and eventually buy. So, information asymmetry cannot contain as a way of life. And so those h eadwinds do exist, which is not the case in HDFC Life.

Neeraj Toshniwal : So, that was like my second question in terms of HDFC Bank, will you get support in terms of market benchmark rates also because now then they become parent instead of second cousin .

Also, what will be the timeline for the 70% walle t share, I think we are at 57 -58%, how much time line have we kind of baked in to reach that target 70% mark?

Suresh Badami : I think, once the entire merger is through, and I'm sure the Bank will be busy with the merger. But yes, already once you become a subsidiary, and w e have those discussions, we will want to inch it up quarter -on-quarter. Now how fast, frankly, we'll be able to get to the 70% mark is in terms of the broad direction which comes in from the Bank as well as probably the hard work that we need to put in fr om HDFC Life. But we do see this happening. It is difficult to put a timeline to it, but yes, as early as possible, given the efforts on both sides.

Neeraj Toshniwal : So, first part was on the cost side. Will we get support on the commissio ns i.e. market benchmark rate, or we will continue what we are paying currently?

Vibha Padalkar : Look, right no w, we're just focused on how we work more closely with HDFC Bank and other conversations will follow because the merger announcement or the 50% sta ke has just come in.

The ink has still not dried. And I'm sure over the next few months, we will have those kinds of conversations .

Moderator : I would now like to hand the conference over to Ms. Vibha Padalkar for closing comment s. Over to you, ma'am.

Vibh a Padalkar : Thank you all for joining us on the call today. Please feel free to reach out to our IR team if you require further information or have any follow -up qu

eries. We look forward to speaking with you again. Thank you, and good night.

Call: Jul 2023

July 28, 2023

Ref. No.: HDFC Life/CA/2023-24/45

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra-Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai- 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sirs,

Sub: Transcript of earnings conference call for the quarter ended June 30, 2023

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Friday, July 21, 2023 to discuss the financial results of the Company for the quarter ended June 30, 2023.

The said transcript has also been hosted on the Company's website at:

https://www.hdfclife.com/about-us/investor-relations

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. As above

NARENDRA
GANGANDigitally signed by NARENDRA
GANGAN Date: 2023.07.28 20:05:21 +05'30'

HDFC Life Insurance Company Limited
Q1 FY24 Earnings Conference Call
July 21 , 202 3

Moder ator: Ladies and gentlemen, good day, and welcome to the Q1 FY24 Earnings Conference Call of HDFC Life Insurance Company Limited.
I now hand the conference over t o Ms. Vibha Padalkar, MD and CEO of HDFC Life. Thank you, and over to you, ma'am.
Vibha Padalkar : Thank you, Michelle. Good evening, everyone. Thank you for participating in this conference call to discuss the financial highlights of the quarter ended June 30, 2023. Our results, which include the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. Accompanying me are Suresh Badami , Deputy Managing Director; Niraj Shah , ED and CFO; Eshwari Murugan , our appointed Actuary; and Kunal Jain representing Investor Relations.
I will provide an overview of our Q1 FY24 results, and we will be happy to respond to any queries thereafter. We are happy to report that the merger of HD FC Limited with HDFC Bank has been successfully completed and that we are now a subsidiary of HDFC Bank. As you may know , HDFC Limited recently has increased its stake in HDFC Life to more than 50% and as a result, HDFC Bank now holds 50.4% in HDFC Life. O ur focus is on strengthening our partnership with HDFC Bank, enhancing collaboration, and maximizing customer engagement within our group.
Moving onto our operating performance for the quarter:
For ease of comparison, all previous year numbers in our dis closures are on a merged basis i .e. after including the performance of our then subsidiary, Exide Life Insurance.
We closed the quarter with a robust growth of 12% in individual WRP, which was 1.5x of private industry, despite coming off a strong March. Our Q1 FY24 market share was 16.4% and 10.6% in the private and overall sector, clocking an expansion of 60 and 90 basis points respectively.
Over the last 4 years, despite facing open architecture and intense competition from unlisted insurers, our market sh are has steadily increased from 12.5% in FY19 to 16.5% in FY23 in the private sector and 7.2% to 10.8% at an overall industry level.
We anticipate that growth will progressively accelerate as the year progresses, with Q2 expected to outpace Q1, and H2 show ing stronger growth compared to H1 , after adjusting for the one -time excess demand in the month of March.
We have also been able to grow the number of individual policies sold by 9% in Q1 FY24, in lin

e with our stated objective of broadening our customer b ase. We expect our efforts to enhanc e our distribution capability to reflect in the growth of policy count during the course of the year. We covered more than 2 lakh lives in retail policies and 1.6 crore lives overall in Q1 FY24, a growth of 8% and 34% re spectively, over Q1 FY23. Retail sum assured recorded an

increase of 55% and overall sum assured 73%, and our overall market share in Q1 FY24 was 16.9%. We feel privileged to have led the way in helping bridge the protection gap in the country by being the market leader in terms of total sum assured.
Our overall product mix remains balanced. Amongst the savings products, non -par savings stood at 33%, participating products at 26%, ULIP at 25% of individual APE. Other categories which include annuity and pro tection were 9% and 6% respectively. This quarter witnessed product launches in the pension and ULIP categories, which have been specifically tailored to meet previously unaddressed customer requirements and paving the way for new product sub - categories.
Overall protection has grown by 35% in Q1 FY24 on a new business premium basis. Retail protection trends remain encouraging with YoY growth of 45% in Q1 FY24. While the growth is accentuated by a favourable base, we do believe that the pickup in protection i s sustainable and growth is likely to be healthy for the year.
In Q1 FY24, our annuity business contributed to 19% of the new business premium with APE growth of 51%, mainly driven by increased demand for our limited pay annuity product - Systematic Retirem ent Plan.

Moving onto key financial and operating metrics:
On a like for like consolidated basis i.e. including our erstwhile subsidiary, Exide Life, our new business margin for the quarter was 26.2% as against 25.1% in Q1 FY23. This has enabled us to deli ver value of new business of Rs. 610 crore, which is a growth of 18%. We had achieved margin neutrality in FY23 and would have continued to do so in Q1 FY24, had the demand up -fronting in March due to the sun -setting of tax benefits not happened. We are 'capa citized' for higher growth, with upfront investments in manpower, distribution infrastructure and technology. Having said that, with new business APE growth expected to be better in H2, we expect our full year FY24 margins to be similar to FY23 NBM by the end of the year. As indicated by us earlier, we expect VNB expansion in FY24 to be led by APE growth rather than any significant margin expansion.
Our embedded value stood at Rs . 41,843 crore as on June 30, 2023, with an operating return on embedded value of 16% for the quarter. Profit after tax for Q1 FY24 was Rs. 415 crore, representing a YoY increase of 15%. The profit emergence from our back book continues to show strong growth of 19%. We have included an additional slide in the presentation to provide some perspective on the timing of profit emergence across product categories and correlation to VIF or value of in -force at an overall company level. The board recommended a dividend of Rs 1.90 per share aggregating to a pay -out of Rs. 408 crores, subject to approval by our shareholders.
Our solvency ratio was 200% as on June 30, 2023. Renewal collection trends continue to be healthy on the back of steady persistency. Our 13th and 61st month persistency was 87% and

53% respectively versus 87% and 52% last year, despite making i nroads into tier 2 and 3 towns.
Persistency has seen an improvement across product categories, cohorts and geographies over the last few years. Over the last 3 years, our persistency has improved from 89% to 92% in Tier 1 markets, fr om 84% to 87% in tier 2 markets and from 80% to 84% in tier 3 markets. This performance gives us the confidence to continue o

ur journey of deepening our customer engagement beyond metro cities.
Next on channel performance:
Our bancassurance channel has gr own by over 25% in Q1 FY24 based on individual APE. We are witnessing robust growth across all our large partnerships. With HDFC Bank as our promoter, we will work towards enhancing the availability and accessibility of insurance across the bank's customer base and increasing our market presence within the Bank's operations.
Our Agency channel grew by more than 1.5x company growth in terms of individual APE. We continue to increase our agent network by adding over 15,000 agents in Q1 FY24.
With respect to our acquisition, we are effectively realizing synergies both in terms of revenue generation and expense management and our efforts are on track.
We are proud to be recognized as one of India's top 10 best companies to work for by 'Great Place to Work '. We ar e the only insurance company to receive this recognition, which is a testament to our unwavering commitment to creating a people -centric workplace.
While we remain optimistic about growth opportunities in the life insurance sector, our vision extends beyon d just business growth. Following a customer centric approach, we remain steadfast in our mission to insure India and ensure financial security for families and individuals across the nation. We believe that widespread financial protection is a crucial aspect of economic growth, and we are enthusiastic about collaborating with our regulator to contribute meaningfully to this collective effort.
The detailed disclosure on our results is available in our investor presentation. We are happy to take questions no w.
Moderator: The first question is from the line of Suresh Ganapathy from Macquarie Capital.
Suresh Ganapat hy: Yes, Vibha 2 questions. One is on the HDFC Bank channel. The counter share was 55% in FY23. Has it changed this quarter ? Have you seen better traction and any color on that?
Vibha Padalkar: Yes, Suresh. This has been targeted in the sense that some of the branches that have been somewhat of laggards, there has been a fairly deep and joint focus on those, and that has seen traction. And hence, overall, close to about, just shy of 100 basis points has been the traction

that we have seen . Between 50 to 100 ba sis points, depending on which zone you see , in terms of overall market share. So early days, but in the positive direction.

Another interesting point, while that was not your question is our uptick in protection at HDFC Bank. And hence, we are also collab orating in terms of what are the right products to sell. So there, we have managed to make a fair bit of in -road. This is something we have always been mentioning that protection levels at HDFC Bank can be higher, and that is something that we have managed to do and will continue to do.
Suresh Ganapathy : Yes, I had one more question on VNB margins and growth . Your original guidance was 15% APE growth, excluding the INR1,000 crores one -off of last year, right? That translates into a 7% reported APE growth. No w if I were to extrapolate saying that the margins are flat, you are looking at, say, 7% VNB growth.
My point here is your margins are lower than your competitors , which is closer to 30%. What explains this and the fact that you would expect better synergies coming from Exide Life , then why is the margin projection a bit more conservative despite protection actually growing pretty fast?
Vibha Padalkar: Yes. A few poi nts here. I'll come to the peer comparison later. First is that in the first quarte r of last year, we did not have Exide Life, and we did mention at that point in time that Exide Life had low single -digit margins. From H1 onwards, we started showing consolidated margin. If you were to look at Slide 24 of our investor presentation, we hav e gi

ven the walk for both ,
with Exide Life and without Exide Life.
Second point is margin neutrality . So we feel reasonably confident that by the end of the year, there will be margin neutrality. One of the reasons or perhaps the only reason of falling sli ghtly short of margin neutrality against stand -alone HDFC Life margins in Q1 is pu rely because of the tax reason.
Typically, our growth r ate has been in the range of 17 -18% versus current APE growth of 13%. So there is that shortfall given we are capacitize d for 17 -18% growth . Once we start making up for that shortfall , margins will rise ; and month -on-month, we have continued to trend upwards. It's more in terms of fixed cost leverage because of the capacitization.
Suresh Ganapathy : But won’t protection help you ? The fact that it's growing faster ?
Vibha Padalkar: It will in terms of volume, I have to sell 3 protection policies for 1 saving policy . In terms of VNB, while protection has gone up, non -par savings has gone down. So to some extent, there has been a trade -off. In terms of product mix , Unit-Linked has gone up slightly this quarter because of strong market s. Q1 FY23 Unit -Linked was 23% versus 25% this quarter , a 200 basis points increase , which will correct over a period of time. But in cust omer's interest, typically, when markets do well, there is a bit of uptick in Unit -Linked and Par has gone down a little bit. So there have been trade -offs between protection versus others.

If this scenario ha d panned out , wherein protection uptick ha d happened and tax changes had not happened, margin uplift would have happened very significantly. If you recall, just 2 or 3 months ago, post-tax changes, the industry expected a best-case scenario of flat growth . Against that, a 13% growth goes to show that t ax being the only play has been clearly refuted. Every month, we have grown very well and each month has successively been better than the earlier months. This gives us the confidence about Quarter 2 being better than Quarter 1. And overall, H2 being bette r than H1. Overall, we have grown 1.5x the industry. Now coming to your question on industry. Suresh, we can get to 30% if we were to lose market share. But our market share, as you see, has actually expanded by 90 bps . There will always be a trade -off, if we want to stay relevant. We don't want to lose our ranking among st the top 3 , including LIC in the life insurance space.
If you look at Slide 6, you'll see that every year from FY19 to FY 23, we have grown faster than the private and overall sector and ou r market share has expanded . We were 12.5% in FY19, and we've reached 16.5% in FY23. That is the philosophy of triangulating and not wanting to lose our position in terms of ranking.
That hopefully answers your question as to why can't it be 30% . I can eas ily be at 30%. It is this triangulation wherein we will grow brick by brick. The pause was only because of tax . This year, we will come out with similar margins to last year, and next year, we will continue to move upwards.
Moderator: The next question is from the line of Adarsh from CLSA.
Adarsh: Vibha , Congrats. You and I -Pru have seen a good pickup in protection , so just wanted to ask how sustainable this pickup looks? What are the factors driving this now?
Vibha Padalkar: Yes. I'll hand this over to Sur esh.
Suresh Badami: There are multiple elements because of which we are seeing a n uptick in protection. First, we see customer demand , which we believe will be sustainable. We see this demand in HDFC Life web search , which is happening in terms of protection .
Clearly, we are seeing a customer led demand. The second piece is that we are now looking at

higher activation o f our frontline sales across all geographies in a very calibrated and product -centric approach. What we are tr

ying to do is trying to see whether we can have return of premium products in the Tier 2 /3 markets and whether we can have a better mix of term products in larger markets. Based on this, we have been trying to grow the overall retail protection.

On credit life, given that we a re a little agnostic in terms of how our protection is growing between retail and credit life, we have managed to maintain our market share across most of our credit life partners and their disbursements have grown.

Our penetration , in terms of volume and value has grown across verticals. We are also using brand awareness in terms of pro tection. You must have recently seen the Rishabh Pant campaign that we have done. We do believe that with the combination of visibility , data analytics and specific customer level efforts , we will be able to push protection. This focused effort will probably remain right through the year.

Vibha Padalkar: And last point I want to mention here, Adarsh, is that if you just look at Slide 16 in our product mix, if you look at the bancassurance you will see that term has gone up from 4% to 5%. On 50% of our business, you're looking at an uptick. It was 3% and then it was 4% in Quarter 1 of last year and then 5%. That kind of meaningful growth that you're beginning to see is what I had alluded to in an earlier question.

I want to stress that this is without doing anything adventurous on the underwriting guidelines or even on pricing. This is o n a calibrated but focused basis . Of course, some of this is also, whatever we went through d uring COVID and then repricing in terms of price increases. One has to socialize that all of these changes had happened and people had deferr ed decisions to buy protection.

This is a combination of all of that coming through. On savings, what we did as a s ector forced us to also focus on protection, which we alluded to in April earnings call.

Suresh Badami: I think it's not just the product features but also activation. There's a lot of effort spent on our efficiencies, how do we look at the overall end -to-end throughput , the speed of being able to convert the policies which logged -in, and we are seeing significant upward movement on that front also.

Adarsh: Got it. The broker channel has seen a doubling of the share of term . Does that include online players ?

Suresh Badam i: That is right. Some of the players like PolicyBazaar are now moved from a web aggregator to a broking code. So they are reflect ed under the Bro ker channel .

Adarsh: Got it. And my second question is , if you go back to the last call , what you have been saying is that because of the merger of the parent , the share you will end the year or you aspire to end the year at is 70% wallet share . This is a very big move from where we were last year. So obviously, you started moving in that direction this quarter, small changes in Q1, as you mentioned. What's the big change that will happen on ground for you? And do you see that playing out to up to 70%? Or it will be a little more gradual?

Suresh Badami: I'll add on to what Vibha mentioned in the first answer to Suresh. We have seen a slight increase o f 0.5% to 1% in terms of our market share increase at HDFC Bank. But to your point, I think it will be gradual because it is going to be calibrated both at the Bank level as well as at our level.

We have identified multiple levers on how do we increase our market share . Whether it is at certain branches or in certain geographies where we believe we need to put in more effort . Whether it is for certain products that we need to focus on jointly or whether it is in terms of manpower that we need to deploy at a certain number of branches.

And there are these 6 -7 levers where there is a high level

engagement between the bank , third -party team and our team on what is it that we want to do. Clearly, we don't want to dilute any under writing standards or change too much in terms of pricing.

It will be moving up in a calibrated manner. But given the messaging, which has come from the senior management of the Bank coupled with the ground level effort that our team has been putting in, we can see the traction has started to show across multiple geographies.

Adarsh: Got it. Thanks for the clarification. Just wanted to check, Vibha that 70% still remains an aspiration by the year -end or on -ground implementation can be a little more spaced o ut?

Vibha Padalkar: Yes. The 70% is not a number that we are articulating . It's up to the Bank and how they see it. It's not even been a month since the final consummation of the merger. The Bank will be in a new avatar of a conglomerate as against just the Bank. As that organically starts seeping in, the leadership at the Bank have said how we can upsell many things to the customer.
It is a strategy that will be led by the Bank as the parent . What Suresh alluded to are all the things that we are doing so that no stone is left unturned to meet them halfway and say that, we've earned our spur. We have done xyz things, and we have been efficient o n conversion , on how we're h andling complain ts and so on.
And then it's up to the Bank to see how they execute wh at they have already started articulating , in terms of various bouquet of products that they can upsell to the customer. But yes, it will be brick by brick, Adarsh, in terms of how we collaborate. But it is being done every day. On a daily basis, these con versations are happening at various levels.
Moderator: The next question is from the line of Anuj Singla from Bank of America.
Anuj Singla : So Vibha, following up on protection only. Can you give some color on how the strategy of growth in Tier 2 /3 cities have progressed on the policy split side, if you can give some color how the policy split that has been shaping up since we started this focus?
And secondly, can you also talk about how the mix of protection is changing in Tier 2 /3. Like you mentioned in y our remarks, more ROP probably and maybe lower ticket size. So , should we expect the VNB margins of protection growth in these cities being lower versus the back -book?
Vibha Padalkar: Yes, sure. I will just step back and explain why we were hesitant. Earli er, we were a little hesitant because of a couple of things, lesser of salaried individuals, non-standard income proofs and how we process that from an underwriting perspective. Also , reinsurers were

hesitant against the COVID backdrop. Now some of those t hings we have managed to iron out with reinsurers wherein we've gone in a detailed manner to say from a strategy perspective, we want to get into Tier 2 and 3.
Now how do we make ourselves comfortable with non -standard income proof. We started off by piggy backing and learning from a lot of NBFCs that do this. Yes, they don't know medical underwriting, but at least do financial underwriting. While doing that, we started to take less than INR 50 lakh cover on our books.
And then having conversations with rein surers to say this book is something that they can look at and whether they want to do a quota share on that book because we had already started writing that business and showing skin in the game rather than just being a pass-through .
Then we look at the r eturn of premium because just in terms of pitch for that segment, we realized that it's probably being seen even more so as an expense and okay, I get protection, but I'll get my money back. And like we've always said, we don't want to sit in judgment in terms of what should the customer be doing and thinking ; just the way all of us on this call are able to th

ink how our priorities are different.
So we said fine, we'll do that as long as we are able to explain that these are all the different protection prod ucts that they have as a choice as against only return of premium.
We had some preconceptions that the ticket sizes will be quite small. And we were actually surprised at the ticket sizes of Tier 1 versus Tier 2 . If Tier 1 is a little bit over INR 1 lakh , say, about Rs. 1.3 lakh then Tier 2 was about Rs. 85,000 and not Rs. 50,000 or Rs. 40,000 . We were also surprised that when we started going deeper, the Tier 3 ticket sizes were in the range of Rs. 70,000 to Rs. 75,000. So , we were able to get more and m ore comfortable with that.
Now the only thing left is persistency.
In different cohorts, whether it is protection or whether it is in savings, persistency is going to be different. And we are no longer afraid of it because demand is away from the top 10 ci ties. Over a period of time, we will disclose persistency in these cohorts and we certainly track it internally . What is the persistency in Tier I, like I shared just now. As long as within that cohort, the persistency is the same or slightly better, then the mix impact is something we should not be afraid of. And it was a bit of a revelation moment for us after Exide Life.
Because what happened with Exide Life, and we told you this, that the persistency of Exide Life business was inferior to HDFC Life busi ness. However, the persistency of Exide Life business stand -alone has started improving by about 400 basis points on almost every cohort just because of some simple things like getting standing instructions, making callings and calling well in advance .
We realize d that we are okay with that as long as in those cohorts, the persistency is what it is. And this improvement is something that we will continue to see. And over the last 3 years, like

I've mentioned in my opening remarks also, that the improvement is something we have seen across th ese cohort s.
It's a combination of underwriting risk that we see as well as the product pitch to the customer .
Thanks to EoM guidelines and many other things, the distributors are also aligned to it. We are getting over w hat will persistency be, what will mor tality experience be and so on.
As long as we're pricing it right, even the mortality experience, while it is likely to be inferior to perhaps the salaried metro kind of a profile, is an opportunity that can be mined i n a sensible manner.
Anuj Singla : Got it, Vibha. And the second question is on EoM regulations. How do you see the commission levels? Is there some commission pressure? And how is the competitive landscape on the distribution side changing because of this?
Vibha Padalkar: The reason the regulator has given us this flexibility is to say that you guys have been around for a while, please behave responsibly. And we would want to respect that ethos and not say that just because you can do much higher level s, it wil l be done irresponsibly.
What we might do is that some activities , which were paid for separately to the distributor, now we pay it as a fully loaded commission and tell the distributor or the partner that you guys can run those activities for us as custom er outreach. Hence, I don't see any impact on the customer or the organization.
Moderator: The next question is from the line of Mr. Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe : Two questions from my side. We can see that in indi vidual APE, the share of bancassurance has gone up significantly, in fact , the overall growth in bancassurance is pretty high. So how should we read this? You mentioned that your counter share in HDFC Bank has just about inched up . Is it the case that HDFC Bank has kind of grown at a very strong rate this quarter? Or is it the contribution of

other banks?
Suresh Badami: Nischint, Suresh, here. 3 -4 points on this. One, of course, HDFC Bank has seen a fairly good growth this quarter as compared to last year. At an overall level, while our market share has inched up, they have shown fairly good growth. Second, we have obviously been supported by a lot of other large partners, whether it's YES Bank, IDFC Bank or Bandhan bank. Multiple such large partners, includ ing many of the S FBs where we have a very strong presence, who have also helped us grow. It's not that our proprietary has not grown. Our agency business continues to do well and has also grown fairly well.
There has been a dip in the Broker segment, which has led to an increased contribution because Bro ker has had a little bit higher share of the high ticket size par and non -par business, which has slowed down. Both our agency as well as our overall Banca has shown significant

growth. And once Bro ker channel comes ba ck over th is year, we will find all channels firing again.
Nischint Chawathe : The second question is really on group savings and annuity and that proportion increased significantly this quarter. What kind of an impact it could probably have on the margins for you? Similarly, if you could comment on the segmental margins in the non -par business, given the fact that some of these products have to be repriced ?
Vibha Padalkar: On group savings, it is not hugely margin accretive. The reason we are in this busine ss is more in terms of relationships and being in the market. By group savings, presumably you mean all the funds that we manage , group funds.
Nischint Chawathe : That is right .
Vibha Padalkar: It is accretive but not hugely accretive. I would say that it gives more as a bulk than anything else. And it tends to be lumpy. You are in discussions for a long time with a particular corporate o r PSU and then it comes through or they have shifted from one insurer to the other .
So, it tends to be seasonal. It is good, but I would not read too much into it from a margin perspective.
Suresh Badami: And if I can add, similar to the way we have been managing a balanced product mix on the retail side, I think even last year, if you had seen, we had calibrated our approac h on the group savings . And group credit life has grown significantly for us, which continues to grow. We have been shifting within group savings to the Unit Linked kind of products, which are better in terms of profitability. You may find that a little mo derated, but it will be much more profitable than the regular traditional group savings products that we have.
Nischint Chawathe : Got it. And on the segmental margins in the non -par?
Niraj Shah : Margins are fairl y similar compared to what we've had in the past, adjusting for this gap in the growth that we spoke about earlier on the call. Our full year aspiration is to gr ow higher than what we have in Quarter 1. So adjusted for that, margins have been fairly simila r given that

nothing much has changed in terms of average ticket price.
At very high-ticket sizes, of course, volume has been impact ed to some extent as expected, but it's been more than made up by the growth in the other ticket sizes where at an overall l evel, the average ticket size has been maintained for the segment. As a consequence of that, margins are more or less where they were earlier. There are competitive pressures as you can expect in all categories, including this one.
But, we've been maintain ing our pricing discipline by and large, over the period since we launched this product category, and there could be maybe a lag of a month in terms of getting back to the pricing levels that you would like, but we've been fairly disciplined about that to be able to achieve this.

Moderato

r: The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities.
Rishi Jhunjhunwala : So just wanted to understand, you've put in a slide this time, slide 12, which talks about emergence of exist ing business surplus. How do we read that? And on that, you're talking about shift in product profile to longer -term savings. But if we look at EB surplus as a percentage of VIF that is inching down, what would be the reason for that?
Niraj Shah : The reaso n is that longer -term products release Indian GAAP profits over a longer period of time. That's all there is to it. If you see that slide that you're referring to on the left -hand side, by category of products, you will see the emergence is happening over a different period. If you take Unit Linked, for example, a large part of the surplus is getting generated in the first 5 years of the product being sold.
And if you look at traditional products, you'll find that just about 20% to 25% is happening in the f irst 5 years, and a lot of it is back ended. That's just the nature of the product and the situation that arises because of the accounting treatment that we have at this point in time.
From an economic perspective, it's clearly more value accretive. It's just that the cash generation or release to the Indian GAAP profits happens over different points in time. That's the reason why we've highlighted this across the 3 main product categories: traditional savings, protection, which includes both individual an d group, which lies somewhere in the middle, and then you have Unit Linked products. And on the right -hand side, what you have is at what percentage of the VIF, the business surplus can emerge over a period of time.
That is in the 19 -20% zone as the produ ct profile has been changing over the last 3 to 4 years.
What used to emerge earlier in FY18 and prior to that, Unit Linked used to be about 45-50% of the mix that has now become 25% of the mix. While the margin expansion has happened over the same period , the generation of surplus is happening over a longer period of time.
To give comfort of delivery of this is operating variances, which have been positive right through this period. That does give us that comfort that while the surplus is emerging over a longer period of time, it is more value -adding in economic terms and operating variances being positive tells us that this is definitely coming.
Rishi Jhunjhunwala : Understood. And secondly , last time, you had called out spend s that you're doing on your ne w technology initiatives. So just wanted to understand where are we on that for this year and how much it could be next year ? And what is the impact of that on margins , if at all material ?
Vibha Padalkar: Yes. So , we are continuing on track with our tech t ransformation, which is Project Inspire. We have completed our diagnostics in terms of where we are as well as where do we want to be .
Which are the projects that we want to focus on and change immediately. Now we are in the process of identifying some of the specialist partners who can start work on changing some of those. It could be without giving away too much in terms of CRM or it could be in terms of how we integrate , how we have seamless onboarding and so on.

We are in that phase right now. We did sa y that it is a INR 250 crores outlay in total, of which INR 50 crores was spent last year. This year, we are on track to spend INR 100 crores and next year INR 100 crores . Now this could be a little bit of here or there depending on whether we include more upfront or do we phase it out a little bit more to next year . But largely, it's on track.
Rishi Jhunjhunwala : Got it. All the best.
Vibha Padalkar: Yes, I'm not sure whether you want to me to repeat in terms of what are the benefits or that is reasonably clear ?
Rishi Jhunjhunwala :

No, that's clear.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha : The first question is on data keeping. The unwind rate seems to be at 8 percentage, which is very similar to last year. Just wanted to understand, it seems to be conservative, you want to maintain that level? Or how should we read this number given the equity markets are doing well? And second INR 810 crores, can you split the number into equity and debt as to where did that come from? That's my first question. And second question I have is on the Bank but I will ask that after you answer this.
Eshwari Murugan : On the unwind rate, we look at the assets t hat we are holding. And based on the expected return, the unwind rate is comp uted. If you look at the unwind rate of last year, it was based on the expected yield on the debt assets, which were again split into short term and longer term, and the short -term yields are lower, whe reas the long-term returns were very high.
As against that this year, the yield curve has flatten ed. The yield has changed across the tenure s. But , the increase is not similar across different ten ures. The weighted average increase is quite small. If you look at all the tenures of the bond that we were holding, we hold a lot of bonds in the longer end. While the shorter end has increased , on a weighted average basis, it's a very small number.
That's why you see that there's a small i ncrease and maybe the perception is that it is conservative , it is not, it's a very mathematical calculation based on the assets and the expected returns. And on equity, yes, last year, we were expecting a flattish investment return and the upside we expec t this year has been incorporated but that's getting offset to some extent from the Exide back book.
The Exide back book does not have a lot of equity given that they have mostly Par business with low equity exposure. That's why that offsetting impact is r eflected in the unwind rate of 8.2%.
On the investment variance of INR 810 crores, that is broadly split between the impact of equity and debt. In both, we have witnessed a positive impact. In equity, markets have rallied

and given around 10% return in thi s quarter compared to an expectation of 2 -2.5%. That's where positive upside of around Rs. 500 crores comes from .
On debt, the short end has steepened a little compared to March '23, and that has resulted in increase in the value of debt for the shareholde r funds and VIF asset s. That impact is around Rs. 250 crores to Rs. 270 crores, and the balance is some impact on the steady spreads narrowing.
Sanketh Godha : Perfect. Second question Vibha is for you. We understand that HDFC Bank will increase market share of HDFC Life as time progresses , but if you can give a little clear thought process as to how it will happen ? Whether you will penetrate more into customers , what is our current penetration , whether it is an NOP strategy or a ticket -size strategy, whether you will add more people , which products you are targeting ?
You have touched up on some points, but if you can explain in more clarity on how the 55% to 70% journey or closer to that number will evolve in say, next 2 to 3 years?
Vibha Padalkar: Even in ot her relationships, wherein there is no parent subsidiary relationship , there are counter shares that go up and down. And it's not just driven because of the customer, bu t it's often driven within the Bank. There isn't one way, there are many ways.
For exam ple, they could rightfully maybe place lesser people at the branch because I am of the school of thought that , learning from some of the other geographies, perhaps at Bancassurance, unbridled number of insurance people being deployed at branches is not opt imal from any Bank's point of view. One way is to curtail , if tod

ay it is not curtail ed and it is for the Bank to curtail .
Then like in home loans, for example, and that's how HDFC has been doing that if there are leads, then you don't really need 3 peopl e descending on a customer at a branch. It could be that the lead is passed on to the customer or there is a virtual fulfilment with the aid of the RM .
That is one way of doing things, which i s against what it is today, say at HDFC Bank, wherein they aren' t really focused on how many people do they want at each of the branches. Today my people market share or people share, at HDFC Bank is 40%. However, my APE market share is in the mid -50s. So that itself in terms of curtailment could give an uplift.
Anothe r way to do this is, if you recall, at HDFC Bank, even before multi -tie, it was HDFC Life that had trained all of HDFC Bank people into becoming specified personnel. Then it was hande d over under the construct of open architecture. Insurers that came in un der open architecture benefited from the investment in terms of training and collaboration and getting them licensed and training on insurance that HDFC Life had done .
So, it could be that for some time, a new branch does not have all companies at that bra nch.
There are various such ways, but obviously, these are inter se discussions between parent and

subsidiaries and not really something that I want to go into for reasons I'm sure you'll understand. Suresh, you want to add anything to this?

Suresh Badam i: I think fee revenue for the Bank is also important. And I think the branch team understands a t fair depth in terms of the branch level penetration, the customer penetration. I think they are actively looking at how, like Vibha mentioned, how do they inc rease the number of branches, which are activated.

There is a huge amount of focus , which is coming in from the Bank who have specified persons , who are present at each of these branches. We can obviously support in terms of training, in terms of certifica tion. We can look at how do we ensure that they are trained and then they are activated.

At a unit level, there is a fair amount of focus in terms of how do we get more and more participation. Clearly, the bank has a huge focus on deposits. It has a huge f ocus on many of the other bank products. But , the ability of our team as well as some of the other insurers to ensure that insurance as a product penetrates deeper, is fairly certain and HDFC Bank has been delivering year -on-year. There has been no doubt i f you look at the kind of growth that the Bank has been able to perform.

At our end, we focus on what can we do to improve our product proposition, how do we improve our operational efficiencies, how we can come out with products which are better than comp etition, how do we get people to get better lead conversion ratios on the leads that are passed on to us . I think there is a fair amount of focus there , and that will automatically come in.

Sanketh Godha : Got it. And last one from my side. It's a known fact that our cost associated with HDFC Bank is relatively on the higher side. Now given the relationship changes between parent and child, then do we expect that the cost what we pay to HDFC Bank will still remain at those levels? Or it will broadly grow in line with the APE growth, that the channel will give us ?

Vibha Padalkar: We look at this as fully loaded cost. What the Bank has been able to give us is a very different category of customer . I think it is not quite right to say one particular distributor 's cost s are more . It is what margin does one make out of it. What is the persistency. Expense is one aspect, but mortality experience at the same expense is different . So, all of those assumptions will impact what the margin is.

If I understand your questi on correctly , whether the Bank will take into conside

ration that we are now a subsidiary and leave something on the table ? I think these kinds of conversations are more for the Bank. But when the Bank says parent and child, I think it subsumes many such big and small things, which will come out of these discussions, which are happening at a very regular basis. But I think it will happen because for them also to switch hats from being a Bank to a conglomerate is not even a month old.

Sanketh Godha : Got it. O kay. A final one, have the Bank people have started sit ting on the board ? I just wanted to understand when the board constitution will change so that we have people from bank sitting in the Board.

Vibha Padalkar: Renu Karnad, who has been the HDFC Limited nominee , today was her last day at this AGM. Her tenure is not getting renewed for now. Some of these changes are not very far off in terms of somebody from the Bank's end coming on to our Board.

Moderator: The next question is from the line of Supratim Da tta from Ambit Capital.

Supratim Datta : Starting off with the first question, could you give me the proportion of policies in quarter 1 that was above 5 lakhs? And how has that changed compared to last year? The second question that I had was that it seems like you're able to get about 100 million in synerg ies from the Exide acquisition.

Could you talk about what mo re synergies could you extract from that business? How much more synergies are left to be co ming from that business? And lastly, the third quest ion that I had was, could you talk about the strategy of separating the growth in the focus ed markets in the agency channel? And what kind of productivity improvement and growth.

Vibha Padalkar: I'll start off with the first one. Above 5 lakhs is about hig h single digits. I'll pass on to Niraj for the Exide Life and then maybe Suresh can take the growth and the agency split.

Niraj Shah: On the Exide Life synerg ies, we started off very simply in terms of what is it that we can do to protect the revenues and what is it that we can do in terms of rationalizing costs. From a cost perspective, any infrastructure, which was a duplication , was addressed first up in terms of branch infrastructure. In terms of all corporate expenses, all of them are something which g ets

done as one unit now.
These are some of the things that came in, which helped us get to margin neutrality ahead of plan. When we were talking about the transaction in the early days, we had said that we want to get to margin neutrality on a pre -merger basis, which we did.
And since then, as the integration completely has got done now , the focus has been on using technology to get the Exide Life distribution to be able to use HDFC Life digital assets as well as in terms of access to products, which is s omething that has already started showing up in terms of the channel growth as well as in terms of the changing ticket sizes.
A lot of these things have started to happen. And now, the entire business is completely aligned into our overall agency business. And the Tier 2, Tier 3 story that we're talking about is something that is only getting enhanced by this entire combination. We did speak about the Tier 1, Tier 2, Tier 3 distribution and how things have progressed in the past few months. This is somethin g that is definitely adding to that. Persistency is improving. Ticket sizes are getting bigger. The quality of business that is coming through from these markets is definitely

better than what it used to be 3 to 5 years back. That gives us more confi dence to actually get this model into other geographies compared to where it was when it started off. That's how things are progressing on the merger front.
Suresh Badami: I'll start off where Niraj left on the agency business partner

and the Exide integra tion. The
good thing is that not only is the technology integrated , but also the entire business model has integrated with our agency business part ner model . We have unified both the teams in the sense that we are completely on course in terms of how do we now build that business.
Exide had a very large presence in South India in the Tier 2 and 3 markets. They had a well-set model. We have learned , we have expanded and now we probably want to be able to take that model to many of the other geographies.
That will clearly help us grow along with the tied agency business that we have been doing right across. Even on our agency model, you may have to step back a few years. I think we were number 8 on the agency model. And over the years, you have seen the steady growth in our agency model from a number 8 position to number 2/3 on an annualized basis. A lot of that has come in terms of the focus that we have brought on the quality of business, the quality of new FC addition that we have got, the activation of our f inancial consultants as well as reaching out into different markets.
Two/three new initiatives that we have taken, which would be beyond what we have done on agency in the past - one is clearly that we have now relooked at our entire agency business on the tied side on a focus and growth market. The growth market clearly focusing on Tier 2 /Tier 3 cities. We will be adding around 75 new branches, plus we will be looking at a hub and spoke in terms of how do we go into further geographies, which can help us e xpand into these markets.
Second, there has been a significant transition on agency model from a frontline productivity - linked model to agency activation and digitization model. There are huge amount s of data analytics and other initiatives that we have ta ken. There are hyper personalization projects running. There are micro market segments running. A fair amount of effort has been put in to identify which cohort of agents in which markets will be successful and how do we enable them, which will help us gro w.
We know at a pin code level, how many financial consultants are there, how many customers we are sourcing . What are the geographies where we are lower on insurance density and how do we grow that? How do we improve the quality of financial consultants w ho are getting on boarded with us ?
What is the mix chang e between housewives , students as well as financial distributors ? How do we reduce the death rate or what you call the attrition rate of new agents, how do we activate earlier agents? How do we increas e the number of MDRT agents ? There are multiple such things , which I think our team is working on , I don't want to expand. But clearly, we do

believe that the proprietary engine is running well, and we should be able to show our growth as we have shown in the last 4 -5 years.
Supratim Datta : Just on the first one, could you let me know what the percentage of high -ticke t size policies was last year as well ? This year it's high single digit .
Niraj Shah: That was indicated after the budget announcement . It was about 12% of the total APE, which has now com e down in last 2 months.

Supratim Datta : Okay. I just thought that quarterly it would be different.
Niraj Shah: Not really. It's fairly similar. It's now a few percentage points lower, which was complet ely expected.
Vibha Padalkar: I mean, in fact, March would have been higher because of what happened. But otherwise, it was fairly similar across the years .
Moderator: The next question is from the line of Avinash from Emkay Global.
Avinash : Yes. Thanks a lot for adding slide 12 that helps in connecting your EB to IGAAP profitability. Going back to margins, particularly with the details given on Slide 24. If I see on year-on-year basis, the product profile has changed

to be more profitable . If I look at annuit y as well as protection , it has increased , yet margin gain from new business is very limited.
Has product profitability has changed over the years ? And related to this, you are still hopeful of being flattish versu s FY23 margin. Right now, the growth is 12% to 13% in APE. If I look over the year, are you expecting, even with that high base of March, th at full year growth will be above this number ? The product profile if at all will be a bit adverse on a full year basis because the non -par savings will go down and right now, of course, the protection Y -o-Y increase is much higher than it will be on a full year basis.
My question is that, has product margin profiles change d? And on a year -on-year basis, with that reported FY23 APE, you're expecting APE growth higher than the 12 -13%?
Niraj Shah: Let us just go through the slide that you're talking about. The reason why we've given these 2 walks or waterfall is to explain what has happened on a pre and a post -merger basis. If you were to look at on a combined basis , 25.1% was the starting point and 26.2% is where we are now. And if you see the bars in terms of fixed cost absorption, that's largely indicating what is happening in terms of synergy realization that was to the earlier question.
And a large part of the e xpansion is in terms of the growth that has happened and also from a product mix perspective, things have been in some sense on a balance. Unit Linked has increased. Non -par has come down by maybe 1 percentage point. Term has increased. Annuity hasn't gone up. So , they have , in some sense, balanced out each other as far as the absolute VNB is concerned. But in terms of margin profile, that has added about half of this delta

between 25.1% and 26.2% . The change in business profile has added to about 50 basis points, which is fairly significant to your point.
If you look at the starting point , on a stand -alone basis, 26.8% to 26.2% , that's largely on account of the gap in growth that we spoke about earlier on the call. Our aspiration is to be 15 - 16% on a norma lized basis . To that, while we've grown faster than the sector, we're still at 12% this quarter . That's largely the gap, which you will see on the fixed cost absorption side in terms of VNB as well as in terms of new business margin.
To your second questio n. Yes, our aspiration is to grow faster than what we have in Q1. We do expect to be able to generate that kind of growth progressively as the quarters progress. And that's something that we had mentioned in April as well, and we hold on to that.
Of course , we continue to watch what's happening on the ground, but the signs are encouraging in terms of our ability to broad base the business in Tier 2/3 markets without any meaningful impact on average ticket size. The 12% APE growth has been delivered largely on account of volume expansion, 9% policy growth and 3% average ticket size expansion. That's how we are thinking about things as we go forward.
Avinash : Okay. With that reported base of March, are you still expecting the full year growth to cross this 12% number ? In March, there was a bump -up of 5 -7% on a full year basis. Are you expecting the cost absorption to be better ? That means that on a reported basis for the full year, growth will cross the 12% ?
Niraj Shah: No, I think that will be not be the righ t way to look at it because if you recollect on a 9M as well as 11 M basis , we were growing at 15 -16% last year. And because of March, our overall growth was significantly higher. So , once we back that out , we are talking about 15 -16% growth. But adjustin g for that, it will probably be single digits.
Vibha Padalkar: Yes, we articulated about Rs. 1,000 crores to Rs. 1,100 crores of incremental business is what we had explained on the April

call. So , what Niraj is saying is that if you back that out, then it will be somewhat muted.
Moderator: The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.
Prakash Kapadia : Thank you. My questions have been answered.
Vibha Padalkar: Thank you.
Moderator: The next question i s from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain : Firstly, on the non -par savings guaranteed return products. What has been the experience ?
While the share has definitely gone down , has the experience been better or worse than
expected from what you would have thought when the tax changes were announced? And to

extend that question, so when you say that the margins will improve in the second half, how
much of the recovery in margins would you attribute to improvement in non -par business ?
Vibha Padalkar: Even in April , I did allude that we believe that once the new tax regulations are socialize d and
digested, people will come around and see where else can they invest wherein they get long -
term guaranteed returns. And there's really no other op tion that gives them a better deal than
non-par products, and it's a one -stop shop of guaranteed income, which has caught the
imagination of a lot of people and at the same time, also having a life cover. We have already
seen the pickup.
I think what was e xpected as the bes t-case scenario was flattish growth. And against that, we
have grown 13% on overall APE basis and 12% in terms of retail APE . That gives us the
confidence that what we thought logically how things should pan out, is how it is panning out.
Some of it was up fronting in March. And so if you were to discount the slightly slower start in
Q1, I think the numbers are very much on track to getting back to normalized growth of 17 -
18%, which is doubling every 4 years. And that's what we have been demonstrating over the
last 8 years.
That's what gives us the confidence that this conversations around above 5 lakh and below 5
lakh will start becoming less relevant. What we said earlier was 12% was the high ticket
contribution before the tax changes , which has gone down t o single digits. It hasn't gone down
to 1-2%, and that gives us a lot of confidence. I think what a lot of people were expecting that
nobody in their right mind will invest in a product like this and that just has not panned out.
We believe that this will pick up and will continue to be more relevant, like I mentioned.
While that happens, we are seeing that in the 2 to 4 lakh categ ory, growth has been between
30-40% in Q1 for us in the non-par segment. So , a lot of people are allocating their funds as
we reach out to more customers . Focus on more customers rather than higher ticket sizes is
again something we explained in April. And that is how it is panning out. Do you want to add
anything, Niraj?
Niraj Shah: Yes. To your point on what gives us the co nfidence of margins expanding to last year levels by
the end of the year. It's that the intrinsic product margins haven't really changed too much. The
gap is in the growth that we aspire for, which is 15 -17% number versus the 12% in Quarter 1.
That is lar gely the differential in margin, which is something that we expect to even out as the
year progresses.
Prayesh Jain : Great. And on protection profitability - when you are getting into the lower tier towns, Tier
2/3, would you say that it would be on a relatively lower side as compared to what you would
be doing in the metros and Tier 1 ?
Vibha Padalkar: No. It is priced for all the risks that I mentioned to an earlier question, whether it is for slightly
worse mortality or persistency level s. All of that has been priced.

Moderator: The next question is from the line of Prudvi Raj S

aya , an Individual Investor.
Prudvi Raj Saya: I wanted to ask about the annuity new business. We know that NPS is a significant contributor
for this business, at least going forward . Can you give some color and quantify in terms of
what is the contribution of NPS? And how do you expect that to pan out in terms of long term
or medium term?
Niraj Shah: It is a fairly meaningful portion now. It used to be in early single digits. Now mor e than 20 %
of our business comes from that source apart from what happens on the individual pension
products that vest, people allocating their discretionary savings as well as people retiring from
corporates. It has become a fairly meaningful segment .
Prudvi Raj Saya: Okay. And you expect that to grow aggressively going forward? Is that right to assume?
Vibha Padalkar: If you were to triangulate NPS, our subsidiary, the pension company is the largest in the
private space and is growing very fast. It recen tly crossed Rs 50,000 crores in AUM . Now it's
about Rs 52,000 to 53,000 crores of AUM. That traction will mean more people will come up
to the stage wherein annuities have to be bought. It will be a natural culmination of our wholly
owned subs idiary , being the feeder into annuities.
Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.
Madhukar Ladha : Most of my questions have been answered. Just one thing on the non -par savings bit.
Obviously, the rate curve has flattened right now and other competing products also offer more

attractive rates compared to the last few years. Are we seeing any constraints in availability of FRAs, demand for the product and the rates that we can offer ? Obviously, these thin gs have to be changed with respect to the environment in which we are operating in.
Niraj Shah: Thanks Madhukar. Demand, like we discussed, nothing much has really changed. It will get reoriented in terms of how it is positioned or proposition ed to the cu stomer. That is something that is ongoing.
As far as the underlying is concerned in terms of rates, we will keep ensuring that we can give the best based on what is available in the marketplace. While the yield curve is flat, our proposition is at the lon ger end. We do not compete with instruments which offer similar rates at the shorter end, as you know. So as such, nothing much really changes there, either on the demand side or the rates we are able to offer. As far as the ability to manage risk is conce rned, again, on that front, no real issue in terms of FRAs being available as more banks are coming into the fold to be able to offer that instrument apart from our own internal hedging capac ity, which we continue to have.
Spreads on that can keep changing from time to time depending on the shape of the curve, but that is just something that we would price in depending on the commercials that we get from the counterparties.

Madhukar Ladha : So, would you put a number , that you would be able to maintain x per centage of your sales mix in non -par savings irrespective of market conditions? Would you be comfortable in saying something like that?
Niraj Shah: If you track what happen ed since March '19, when we launched the product. In the first quarter, it was about 60% after which we said that we will try and get into the 30 -35% zone, which we did as the rest of the year progressed. Since then, we've had multiple cycles, as you can appreciate in terms of credit growth, being a lot more than deposit growth. We've ha d situations where the yield curve shape has changed, the slope has changed.
But the product mix if you see over the last 3 years has been in the 30 -35% range. Closer to the budget, it touched 40% for that period. But again, it's back to the 33 -34% range . Across these 16-17 quarters through which we've had this product, we are reaso

nably comfortable to say
that we don't see this dramatically changing.
Moderator: We have the next question from the line of Dipanjan Ghosh from Citigroup.
Dipanjan Ghosh : Two questions from my side. First, if you can quantify your share of HDFC Bank in overall APE for the quarter? And second, if you can give some color on the annuity business , on the individual annuity business. Has there been any repricing of products in this particular category or the mix between products has changed? You mentioned limited pay has been witnessing traction , but if you can give broader color on that?
Niraj Shah: The share is in the 45 -50% range, and it's broadly in that same zone given what Sur esh mentioned earlier on the call . While the bank has grown well, our other banking partners have also grown well. Proprietary distribution has also grown quite well. The share is fairly similar to what it was last year in that band of 45 -50%.
Dipanjan Gh osh: Sure. And on the annuities?
Niraj Shah: Sorry, what was the question on annuities?
Dipanjan Ghosh : The question is, has there been any repricing of any product within the annuity segment and the broad mix of the sub -product classes within that , which witness ed traction during the quarter.
Niraj Shah: Annuity repricing is a very regular BAU affair and it happens every other month depending on which way the interest rates are moving. That is something that happens from time to time.
Within that, the two subcategories that we have are immediate annuities , deferred annuity on single premium side and now the limited period annuities . Limited pay annuity is a relatively recent launch that has continued to do well and is becoming a very meaningful part of the business.
Deferred annuities and limited annuity on the single premium side are still the bulk of the business. Our average de ferment period remains in the 3-4 years zone and average age at

which the product is sold is around 60. Nothing much has dramatic ally changed there, except that the new product that has got launched is something that is now becoming a fairly meaningful contributor.
Dipanjan Ghosh : Small data keep ing question. If you can give the operating variance breakup for the quarter?
Niraj Shah : Yes. Again, everything positive. Mortality, small positive. Persistency is significantly positive

and expense variance is also on the positive side.
Moderator: This would be the end of the Q&A session. I would now like to hand the conference over to Ms. Vibha Padalkar, MD and CEO of HDFC Life for closing comments. Over to you, ma'am.
Vibha Padalkar: Thank you, everyone, for joining us on the call today. Feel free to reach out to our IR team if you require further information or if you have any follow -on q ueries. We look forward to speaking with you again. Take care and have a good weekend.

Call: Oct 2023

October 20 , 2023

Ref. No .: HDFC Life/CA/2023 -24/ 73

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE
BSE Security Code : 540777
Dear Sir / Madam,
Sub:
Transcript of earnings conference c all for the quarter and half-year ended September 30, 2023

We wish to inform that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Friday, October 13 , 2023, to discuss financial results of the Company for the quarter and half-year ended September 30 , 202 3.

The said transcript has been hosted on the Company's website www.hdfclife.com .

This is for your information and appropriate dissemination.
Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. : As above

Moderator: Ladies and gentlemen, good day, and welcome to the HDFC Life Insurance Company Limited Results Conference Call. I now hand the conference over to Ms. Vibha Padalkar, MD and CEO of HDFC Life Insurance Company Limited. Thank you, and over to you, ma'am.
Vibha Padalkar: Thank you D orwin. Good afternoon, everyone. Thank you for taking part in this conference call to discuss the business performance for half year ended September 30th, 2023. Our results, which includes the investor presentation, press release, and regulatory disclosures, have already been made available on both our website and the stock exchanges. Joining me are Suresh Badami, Deputy Managing Director; Niraj Shah, ED & CFO; Eshwari Murugan, our Appointed Actuary, and Kunal Jain, from Investor Relations. I will provide an overview of our H1FY24 results, and will be happy to address any queries thereafter.
Starting with operating performance for the quarter :
Despite the recent budget change s that were perceived to be unfavourable for the sector, the life insurance industry has demonstrated remarkable resilience. Insurance companies have successfully harnessed their extensive distribution networks, tailored product offerings and favourable re gulatory developments to address latent insurance needs of their customers. This

has been exhibited by close to double digit growth in new business premiums and strong growth in policy count for private players. We affirm our belief in the medium to long t erm growth opportunity for the sector and HDFC Life's continued ability to navigate through such disruptions, only to emerge stronger.
With this as the backdrop, we recorded a healthy growth of 10% in individual WRP vs 8% for overall industry, for the hal f year ended September 30th, 2023. Our H1FY24 market share was 15.7% and 10.3% in the private and overall sector respectively. We continued to grow faster than the overall industry and be ranked amongst the top 3 life insurers across individual and group b usinesses.
We saw an uptick of 10% in the number of individual policies sold, beating industry growth. This healthy volume growth is in line with our stated objective of broadening our customer base. We have insured more than 3 crore lives across our indi vidual and group businesses, which represents a YoY growth of 16%.
More than two thirds of the retail customers on -boarded are new to HDFC Life and almost half of these are below the age of 35 years. Growth from tier 2 and tier 3 locations has been double than that of tier 1 locations.
Growth in protection was robust at 28% on new business premium basis. Retail protection registered YoY growth of 46% in H1FY24. Sum assured recorded healthy growth, with retail and overall sum assured growing by 61% and 45% respectively. We continue to lead in terms of sum assured and our private market share based on overall sum assured stood at 18% for H1FY24. Annuity APE grew by 17% and the segment contributed to 18% of new business

premium. Annuity and Protection put tog ether contributed to about 55% of new business premium in H1FY24.
Our average ticket size has stayed intact, despite moderation seen in higher ticket size business. Policies of upto Rs 5 lakh ticket size issued have seen double digit growth, with improvem ents in average ticket size across various cohorts. While there is de -growth in the above Rupees 5 lakh segment, we are seeing this get progressively better in some channels such as bancassurance. While the gap is wider in channels such as private wealth pa rtners, we expect improved overall traction in this segment in the second half of the fiscal, on the back of product launches and, both the distributors and customers coming to term

s with the new post - tax IRR reality. Despite
the tax impact, the long -term guaranteed savings product proposition remains unique to our industry and returns offered continue to be best in class.
Overall product mix remains balanced with non -par savings at 28%, participating products at 30%, ULIP at 28%, annuity and protection a t 8% and 6% respectively, based on individual APE.
We introduced 2 new products in the protection category viz. HDFC Life Sanchay Legacy and Click 2 Protect Elite. HDFC Life Sanchay Legacy is an industry -first whole life, return of premium protection plan with increasing life cover and is designed to cater to a middle -aged and beyond customer segment. Our other term product, C2P Elite, caters to a more affluent customer category.
Some of our other products launched in the participating, unit -linked and pe nsion categories have gained good momentum across all our distribution channels. Further, we have been able to offer higher than the traditional 7 -10x sum assured multiples on our unit -linked products, thereby bundling higher protection cover with our savi ngs proposition.
Moving on to key financial and operating metrics :
New business margin for H1FY24 was 26.2%, with value of new business of Rs. 1,411 crores, implying a 10% YoY growth. The total cost ratio ha s increased slightly from 19.3% to 19.7%. The increase in cost ratio is expectedly due to reduced cost absorption from slower growth in specific channels and should normalise as growth rebounds to pre -tax change levels. We will however continue to upfront manpower investments in channels such as HDFC Bank and other key Banca partners to capitalise on growth opportunities.
Our Embedded value was Rs 42,908 crore as on September 30th, 2023, with an operating return on embedded value of 16.4%. Profit after tax for H1FY24 was Rs. 792 crores, i.e., a YoY increase of 15%, with a robust growth of 18% in profit emergence from the back book.
Solvency as on September 30, 2023 is 194%, after factoring in the dividend pay -out of Rs 408 crore in the last quarter. Renewa l collections continue to be robust with a YoY growth of 14%.

Next, on distribution :
We have registered a YoY growth of 23% across our bancassurance partners. Our counter share at HDFC Bank channel is progre ssing well with strong support from our parent channel. We continue to collaborate closely with HDFC Bank and invest in the channel.
Our Credit Life partners have also delivered impressive performance, with Credit Protect growing by 28% in H1FY24. We are growing well across all our bancassurance collaborations, while steadily augmenting our portfolio of partnerships.
We are also pleased to announce our partnership with Airtel Payments Bank, which has over 15 crore customers and are excited about the possi bilities arising out of this alliance.
Our agency channel grew in -line with company growth. We added more than 37,000 agents in the channel in H1FY24. We have seen some moderation in business from the higher ticket size segment, but expect the channel to be able to re -coup the same in H2.
Amongst other highlights :
We are proud to feature amongst India's Best Workplaces for Millennials 2023 by Great Place to Work and to be recognized amongst 100 Best Companie s for Women in India 2023 by Avtar. We also ranked amongst Asia's Best Workplaces 2023 by Great Place to Work. This is a testimony of our endeavour to create an inclusive culture, be the employer of choice and invest for the betterment of our workforce.
We are appreciative of the proactive engagement by the Department of Financial Services and IRDAI with life insurers to discuss initiatives for the benefit of overall sector as we

ll as the
customers.
Moving on to our subsidiaries :
The AUM of our pension subsidiary has crossed 58,000 cr ores with a market share of 43% as on 30th September 2023 , which is an increase of 370 bps over September 2022. HDFC International clocked revenues of over $10 million, registerin g a growth of 50%. Their retail insurance business out of GIFT City commenced in August, with the maiden launch of US Dollar Global Education Plan.
In conclusion:
Our focus on improving customer penetration is trending well and we expect this momentum to continue and be aided by a pickup in the higher ticket segments. We are also confident of a strong performance in the mortality and longevity space along with ma rket share gains in our bancassurance channel in the second half of this year. We remain upbeat on the medium - to long-term growth potential of the industry and aspire to repeat our past track record of doubling key metrics every four years .

The detailed disclosure on our results is available in our investor presentation. We are happy to open the floor for questions now.
Mod erator : The first question is from the line of Avinash Singh from Emkay Global.
Avina sh Singh: Thanks for the opportunity. Couple of questions. The first one is on margin s. Of course, a part of it is understood that mix in this FY so far has moved in favour of ULIP from non-par savings. But at the same time, we see increase in retail prote ction . Credit life is still doing well and there is a pickup in annuity . So, there is some favourable development on product mix of high-margin product s as well . And, in your base, there was low margin o f Exide Life. So , net-net with these favourable facto rs playing out, protection and annuity picking up and with expectation of benefit from Exide Life , margins are flat. Is this due to growth being lower or expenses picking up ? An explanation around what's happening with the margin and what shall one expect for FY24. That's the first question.
Vibha Padalkar: Avinash, all what you said is absolutely right. There are many things going on. We talked about Exide Life starting off with low single -digit margins. We said we will nevertheless move towards subsuming that into our business and reaching margin neutrality.
Individual protection is doing exceedingly well. Credit life has always been doing well, and that continues to trend well. So that gives us that margin kicker . Our costs are reasonably under control d espite some of the investments that I talked about.
Unit Linked has seen a little bit of uptick to about 28% as against the 25% range that we would like it to be in. At the same time, counter share at HDFC Bank has gone up. Considering all of these, there are pluses and minuses which even out and that's why we are margin neutral . It is slightly better than Q1 margin but more or less flat is how we see H1 , and that's what we also guided towards at the start of the year. This year is a mixed year , in terms o f digesting tax changes and invest ing in people , so that we can grow number of policies , and all of that is panning out.

We expect flattish margin s, which would be a good outcome given everything that's going on including the continued degrowth in the abo ve INR5 lakh ticket size. Next year, this would be behind us as a sector, and we should continue on the upward trajectory on margins. Anything you want to add, Niraj?
Niraj Shah : As we had spoken at the beginning of the period , large part of our VNB growth will come out of APE growth and a significant part of our APE growth we were expecting out of volumes. That's exactly happening the way we have t

hought abo ut it as the year would pan out with 10% growth in volumes. And equally important is that our average tic ket size has been maintained. That was one of the biggest fears going into FY24 in terms of what happens because of the higher ticket size business. Like Vibha mentioned, the greater than INR5 lakh business has come down, but it is still a fairly meaningfu l contributor.

Significant part of our position has been maintained because of our expansion into Tier 2 and 3 markets. And similarly, while we would like to grow at 17% -18%, on a medium -term basis, the current growth is in the 10% range. That explains th e fixed cost absorption gap. Product mix, like you rightly articulated, balances out each other, and there is a mild positive sitting there in terms of higher levels of protection written , both on a stand -alone basis in individual -group and on the savings products.
Mod erator : The next question is from the line of Shreya Shivani from CLSA.
Shreya Shivani: I have two questions. First is on non -par savings product. Can you help us understand how many rounds of IRR cuts have you taken? I believe that the G -Sec yield, which you map has turned around since rate cuts have happened. Any guidance , will the product offer even lesser IRR s to the customers? How do you see this product and the customer offering going ahead?
Second is on the protection business. You sa id that Credit life grew by 28%. Is that new business growth or APE growth? Because group protection APE only grew by 7% in H1 . Has the GTI business contracted as a result ? Can you give some color on that? Thank you.
Niraj Shah: Non-par product repricing is a continuous ongoing activity for us ever since we launched the product more than 4 years back. To your specific question, we have repriced it twice , in this period.
Going forward, we will continue to look at the kind of yields we can get on a gross basi s and then adjust our IRRs in the marketplace. Of course, we will keep in mind what is happening in the marketplace. We have seen certain players offer IRRs, which we believe are addressing different profitability and risk management objectives.
We continu e to maintain a fairly balanced approach. We definitely want whatever growth we can get, but it has to be sensible in terms of profitability and the risk we write on our books. Our repricing will continue, and it will reflect what is happening in the overa ll interest rate environment.
As far as your question on group protection is concerned, credit life business has grown fairly meaningfully even in this period at 28%. And largely, business has shifted from regular premium to single premium in certain partners, w hich has resulted in the numbers that you are seeing.
On an overall basis, nothing is really different. On the individual side, protection has grown more than 45%. On the CP side, for this period, it has been 28%. It's largely just a regular premium -single premium change that has happened.
Vibha Padalkar: And to add here, it has lesser to do with GTI business , which you alluded to. Economics of the credit life business hasn't changed. It's just that , is it a single premium policy or a regular premium policy . That's about it.
Shreya Shivani: Okay, understood. Thank you so much.

Moderator: We have the next question from the line of Suresh Ganapathy from Macquarie.
Suresh Ganapathy : Two questions. You said the counter share has gone up. HDFC Bank 's counter shar e was up to 56% last quarter from 55%. Can you share any numbers ? How much has it gone up this quarter?
Suresh Badami: We have seen a fair amount of traction, which has been happening post the merger. We have ended H1 at 62% market share. If you were to lo ok at the 56.5%,

which was there at end of Q1,
we have been steadily trending upwards right through Q2. And across July, August and September, we have seen a significant uptick. I n September, our counter share was greater than

70%. We have ended at 62.2% f or the entire H1.
Suresh Ganapathy : That is fantastic. Can you tell us what have you done? What has happened to have such a massive pickup? And how have you gone about doing this?
Suresh Badami: In some sense, it has been a focused effort on both sides. We have invested in manpower over the last 5 -6 months. There have been product innovations which have happened. There are some new products which have got launch ed and have picked up strongly at HDFC Bank.
Vibha spoke about Sampoorna Jeevan , Sanchay Legacy was launched. There are few other products, which have got launched and have had a fair amount of pickup. There has been a huge amount of engagement and involvement from the Bank, across teams including support from TPP team .
So, it is a factor of everything tha t we are building. But typically, our market share has been growing across most of our partnerships. And yes, there is better alignment and much more engagement a t the strategic level with the Bank, and that support is coming in for us.
Suresh Ganapathy : But Suresh, this is not getting reflected in the overall APE numbers, right? Your H1 APE has just gone up 10%. Of course, Vibha has guided for a 15% APE growth excluding INR 1,000 crores one-off business, the ask rate for second half is very high, both on A PE growth as well as margins. We'll have to deliver 20% on the INR1,000 crores adjusted business in H2. Is that really achievable? And why is HDFC Bank better traction not getting reflected in APE growth numbers?
Suresh Badami: We have to take a longer -term view . Quarter -on-quarter, things will vary. We have seen some slowdown in other channels like Agency and Broca, which had higher dependency on greater than INR 5 lakh ticket size . Our strategy is to ensure that we broad -base our growth on smaller ticket size NOPs, an d we have started seeing that traction coming in. Additionally, there's some bit of base effect which is coming.
We will try to grow faster than the industry, which is really what we have been targeting every year. That has played out for us. In certain qu arters, some products get launched, in other quarters, some contest ends , so quarter -on-quarter, numbers may vary . Our distribution has been growing, Vibha read out as part of the earlier note that our agency distribution has grown by more than 30,000 agent s. As we build our distribution across tier 2 and t ier 3 markets , as we add

more partners into our fold , the smaller ticket size will come in. The opportunity is large enough for us to grow on a consistent basis.
Vibha Padalkar: To add here Suresh, further deconstructing some of the channels that have a lot more wealth customer bias understandably are slower. And we have seen degrowth in those channels, wherein the ticket sizes used to be very high. These channels have seen de -growth of about 20%. While growth in less than INR 5 lakh ticket size is about 18% at company level .
It is all coming out. Some channels have a lot more focus towards higher ticket sizes. Our broking channel is one, wealth channel is another , agency in terms of the top agents. So , it's a mix of that. However, reason why i t gives us a fair bit of confidence is that when we further deconstruct our numbers, one is very robust growth, like I said, close to 18% -19% on below INR 5 lakhs business . Second , growth in tier 2 and 3 is 2x of company level growth, where we are making inroads. The ch annels that have a lot more distribution reach into tier 2 and 3 markets are relatively untouched by the tax changes. Tier 2 and 3 markets are contributi

ng about 60% -
70% of our overall business.
All of that mix and manthan that is happening, wh ich we said at the beginning of the year when the tax changes happened, wherein growth will be a lot more broad -based across more and more customers , acquisition of new customers becomes important. Last point I want to make is that when I further look at o ur data, two -third of our customers are now new to HDFC Life. We are very happy about that because when you partner with a young life, then over the life cycle of the individual, we are able to do a fair bit of attachment at various significant life stages . Also, half of these new customers that we have acquired , are less than 35 years of age. So again, we are attracting young customers. Reason I'm quoting these numbers is that it's a little bit nuanced in terms of why the overall number is somewhat muted because of some of the other channels being affected. But at the same time, even in those channels, the growth in below INR5 lakh is touching almost 20%.
Suresh Ganapathy : You are still confident of maintaining 15% full year guidance excluding INR1,000 crores?
Vibha Padalkar : Yes. Just to clarify, I have said mid -teens. So yes, mid -teens, reasonably confident.
Suresh Ganapathy : Okay. All the best Vibha.
Moderator: The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.
Prakash Kap adia: You were talking about HDFC Bank, and how we have gained more traction. Continuing that

discussion , in tier 2, 3 cities and beyond, the bank has a fairly large rural presence. Even now they are opening up branches at a good pace. So , will that be the driver of volume growth in FY24 and beyond ? And w hat products are these customers looking at, if you could give us some sense ? That's the first question.

The s econd question is on the GST notice which we received last quarter , it was of INR 942 crores. We've paid some amount, INR 250 crores in dispute. Any updates on that?

Suresh Badami: This is Suresh here. Let me answer the first question. Yes, you are right. I think HDFC Bank is doing a tremendous job, in terms of expansion and branch growth. The branch expansion in SURU has grown more than 1,100 in the last 18 months , so clearly, they're driving.

Just to state, our approach to tier 2 and t ier 3 as a distribution strategy has been playing out for many years. Along with HDFC Bank, we have been gro wing our agency presence. We took over Exide, which has a significant presence in tier 2, tier 3 and southern markets.

Many banca partnerships, which we have tied up over the last 1 year, whether it is AU Small Finance Bank or other partners like Ujjivan, Utkarsh and Bandhan , have significant presence in tier 2 and t ier 3 markets . We may not have build as much on our direct, but there is a lot of demand, which is coming through our partnerships and our agency network in these markets.

We have seen tier 2 an d tier 3 markets grow much faster for us, almost double of what we have seen at company level . Of course, tier 1 has had an impact this year because the greater than INR 5 lakh ticket size normally concentrates in tier 1. However, the product range remains similar , it is the ticket size which changes.

There are certain features which are more favourable in tier 2 and tier 3 markets, and we will continue to innovate on that. APE growth in tier 2 and t ier 3 has been almost 17% for us in H1. So, you will realize that it's a stated strategy to expand and get into these markets. We don't see any reason why this segment will not grow for us going forward. Of course, the opportunity in tier 1 continues to remain, and we will capitalize on that.

Niraj Shah: Just to add a couple of bits on that , we found the customer segment being more amenable to buying protection differently fro

m the way they buy in tier 1. That's something that has really done well at scale in HDFC Bank in tier 2 and t ier 3 towns , in terms of buying protection behaviour being different. Additionally, we ha ve seen that there is more willingness to take slightly longer -term policies in these markets, which again is a very good indicator of being able to keep the business longer on our books and get more profitable business out of that category which is fairly encouraging.

To your point on GST, no further update. We have seen the show -cause notice, as we mentioned in our exchange disclosures. We are in the process of responding to that, and we will do that in due co urse.

Moderator: We have the next question from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: Thanks for taking my question. The growth in bancassurance seems to be coming up nicely with around 20% and it looks like th is is slightly ULIP heavy. But in other channels, probably ULIP is not picking up as much. So , when we are looking at higher growth in other channels in H2,

do we envisage ULIP to pick up? Or will it still be non -par heavy? In that sense, how do you see the product mix for the year evolving?

Suresh Badami: Let me start and Niraj can add on. We have mentioned in earlier sessions that we have always tried to maintain a balanced product mix. One of the approaches has been to ensure that each channel remains pr ofitable. In some sense, looking at the opportunity, we have tried to ensure that our mix remains in the 25% range for UL IP and the rest between par and non-par at 30%.

We have always managed ULIP contribution which comes from other channels because typica lly, ULIP needs to have high persistency , for it to be profitable. So , in agency, we have ensured that ULIP is managed well with some of our vintage financial consultant partners, who give us very high persistency on ULIP products.

You'll find that our age ncy is one of the few channels, which is near 90% persistency at an overall level. That is because we have tried to maintain certain ULIP to select set of partners with a focus on par and non -par. There is always an expected volatility in equity market s given what's been happening, we will look at the Unit Linked (UL) opportunity and growth , if markets continue the way it is.

In tier 2 and tier 3 markets , there's a little bit of UL demand. We have seen what's happened on

the MF and SIP space. So , we don't w ant to lose out on that opportunity. But we will be calibrated in terms of how much UL we allow through some of the other channels. But at an overall level , we will maintain the mix across all our channels.
Niraj Shah: To add to what Suresh mentioned. A lot o f times, product mix is also a function of new product launches . In this period, we have had two product launches on the protection side which reflects the momentum in individual protection growth.
We have also had a launch on the UL side with a slight ly different protection proposition attached to it. That has also done very well in the bank channel and some of the other channels as well. In H2, we expect to launch products in the other categories, which will then reflect in the product mix .
Like Sures h mentioned, by and large, we would like to stay within 1/4th to 1/3rd for each of the categories, while continuing to grow protection and annuities. It will also be dependent on the product launches that we have in the market. Of course, how people respon d to the economic environment in terms of volatility in equity markets , can then change things on the UL front. Similarly , when there ’s more concern about the geopolitical environment or of equity market s that can drive buying behaviour towards more tradit ional and conservative products. That's something that we see

, from time to time.
Nischint Chawathe: In the first quarter, it appeared that there was some fatigue in selling non -par post a very strong March. Do you see that having a tail in the second quar ter and business again eating up towards the end of the year? Or is it something that is not a concern anymore?

Vibha Padalkar: It's not really a concern, but couple of things here, Nischint. One is that, it has to be priced right. There's always a temptat ion to give very aggressive pricing. Right pricing is something that we really want to follow. So , we keep away from some of that situation that does happen in multi - tier situation.
Second is that versu s where fixed deposit rates are . More than fatigue, I think it's a little bit of kicking the can down in terms of taking a decision on non -par policy. It is because you say, let me park my money in a six-month FD or one year FD and then take a call down the line. Some of that could be happening. Of course, it is due to change , as and when rates start falling , transmission happens. So , it's a matter of a cycle rather than anything fundamentally that is different. And point three is that, there is awareness that there is reinvestment risk in any product other than a long -term non -par product and that has been very well socialized amongst customers at large. The proposition as such, nothing at all has changed on it, but some of these more macro forces, plus and min us are at play.
Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.
Swarnabh Mukherjee: Good afternoon and thank you for the opportunity. A couple of questions. First on growth , for slower growth in H1, you alluded tha t in several channel s would have five lakh -plus products in their base last year, which is impacting. So just wanted to understand that as we move in H2 , what would be the situation in those channels again for the second half of last year? Would smaller ti cket size growth be sufficient to cover up for that and meet the ask rate? The strong growth in banca that we have seen at 19%, if you could break it down into what is the growth at the HDFC Bank channel vis -a-vis other banca partners ? What is driving the growth?
So that is one. And secondly, if you could highlight in terms of the EV walk that you have given . If I strip out second quarter from the numbers that you have given for H1, the economic variance numbers appear to be negative. What is driving that g iven the market conditions and how the yield curve has moved over the last three months, if you can give some color?
Vibha Padalkar: Yes. We are reasonably confident that we will continue on this trajectory. What’s happening is the ticket sizes have been m aintained. So , what we had feared was that overall ticket sizes would start falling and that has not happened. That is one. Second is, like I mentioned to an earlier caller that we are acquiring more and more customers. The number of policies we are writing is growing. With both of this together, we should continue with mid-teens’ growth.
Swarnabh Mukherjee: Just a follow -up on that. The fact that, we have started to see strong growth in tier 2 and tier 3 markets . Moving into FY25, do you think that s uch a growth rate would be sustainable given that we again will have a reasonable base of that and other competitors would also be focusing on that market, given similar scenarios we were facing in the tier 1 market. Is that number sustainable as per your view?

Vibha Padalkar: Yes. Absolutely, I think so. And the reason is that, we ourselves were not very present. If you were to look back three years ago, this was a white space for us and the sector by and large, we have only focused on top 10 cities and so on.

As Niraj alluded to it earlier, wherein it is not just that we have feet on street now , it's a whole proposition on what products would work in tier 2 and tier 3, what measures we would have in place for underwriting, what kind of document is required and so on , because inc reasingly, the percentage of non -salaried customers in tier 2 is going to be meaningfully high. How do we get past the underwriting hurdles, what are the reinsurance arrangements that we suture up because, for reinsurers, these would be lower ticket, highe r volume, lighter touch underwriting or a different underwriting conundrum . It is many things like that.

And of course, people training, having products that are simpler in terms of give and get, having local regional languages in terms of outreach, the ad vertising and the tonality has to appeal in tier 2 and tier 3. So , it is a whole package, and that has taken us a couple of years ever since we started looking at Exide Life.

That was a turning point. And then tax changes happened , so we just accelerated o n that. But I'll give you another example. We do have a fairly high hurdle rate on persistency, which to some extent, was limiting our foray into tier 2 and tier 3 because inherent persistency is generally lower than top 10 cities. But for us to be comfort able with that as long as the pricing is right . Of course, down the line, we will showcase you how in various buckets we see persistency panning out. Mix could impact at a headline level. But within those cohorts, you will still see an improvement in persi stency. Persistency will be different, mortality experience will be different and how do we price all of that and how do we get increasingly comfortable with that?

I think that's the journey. This is just the tip of the iceberg, and I'm reasonably comforta ble and confident that, the journey will continue. We will, of course, piggyback on all our partners . Suresh mentioned this, HDFC Bank of course, but also many other partners that we have, that have been operating in these segments. And we also learn from them. We learn from a lot of our partners that extend credit to tier 2 and tier 3 customers because they also have to do at least financial underwriting. That's the hack they are donning to help us with the financial underwriting piece. We are looking at younger lives , lesser sum assured, so that we are able to take initial steps into that. As regards to your question on embedded value, Eshwari, you want to take that?

Eshwari Murugan: If I understood the question correctly, you want to understand the movement in investment variance that we showed last quarter and this quarter. I will explain the investment variance that was in June at around INR 810 crores, broadly split between impact of equity of INR 500 crores and interest rates of INR 300 crores.

In Q1, equity markets had gone up by almost 10%, which was higher than the expected return of around 2.5% and that resulted in a positive variance of INR 500 crores. Interest rates at the

short er end had fallen by around 20 bps. And since the value of our shareholder and VIF asset s increase s as interest rates go down, we had a positive variance of around INR 300 crores.

In Q2, equity markets performed slightly better than expected at around 3%, which resulted in INR 50 crores increase in positive variance. But interest rate cycle has actually reverse d. The fall that was there in Q1 reversed out in Q2. So, this almost nullified the interest rate impact that we got, which is why on a six month basis , majority of the investment variance of INR 650 crores is coming from equity.

Swarna bh Mukherjee: Understood. And ma'am, the question on the banca growth

Vibha Padalkar: I'll give a very quick answer. Both HDFC Bank and other banks are very similar in terms of growth.

Moderator: We have the next question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: What is the share of return of premium products? And is there a change where the share of return of premium products is increasing? And secondly, on VNB margins for the second half, do you think that you will be able to attai n the margins, which will allow you to have a flattish VNB margin as compared to FY23?

Vibha Padalkar: On the second question, yes . While it's always a challenge just given the kind of changes that have happened, we should be able to end at a flattish marg in. We are there at the end of H1 and in H2 as well as on a full year basis , very similar kind of margins with mid -teens growth and hence, mid -teens VNB growth. Niraj, you want to give the number on the other one.

Niraj Shah: Yes. So , on ROP, it's been steadily goin g up over the past few quarters as our presence in tier 2 and tier 3 markets has been expanding. Currently, the number stands close to around 30%. It ha d

been close to 20% in the previous period. So , it has moved in that direction.
Vibha Padalkar: And that also explains my earlier commentary on tier 2 and tier 3 because the products that we sell also have to be simple over -the-counter relevant products for that category.
Prayesh Jain: And that is also the reason why possibly the overall protection margin co uld be weaker than what we had earlier?
Niraj Shah: No, not really. As we mentioned in the past, the return on premium margins are not very different from pure term margins. It's really how the products are priced, as of course there are market participant s choosing to price their products differently in the market. But as far as we are concerned, there isn't any significant difference. In fact, return of premium is not margin dilutive at all on protection.
Moderator: The next question is from the line of M adhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: Banca channel continues to do very well. And one of the main reasons that you mentioned is , for the other channels a little bit weaker performance. If you look at individual APE growth numbers, I think agency direct , brokers and other channels, all three have declined on a year - over-year basis. And INR5 lakh -plus ticket size business in these channels seems to be the major component is what I get. Are there any other big factors that are playing o ut there? And then you gave that number of INR 1,000 crores, if I remember correctly, this was only the March impact of more than INR 5 lakh ticket size , or maybe Feb and March. But for the full year what would be the contribution of more than INR 5 lakh ticket size , to get a sense of what we need to overcome in second half?
Suresh Badami: Let me just quickly answer. Firstly, agency is not degrowing. On an H1 basis, we are growing at almost 10%.
Madhukar Ladha: No, I meant on a Q2 basis
Suresh Badami: Q2 basis , it is flat 3% growth. But like we mentioned earlier, I think agency and broking have been affected a bit from the greater than INR 5 lakh business . Broking, we had a significant presence in the wealth segment, our partnerships at many of the well -focused corporate agencies, and most of them had worked with us on almost exclusive or high market share basis, but we don't really have a problem because somewhere the distribution will attune itself to the less than INR 5 lakh ticket size . And agency, in some ways, takes a little mor e time. It is more retail, it is more distribution oriented. It will take some time to grow in more than INR 5 lakh. And it has been growing fairly well in the less than INR 5 lakh business .
Of course, the product mix is also moving to some pension products and some other products where ticket sizes are high. So , we don't really see a challenge in being able to grow agency. One of the reasons is th

at we are focusing heavily in terms of building our new base of financial consultant , more than 30,000 agents got added, which is significantly high. We are looking at activation. And we do believe that those may not probably be able to catch up in some specific verticals like wealth, which are greater than INR5 lakh focus. But the distribution should be able to scale up.
In the greater than INR5 lakh, as mentioned earlier, while there was a hiccup in what was pre - budget and post budget , the proposition is fairly strong. Customers are also coming to terms to say, if you compare what ’s available on debt mutual fund si de, what' s happened on fixed deposit rates, the product still remains fairly competitive. There is no reason why over a period of time, if you were to look at it afresh and have money in terms of asset allocation, a certain amount of money will continue to flow int o these products, while we'll get the higher ticket size from some of the pension annuity products.
Our focus is to make sure NOP grows , tier 2 and t ier 3 grows , less than INR5 lakh grows, but there's no reason why greater than INR5 lakh should also not pick up towards the end of the year.

Niraj Shah: Just to add to that and link it back to a couple of things on the call. One is in terms of our H2 strategy on margins that all links back up to how the top line will shape up. If we see more growth than what w e are anticipating at this point in time, our first objective will be to ensure that our VNB growth is in line with what we want and margin is going to be subservient to that. We clearly are in a position to be able to maintain margins for the rest of the year, but if the growth projections are ahead of where we think at this point in time, we will strive to maintain VNB growth, and we can review our proposition on how we're looking at VNB margins.

Suresh Badami: I'll just add . As a product strategy approac h, all the products that we are designing will help us scale up , whether it is in tier 2 and t ier 3, whether it's on the par or non-par side. We may believe that non-par is a product which is more price sensitive , yes, from an IRR perspective. From a custo mer proposition standpoint , we need to look at what kind of IRRs, what kind of surrender values. The way our products are defined, it's best -in-class for the end customer . These considerations gives us the confidence to say that , even with this product pro position, we are best in class.

Madhukar Ladha: Understood. Can you clarify the INR 1,000 crores number ? Was that only for Feb, March? And what would that number be for the entire year, last year?

Niraj Shah: INR 1,000 crores number was the post -budget bus iness that we had alluded to, which we said was a onetime business .

Vibha Padalkar: Which is largely March, because Feb hardly had moved.

Niraj Shah: And the overall number for the year on a total APE basis was about 12 %. That is not just the INR 1,000 crores in March, but through the year. And that's also what I just mentioned that 12% equivalent is close to 6 % now. So, a ll the conversation s that we just had is that, it is not that the product category has died above INR 5 lakh, it is still very much there. Of course, it will take time to c rawl back up to levels that we have seen in the past.

Madhukar Ladha: Got it. Thank you and all the best.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Thank you fo r the opportunity. Vibha, the simple question I have is that given our HDFC Bank market share has gone up to 70 %, and if I do a back calculation assuming 55% market share , what you had last year , I see banca as a channel..

Vibha Padalkar: Sanketh, just to intervene, the share has not gone to 70%, it is 62 %.

Sanketh Godha: Yes, sorry, I mean to say exit is at

70%. It is 62.5% for H 1. So, if I do a simple math, what I conclude is that HDFC Bank as a channel for all insurance companies put together, th e growth has been less than 10 %. It's rough math , but HDFC Bank ’s challenge to mobilize more deposits, is having some kind of an impact on their ability to grow third -party products, including insurance?

Vibha Padalkar: HDFC Bank and the team at the 7,000 plus branches are used to selling all kinds of offerings to their customers based on the bottoms -up need. Customers also are increasingly aware , at least in tier 1 and 2 towns of the concept of reinvestment risk. It's not th at it is a switch and someone having disposable income is agnostic. Even if the RM were to pitch an FD, the customers are reasonably aware of reinvestment risks. They might split their disposable income in some ratio between fixed deposits for liquidity an d for guarantee over many years, decades, in fact, to buy a non -par product or a protection product.

So that's why you are seeing that overall growth being there, not only for us but for the bank as a whole and we expect that to continue. Would it be in th e range of 20 % plus? I don't know. But certainly, in terms of double digits, that trend should continue.

Sanketh Godha: Got it . And second, from a margin point of view, if ULIP remains, because demand of the product is also there . If ULIP remains at the cu rrent level around 25 % to 30 % of the total APE, which is higher compared to last year, then the strategy of attaching higher sum assured in ULIPs can improve margins of ULIP by how much percentage? I also want to understand, high sum assured as a percentag e of ULIP you have sold, it contributes how much to the total APE mix? That's point number one. And second, on non -par business, given the yield curve is very much flat, is the product itself seeing margin pressure compared to what you have experienced las t year, because IRRs are demanding and supply side market is not favourable , so is non-par at product level seeing any margin pressure?

Niraj Shah: On U nit Linked products, yes, a significant amount of business is now getting done at higher sum assu red, which is meaningfully more profitable than what we have on a minimum sum assured multiple that we traditionally have on Unit Linked. But of course, it is still lower than company average. Can we maintain our margins while the Unit Linked mix continues in the 25%-30% zone? We can , because we already have . In the first half , we managed to do that. Large part of the pressure on margins is on account of 2 things, as we discussed. One is that we are capacitized for high -teens growth, which we have delivered in the past periods and the current growth is in the 10% zone. So that is the biggest delta in terms of the margin trajectory. Second bit, to some extent, is product mix. But as you have seen on an overall basis, product mix has balanced out changes, whet her it's higher protection, higher annuities or otherwise. So, at a portfolio level, we don't expect to see any challenge in maintaining our margins with the Unit Linked mix being where it is right now. On non -par, like we mentioned in the past, our pricin g is not really dependent on which way the interest rates are. It is more in terms of our

pricing discipline, in terms of what we are able to generate. So, if you're talking about on the FRA side, again, it's a pass -through from our perspective. When we we re making a spread, that was being passed on as yields and som e of it was being retained. While it is a cost now, that's also getting factored into our returns to the customer.
Sanketh Godha: Okay. The reason I'm asking is that because macro is in favor of other products, so to hold up the growth in non -par whether we will see a margin pressure in non -par at product level because of sp

read compression?

Niraj Shah: No, Sanketh. Honestly, I think different people have taken different calls on how to run non -par business. Even when the environment was different, people were offering 40 basis points higher IRR than we were, even today, they are doing the same. So, it's really a call that management takes in terms of how to price the product. As far as we're co ncerned, we try and stay away from that.
Vibha Padalkar: Also, some more nuances on the pricing of the product , one has to look at customer centricity in terms of what surrender values one gives. And devil is in detail, one can give much higher IRR s if the surrender value even after 10 years is abysmally low . We want to attempt to continue triangulating between various objectives and to also be fair to the customer.
And you will see us repricing wherever we have to reprice. At the same time, not exiting the game, so to speak, we will continue to be in there. There’s usually a lag but others’ repricing follows . I think that will continue. It is not new. It is not only for non -par. It also very much applies to protection and some of the other segments. We are used to that.
Moderator: We have the next question from the line of Dipanjan Ghosh from Citi.
Dipanjan Ghosh: Two questions. One, when you say your high -ticket non -par mix is around 10%-12% for the first 10 months, can you give some color on whether it is more front -loaded or back -ended? Some colour on what would be the mix, be in the first six months versus the last four months? Second, on your non -HDFC Bank, banca channels and your broker channels, is there any payout changes or unit economic changes acr oss credit classes that you're seeing?
Vibha Padalkar: No major commercial changes, very much business as usual. On n on-par, while I don't have the numbers, but it is reasonably flat. From memory, if I can recall, there was no heavy back -ending or front -loading . It was reasonably flat except in the month of March.
Niraj Shah: And just to clarify, this 12% number that we quoted was for all business above INR 5 lakh, not just non -par. So that's what we had called out immediately after the budget when we have done a call. And of course, numbers were different in March.
Moderator: We have the next question from the line of Abhishek Agarwal from Naredi Investment
Abhishek Agarwal: I had only one question. You said in last con -call your focus is on strengthening our partnership with HDFC Bank , enhancing collaboration and maximizing customer engagement within our group. So, has there been any improvement or is it the same as before?
Suresh Badami: There's a lot more synergy in terms of our strategy as well as for HDFC Bank. We are working closer in terms of how we expand the market, get incr emental business, both for the Bank and for us. We have seen improvement in our market share, and we hope we will be able to sustain this. A lot of this is based on certain new produc ts that we had launched. There was a certain amount of synergy that came in this particular quarter. Given the open architecture, our ability to invest in people, look at new innovative products, look at more support, we will see a lot more .

Abhishek Agarw al: Can you give a ballpark number, how much improvement in the overall relation with HDFC Bank after becoming subsidiary?
Suresh Badami: We have grown to 62%, as our market share, is what we have declared. We have to look at it on a long term basis becaus e from quarter -to-quarter, depending on either a contest launch or depending on new product launch or depending on something that we are doing differently on the ground, these things can keep going up and down. But yes, we have started seeing this going up at 62 %. We have seen almost a

4 -5% increase in our market share than prior to merger.
Moderator: The next question is from the line of Bhuvnesh Garg from Investec Capital.
Bhuvnesh Garg: Just on the APE growth. So if I understand the APE growth by ticket size, so you said that 18% growth in lower ticket size Y -o-Y and 20% decline in high ticket size. Is that correct, sir?

Vibha Padalkar: Less than INR 5 lakhs was about 18% to 20% growth and more tha n INR 5 lakhs, we had a de-growth.
Bhuvnesh Garg: Considering 12% of your APE comes from high ticket size and if you had 18% growth in low ticket size and 20% decline in high ticket size, basically blended growth should have been 13%, 14% Y -o-Y in H1, but we had 9% growth in H1. So, I just want to understa nd what's the disconnect here.
Suresh Badami: I think 18% growth was on NOP . Sorry, it was value wise .
Niraj Shah: So the 12% number that we had spoken about was last year. That was our total APE percentage over INR5 lakh in that period. Right now, like I mentioned, that contributes to about 6% of our business. And that's where on a lower base, degrowth is what we're seeing at greater than INR5 lakh. On more than 90% plus of our business, which is less than up to INR5 lakh, has seen an 18% growth. And the t icket size on that is something which has expanded, which has neutralized the overall impact on ticket size . We are flat on ticket size and basically the APE growth is similar to volume or NOP growth.
Vibha Padalkar: And also, the 12% was average over the year. So, one quarter if you look at or a certain part, it will vary by 200 basis points here and there, but it is more in terms of average over the year.
Moderator: The next question is from the line of Avinash Singh from Emkay Global.
Avinash Singh : My question was more on your direct channel , where you have been pretty strong. And these channels would not have much of above INR 5 lakh contribution, but that channel has slowed down in the first half. Is there some change of strategy in your direct c hannel ? Are you focusing more on HDFC Bank? What has happened to the direct channel? Because your online, offline both have been very strong in the past.
Suresh Badami: It has been. One is that given technology and a lot of it , there are lower branch walk -ins. A lot of our business used to come in from the direct business. And online business also is picking up.

The other piece is, some of our larger partners like Policybazaar, which were quoted under direct, are now reflects unde r the broking channel. That's the way we have kind of classified it. And one thing we need to realize is that in a lot of our partners and channels, online is actually becoming more horizontal because more and more people are adapting to tech, websites and online.
Direct -to-customer is there but the interface to the customer is moving more directly. It's mapping change in Policybazaar and there has been a little bit of a slowdown in direct. But going forward, we do expect both the online business as well a s the branch business to expand. We are expanding a certain set of branches. We are probably going to add another 75 branches. We will see expansion even in the direct channel as we go forward.
Avinash Singh: But Policybazaar technically turned into broker much before , it was already a broker last year. And if you have chosen to change Policybazaar from direct to broker this year, then the broking channel adjusted for this has even declined much sharply . Is my understanding correct?
Suresh Badami: No, I think the channel got remapped in Q3 . So over a period of time, it has shifted into the broker channel.
Avinash Singh: So you are saying that in H1 last year, Policybazaar was not part of broker. This year, it 's part of broker and yet broker channel has decli ned?
Suresh Badami: Ye

s. Because we had significant partner presence in broking channel. Over last few years, we have built significant presence in the wealth channel. All the large partners like IIFL, ASK, there are many such wealth partners with us who h ad done significant business on the greater than INR 5 lakh. There has been a fair amount of degrowth, which has happened there. So that is something that we will counter in terms of retail NOP growth even through broking channels, and that should come bac k. But yes, it's had an impact for us on the broking channel.
Avinash Singh: Okay, clear. Thank you.
Moderator: We will take that as a last question. I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments. Over to you, ma'a m.
Vibha Padalkar: Thank you, everyone, for participating in today's call. On behalf of HDFC Life, I wish you all happy festivities. Please feel free to reach out to our IR team in case of any further queries. We look forward to connecting with you again. Good evening.

Call: Jan 2024

January 19, 2024

Ref. No .: HDFC Life/CA/2023 -24/ 109

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE
BSE Security Code : 540777
Dear Sir / Madam,
Sub. :
Transcript of the earnings conference c all for the quarter and nine -months ended Decem ber
31, 2023
We wish to inform that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors
held on Friday, Janu ary 12, 2024, to discuss financial results of the Company for
the quarter and nine- months ended December 31, 2023.

The said transcript has been hosted on the Company's website www.hdfclife.com .
This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. : As above

HDFC Life Insurance Company Limited

9M FY24 Earnings Conference Call

January 12, 202 4

Moderator: Ladies and gentlemen, good day and welcome to the HDFC Life Insurance Company Limited
Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation con cludes . Should you need assistance
during the conference call, please signal an operator by pressing * then 0 on a touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Ms. Vibha Padalka r – MD and CEO of HDF C Life Insurance
Company Limited. Thank you and over to you, ma'am.
Vibha Padalkar: Thank you, Zico. Good afternoon, everyone. Thank you for taking part in this conference call to
discuss the business performance for nine months ended December 31, 2023. Ou r results, which
include the investor presentation, press release and regulatory disclosures, have already been
made available on both our website and the stock exchanges. Joining me are Suresh Badami,
Deputy Managing Director; Niraj Shah, Executive Direct or & CFO; Eshwari Murugan, our
Appointed Actuary, and Kunal Jain, representing Investor Relations. I will share key insights

into 9MFY24 results and will be glad to take any questions thereafter.
Starting with operating performance:
Our individual WRP grew at 6% for the nine months ended December 31, 2023. Private market share for the period 9MFY24 stood at 15% and we continued to be ranked amongst the top 3 life insurers across individual and group businesses. Whilst QoQ sequential individual APE growth was 8%, it has been lower than our initial expectations, largely due to a slower pace of recovery in ticket sizes over Rs. 5 lacs. However, there is sustained positive traction across ticket sizes up to Rs 5 lacs. These cohorts continue to deliver well – clocking 3x overall company level growth. Encouragingly, we are witnessing indications of a resurgence in the high -ticket segment, particularly in some of our recently introduced products.
Additionally, we have noted a shift in asset allocation trends in favo r of equity investments, influenced by the current buoyant markets. We have also witnessed postponement in demand from specific cohorts due to the prevalence of high short -term interest rates. Nonetheless, we view these as temporary challenges and anticipa te an uptick in growth as these macro trends gradually normalize. The number of policies sold continues to clock a healthy growth of 9%, outpacing private and overall industry. This aligns with our core objective of establishing a sustainable long -term bus iness by broadening our customer reach. We have covered close to 5 crore lives across our individual and group businesses. Growth from Tier 2 and 3 markets remain strong, witnessing 2x company growth. These markets contributed close to 65% of the overall topline. Average ticket size has remained stable despite the impact on high ticket sized business.

Our retail protection grew by 36% based on individual APE and credit protect clocked 21% growth YoY. Overall and retail sum assured registered growth of 38% and 54% respectively, with us continuing to be market leaders amongst private players in overall sum assured. Our private market share based on overall sum assured stood at 19% for 9MFY24. Annuity and Protection put together contributed to over 50% of new business premium in 9MFY24.
Toward the latter part of Q3FY24, we introduced Click 2 Achieve, a ground -breaking product in the non -par savings category, distinguished by several pioneering features. This innovative plan empowers customers to create unlimited combinations, tailor their cash flows to align with personal goals, with the cushion of a guaranteed return. The customer can also reduce the impact of inflation on income

with increasing income option. It also provides the flexibility to grow
survival benefits at a rate 1.5% highe r than savings bank deposits. The product has been received well across channels and garnered 100 crores within 4 weeks of its launch. This is our 2nd ‘100cr in a month’ blockbuster product to be launched this year.
Product mix remained balanced with non -par savings and participating products at 28% each, ULIP at 32%, annuity and protection at 7% and 6% respectively, based on individual APE for 9MFY24. Notably, the non -par mix saw a 200 -basis point increase sequentially, largely driven by the successful la unch of Click 2 Achieve, reaching an exit run -rate exceeding 30% in December. ULIPs have seen an increase on the back of thriving equity markets including in the >Rs. 2.5 lakh segment.
Moving onto key financial and operating metrics:
Despite shifts in our product mix and ongoing investments across channels, New Business Margin was sustained at 26.5% for 9MFY24. This reflects our calibrated approach across multiple levers including pricing, cost management and underwriting, even amidst market disruptions. As indicated earlier, we have also been able to improve profitability across product segments. Value of new business increased by 5% YoY to Rs. 2,267 crores. Embedded value was Rs 45,173 crore as on December 31st, 2023, with an operating return on embedded v alue of 16.5% . Profit after tax for 9MFY24 was Rs. 1,157 crores, i.e., a YoY increase of 16%, supported by 18% growth in profit emergence from our back book. Solvency as on December 31st, 2023 was 190%. Renewal collections continue to hold strong with a Y oY growth of 15%.
Next on distribution:
We registered a YoY growth of 17% across our bancassurance partners whilst maintaining our counter share at HDFC Bank, benefiting from a strengthened group relationship. We are also happy to have extended our presen ce across bancassurance partners and expanded our personnel in their bank branches whilst deepening collaboration via various initiatives, such as blockbuster products, bespoke training and on ground engagement. These efforts are dedicated to amplifying customer value and experiences.

We are glad to announce our new bancassurance partnerships with Karnataka Bank, Karur

Vysya Bank and NKGSB Co -operative Bank and we are confident of growing with them over the next few years whilst offering their customers a r ange of innovative and customer -centric financial solutions.
Our Agency channel delivered growth in line with the company's performance. We added more than 50,000 agents in the channel during 9MFY24 as we continue to build a robust Proprietary franchise. O ur strategy focuses on strengthening our distribution network by expanding branches, attracting relevant distributor profiles and making consistent investments in technology and capability building.
Amongst other highlights :
We are pleased to announce the addition of Mr. Kaizad Bharucha, Deputy Managing Director of HDFC Bank, to our Board. His expertise is a valuable addition, and we eagerly anticipate achieving significant milestones under his mentorship as a Board member.
Moving on to regulatory updates:
As you are aware, IRDAI has published an exposure draft on Insurance product regulations in December 2023. One of the key aspects in the draft is the proposal to address the concern on early surrender values in traditional products. The draft is currently under discussion and the industry is in the process of sharing its feedback with the regulator. We believe that the product design should offer the best value proposition to the customer whilst encouraging long term commitment to the product and without co mpromising growth for the sector. Further to the update on the GST Show cause notice issued by Director General of GST Intelligence (DGGI) raising a dema

nd in June 2023, the Company has filed its detailed response on January 5, 2024 with the Adjudicating A uthority.
We are happy to announce our recent accomplishments: being honored with the prestigious Golden Peacock Award for Excellence in Corporate Governance in 2023 and achieving a Guinness World Records title through our 2023 Insure India initiative. Thi s initiative was designed to heighten awareness about life insurance across the nation.
In conclusion:
As protection gap in our country continues to widen, we remain focused on offering solutions to tap into this vast opportunity. Growth in the Rs 5 lacs a nd below category as well as in tier 2 & 3 towns remains robust and these are our focus areas. Even for the growth potential of the above Rs 5 lacs ticket sizes, we hold an optimistic outlook for the medium to long -term. We expect to grow by leveraging mu ltiple drivers including strengthened counter share at HDFC Bank, capitalizing on ongoing investments such as branch expansion and new tie -ups, continuing to

scale up a high -quality proprietary business led by agency and favorable macro environment shifts.
The detailed disclosure on our results is available in our investor presentation. We now invite any questions from the audience.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sure sh Ganapathy from Macquarie Research.
Suresh Ganapathy: The first question is on growth and margins itself , Vibha. At the start of the year, you mentioned a 15% guidance and the actual outcome unfortunately has been well short of that. So far 9-month number has just been 5%. I know the smaller ticket size policies have done well but the shear contribution of the larger ticket size, you're confident that post we exit FY24 with the revised guidelines on surrender charges , we can get back with the mojo of getting 15% APE growth and perhaps VNB growth. What gives you the confidence there?
Vibha Padalkar : A couple of things and I'll come to the draft circular later On a standalone basis , I have no doubt in my mind about getting the mojo back and that is very evident in a few things . One is like I mentioned th at below 5 lakhs is growing , we have already grown by 17% and continue to grow. That is number one. Number two is that , it's also a function of equity markets and unit link . We have always used a balanced product strategy and so we will re main calibrated until some of that happens and it's bound to happen in the timeframe you're talking about . A little bit of calibration in terms of exuberance and getting back to principles of broader asset allocation. Another point is that , in terms of the counter share at HDFC Bank also because this year that counter share was not there for the full year. You will have a full year impact of counter share . We continue to solidify and make inroads in the bank. F ourth point is , all the onboarding of new relationships , three I have mentioned and there are some smaller ones that I haven't mentioned, all of those will start kicking in . Wherever we have gone in with the ne w relationship, we have ended up with a counter share between 30% to 40% over a span of the first 15 months . That also will start happening given the strength of our product offering . If you were to look at our agency channel , you will see that there's 75 new branches that we are adding which will start seeing tra ction
Suresh Ganapathy: But the problem Vibha is that peers have done better than you . It is pretty rare for you guys not

to outperform your peers. This is the first time perhaps in history where you are underperforming the peers by a wide margin. Everybody is in the same boat when it comes to all these chal lenges with respect to high product ticket sizes .
Vibha Padalkar : S

uresh, since you are talking about peers, we would like to point out that we have not drop ped margins versus peers, who have seen fairly significant margin drop. So, if there's a margin drop, then selling more unit linked and perhaps more aggression on other products is not very difficult. We continue to stay focused on triangulating all objectives, whether it is in terms of growth in term, annuity, credit life, or renewal premium . If you look at assets under management , while

numbers are yet to be out, we have grown by 20%. So, the quality of business and protection of the business that has already come in and for us to continue with that . If you look at number of policies sold , we are the market leaders in terms of retail number of policies sold. They have grown by 9%. The reason I'm pointing out all of this is , that is the holistic score card. It is not very difficult to grow EPI just for the sake of growing EPI. The philosophy that I want is to tick in every box because it's not just growth for this year , growth for this year will hamper growth for next year . If I don't grow on number of policies then it is going to hamper how much I'm able to mine next year. So, sowing those seeds, s owing Tier-2 and Tier-3 and broad basing is important . Even if you look at another metric on agency , we are right up ther e on number of agents added ; 50,000 plus agents that we have added this year. So, there is no let up at all in terms of the number of agents that we are able to add and attract , which gives us the confidence. Yes, this year we have r econstructed below 5 lakhs and above 5 lakh s businesses and we are quite confident that whether it's high single digits or 11 %-12%, the gap will get made up. Another aspect I want to mention which is important is that overall sum assured grew by 38% and again it's not just one quarter , every quarter we have been the market leaders on sum assured . If you look at retail sum assured , that has grown by ~50%. So, very strong in terms of retail sum assured . All of that is making it possible for us to be neutral on margins, continue to give growth in value of new business and grow step by step. I think that core of our business ultimately is in protection . While we will grow in savings, we will calibrate all of these measures.
Suresh Ganapathy: And on IRDA I regulations and what do you think about non-par, from a growth standpoint, surrender charge standpoint, margin standpoint, behavior standpoint? For the benefit of the audience, can you share your views because everybody is going to ask these questions ?
Vibha Padalkar : Philosophically , we are completely aligned with the regulator that when a customer wants his /her money down the line think ing he/she has bought the wrong product , how do we give some level of exit or protection of the ir capital . However , we need to consider a few things in terms of how do we get there . So, philosophically there is no disconnect but we are engaging as an industry with the regulator on the how part of it. We have had a few discussions we will continue to do that. The circular already has a few enablers which currently we do not have. For example, we can have shorter tenured products , there is minimal to no GST on select ticket sizes or sum assured . These enablers will give us somewhat of a kicker. But, how we do cash flow matching on a longer tenured product ? Can we have a n avatar of discontinued policy fund, which is already there in unit linked as a construct ? In unit linked products, if somebody were to surrender , then the premium or fund sits in the discontinued policy fund which discourages customers to churn immediate ly. But at the same time, you are protecting someone ’s money since t hey don't want or are unable to pay future premiums. If those sorts of things come th

rough then it will help
mitigate any risks . Additionally, it is very much in line with what we are used to as a nation on longer term products . For example, PPF, none of us worry about the fact that before 7 years we cannot even get some element of it. It's only after seven years there's a formula . We are all used to it. These have different objectives than just giving liquidity. Right now, we are at the stage

wherein we are explaining and engaging with the regulator s, not that they do not understand these things, but they are very receptive to hearing from us and we will see how and in what avatar f inally it makes sense for the customer , manufacturer , intermediary and the regulator. So, that's where we are right now. While I don't want to give away too much , but there are at least 5-6 different ideas that we have on product co nstruct . I will share one example i.e., can we have a differential kicker for someone who says I do not want liquidity but I want that kicker on IRR. Many such ideas are there and it's really the nuances of what the final shape or form will be wherein t here will be a business case to it. So, that's where we are and we will take some time

for us as a sector also to deliberate.
Moderator: Our next question is from the line of Avinash Singh from Emkay Global.
Avinash Singh: Couple of questions. First one is again on product s and our strategy of having a balance product mix. The question is that this is a heavily regulated sector and the regulation keeps evolving , and so does market condition s, be it interest rates or equities . In that backdrop, the company franchise wants a steady product mix instead of offering what the m arket is demanding, cus tomers are demanding and what the distributor can distribute. Aren't you sacrificing growth opp ortunity? Of-course, you have already explained a lot on this regulation , but if regulations were to come hard on a certain product then you will have to move away from that product. So, why not have a strategy that is agnostic to product mix and your ability to distribute the products widely ? Second , looking at agency , any particular reason why there is a reasonable amount of churn in this quarter ? Is it a clean up of unproductive agent s or is there something specific to it?
Vibha Padalkar : On your first question, every business model will have differing margin s, customer segments, and objectives. And the same happens here. These products are certainly not fungible and we have to do a need -based analysis . Somebody might want zero exposure to volatility, somebody might want all the upside, somebody will want a lot more protection , someone will want to have wafer thin protection ; some will want to have more health and combination products. And that's why it's only through engagement and we find out what is it that the customer want s. Of course, we also have to consider margins within that to know how much can we afford to sell . But it's both ways and that's why we will continue to be nuanced . I think the fact that we have a balanced product mix even when the going is good has stood us in good stead time and again. For example, when we launched Sanch ay Plus 5 years ago, it took a long time to be even understood and now it is ubiquitous . But even at that time when we were the sole company selling products like Sanchay Plus, w e said we would have certain levels of limitations in terms of how much of this we want to sell , unless of course the customer really wants it . The reason for that is exactly that it helps cushion volatility ; it helps wean away our frontline sales from only selling one type of product and then when the plug is pulled because of something or the other, it could even be like COVID, not just regulatory or macro, then struggle to make a switch. And so, our line is

very
attuned and there's compulsory training in terms of being able to sell all types of products and genuinely being able to sell no t just a training that they go through. And so we don't really worry too much about it . I think we do innovate . Depending on what are the regulations that are now

in existence , there will always be an opportunity . It might take a little bit of time fo r us to conceptualize and manufacture a product, but eventually we do with whatever cards are given to us and whatever it is as a framework we are allowed to. We have fair bit of confidence on ideating to be able to do that and the nuances are always in the details. Nuances are always in levels of innovation and we will continue to do that. Just now I explained on the surrender regulation, there could be something else that happens on par wherein we might have an advantage. Of course, that als o comes under these regulations. Something on UL, for example the profitability on our unit linked p roducts , again with out getting into too much detail , that has increased quite meaningfully from what it used to be maybe 2 -3 years ago . Which means that at 30 plus percent unit link ed where we are just in standalone quarter three, we don't excessively worry about it . And that answers your question that this is exactly what we're trying to solve, that in the existing construct how is it that it still makes business sense for us to be able to sell all kinds of products? So, that was your first question. I don't remember what your second question was, do you want to just mention it again , Avinash ?
Avinash Singh: Second question on churn in agents . Of course you are focusing on agents , but if I just see the count, there has been a big drop from Q2 to Q3 in individual agent s. Is this a planned cleaning up of your non-productive agents ? What do we read , because by H1 you had 210,000 agents and now again the number is back to 190 or somewhere around that?
Suresh Badami: This is Suresh , Avinash. Just to quickly brief you , as part of our stated agency strategy even to IRDAI there is a minimum business that we are expecting all our financial consultant partners to be able to deliver when they are supposed to be active. Now the industry does see a fair number of additions on the number of financial consultants as well as some financial consultants attrited from this line of business. What we have tried to do over the last few years is ensured that the mix even within the type of financial consultants that we onboard, whether it's chartered accountants, mutual fund distributors, retired personnel, whether it's housewives who have wanting to do this as a career option, we try to give a score and add people on to our number of financial consultants . And as and how we find people going on to alternate careers or not meeting the requirements that we have in terms of quality of business , it's not really churn but effectively they don't fit into our business model and they don't hit our minimum business numbers. That's the way we have been looking at it. And of course, it's a question of how many new agents do

we have . There's a fairly detailed strategy in terms of micro markets , where do you want additional financial consultants? Which Tier-2, Tier-3 markets that we are entering , where do we add those set of financial consultants ? Finally the objective is to make sure there are people who are keen on this as a career, stay active with us, be able to sell the right product m ix, have a productivity which is good enough for us to be profitable, make sure that at every club till MDRT, COT, TOT we have a career line of path for our agents and that's the way we have been looking at building this channel and which is one of the reasons why agency has one of the best-in-class persistency and a fairly str

ong relationship. We have financial consultant partners who have high vintage for us. And we do believe that as we expand to larger markets, this number

will keep increasing on a steady state basis. So yes, some will go up, some will go down, but that's probably true as long as we are able to attract the right profile of financial consult ants.

Avinash Singh: One quick follow up . On the group protection side , sequentially there is some bit of softness. Is it more to do with credit life or GTI?

Vibha Padalkar : It is to do with credit life, give its size. GTI is a lot smaller than credit life is. In GTI, as you know that we are very calibrated in terms of opportunities that we see. There also has been a price normalization post covid and we continue to see on a case-to-case basis whether it is rightly priced or not . As far as credit life is concerned , we see a little bit of slowdown in disbursement , especially in some of the segments like auto and personal loans due to some of the RBI led announcements . While our attachment rates have not gone down, overall, disbursement s have been a little bit soft, not hugely. We still have grown over 20%, but yes versus some of the earlier quarters, a little bit soft. That's the only big-ticket reason.

Moderator: The next question is from the line of Sanket h Godha from Avendus Spark .

Sanket h Godha: I just wanted to understand our current market share in HDFC Bank , point number one and second, it has definitely improved compared to the last year . The market share gain in HDFC Bank has not resulted in banca channel to do well. I can understand th at in direct , broker or agency , where high-ticket size is an issue , growth has not happened . But in banca channel despite market share rise, growth seems to be muted at around 2 % for 3rd Quarter at least . So, just wanted to understand whether this is a short -term thing where you said , customers are preferring more short -term products rather than long term insurance product s, is that driving moderation ?

Vibha Padalkar : I don’t know where you are getting the numbers from because overall our banca channel, like I mentioned grew 17%. So, growth has been very robust in our banca channel . When I say very robust, it’s in context of some of the changes on the 5-lakh plus situation.

Sanketh Godha: Vibha, I was referring specifically to 3rd quarter, 9 months I understand it is 16 %-17%. For 3rd quarter it seems to be weak. So, that's the reason I was asking ?

Vibha Padalkar : So, the 3rd quarter was largely because of base effect. If you look on a 2-year CAGR basis , our bancassurance grew very well. The reason is , if you see not just HDFC Bank but all our other bank relationships also had fructified last year. So, whether it is a Yes Bank or ID FC First or Bandhan or RBL, all of that did very well. Some of the base effect has come in , on a normalized basis that's not the case. Additionally, up to 5 lakhs continued to grow almost close to 20% even in the 3rd quarter . Again for this year , you will have to pardon me as I repeating up to 5 lakhs and above 5 lakhs , because quite expectedly the trends are very different and it is noteworthy that N OPs have grown by double digits in banca and AP Es grown by close to 20% up to 5 lakhs.

Sanketh Godha: Yes, I understand that point, Vibha, but my point was that , I thought that this will be more than compensated by market share gain in HDFC Bank. But I believe we have definitely gained share?

Vibha Padalkar : I'll talk about the market share. The market share has continued to be in the mid-60s as again st the mid -50s that you saw e arlier. So, in that sense that that has happened and on a year-on-year basis, it has grown. The slower growth is only attribut

able to above 5 lakhs . The above 5 lakhs like you said is enough to compensate in the market share gains , that is not the case because the amount of 5 lakhs was tepid in the first two quarters and then continued to move upwards towards 3rd quarter and then in 4th quarter we know what happened . That impact is coming through . Suresh, you want to add anything?

Suresh Badami: On a quarter -on-quarter basis , banks have their own focus on CASA and other side of business. So, while most of our banca partners have grown in line with overall private bank growth including HDFC Bank and while we have consolidated our market , there are these quarterly up and down which will keep happening . We have managed to maintain our market share , grown it over last year, we ha ve grown the number of policies sold which was more critical . The greater than 5 lakhs has probably pulled us down a little bit across some of the banca partners because many of them have their wealth verticals which have been affected . But broadly we are trending in the direction where banca infrastructure is growing and we are expanding our presence across all these banca partners. And three, we are gaining ground in terms of market share at Yes Bank and some of our new partners which stays constant.

Vibha Padalkar : And to add there, the earl ier comment, wherein I talked about product mix and how we are looking at unit linked product , that impacts bancassurance even more because banca does have 50% - 60% unit link ed products. So, if you were to look at our share excluding unit link ed products that is in the 70s. And so we will choose in which segments and how much we want to want to be present ? When some of this market exuberance goes down with the counter share inching up , you will be able to see overall growth. Right now , if we are able to see growth in the segments that makes sense to us.

Sanketh Go dha: The second question is that, when I look at our V NB walk, it says it improved by 70 bps because of product mix and it was negated by 80 bps because of higher cost. If I look optically , the product mix has actually deteriorated because your non-par contribution and par contribution have come down and ULIP has gone up, but you still say that from walk 's point of view , 70 bps has led to the improvement in the margin . Is it completely led by protection or is there some other strategy like in ULIP we attach higher sum assured that played a role to see a margin expansion at the product l evel. And related to it, when do you think the cost will iron out ? Is it more to do with your cost on technology that you highlighted last year or is it because of negative operating leverage because of muted growth ?

Niraj Shah : Sanketh , you answered all the questions yourself . Starting on the product side, margin delivery across all product segments has improved for two reasons . On unit link ed, like you yourself said, the amount of protection cover attached to unit link ed products has gone up significantly , both in terms of base sum assured as well as in terms of riders. Second, our persistency has also improved over the period of time across various channels. So, that has led to better profitability compared to what it was in the same period last year on unit link ed products. Second , on the non-unit link ed products are pricing discipline approach is something that does help us in periods where there is a lot of aggression in the market. We try and balance our growth and profitability objectives. That has helped us maintain and improve some of our profitability in the non-unit linked segment . As far as protection is concerned, yes, you're right. Protect ion has grown , both in individual as well as credit life. So, that continues to add to the value that we make, and the sum assured growth is an indicator of

that . As far as the cost is concerned, again, if you look at our overall expense ratio has been at the same level of last year about 19 .4% - 19.5%. And the reason for this gap is largely because of again what you said , the operating leverage is negative right now because our planned growth is 15 %-17% in terms of what we capacitize for. But our delivery is short of that. That definitely is a function of the operating leverage which should rebalance once our actual growth is in line with what we are capacitized for.

Vibha Padalkar : And just to add to that, if you look at our new business sum assured for the quarter on retail side, it's grown by 44%. To some extent what you had alluded to is absolutely right that focus on protections at a sensible pricing . It is not just gr owing protection for the sake of it and having a price war on protection , but sensible pricing on protection and c ontinuing to grow that is very evident in the retail sum assured growth . That has helped mitigate some of th at. So, that's why you have a net positive in terms of product mix profile.

Sanketh Godha: In retail protection , if I see on a quarter -on-quarter basis, in 2nd quarter, you probably did Rs. 150 crores and the numbers suggest that you did around Rs. 13 5 crores – Rs. 13 6 crores in 3rd quarter . So, sequentially it is declining. Anything to read into that, has the low base already played out in first half and now you will see normalization in protection growth? Is it the right way to read it through the numbers or something else ?

Suresh Badami: Directionally yes Sanket h. We did say that the base effect will be a lot more pronounced in H1 and will get normalized over H2. It is what is happening. So, we still believe 20 %-25% growth is possible on a normalized base and we're heading in that direction.

Vibha Padalkar : However, in terms of absolute numbers , I would not read too much in terms of a reduction. It might be a little bit here and there. We also react to competitive intensity wherein it is wiser to withdraw rather than write close to loss making business or margins that don't make sense or give up on underwriting . A little bit of calibration you'll always find, but secular growth quarter - on-quarter should continue to be our target, but growth will also depend on what happened last year, and we have said that we should end protection growth over the next three years higher

than company level growth, will it be in the 50% range? Not if we want to price it sensibly, but it should very comfortably beat company level growth.
Moderator: Our next question is from the line of Shreya Shivani from CLSA.
Shreya Shivani: I have two questions. First is on the slide on Tier-3-4 cities . Can you help us understand which channels do you th ink will help you grow better in those geographies, whether it's agency channel, whether it's the Banca or a combination of both? And also one question, as you expand into deeper geographies, what is the timeline that you think of when you will be able to deliver higher than industry growth now that you're pivoting your business model away into , driving it more into the smaller cities ? Second is on the timeline for regulation. While we've you've mentioned a few things about the regulation, can you help us u nderstand, is there any indicative timeline that you can give us that maybe it will get implemented in the next quarter half year or anything, any flavor around that would be useful? Thank you.
Suresh Badami: Suresh here. I'll answer your first question on Tier-2-Tier-3 growth. Frankly, if you ask me, we are looking at taking insurance across to Tier-2-Tier-3 across as many platforms , as many partnerships as. Possible and even if you start with let's say Bancassurance , if you look primarily with HDFC Bank , they're expanding into all the SURU

markets , the semi urban and rural
markets they're expanding by more than 1000 branches last year, right? You look at most of our other Banca partners who are also expanding in. We have partnerships with many of these sma ll finance banks and many other banks which are present in specific markets, whether you take the Ujjivan, Equitas, Utkarsh, Bandhan, IDFC, many of them are expanding. So, clearly Bancassurance is going to be one of the platforms in which we expand. Agency clearly is a channel which we believe we should be able to expand. We are adding 75 new branches. We are looking at seeing how we can appoint agents in some of these newer models in terms of many of these upcountry locations where we should be able to tak e it into and this is the first time that you would have seen that as an industry we have kind of created an agency structure which is look at Tier-1 and Tier-2-3 markets. So, our entire team has a dedicated vertical which is looking at Tier-2 and Tier-3 markets. It is not to say, firstly I will also correct that we are not saying that pivoting to Tier-2 Tier-3. I think we see the opportunity even in Tier-1. We will come out with both the products as well as key strategy on the Tier-1 markets. There is no reason why we will look at lesser productivity through Banca and Tier-1. We are looking at micro markets even within the Tier-1 markets. And that is something that we're doing. It's just that we see that in Tier-2,Tier -3, we also have a significant brand advantage when it comes to customers looking at HDFC, it's fairly well -known . Other than LIC and SBI, which typically have been there in these markets HDFC L ife clearly stands out in terms of awareness and consideration and we believe we have the opp ortunity to go out there and grow . Question is how quickly we'll be able to take and ramp this up . Banca presence clearly we can expand fast, but with these bank s, our branches as well as our agents going into these markets anywhere between 12 months to 18 months we would start seeing numbers expand . The third thing which I'd also like to add is that we do believe that through some ecosystem partners we should be able to take a very different

kind of product range to market. So, if you remember earlier, we had looked at the Airtel tie up where we were able to reach out through a combi product. We were able to reach out to many of these markets. I think those opportunities will also come. So, we will not let go of any of these oppo rtunities to reach into these SURU markets.
Shreya Shivani: And on the timeline o f the regulation, please ?
Niraj Shah : Slightly difficult to answer that. But the exposure draft is ou t, we are in the process of submitting our representation as a sector and some companies have submitted individually a s well . We are very hopeful and confident that we will have a chance of meaningful deliberation over the next few quarters. And I think depending on when the regulator is thinking of making this applicable prosp ectively, I think it's a function of how soon some of these engagements happen. But it's really up to the regulator to decide on this. But we do believe that the engagement is something that will happen and also there will be , we do hope that there will be some time available for making whatever transition that's required and in light of our earlier conversation, I think there is no disconnect at all. We are all aligned in terms of protecting the long term proposition as well as providing better value to ea rly exit customers. So, it's some technicalities that need to be discussed and deliberated upon. Once that is done, then I think we are good to go. But timelines, we don't really have a visibility on that.
Shreya Shivani: So, you mean that even if the regu lation comes into place, if you have to change your product st

ructure etc., it will take some time to launch those new products as well, right? So this thing could actually play out over a couple of quarters in that case, right?
Niraj Shah : See, again it depends on which shape and form the final draft , final regulations come in. I mean, just taking extreme scenarios if it comes in the existing form, it will take a significant amount of product redesign which will require some more amount of time for that . If there are some tweaks that need to be made which aligns with the regulator and the industry objective then it might be sooner. So, it really depends on which form the final regulations actually come into effec t.
Moderator: Our next question is from the line of Supratim D atta from Ambit Capital.
Supratim Datta: The first question that I would like to pose is on the EoM guidelines change. Over the last two quarters, we have heard that the commission rates have been changed across different channels. Just wanted to know what is the current status , whether there has been any negotiation at all, whether the channel partners have come to a close o r is this something which could continue for the next 2 or 3 quarters.
Vibha Padalkar: More or less, we have passed the EoM conversations. We are coming almost towards the end of the year and we look at it holistically with our partners that it needs to be that it makes sense to the customer. It makes sense to the manufacturer as well as the partner and those conversations have been had. I'm very happy to share that there's been no detrimental impact on the customer

and the partners also do understand that ultimately they are their customers. And it is important to be both fair, transparent, a nd equitable to their customers as well. So, that's really where we are right now and don't really see any material impact as a rule. It's we're just thankful to the regulator to have given us the flexibility to be able to see what kind of arrangements, wh at kind of contractual nuances that we can tweak with this flexibility as long as overall akin to TER, we have to stay within the E oM ratio.
Supratim Datta: And coming back to our previous comment that you made that the ticket sizes below 5 lakhs have been growing at 3 x the Company level, which basically means 15% and given you have previously indicated that above 5 lakh ticket size policies are around 11 % to 12% that could mean that 5 lakhs and above policies this year has contracted by around 2/3rd compar ed to last year for the first 9 months . Is that the correct i nference ?
Niraj Shah : So, the above 5 lakh ticket size business last year, I think on total AP E what we have mentioned after the budget was around 12%, it's now around 6% of our total AP E. So, it s proportion is now 6% of our total AP E compared to 12 % last year.
Moderator: Our next question is from the line of MW Kim from JP Morgan.
MW Kim: For last 9 months of FY 24, the unwind from the value in force is larger than new business value creation. So, my question is should we be concerned of the potential slowdown on the EB growth in next 12 months or 24 months ?
Niraj Shah : Basically the two large components that will affect this are unwind which is upwards of 8% and what has got impacted is definit ely the VNB contribution . The VNB contribution given that we've held our margins is largely a function of our APE growth. This year we definitely are at a lower level of AP E growth than our capacity. So, that is what is dragging down the embedded value oper ating profit and at 16.5% i t's fairly close to where we were last year. The delta being a function of two things. One is the VNB contribution is lower to the extent of about 50 basis points and the remaining 50 basis points is actually coming from the deno minator effect. We had preferential capital raised in the previo

us period that has expanded the denominator and that
is giving another 50 basis points kind of gap. So, by the end of the year, we are expecting to be in the range of what we have been talkin g about in the 17 plus percent range and that's what we would aim to deliver in the coming years as well once the VNB contribution stabilizes to the numbers that we've seen in the past.
MW Kim: Just one thing there. My understanding is that the regulator draft looks too conservative in terms of the surrender value . So, my guess is that now India perhaps may have the highest of surrender value among the Asian countries if the initial draft were to be accepted. So, just I'm wondering whether you expect any adjustment compared to the initial draft on the surrender value or do you think that due to the very high customer protection , this largely makes sense based on the industry, the perspective. So, I just want to get some sense about this.

Niraj Shah : I think in all fairness, right now we are still in the process of engaging with the regulator. We do understand their broad thought process in terms of protecting the interests of the customer and we are all aligned to that objective as we discussed on the call. The regulator of course is aware of similar long -term products available both globally as well as in India and the kind of tradeoffs that an investor or customer needs to make between guarantees and liquidity. The regulator is aware of the landscape in ter ms of long term products which have a guarantee attached to them. But we have not had a chance to formally interact with them as a sector or as a Company . So, we look forward to doing that , and we do believe that some of the technical aspects of product design is something we'll be able to impress upon and without diluting the ultimate objective of customer interest and we believe that is possible to achieve with some tweaks in what the exposure draft is suggesting at this point in time . But I think we'll b e able to give more clarity only after some of these interactions that hopefully will happen over the next few weeks.

Moderator: Our next question is from the line of Madhukar Lad ha from Nuvama wealth.

Madhukar Ladha: Most of my questions have been answered, but just a clarification on the above 5 lakh ticket size policies, what has been the decline in the 9 months ' period? Can you give us that number? Second, when you say 12% of your individual AP E is from the 5 lakh and above segment, which was last year , this does not include the additional thousand crores, right? I just wanted to clarify that once more.

Vibha Padalkar: So, as far as ticket size s above 5 lakhs, I don't have the number handy right now, but I'll just giv e you an indication. Different channels reacted differently. For example , our wealth c hannels obviously , there was a much more adverse reaction, but the overall contribution of our wealth channels is low er. Lesser than, if I were to look at, say, an HDFC B ank channel or any of our Bancassurance partners, that reversal is beginning to be seen now. And like I mentioned earlier, with the launch of our latest new product Click 2 Achieve , we are beginning to attract higher ticket sizes also and we're again after a hiatus beginning to have conversations such as higher levels of underwriting and so on. So, varies quite a bit agency is somewhere in the middle of maybe double -digit negative growth on the 5 lakh and above. So, really there is again 5 lakh and above is more amenable to something like a pension because some nuances on tax and other things and also limited underwriting. So, mixed bag really.

Madhukar Ladha: The clarification on the full year number, the 12% does not include the 1000 crores additional sales, right?

Vibha Padalkar: No, it does not. See what we did not do perhaps is that

while we only backed out the 1000 crores, it is not that above 5 lakhs were sold only in March. It was sold and it was picking up pace towards the beginning of quarter three and that's really what is playing out. So, quarter two was bigger than quarter one, quarter three was bigger than and so on. Sequentially it was and also given where interest rates were then , this was doing exceedingly well for us and for the sector

and th at is really what the play of seasonality also that we're seeing here and that's why as we exit this year, some of that rebasing will start happening of more normalized levels of ticket sizes.

Madhukar Ladha: Then, just in the light of , how things have pla yed out this year 9 months, I don't know whether you have changed your guidance. Do we still sort of gun for 15% growth excluding that thousand? It seems that most likely we will miss that number .

Vibha Padalkar: So, I think we're gunning for a double -digit growth in Quarter 4. This is of course excluding the 1000 crores .

Madhukar Ladha: Excluding the 1000 crores for the individual AP E we should look for a double digit growth.

Vibha Padalkar: That's right. While it's not an active guidance, but what is it that we are gunning for, a double digit growth.

Madhukar Ladha: And finally on the group savings side , I see that there is some reduction in business. I think group protection side you already explained, but what's hap pening on the group annuity and the other group 's savings business?

Vibha Padalkar: There was a one -off large account last year. So, it's more of a base effect .

Suresh Badami: Yes, there has been a little bit of slowdown in some corporates, but otherwise i t's not that we've lost market share in any of these as a segment. Second, we had a little bit of a base effect of what we had gained in the previous year, which has led to this little bit of a degrowth.

Suresh Badami: And to be fair also , there is a lot of competition coming in this segment given the overall rates and margins in this segment. So, it's a combination of all three, but we are confident that we should be able to get back our growth with all factors playing in.

Madhukar Ladha: And can you quantify the one -off effect if that is possible?

Vibha Padalkar: There will always be some pluses and minuses, but it was fairly one -off in the sense that there was some corporate that we signed up and then the employees account moved to us. So, that's what happened.

Moderator: Our next question is from the line of Anirudh Shetty from Solidarity Advisors Private Limited.

Anirudh Shetty: My first question is essentially on the draft document around surrender charges. I know it's at early stages o f discussion and there is a range of outcomes that can happen, but assuming a more extreme outcome happening in terms of the capping of charges. How does one think about implications for us? And could you talk a little bit more about our non-par product in terms of

what would the persistency that we kind of see in this product and how m uch o f the margin could get impacted, we see a more extreme capping of charges in in this product segment ?
Niraj Shah : It is at very early stage and very difficult to make a guess here, but I mean just philosophically , we can talk about two things in terms of design. One is in terms of what will still enable creating a product which is similar to what we see today in terms of a long term guarantee that will have a certain se t of things to be dealt with and 2nd is in terms of cap on charges equivalent, that will probably have a different implication in terms of profitability or distribution , remuneration . So, these are two separate aspects. We are more concerned about the firs t one, the second one can be dealt w

ith a lot more seamlessly because they are more controll able. One thing that none of us would want is compromise on being able to design a long term proposition that we are able to design today and that's what will be th e focus of our discussions and engagement with the regulator.
Anirudh Shetty: My next question is our non-par product is fairly unique in terms of ability to give our customers the ability to lock in and earn a certain yield for a long period of time. Do y ou see this unique value proposition getting diluted if say you know customers could buy long term G-Secs directly on a trading platform ?
Niraj Shah: So, this possible even today . It may not be very seamless, but it is still available today. And the same a rgument holds for, let's say, even a n annuity product to some extent, if someone wants to buy a long term government paper. But having that stream of premiums that you pay at one contract, say 5 premiums or 8 premiums, or 10 premiums, and then get a stream of income constructed in one solution that may not be very feasible for an average customer. So, the conversation is very different from an ultra HNI who has access to a lot of wealth management advice and ability to structure solutions, which are very be spoke to him or her , but our average customer who we target anywhere between from a sector perspective, 15,000 to maybe 75, 000-100,000 kind of a ticket size, we suspect that kind of advice is not really available for such an average investment. So, from that perspective , I think it is good to kind of have a solution which is addressing all of those things without having to do too much engineering at one's personal level. A regular premium product is different from a single premium product as you know, in terms of the biggest aspect of reinvestment risk. So, that is an additional aspect to really consider. I mean, so a lot of these things really come into play and we believe that the regulator will be thinking more of an average customer who is still kind o f in that form of protecting and then creating some sort of wealth for themselves and their family and their post retirement period. So, a large part of our population at least will not have access to a lot of that bespoke advice that will be required to do some of the things that we spoke about.
Anirudh Shetty: Got it. And just one final question, more on when we look at your product level persistency, in protection the 6 1st month is 73% , saving is 56%, ULIP is 49%. We look at persistency as metric to unde rstand the customer satisfaction of the product. So, what explains why savings , ULIP has lower persistency ?

Niraj Shah: Unit linked needs to be seen differently from some of the other products . In u nit linked , what happens typically is that there is this notion that after five years, I can withdraw my money. Of course you can withdraw money as a customer, but does it do you full service being in a product for five years? We do not believe so. So, when you are saying 50% odd of the people continue, it's a combination of two sets of people. One set of people are actually continuing in the policy, but are not paying any further premiums. That is also part of that number, and that's a fairly meaningful part of that number, which is a fair call that I've paid 5 premiums , I will stay in your product for 15 or 20 years, but I'll not pay any further premiums. We are okay with that because that's the choice of the customer and it probably will meet his or her requirements. Then there is a set of cus tomers who are just exiting from the product completely . Now that is the choice that we would question in terms of whether it's in the interest of the customer, it's certainly not in our interest, no question about it, but we don't believe it's in the inte rest of the customer as well. But I th

ink as awareness levels increase more and more customers will make more informed choices. If they're looking for a shorter time horizon , then this is not the place to go. And that is something that we are very clear in terms of making our conversations with customers when we are engaging with them at the point of sale. The other products , you will see a fairly strong improvement in subsequent period persistency and that again we need to kind of break it up into two part s. There are products in which customers after paying two or three premiums, can continue being in the product and get proportionate benefit, they do not really lose out . So, a large part of customers is what is called paid up. They get proportionate bene fit because they choose to pay part of the premiums that they contracted for initially and then they stay in the full course of the policy and get the proportionate benefits. So, that's again a choice similar to someone who has stopped paying premiums in unit linked and it's a probably an informed choice by some of them . Very, very few number of customers after paying two or three premiums actually surrender and exit the policy. That number is in our case at least about not more than 1% every year after the first couple of years.

Moderator: Our next question is from the line of Neeraj Toshniwal from UBS India .

Neeraj Toshniwal: So, wanted to check on whether we are still going to maintain margin neutrality, given you just mentioned that probably we will deliver double digit kind of growth in Q4 under the APEs , but that will be a little tall task on the margin side. Just wanted to check are you still maintaining that?

Vibha Padalkar : Yes, 3 quarters w e've done that , so one more quarter to go .

Neeraj T oshniwal: And given this year obviously had lot of volatility in terms of the base effect and the changes in budget regulations. How do we think about the next year and the wallet share from HDFC Bank which it still looks a little muted if it back as delay ed because like the bank has more focus on the deposits and all? So, how do we see bank growth per say on the limited wallet share ?

Suresh Badami: Directionally like we said earlier, the bank is looking at a market share which will be growing for HDFC L ife. Obviously , we have to ensure that our support to the b ank whether it's in terms of products or training or manpower is adequate and I think that expectation is right. The bank obviously is going through the next round of merger at their level. So, given what's happening in the market on the liability side . In the long run, obviously they will continue to focus on ensuring that their customers also have life insurance. So, we don't see any reason why the focus on penetration, the focus on fee income, the focus on life insurance should come down and we should grow along with th em. They're expanding their market, they're growing into multiple locations now . Even their branches are scaling up , their customer base is increasing. So, if you were to look at it i n terms of the opportunity on their customer base , there's no reason why they shouldn't grow, and as what they're indicating, as long as we're able to make sure that we are in line with their expectations, our market share will also continue to grow. I wou ld say there's no reason why anything should happen differently next year.

Neeraj Toshniwal: And the target wallet share is around 6 5% to 70% or are we aiming for 70 and plus?

Suresh Badami: The target is definitely that.

Vibha Padalkar : And at the same ti me, we will look at even the pro duct mix, so it is not just top line for the sake of top line, we will see as to in which segments we want to increase our market share.

Suresh Badami: For instance, this year the bank has done very well in terms of the protec tion share increase, and that is really good in terms of the sum assured growth that it has helped us deliver.

Neeraj Toshniwal: Coming to that group protection actually looks a little lower . I think you already mentioned that there has been some impact due to change in recent re gulation from RBI, but do you think it could actually pick up from?

Vibha Padalkar : I think that at least the banks will continue to do well . Maybe we might see some level of softness in the NBFC for some time . But I think it will normalize. And for us, we are very blessed in terms of our Credit Life portfolio that it's very well balanced across banks , NBFCs, small finance banks, HDFC group and so on. So, there's enough in terms of balancing of any regulatory changes.

Moderator: Our next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: First coming to the Tier-2 and Tier-3 markets, if you can give some color on the margin profile for similar products in Tier-2, Tier-3 versus Tier-1. Now I un derstand it will depend a lot on multiple operational factors, channels, persistency, pricing etc. , but if you can throw some color on how that has been evolving. And on that context, if you can just also mention the demand or the customer appetite in Tier -2, Tier-3 versus Tier-1 in terms of product profile, duration, ticket size out there ?

Vibha Padalkar : Yes. So, fairly similar in terms of margin profile, because the pricing has to be right. Things like selling longer tenure has to be there for us to unde rstand what the mortality profile is as well as what is the persistency profile . As long as those are taken into account in how we price, how we underwrite then margins are fairly similar. So, that's not something that is way off or something that we worry about. And in terms of what kind of products and so on , these would be tailor made for Tier -2 and 3. We always look at certain variants that will make sense that will also protect for example, someone whose income levels might be slightly lower , whose ap petite to take risk might be a little bit lower. For example on protection, even in terms of understanding the product or if regular premium is a non -starter, maybe that individual can start off with R OP followed by a top up on regular premium or a rider o r something down the line . Maybe they start off with an R OP, maybe they start off with simpler savings products, easier on underwriting and so on. So, product variants could change a little bit , but essentially, products would be the mother product . But th e variants that we sell could be very nuanced for a slightly different customer segment.

Moderator: The last question for the day is from the line of Noel from Ubisoft Entertainment Limited.

Noel: With regards to the EV performance for the past year and wh at are your projections of how corporate bond yields and G-Sec rates are going to go down? And in respect of that, what do you think is will be the traditional business performance and what rates are you're expecting out of the next year of your business a s well as LIC?

Niraj Shah: So, honestly, it's difficult to make a guess in terms of where the interest rates will be. But what we've seen in the past is that typically, whatever the rates of interest are, the demand for the long term guaranteed products fo r the past 5 years has been fairly robust as you would have seen for whoever had a product has had a fairly significant share of that product for the last five years. What has definitely been more relevant in terms of short term versus long term interest r ates. So, if the short -term interest rates are very similar to long -term interest rates, there may be customers who may be thinking about postponing their decision to buy or commit to a longer -term product. Has that happened? Ye s, we've seen some of that happen , when we talk t

o

customers and some of the distributors. Now there is a broad expectation that interest rates will go down over the next 12 months, 18 months. When that happens, the key will be in terms of what is the short term and the long -term int erest rate s. So, if the interest rate environment is still upward sloping, then we don't see any change in the way customers are likely to think about committing to a long -term product . But if the yield curve is flat then you could see some sort of softnes s relative to what we could otherwise see. But beyond that, I think typically customers who are looking at a long term do not really think too much about what the shorter term trends are. So, even at this rate, we're seeing 30 % plus mix on non -par. So, I think that's a fairly strong indicator of that.

Noel: But then what is your expectation regarding LIC and how will they be changing their rate mix?

Niraj Shah: Honestly , not for us to answer that. But what we can just say about them as a very respected p eer is that they have been very calibrated in the way they've approached the pricing and underwriting on all categories of products, whether it's long -term savings , annuities or protection. So, we would believe they would continue on that path.

Moderator: As there are no further questions, I would now like to hand the conference over to M s. Vibha Padalkar for closing comments.

Vibha Padalkar : Thank you everyone for joining today's call. On behalf of HDFC Life, I wish you all a great year ahead. Please feel fre e to reach out to our IR team in case of any further queries.

Call: Apr 2024

April 25, 2024

Ref. No: HDFC Life/CA/2024- 25/15

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (Eas t), Fort,
Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code : 540777

Dear Sir / Madam,
Sub:
Transcript of earnings conference c all for the quarter and year ended March 31 , 2024
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Thursday , April 18, 2024 , to discuss the financial performance of the Company for the quarter and year ended March 31 , 2024 .

The said transcript has been hosted on the Company's website at https://www.hdfclife.com /about - us/investor -relations .
This is for your information and appropriate dissemination.

Thanking you,
For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. As above

HDFC Life Insurance Company Limited
12M FY24 Earnings Conference Call

April 18, 202 4

Vibha Pada lkar: Good evening, everyone. Thank you for joining this conference call to discuss our company's results for the year ended March 31st, 2024. Our results, which include the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. Joining me are Suresh Badami, Deputy

Managing Director ; Niraj Shah, ED & CFO; Eshwari Murugan, our Appointed Actuary, and Kunal Jain, representing Investor Relations. Let's delve into the key bus iness updates for the fiscal year 2024.

Starting with operating performance:
Despite the budget changes impacting high ticket size bus iness this year, we delivered a healthy growth of 20% for Q4 after adjusting for the one -off business of Rs. 1,000 crore in March 2023. Our stated aspiration of a double -digit growth for the full year was achieved with us clocking an 11% growth for FY24, on a normalised ba sis. We achieved individual APE growth of 1% on an unadjusted basis.

During the first eleven months, w e have grown faster than the overall industry growth of 9%. During the same period, our private market share stood at 15.4% and we maintained our position amongst the top 3 life insurers across individual and gro up businesses. On a full year basis, our pre miums reflect a healthy 2 -year CAGR of 13%, de spite the headwinds during this period.

We have established a sustainable foundation for FY25 throug h targeted initiatives aimed at key growth metrics as follows:
■ Growth momentum continued across ticket sizes upto Rs 5 lacs with robust growth of over 22% in Q4 and 19% for full year
■ Tier 2/3 markets recorded a growth of 13% against overall company growth of 1%
■ In line with our intent to broaden the customer base, the number of policies for the year increased by 11%, which is almost 3x overall industry growth, based on first eleven months data. In Q4, NOP growth was 14%
■ On a 2 year CAGR, average ticket size has grown by 5%
■ We insured 6.6 crore lives during FY24
■ More than 70% of the retail customers on -boarded ar e new to HDFC Life and almost half of these are below the age of 35 years
■ Sum assured witnessed robust growth of 47% aided by growth in pure term, ROP, higher protection cover embedded in savings products and riders

■ With product innovation across product s egments, our average sum assured per policy has increased by 33% on overall basis and 39% for savings business

Annuity and protection put together contributed to near ly half of overall new business premium in FY24. Retail protection grew by 27% based o n individual APE and we believe that the momentum will sustain into FY25.

Credit protect recorded 13% YoY growth in spite of a cautious lending environment in H2 and increased competitive intensity in certain segments We continu e to be a market leader in this segment. Moving forward, we remain committed to pursuing su stainable and profitable growth in this segment.

We remain optimistic about the growth potential of the Annuit y segment in India, considering its nascent stage, and believe that the long -term opportun ity remains promising. While we observed aggressive pricing strategies by certain peers, we wil l continue to pursue a balanced approach to growth by enhancing our product offerings and maintaining pricing d iscipline.

We maintained a healthy bal ance in terms of product mix wi th ULIP at 35%, non -par savings at 30%, participating products at 23%, retail term at 5% and a nnuity at 6%. ULIPs continue to see strong traction driven by buoyant equity markets, with a sur ge in popularity even in higher than Rs. 2.5 lakh segment. Click2Achieve, our first DIY no n-par savings solution has been received well across channels, leading to a healthy increase in the non -par savings proportion in the last quarter.

FY24 has been another landmark year for product lau nches , fuelled by relentless product innovation. We are committed to delivering products which ar e relevant and tailored to meet our customers' evolving requirements. This strategic focus was one more reason that enabl ed us to deliver top line in the preva iling environment, and also helps create momentum for FY25.
Moving onto key financial and operating metrics:
Our new business margins are 26.3% compared to 27.6% las t year. The drop of 130 bps was

primarily due to 2 reasons, the first one amounting to 70 bps b eing the operating leverage gap caused by the one -time 1000 cr additional APE received in FY23 due to budget changes and the second one amounting to 40 bps due to higher UL propo rtion, thanks to buoyant equity markets. Higher product level margin prof ile on account of lo nger tenure, higher sum assured multiples and rider attachments has helped us counter th e impact of product mix to some degree. The current business mix sets a strong platform for us to continue d elivering robust topline and VNB growth in FY25 and beyond.

Our business objectives entail further enhancing our presence across geographies and customer segments and maximising the potential of our distribution channe ls. In line with this long -term strategy, we will sustain investments in Infr astructure, Peopl e and Technology with a forward looking 3 -4 year perspective on the business. We believe that VNB growth will continue to be

led by APE growth. If we see significant incremental growth opportunities, we will be flexible to trade -off margin s while maximizing VNB growth.

Value of new business is Rs. 3,501 crore, implying a YoY d egrowth of 5% and a 2 year CAGR of 14%. Embedded value stands at Rs 47,468 crore, with an operating return on embedded value of 17.5%.

We have delivered a strong pr ofit after tax of Rs. 1,569 cr ore, implying a YoY increase of 15%, fuelled by 18% increase in profit emergence from back book. Solvency continues to be healthy at 187%. The Board has recommended a final dividend of Rs. 2 per sh are, aggregating to payout of about Rs 430 crore.

Renewal collections grew by 18% YoY, demonstrating our cu stomers' continued trust in us. Persistency for the 13th month and 61st month

was 87% and 53% respectively. We anticipate a shift in 13th persistency going forward, influenced b y the product mix and prevalent customer segments in FY24. We are committed to maintainin g persistency levels across all relevant cohorts.

Next on distribution:

The bancassurance channel has grown 17% YoY. HDFC Bank counter sh are continues to trend wel l. We are happy to report that we have ended the ye ar at 63% counter share against 56% same time last year. We maintain close collaboration with all our bancassurance partners to tailor our innovative products, to meet the needs of th eir specific customer segments. Furthermore, we consistently refine our product offerings, se rvice quality and technological capabilities to enhance our partnerships, ensuring a mutually beneficial relationship.

While the agency channel growth was slower due to a high base las t year, it has shown a robust growth of 14% on a 2 -year CAGR basis. We are st eadfast in our efforts to build capacity for future growth. Our Agency channel is ranked N o.2 in the industry in terms of distribution expansion for first eleven months, with over 80,00 0 agents added during the year. Moreover, we opened 75 branches in FY24 and antici pate our presence to exceed 600 touchpoints in the next fiscal year. Our objective is to broade n our footprint and enhance our reach through a multi -faceted approach, w hich includes strategically adding branches, attracting high -performing distributors and continually investi ng in technology and capability enhancement.

Moving on to our subsidiaries

Our subsidiary, HDFC Pension Management Company, achie ved a milestone by crossing the Rs 75,000 crore AUM mark, showcasing remarkable growth of 70%. We have maintained our market leadership in the pension category, commanding a market share of 43%.

Additionally, we are actively advancing our expansion plan f or the GIFT City bu siness. With

the introduction of innovative US Dollar denominated Life and Health insurance products like US Dollar Global Education Plan and Global Student Health Car e Plan etc. which are available from GIFT City, we are already making strides in penetrat ing the NRI segment. Additionally,

we have plans to roll out further offerings to continue strengthening our presence in this space.
Next on Tech:
We are currently implementing Project INSPIRE , a comprehensive technological transformation. This project aim s to enhance customer, distri butor, and employee experiences while increasing operational efficiency. It focuses on faster pro duct launches, flexible partner on-boarding with shorter TATs, digital customer acquisition journeys, intu itive zero -touch servici ng, a plug -and-play integration environment, among other features. We are likely to see a gradual rise in technology expenses over the yea r, which will be accompanied by corresponding benefits to the business.
Moving to key announcements
We would like to i nform that Mr Deepak Parekh has decid ed to step down as the Chairman and Non -Executive Director of the Company with effect from c lose of business hours on April 18, 2024 to comp ly with regulatory requirements . Being the founder Chairman of our Company, Mr Parekh has been instrumental in guiding and nurturing the Company over the past 24 ye ars. We thank Mr Parekh for the immense contributions made by him and wish him the very best for the future.

We are also pleased to inform that Board has unanimously ap proved the appoint ment of Mr Keki Mistry as the Chairman of the Board. Mr Keki Mist ry has been associated with the Company since December 2000 and is currently Non -Executi ve Director on our Board. Under his stewardship, we aim to achieve many more remarkab le milestones and emerge stronger and more resilient than ever before.

Lastly, we

are proud to share that we have been recogniz ed as the Best Organization for Women in 2024 by The Economic Times. This is a testament of the progress we have made in creatin g a supportive work environment for women and our un wavering belief in the power of diversity, equity and inclusion.

In conclusion:
The vast unmet need for protection in our country speaks of a compelling opportunity. We aim to be at the forefront of deve loping innovative solutions to bri dge this gap. We have delivered consistent, predictable and sustained performance by doubling al l key metrics over last 4 years and will continue to move ahead with this aspiration while p rioritizing VNB growth to build profitable business in the long run.

We also appreciate the efforts of the insurance regulator fo r introducing enabling measures aimed at broadening accessibility of life insurance, im proving customer experience and enhancing ease of doing business.

The de tailed disclosure on our results is available in our inves tor presentation. We now invite any questions from the audience.
Mod erator : The first question is from the line of MW Kim from JPMorgan.
MW Kim: Thank you so much for this opportunity. Could you pl ease confirm the time line of IFRS 17 adoption? Secondly, Page 11 of the presentation and historical product mix would suggest that HDFC Life have differentiated liability reserve structure compared to other private peers. So , my question would be on IFRS 17. Do you expect relatively different CSM release rate or CSM amortization rate among life insurers? And lastly, what could be major tailwind and headwind under the new accounting standard ?
Niraj Shah : To your first point on timelines, we are in regular t ouch with the regulatory authority. We still await directions from the Indian accounting boards, and from IRDAI as far as spe cific timelines are concerned. Of course, all the companies which were a part of Phase 1 have submitted their GAAP assessment repor ts and IRDAI would be looking at the readiness of various companies. We believe that this implementation is likely to happen in a phased manner. As we speak today, there is no time line that we are completely aware of , it looks like it could be in the next 24 to 36 months. That could be one timeline that we could be looking at. But if we hear something different from the regulator, we will keep everyone posted .
Our readiness is going to be ahead of time. We have engaged external experts to be able to transit ion to the new accounting standard over a period of time. As we speak, are we looking at any significant changes or shifts in our business according to the new standard ? We believe not. We do not expect any significant change in the way we conduct our busi ness. To your specific question around business mix and the emergence of CSM, I think it's a little early to

answer that specifically. What we would definitely want to do is that once we get more clarity on the timelines, we would want to put some bridging disclosures out in the open to be able to guide you to what you can expect once the new guidelines are implemented.

Moderator: The next question is from the line of Hitesh Gulati from Haitong.

Hitesh Gulati: My question is on the regulatory front. Now wit h the surrender draft behind us, are we seeing anything more that could probably be in the regulator's mind? Something on the lines of what the finance minister spoke in one of the interviews recently, where she touched upon the topic of insurance misselli ng. So have we seen the regulator or some notification or some draft that has been communicated on this front ?

Vibha Padalkar: Hi, Hitesh. The notified set of surrender regulations, I think those were a good outcome, and while there were a few changes in t here, those are not having any material impact on the co

mpany. In terms of what else could be out there, here's our view and a lot of our peers also share this view, and this is something that we have engaged with the regulator and continue to

do that. Whe rever there is misselling, we certainly return money. And I'm sure some of our other peers also do that.

So, we need to get the misselling out of this conversation. Wherever it is other than misselling, where people just say that I wanted something else, I 've changed my mind. For those people, I think we have a slightly different view as against the more popular narrative in media that is emerging, because there are no other long -term guaranteed products at all.

So, if somebody wants liquidity after one yea r, especially discerning customers, and I think we can take a proxy to say if INR1 lakh ticket size is there, then that customer is by no means someone who is unable to understand or in a weak position to understand what is being told to him or her. And th ere, the dangers are that there is more a flip rather than any other purpose as to why they want to withdraw.

So rather than changing the architecture of the product , for us to have enough guardrails so that people are made aware that if you want early liq uidity, and by that, I mean 1, 2, 3 years, then perhaps this is not the product for you. However, if you want certainty of outcomes, especially in your golden years, then it's not very dissimilar to PPF . All of us hopefully have accounts with PPF , and the first time we ever get to see any money is at the end of seventh year and that too, there's a formula, and we are fine with that.

These products are no different. Plus, we have a life cover, which PPF doesn't have and so on. Now worst -case situation, if it 's misguided and there's an early exit, then it could change the construct of the product and make it very unattractive and also put the organization at some level of threat because of ALM not being robust enough because of early exits, especially with sharp interest rate movements.

The regulator seized the matter. Also, the fact that early persistency is fairly high in the 90s with the customer. So really, it is a few people who are complaining. We continue to engage at various levels with our regulator. O ngoing dialogues do happen. And the notification has recently come in, and that is where it is at this point in time.

Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: A couple of questions. The first one is p articularly on margins . If I were to look at FY21 and FY24 , margins are broadly flat. Within that in terms of product composition, yes, in FY21, par used to be slightly higher, now ULIP has a higher share . But then the scale of operation today is very diff erent, nearly at least 50% higher APE. So , some part of operating lever age could have played out ?

While I'm cognizant when I'm comparing margins with last year , but if I look at a 3-year horizon, why despite of scale getting better, annuity segment increas ing, protection holding up , margins have struggle d? Why operating lever age is not playing out? Or is it something I'm missing in this entire margin picture ?

Second, in terms of now looking ahead, I can hear and read what you're saying that now you are going to chase growth even if it comes with some kind of compromise on margins. In this backdrop, at this juncture, given there is more regulatory clarity, what kind of growth you would be looking in FY25? These are my 2 questions.

Vibha Padalkar: You're absol utely right in terms of operating leverage. However, the other angle here is the product mix. While you were speaking, I was just looking at some data. And in FY21, FY22 and FY23, our unit linked business was range -bound , in the zon

e of about one -fifth to one-
fourth . While if you were to look at FY24, it is 35%, so more than a third of our business is now unit linked business. Is that always going to be the case? Possibly not. But we have to remember that we, as a sector, went through a fairly material shif t because of the tax change. And we will slowly start inching up like we have done quarter -on-quarter, in terms of our other than unit linked business. If you were to look at stand -alone Q4 for us, our unit linked business is now comfortably about 30% afte r being in the mid -20s. So that shift is happening, but it will take some time.

So, it is three -pronged, there is the scale of the business itself , then your unit cost, if they continue to trend southward, which is the case for us, and then the third is th e product mix. I think all 3 need to be in the zone for margins to move up. But you will admit that the sector over the last 2 to3 years have gone through a fair bit of change and we also forget COVID in all of this.

So given all of that, I think the fact that at least some of the participants in the sector, including us have not dropped margins below 25%, I think, is reasonably commendable while continuing to steer the company through a fairly tectonic shift in terms of attractiveness and moving a lot more in terms of inroads into Bharat . Two-thirds of our new business that we have written this year has come from non -tier 1 cities. Or another way of looking at it is that while overall unadjusted growth is 1%, growth from tier 2/3 is 13%.

If you were to look at number of policies, it was flat for the last 3 years, which was bothering us to some extent. But if you were to look at this year, perhaps thanks to the tax nudge, we have managed to really grow the number of people that we sell to, and that's a very h ealthy 14% growth in Q4 stand -alone. Many such data points say that the engine is getting a lot more granular in terms of retail growth and away from only high -ticket cases.

Niraj Shah: Yes, maybe just a couple of things to that. One is if you were to loo k at FY21 and today, across different segments, one of the challenges has been to maintain inherent margins of each of the segments. And there has been enough examples of that, especially starting with protection. We have seen where protection pricing is v ersus where we believe it should be especially as we get deeper into India.

While the margins on protection are fairly healthy still, they are obviously lower than what they were 3 to 4 years ago. From a real -world perspective, that's something that we hav e to acknowledge as a sector.

Also, if you were to look at some of the other product categories, whether it's annuities or non-participating products, there is intense competition as far as rates are concerned. Well, some of us have managed to adhere to so me sort of pricing discipline, and that is also visible in direct comparison that you could make.

And that is also a factor of where margins are today versus where they probably were 3 years back, adjusting for everything else that we are talking about, w hether it's product mix, or even the scale of the business. You yourself mentioned we are 50% higher than what we were at that time. We have also expanded our resourcing to be able to get to this kind of scale.

And a lot of this investment, especially in p roprietary, is upfront. The benefits are coming, but some of them will come with a lag as well. Technology is something that we need to keep investing in every block of 3 to 4 years. That is also something that we don't want to really back out of. We want to ensure that our operating model stays relevant and current, and that also requires significant continued investments.

We are maintaining our margins and have delivered VNB growth of 14% on a 2 -year basis and higher on a 4 -y

ear basis. That is, in some se nse, in spite of a lot of these aspects that are being seen in the market. And while the market continues to grow, these are certain things that we need to acknowledge as well.

Vibha Padalkar: And I want to add there. See, if I'm a bank and I compete, I'm competing with mostly listed banks. That's not the case in insurance for various reasons. So apart from 3 or 4 companies, you don't have listed entities. And the reason I'm calling that out is because there is very little disclosure in terms of actuarial w alk, embedded value walk, sensitivity analysis and the rest of it.

So the competitive intensity will only continue to go up until the roadmap to listing starts happening. Are there such plans? I'm sure that there used to be earlier, but that's the natural culmination . So it’s a matter of when and not if that roadmap starts panning out. And there is a little bit more four corners within which most of the senior players operate.

Avinash Singh: And my second question on growth guidance for FY25 and particularl y, if you can just give some colour around channels -wise growth ?

Vibha Padalkar: We don't really give guidance, except for saying that historically, the private sector has grown in the range of 12% to 15%. So , we should grow at least by that, if not a shad e higher than that.

And we could comfortably grow higher if you're looking at listed players. But if we were to look at overall, the upper end of this kind of band is what we should grow and VNB should grow, just pre -empting your next question.

All our cha nnels should grow. In my comments, I talked about HDFC Bank counter share. That has already reached 63% in less than nine months' timeframe , since the merger . We will continue to make further inroads. And so that should grow faster than company level growt h. Agency and broking channel that were disproportionately hit on the higher ticket size cases that too with the base reset should grow fairly robustly. Some of the new partnerships that are completely nascent, new tie -ups and so on, that should also grow . So really, all of the channels should do well in FY25.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: I have three questions. First one is on the agency side. Your agency business was down around 11% for the year and almost down 30% in the fourth quarter. Now what we see over here is that ULIP in agency has grown handsomely, but it is the traditional business that is down. We are just trying to understand the trend as to why this ha s happened. And I believe a chunk of the agency would have come from Exide, which probably was not focusing so much on the high-ticket business. That's the first question.

Suresh Badami: It's not that our agency channel did not have base effect of greater than INR5 lakhs segment . If you looked at our agency institution, there were a fair number of large financial product distributors as well as MDRT distributors who did operate in Tier 1 in greater than INR5 lakhs segment . On a 2 -year basis, of course, our agency business has been growing at almost 14%. We see the trajectory over a long run. There has been a 1 -year effect on account of the greater than INR5 lakhs segment .

Now there are two-three things , one is we are increasing distribution presence across geographies . We are adding a lot of branches. We are expanding into Tier 2 /3 markets . Second, if you look at the number of new consultant additions that we have done, it has been the second best in the industry with more than 80,000 agents. And on your ques tion on Exide, that particular business has been growing. Yes, they may not have been , because they're primarily present in Tier 2 /3 and in some of the south ern markets , present in the higher ticket size. B

ut there, we are actually looking at a retail NOP growth strategy, where we'll be expanding into many more markets in Tier 2 /3 and grow on that basis. It's a question of how does the regular agency grow in terms of the retail penetration, as we expand to Tier 2 /3, and in terms of the new agents who are coming on board.

The quality of our top agents who are qualifying for MDRT that has been increasing year - over-year. We do believe that with our focus on new agent recruitment in terms of productivity and product mix, over a period of time, some of the produ ct through agency channel will also correct to the balanced product mix that we normally do.

Vibha Padalkar: And Nischint, to add, if I were to deconstruct in numbers, up to INR5 lakh agency channel has grown almost 8x company -level growth. 8% is the grow th in up to INR5 lakhs. The drag has

been the above INR5 lakhs, which is why for next year with this base reset, it should get back on its feet. ..

Nischint Chawathe: Sure. The second question is on new business strain as a percentage of APE, and this ratio has gone up from 34% last year to 40% this year despite the fact that share of ULIP has gone up. I was just trying to understand the trend.

Eshwari Murugan: Strain depends on the product composition and expenses. As we already mentioned on the call, opera ting leverage in FY24 has seen an impact of expenses which has impacted new business strain. UL has the highest strain because reserves are linked to value of the fund and since UL mix has increased significantly from 19% in FY23 to 35% in FY24 strain is h igher. That is one of the main reasons for the increase in the strain from last year to this year.

Vibha Padalkar: And just to add to that Nischint, we are typically capacitized in terms of manpower and our branches to grow between 15% to 18%. But on an un adjusted basis, we have grown 1%. So that's what I think Eshwari means in terms of operating leverage not coming through or in other words impacting the strain on new business.

Nischint Chawathe: Got it. Just a last one on VNB walk trajectory. We can see t he fixed cost absorption being negative at around 70 basis points. Is that for the same reason or is it something because of the IT expense ?

Vibha Padalkar: Itis the same reason. Just the same INR1,000 crores and the uplift that it has given. I would say for you to triangulate this is , if I were to look at VNB growth last year, the VNB growth in FY 23 in Q4 was 69%. A large chunk of this also came from that INR1,000 crores because we have never grown at 69%.The margin impact of 70 bps out of the 130 bps is just that INR1,000 crores .

Nischint Chawathe: But if I look at the VNB walk last year, even then fixed cost assumption was a negative, when I think your growth was really pretty good.

Vibha Padalkar: That must have been maybe due to Exide Life because we w ere in the close of the merger and the margin profile was significantly lower than us, post which we have done a lot of rationalization in people and branches. There was also Project Inspire that we talked about in terms of the INR50 crores investment that we did at that time.

Nischint Chawathe: So the question I think essentially is that if this is Project Inspire and it kind of continues for next year, then in all possibilities, there might be a similar track next year. I think that's what I'm coming to o r is it that we if grow at 15%, it won't be there?

Niraj Shah : The biggest drag really is in terms of the gap between capacity and actual growth which is that 15%-17% number that we're talking about. If the growth comes back to where we want it to be next year a lot of this number could actually go away. Some part of it will stay because of the continued investments that we do, but a large part of this drag is going to be addressed by the growth coming

back in FY25.

Moderator: The next question is from th e line of Sanketh Godha from Avendus Spark.

Sanketh Godha: I have three questions. So, the first question, Vibha, you said that you will grow broadly in line with private sector, which you expect to be 12% -15%. But given we are at 63% market share in HDFC Bank and potentially it goes to 70% next year, then ideally your growth guidance or growth expectations should be better than private sector. I just wanted to understand that your growth will be around 15% or it could be better than that because of the mar ket share gain in the bank? That's my first question.

Vibha Padalkar: It's very difficult to know on a relative basis as somebody else might have had some other tie - up with some other bank and so on. And that's why things will unfold as we see some of the other relationships. But yes, as far as we are concerned, –our growth expectation in HDFC Bank is clearly like you articulated.

And in other channels , as we discussed in a couple of earlier questions , given agency rebasing and some of our other channels l ike direct channel rebasing , some of our newer partnerships beginning to take shape , it should be, but relative growth becomes difficult to know.

Sanketh Godha: Okay. And the second question is, you made the initial remarks that you are okay to trade off margin s for growth, then related two questions, which means that you will be okay to breach ULIP more than 35% of the total APE which is what you have today. And if ULIP grows, as you highlighted, it creates new business strain then do you expect the solven cy should go further down or it will cap your ability to sell ULIP even if the demand is there?

Niraj Shah: So Sanketh, I think on unit linked even while it is at 35% , historically for the past 5 years it has been in the 20 %-25% zone. So can ULIP be higher in a particular quarter? The answer is yes. Was it higher in Q4, if you were to look at the full year numbers, 35% versus 19% of last year, obviously, Q4 ULIP was higher. So that is mathematically the situation.

We have also maintained that we don't want to micromanage this on a quarterly basis. We definitely want to take cognizance of the demand , where it is coming from and whether we can actually balance our objectives in terms of can we sell more protection on unit linked ? Can we sell more riders ? Can we improve persistency ? Can we just inherently increase the margin of all our segments ? That is something that we would focus on.

We are not too fussed about where it goes to in a particular quarter. But over a period of time, we definitely want to still ma intain , between our savings products anywhere between one - fourth to one -third across each of the segments.

And just again, a slightly different point, but on the same issue is that there are a lot of perceived headwinds against non-participating products in this period, but our product mix on non-par has actually moved to mid -30s in this period , much higher than what it was in the 9M period.

That tells you that there are ways to get to a particular outcome, keeping in mind the overall demand drivers in the market. As such, we would like to maintain a fairly reasonable window within which we will have each of these segments coming in.

Your question on solvency, again, like Eshwari mentioned, each product category has a different dimension. Unit linked produc ts will have a much higher requirement given the base on which it is calculated, but also the capital requirement is for a shorter period compared to for non -par or for participating products.
So, some of these things do balance each other out. In certain products, which are more profitable, you need to hold more capital for a longer period of time. Certain produ

cts like unit
linked , which in our case are relatively less profitable , you need more capital at inception, but that capital requirement comes down over a period of time. We would obviously want to maintain solvency which is in a good zone, and we have managed to do that all things considered.
Sanketh Godha: The reason I was asking that question is that if th e market remains as buoyant as they are to day and ULIP demand remain persistent then whether your solvency will cap growth because demand is for that particular product in that sense, as it is in the current year.
Eshwari Murugan: While solvency requirement will be dependent on the mix, it is not that if ULIP is going to be at a very high percentage, the requirement will increase exponentially, because as we discussed there are different influences. On unit linked, the requirement for capital is lower compared to non-par. So the requirement itself is lower at the start and then because of persistency being lower compared to non -par, the trajectory of the requirement of capital is going to be lower.
So it will balance it out, and we don't expect it to be a big strain on growth, especially since we are at 187% of solvency. There's a good cushion between the minimum required of 150 % by the regulator and 187%. In rupees crore, it's a very big number because our actual solvency in capital we have is around INR 15,000 crores. That gives us the comfort that it does not restrain growth even if ULIP mix had to go a little higher.
Sanketh Godha: The last question from my side is that, the revised surrender norms are definitely watered down, but definitely, it has some impact on two products, especially the limi ted five pay non - par and to some extent, deferred regular pay annuity.
Just wanted to understand how much five pay contributes to our total premium and deferred regular pay annuity contributes to total premium , given it is linked to EOM , the SSV? Just wanted to understand how much portion of the business is linked to it and how can you transit it to, say, seven pay, eight pay or ten pay to overcome this problem if it is there?
Niraj Shah: Sanketh, while the allowance is based on the premium paying term, it is also based on product category. In that sense, now in terms of various segments that we have, whether it is par, non - par and unit -linked, the product commercials are different across different categories.

The EOM allowance is also something that is ma naged at an overall level. It doesn't become a critical point in managing growth or expense ratio s. So the EOM allowance is something that gets managed at an overall level, as you know, between par and non -par. Within non -par, you have different categories , you have unit -linked on which the commercials are very, very different compared to some of the other product categories which are sold at the longer end.
Significant portion of our non -unit-linked business comes at PPTs which are 8 to 10 as well. A lot of this balancing happens within channels who have a different premium paying term mix.
At an overall level, we are able to optimize to get to the answer that was required.
Sanketh Godha: But Niraj, would you be okay to quantify how much five pay non -par c ontributes to our total APE and how much deferred regular pay annuity contributes to total APE?
Niraj Shah: I can tell you that as far as non -par business is concerned, different channels have a different mix. Banks would typically sell something which is relatively shorter pay compared to agency.
Agency, direct, brokers, large part of that business would be sold in the long -term premium paying mix. There is a healthy balance of all of these categories. We wouldn't want to specifically call out because it's fairly dynamic . As far as regular pay deferred annuity is concerned, it is a fairly small segment so

far. And again, there is a fairly good balance between
shorter pay term and longer pay term. It's a recently introduced category, and it's a fairly small portion of our business as things stand today.
Moderator: The next question is from the line of Shreya Shivani from CLSA.
Shreya Shivani : Thank you for the opportunity. M y question is going back to growth. You mentioned that Tier 2/3 cities have seen 12%-13% growth. Now I remember from last conference call you had mentioned that it will take you at least 12 to 18 months for some of the se partnerships that you are making in these geographies to start delivering on numbers.
So just wanted to understand that Tier 2 /3 cities growth of 12% -13%, how much higher can it get a nd will it be more towards FY26 rather than in FY25 be cause that would be in the timeline of 12 months to 18 months that you were mentioning.

So is it that in this year the main trigger for gro wth would be HDFC Bank counter share increasing ? And expansion in smaller geographies of Tier 2 /3 cities will actually start delivering probably from second half or the exit month of FY25 ?
Suresh Badami : So two parts to it. One, of course, HDFC Bank has a clear SURU market growth strategy and so do many of our other large national banca partners. There are a lot of partners who m we added are present in Tier 2 /3 and regional geographies.
That has started coming into play . Even outside HDFC Bank, a lot of o ur other banca corporate agent partners have grown faster , in the range of 13% -15%. So that has already started playing out for us this particular year and a lot of that has come from Tier 2 /3.

But it's not that it will all come only in FY26. Some of it ha s started playing out. Composition has grown by more than 10% this particular year in Tier 2/3 markets and like we mentioned it is more a retail NOP growth strategy. T o your second part, we will increase our market share at HDFC Bank.
We have to work for it, and if it grows from 63%, if bank grows and we are able to increase our market share , that will give us overall growth as far as the bancassurance is concerned. On top of that, we do believe that our agency and broking business have base effect because greater than INR 5 lakhs has now gone off for this particular year. Both those channels will also grow.
And third, Tier 2 /3 market in terms of products and distribution expansion , including 75 new branches that we are looking at expanding, that will also a dd. That may probably take 12 to 18 months for us to deliver in terms of agency build up in these markets and hence the business volumes coming in.
But there are actually three to four lines of businesses which are helping us build the Tier 2 /3 business a nd they are all phased out.
Vibha Padalkar: I'll just add to that. We were also surprised, that if I were to look at growth in protection , Tier 1 has grown 26%, Tier 2 has grown 22% and Tier 3 has grown 32%. And the ticket sizes are just a 10% differential between each of the tiers. If I look at each one of these different segments the growth from non -Tier 1 is healthy and the ticket size isn't that different because we are going after the upper quartile of Tier 2 and likewise for Tier 3.
And then there is, of course, SURU which Suresh talked about of both HDFC Bank and other banks. But equally important is our strategy for agency. For example, of the new agents added, the 80,000 agents added 85% to 90% of those agents are from Tier 2 /3. Of the 75 branches t hat we have opened last year a significant portion similar kind of percentage is in Tier 2 /3.
All of that means that we ar e somewhat agnostic of channel. T he channel if you visualize is the vertical and the horizontal cutting across are Tier 2 /3 opportuni ties. So it will be fairly widespread across channels.
Shreya Shivani : If I c

ould summarize in one line probably banca delivery on growth in these cities will be faster . Probably agency may be more towards second half of FY25. Does that summarize properly?
Vibha Padalkar: I'm hoping that agency starts off on Q1.
Moderator: The next question is from the line of Suresh Ganapathy from Macquarie Capital.
Suresh Ganapathy : Just two questions. Vibha, is it possibl e to get product level margins? One of your peers discloses it. So can you at least do that on an annual basis?

Vibha Padalkar: Each channel and each product has a very different outcome. And we have 300 partners. So it is not that simplistic , example stating that term business has this margin because wh at margin I make on term business depends on what are my commercials with that partner and what is the mix with that partner.
I think once we have some of the same peers also disclosing very clearly what is par and non - par or what is credit life and retai l, then I think we'll have those discussions.
Moderator: The next question is from the line of Vivek from Aditya Birla Capital.
Vivek: The first question is on credit protect business. What is the percentage growth in credit protect year-on-year and the s econd question on that is since the business in GIFT city has been mentioned during the call, do you see any potential in credit protect business in GIFT city??
Suresh Badami : So yes, 2 parts. The credit protect business grew by 13% for us in this year, w hich is fairly good, given in Q 4 we did see some kind of a slowdown in disbursements. All our partners remain intact in terms of our partnerships. There have been some segments where we have gone up, some segments where we have gone down , but overall we co ntinue to retain market

share that we have on the credit protect business.
On your question on GIFT City, yes, there is an opportunity down the line. Right now, all the products that we are looking at are in terms of individual dollar -denominated products. But tomorrow if there are banks which set up their branches out of GIFT City and they look at it, we will definitely look at similar product structures there. There are products that we will be looking at once U.S. dollar loans start coming from GIFT City .
Vivek: Do you see any potential in group term in GIFT City? Are you going to target any market in that?
Suresh Badami : We have very small market in terms of what we are looking at because the employee base which is there in GIFT City, it's similar to wha t we have at DFSA . So it will be a very marginal business, in any case, it's hard fought for us. We are not targeting that as a particular product now. We do believe savings will help us grow in that particular market. And it is the education plan, some pr oducts on health, some products on travel. That's the kind of opportunity we're tracking given the segments are available internationally and where we believe we'll be much more competitive than anyone.

Moderator: We'll take the next question from the lin e of Suresh Ganapathy from Macquarie Capital. Please go ahead.
Suresh Ganapathy : So my question is just on VNB outlook because I was looking FY17 to FY22, broadly the industry as well as you guys have grown between 20% to 25%, right? So it's been a good VNB trajectory and now we are talking about 12% to 15%, right? And one of your peers reported a

23% margin and they're arguing now, in the revised EOM environment that is the margins at which maybe the industry might operate considering the pressure from all directions.
So how are you looking at this? Because even you at the start of the call, Vibha made a statement that there is a trade -off between growth and margin and we will let go off margin to get growth, right? So are we really looking a

t a lower VNB g rowth this cycle? And do you think margins can really go down considering the way the industry is evolving now?
Vibha Padalkar : I want to clarify a couple of things. One is that, we want to hold VNB growth very similar to APE growth . The limited point I'm making is that there will always be something or the other that's happening, either a macro event, war is there or swing in equity market. I don't want to not engage with the customer when the customer wants to buy something, that's the limited point.
I wo uld like VNB growth while growing top line faster than the overall industry. That's the objective. But are we looking at completely yo -yoing on margins, where in you're talking about lower by 300 -400 basis points in one quarter, I don't think so. That's no t what I'm saying. I'm saying little bit here and there. We will seek that flexibility so that we are able to engage with customer and don't turn away the customer to say, okay, you don't meet my margin threshold and so I will not sell you a policy, that's the limited point that I'm making.
Holistically, we want to grow, like I said, 12% to 15% industry growth, on the upper end of that or a shade more than that would be a good place to be. VNB in similar kind of zone, return on embedded value in the 17% -18% zone, which we have again delivered. I think that kind of a holistic growth a s a scorecard is what we're looking at.
Suresh Ganapathy : So Vibha, protection margins are 4 x to 5x that of the other product margins. And if indeed the narrative on protection i s strong, why this complete U -turn? This is not for you specifically, in general the industry is struggling to improve margins despite those products having better opportunity and 3 x to 4x the margin potential than other products?
Vibha Padalkar : This is w hat it used to be. Over the last four years, it has changed completely . Given almost irrational pricing, competitive pressure on pricing, especially through aggregators on protection, it is a very different game today. INR1 crore cover in India is cheaper than a INR1 crore cover in Hong Kong or many other geographies. How is that possible?
I also mentioned that unlike in banks, insurance companies are largely competing with unlisted players with next -to-no disclosures. This will move and grow into a sector wherein either one lists or there is a road map or there is disclosure that are similar to listing. Something will happen.
And with that, that will rein in a lot of exuberance and aggressiveness on pricing , both in term and annuity, we're seeing on both e nds and hence we need to stay focused on building profitable business. And we continue to do that, which is why perhaps we are not the cheapest because if I were to cut my prices by 30% .I will definitely have 0% margin, best case scenario.

Because of this competition, the kind of multiples that you're talking no longer exist, that's the fact.
Will it come back? I think I'm of the school of thought that it will come back in terms of rationality in pricing due to the reasons that I mentioned. But today, it is not there. And so we need to sustain this competitive intensity for now until margins are climbing back again.
Niraj Shah: Just one point to add here. An earlier caller, MW Kim, had asked in the context of IFRS and IndAS , how can things change? So while I said we don't expect to change the way we do our business. What is definitely likely to change at an overall sector level, is that contracts or business which is priced upfront at negative margins or at very low margins and coinciding that with risk -based capital that will also come in during this period, it will be extremely difficult for someone on a sustained basis price or misprice products and look at only top line. So the whole definition of top line itself will change and evolve as

you are aware, g oing
forward. Unfortunately, protection margins are not where they should be. I mean, that's something that we would have liked it to be the case like it is in all other parts of the world. It is not the case in India. So that's really the reality right no w.
Suresh Ganapathy : Just for our understanding, is it possible to at least tell the magnitude of difference between , say if you had a protection margin of, say, x% 3 -4 years ago, would that be down by 10% or 20%? J ust a rough number would also be great.
Niraj Shah: Protection margins, 4-5 years back used to be in three digits. Now it is much higher than company average margins but nowhere close to where it used be.
Moderator: The next question is from the line of Harshit Toshniwal from Premji.
Harshit To shniwal : The margins on protection ha ve been slightly lower. But despite that, at an overall level as an industry and as a company we have all been able to maintain that margin in the 26% to 27% range. And even if I look at Q 4 despite the ULIP mix increase , the drop in margins has not been very significant. So wanted to get a sense that ULIP margins at a stand -alone product level, how much has that improved? And also due to the fact that probably the approach of HDFC Bank towards HDFC Life that has also evo lved over the last 2-3 years. So apart from just the wallet share shift, is it also that the product level margins in that channel is something which are more in line to the overall structure, which we would have wanted to be ?
And to that point, which you mentioned that in a market like this, demand is something which is not controllable. Probably last 2-3 years, we saw very good phase for ULIP and staying away from a particular product might not make sense in this kind of an environment. So rather than con trolling the product mix, basically ensuring that individual product margin keeps on improving. So just wanted to get your thoughts, that ULIP as a product, how has that changed us for the last 2-3 years?

Vibha Padalkar : We do see every segment continuing to give higher margin . For example, in participating products, we would urge our channels to sell for longer term, even toggling between what is the level of sum assured versus what is the bonus that we give.
We do believe that we are right up there in eac h of the segments because we are really granular on how we're not leaving money on the table unnecessarily and are also good for the customer. So that's what we have done on par. To your question on unit linked, today some of our products, for example, Sma rt Protect has a 100x cover, so not that all policies we sell are 100x but it is for those that want a one -stop solution.
Also, we are able to get much better unit -linked margins than otherwise. If you were to look at steady improvement in persistency, tha t has helped because we do change our actuarial assumptions and mark -to-market it. If we see a positive trend in persistency, we wait for two years. But after two years, we do change the inherent assumptions and then new business also will get that uplift on the change in assumptions.
Many such reasons that help us in go al seeking in a way for margins and that has become a DNA of the organization. We also have channel CEOs who have to balance their top line and bottom line. If they want to sell more unit li nked , it could be through something like Smart Protect , it could be through attachment of riders , it could be productivity improvement on costs. It could be many such things, all the technology investments that we are doing, wherein we need lesser people. It’s a combination of all of these things and term, of course. And term has been steady, we have grown 27%. We have also grown in the 50s in terms of sum assured, which clearly means that we are covering higher levels of mortal

ity by various mechanisms .
And all of that is margin accretive.
Harshit Toshniwal : I understand that you are saying that the DNA has shifted towards improving product level

margins . And so somewhat like a ULIP, which probably at some point had single -digit margin. Is it fair to say th at now it is not that case that is the market is expecting that product to be sold in greater proportion?

Then we are not running that race single legged because of some factors. I am just trying to understand that in order to mo uld ourselves to what the market demands, the profitability of each of the products at ROE V level should be competitive enough. Wanted to check that in the previous avatar a lot of things on the distribution part restricted the margins on ULIP as a product. Has that changed very sp ecifically?

Vibha Padalkar : Yes, we have a lot more levers for us to be able to deliver margins in a particular zone that we have consistently operated in. And I don't want to reveal all of it. But suffices to say that, for example, our product committee m eets every fortnight to really look at not just high -level par, non-par and so on but many, many nuances of what is selling, to which channels, at what cost of acquisition, where are we leaving money on the table by not cross -selling, attaching, and many s uch things. It’s really a nuanced approach that is looking at both top line growth and

bottom line. And we don't do it only at a corporate level, it is done even at a decentralized channel CEO level.

Harshit Toshniwal : Understood. One last question . This is from regulator ’s perspective. When we look at insurance as an industry, there are effectively 5-6 types of products which we have been selling from a long period of time. Probably the regulator now intend s to look at each product through a different lens , try to see whether it fits the customer, etc.

More from an industry point of view , can adding new products , so somewhat there have been talks of composite , but I'm thinking that even within savings, do you think that industry as a whole needs new product s beyond the current ones, which are typical structures , under which we are selling insurance?

Vibha Padalkar : Absolutely. And that is there in the regulatory review report. We are part of that , along with many other peers. I'll give you an example. Earlie r there was a caller asking about our GIFT City products. Now we have a dollar -denominated education product, which is approved by the DFSA. And there, you don't necessarily need to have a 10x cover. You could have, say, a 5x cover because your objectives might be different or you might already have some level of insurance and that's not what you're look ing for today.

It's not zero but it doesn't have to be much higher levels of insurance. There are tweaks like that or it could be wherein you could take a premium holiday without necessarily lapsing your product because there are some constraints that you have on the financial front. Many such things within the existing avatar can certainly be done to expand the pie by offering flexibility and it is already there as a series of recommendations to our regulator.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh : Just two questions from my side. First, on Tier 2 /3 markets . If you can kind of give some color on what you th ink could be the right strategy to win in this market, be it for HDFC Life or any other competitor? Will it be a distribution strategy or the product innovation strategy? And in that context, if you can give some color on the split of the 13% growth that y ou have seen in Tier 2 /3 between maybe the specific product cohort, like you mentioned that retail protection was probably 20% or 30% in some of the geographies.

And secondly, if you can just give what was t

he contribution of HDFC Bank in your individual business for the year or if you can give the contribution in your overall business?

Suresh Badami : I'll answer the third one. In HDFC Bank we have gained fair market share. There has also been a little bit muted growth because of the high base in our broki ng and agenc y. We have hit almost 52% -53% kind of contribution on the individual business from HDFC Bank. It is still fairly diversified because we have many other partners. But given our focus on proprietary, given our focus on some of the alternate chann els as well as other banca partners who are supporting us, it will probably go up and down a little, even if HDFC Bank were to grow the next year ..

On your question of right strategy to win, frankly, it is a very competitive market. I think every key lever falls into place, especially with somebody like even an HDFC Bank who is looking at what is the right composition which is going across to the customers. So right from in terms of the product, the IRR, what kind of operational efficiency is coming in, we constantly benchmark ourselves in terms of where do we stand in terms of operational efficiency, product IRR, resources on the ground, training and capability.

And we do believe that there are many such innovative things that we can bring in the market , where we add value to all our partners . Whether we can come out with propositions like the GIFT City, whether we can come out with deferred annuity kind of a product, our Click 2 Achieve as a product, has had a huge advantage in terms of the innovative prod uct or the customized solu tion that we are able to bring.
So really, it's a question of how do we go back and benchmark ourselves across each of these parameters and make sure that we are number one or at the worst number two as far as the value propositio n to each of our partners is concerned.
Dipanjan Ghosh : If you can share break -up of the 13% growth in Tier 2 /3 between maybe some product cohort ?
Suresh Badami : The same set of products at different ticket sizes have been moving across both the Tier 2 /3 markets. We do believe that there is a segment within Tier 2 /3 because they are fairly less underpenetrated. But yes, the less than INR5 lakh cohort in Tier 2 /3 markets have seen a much faster growth because of NOP penetration that we are able to get into e ach of these markets .
The Tier 3 has, for instance, grown at almost 17%. Tier 2 /3 overall has grown at 13%, faster than the industry level growth . So those advantages are clearly coming in . But the less than INR5 lakhs has been growing in high teens. Our N OP growth also has been in the mid -teens in each of these segments.
Moderator: The next question is from the line of Madhukar Ladha from Nuvama .
Madhukar Ladha : I wanted to get a split between the high -ticket size and the low -ticket size on total individua l APE for FY24 ? And my second question would be, we see that the economic variances are about ~INR 1,300 crores. What is the split between fixed income and equity there?
Niraj Shah: On the first one, we had mentioned at the beginning of this year, just af ter the budget that the impact we see is that greater than INR5 lakh used to be around 12% of overall APE and today, the same category is about 6% to 7% of our business. It is definitely lower than what it was last year but it is still a fairly significant number. And that is something that we expect to continue as we go forward as well.
Niraj Shah: On economic variance break -up. T hat is primarily due to equity . Out of the INR1,300 crores , INR1,200 -odd crores is due to equity. The rest is due to the lower yields in this period compared to the same period last year.

Madhukar Ladha : Understood. And just

on 6% to 7% high ticket size, what would be the composition, which product categories actually contribute to that?
Niraj Shah: These are all traditional produ cts, non -unit linked. If you include unit linked in this, the mix would be even higher than 6% to 7%. We're only referring to the affected category, which we spoke about in the context of last year. Also, what you're seeing is, in this period, I was referr ing to an earlier conversation about our non -par mix having gone up in this period to the mid-30s from less than 30% in the nine mont hs period. A large part of that is due to one of the new product launches that we have had, which has also helped us garner business in high ticket size as well, in spite of where we are, as far as the tax regulations are concerned.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.
Prayesh Jain : On the Tier 1 /2/3 that we spoke about, any thought s you can share in terms of how has the experience been there with regards to mortality , persistency, any of those parameters? And how should we look at it from a medium -term perspective? And secondly, on your overall product mix, how would you look at som ething like a protection or an nuity going ahead? Although protection margins have come off but still they are significantly better than company level margins . If the share of protection and annuities can go up next year, you can see some margin bump up. S o just trying to understand that how these two products are likely to shape up in FY25?
Vibha Padalkar : Protection clearly for us has been growing well. And when you triangulate that with the level of sum assured, so we should, despite us not necessarily playing the price war, it should grow faster than overall company level. And we are happy that the retail sum assured has grown just shy of 50% and retail protection on a stand -alone basis has grown by 27%. While some of it was based in fact in the first three quarters. But even in the fourth quarter, we have done okay. So that trend of growing faster than company should certainly continue, thereby giving us the margin uplift. And more than the margin uplift, it is core to insurance and we want to grow more of that. 4% has become 5%. And this is inching up, in terms of percentage of APE should happen .
In terms of persistency, what is again heartening is that the difference between Tier 1 and Tier 2, is maybe 300 -400 basis points and again, between Tier 2 and Tier 3 is thereabout. So it is not in the late 60s or early 70s. So that's how it is panning out because, again, we're not throwing caution to the winds and wading into pro files that we don't understand.
There are a lot of filters. And like I've mentioned earlier, that we are looking at the upper

quartile in a Tier 2 /3. So that we are being very selective of where are we going in terms of the places , it could be a small industry, it could be a missionary or it could be a school. It could be something which is generating a certain income and certain section of the population is dependent on that income -generating activity.

Prayesh Jain : The point that I was wanting to ask was, if the same product is sold in Tier 2 /3 via the same channel, say, for example, HD FC Bank sells a ULIP product in a Tier 2 /3 and HDFC Bank then sells it in Tier 1, would your margin be any different?

Eshwari Murugan : While the Tier 1 /2/3 will play a role in the persistency as well as mortality experience that is not the only parameter. The other parameters like, at what level of underwriting they have taken the risk on board, what is the income level, what is the ticket size o r sum assured and what products. All those things influence the experience and we look at the experience of all these parameters and we factor that in the calculation of the margin.

Whatever

products are sold in predominantly in th is segment, all those products have the actual experience captured in the margin. For example, in a Tier 2, in a certain ticket size, the persistency will be better than a lower ticket size in a Tier 1. So those elements, and nuances are what we are referring to . It is not a very clear differentiation only between the tiers or only differentiating basis one parameter .

Vibha Padalkar : See ri ght now, it is largely margin neutral because it is more that profile of a human life is choosing to live in that particular place as against living in a top 10 city. That is how we are seeing it and so not huge difference. Over a period of time, we will get nuanced wherein it is possible that we might introduce these four products and we are working on that, in Tier 2 with a higher charge extraction to take care of higher mortality and or relatively lower persistency experience. As the volumes start pickin g up, it is possible that we'll look at that as well.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta : Could you let us know what is the contribution from non -HDFC Bank partners to the APE? And what would be the 2 or 3 key partnerships here? And given this is a fairly competitive channel which has seen commissions going up after the new EOM guidelines coming in, what are growth aspirations in this channel? That is one question.

And second question is that you seem to be very confident around protection growing. But when I look at your retail protection, the growth has been slowing for the last 2 quarters now. So just wanted to understand, is th ere anything specific to these 2 quarters and that should rever se next year? Or why do you think that this growth should accelerate going forward?

Vibha Padalkar: I'll take the second part . On the term, it is really because of the base effect, nothing else. If you look at Q44 term , of last year, it had grown higher. Otherwise, in rupee value , quarter -on-quarter, you'll find a steady growth.

Suresh Badami : On your specific question on what is the non -HDFC Bank contribution in terms of the other banca channels, it is 12%-13% of our overall business. But then a lot of o ur large partnerships have also come on board over the last 2-3 years. We're still making forays in terms of market share as well as our presence across each of these partners. For instance, even last year, we added Karnataka Bank and Karur Vysya Bank. Our partnership with YES B ank and some of

them are growing stronger. Some of the earlier partnerships with IDFC, RBL, Saraswat, they continue to remain strong partnerships for us.

Supratim Datta : And just if I could ask what was this 12% -13% mix, say, around 3-4years back?

Suresh Badami : So it has not shifted dramatically because at one end, HDFC Bank has grown in contribution. And so the denominator has grown because we have gained significant market share there. Secondly, the proprietary focus also is helpin g us grow. Like we mentioned, our agency business over a 2 -year period has grown by 14%, has been growing faster than industry over the last few years. So really, we do look at each one of them in isolation in terms of growth year-on-year but we do believe that the ban cassurance partners are growing at around 10% plus also year -on-year.

Niraj Shah: Also what has happened is that HDFC Bank , this year, has grown faster than our other bank partnerships. But over the last 3 to 4 years, the contribution of other banca partners has almost doubled to the overall ban ca business. So it used to be in single digits till a few years back but lot of these new partnerships that we spoke about have scaled up in this period and they are now contributing to almost 20% to 25% of our bancassurance business . If you were to just normalize

for the HDFC Bank business growth in this period.
Moderator: We will take our last question from the line of Swarnabh Mukherjee from B&K Securities.
Swarnabh Mukherjee : A couple of questions. Fi rst one on the growth versus margin. So last year, you had highlighted that you were capacitized to grow by 17% -18% but since you expected around, say, a mid - teens kind of a growth, so there was a kind of impact on margin that was expected. Where are we th is year?
So are we again kind of budgeting in a cost structure for 17% -18% growth and given the fact that you are guiding for kind of a 12% -15% industry growth and maybe little bit ahead of that. Is there a risk of shortfall from that 17% -18% number and c onsequently there could be an operating deleverage as we progress in the year, should we kind of think of such a risk thing playing out on the margins this year also ? So that is the first one.
And second, in terms of the 13 -month persistency, in the initi al speech, you had highlighted that you expect some shift in that, so if you could maybe elaborate on that a bit.
Niraj Shah: So to your first question, in terms of where we are headed in terms of growth for FY25 and consequently, the margins. We are expec ting the sector to grow in this range, 12% -15%. We expect to grow at the top end of that range and hopefully faster. We are not targeting a margin expansion in this period. We are definitely continuing to see competitive intensity. We are continuing to see our distribution expansion happen, our resource allocation increasing.
All of those things will, in some sense, counterbalance each other. We are definitely targeting a similar VNB growth to the top line growth that we have, which, in some sense, implies margins to be in the zone that we are at this current point in time.

Let's say, the product mix becomes more margin accretive or we are able to extract more segment level margins, we will evaluate ploughing some of that back to get growth as we have discussed, something very similar to what has happened in quarter 4. We have seen unit -linked mix go up. We have taken that growth on board without significantly diluting our margin profile. These are some of the trade -offs that we have spoken right through th is call and that is where we are.
And linking it back to the VNB walk that we spoke about earlier on the call as well, significant part of that 130 basis points is coming out of that operating leverage gap because of the difference between the capacity an d the actual growth. We do not see that repeat ing in FY 25 because we expect growth to come back fairly strongly in FY25. So that is something that will only be balanced by our continued investments. that’s the only factor that we will talk about.
Product mix will, of course, evolve. We are at a reasonable balance at this point in time but we will retain the flexibility to evolve the product mix based on how the market shapes up.
To your second point on persistency, what we have been talking about is in th e context of our expansion deeper into the Indian markets. We did speak about persistency across the 3 tiers being different by about 300 to 400 basis points at the 13 -month level, not dramatically different. All of these still put us in the 80s handle, ev en in Tier 3 market, exactly because of the ticket size at which we are operating in.
We will task ourselves with improving persistency on a like -to-like basis but the mix effect will be something that we will not hold as a constraint to growing profitabl y. So if the contribution from Tier 2 /3 keeps increasing, can it have impact on the overall headline persistency? It could , but that is something that we would price into our business model.
Swarnabha Mukherjee : Understood. So this shift that you are expec ting, so would we expect any kind of im

pact in our,
say, operating assumptions in our VNB because of this?
Niraj Shah: End of every year, we do review our assumptions in line with our actual experience and we do reset that at the end of review every year. We have done that in our EV walk this period as well as you can see. This is basically, in some sense, anticipating what we are likely to see in the coming year.
Swarnabha Mukherjee : So that's already baked in, if I understood correctly.
Eshwari Murugan: So in VNB walk you can see a 0.2% impact on the margin due to assumption change. Some of the difference is already baked in.
Moderator: I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments.
Vibha Padalkar: Thank you everyo ne for joining today's call. It was good interacting with all of you. Please feel free to reach out to our IR team in case of any further queri es. Thank you and good evening.

Call: Jul 2024

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ear Sir / Madam,
Sub: Transcript of earnings conference call for the quarter ended June 30 , 2024
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors
held on Monday , July 15, 2024 , to discuss the financial performance of the
Company for the quarter e nded June 30 , 202 4.
The said transcript has been hosted on the Company's website at https://www.hdfclife.com/about -
us/investor -relat ions.
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary
Encl. As above

HDFC Life Insurance Company Limited
Q1 FY25 Earnings Conference Call

July 15 , 2024

Vibha Padalkar : Good evening. I would like to welcome everyone to our earnings conference call for the quarter ended June 30th, 2024. Our results, which includes the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. Joining me are Suresh Badami, Deputy Managing Director; Niraj Shah, ED & CFO; Vineet Arora , COO *; Eshwari Murugan, our Appointed Actuary and Kunal Jain, SVP - Investor Relations and Business Planning.
*Mr. Vineet Arora was inadvertently referred to as Executive Director and COO instead of COO
Moving on to key highlights of Q1 FY 25. Starting with operating performance. We have kicked off the year on a strong note, achieving a robust YoY growth of 31% based on individual APE, translating to a 2 -year CAGR of 21%. This healthy growth is bolstered by strong performance across all metrics. We registered an increase of 22% in the number of policies and a ticket size expansion of 7%. Our growth outpaced both the private sector and overall industry, on a YoY as well as a two -year CAGR basis.
We experienced growth resurgence in tier 1 markets, whilst maintaining strong growth in tier 2 and 3 geographies. Tier 2 and 3 markets continue to account for two thirds of our business in terms of APE and three quarters of our business in terms of number of policies sold. We observed healthy growth in the number of policies across both savings and protection segments, as well as across geographies. The proportion of 'New to HDFC Life' customers in Q1 remains robust, exceeding 70%. We achieved a strong growth of 46% in retail sum assured, driven by expansion in retail protection, higher sum assured multiples for savings products and robust rider attachment.
Regarding our product mix for the quarter, ULIPs accounted for 38%, non -par savings for 35%, participating products for 16%, term for 6%, and annuities for 5%, based on individual APE. While we began the year with a high ULIP mix, we have been successful in lowering it during the quarter. We anticipate this moderation to continue in the coming months, driven primarily by product launches across other categories. We have observed strong growth in non-par products, with the segment achieving a YoY increase of 41% . Additionally, our continued introduction of newer variants within the Click2Achieve umbrella has resonated well with customers, with the latest variant garnering Rs 100 crore of ne

w business in merely
16 days.
Retail protection experienced significant growth of 28% based on individual APE and a robust 36% on a two -year CAGR basis. This is despite us continuing to follow a calibrated pricing and risk management approach. The credit protect segment remained flat due to slower disbursement in certain lines of business and increased competitive intensity across select partners. Our focus remains on building a sustainable and profitable business in this segment, and we are prepared to temporarily step away if a segment or a partnership becomes unviable. We continue to be ranked amongst the market leaders in both credit protect and retail protection segments and are committed to maintaining sustainable and profitable growth in the overall protection segment.

The annuity business in India is still in its early stages, presenting significant long -term growth potential. Despite intense competition and aggressive pricing by some peers, we continue to adopt a calibrated growth strategy, focusing on enhancing our product offerings while maintaining pricing discipline. Together, annuity and protection contributed 47% to our overall new business premium.
Moving on to key financial and operating metrics. Our Q1 value of new business was Rs. 718 crores, reflecting a healthy 18% growth both YoY and on a two -year CAGR basis. Our new business margins are 25.0% compared to 26.2% last year. The margin compression is primarily due to the product mix and continued investments in infrastructure, manpower, and technology.
We are committed to investing for long -term growth by expanding our geographical reach and tapping into new customer segments. These initiatives will help drive our growth trajectory over the next 3 -4 years. As the year unfolds, our focus remains on achieving absolute APE and VNB growth. We will be flexible in trading off margins within a range, in order to pursue these objectives.
Our embedded value is Rs. 49,611 crores as on 30th June, with an operating return on embedded value of 15.5%. Profit after tax has grown by 15% year -over-year, reaching Rs. 478 crores, driven by an 18% increase in profit emergence from the back book. Our solvency ratio stands at 186%.
To strengthen our solvency position, we will be raising sub -debt up to Rs 2,000 crore, in one or more tranches, over the next 12 months. This sub -debt raise will help fuel our growth aspirations.

Renewal collections grew by 10% year -over-year. Persistency for the 13th and 61st months improved to 88% and 56%, respectively, marking increases of 108 basis points and 282 basis points versus the previous year.
Next, on distribution. The bancassurance channel experienced over 40% growth in individual APE. Our counter share in HDFC Bank continued to be healthy, reaching 66% by the end of the quarter, up from 56.5% in Q1 of the previous year. Our close collaboration with partners ensures that we are able to offer the relevant products that suit the needs of our bancassurance partners' diverse customer segments.
The agency channel achieved strong growth this quarter, with a robust 2 -year CAGR of 17% based on individual APE. We are expanding our agency network by enhancing capacity for future growth, which includes expanding our footprint, recruiting top talent and investing in technology and capability development in order to improve productivity. We led the industry in net agent additions, adding over 18,500 agents during the quarter. Additionally, we expanded our network by adding 60 new locations this quarter, taking the aggregate number of branches to around 600.

Further, we continue to actively forge strategic partnerships and have recently partnered with Upstox, Fino Payments Bank, Peerless Financial Services, amongst others. These

collaborations will enable us to reach new customer segments, expand into new markets, and strengthen our presence.
Now regarding our subsidiaries. The AUM of HDFC Pension Fund Management grew by 67% YoY and surpassed Rs. 88,000 crores. We continue to build the pension business, maintaining a market share of over 43%. We are advancing our expansion efforts in GIFT City through our subsidiary in Dubai and are already seeing encouraging results in the NRI segment. Going forward, we aim to enhance our footprint by introducing more products tailored to their needs. The recent expansion of the scope of remittances under the Liberalised Remittance Scheme (LRS) will enable us to extend our offerings to Indian residents as well.
Update on Project Inspire. Our technology transformation initiative is progressing as planned. We are on track to launch our group business transformation between Q3 and Q4 this year. The business process re -engineering under this project will greatly improve operational efficiency, establish a unified data platform for enhanced decision -making and collaboration and bolster our risk management capabilities.
Moving to regulatory update. We welcome the IRDAI's progressive reforms outlined in the Master Circular on Life Insurance products. Measures such as mandatory policy loans to enhance liquidity, extended free look -in period, robust processes to address customer grievances and higher value to customers on early exits should further the regulator’s vision of insurance for all by 2047. We are confident that these reforms will significantly strengthen the life insurance proposition in India, making it simpler, more transparent and ultimately more attractive to prospective customers.
As indicated in our press release on the stock exchanges, we anticipate a gross impact of approximately 100 bps on the company's new business margin due to higher surrender value payable on early exits. Impact for us is limited due to our balanced approach to business. We have consistently employed a calibrated pricing strategy and maintained a prudent approach to risk management, as demonstrated by our regular quarterly disclosures over the past few years. Our actual experience of surrenders is negligible based on which our assumptions factor in close to zero surrenders. This implies that we have not been factoring in any surrender profits after the customer pays the first renewal premium. This is illustrated on slide 8 of our investor presentation, where most of our customers prefer to continue their policies in paid -up status rather than surrendering them. Our persistency experience is also strong and improving across cohorts and geographies.
We are reasonably confident in our ability to mitigate this impact without compromising our customer value proposition. We endeavour to achieve this primarily through restructuring distributor pay -outs using a combination of deferment and clawbacks. We also believe this regulation will improve market conduct, moderate competitive intensity, and benefit players who have been relatively prudent.

In conclusion, the substantial gap in financial protection across India presents a compelling growth opportunity for our sector. We are committed to securing India's future through innovative insurance solutions. We believe our dedication to excellence is visible in our

consistent, predictable and sustained performance over the years, where we have doubled on our key metrics over multiple blocks of four years. Looking ahead, we remain focused on maintaining this high -growth trajectory while prioritizing Value of New Business growth.
For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the audience.
Mode rator : Thank you very much. Our first question is from the line of Avinash Singh from Emkay

Global.
Avinash Singh : A few questions. The first one is regarding the sensitivity to taxes and the corporate tax rate being increased. If I see your sensitivity to VNB margins, it appears reasonably high. Just wanted to clarify that when you are showing the sensitivity from corporate tax going to 25%, are you also assuming all the exemptions being taken away ? Or it is like that, okay, 14% where it's applicable going to 25% and then you are showing sensitivity? Because there is reasonable variance in sensitivities as far as VNB is concerned.
I wanted clarity on how are you calculating these sensitivities? Second is related to credit life . Can you help out a bit more , is the competition intense in mortgages or in short tenure product s like personal loan , micro finance and durable s? Where are you seeing intense competition? And has that led that on a like -to-like basis, this quarter, the margin profile overall on the group side of the product being lower than what it was last year same quarter?
Niraj Shah : On your question on tax, which we have it on Page 26 of our investor deck, we have also given a note there, which talks about what our assumption is when we are taking this impact. It's assuming that the current tax rate of 12.5% plus surcharge changes to 25%. And the policyholder and shareholder segment surplus get taxed at the higher rate . Essentially, everything gets taxed at the higher rate. It is not allowing for any benefit of policyholder surplus being tax exempt, which was envisaged in the DTC. We will have to wait and see how this really pans out, but this assumes that everything gets taxed at this rate. And it's not factoring any other exemptions that may or may not be available in the future.
Avinash Singh : Okay. Just a follow -up. So whatever exemption you are assuming, you are assuming that policyholder surplus that get s taxed in par as well as your shareholder PBT, both getting taxed at 25%?
Niraj Shah : That's correct.
Avinash Singh : So, you are assuming 25% taxation. In that way, if you are having certain par business, then you are penalizing yourself a lot more in the sensitivity table because it is the par business where policyholder surplus will get taxed?

Niraj Shah: Yes, Avinash because while DTC was very clear in terms of how it wants to treat policyholder surplus generated out of those segments , we don't know whether it is going to come in that form. So, we didn't want to make any assumptions of lower tax on that segment and hence we have taken the maximum rate on every thing. We will have to wait and see how it really comes out.
Avinash Singh: Pretty advance taxes , I mean at both point you are going to tax at 25%.
Vibha Padalkar : I just want to add here that there was a particular reason why the rate is 12.5% plus surcharge. I won't go into the technicalities of it, but I think it is somewhat misunderstood given that the last three terms DTC has not been talked about. There was a particular reason like I said the rate was what it was, going back ~25 years , there was an IRDAI Committee which then subsumed the way policyholders and shareholders profit together , Because the intention was not to tax profits emerging from policyholders' funds and to tax shareholders.
So, this was seen as an amalgamated or an averaged -out percentage. I think a lot of younger people who are tracking it perhaps don't know the back story on why it is what it is a s again st just that there was a random rate that possibly is b eing applied in life insurance, b ut like I said , this is probably not the forum to get into the details. If anyone is interested, we can always go back in history as to why the overall landed cost is at ~14.5% . On your next question, Suresh you want to take this.
Suresh Badami : Just to set the context on credit life business and you

r question on competitive intensity , I would like to clarify we work across the spectrum with more than 200 pa rtners which is across banks, SF Bs, MFI, NBFCs and other ecosystem players .
Secondly, we work on almost every possible line of business whether it's mortgages, whether it's LAP, whether it's commercial vehicles , personal loan or autos. There is a fair amount of spectrum that we work in terms of the type of partner as well as the line of business. Even within that we work with many other partners which are there in certain geographies, we don't work in certain states , so it varies in terms of where we are present and what is the profile of

the underlying customer to whom the loan is disbursed . And finally, even in terms of product , we have a very clear strategy in terms of what kind of value penetration is that we can do. What are the products that we can offer in terms of riders? It is not an easy like -to-like comparison on how you can offer the pricing.
In simpler lines we do find that ot her players are also coming in. But given the experience that most of the partners have had with us over multiple years we have probably got the best in terms of the lowest claim repudiation ratio, in terms of the claim settlement TATs , in terms of what is the value penetration that we are able to bring.
We are working to ensur e that our margins remain stable. I don't think it is true that our margins have decreased. I n some places where quality of business is not good, we are letting some of that business go. In some places the disbursement on the credit life on the underlying

loans itself has slowed down in certain lines at the partner 's end, there obviously the numbers have come down .
As a calibrated strategy we are very clear to say that we will work in a certain margin range and ensure that value penetration , where we cover the loan to the maximum with our partners and that's broadly been the way we have been working on the credit life pricing.
Vibha Padalkar : To add here on the pricing and irrationality sometimes and w e will stay fairly balanced on this. In the past on credit life where it doesn't make sense, we have ex ited certain lines of coverage and then down the line the partner has come back to us because that can't continue forever by a new insurer. There will be penetrative pricing, b ut down the line if they raise prices then due to partner's strong relationship with us in the past means that they will come back. So , we just have to build this brick by brick and that's why it will always be two steps forward, one step back, but we are in there for the long haul in terms of the relationship.
Avinash Singh : And how is the pricing environment in GTI this year?
Suresh Badami : That remains competitive as every year . In most cases there were a few players who have been looking at it , but that is sometimes balanced more with the relationship that we have with that particular corporate and the overall relationships we have got. But that is the segment which remains competitive in terms of pricing, which is why if you find that we are at a certain market share , we don't want to go beyond that market share.
And in any case , every year it keeps getting renewed. Wherever we find it reasonable or where we find our existing relationship which comes in for renewal, we go back and ensure that stays with us.
Vibha Padalkar : And to a dd over there, because of this one-year churn you end up payin g stamp duty every year a nd that makes it onerous. If GTI was say for three years, then it could make very different commercial sense than this annual bidding out to the lowest insurer. So again, there will remain calibrated.
Avinash Singh : Got it , very clear. Thank you.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.
Prayesh Jain : Now

that you had time to look at surrender charges and there is a talk in the industry that there will obviously be aggressive selling in Q2 and then possibly we will go through a period of new product launches in Q3 . So how should we look at the industry from the next 9 months ' perspective ? And within that what would be your strategy in terms of premium growth. How should we look at it from the next 9 months ' perspective ?
Vibha Padalkar : Prayesh , this aggressive selling is something that we don't like, and we did not do it when the budget changes were happening. We did not resort to fire sale a nd even more so now because the product will actually be better for the customer in the event that they want the liquidity. So

just because somebody might be saying okay the IRRs might drop and so take my product right now , we are not going to do that , it's going to be absolutely business as usual for us between now and the transition period.
Prayesh Jain : Got that. And from a margin perspective , the product mix has been favourable . Share of protection and annuities have gone up sequential ly. But still margins have come off and its primarily due to expenses . How do we look at full year margins?
Vibha Padalkar : Like I mentioned even in the April call , we are focusing on two outcomes. One is growth that is faster than industry growth . This is new business retail APE growth. And second is in terms of VNB growth , again getting back to doubling every four years in a very consistent manner. Margin will be to some extent an outcome , while at the same time we don't intend for it to yo - yo excessively. And by that, I m ean not to the extent of 300, 400, 700 basis points . that's not

what we have in mind, but a little bit here and there. The reason for saying that is clearly there is an uptick of unit linked over the past several months, thanks to the market s. And so that is something we cannot ignore. Second is that customer acquisition continues to stay to be important so that we can upsell to the customer down the line. And so, we will remain range bound as far as unit linked is concerned while at the same time deliver VNB growth.

Prayesh Jain : Last question on retail protection, i s there a pricing action th at's happening in the industry ? And is there some pressure from reinsurers ? What will be the reason for a major re-pricing action ?

Niraj Shah: On pricing we have always maintained that this is an ongoing exercise whether it is protection or annuities or non -par. Like in any product in any industry, you will review pricing based on what the raw material cost is . In our case what the experience is , depending on which customer segments are you addressing and so on and so forth. If you are referring to a media report that was there a couple of days back , I think there hasn't been any change that we made which is significant . What was reported in our context wasn't appropriate. For one segment which is above 60 there was up to a 5% change in price and this business is less than 0.1% of our overall business. So honestly not hing of any consequence at all a nd pricing will evolve based on how deep we go into the country in terms of customer segments. It is not really going to be something which is out of the blue. It will emerge over a period of time, after which we will review our experience, look at our p ricing, talk to our reinsurers and, of course, we have to compete in the market as well. A lot of these thing s will come into consideration a nd as we have articulated across all our businesses; we will maintain a calibrated approach. With our pricing , we are reasonably comfortable with the kind of share we have in the market, and we would like to continue maintaining that discipline.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Managemen

t .

Madhukar Ladha : I wanted to get a sense of this new slide about surrenders that you have added in the presentation. I wanted to understand what paid-up policy actually means . These are non - surrendered policies, but they have stopped paying premiums. How does that really flow into

your VNB ? Maybe you could clarify that part a little bit and then I can ask my follow -up questions on this?

Eshwari Murugan : When we calculate margin o r the profitability , we look at what is the proportion of policyholders who will pay premiums and continue to be in-force throughout and get the full benefits. We also have an assumption for policyholders who will discontinue premiums during the tenure of the period but will not surrender . They will continue with the policy for a prorated benefit. And then we also have assumptions for policyholders who could completely exit the policy. Now as shown in the slide , the experience for us , in both non -par savings and par on the policy holders who exit is negligible. We only have policyholders who continue paying premiums or policyholders who stop paying the prem ium but continue the policy a nd those are the two assumptions we have factored in our calculation of margin or VNB. So that is what we are trying to explain here . Because of the change in regulations where surrender value has gone up, since we don't assume any surrenders in our calculation there is no impact on the margin post year two. The only impact we have is in year one where our experience is quite good. And further , we have conse rvative assumption in year one as well . Our experience of lapse or exit in the first year is even lower than assumption and that is what we are trying to explain in this slide in terms of what the experience is, what our assumptions are and what is the relation is in terms of the impact on margin.

Madhukar Ladha : Okay. Just a follow -up on this. When a paid -up policy holder , he's probably paid up for two years and then stopped paying premium , when the policy matures for him , that's what you mean, he will not surrender the policy and the policy will mature in a partly paid status. What benefit does he get at that point of time?

Eshwari Murugan : He will get prorated benefit . To give an example , suppose a policyholder has taken 5 -pay policy of INR1 lakh premium and suppo se the maturity value is INR10 lakhs. He stops paying premiums after say 3 years , he pays premium only for 3 years i.e., he has paid 60% of the premiums he had committed . He will get 60% of the sum assured and instead of INR10 lakhs, he will get INR6 lakhs at maturi ty. This is what is called as prorated benefits.

Madhukar Ladha : Understood. Wouldn’t the margin on a prorated benefit policy be margi nally lower than the margin you get on a fully paid -up policy?

Eshwari Murugan : That could vary depending on when the policy is made paid up, what is the original premium paying term is taken, the structure of the product, what kind of benefits in terms of composition. For example, in par, it could depend on sum assured , the bonuses, etcetera. But what is important is that the impact on margin will depend upon what is the assumption on how many policyholders are making the policy paid up and what is the experience. Since we keep calibrating our assumptions to the experience on the policies becoming paid up, whether it is higher or lower profit, that's already captured in the margins. So as long as the experience is going to be in line with assumption s, we don't see any major impact on margin. And as you see in our EV disclosures, our operating variance has always been positive. Our assumptions are slightly conservative when compared to the experience, that's why the operating variance is

positive. It's not a quest

ion about whether the policies becoming paid up or premium paying or surrender. It's more about wh ether the experience is in line with the assumption. The major change that has happened in the regulation is the change in surrender value. And there, we don't have any impact because of the factor that we already explained.

Madhukar Ladha: Understood. And another question for Vibha and Suresh. With these changes happening, the industry would be in a flux, and you will probably be back on the ground board designing products and talking to distributors. What is the feel that you are getting? I think it's very important that we are able to defer the first-year commissions over maybe the first two years or first three years. Do you think that the distributors will agree? And this also to a certain extent depends on whether the industry, the manufacturers actually come together and are able to do this, right? What are your thoughts on this?

Vibha Padalkar: We have put out a likely impact based on what Eshwari just explained. We will have bespoke conversations with some of our key partners. But that will happen in an organic way. T here is no fire situation per se because our assumptions, not only the assumptions of how much is getting surrendered , but equally or if not more important is to be fairly restrained in terms of aggression on IRR. If one is more aggressive on IRR and there have been competing products that give 70 bps to 100 bps , if not more, even toda y, in terms of differential in IRR. If that's going to happen and one is really banking on surrender profits beyond the first year, then one is going to hurt more and what one has to return back to the customer will be more. For us, there is repricing of new business that we write very, very quickly if the macro situation moves. So given that, we are having conversations, but not on an SOS basis. It's a little bit more organic. I mean, we are in multi -time in most situations. The conversations between us and our distributors will also depend on the conversations they are having with other manufacturers. It's a dynamic process. Suresh, you want to add anything.

Suresh Badami: I think broadly, Vibha covered it. Given the quantum of change , impact on us is probably lesser than other players in the industry, and I'm sure everybody is assessing their impact. We can look at three -four options. One could be to say that we continue, we have a clawback, we have a deferral, or we look at maybe lower IRR. Obviously, IRDA would want the product to remain as good for the customer with better thresholds. Our objective would be to say, do we look at deferral, which will probably lessen the impact on each of the manufacturers . Or if the partner has extremely high persistency and we are comfortable , maybe we will just continue and have a little bit of a clawback. We really don't want to jump into this immediately. I think we are having , like Vibha mentioned , discussions with each of our partners. And in turn, they are having conversations with their respective insurers, given that we are probably in multi -tie with different insurers at different partners. We will probably think this through and by end of September, we will be in a fairly more comfortable position to say as to what we would want to do.

Moderator: The next question is from the line of Suresh Ganapathy from Macquarie Capital.

Suresh Ganapathy: I have two questions. One is on margins and in general, the VNB growth outlook . So, first on VNB margins, you are at 25% for this quarter. You mean that you will have a further 100 basis point compression because of the new surrender rules that is not a fact, part of this 25% that has been reported in Q 1, how should we look at it that further from 25%, you're going to see any impact?

Vibha Padalkar: Suresh, the 25% is for the quarter. And

usually, the margins get better as we move towards full year because of seasonality. The business is much more while your fixed costs remain more or less the same . Margins do pickup and so on a full year basis, wherever we are likely to end before these regulatory changes, again, on that margin, it will be 100 basis points impact, if we did nothing.

Suresh Ganapathy: Okay. So, impact due to these new rules are not a factor of th is 25%. And the second thing is, still you are saying you want to double your VNB in four years , that's a 19% CAGR. Now the problem there, Vibha, is indeed the upside from margins is very limited . All said and done, the margins have a downward bias across the industry, not only for you. In that sense, you are actually indirectly indicating that you want to grow your APE at 20% plus for the next four years. Isn't that a tall ask? We have not seen 20% for quite some time. So, you think you can do that over a period of four years consistently?

Vibha Padalkar: Yes, I'm reasonably confident, Suresh . Because we are assuming the current dynamics of competitive intensity, relative advantage, the products being the same. And just now we are going through a massive overhaul of product, something that we knew all along, and that is something that's happening right now. And that itself could reveal a very new normal. Another one that could be fairly disruptive is, for example, IFRS. Under IFRS, the way we see unit linked now in terms of top line and the competitive intensity with unit linked, that could undergo a significant change because a lot of that is going to get shaved off. And only the net income will reflect on your income statement. We are assuming a ceteris paribus from now for the next four years, there are already some visibilities of large changes where we feel we have a competitive advantage. Third point is on HDFC Bank. And as you know, just over the past maybe seven -eight months, our counter -share has meaningfully gone up. And it will organically , as we work more closely together and so on , will go up. And a little bit of product tweak. For example, if I were to see my agency channel, that has term at about 12% -13%. While at HDFC Bank, it's low single digits, like 3 %-4%, closer to 3% . That itself is going up to, say, 5% just because there's a little bit of focus , can have a meaningful uplift in margins. We have many tongs in the fire to keep chipping away and to see how we can continue to add margins while there will be investments that we need to make in business, but we feel that the doubling in 4 years is still doable. Niraj, do you want to add?

Niraj Shah: Yes. Suresh, and just to your point in terms of inherent margins going in one direction, which is downwards. We don't necessarily think that because in each of the product segments, there's an opportunity to improve margins . A couple of things , one is obviously scale. Second is also the ability to attach embedded protection across , not just in term products , riders , but also the savings products. All of these things, along with dynamics being very different as you go

deeper into India. The ability to preserve inherent product margins and even expand on that in a calibrated manner is very much possible. So not all the VNB growth needs to come from top line growth. Some of it can come from mix like we discussed and also increasing inherent product margins.

Vibha Padalkar: And again, I want to add a final piece. For example, when you look at sum assured, the growth in our sum assured is significantly higher than our APE growth, which just again means protection is growing. 46% growth in individual sum assured, all of these are large chunks of mortality cover, which is the result of sum assured. The fact that we are raising sub debt, also means that we are writing more of protection business. We are

slowly moving towards higher
margin, brick -by-brick and also 70% of our customers are new to HDFC Life. This quarter as well as last quarter that we talked about and before that. Ability for us to upsell to them is that much more at a slightly reduced cost and therefore, uptick in margins . Agency channel is another one where we are investing quite heavily in Tier 2 /3, as we have talked about in the past, including the Exide Life acquisition that's grown significantly higher than company level growth even in the first quarter. But it is in a growth phase and investment phase. All of this should start delivering and reaping dividends for us in a slow but sure manner. And that's why we say that it's not going to happen overnight, but that's why we said four-year doubling should certainly happen.

Suresh Ganapathy: Thank you. One procedural clarification question? New IRDA regulation is effective when?

Vibha Padalkar: From 1st of October. So last date of selling under the current structure is 30th of September.

Suresh Ganapathy: Just to understand this better , have we already started filing the new product s? Or will you start new product filings in Q2 with the regulator and then you will have to launch on 1st October ? How well prepared you are with respect to some of your new product structures , because the approval from IRDA will also take time ? There could be a lead lag issue in between.

Niraj Shah: All the existing products, which need to be made compliant with the new regulations do not need to be filed for approval. They have to be self -certified by the companies as per their product management committees, which is a board level committee. We certify it, and we can launch it as soon as we are ready to operationalize. It does not have any lead time as far as IRDA approval is concerned. Of course, any new product that we launch now, depending on which process it needs to follow, whether it's use & file or file & use, will require prior approval in certain categories. That will be an ongoing process. Also, you would appreciate that what's happened over the past few months is that many products are now getting launched in use & file, so the bandwidth to approve products by the regulator has improved. That has

actually brought down the lead time to launch new products. While it's an exercise, we will be in a position to offer all the products that matter and will comprise most of our existing business, we should be able to offer it by October 1 without any disruption.
Moderator: The next question is from the line of Aditi Joshi from JPMorgan. Please go ahead.

Aditi Joshi: My question is related to the margin walk . In full year 2024, we had some negative impact coming in from expenses. I'm just wondering that for the first quarter, do you have such impact persisting? Or how was the walk for first quarter, if you are able to share your view, please?
Niraj Shah: So last year, if you recollect what we had said is we had 130 basis points gap. Out of that, about 70 basis points was on account of lack of operating leverage because on an actual basis, we grew at 1%. I mean, of course, on normaliz ed basis , we grew at 11%.
But that scale gap is what caused a significant part of that margin gap and the rest of it was the product mix. In the Q1 context, everything is pretty much product mix because the scale is back. The growth was 31% for the period. You will see a positive fixed cost absorption of 0.3%, but we have a 1.3% negative on the product mix, which is largely the unit -linked mix increasing from 25% to 38% on a like -to-like basis.
Vibha Padalkar: I just want to add tha t, while for the quarter, ULIP mix was 38%, but exit rate in June has come down to about 35%.
Moderator: The next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund.
Gaurav

Jain: I just have one question. We are at 186% solvency margin as of June '24, with this sub -debt raise , if we were to do it on this base, how much will the solvency go up to? And post the sub - debt raise, will we still have room to raise more sub -debt? Or how do we think about capital raising ?
Niraj Shah: Our headroom today, based on the regulatory limit is about INR 2,000 crores. We will see in terms of how we want to go about it. We have an approval to raise this over a 12 -month period in one or more tranches. The solvency position that we are comfortable with is in the 180% plus range , so we would like to operate in that. And I think the first tranche at least that we will raise will in all probability help us to maintain that level for the foreseeable future and then we can use the rest of the headroom based on our requirements. We are also expecting over the next 12 to 18 months risk -based capital regime to kick in. When that happens, our understanding is that we will be able to write more business with the same amount of capital. The r egulator will obviously take a view in terms of how they want to establish that regime . But based on our interactions with the regulator, we believe that if you're writing long-term business prudently with appropriate risk management, you should be able to write more business with the same amount of capital.
Vibha Padalkar: And to your other question, it would add about 20% to 22% if we raised the entire INR 2,000 crores.
Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.
Swarnabh Mukherjee : A couple of questions. One is on channel. So, you had mentioned that you were having conversation s on how eventually , the commission structure, etcetera, will pan out. I just wanted to understand from you in our open architecture channels as well as, say, the agency

channel, since multiple players will have a varied approach on how they are going to pay out, you will also have varied approach based on what kind of business you source from a particular channel . Can there be a risk that there can be aggression from players in terms of commission that can move counter shares in those channels ? Just wanted to understand how you think that can be a risk or a challenge in, say, open architecture or agencies, which one would be tougher to correct ? And secondly, in terms of IRR cut on the non -par product where there is the impact of this new regulation , just want to understand from your perspective, how do you see the product competitiveness vis -a-vis say other similar products like, say, FDs ?
Vibha Padalkar: I'll take the second one. Our product competitiveness should definitely go up. And like I mentioned earlier, today, one is that we reprice with a lot of frequency as and when interest rates move materially. That is number one. And number two is, even today, there is a material difference in IRRs, and that IRRs can't come out of thin air. It has to be funded from somewhere either by the customer or by the shareholders or the company. From that point of view, we believe that there will be some calibration in IRR due to the surrender charges going down. And therein, if it's very similar, then we can only get at a better place than the intense competitive intensity today in non -par. Suresh, you want to answer the first questions .
Suresh Badami : I think the first point is related , in the sense that market share depends on IRR of the product ,

which is the pull. The second is the commissions that are available in the market. And three is the resources that you put for supporting the partner. Now given the lesser impact that we have, we do believe that it may lead to a higher competitive advantage over a period of time in terms of what we should be able work out with partners as a combination of all th

ree , whether it's resources on the ground, whether it's the IRR on the product in terms of the differential as well as the commission structure, whether it is deferred or whether it's slightly lower commercial or clawback. So those options are all available. I don't see this market changing dramatically. At least for us, we don't see a huge shift. There will be obviously some change here and there. But with some of our top partners, we should be able to work out something which is clearly better than what we were as a relative advantage to competition.

Swarnabh Mukherjee : Right, sir, just quickly wanted to follow up that on the HDFC Bank channel , do we expect the counter share would remain around that 70% range, which is our aspiration , in the new scheme of things?

Vibha Padalkar: I'll just leave it by saying that it's our parent . In the last 7 -8 months, counter share has gone up very meaningfully from 56% -57% to ~65%, in that range. And as far as 70%-72% share is concerned , I think it is a matter of time before some of that organic movement upward should happen regardless of surrender charges, no surrender charges . Whatever it is that they're selling , share of that should go up organically .

Moderator: The next question is from Vinayak Agarwal from Jefferies.

Vinayak Agarwal : I had a question on the non -par savings business. So , the absolute amount of business done in the quarter, about INR860 -odd crores seems to be quite reasonable. How do you think the

momentum builds on from here? And how should we think about the growth in this segment , as last year subsequent quarters saw some decline due to change in tax norms.

Vibha Padalkar: I will start off and then hand it over to Suresh. We are seeing good traction in this category. We are seeing traction both in above 5 lakhs and below 5 lakhs. We are seeing traction in Tier 1, 2 and 3. So any which way we cut non -par, we are seeing traction. And this is something we have been saying all along that once this whole focus on tax starts weaning away and it has to happen because ultimately, money has to flow somewhere.

Not everything can flow in equity. And that is exactly what we are seeing. Also, there are new product launches to get mind share. There are some of the other aspects to it, for example, on pension, which has a very unique way of delivering value on a post -tax basis to the customer, especially the slightly older customer. So, it is holistic growth .

Suresh Badami : I will just add , I think the market continues to remain large for the non -par given that the customers will finally have to invest household savings, whether it is in fixed deposit or any of these products . Non -par savings is a competitive product compared to some of the other fixed benefit kind of products which are available in the market on the guaranteed product side. We believe the non -par product still has a fairly large scope in terms of growth.

In some of our products like Click 2 Achieve , which we have now launched. It's a very unique do-it-yourself kind of a product. So , when we go out with a product like that in the market, I believe it is for us to expand the market in terms of activation of specified persons in the banca channel or our financial consultants in the agency channel as well as the number of new unique customers that we bring in. And like Vibha rightly mentioned, the Tier 2, Tier 3 expansion, especially on this product will get us more ticket size as well as the number of unique customers.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe : How much was the growth from HDFC Bank this year on a year -on-year basis?

Vibha Padalkar: It was 41%.

Nischint Chawathe : And you said that counter share increased to around 65 from 55 on year -on-year basi

s?

Vibha Padalkar: Yes. So about 18% growth is due to counter share increase and about 20 -22% is just a holistic increase.

Nischint Chawathe : On the agency side, your growth is still at around 10% versus some of the peers who have been growing at around 20 -25%. So , we are not sure when the investments in agency are really going to play out in terms of numbers.

Suresh Badami : Our agency growth is around 14%. And on overall 2 years CAGR, our growth has been a round that, so it is fairly good. Two, three things that are happening in the market. There is a shift in

terms of the unit -linked contribution as a source of the business. So , we don't really compare. I
think we are very clear to make sure that our s is a profitable agency business.
We calibrated in terms of how we grow based on a certain product mix. The third thing, the
Exide agency channel, which had come on board, we are investing a lot in that, so that will
take some time. And hopefully, the pickup will happen over the period.
And on the growth in the Tier 2, Tier 3 market, we have expanded to some 60 branches. We
are looking at it in terms of the number of new agents that we have added, that continues to be
the best in market also. There is an NOP strategy that we are putting into place. We have
invested heavily in our retiral advisory financial consultant program. So , the building blocks
are clearly in place.
On the Tied agency side, because of more business from the greater than 5 lakhs in certain
segments, it slowed down, but now the base effect has fallen into place, and we should be able
to grow significantly. We added like 18,500 agents net in Q1 of FY25, which was the highest
in the industry. So , the distribution is building. The locations are expanding. I think the Exide
channel has also been growing. So fairly confident that the agency channel will start firing.
Moderator: The next question is from the line of Supratim Datta from Ambit Capital.
Supratim Datta : If you assume that these 10% of people who were going to fully paid -up policy status as
compared to surrendering their policy , now surrender because of the highe r SSV, then what
will be the margin impact? Have you done any sensitivity analysis on that?
And the second question I had was that if I look at your non -par savings policy tenure, then it
seems like it has gone up from 16 years in fourth quarter to 21 years now. What is driving this
change and how would the margin of a higher tenure product be compared with a lower tenure
product?
Eshwari Murugan: On the first question, i f the policyholder now surrenders compared to keeping it paid up.
Economically, the value to the company will not be different because if you see how the
surrender value has been defined, it is linked to the paid -up value and it is a present value of
the paid -up benefit at the current G-Sec rate. So, for company it will be very neutral, whether
the policyh older continues in a paid -up status, or he surrenders.
But for the customer, it is a good proposition to continue the paid -up policy because he
continues to get to death cover though it is lower . And he also get s the logged in interest rate
for a long tenure. The contract may be 20 or 30 years. So , he gets the benefit if he continues in
the paid -up policy. But from a company perspective, the impact on margin will not be material
because of the way the linkage is between the pa id-up benefit and the surrender value.
Niraj Shah: On your second question in terms of the increase in tenure, that is something that we have been
consciously driving because longer -term products can offer better value to customers. And this
has been enabled by our new launch of Click 2 Achieve that we had launched a few months

back . We have been

launching new variants in that, which encourage s customers to stay for a
longer period of time and get a higher value proposition.
And that completely sinks in with the economics for us also . The longer the policy term and
premium payment terms, the better the margins as well. So , it works for everybody, and that is
something that we have been driving consciously as well.
Supratim Datta : And what would typically be the margin differential? Could you give us some sense that
versus a 13 -year policy versus a 21 -year policy, how would the margin differ?
Niraj Shah: We can not get into specifics on that, but it will be meaningfully different. And I think one
thing you can maybe look at is in terms of a non -participating product , the margins are higher
than company average. You can expect a significant delta on that for a longer -term policy. It
is fairly meaningful.
Moderator: The next question is from the line of Nidhesh from Investec.
Nidhesh : Do you see any change in the new business strain with the higher surrender value post 1st
October?
Niraj Shah: Not in our case because of what all Eshwari had mentioned , prudence in pricing as well as
surrender assumptions does not result in a very significant change in our reserves. So that does
not affect our accounting profit. But the impact would be different for different approaches that
companies may follow.
Nidhesh : And why don't we go with the strategy of no change in the commission structure and try to
gain market share because the impact on us is quite low versus some of the other peers. So
why don't we take this opportunity as a market share gain opportunity versus maintaining
neutral profitability as a strategy?
Vibha Padalkar: Nothing that is off the table. We will explore all options with different partners. However, I
think our regulator is also looking at a little bit of collaboration with partners in seeing how
payouts can be more back -ended . So that is also a tacit kind of expectation from the regulator .

But we will have all sorts of options and iterations between now and 30th of September.
Moderator: The next question is from the line of Shreya Shivani from CLSA.
Shreya Shivani : First is on the VNB walk. I know it is a very small number but there is some change in assumption. If you can give some details of which assumptions have, we changed? Is there any change that we should know about?
Second, on the surrender value itself. It is very useful data that you have put across on slide 8 about how much surrenders you actually face in the different years. But given that the surrender format now is such that probably after third or fourth year the customer can actually get 100% of their principal back unlike earlier when it would be at 50% or 60%. So, in that

situation, are you also accounting in for any change in customer behaviour? Or have you thought about how will you go about that?
Eshwari Murugan: On the first question, the assumption change we do as a year -end exercise based on the experience that are emerging . We have changed the assumptions in mortality, persistency across product segments. It had a small nonmaterial impact on the margin, which is what is getting carried forward to the quarter 1 of this year because whatever was reported in last Q1 didn't have this assumption change. So, if you see the last full year disclosure, you will see some similar impact in the VNB w alk.
On t he second one. There could be some difference in the customer behaviour because of surrender value. But the reason we say that behaviour may not impact us is because today we are not assuming that any customer will surrender for a lower surrender value and the company will make a surrender profit. So , if our assumption is that no one surrenders then we do not make any profit currently.
And going ahead if the cus

tomer surrenders, he gets the value which is equivalent to the paid -
up benefit that you would have anyway assumed. So, there w ill not be any impact on the margin. So , the customer behaviour will not impact our company's margins so much. Whereas if we would have assume d surrender there could have been some impact .
Vibha Padalkar : And just optically, 13-month persistency could look bad, but not the economics of it.
Moderator: The next question is from the line of Sanketh Godha from Avendus Spark .
Sanketh Godha : Just on the ULIP business, I want to understand to what extent our ULIP today has higher sum assured , that is more than 10x? And to what extent it has supported the margin . I remember last time it was around 60 -65% of the total ULIP that we were selling , had higher sum assured. So, is there any further headroom available to improve the margins or hold up the margins even if the contribution goes up on ULIP?
And then the second is you are raising sub debt maybe during the year, then the difference between what you will pay as interest and where you will invest, how much likely impact it will have on VNB margins? If there is a 100 -bps difference, I believe that impact could be somewhere between 70-80 basis points. So just wanted to understand how it will play out.
Niraj Shah: So, on the first one on unit -linked, we had mentioned a few quarters ago that we have started attaching riders as well as the multiple of sum assured shows that customers which were used to taking, say 10x have move d to 20x in the last couple of quarters and it has in fact, started expanding beyond 20x as well now.
So, there is room and customers are preferring to use this as a vehicle to not just save but also to get meaningful protection in the same product. So that journey is very much on and moving in the right direction. Also, our rider attachment as a journey which started a few years back is still in its very nascent stage. We are yet to see the full benefits of the rider approach in terms

of multiple riders per policy. So that journey has just started. So , the headroom is very significant from here on.
Sanketh Godha : What is the weighted average sum assured today in ULIPs? And what extent of the business you sold in ULIP has higher sum assured?
Niraj Shah: So, I mentioned the 20x was the number some time back. Now it is close to 30x.
Sanketh Godha : And in the proportion of the total premium, how much is higher sum assured?
Niraj Shah: So, we don't look at it that way. And I think it really depends in terms of which channels are selling, what kind of tenure etcetera. So, we don't really have that as a target. We are basically just seeing if customers across the board are willing to consider buying protection through this in a more meaningful manner and that is happening, and we are quite happy to drive that as we go forward. On subordinated debt, we will raise it over a period of time, and we will decide the timing based on our requirements as well as the market appetite.

And in the past the sub -debt that we carry has a fairly negligible negative carry of about 20 - 30 basis points because we have the ability to invest. All the sub debt that will be raised will get invested and we don't expect negative carry on that to be significant because we don't necessarily need to match the duration of what we raised with where we invest given that we have a fairly large book . We will be able to minimize the negative carry and will not have any material impact on our VNB.
Sanketh Godha : Perfect. But honestly, what is the need to raise capital . Because if you look among st all the companies , you guys are the ones who have raised the highest amount of capital whether it is sub-debt or direct equity. So , 186% solvency is still healthy. You also said that our safe
n

umber is 180 %.
Is it only because you expect more growth in HDFC Bank, or your high sum assured strategy or more ULIP demand is resulting in more strain and that is the reason? This is it difficult to understand why you need sub -debt because your solvency is still very healthy.
Niraj Shah: Yes. So , it is healthy. It is just that our preference is to not be in a situation where we have to manage growth just because the capital is getting to a 180% zone or 175% zone. Anything above 150 % is great. That is absolutely fine given that we know directionally we are in an excess capital regime today , but it is the regulation. And we have our internal policy based on the current regulation.
So, we don't want to be in a situation where we need to manage those tightly when the growth is indeed moving in the right direction for longer -term products as well as for protection. So yes, to your point , sum assured is increasing faster than overall company growth and capital is getting deployed for a longer period of time. So , we want to do this ahead of time. And if the cost of carrying the sub debt or the negative carry is minimal, we don't see a reason why that should be an issue. To your point on equity , you know the reason for that. It was basically o

fund the acquisition. There was no other requirement for that. So yes, that is our thought process.
Eshwari Murugan: Just to answer your question on competition . The solvency ratio for all the players is coming down because of the reason that Niraj just mentioned , the type of contracts the companies are writing. So maybe some companies have been at 300% solvency ratio , may not be raising capital , but if you see the trend for every company the solvency ratio is coming down.
Sanketh Godha : And a data keeping question , your unwind rate seems to have been off in the current quarter , 7.8%. Anything to read there? Is it only just because of the yield curve movement? And lastly, if you can break down your economic variance number into equity and fixed income , INR400 crores?
Eshwari Murugan: The unwind rate is 8.1%. It's mainly due to the yield curve change offset by some positive outlook on equity. Last year, it was 8.2% , this year is 8.1 %, 10 basis point reduction. On the economic variances , it is mainly coming from equity. The equity market rose around 8 -9% this quarter compared to our unwind rate of 8.1% that is giv ing a positive upside in the equity. On the debt side, there is a small increase because of the short -term curve reducing by 8 to 10 basis points , that is a small amount. Most of the economic variance is from equity.
Moderator: The next question is from the line of Aravind R from Sundaram Alternates .
Aravind R : I have two questions. One is that in the current quarter versus the last quarter and sequentially, VNB margins have declined. Despite mix of ULIP coming down , and non-par and protection mix has go ing up sequentially , VNB margins have declined . Is there anything to read here , like in terms of lower profitability in the product or like investments in any particular channel or like your tech investments leading to this VNB margin decline?
Niraj Shah: Not really. Inherent product margins are only either sustained or improving. In product mix on year-on-year basis obviously, there is a big movement as you can see , 25% versus 38% , in Unit linked. On a sequential basis, there is not much difference in product mix. But yes, the difference is largely on account of absolute scale of business that gets done in quarter 1 versus quarter 4. That is probably the difference.
Aravind R : Also, annuity has degrown in this quarter, when I compare it year -on-year. Any reasons like do we expect annuity to pick up again in the coming quarters?
Niraj Shah: Yes. So , we mentioned this earlier as well in terms of hav

ing a calibrated approach. There are multiple sources of annuity business. It is a fairly large market as we see it going forward as well. It is going to be a long -term opportunity. But there is some irrational pricing in certain pockets. We have to take that into account, and we are not in the business of writing business which is not viable for us in terms of either managing the risk or the pricing.
We will take these calibrated calls. We had a similar kind of conversation on Credit Life. So , it

applies to all our businesses wherever we see some sort of pricing or risk management, which

we are not in a position to compromise on , we are happy to step back temporarily. And given that the opportunity is long term we are not really worried about missing out on certain parts of growth, which are not viable.
Vibha Padalkar: And just to add here, the surrender charges will have an impact on deferred annuity. And so, we do see some level of calibration coming through post 1st of April on this product segment.
Aravind R : Sure. And just one last question, if I may ask. Do we see any pushback from agency or any distributor or any other channels in terms of implementing trail commission or like in any other structure of commissions?
Vibha Padalkar: We are in very early stages right now. No one will agree immediately. I'm sure there will be some bit of convincing, some bit of expectation from regulator and so on. So, I think those conversations are on as we speak. And as you will understand we don't want to really put out everything in a public forum for some of these private discussions.
Moderator: The next question is from the line of Dipanjan Ghosh from Citi.
Dipanjan Ghosh: First, on the non -par business, you clearly mentioned that growth has been across a spectrum, be it geography or ticket size, but if you can give some breakup of the low-ticket growth in non-par versus the 5 lakh plus growth in non -par for the quarter? Second, just a data keeping question. If you can give your HDFC Bank mix in your individual business for the quarter.
Niraj Shah: So, the product mix by channel is there on page 16. HDFC Bank is a subset of bancassurance, and its reasonably representative of the product mix. Unit -linked is in the 40s in HDFC Bank, and non -par is fairly healthy in the mid - to -late 30s. And as Vibha mentioned earlier, the term mix is increasing fairly steadily.
So that's probably the mix. So, it is not very different from the other bancassurance channels, but by and large, moving in the direction that is right from a customer perspective as well as for all the stakeholders. As far as growth on non -par, it's across the board. And obviously, as you will appreciate, on a very low base, greater than 5 lakh growth is extremely high.
It's not a number that we want to talk about, but it's just a base effect. So, there is a fairly healthy growth of over 30% on up to 5 lakh as well. And on a very low base, the growth is much higher in greater than 5 lakhs.
Dipanjan Ghosh: Just a follow -up. I just wanted to know that out of the INR100 of individual APE that you have written, how much would the HDFC Bank for the quarter?
Niraj Shah: About 51%.
Dipanjan Ghosh: How much should that be in the base, 1Q of last year?

Vibha Padalkar: I'll just explain. So, we grew about 40%, and about 18% is because of the share increase. And the rest, about 22%, is just normal growth. And HDFC Bank has also grown at about 22% -odd, in the mid -20s, all put together.
Moderator: The next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities.
Rishi Jhunjhunwala: Just a couple of questions. One is now our EOM is at decadal high. And even adjusting for any kind of reclassification of commission payouts, it

looks like both on year-on-year and sequential basis , it has gone up. So just wanted to understand what is driving that, have commission payouts gone up? And the second question is, when you are offering a guaranteed - return product, what kind of rate of return do you make or do you assume. Is it higher or lower than GSec plus 50 bps?
Niraj Shah: So that really depends on the product pricing, which is based on the tenure in which the investment is happening. So, the rates that we offer to the customer ranges anywhere between, in the current context, maybe, from say, 5.5 to maybe 6.5. So, for us to give the customer 5.5 to 6.5, we need to have a spread to manage our risk as well as account for the baseline profitability and cost of capital.
So that is factored into our pricing. And that is the reason why we reprice fairly dynamically based on how the interest rates move. And we have been reasonably disciplined in this manner ever since we l aunched this product category over 5 years back. So, we have broadly managed to maintain our spreads even in a fairly intensely competitive environment. And we have done that through multiple things.
One is, of course, the strength of the distribution that we have and also the new products that we launch from time -to-time, in which the customer and distributors as well are able to see beyond just the rate. And like in protection, there are many other considerations that go in when a customer is buying a product, so that works fairly well for us in the segment.

Rishi Jhunjhunwala: The only reason I asked that question is for the surrender regulations, we have been allowed to discount with a factor of GSec plus 50 bps. So, what I was trying to understand is, at a portfolio level, on guaranteed return product, do we end up earning more than that or less than that?
Niraj Shah: More than that.
Rishi Jhunjhunwala: And just the first question that I was asking was on EoM as a percentage of net earned premium , is now up to almost 22%. It is pretty much at a decadal high, and even adjusting for any kind of reclassification from opex to commissions, it seems like our commission payouts have gone up substantially because it is visible in the sequential pickup as well. So just trying to understand what is driving that?
Niraj Shah: If you see the total expense ratio for full year FY24, it was within 20 basis points of the previous year. And the commission structure started changing last year after the EOM

regulations that were effective from beginning of last year. And that journey continues as we speak in FY25 as well.
So, nothing really materially different from that. Our cost of acquisition on a like -to-like basis hasn't really changed meaningfully. At the margin level, there could be relationships in which there could be some changes. But at a very broad level, there are no significant changes in the overall cost of acquisition.
So, the overall cost of acquisition is at similar levels and the expense ratio is also fairly close to where it was at the beginning of the period. For quarter 1, the change that you see in the expense ratio is more in terms of the investments that we made in terms of infrastructure as well as people that we have deployed in partner branches, nothing much to do with the commercial arrangements.
Moderator: The next question is from the line of Arul Selvan from Independent Advisors Private Limited.
Arul Selvan: I just had one book -keeping question. On Slide 33, it says that your current solvency ratio is without assuming the impact of the dividend, so could you just tell me what would be the solvency ratio after including the impact of the proposed f inal dividend?
Niraj Shah: Around 5% impact on solvency after assuming impact of dividend payout.
Moderator: The next question is from the line of Neeraj Toshniwal from UBS

Securities.
Neeraj Toshniwal: So wanted some sense on the distribution. Obviously, we have already mentioned a 41% from HDFC Bank, of which 18% growth is from wallet share change. But is it correct to understand that last year, in the second quarter, we already had a higher wallet share. So, you will have a normalized growth from banca in Q2. So, is it the right understanding?
Vibha Padalkar: Not the entire Q2, it started moving up slowly from August and meaningfully from September onwards.
Neeraj Toshniwal: And in terms of agency channel growth, it looks a little tepid. Obviously, ULIP could be one of the reasons, but how do we see that growth picking up from the second quarter?
Suresh Badami: We did address this in one of the earlier questions also. I think there are a few input parameters which are in place for the agency , and we do believe a little bit of the base effect of last year will help us grow our agency faster. So, the Exide agency channel is expanding. With Tier 2, 3 expansion , with the new branches that we set up last year, that should help us expand into newer locations and newer geographies.
Third, of course, is the fact that we have invested heavily in terms of training as well as a lot of new products that have been launched, which are being picked up by agency. So, we do believe that the agency should also pick up in quarter 2 as compared to quarter 1.

Neeraj Toshniwal: Any view on composite license?
Vibha Padalkar: So, we are hopeful that it gets introduced in both the houses of parliament. And hopefully, it gets passed. We have been waiting for quite a long time. And if that were to happen, we will evaluate our options. But the bigger picture is how do we expand the pie, not much interest in doing the same thing. But this hopefully should open up a lot of new product and innovation ideas. And that is what we will be focused on if this comes through.
Neeraj Toshniwal: Have you already started evaluating the kind of products we will be launching if at all, this makes through?
Vibha Padalkar: Yes. We do have some ideas internally.
Moderator: Thank you. The last question is from the line of Raghvesh from JM Financial.
Raghvesh: So, on the group protection, you mentioned credit protect was flat Y -o-Y. So how much of a decline did we see in the group term? And how does group term business fare on the margin as

compared to the company level margins?
Vibha Padalkar: So, both are almost flattish. And yes, these are profitable segments when you get it right. But credit life is a lot more impactful than GTI. GTI for us is small, it will probably remain small.
As we have said in the past, we will do GTI only where it makes sense. And given it's a largely one-year business, we find it difficult to ignore past experience and so on. But it's fairly negligible for us in terms of margins or premiums.
Raghvesh: But the Y -o-Y decline in protection comes out to be around 15%. So if the credit protect was flat, this has to be a substantial decline.
Vibha Padalkar: GTI itself is not substantial.
Suresh Badami: Credit protect is also not a substantial decline, is flattish.
Vibha Padalkar: Where do you see substantial decline?
Raghvesh: I see around 15% when I try to back calculate from the protection number.
Vibha Padalkar: Maybe we will connect offline.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to Ms. Vibha Padalkar for closing comments.
Vibha Padalkar: Thank you, everyone, for joining today's call. Please feel free to reach out to our IR team in case of any further queries. Have a great evening. Good night.

Call: Oct 2024

October 21 , 2024

Ref. No: HDFC Life/CA/2024- 25/102

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code : 540777

Dear Sir / Madam,
Sub:
Transcript of earnings conference c all H1 FY25
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Tuesday , October 15 , 2024 , to discuss the financial performan ce of the Company for H1 FY25 .

The said transcript has been hosted on the Company's website at https://www.hdfclife.com/about -us/investor -relations .

This is for your information and app ropriate dissemination.

Thanking you,
For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Encl. As above

HDFC Life Insurance Company Limited
H1 FY 25 Earnings Conference Call

October 15, 202 4

Moderator : Ladies and gentlemen, good day, and welcome to HDFC Life Insurance Limited Results Conference Call. As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after t he presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Ms. Vibha Padalkar, MD & CEO, HDFC Life. Thank you, and over to you, Ms. Padalkar.

Vibha Padalkar : Thank y ou, Andrew. Good afternoon . I would l ike to welcome everyone to our earnings conference call for the half year ended September 30 th, 2024.

Our results, which includes the investor presentation, press release and regulatory disclosure s, have already been made available on both our website and the stock exchanges.

Joining me are Niraj Shah, ED & CFO; Vineet Arora, Chief Business Officer – Distribution, Data and Technology, Eshwari Murugan, our Appointed Actuary and Kunal Jain, SVP - Investor Relations and B usiness Planning.

Moving on to key high lights of H1 FY25.

Starting with operating performance

The private sector and overall industry continued its strong momentum in Q2, growing in H1FY25 by 24% and 21% respectively on an individual w eighted received premium basis. We have outperformed the private sector by growing at 28% during this period and 19% on a 2 year CAGR basis. Our market share amongst private players registered an increase of 60 bps, improving to 16.3%. We are also happy to inform you that our overall market share touched a new p eak of 11% for the period ending H1 FY25.

On an individual APE basis, we have recorded a robust growth of 31% on a YoY basis and 19% on a 2 -year CAGR basis, bolstered by strong performance across all metrics. We registered an increase of 22% in the number of policies sold, with a ticket size expansion of 7%. The growth in number of policies was significantly ahead of the private sector growth of 13% with strong secular growth trends across Tier 1, Tie r 2 and Tier 3 geographies. The proportion of 'New to HDF C Life' customers remains promising, exceeding 70%. We achieved a strong growth in retail sum

assured which was 31% on a YoY basis and 45% on a 2 year CAGR basis. We continue to remain market leaders in overall sum assured.

Our product mix based on individ ual APE in H1 was as follows, ULIP

s:

36%, non -par savings: 38%, participating policies: 15%, term:6%, and annuities: 5%,. ULIP has seen some intended moderation in this quarter with the proportion re ducing from 38% to 35% from Q1 to Q2. We have observed strong growth in non -par savings products, with the segment achieving a 76% YoY increase aided by new product variants launched this year.

Retail protection APE in H1 and on a two -year CAGR basis saw g rowth of 27% and 36% respectively. We expect the healthy mom entum in retail protection to sustain for the rest of the year. The credit protect segment has been soft this year on account of calibration in disbursements across some of our partners and lines of businesses. As we have stated in the past, our focus remains on building a long term, profitable business in this segment.

Our annuity business experienced slower growth on the back of aggressive and unsustainable pricing by some peers. We continue to adopt a calibrated growth strategy, focusing on enhancing our product offerings whilst maintaining pricing discipline. Annuity and protection together contributed 44% to our overall new business premium.

Moving on to key opera tiona l and financial metrics

Our H1 value of new business was Rs. 1,656 crore, reflecting a 17.4% YoY growth and new business margins of 24.6%. The margin compression is primarily attributed to product mix and deferment in repricing of certain traditional products.

As we rushed toward s ensuring product compliance by October 1 st , we took a con sidered call to defer re -pricing of certain non -par products that were going to be phased out. As we have articulated this year, equity markets are likely to stay buoyant and hence we will priorit ise new business, 15 -17% VNB growth with some flexibility on margin outcomes.

Our embedded value stood at Rs . 52,114 crore as on 30 th September, with an operating return on embedded value of 16.0%. Profit after tax has grown by

15% year -on-year, reachin g Rs. 911 crore, driven by a steady increase of 18% in profit e mergence from the back book.

As on September 30, 2024, our solvency ratio stood at 181%. As we had indicated, we raised subordinated debt of Rs 1,000 cr ore in the last week, thereby improving our solvency to 192% post the sub -debt raise.

Renewal collecti ons grew by 12% year -on-year. We are pleased to share that persistency for the 13 th and 61 st months materially improved to 88% and 60%, respectively, marking increases of 120 basis points an d 730 basis points versus the previous year.

Next on to distributi on:

We saw holistic growth in individual APE across channels. Our overal l bancassurance channel grew by 32% with deepening relationships across partner banks. Our counter share at HDFC Bank continued to be stable at around 65%. Proprietary channel grew by 27%, with the Agency channel gaining momentum in Q2 on the back of imp roved productivity, thus outperforming the company's overall growth. Term business in agency grew at over 2x company g rowth. We continue to be the market leader in the broca channel w ith healthy growth across offline and online partners. The channel has s een a pick -up in the HNI segment, while strengthening its foothold in Tier 2 and Tier 3 markets.

We are delighted to announce that our subsidiary HDFC Pension crossed the Rs 1 lakh crore milestone in terms of assets under management and is one of the fastest growing pensi on fund management company in the industry, enjoying a market share of 43.6% in H1. The GIFT Ci ty branch of our Dubai subsidiary, now offers 6 US dollar denominated products to both NRIs and Resident Indians across life and health categories of insurance.

Moving to r egulator y update

We ha ve successfully relaunched more than 40 top products contrib uting to about 95% of the business as on October 1, 2024 and we

plan t o relaunch

other products during the course of the quarter. We are thankful to the regulator in allowing us an additional time of 3 months for transitioning to

the new product regulation s. We believe that the revised products are more attractive to prospec tive customers and strengthen the long -term life insurance proposition in India.

We are in various stages of operationalising the commercial changes with all our partners. We have adopte d tailored solutions, including commission deferral, reduction or claw back depending on persistency track record and partner preferences. Whilst this transition might take some time, we expect to complete changeover across all our distributors in H2.

Com ing to sustainability and governance

HDFC Life continues to be recognis ed for its commitment to sustainability and responsible governance. The company was ranked amongst India's top four performers in the financial services sector by BW Businessworld's India's Most Sustainable Companies, based on its publicly disclosed Busine ss Responsibility and Sustainability Report (BRSR) for FY24.

Furthermore, HDFC Life's S&P Global ESG score saw an improvement of over 20% versus last year and we cont inue to be rated w ell amongst regional insurers, thereby demonstrating leadership in ali gning its business practices with sustainable and socially responsible principles, creating long -term value for all stakeholders. Our MSCI ESG Rating has also been upgraded to 'A'.

Our commitment to sustainability not only reflects our responsibility to society but also strengthens our long -term profitability, ensuring sustained value for both customers and shareholders.

On employees

Our success is driven by our valued employ ees, and we continue to invest in building a supportive and inclusive work environm ent that fosters innovation and collaboration. HDFC Life was recognised for its inclusivity and employee -friendly policies, being awarded the Best Companies for Women in Ind ia 2024 in the BFSI sector and Exemplar of Inclusion (Most Inclusive Companies Indi a 2024) by Avtar & Seramount, affirming the company's commitment to diversity and inclusion in the workplace.

In closing

We remain focused on driving sustainable grow th and strengthening our leadership across key segments. We will continue to invest in cu stomer - centric innovations to ensure we meet evolving needs and remain resilient in a dynamic market. We are confident in our ability to deliver long -term value for ou r stakeholders, whilst adapting to the evolving market landscape with agility and resilie nce.

For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the audience.

Mode rator : The first question comes from the line of Avinash Singh with Emkay Global.

Avinash Sin gh: A cou ple of questions. First part on growth outlook. In the first half, a very strong growth, 24% APE growth. This also has a tailwind for the first 5 months, you're improving share within HDFC Bank channel. Now in the second half, that is going to be part of t he base.

Also, there could be some frictional issues at least in the initial 1, 2 months with regard to the new product launch and all. So considering all this, what kind of growth outlook do you see for H2, particularly if you were to sort of compare wit h H1? Because in H2 also, you have some sort of slight benefit also from the favourable base, that is on growth side. In relation to that, you also made a comment regarding buoyant equity market. So is there some s ort of rethink of strategy around ULIP for H2 with regards to growth?

And coming to margins, in second half, you will have impact from this new surrender regul ation playing its part. A

t the same time, with whatever growth -related cost reduction that you will have , how do you see the margi ns for this H2?

I would say that there are a lot of unknown variable s for us to sort of take a call on how the margin is going to be ; because the growth composition across product segment and particularly the continued probabl e sluggishness around your cre dit life due to whatever is happening in the u nsecured PL or micro finance segment , so that will also have bearing. So how do you see sort of a margin in the second half?

Vibha Padalkar: Yes. Thanks, Avinash. So, I'll take it in seriatim. The first one on growth. Like I said in the past, I said 15% would be on the upper side, but we will revise it because the sector was going for a change in terms of surrender regulations and also getting settled into the new normal of a n elevated an equity market. So, I think 18% to 20% revision in our outlook on a full year basis is something we feel reasonably confident about.

Coming to second question on rethink ing on unit-linked , Our thought proce ss is as follows . It is a new n ormal in equit y markets wherein we are witnessing each dip being lesser in intensity and the bounce back being higher in intensity because of global factors. So how do we make it range bound? I have articulated it before that in the fir st half , we have grown comfortably higher than the industry. We grew almost 400 -odd basis points higher than the private sector. So, faster growth than the industry is something that we will drive. That is number one.

And within that unit-linked will continue to remain range -bound. It is unlikely to reach the levels of 50% that is quite common in our sector , but it will be range -bound in the 30s. Second aspect is VNB growth because that's clearly the volume of cash that as an insurance company we are accreting to our embedded value and that is delivering value. So th at kind of increase in VNB is ou r second priority. And I'm happy to share that we have delivered on what we said , which i s about 17%-18% growth ; 17.6% on H1 basis .. We will continue to deliver on a full year basis in t hat range. Maybe this could be a littl e bit lower or higher, but roughly in the 15% to 17% range in terms of VNB growth.

And then third point is on margins. I've said in the past and I want to reiterate that some level of flexibility on margins with the first two objectives being sharply defi ned will be there only because of a coupl e of things. One is a very significant changeover that as a sector we are going through as far as surrender regulat ions are concerned ; and all aspects , the customer, the manufacturer as well as the distributor, ever yone is bein g affected by it. So how that settles down, and then unit-linked and credit life segment is also something that needs to b e observed, like you mentioned.

So, there are a few balls up in the air, and so margin will be an outcome. At the same t ime, we're not talking about unit -linked reaching 50%. We are also not tal king about kitchen sinking the margins, but there will be a floor. What that floor is , we will determine, but it will be range -bound. And that's really what we have delivered in H1 o f this year.

Moderator: Next question comes from the line of Suresh Ganapa thy with Macquarie Capital.

Suresh Ganapathy : Yes. I have harp a little bit more on margins because when you ended FY'24, you ended with a margin of 26.4%, right? And the guidance w as that the new regulations perhaps can bring it down by 100 basis points. As I look at second quarter, we are already at 24.4%, so we are already 200 basis points below what you ended FY'24 at, and even without the surrender value regulations kicking in.

Does that mean

that 100 basis points will now further b e below 24.4%, which means it looks like you will be 300 basis points below your earlier guidance ? I understand that the growth has been strong and therefore your VNB outcomes will still be good , aroun d 16% -17%, as you have been guiding. But clearly, on the margin side, it looks like we are likely to undershoot the target.

And the second thing is I'm very surprised to see all your competitors completely rubbishi ng the new surrender regulation saying th at everything will be fine and we can easily manage and pass it on. Is that the view you hold? How do you look at some of the commentary from your peers?

Vibha Padalkar: So a few things on the co mparison of H1 '24 versus H1 '25. See, in H1 '24, our unit -linked was 28% of overall versus 36% in H1 of this year. So quite a significant tilt , like I've alluded before , on the realities of what we are seeing right now. We can choose to give easily 26 -plus percent margins , but not grow. And this is something that I' ve been articulating over the last 6 -7 months or so ; this conundrum that exists .

And when I look at my new to HDFC Life custo mers, over 70% of my growth is from new customers, meaning first -time buyers. And some of them

are coming on the back of unit -linked. So, with my ability to cross -sell to them , the conundrum is do I say no to them or do I have a balance ? And hence, I' m saying it will be range -bound, a little bit on the upper side , instead of it being slightly lower than 30%, it is in the mid -30s, and that is a conscious call that we have taken.

At the same time, I think there' s a lot of focus on one metric that perhaps is an outcome. And the reason I'm calling that out is, yes, the margins are a shade lower. But if I were to look at growth in H1 of l ast year, I grew 9%

versus H1 o f this year, I grew 31%. If I were to look at the VNB, like I said, VNB is really cash, do I say no to generation of that cash and hence accretion to my embedded value just because I want to stay range -bound in margin.
I have no doubt in my mind that as an d when there's a little bit more calibratio n in equity markets, unit -linked like we have seen, will go down in terms of popularity. That will happen and that's when given our balanced product mix and our ability to switch amo ngst all our sa les force fairly will seamlessly happen, wherein slightly higher -margin products will start gaining centre stage.
So, this we see as a market phenomenon, that's not likely to stay forever. And we have to react and adapt to the markets and we very sharply focus that as long as I'm making money out of the business that I'm selling, I think it is good business.
Suresh Ganapathy : So, Vibha, you're saying that just for the time being, let us dismantle the VNB guidance, all what matters is the VNB growth. Whatever could be the components of that, the VNB growth will be at healthy 15% + or 16%-17% as you're guiding. That doesn't matter what the composition is, right?
Vibha Padalkar: Yes. Except with a caveat that there wi ll be a floor. So , we're not saying it could be 500-600 basis points lower , we're saying it will be range -bound. On a full year basis, last year, we ended 26.3% . Leaving surrender charges aside, we are talking about some range -bound margin being the outcome. But in the pecking order, I 'll go for growth and new customer acquisition , and second is VNB. Margins will be an outcome as long as it is range -bound.

Because otherwise, like I said, I could easily lose my ranking and that's been seen before, wherein you lose your overall ranking i n the industry, but you give very high levels of margin. We thi nk that also is not a good outcome. I have to acquire more customers and look a

t how I upsell to those customers
down the line, right? So that's our considered strategy from now as long as mark ets remain elevated. So that's poi nt number one.
To your second question, Suresh, on no impact, we have said that there will be a 100 basis points impact at the company level. At the same time, we will try and reduce that impact by renegotiating with 300 -plus partners and all our 2 lakh -plus agents, and we are right n ow in that process. As you will certainly understand that we are in multi -tie in all relationships , right? So , it's not a bilateral conversation, but it's a multi -prong conversation. We talk to a partner, partner talk to other insurers, and then there is a loop back into us and into them. And so , all of that is going on right now.
By and large, partners understand where the regulator is coming from and it will take about a quart er for the econom ics to se ttle down. Some combination of deferment of commission, clawback of commission and lower ed commission to some extent is what we're having convers ations abou t. There will be som e impact, but I don't see it as being a material impact once all of these discussions are through.
Suresh Ganapathy : So just one last clarification. You sai d there's some deferment o f pricing you did, partially which also affected the margin. Why would you do deferment of pricing for non -par? It is all old products, right? In old products, the pricing remains the same, right?
Vibha Pad alkar: The thing is that, as of 1st of October, if I'm not compliant with the new regulation o n surrenders and some of the other nuances, I'm not allowed to sell those new polici es. There's only so much of IT bandwidth and our processing capability with the same set of people and overnight, I have to change more than 40 -plus products to make them compliant.
We could have changed the IRRs on an existin g old product b ecause interest rates have chan ged, but we chose not to do it because then I would have had to sacrifice a new product in lieu of the old product. So we just took a call

that that ha d an impact for a few weeks, and that transl ated to 70-odd basis points impact.

But it was very important for all our key products to be revised and that we are able to start with a bang on 1st of October . This was the trade -off we had to make so all of our channels and subchan nels have the main bread and butter products that they and their partners are used to selling and customers are used to buying.

Suresh Ganapathy : Okay. So , you are just saying that it's a bandwidth issue. I mean, a bandwidth was dedicated towards the newer products instead of trying to focus on repricing the existing products. So that's the simple thing,

Vibha Padalkar: Yes. Absolutely. I had to focus on new business and not spook our distribution channels, to say that I don't have the key product that they sell. And my different subchannels have preferences on a certain variant, on a certain term and so on. Every time there is a significant change, even considering the Unit Linked changes that happen ed back in time , there's something or t he other to trade -off, given the volume of changes that one needs to do at a company of our scale.

Suresh Ganapathy : Sorry, my last question, I have to squeeze in on IFRS. What did the MCA circular say? It said perhaps al l non-bank promoted insurance companies have to comply with IFRS and you guys for the time being get an exemption and therefore, we will have to wait for the IRDA circular. Is my interpretation right? What is the impact and how you're looking at it?

Niraj Sh ah: Yes. So a couple of things. One is initially MCA came out with a definitive time line, one was for non -bank-held insur ance companies and other one was for the res t. They specified a date for the non -bank -held compan

ies, which
they later deferred to IRDA. So IRDA will basically decide the date of implementation for all insurance companies, whether they are ba nk-owned or non bank -owned. So that was one change that hap pened after the initial MCA circular.

As things stand today, we have received the communication from IRDA and we believe some peers have also received communication, which talks about

IRDA's intent to roll it ou t from April 2027. So , there is a p hase-wise implementation plan, which we understand will be followed where all the large listed as well as unlisted insurance companies will go into Phase 1. And we basically have this window of abo ut 24 to 30 months to g et this done. And that's where it is as far as this is concerned.

But of course, IRDA has also said that this is, in some sense, an endeavor, so we will obviously be prepared to be ready well ahead of time . But we will await a v ery clear direction from IRD A in terms of the final implementation guidelines.

Moderator: The n ext question comes from the line of Madhukar Ladha with Nuvama Wealth Management.

Madhukar Ladha : Vibha, you mentioned in your comments that you deferred pricing on few of the non -par produ cts. I wanted to get a sense of what was the impact on this quarter's margins or the first half ’s margins because of that? And th e 100 basis points that you're talking about would be versus the margin of last year, right? So that was question number one.

Also, if I look at your distri bution mix, it seems that the bancassurance channel, the growth is there, but it's a little softer. So just wanted to get a sense of what has played out. So , on a year -over-year basis, growth was a little softer in the bancassu rance channel side. So, yes , those would be my 2 questions.

Vibha Padalkar: Yes. I'll take the second question, and Niraj can answer on the margin walk. Our growth has actually been very healthy at about 20% * in bancassurance channel . So soft is because of the base effect. If you remember, last September was a bumper year for us, wherein we touched a counter share of 70% at HDFC Bank, and that is really what is causing it. So , it is more a base effect than i ntrinsically there being a slowdown.

*rectified to 26% growth in bancassurance channel in Q2 in the following comment by MD & CEO

Madhukar Ladha : And so , if I may just ask again, what's our counter shar e now and then?

Vibha Padalkar: Sorry, just to clari fy, we grew by 26% in Q2FY25 , which I think is a fairly healthy growth. And if I didn't have the base impact, then it would have been even healthier. And the counter share hovers around 65 %-66%, so about 2/3rd of the busin ess and it is settled down there.
Niraj Shah: On the margin front there are a coupl e of things that we had said. One is, of course, the unit-linked mix , which is higher compared to last year. Similarly , annuity w hich is lower compared to last year. And also, there is residual impact which came through from the lag in repricing by a few weeks. So that, from a quantification perspective, up to 30-40 basis points is something that we would attribute to delayed repricing . But a significant part of impact would be still attributed to the change in product mix, for which we have articulated th e reasons as well .
Vibha Padalkar: Just to add , when you look at unit linked m ix compared to last year , it was 30% in Q2 of last year versus 34% in Q2 of this year. So , some of the impact is due to higher unit linked and some is due to d eferment in repric ing o f non-par.
Madhukar Ladha : And if I were to just ask what was the impact of not repricing the non -par in this quarter, just to get a sense of normaliz ed margins before we go into increas ed surrend

er value regime?
Niraj Shah: Yes, that's what I mention ed, 30 -40 basis points is what you can basically look at.
Madhukar Ladha : Just for the non -par, right?
Niraj Shah: Yes, this is for the non -par becaus e repricing is for non-par only, basically, the non -par savings and annuity products.
Moderator: The next question com es from the line of Manas Agrawal with Sanford C. Bernstein.
Manas Agrawal : A couple of questions. Correct me where I'm missing the delta . Your Q oQ product mix has improved, but your margin has gone down. Your repricing impact is 30 -40 basis po ints o n the non -par piece, so not able to tie that in , that's the first question. Second question is, is there any impact on the funnel

for your annuity business due to changes in the government employee pension plans? That's it.
Niraj Shah: Yes. So , the 3 0-40 basis points, as I was talking about is on H1 basis , from our reporting perspective . All the repricing line happened in the second quarter. So, the impact in the second quarter was higher. So , if you see the slide that we carry in our investor present ation, we called it out for the period, which is half year. But for the quarter, the impac t of repricing would be higher, it will be closer to maybe 100 basis points.
Manas Agrawal : Understood. On the second one?
Vibha Padalkar: On the annuity business, we will have to see as to what the government articulates in a lot of nuances. So , we will have to wait and watch to see any impact on annuity on that.
Manas Agrawal : Understood. I wanted a clarification. I know there's not a lot of clarity on what the modal ities will be, but annuitization is not compulsory in the revised pension scheme? Is that correct?
Niraj Shah: No, that is not clear yet. We await clarifications on the UPS or the Unified Pension Scheme. What has ba sically been articulated so far is the in tent to give some sort of guaranteed pensions for the government employees. How that is going to get funded to some extent has been discussed . But what happens once the funding is done, is something that is yet to emerge in terms of how the management will happen. And what happens on vesting from an annuity perspective als o yet to be clarified. So , we will have to wait and watch on that front.
Moderator: The next question comes from the line of Gaurav Jain with ICICI Prudential Mutual Fund.
Gaurav Jain : A couple of questions from my side. If you can put in some more ligh t on what is this calibration in credit life that we are taking, which has led to some degrowth in the group protection business? And what would be the guidance for the same going into H2?

Second is, is the repricing required for surrender regulations with HDFC Bank done? And third is, if I take the lower end of the guidance also, which is like 18% APE growth in FY25 and 15% VNB growth in FY25, th e ask rate on margin from H2 will it be a high 26.4%, Vibha?

So, while I understand margin is a derived number and one should not put a lot of focus to it and focus more on absolute VNB . But is there something that can give you some confidence as t o these repricing, etcetera, will help you deliver bett er margin in H2? Or how should that be looked at?

Vibha P adalkar: I'll take your point on repricing. As far as the customer is concerned at HDFC Bank, there is no repricing or any customer for that mat ter. We are not looking at repricing as a result of the surrender charges. So , in the normal course of any inter est rate movements like we reprice, that's something that will be an ongoing exercise as far as HDFC Bank is concerned . Also commercial in terms of HDFC Bank, those conversations have happened . Obvio usly, I don't want to share partner level conv ersations, bu

t yes, they have been long had. And they are in line with what is the expectation of the regulator as well. So, that's going to be a non -event. A s far as margins are concerned, again, we are not te thering ourselves to a margin like I explained, while there will be a floor.

But at the same ti me, we're not back solving for a margin because like I explained, that is fairly counterproductive. But whether it's 100 -150 basis points lower than where we end ed last year in lieu of growth and most importantly, VNB grow th, that's what we are trying to solve for. We would love for all three to be growing in one direction , but market reality is only because of unit -linked are saying something else, and then we ne ed to stay relevant while we go through this cycle as well. So that's how we see it.

Vineet Arora : I'll take th e question on CP. Our CP numbers are largely based on the moderation, which is happening in the entire unsecured and the MFI sector. And becaus e CP i s an attachment product , and as the disbursement in that sector has softened, our CP numbers a re not showing the growth that was planned for earlier. I think that's the difference which is showing in the CP numbers.

Apart from that, there i s some bit of competitive pressure getting built up because the volumes have gone down . So, we might choose to reduce our exposure to certain partners where the competitive pricing is not making sense. S o, we will have a threshold for ourselves and beyond that, we m ight want to just lie low for some partners for some time.

Vibha Padalkar: And just to add , sensible pricing in credit life is important. We are the market leaders in this space, and we have been in this space at least for the last 10 -12 years. And this ir rational pricing time and again is not new. What also gives us the confidence is the deep relationships that we enjoy with our partners. And while there could be some pricing agg ression, time and again, we have found that we have gone back into that partne rship.

And without naming certain partner s, with a very marquee south -based lender ; we went through this cycle of taking a back seat when the pricing was extremely aggressive , when we tr ied to triangulate the claims experience they were seeing, we took a b ack seat. And now we are full throttle when repricing was on the table again, we got invited again and we won the mandate. So , I think this is a phase that we are in rig ht now, and that's something that is part and parcel of this cycle.

Niraj Shah: And just a couple of things I'll add , unlike the retail business, which is about 30 to 40 years in terms of term as and the experience kind of pans out over a period of time and there are different levels of disclosure in the industry, as you're aware. So , mortal ity variance for some may not necessarily be disclosed.

But as far as the CP business is concerned, most of the business lines have a tenure of anywhere between 12 to 3 6 to 48 months, a large part of the

business is in that range. And also, a large part o f that business is retained on
the books of the insurance companies. So, there is very limited reinsurance
suppor t on that as well. So, with that, the aggression is some thing that gets
found out very quickly relative to the retail business. So that's somet hing that
we have seen over multiple cycles in our experience.

Gaurav Jain : That was helpful. Just 1 last q uestion . We also saw degrowth in annuity,
which would have led to some margin compression, is there also competitive
intensity or challenge or how is that shaping up?

Vibha Padalkar: Yes. There is no other reason. It's purely competitive intensit y wherein,
logically, if you're gi ving out a rate that you're more than what you're earn

ing
on a G -Sec underlying asset, clearly, that is not a sustainable pro position.
And time and again we have seen and I've talked about this in the past in the
context of right pricing on retail protecti on.

When you withdraw this kind of stimulus, your frontline sales will struggle to
sell. So , we believe that we rather price it right. We're talking about longevity
risk., Some of this perhaps will star t straightening out due to the change in
surrender charges. Some of the aggression on pricing perhaps was, if I may
say so, funded by surrender charges on non -par and with that, r educing quite
significantly, we expect to se e some sense prevailing on the pr icing of term ,
annuities and credit life.

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA .

Shreya Shivani : Ma'am, I just wante d to understand how the negotiations with the distributors
usually pan out? So , for example, you guys have launched a majori ty of your
40 new products from 1 st October onwards. So , all of your distribution
partners have agreed to certain terms and conditio ns? And they can come
back and r enegotiate with you after wh at time period? How does this usually
pan out? That's my first question.

And my second question, again, on the new products that have been
launched. How much cut have we taken? I know that we did not re price our
non-par product in the second quarter. So how much repricing or how much
cut in IRRs did we do when we launch ed the surrender value version of these
products? Those are my two questions. Thank you.

Vibha Padalkar: Yes, hi. Shivani, on the f irst part, see, there are conversations with partners
and not just for us, but even our peers, is fairly fluid at this point in time.
Conceptually, there is an understanding at least with key partners and some

combination of deferment, cla wback and/or redu ction. That 's where we are
today.

It's not to say that we haven't done anything with certain partners , that's not
the case at all. At the same time, like I mentioned earlier, that we are in a
multi -tie situation in each one of our part nerships. And so , it will be dynamic.
There will be, to some extent, multipronged conversations that the partners
will be having.

And perhaps also having some conversations with regulators to understand
what is happening and so on. So , this will take a quarter in my view to settle
down. In terms of your question that when can they come back? See, again,
this is dynamic. It is not signed and sealed, but I think we'll have to see
whether a very good outcome, like some of our partners are ta lking about to
say that whe rever we w ill do a commission clawback, they are saying that
they will strengthen their persistency in such a way that the amount that we
claw back will significantly reduce, which is a g ood focus to have . Some of
these good practices might also come through. We'll have to wait and watch,
and that's really a good alignment between the customer, the distributor and
the manufacturer.

If that were to happen and persistency goes up, then I think there is a win -
win. And if that happens, then we can share more economics w ith partner s as
well and vice versa. So , give us some time. I think a quarter or so will be
required for it to settle down.

Second answer is, we h aven't repriced anything due to these regulations. In
the normal course of repricing because of interest rate movements, that keeps
happening.
Shreya Shivani : Okay. So there has been no repricing since whenever the last was done,
nothing in 1Q, nothing in 2Q in spite of the new surrender value regulations
getting launched?
Niraj Shah: No. So , in fact, we were tal king in other direction in the last few minutes
there. In fact, there was some repricing th at was required to be done, but we
had delayed it because of

compliance with the product regulations. So , there's

no intention to have downwards repricing on account of the chang e in
regulations.
Moderator: Thank you. Next question comes from the line of Sanketh Godha with
Avendus Spark.
Sanketh Godha : Thank you for the opportunity. The way I understood is that you did not
reprice products based on su rrender chargers and you are not changing as of
now any commission structure. So, if I add back the 30 -40 bps what you
made in 1H margin. You are at 25 %, so be cause o f no commission clawback
to a large extent and no repricing, there is a 100 -basis point im pact in the
margin until you renegotiate the commission structure assuming product mix
remains the same. That's the right understanding, right?
Vibha Padalkar: Yes. S o, we had said that 100 basis points impact if we did nothing. But
obviously, we're not go ing to be doing nothing.
Sanketh Godha : But you said you will take 1 quarter to renegotiate and redo everything. So ,
for a quarter, you will operate at 100 bas is poin ts lower margin compared to
where you usually would like to operate ?
Vibha Padalkar: No. T hat's not the outcome.
Vineet Arora : This is Vineet here. Like Vibha also mentioned , we have alre ady don e
commercial negotiations with most of our partners , some of them are still
underway. Some stability will arise because it's an open architecture and
multi-tie arrangement , so some stability will come through with time . But let
me say that majority of our bus iness, effective 1st October is on revised
commercials.
Sanketh Godha : Okay. Got it. And the second question is - in the first quarter results, you said
that we intend to raise 20 billion or INR 2,000 crores of sub -debt. We
stopped at INR10 billion. And so just wanted to understand what is the rate at
which this was raised and where have we parked it? So is there a likely
negative impact on the margin s because of the INR1,000 crores sub -debt
going ahead?

And lastly, in ULIP, you said that your intention is slowing down the
business or putting a cap on contribution. So that higher sum assured strategy
still might be a le ver available to grow if the ULIP demand is still there? Or
do you think that story has already ma xed out and therefore it is better to
control the contribution of ULIP overall on the business?
Vibha Padalkar : On your first point, yes, we raise d INR 1,000 crores, the rate is 8.05%. And
the solvency that we have got to now is 192%. As regards to UL, I think
you're referring to higher sum assured in UL. For certain segments of
population that is still an attra ctive proposition. The UL product itself is also
currently the flavo ur of the seas on. So , it's a combination of two propositions
in one.
And so whatever the customer wants, as long as it delivers value for us in
terms of VNB, we are happy to sell that. And so , we also have that in our
arsenal.
Niraj Shah : Sanketh, to your pointed questio n, it's not maxed out. There is still some
potential, and we are going to be exploring that in the seco nd half of the year
and going forward as well, not just in terms of higher sum assured, but also
rider attachment. So , there is a significant scope in im proving that as we go
forward.

Sanketh Godha : Got it. And Niraj, this 8.05% negative carry on the VNB m argin , would be how much?
Niraj Shah : Not material. In fact, given that this money will be entirely invested , we'll try and limit negative carry to maybe 30-40 basis points. So not a very significant imp act on the VNB. On INR 1,000 crores, it's not a meaningful number, as you can appreciate .
Mode rator : Thank you. Next question comes from the line of Prakhar Sharma with Jefferies.
Prakhar S harma : Hi, thank you. So actually,

sorry to keep delving on the margin thing, but given so many factors involved , I just wanted to ask you that this quarter, as you mentioned in the last 15-20 odd days, you were selling as per the new product norms and the re was a 600 basis point impact on margin. Would it be

like in the next qua rter, if the whole three months actually goes in any sort of a fix, do you think the impact on margins in the third quarter will be basically a multiplier effect of the 100 bps give n that the period gets longer? Or how should we expect it to pan out?
Vibha Padalkar : First of all, in quarter two , the 100 basis points was not an impact. The 100 basis points is future impact due to surrender charges. The 70 bas is points impact was due t o the re -pricing. Now how are we looking at the margins going forward? Again, just to repeat , wha t we're looking at is overall growth so that full year growth ends in the range of 18% to 20%.
VNB growth range of 15% to 17% and then the resultant will be th e margin. At the same time, they will be fairly range -bound. But whether it will be 50 basis poin ts, 100 basis points here and there, that will be an outcome.
Niraj Shah : So, on a base case, H2 margins a re likely to be slightly higher than H1 margins given everything else being equal, but it really depends in terms of how some of these things evolve. We've already discussed in terms of the surrender value implementation as well as the produ ct mix. But on an H2 basis, that's what we can expect. We'll wait an d see where that finally lands, and we'll obviously try and solve for the VNB growth number.
Vibha Padalkar : And also , just to add over there, we have put out an impact of surrender charge s of 100 basis points. And we do believe that some of the pricing aggression that we saw in some of the value -accretive segments like annuity and protection , Some of that we think should taper off a little bit and thereby hopefully putting us on an equitable footing to be able to compete and get market share in those segme nts. So , we are reasonably optimistic on that.
Prakhar Sharma : Understood. So just to reconfirm from the IRDA gave an extension of about three months. So , the way it will apply is that, the manufacturer , - HDFC Life, will have to be compliant on 1st Octobe r or is it three months later? And second, when you hav e the partner arrangement, can they continue to remain fluid or there is a sunset clause to make those adjustments also ?
Niraj Shah : So Prakhar, just to be clear , all products that are allowed to be so ld after October 1 have to be compliant. The re is no dispensation on that. The three -

month period is to launch products which are not yet compliant as on October 1. Three more months have been given by the regulator to make your other products, which were not compliant by October 1 , compliant, if yo u want to sell them or you may choose to withdraw them.
Vibha Padalkar : So, they need to be compliant with system and clauses . But if it's not compliant, you won't be allowed to sell it after 1st of October. You won't be required to withdraw it, but you will not be allo wed to sell it. That's what we've got three months for.
Moderator: Thank you. Next question comes from the line of Mr. Nischint Chawathe with Kotak Institutional Equities.
Nischint Chawathe : Hi. Thanks for taking my question. You reported a fairly strong growth in non-par, in fact, much higher than ULIP. It's a little counterintuitive in t he current regime. And I remember you mentioned that you're not going to engage in flash sales towards the end of t he quarter. So , I was just curious

what happened? Is there a specific variant or something that was espec ially
pushed in this quarter or is it something that

the delay in re -pricing actually
helped in selling these products?
Vibha P adalkar: Yes. So, we had talked about the Click 2 Achieve , which is a blockbuster
product that amassed INR 100 crores in 16 days. So , this is the same product
that we had referred to in last quarter.
Niraj Shah : And Nischint, there's bee n no change in our prod uct mix through the quarter.
It has been in that zone anywhere between 37% -38% on non -par; in fact,
close to 40% non -par in quarter two. But right through the quarter, it's not
been any higher in September.
Nischint Chawathe : Sure. And just again, going ba ck to the sharing burden of surrender penalty
guidelines . Somewhere the smaller agents would pr obably be at some kind of
a risk because they may not have cash flows when commissions go down to
support their earnings. There is s ome risk of people at a margi n kind of
exiting the industry.
So, what is it that you are thinking to kind of support the sma ller agents and
kind of ensure that the industry continues to grow because there's always this

kind of a debate, right ? When you cut down commissions, some of th e
weaker agents tend to be weeded out of the market ?
Vineet Arora : Yes. So, I think t he way we have launched our structure is quite similar to
what we have seen in the market being launched by other players . It's also
tiered in a fashion that the agents wh o are with us for a longer period are able
to get a higher u pfront and the adjustment happened in the subsequent years.
Also, the agents who have better persistency are the ones who will benefit
more. So clearly, there is a move towards getting more qualit y business. As
far as smaller agents are concerned or new ag ents are concerned, yes, we start
with a smaller upfront. But as they improve on the quality and as they
improve on their book with us , they start to move to the higher slabs.
So, it's a matter of building the book and staying with us and then they start t o
move in for the higher slabs. So how this impacts the entire distribution and
acquisition of agents? I think still insurance is a ve ry favo urable piece. Even
after this kind of adjustment on the upfront, we would still stand out in the
market as compared to other financial instruments.
And we don't believe it should have a substantial impact, but we'll observe it
over the next few mont hs.
Nischint Chawathe : And would you sort of envisage or think that we kind of move to a near -full
trail model on commissions?
Niraj Shah : So, we have all kind of structures available. There are certain agents who
prefer certain models , and there are certain agents who prefer slightly more
upfront depending on their disposition and where they come from. And I
think as the agents become stronger and build more and more book for
themselves, they also then like to move to a trail model so that they c an even
out their commission and maybe earn slightly higher overall.
But agents who are new , do prefer higher upfront.
Moderator: Next question comes from the line of Dipanjan Ghosh with Citi.

Dipanjan Ghosh : Just a few questions. First, the agency growth has been quite robust over the
last few quarters, especially this quar ter. And we have been adding agents
also at a very sharp speed. I just want to understand in terms of the agency
growth, if you can kind of split it or give some colo ur on the quality of
growth between the new agents versus the existing agents or any sort of
numbers on the acquisition ratios , if they have changed?
And lastly, whether you're adding more agents in the Tier 2 markets or the
growth from the agency making more in Tier 2 markets? Because your term
growth in the agency channel has also been quite strong. Some colo ur on the
overall agency cohorts. And t

he second question is more of an extension from
the previous participant's ques tion, which is on the non -par segment. Just
wanted to get some color on the ticket size breakup and growth across
differen t ticket sizes in your non -par category, what is driving that?
And just one data-keeping question on the HDFC Bank channel, what is y our
growth for the second quarter? If you can kind of spell that out?
Vineet Arora : Sure. First, I will address the entire agent piece. So , our agent growth and the
business mix is actually quite robust and spread geographically. We would
have got n early 70% of our business coming from Tier 2 and Tier 3. And the
expansion of agent and branches that we undertook about , about 1 .5 years
back is also starting to now give us results.
And we are continuing with our expansion on agency and we're adding more
branches as well. You have seen the number of agents that we are addin g. So
obviously, this entire focus is what is helping us g o deeper in the market and
get better quality business from these agents. Your other question wa s on
HDFC Bank. 21% was the HDFC Bank quarter 2 growth.
Vibha Padalkar : And just to add here this is despite a very significant traction that we saw in
Septembe r of last year.
Niraj Shah: Yes. Last year , August, Se ptember was a high base.
Dipanjan Ghosh : And the question on non -par across ticket si zes, if you can give some color
on that?

Niraj Shah : All our savings products are fairly tight in that 100,000 -110,00 0 kind of a
range. In fact, non -par and unit -linked are very close to each other about
115,000 -120,000 also in certain pockets and participating is maybe in the
90,000 range. So overall, ticket size is about 100,000 on the savings products.
Dipanjan Ghosh : But the growth will be similar across th ese cohorts when I look at 2Q or 1H?
Niraj Shah : Within non -par, you mean?
Dipanjan Ghosh : What you mentioned is the ave rage or the median t icket size, b ut if I look at
the higher end of the spectrum versus the low er ticket size segment should
the growth be si milar, let's say, in more than INR4 lakhs -INR5 lakhs
segment ?
Niraj Shah : Yes. So , on a low base which got impacted after the budg et, the growth is
fairly robust across all ticket size s within non -par, even at higher ticket sizes .
So, the growth that you see in the non -par mix which is upwards of about
70% plus is reasonably uniform across ticket size.
Moderator: Next question comes from the line of Rishi Jhunjhunwala with IIFL
Institutional Equities.
Rishi Jhu njhunwala: Than k you for the opportunity. Just one question , you mentioned about not
changing much on the repricing of the products post the surrender value
changes from 1st October. Given that we are 15 days into the quarter, just
wanted to understand how your compet ition has reacted during the same
period in terms of repricing of products? And in case there has been lower
repricing done, do you see that as an opportunity to gain market share in
multi -insurer distribution channels?
Vibha Padalkar : While Niraj will ans wer specifics on any repricing, this is the point I made
earlier too, that you can see some of this aggression on pricing in these cases
where y ou're hardly retaining any spr ead or having very aggressive pricing ,
maybe 40% cheaper on term or ev en annuity rates . We do believe that for
some of it , the source was perhaps surrender charges.
So, with calibration in surrender charges, some of that aggression is bound to
go down. Everything possibly might not be passed on to the partners and it

will h ave to be s hared between the three different constituents in this. So yes,
I do believe that some of this over the next quarter will hopefully move to
more calib

rated pricing.
Niraj Shah: We had some instances of repricing across non -par savings products as well
as annuity products downward. And to be fair, it could be a combin ation of
responding to the surrender guidelines as well as interest rate changes. So , I
think hard for us to say, but we have observed definitely downward repricing

on some of these segments.
Moderator: Next question comes from the line of Aditi Joshi with JP Morgan.
Aditi Joshi : The first one is on the participating product, the categ ory growth has been particularly weak a nd when I talk to some of your pee rs, they have been saying t hat they would like to grow this particular category. So , I just wanted to understand like what are you thinking about this particular product going forward?
And the second one is, can you just help explain the g rowth differential between the Tier 2, Tier 3 and the Tier 1? And just particularly in the context of Tier 2 and Tier 3, I just wanted to understand that even in terms of the ULIP product is it again like a popular product in Tier 2, Tier 3 because somewhat the Tier 2 -Tier 3 are less risk averse? So , I just wanted to understand that if the ULIP continues to be popular in those cities as well.
Vibha Padalkar : On par, we have been known as a par company forever. And so , we are fairly enthused about par products, especially to certain customer profiles , in certain geographies , in certain channels and so on. It's just that rig ht now what we are going through is a fairly polarized buying behavior and preferences.
One is like we have talked a lot on this call on the popularity of unit-linked in line with equity marke ts and the other is in terms of guaranteed produc ts. Par lies somew here in between and actually can give a fairly good upside because the equity component backing up our product is significantly more than a non-par product for us , where it's nearly zero.

So, we do believe that over a period of time this should bounce back and hopefully with certain product launches we will be able to revitalize that segment, hopefully in H2, we will see a little bit of traction.
Niraj Shah: Yes. So , the growth h as been fairly ev en across Tier 1, 2 and 3 for us in this period close to 30% -31% across Tier 1 as well as Tier 2 & Tier 3. It's just that the base on which this growth has come is different. As you can appr eciate last year Tier 1, we had a fairly challeng ing period post the budget. So , the base on that was favorable and there was a 30% plus growth in Tier 1 markets.
Tier 2 and 3 grew fairly well last year as well, if you recollect, both in terms of vo lume as well as ticket size. That growth journey c ontinu es in this period as we continue to expand our distribution and product portfolio. So even on a higher base , Tier 2, Tier 3 growth has been fairly robust , very close to company average in this period. And in terms of unit -linked products, I think contrary to what we may think given the aspiration to get the upside and participation in the equity markets, it's b een fairly uniform across tiers.
We don't see very meaningful difference in demand for unit -linked products across different tiers. We, of course, ex ercise caution in terms of our engagement with customers depending on their profile, but the demand is fairly secular , whichever geography you look at, given the external environment.
And j ust to add one more aspect to what Vibha mention ed on par, very lin ked to this whole environment where right now moderation is something which people are kind of giving a pass right now. It's either the upside from equity or the long -term guarantee o f non -par which is attracting customers at this point in time. So as the environment normalizes we would expect par to come back fairly strongly as well.
Moderator: Next question comes fr

om the line of Roshan Chutkey with ICICI Prudential Mutual Funds.
Roshan Chutkey: Firstly, I want to congratulate you for laying out this 17% -18% sort of guidance for VNB growth , very commendable that is. But I want to

understand here, how sustainable is this 17% -18% growth say in the face of falling market conditions, when ULIP probably not do very well for us, so is that sustainable?

Question two is essentially I want to understand where this 100 bps impact on margins came from for this quarter which was 30 bps to 40 bps for the 1H that you referred to? That was not clear to me. These are my two questions .
Vibha Padalkar : Yes, we should be abl e to deliver, we have said 15% to 17% VNB growth the year after, not really knowing what the environment is goin g to be, the macro environment, b ut over the past several years that's through business cy cles, that's the kind of growth we have managed to del iver. And given our balanced product mix and product innovation , hopefully credit life also comes back like I explained previously. So , I think that we have many levers for us to c ontinue with this growth trajectory as far as VNB is con cerned, without rema ining tethered to a particular NBM.
Niraj Shah : So, to just reiterate our conversations on the margin movement. Firstly, from last year to this year, largely it is product mix, higher unit -linked , lower annuity and some aspect of repricing. If you were to just look at for the quarter versus last year, it's primarily repricing lag because all the repricing lag happened towards the end of this quarter and that's broadly where it is. So, it's for the period, it's a combination of higher unit -linked, lower ann uity and some repricing. For the quarter, it is pretty much lag in repricing.
Roshan Chutkey : What do you mean by repricing of the products? I mean, did we kind of miss out on repricing based on interest rate movements?
Niraj Shah : Not missed out. We basic ally took a call that we had these 3 months since the notification of the new regulation came in, we had this period to make most of our products available on October 1. That require d us to make a lot of changes across all products. And one of the changes that would have got done was on repricing. For us, the priority was to ensure that 90% of products were available for business on October 1. That's what we did prioritize . There would have been maybe some repricing that we would have ideally liked to do m aybe towards end of August, that got done towards end of

September. So that is something that caused this kind of gap as far as repricing of non -participating and annuity products is concerned.
Roshan Chutkey : So that was to the extent of 100 bps because o f this one month delay?
Niraj Shah : Yes, you could say that, a few weeks. In fact, just maybe 3 to 4 weeks of delay, yes.
Roshan Chutkey : And how much is the impact on VNB margin this quarter because of credit life products?
Niraj Shah : So just to complete the earlier point, non -par is about 38% -40% of the mix. That's the reason why the impact is fairl y meaningful. Annuity is also a fairly meaningful part of the business at close to 5 % odd, so where close to 50% of the business, there was some elements or some products in which the repricing had a lag. That's the reason why the impact is what it is.
Credit lif e, is a profitable segment. Vineet did speak about some segments in which there was a slowdown and the competitive intensity because of which we woul d have probably ste pped back a bit. Yes, that would have added to some extent to this is sue, but primarily driven by repricing.
Moderator: Next question comes from the line of Prithvish Uppal with Elara Securities .
Prithvish Uppal : Just wa nted to und

erstand where you see the business mix moving in the second half given that we have some pricing competition intensity in annuity and Credit Protect and we want to be a little more calibrated around the ULIP segment. So , which products do you se e driving the gro wth for us in the second half?
And particularly around non -par as well, given the uncertainties that are there with distribution , what is the outlook for how you see this particular segm ent performing as well? And basis this, if you look at your full year guidance , the margin for the second half works out be between a 26% -27% kind of range. So what products do you think would essentially drive that?
Vibha Padalkar : Yes. So , on non -par that you mentioned, I just t hought I'll pick that up. I n the first half of the year, we've grown upwards of 70 % plus. The growth has been

good in non -par. To your question on what sort of a mix that you'll see? I t will be fairly similar. Unit-linked is a shade above 35% and no n-par savings is just shy of 40%. Term and annu ity together are about 11%, 12%.
We would like to see an uptick like we discussed with the previous caller on par. Par going up to about 1/5th of our business would be a good outcome in H2, and that's the endeavour. Hopefully, we'll also have some interesting offerings in H2 on par to be able to revise interest and some other interventions also.
We've reasonably been fairly steady, ex cept for unit -linked uptick that you see in H1, that we think those e levated levels, while range -bound will continue to be there. So that's as far as the retail product mix is concerned,
Credit life should get slightly better than where we were in H1. But we will have to see to what extent, like I mentioned, recalibration in terms of sensible pricing on credit lif e as well as annuities come through , now that there is pressure on the system due to the new surrender charge regime.
We believe there will be some level of restraint in terms of the aggression . And that's where I think we should benefit to some extent in both what you mentioned, credit life and in annuity.
Prithvish Uppal : And just continuing on one of the questions fr om an earlier caller, which is as peers and competition looks at revising the IRRs downwards, because the spreads compared to what we were offering was significantly higher for some of the smaller and mid -sized compan ies. So as these spr eads narrow and given with interest rate movement , repricing should come through. How are you looking at the segment from a competition perspective and in ter ms of how favorable you see the scenario can play out for HDFC Life?
Niraj Shah : So we started to see some calibration in terms of IRRs from some of the players on a few products, we believe we will see more of it as the quarter and the rest of the year pa ns out. And we do believe that the gap should start closing between now and the end of the year. But we'll have to wait and see. I think there'll be different approaches that companies may choose to follow.
We've been fairly consistent in terms of what we would like to do and the business that we've garnered in various product categories are with our

pricing and underwriting approach. So , I woul d believe if there is more convergence in that within the sector, it should benefit us.
Moderator : The last ques tion comes from the line of Supratim Datta with Ambit Capital .
Supra tim Datta : A lot of my questions have already been answered. Bu t I just wanted to get some sense on the margin s. Just wanted to understand how does return profile across the products differ ? We have a sense of how the margins across different products look like, how does the returns differ? How do you plan to balance margin versus returns

across the product mix? And could this ch ange once we move to IFRS? Those are my 2 questions.
Niraj Shah : Sorry, Supratim, just to be clear, your question is in terms of margin versus return on capital?
Supratim Datta : Yes. Within the different products, we know that ULIP is lower margin. But how would the ROE profile o r return on capital profile across the products differ? And how does that play a role in your product selection or the balancing? And how would that change once you mo ve to IFRS?
Niraj Shah : So for us, I'll answer in short, not very different for per unit of capital in terms of value, it's not very different because when you look at a category like unit -linked where the required capital might be low, but the gap between the customer charges and the cost of acquisition at the point of sale is fairly high.
Even if we were to, let's say, move fro m VNB per unit of capital to return per unit of capital, we would proba bly make the same decisions from a business perspective. So that's the way we would like to t hink. As far as Ind AS or IFRS is concerned, the big change there will be in terms of the matching principle being followed more consistently between rev enue recognition and expenses over the course of th e policy.
So that should give a better vi ew of the accounting results as we go forward, but we'll have to wait and see once the regulation fin ally comes in or rather gets impleme nted.

Supratim Datta : Okay. And would that change the capital requirement across products ?

Niraj Shah : So that's more to do with risk -based capital, which IRDA may come up with over the next maybe 18 to 24 months. At tha t point in time, the capital requirement, which today is based on a certain fr amework that could change as we go forward. Directionally, we believe it will allow most players to write more business with the same amount of capital, but we will wait for some of these things to get completely clear in terms of how the regulator plans to implement this as we go forward.

Moderator: We have reached the end of question -and-answer session. I would now like to hand the conference over to Vibha Padalkar for closing c omments.

Vibha Padalkar : Thank you e veryone for joining today's call. Please feel to reach out to our IR team in case of any follow -on queries. Have a great evening and wish you all a very happy Diwa li. Good evening.

Moderator: On behalf of HDFC Life Insur ance, that concludes this conference.

Call: Jan 2025

January 23, 2025

Ref. No.: HDFC Life/CA/2024-25/126
Listing Department Listing Department
National Stock Excha nge of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra-Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai- 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE
BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of earnings conference call for the quarter and nine -months ended
December 31, 2024 – Revised enclosure

T h i s h a s r e f e r e n c e t o o u r l e t t e r d a t e d J a n u a r y 2 2 , 2 0 2 5 , t h r o u g h which we had submitted transcript of the earnings conference call for the quarter and nine-months ended December 31, 2024.

In this regard, we wish to inform that vide aforesaid letter we have inadvertently submitted the transcript of H1'FY25 earnings conference call, instead of tran script of 9M'FY25 earnings conference call. Request you to ignore the transcript submitted vide aforesaid letter.

Please find enclosed transcript of the earnings conference call with analysts and investors held on Wednesday, January 15, 2025, to discuss the financial perfor mance of the Company for the quarter and nine-months ended December 31, 2024.

The same has also been hosted on the Company's website at https://www.hdfclife.com/about-us/investor-relations .

This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Narendra Gangan General Counsel, Chief Compliance Officer & Company Secretary
Encl.: As above

Januar y 15, 202 5

Vibha Padalkar : Good evening, everyone. Welcome to the earnings conference call for nine months ended December 31st, 2024. The results, which include the investor presentation, press release and regulatory disclosures, have already been made available on both our website and the stock exchanges. I have with me Niraj Shah, Executive Director and CFO; Vineet Arora, Chief Business Officer - Distribution, Data and Technology; Eshwari Murugan, our Appointed Actuary; and Kunal Jain, Senior Vice President , Investor Relations and Business Planning.
Turning to the key highlights of 9MFY25.
Starting with our operating performance:
We have registered a healthy growth of 22%, based on individual WRP for 9MFY25, outpacing private industry and overall sector growth of 19% and 14% respectively. Our market share in

the overall sector, expanded by 70 bps to 10.8% and our market share in th e private sector stands at 15.3%. We have witnessed both ticket size and volume expansion during this period. The number of policies sold has grown by 15%, outperforming the private sector's growth of 9%. The average ticket size has also grown by 8% during 9MFY25. Over 70% of the customers acquired during this period are new to HDFC Life, demonstrating progress towards our objective to expand our customer base. Retail sum assured has grown by 22% YoY for this p eriod. We continue to clock secular growth across tier 1, 2 and 3 cities with number of lives insured crossing 36 million during 9M FY25.
Moving to product mix:
Individual APE in 9M was composed of ULIPs: 37%, non -par savings: 35%, participating policies: 18%, term: 6%, and annuities: 5%. ULIPs continue to remain range -bound for us so far this year. Non-par savings products sustained their strong growth, growing by 55% YoY. Retail protection continues to grow well, with APE for nine months clocking a growth of 28%. Credit protect growth has been tepid due to slower disbursements amongst specific part ners and the MFI s ector, in particular. However, we firmly hold our position as market leader in this segment. Momentum was sustained in rider attachments, both on individual as well as group policies. Annuity and protection together contributed 44% to our overall new busin ess premium. We are happy to introduce our latest offering in the participating category, Click 2 Achieve Par Advantage, which provides flexibility to the customer to customize and combine plan options, policy and premium paying term, along with policy con tinuance benefits for single and joint life.
On the surrender regulations, we have largely closed our discussions with all our distributors and rolled out a combination of measures, including deferred commission payout, claw -back of commission and reduction of commission. We are happy to share that we have been able to equitably share the impact between us and our partners.
Moving onto key financial and operating metrics:
Value of new business for the 9M period was Rs. 2,586 crores , reflecting a 14% YoY growth. New business margin for the 9-month period was 25.1%, with the compression mainly attributable to changes in product mix in line with macro trends. Our embedded value grew by

18% and stood at Rs. 53,246 crores as on 31st December, delivering an operating return on embedded value of 16.0%. We ended the quarter with a comfortable solvency ratio of 188%. Profit after tax grew 15% YoY to Rs. 1,326 crores , driven by an 18% increase in profit emergence from our back book. Renewal collections grew by 12% YoY. 13th and 61st month persistency stood at 87% and 6

1%, an increase of 110 and 780 bps respectively.
Next on distribution:
All channels registered healthy double -digit growth. Our counter share at HDFC Bank has remained stable at close to 65% in 9M FY25. We are focused on building a profitable, high - quality Agency franchise and are happy to report that protection business sourced by this channel grew more than 2x when c ompared to our overall growth in protection of 28%.
On subsidiaries :
HDFC Pension continues to be one of the fastest growing pension fund management company in the industry, enjoying a market share of 43.2% and an AUM of Rs 1.06 lakh crore. We are pleased to inform you that HDFC International has maintained an Insurer Finan cial Strength Rating of "BBB" from S&P Global Ratings and has received a "B++" rating from AM Best Ratings.
On other updates :
We are excited to announce the partial deployment of the first phase of Project Inspire, which includes the group business module. We expect our partners and members covered to avail of benefits such as automated member onboarding, issuance of Certificates of Insurance, straight through claims processing, payouts and real -time communication. We were recognised as India’s Top 50 Best Workplaces for Women by Great Place to Work. We also featured in Business Toda y’s BT500 list of India’s Most Valuable Companies, demonstrating our commitment to creating value for all our stakeholders.
In closing, we remain focused on achieving our full year outlook on APE and VNB growth. We are committed to adapting to the evolving market and regulatory landscape with agility and resilience. This includes continued investment in distribution, tech and customer -centric product innovations to deliver long -term value for our stakehold ers. For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the participants.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from Avinash Singh from Emkay Global.
Avinash Singh : Great set of numbers particularly, the margins holding up amidst surrender regulations are pretty

much comforting. The first question is that if I see the margin walk and if I compare with how it was at H1 versus 9M, the YoY impact from the business mix change on the margin seems to be turning favorable in this quarter despite the fact that sequentially , par has gone up slightly , protection is holding up and non -par sequential ly has come down marginally .

So, is it to do with that? Or you have adjusted your guaranteed rates to reflect the new realities and that has helped you recoup whatever margin you had lost some bit in last quarter on the non -par product s. So, if you can just help with that?

Second bit is , if I see your New Business Strain , that seems to be growing again at 18%-20% rate Y oY over 9M . So just to understand , which are the segments that are of driving this New Business Str ain? I mean, is it just because the non -par is increasing as compared to last year?

And related to that, if I go to your accounting surplus disclosure, and if I look at nine month s, the non-par individual and Group Li fe or surplus in the nine month s is turning a significant negative number vis -a-vis last year. So, I mean, what are the sort of factors that's underplaying here? So, these are my three questions.

Niraj Shah : Yes, on your question on margins, we just start with basically what's happened on a nine-month basis from last year to this year. We started that last year was about 26.5 %, currently, we're reporting 25.1 %. The significant change is on account of product mix. That's primarily visible in terms of what you see on the unit linked front from 32% last year to 37% this year. That's largely what is driving this change .

The other factor is the implementation of the surrender value regulations. We're basically talking about on a nine-month basis, a 10-basis points impact, and on a quarter basis, about 30 basis points impact of the surrender value regulation implementation. So , these are really the two big changes on a YoY basis.

If I were to just quickly talk through what's happened sequentially , that will also completely make it clear in terms of what we had spoken about last time as well. So, the number for Q2 last year appeared as about 24.3%. We had basically called out a lag in repricing and that is to the effect of about 100 -110 bps. So, the starting point really is about 25.3% -25.4%. And as such, the margins are expanded by about 60 bps if we were to look at it from that perspective.

And that is largely on account of inherent product margins being a lot better now, especially on the Unit Linked segment because of two reasons ; one is our persistency has improved significantly and second is our level of protection that we are able to attach on Unit Linked products is a lot higher than what it was in the prior period.

This is obviously offset by the surrender value impact of 30 bps that I spoke about. So , on a net basis, we are talking about 24.3 % going up to 26 %, or if you were to actually just normalize last period's number to 25.3 %, then it's about 60 -70 bps delta .

Moderator: The next question comes from Madhukar Ladha from Nuvama Wealth Management Limited .

Madhukar Ladha : Good evening. Congratulations on a good set of numbers. Just a couple of questions. We see growth in this quarter, particularly in individual AP E has slowed down . For non -par savings, I think that's a product line where growth is not there and even protection I think is a little bit flattish. So , can you give us some color as to what is happening to broader growth?

Second question would be, what has been the share of HDFC bank, what is our counter share in HDFC Bank? And there's been a lot of noise around primary bank's contribution. Some color or some sense around that as to , what would your sort of comments be on this current environment and this current talk that we seem to get in the media. I think the entire investor community and analysts are slightly worried about this. So , some sort of sense there would be helpful.

Vibha Padalkar: Hi, Madhukar. Vineet will answer your first couple of questions on growth and HDFC Bank counter -share . I'll take the last question in terms of the noise.

Vineet Arora : Hi, Madhukar. I think the growth the way we see it is , it's largely in line with how the private industry has moved and slightly better than the overall industry. We don't really see a very big concern about the growth slowdown and no particular channel has shown this kind of a slowdown. It's more holistic, some base impact has come in from last year and it's in line with the industry movement.

Coming specifically to HDFC Bank, our counter share is steady. We have been in this range of close to 65%. We don't see an impact on the counter share in HDFC Bank because of any of the noise that you were referring to , it remains the same. So , I think that should answer your first two set of questions. Over to Vibha for the last part.

Vibha Padalkar: On this bancassurance related commentary. We've only heard it from media sources. We haven't heard anything at all from our regulator. At the same time, if misselling is the purpose then misselling complaints is something that we anyway work on. And overall for the sector, bancassura

nce misselling is actually lower than perhaps some of the other channels, but there's always scope for improvement.

Now our focus has been on growing proprietary channel s, which includes the agency and direct as well as tie-ups with other banks and we have been fairly successful in doing that. Now from a bancassurance perspective, I think agency and broking is where our focus will continue.

And also, in terms of some numbers, our bancassurance, if I were to look at from an overall business perspective at a company level , new business premium , it is only 35% and HDFC Bank is about 1/4th. This, of course, I'm including Credit Life and all our businesses, if the intent is to bring down in terms of concentration risk, these are the numbers.

And last point is that while we are talking about some artificial construc t on percentages, I think also the question to ponder about is, does the customer need choice in terms of open architecture? That also is something that really would give scope to give customer choice and hence, open up and widen the market, widen the reach an d so on. So , there are different aspects to bancassurance but we'll see how and if it evolves.

Madhukar Ladha : So, my last question, in the EV walk, economic variance has reduced from the last quarter's numbers. I presume, obviously, this will be mainly a result of the equity markets coming down. Can you give me a split of the equity and the fixed income breakdown of this?

Eshwari Murugan : Yes, for the nine months ending December, the economic variance is mainly coming from the fall in the interest rate . Because for the equity markets on 9 -month basis, the performance is

around 8%, which is in line with the expectation. So , there is no positive variance from equities in the nine months. But yes, in the six months, we had a positive equity performance, which was reflected in the higher investment variance that you saw in the EV walk for September.

Moderator: Thank you. We'll take the next question from Avinash Singh from Emkay Global.

Avinash Singh : There were a couple of questions. First, what is driving this New Business Strain for the nine months? Is it change in product mix more towards non-par this year ? And the second one, if I look at the GAAP account ing surplus, the surplus in individual and group non -par life category for the nine months , is a reasonably negative big number vis -a-vis last year when it was reasonably positive. So , what is sort of underlying mechanics here?

Eshwari Murugan : So, if you look at the growth in the New Business Strain , it's only 13% for the nine months, which is in line with the new business growth. And the EB surplus has grown by 18%, which is in the range that we have always explained. So , I don't think the New Business Strain has grown higher than expected. And obviously, it will always be influenced by product mix but nothing very different in terms of reserving approach or anything that has happened .

And the product mix being very similar, slightly higher UL but the strain is not anything different from what we have seen in the previous quarters or in the previous financial year. Strain as a percentage of the premium , that's what I'm referring to.

Avinash Singh : Okay. And while the surplus generated for a non-par life is negative for the nine months?

Eshwari Murugan : The New Business Strain on the non -par is what you're referring to?

Avinash Singh : No, I'm referring to the surplus that is a part of your P&L filing .

Eshwari Murugan : The surplus is lower because the non -par segment has grown at a higher percentage compared to total top line growth. So non -par savings, for example, has grown by around 55% compared to the individual APE growth of 24%.

Avinash Singh : So I was referring to the same , in the segment level surplus generation for 9 months, your indi

vidual and group non-par life. That surplus last year was a positive number. If I see for the 9 months, that surplus was Rs 39 odd crores, now it's Rs 54 crores loss. S o, is this referring to non-par savings? What has changed this year, why surplus is negative big time ?

Eshwari Murugan : Okay. Because the non -par savings has grown higher compared to the surplus generation from the back book, there is a net strain overall in the non -par savings book, which is why you see a negative number in the LODR surplus, is what you're referring to ?

Avinash Singh : Yes.

Eshwari Murugan : So last year, the growth was lower. The EB surplus was more than sufficient to offset the strain . This year, it is slightly reverse because of the higher growth.

Moderator: The next question comes from Suresh Ganapathy from Macquarie Capital.

Suresh Ganapathy : Sorry Vibha , on this ba ncassurance just to understand, as per the data disclosure , 60% of the overall APE comes from bancassurance , right? You're saying 35% , didn't get that.
Vibha Padalkar: Yes, this is APE . Anything that is done with the regulator and in our regulatory filings, APE is nowhere in the picture. APE is a common industry metric in terms of weightage of single premium and so on. Even in the way Life Council's numbers come out , the only thing being looked at is received premium, which is cash received . And hence, these are the numbers if I were to look at on a received premium basis .
Suresh Ganapathy : Then what should we look at for like-to-like disclosure for everybody in the system ? For APE, on basis of that, you are at 60 %, somebody as is 50 %-55%, right? But you're saying the regulator will not look on APE basis. Is that the way you are arguing?
Vibha Padalkar: No. So , what I'm saying is, first of all, we don't know whether regulator is looking at anything because the only new s flow is from a channel. We have not heard anything from the regulator. I'm saying that as a percentage of anything, whether it is expense of management, there's no place in expense of management for an APE number, right? So , I'm saying that if a calculation had to be done, it has to be done based on how we report it in the financials as well as in the public disclosure.
Niraj Shah: Suresh, in fact, if you just look at any of the data that comes out of Life Coun cil, firstly there is overall premium. That includes all businesses, including group . And then you have individual business, and within that, there are segments, but everything is about first year and renewals. There is nothing about anything which is equated. That's just a convention used to basically explain some of the businesses that we do. But as such , the segments that get reported even at a granular level are only about new business and received premium. So that is something that can be used as a fairly straightforward measure to assess any of these things, if at all, it's getting assessed.
Suresh Ganapathy : So what I was arguing here is th at, is there a thought process of the Board as well as the management to say , it's always better to reduce the concentration risk of any channel structurally. And within that also, a dependence on HDFC Bank or whatever partner you're talking about. Ideally speaking, you want to distribute and diversify the channel. So , longer term, you will be focusing perhaps much more in some of the other channels. Is that the thought process that you guys are considering ?
Vibha Padalkar: So, that has been the case even witho ut this new s flow. If you look at our investor presentation, one of our core stated strategies has been this diversification , and we've also talked about growing agency channel very specifically. It's more in recent times that the num ber has gone up to some extent.
It's not just that bancassurance has gone up. But for various reasons, i

ncluding tax changes being one of the single biggest reasons for our agency channel over the last couple of years being a tad weaker than norm al.
So, nothing really in terms of that this is causing a change in strategy . If you were to look at Slide 10 of our investor presentation, at least for the last 7 -8 years to my memory, you will find

the same slide, which is when you see point number two, it is diversified distribution mix. So , it will just be sharpening , accelerating that and so on, which we will do in the normal course.
Suresh Ganapathy : Okay. Just one last question on the liberalization of the agency model itself, do you think we are a bit too early to talk about that ? And the challenge there is th at we follow tied agency model. What happens when you try to free that up because that's what perhaps is also mentioned in the amendment to the Insurance Act , and the news reports are also talking about liberalizing. What's your view on that?
Vineet Arora : So, I think it's a little too early . But just from a point of view on how this channel does operate , clearly, if agents today need multiple products, do have methods of having themselves their colleagues , etcetera to take multiple licenses and they would operate with that.
I don't see one agent taking too many companies just because it gets opened up, but they would want to continue to restrict themselves to the few companies that provide product differentiation, service differentiation, etcetera. But as of now until the time this really g ets passed and the entire notification happens with proper guidelines being drafted, I think it's going to take some time for this to really get the ground.
Mod erator : Next question comes from Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: Hi, thanks for taking my question. This is actually on growt h. You mentioned somewhere that on your growth during the quarter, you're broadly in line with the market. What we have seen is that quite a few of the larger peers have slowed down in the last couple of months. So , do you see this as an immediate term impact of the change in surrender value guidelines where probably some part of the strain has been picked up by distributors? And in that sense, after fairly strong activity in first half, do you really see next couple of months being softer by the distribution

channels.
Vineet Arora : I think the surrender guidelines change was practically an industry event. The distributors and the companies were able to really have a logical discussion and do an equitable participation on the entire impact of it. So , I don't really think that caused any kind of slowdown. It's largely a base impact that at the industry level and our level has led to this. This is across channels also, like I said earlier, all channels have contributed equally. And the growth is also broad -based.
Nischint Chawathe: But do you see sort of similar run rate continuing or do you expect things to sort of pick up as we go towards the end of the year?
Vineet Arora : So, towards the end of the year, we always see seasonality coming in, and that seasonality does help in picking up the run rate. We do expect that to happen in JFM also , to be able to pick up what we have been guiding as our annual numbers . I think we do expect that to happen.
Nischint Chawathe: Sure. And I think from a slightly more medium -term point of view, do you see the overall ULIP shares coming down, maybe not like in next 1 quarter, but maybe over the next 4 quarters, do you see the ULIP share coming down? And in that sense, getting a little bit of a lift in terms of margins?

Vibha Padalkar: See, there is a close correlation between ULIP and the markets. And I've seen over the past 1.5 decades that it's with a 9 -

to 12 -month lag. If markets continue to remain volatile, then ULIP starts coming off and maybe that's how it will pan out again. And that's why, regardless of what's happening in the market, this is our other stated core strategy that balanced product mix is important.
So that a distribution line doesn't get used to just selling one kind of product that is relatively easy to sell because of the market, but it has to be balanced. So , we are not overthinking as to where ULIP might be or might not be . Because regardless some peers selling over 50% ULIPs, we have remained range bound. And in the past also, when we laun ched Sanchay Plus , again, we reigned it in, and that's what we will do to some extent, regardless of whatever else is happening. So on margins, yes, with ULIPs coming down and ceteris paribus , then yes, that will aid margins .
Mod erator : The next question comes from Dipanjan Ghosh from Citi.
Dipanjan Ghosh : Few q uestions from my side. One, if I look at the H DFC Bank channel, while you mentioned that your counter share has kind of stabilized around 65 %, just wanted to get some sense of whether you also look at the VNB counter share in that channel? Or in other words, in terms of product mix that you're getting from the channel and whether there is kind of levers available to improve that , now that the counter share has stabilized. And if so, what steps are you really taking in that direction?
And the second is the data keeping question, for the quarter or the 9 months, if you can just spell out, what would be the growth at HDFC Bank and other banks separately?
Vibha Padalkar: On the first question, Dipanjan, yes, we are working to make it a win -win on the right product mix. Without sharing too much, looking at product mix at a broad level , we do put out data in terms of bancassurance and how much is the mix in bancassurance .
At slide 16 of our investor presentation, if you look at banca, you will see that term is only 4% of what banca sells while if I were to pick agency , term is close to 10%, so 2.5x where they are.
So even baby steps on 50% of our business can make a very material impact.
So that is one. Second is in terms of what is the optimum manpower, and do we really need more and more people at their branches.
I think we have a fair bit of commonality now in our thought process as to what is optimal manpower level because the bank is also there for banking business. So just flooding branches with people probably is not the best approach to take. And there are a couple of other levers on how are we using more and more of digital solutions . So yes, we are working very closely on many small and big initiatives to get that margin to inch up.
Vineet Arora : And I think your question around HDFC Bank growth, for the year, we have seen HDFC Bank growing at 20%. And for the quarter, it's around 10%, where we have seen the base impact of last year also coming in.

Mod erator : The next question comes from Nidhesh Jain from Investec.
Nidhesh Jain: First question is on banca ssurance . What are the next steps that you are expecting from regulator on bancassurance? Do you expect a draft or discussion with the regulator , because that is becoming a bit of overhang for the entire sector ? So, as you mentioned that there is no communication from the regulators, but what are the expectations that you have now?

Vibha Padalkar: So, expecting nothing Nidhesh . Because we have our work cut out. We know that we as a sector, are responsible in how we're looking at multiple factors, more de -risking, complaints, giving customer a choice and so on.
Like I mentioned, if there's any concern , it is already being talked about because maybe I just need to remind that we did have a draft paper that was issued by the reg ulator. There were discussions. We did go back in terms of

some of the tightening of the processes and so on. And
I'm sure us and many of our peers have already rolled that out in terms of tightening the sales and servicing process. So that's where it is at this point in time.
A couple of points here, which I'm sure everyone knows that bancassurance does play a very important role. One data point to chew on is that the number of touch points of banks is comfortably 10x of the touch points of all life insurance companies. So , do we want to miss out on those touch points? Second is that if you see insurance penetration, life insurance penetration in the recently issued annual report of our regulator that also shows a downward trend. So , given that, is it a time to really reduce the touch points .
So that's where it is at this point in time. Like we mentioned to the earlier caller, we are focused on more broad -basing distribution. This is not new , we will continue to work on it. And there are many other things also up our sleeve in terms of not only organic but also inorganic solutions.
It's difficult to give an answer because you don't know what the question is. And we will, of course, continue to ensure that what the regulator has in mind in terms of best product, most transparent, best service, ease of on boarding , transparency is provide d to our customers.
Nidhesh Jain: Sure. Secondly, on the VNB margin . Sequential improvement in VNB margin is driven by ULIP VNB margin improving. Is that right understanding?
Niraj Shah: No, it's not just Unit Linked margin improving. Its inherent margins across the board improving. Unit Linked definitely plays a part there because we're able to attach higher levels of protection and over the period of time persistency is improving. So largely that really is contributing to that. And, of course, the gap looks larger than what it actually is because of the repricing lag that we had in the previous quarter.
Once you normalize for that, then the gap is just about 60 -70 bps in our view and that can be explained by some adverse product mix because of Unit Linked being higher and the inherent pricing more than compensating for that along with the surrender value regulations gap of about 30 bps for the quarter.

Nidhesh Jain: So just to clarify there's no one -off thing on the margins. Because last quarter, there was a one -off of lagging pricing. This quarter we have seen interest rates have gone up through the quarter.
So, because of that we have not got any benefit in our margins in this quarter?
Vibha Padalkar: I can clarify that there are no one -offs in this quarter. These are inherent margin improvement s.
Moderator: The next question comes from Supratim Datta from Ambit.
Supratim Datta: Thanks for the opportunity. My first question is on agency. Now you have been making investments in that channel. However, if I look at the growth rates on a quarterly basis it has been fluctuating. So just wanted to understand when should we start seeing these investments that you're making start delivering fruit? And what have been the challenges . You have been making investments in this channel for nearly 2 years. So , what ha ve been the challenges that you have faced and how you are tryin g to address that? So , could you give some color on that, that would be helpful .
Now moving to Credit Life. Now it contributes around 6% -7% of your APE. And recent comments from the FM suggests that banks could look at reducing the cost of borrowing, particularly with respect to insurance. So , are you hearing from your channel partners any rationalization on the products that they are attaching with loans or what could you do to improve the product proposition there better? And then the corollary to that is how would that result in the margins moving in that product, given it's a fairly high -margin product.
And lastly coming to the

recent data breach, could you give us an update on what happened ,
what have you done to address that? You have been investing in technology to improve the processes. So why did it happen? What has been done to address that?
Vibha Padalkar: Yes, I'll take the data breach. So , nothing further than what we had reported to the exchanges. But in the meantime, we have obviously strengthened and closed wherever the leak was from.
It was identified very swiftly and we have closed that. Fortunately, no material impact on the company's operations as well as from a customer servicing point of view.
Since then , a lot of tightening has been done and we have looked at robust security across our IT environment . We also have been working closely with a couple of external partners who are doing an independent audit and a review of our entire system.

We have also obtained a n injunction from Mumbai High Court. This is to prevent the circulation of leak ed customer data. This is just a pre -emptive measure that we again obtained very swiftly, so that was fairly reassuring for us while we put in a lot of controls to stem anything further. So , we are in that stage now. And we're kicking off each and every aspect of our IT networks, cloud, our APIs so that we ourselves and the Board are fairly reassured that it's fairly water tight.

Vineet Arora: Yes. Coming to your question on agency, the agency growth this year has been 19%, which is quite in line with what we have grown as an organization. Last year we had seen a lower growth and that largely came in from the impact that we have on greater than Rs 5 lakh regulation which changed there the tax benefit was changed. So that saw some impact and last ly, channel took

some time to recalibrate, retrain all the agents, et cetera to pick up products with the new story and everything else.

Within that also, we have now been able to clearly establish a very strong product mix in the agency channel. Term contribution for agency is one of the highest in the organization. So that brings in a good profitable mix for the agency channel as well. UL is lower than the entire company level at agency channel.

And also , this entire initiative of attaching more sum assured to UL is also working well in that channel. I think the investment in agency then continues. The growth has come back this year. And we are also confident that this investment will result in good margin as well as higher growth going forward.

We also added a lot of agents in this year. We've also expanded by adding nearly 65* branches this year , that expansion of branches will also continue. Our mix from not just Tier 1, but Tier 2 and Tier 3 is also high , thanks to this channel.

*65 new branches have been added during the period 9MFY25, erroneously mentioned as 35 by the speaker

Supratim Datta: Got it. And of Credit Life?

Vineet Arora: Yes. So , on the Credit Life, the entire suppression of this is coming from the MFI segment and the MFI segment has been suppressed because of the NPAs and all the action happening around the banking space and the lending space. So , every other line of business in Credit Life has been stable. We have seen MFI getting impacted.

Now the question about the noise around cost of insurance over loan , the MFIN guidelines also which came out I think two months back, also very clearly stated that insurance is a critical factor especially in the segment of MFI because it hence cover s the loan in an eventuality. So, RBI also recognizes that and MFIN also very well-articulated that in the entire circular. So , it's very much part of the proposition, good for banks, good for customers, it's a clear win -win strategy. And these products today also fit in that bracket of the cost that RBI allows these NBFCs and the banks to charge the MFI customers. We don't really see an impact. It's an

impact

more because the total disbursements have come down. Once that cycle starts to come back the business should also come back.

Moderator: The next question comes from Sanketh Godha from Avendus Spark.

Sanketh Godha: Thank you for the opportunity. Niraj you said that in the third quarter the margin impact is 30 basis points. So , our previous guidance was if we don't change anything then it will be 100 basis points. So , naturally that 30 bps impact is much lower compared to what you told initially in the front -end rules at 100 bps.

So, is it because of clawback in commissions or IRR change or attachment of more riders ? What has played a role for the impact to be lower compared to what initially we anticipated it to be 100 bps? So that's my first question .

Niraj Shah: Sanketh, if you recollect what we had said at the time when the regulations came out in our exchange notice was that on a gross basis we expect an impact of 100 bps if we do not make any changes. And our intent was to try and see what we need to do in terms of sharing whatever pain there is with the distribution and trying and keeping the customer proposition intact.

And given that our reliance on the earlier regulation in terms of our profitability was very low as we had shown in one of the slides o f our investor presentation. We did not really need to touch the customer proposition at all. In fact, because of our disciplined pricing approach , whatever pricing was warranted by changes in the interest rate , we were anyway doing. So , we do not need to do anything in addition to that after the surrender value regulations.

In fact, that data is all available in the public domain in terms of how pricing has changed after October 1 for various players, you can look us up on that also. As far as the impact of 30 bps for the three months is concerned, it's more a function of having put some of these new arrangements in place in terms of claw -backs , deferments and reduction in commission to some extent. Those on an annualized basis , we expect the impact to be closer to what we reported for nine months. It's 10 bps because it's only been three months since the regulation has come in. But our endeavor will be to try and keep it as close to 20 -30 bps on an annualized basis going forward as well because that's basically more in terms of sharing this burden with our distributors and leaving our customer proposition intact.

Sanketh Godha: So, to summarize it is largely because of the pay-out structure change to the distributors played the role in containing the impact of the margin?

Niraj Shah: Yes. So basically, we're trying to isolate the impact of these regulations and that's the reason why we've completely kept it as if nothing has changed and only if the surrender value with regulations change , this would be the impact, just to make it easier for everyone to appreciate.

Sanketh Godha: Got it. Perfect. And this clawback thing you implemented for the entire quarter fully or it was partial and therefore the benefit might be more in fourth quarter relatively? Just wanted to understand that part , when we had the second result call, you still mentioned that you were in discussion phase. So , I'm assuming it was partial for the current quarter. I mean if it is for the full quarter, the benefit would have been a little higher?

Niraj Shah: That is correct. So , some of the arrangements are in place. Some of the arrangements come into effect as we go forward in quarter 4 as well.

Vineet Arora: Yes. So , some arrangements would be there, but a lot of our arrangements are under discussion to have an impact from first of October only. So , I don't see there would be more benefit coming in the next quarter. So , this would be the benefit. And whatever is left right now is a very small percentage of our business. I would not have the exa

ct number, but maybe 90% - 95% of business is already discussed and closed.

Sanketh Godha: Got it. Perfect. And the second question was that your unwind rate in the nine months looks to be lower at 7.3% compared to almost 8 % in first half. So , anything to read there why unwind rate has come down?

And the other question which I had is that your deeper bucket persistency has improved meaningfully. The 61 month is at 780 bps better. And if I look at the presentation it seems to be largely coming from traditional products. So , if you can give a bit of color what led to this improvement in the persistency, is behavior better than expected and that also helped in kicking the margins up. Just wanted to understand that point .

Eshwari Murugan : So, on the unwind rate it has remained same as in H1. It's 8.1%. And as we have explained earlier as well, the unwind rate is based on the economic environment at the start of the year. It's based on the investment return on the debt or the assets that the po licyholder funds are invested in as well as shareholder funds. And that has been fixed at 8.1%, and that is what has been consistently reported in all the 3 quarters. So , I don't see a decline in the unwind rate which you're referring to.

Sanketh Godha: Okay. Maybe I will do the calculation again. Sorry, on that part. And on persistency, if you can give a bit of more color - any benefit on margin?

Eshwari Murugan : Yes, the increase in the 61st month persistency, it is relating to the cohort of policies we sold 5 years back. That was a year where the non -par guaranteed IRR products were introduced and these products have had a much better persistency right from the 13th month. And that is now getting reflected in the 61st month. And sometimes the experience may be different from what is assumed.

And that will get reflected, but it's not very different because if you see the operating variance in our EV walk, that's always been a small positive. So , it's not going to be a big material difference from the assumptions that we have . But whenever we see this experience, we keep truing up the assumptions.

Moderator: Next question comes from Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee: Congrats on a good set of numbers. So, I just wanted to understand on the surrender charges that 10 bps or the 30 bps number you alluded to . What I understood was , this would largely factor in the impact of the higher payout. So just wanted to understand that whether you have factored in any kind of change in the lapsation behavior, maybe not immediately, but, say, third or fourth year down the line of the policy, s o whether that is there? And also like over the next 2 -3 or 4 quarters, would we expect that this number to broadly be remaining in this range going forward? And also , in terms of the persistency that you are discussing, I think, on a nine-month basis, if the number looks fairly strong. It has been stuck even in the longer duration cohort. If I look at second quarter versus third quarter, that number has come off across cohorts. So just wanted to understand whether there is anything more to read into this apart from the fact that maybe la st year same quarter, the new mix have started to go up. So , these were the 2 questions.

Niraj Shah: Yes. On the surrender values, when the regulations were announced , we had actually added a disclosure in our investor presentation last time, which basically said that all the impact of the surrender value regulation change for us is in the second year and there is no impact thereafter. And the reason for that is basical ly pretty much the entire book stays on the books either as premium paying or as paid -up policies.
So, we have not changed any assumptions on whether more or lesser number

of customers will continue with the policy or they'll surrender or they'll lapse or they do any of that. So , there's no change in any of our assumptions. This entire change is flowing as a consequence of the enhanced value that needs to be paid to customers if the second premium does not come in. And that is what we had articulated as 100 basis points on a gross basis. And what we just reported now was 30 basis points for the quarter on a net basis after making whatever changes that we had to from a distribution perspective and our own operations w ithout changing anything from a customer perspective.
So also , what we had mentioned is that given that the surrender value will now build up in a different way compared to what it was building up earlier, whether a customer decides to surrender earlier or stay paid up does not really affect us economically. We of co urse, would want the customer to stay in the policy, continue paying premiums. If not that, then be paid up and stay in the policy. But if they still choose to surrender, we will not be any worse off economically given the way the benefits are stru ctured from a regulatory perspective.
Eshwari Murugan : Just to add, we have not assumed any improving persistency in our margin calculation. If there's an improvement in the persistency because of the way that distribution payout has been now structured to align with the persistency, there will be an upside in the margins. But that has not been currently factor ed in because we have to see the experience, how that emerges.
Swarnabha Mukherjee: Understood. And would it be safe to assume that before you update any kind of assumptions going forward , maybe after a year or so, this is likely going to be the benefit over the next 3 quarters also. Could that be a fair assumption?
Eshwari Murugan : Yes, that's right. Yes.
Swarnabha Mukherjee: Okay. And if you could respond to the persistency question on a quarterly basis how to look at it?
Eshwari Murugan : So, at a generic level, I would like to say that the 3 months ratios are generally influenced by a lot of factors , there will be a collection trend . Generally, we see that, for some reason, the Q3 is a little low in collection, maybe due to festival s and that the collection pattern actually picks up in the subsequent quarter, which is the JFM. That is why looking at the quarterly trends may not give the right picture.
It also depends on other things like product mix, etcetera, and that's why from 25 to 49 months, the drop that you see is mainly because of the difference in the collection pattern that we have. Otherwise, on a 12 -month rolling basis, the persistency is improving.

On 13 months, typically, the higher UL mix that we had in the last year , that is resulting in a slightly lower persistency. But here also, we believe that given the improvement on a 12 -month basis in quarter 4, this should pick up.
Swarnabha Mukherjee: Understood . Just a quick one. So , I think as an alternative to customer surrendering , this product - loan against insurance , is also what you have been doing. So that is, I think, one of the methods that have been kind of discussed that will be used to circumvent the challenges of surrendering of customers.
So just wanted to understand how this segment is playing out for you guys? What are your thoughts on that? And as it picks up, how should we think about how the revenue will get booked and what would be the arrangement, whether you will do it yourself or y ou tying up with a lender? If you can give some color on that.
In case of like once there is a surrender requirement , loan against the insurance is offered , against whatever is the surrender value of the insurance product . Sometimes loan is given out rather than doing a surrender of the policy. So , wanted

to understand that part.
Niraj Shah: Yes. Okay. So , the loan value is obviously linked to surrender value. You are right. And higher surrender value higher the loan eligibility, definitely. So , we definitely believe that a loan against policy is a very efficient way for the customer to utilize their own resources. And for us, it works like a fully secured loan in that sense.

So as such, it works for everybody. Whether this will change customer behavior remains to be seen. But everything else remaining the same, our customer will be able to I guess, avail of a higher loan compared to what they were earlier on their policy becau se the surrender value will improve.

Moderator: The next question comes from Aditi Joshi from JPMorgan.

Aditi Joshi: On the commission structure, is it possible for you to share which all channels have resorted to the changed commission structure, either claw back or reduction in commission across the bank agency and the brokers.

Vineet Arora : So, I think like you articulated, we have a combination of these three things, which means the claw -back , deferment and reduction. And depending on partner and depending on business models, etcetera, various combination of these three factors would have been taken in. So , there is no one standard approach to say that this channel has been approached with a particular method.

All these three , and as a combination or as individual are the methods that have been used to close the negotiations.

Aditi Joshi: Okay. And can I ask that all these negotiations are going on across all the channels , no matter in which form its going on, but is it across the channels or 1 -2 channels , any channels that you would like to highlight as somewhat lagging .

Vineet Arora : So, like I said, this is more or less a done deal from our side. And about 90% -95% of our business are already closed. Certain partners, not specific to any channels, have their internal approval process, etcetera, which might be taking slightly longer, but that should also get closed in the next few weeks or maybe a month.

Moderator: The next question comes from Neeraj Toshniwal from UBS Securities.

Neeraj Toshniwal: Most of my questions have been answered. Just on the competitive intensity, how do we see things changing post surrender norms getting implemented. Should we see IRR getting actualized and the protection going up but wanted more sense how you are thinking about it?

Niraj Shah: So, as we mentioned, we have not made any changes to our pricing, whether it's on protection or non -par savings or annuities, but we definitely have seen some downward revision in pricing from some of our peers. And I guess, the only thing that we could corre late it to, apart from changing interest rate environment, which applies equally for everybody was the differential impact of the surrender value guidelines.

I guess that's the only thing which we could impute from some of the reactions that we've seen across the sector. So that's just the way we've seen it. We have seen non -par pricing, non -par IRRs come down. We've seen annuity prices being revised downwards. We've also seen term prices increase. So , we've seen a combination of all these measures across the sector.

Neeraj Toshniwal: Got it. And does it really help big players like you and others, I mean the private players to gain market share out of this given the environmental factors have improved? Are we able to leverage and gain disproportionately out of this?

Niraj Shah: It's difficult to say. It's just been 3 months. So , we'll have to wait and see how some of these things pan out. But yes, if you were to look at market share, has it expanded for us in this quarter ? It has. Has it expanded in nine months ? It has. This could be one of the reasons, but obviously, a large part of it would be our own operations and

this expanding distribution as well as all our channels. That's the way we look at it.

Over a period of time, we do expect some of these regulations, which we believe, be beneficial for companies who are relatively more, let's say, balanced in their approach, whether it's in terms of listing requirement or in terms of implementation of risk -based capital or IFRS. So , all of these things would definitely, we believe, help companies who are taking a more balanced view of the business.

Moderator: The next question comes from Rishi Jhunjhunwala from IIFL Institutional Equities.

Rishi Jhunjhunwala: So, in this quarter, the impact of surrender on a net basis has been 30 basis points in the margins and you still have some of the benefit from a full quarter impact of clawback of commissions to play out. So , is it fair to say that keeping everything in place, the overall impact of surrender regulations on our business will eventually end up being lower than 30 basis points?

Niraj Shah: Like we had mentioned, there is no further benefit in quarter 4 from implementation of these distribution arrangements. But I mean, if you were to just annualize the numbers, will it land somewhere between 10 -30 bps, mathematically, it looks like it will.

Moderator: The next question comes from Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just one question on the protection business, and that's mainly on retail & pure term business. How are you thinking about this business and some granularity if you can share as to how the behavior is ? As you enter the lower tier cities more , what is the kind of ticket sizes?
And just 1 more thing on the Tier 2, Tier 3 strategy. Vibha , we spoke about this a couple of quarters back and you mentioned that the persistency and all things will evolve and eventually, you cannot have a differentiated pricing between geographies, but then you will have to figure out in some way the impact that could be there from a lower per sistency or a higher mortality , and some capital charge or some kind of charge would have to be levied and that could impact margins. Are there any thoughts around it , has that evolved and can come into the picture now? So yes, those a re 2 questions.
Vibha Padalkar: Yes. So happy to share that our growth in retail protection has been very secular. Just to recap, overall, our growth was 28%. Tier 1 was in the early '20s and Tier 2 and Tier 3 put together were in the early 30s and thereby giving an average of 28%. So , happy with that, and that was the intention as well.
Now there are different preferences . While products might be the same, but there are different preferences in terms of whether it is return of the premium or regular pay and so on. So , those nuances, we will continue to calibrate. We will also look at affordability, what kind of alternative underwriting tools that we have, what kind of modes of payment work , what kind of claims experience, persistency and so on. So , it's an ongoing learning for us, but we continue to do fairly well in all 3 Tiers in our co untry.
And also , what is noteworthy is that the ticket sizes don't drop significantly between the tiers. So, we've also articulated that our focus or baby steps will be on the upper quartile or the top quartile of Tier 2 and top quartile of Tier 3.
Moderator: The next question comes from Himanshu Taluja from Aditya Birla Sunlife AMC Limited.
Himanshu Taluja: Given now the most of the surrender norms impact is largely over and you have delivered the VNB margin of 26.1% for the quarter , can we say that the margins have broadly bottomed out ? Assuming not a very significant change in the product mix that will happen over the next 6 -9 months. How do you expect this VNB margin trajectory to behave over the near to medium term?
And the second part of the question is, what led to the s

lowdown in the agency channel? And how do you expect it to behave over the next 6 mont hs?
And lastly, if in the insurance amendment bill, if this open architecture in agency comes and passes-through, how do you expect this to behave , particularly for the industry?

Niraj Shah: Yes. On the VNB margins, we'll basically just reiterate our outlook that we were gunning for after the first quarter, we basically said that we will try and get to 18% -20% APE growth and try and deliver a VNB growth of upwards of 15%. We believe that is something we are on course to deliver. We've not changed any of our aspirations on that front.
And to your question in terms of on a quarterly basis for this year , have the margins bottomed out? We are still in the quarter, so we don't know, but a couple of things we can maybe look at. One is that we definitely expect the scale of business to be a lot higher in quarter 4 compared to any other quarter in the year.
We don't expect any significant deterioration in product mix. So , putting those two together, we can expect margins to be in a similar zone or maybe slightly better. But honestly, that's not something that we are really solving for. What we are solving for is trying to deliver a VNB growth.
So, we will try and see what growth opportunity is there in front of us, and then we will take a view in terms of what product mix really solves for that and try and get to the VNB growth answer.
Vineet Arora: And answering your agency question, I think I will repeat my comment there. This year, the growth on agency, we have seen it to be 19%, which is pretty much in line with what we have seen at the organization level, maybe just a tad bit lower. The lower gro wth from Agency , we had seen last year, and that was primarily due to the tax changes which happened on the greater than Rs 5 lakh policies . And because the distribution was aligned to that particular product category a lot more, it took some time for them to realign themselves.
Himanshu Taluja: Yes. And anything on if this open architecture in the agency channel also comes, how do you expect to behave for the industry? And because we have a lot of unlisted peers as well , where the profit could be operated in a different profit pool band as well. Overall, how do you expect the benefits to play out if this gets passed through?
Vineet Arora: So, like I said, most of the agents, which are top agent for any company and do a reasonable amount of business, they do have w ithin their friends and families multiple compan y products available for themselves. So , I don't think at that segment, it will make much of a difference.

For the other agents also. I mean, depending on the size of business that they do, if they need multiple products from different companies, I think that will open an opportunity for them to pick up the best suitable product that they might need for their c ustomers . Will it impact us? I don't, at this point, anticipate much impact because of this . If any , it would have positives also available to us.

So, I think once the guideline comes out and the entire operational details also get notified, we might be in a better position to anticipate and analyse the impact. But as of now, I don't see any impact from this.

Himanshu Taluja: Sure, thanks.

Moderator: The next question comes from Raghvesh from JM Financial.

Raghvesh: Congrats on a strong set of numbers. So broadly on ULIP, we have been s elling higher sum assured variants since the last year. So , what has changed in this quarter? Are we attaching higher sum assured as compared to what we were doing earlier? Or has the proportion of people choosing the higher sum assured variant increased? And if that has been specific to any channel?

Niraj Shah: So, what has happened

is that our journey of enhancing the level of protection in all our products, including Unit Linked products started sometime last year at scale. Of course, the efforts were being made earlier as well, but we started picking up a lot of scale once the Unit Linked volumes also started increasing.

But of course, they've gone to the next level in this period that has resulted in some of the improvements that we spoke about, both in terms of a higher proportion of business being sold at higher levels of some sum assured and rider attachment as well. And within riders as well, I think now we are getting to a stage where people are looking at riders differently compared to when it started out with a very low level of coverage , that was being sought out earlier.

Now things are changing. People are getting more and more nuanced about it. Customers realize that this is a very efficient way of buying more coverage while buying a savings product. So , some of these behavioral changes are definitely healthy. And also, of course, persistency is improving. So , some of these aspects add up as far as the b ehavior is concerned.

Vineet Arora: So, I'll just add maybe one more point there is that our experience of the last maybe a year plus has also helped us identify those sweet spots where we get good persistency and a good coverage and the focus on those cohorts have increased, it has helped us increase this number.

Raghvesh: Okay. So , in the old policies before the new surrender norms, essentially no people were surrendering after the second year, they were just keeping policies paid up. So , you were not making surrender profits. Now even if they surrender, there will be no loss to you, at the same time, there will be no profit, as you said, right?

Niraj Shah: Exactly. That was the whole objective of giving you that data point last time that for us, the impact is largely related to whether people pay the second premium on no, nothing after that.

Moderator: The next question comes from Prithvish Uppal from Elara Securities.

Prithvish Uppal: I just wanted a sort of clarification on the first year commission number that seems to be north of 50% for this particular quarter. So , with the implementation on commission deferment and clawback , just wanted to get some sense on where the reconciliation is with this number because it seems higher sequentially.

Niraj Shah : Actually, if you were to look at it, we've had changes in regulations that happened over the last year. Looking at our total expense ratio , that has changed from 19.5% to 20.2% in this period. So that basically encompasses all expenses, including what is our cost of acquisition, what is our direct cost and overheads .

So as such, that basically gets subsumed in our accounting profit as well as in the value of new business. The change is not anywhere as dramatic as some of the line elements might be indicating.

Vibha Padalkar: And just to add. So overall, if you were to look at the commission plus expenses, the growth has been about 15% in the quarter. Which is largely in line with overall growth.

Prithvish Uppal: Okay. Because even in the commission norms that have been placed last quarter, the rise in first year commission would offset the lower opex. So , there's nothing much to read into it. That's what you're basically indicating?

Vibha Padalkar: Yes, you just have to look at overall new business cost.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you, everyone, for joining today's call. Please feel free to reach out to our IR team in case of any queries. Have a great evening.

Call: Jan 2025

January 22, 2025
Ref. No: HDFC Life/CA/2024 -25/125

Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001

NSE Symbol: HDFCLIFE BSE Security Code: 540777

Dear Sir/ Madam,

Sub: Transcript of earnings conference call for the quarter and nine -months ended
December 31, 2024

We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Wedne sday, January 15, 202 5, to discuss the financial performance of the Company for the quarter and nine -months ended December 31, 2024.

The said transcript also has been hosted on the Company's website at
https://www.hdfclife.com/about -us/investor -relations .

This is for your information and appropriate dissemination.

Thanking you,
For HDFC Life Insurance Company Limited

Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary
Encl. As above

HDFC Life Insurance Company Limited
H1 FY 25 Earnings Conference Call

October 15, 202 4

Moderator : Ladies and gentlemen, good day, and welcome to HDFC Life Insurance Limited Results Conference Call. As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after t he presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Ms. Vibha Padalkar, MD & CEO, HDFC Life. Thank you, and over to you, Ms. Padalkar.
Vibha Padalkar : Thank y ou, Andrew. Good afternoon . I would l ike to welcome everyone to our earnings conference call for the half year ended September 30 th, 2024.
Our results, which includes the investor presentation, press release and regulatory disclosure s, have already been made available on both our website and the stock exchanges.
Joining me are Niraj Shah, ED & CFO; Vineet Arora, Chief Business Officer – Distribution, Data and Technology, Eshwari Murugan, our Appointed Actuary and Kunal Jain, SVP - Investor Relations and B usiness Planning.
Moving on to key high lights of H1 FY25.
Starting with operating performance
The private sector and overall industry continued its strong momentum in Q2, growing in H1FY25 by 24% and 21% respectively on an individual w eighted received premium basis. We have outperformed the private sector by growing at 28% during this period and 19% on a 2 year CAGR basis. Our market share amongst private players registered an increase of 60 bps, improving to 16.3%. We are also happy to inform you that our overall market share touched a new p eak of 11% for the period ending H1 FY25.
On an individual APE basis, we have recorded a robust growth of 31% on a YoY basis and 19% on a 2 -year CAGR basis, bolstered by strong performance across all metrics. We registered an increase of 22% in the number of policies sold, with a ticket size expansion of 7%. The growth in number of policies was significantly ahead of the private sector growth of 13% with strong secular growth trends across Tier 1, Tie r 2 and Tier 3 geographies. The proportion of 'New to HDF C Life' customers remains promising, exceeding 70%. We achieved a strong growth in retail sum

assured which was 31% on a YoY basis and 45% on a 2 year CAGR basis.
We continue to remain market leaders in overall sum assured.
Our product mix based on individ ual APE in H1 was as follows, ULIPs: 36%, non -par savings: 3

8%, participating policies: 15%, term:6%, and annuities: 5%,. ULIP has seen some intended moderation in this quarter with the proportion re ducing from 38% to 35% from Q1 to Q2. We have observed strong growth in non -par savings products, with the segment achieving a 76% YoY increase aided by new product variants launched this year.
Retail protection APE in H1 and on a two -year CAGR basis saw g rowth of 27% and 36% respectively. We expect the healthy mom entum in retail protection to sustain for the rest of the year. The credit protect segment has been soft this year on account of calibration in disbursements across some of our partners and lines of businesses. As we have stated in the past, our focus remains on building a long term, profitable business in this segment.
Our annuity business experienced slower growth on the back of aggressive and unsustainable pricing by some peers. We continue to adopt a calibrated growth strategy, focusing on enhancing our product offerings whilst maintaining pricing discipline. Annuity and protection together contributed 44% to our overall new business premium.
Moving on to key opera tiona l and financial metrics
Our H1 value of new business was Rs. 1,656 crore, reflecting a 17.4% YoY growth and new business margins of 24.6%. The margin compression is primarily attributed to product mix and deferment in repricing of certain

traditional products.
As we rushed toward s ensuring product compliance by October 1 st , we took a con sidered call to defer re -pricing of certain non -par products that were going to be phased out. As we have articulated this year, equity markets are likely to stay buoyant and hence we will priorit ise new business, 15 -17% VNB growth with some flexibility on margin outcomes.
Our embedded value stood at Rs . 52,114 crore as on 30 th September, with an operating return on embedded value of 16.0%. Profit after tax has grown by

15% year -on-year, reachin g Rs. 911 crore, driven by a steady increase of 18% in profit e mergence from the back book.
As on September 30, 2024, our solvency ratio stood at 181%. As we had indicated, we raised subordinated debt of Rs 1,000 cr ore in the last week, thereby improving our solvency to 192% post the sub -debt raise.
Renewal collecti ons grew by 12% year -on-year. We are pleased to share that persistency for the 13 th and 61 st months materially improved to 88% and 60%, respectively, marking increases of 120 basis points an d 730 basis points versus the previous year.
Next on to distributi on:
We saw holistic growth in individual APE across channels. Our overal l bancassurance channel grew by 32% with deepening relationships across partner banks. Our counter share at HDFC Bank continued to be stable at around 65%. Proprietary channel grew by 27%, with the Agency channel gaining momentum in Q2 on the back of imp roved productivity, thus outperforming the company's overall growth. Term business in agency grew at over 2x company g rowth. We continue to be the market leader in the broca channel w ith healthy growth across offline and online partners. The channel has s een a pick -up in the HNI segment, while strengthening its foothold in Tier 2 and Tier 3 markets.
We are delighted to announce that our subsidiary HDFC Pension crossed the Rs 1 lakh crore milestone in terms of assets under management and is one of the fastest growing pensi on fund management company in the industry, enjoying a market share of 43.6% in H1. The GIFT Ci ty branch of our Dubai subsidiary, now offers 6 US dollar denominated products to both NRIs and Resident Indians across life and health categories of insurance.
Moving to r egulator y update
We ha ve successfully relaunched more than 40 top products contrib uting to about 95% of the business as on October 1, 2024 and we plan t o relaunch other pro

ducts during the course of the quarter. We are thankful to the regulator in allowing us an additional time of 3 months for transitioning to

the new product regulation s. We believe that the revised products are more attractive to prospec tive customers and strengthen the long -term life insurance proposition in India.
We are in various stages of operationalising the commercial changes with all our partners. We have adopte d tailored solutions, including commission deferral, reduction or claw back depending on persistency track record and partner preferences. Whilst this transition might take some time, we expect to complete changeover across all our distributors in H2.
Com ing to sustainability and governance
HDFC Life continues to be recognis ed for its commitment to sustainability and responsible governance. The company was ranked amongst India's top four performers in the financial services sector by BW Businessworld's India's Most Sustainable Companies, based on its publicly disclosed Busine ss Responsibility and Sustainability Report (BRSR) for FY24.
Furthermore, HDFC Life's S&P Global ESG score saw an improvement of over 20% versus last year and we cont inue to be rated w ell amongst regional insurers, thereby demonstrating leadership in ali gning its business practices with sustainable and socially responsible principles, creating long -term value

for all stakeholders. Our MSCI ESG Rating has also been upgraded to ‘A’. Our commitment to sustainability not only reflects our responsibility to society but also strengthens our long -term profitability, ensuring sustained value for both customers and shareholders.

On employees

Our success is driven by our valued employ ees, and we continue to invest in building a supportive and inclusive work environm ent that fosters innovation and collaboration. HDFC Life was recognised for its inclusivity and employee -friendly policies, being awarded the Best Companies for Women in Ind ia 2024 in the BFSI sector and Exemplar of Inclusion (Most Inclusive Companies Indi a 2024) by Avtar & Seramount, affirming the company’s commitment to diversity and inclusion in the workplace.

In closing

We remain focused on driving sustainable grow th and strengthening our leadership across key segments. We will continue to invest in cu stomer - centric innovations to ensure we meet evolving needs and remain resilient in a dynamic market. We are confident in our ability to deliver long -term value for ou r stakeholders, whilst adapting to the evolving market landscape with agility and resilie nce.

For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the audience.

Mode rator : The first question comes from the line of Avinash Singh with Emkay Global.

Avinash Sin gh: A cou ple of questions. First part on growth outlook. In the first half, a very strong growth, 24% APE growth. This also has a tailwind for the first 5 months, you're improving share within HDFC Bank channel. Now in the second half, that is going to be part of t he base.

Also, there could be some frictional issues at least in the initial 1, 2 months with regard to the new product launch and all. So considering all this, what kind of growth outlook do you see for H2, particularly if you were to sort of compare wit h H1? Because in H2 also, you have some sort of slight benefit also from the favourable base, that is on growth side. In relation to that, you also made a comment regarding buoyant equity market. So is there some s ort of rethink of strategy around ULIP for H2 with regards to growth?

And coming to margins, in second half, you will have impact from this new surrender regul ation playing its part. At the same time, with whatev

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growth -related cost reduction that you will have , how do you see the margi ns for this H2?

I would say that there are a lot of unknown variable s for us to sort of take a call on how the margin is going to be ; because the growth composition across product segment and particularly the continued probabl e sluggishness around your cre dit life due to whatever is happening in the u nsecured PL or micro finance segment , so that will also have bearing. So how do you see sort of a margin in the second half?

Vibha Padalkar: Yes. Thanks, Avinash. So, I'll take it in seriatim. The first one on growth. Like I said in the past, I said 15% would be on the upper side, but we will revise it because the sector was going for a change in terms of surrender regulations and also getting settled into the new normal of a n elevated an equity market. So, I think 18% to 20% revision in our outlook on a full year basis is something we feel reasonably confident about.

Coming to second question on rethink ing on unit-linked , Our thought proce ss is as follows . It is a new n ormal in equit y markets wherein we are witnessing each dip being lesser in intensity and the bounce back being higher in intensity because of global factors. So how do we make it range bound? I have articulated it before that in the fir st half , we have grown comfortably higher than the industry. We grew almost 400 -odd basis points higher than the private sector. So, faster growth than the industry is something that we

will drive. That is number one.
And within that unit-linked will continue to remain range -bound. It is unlikely to reach the levels of 50% that is quite common in our sector , but it will be range -bound in the 30s. Second aspect is VNB growth because that's clearly the volume of cash that as an insurance company we are accreting to our embedded value and that is delivering value. So th at kind of increase in VNB is ou r second priority. And I'm happy to share that we have delivered on what we said , which i s about 17%-18% growth ; 17.6% on H1 basis .. We will continue to deliver on a full year basis in t hat range. Maybe this could be a littl e bit lower or higher, but roughly in the 15% to 17% range in terms of VNB growth.
And then third point is on margins. I've said in the past and I want to reiterate that some level of flexibility on margins with the first two objectives being sharply defi ned will be there only because of a coupl e of things. One is a very significant changeover that as a sector we are going through as far as surrender regulat ions are concerned ; and all aspects , the customer, the manufacturer as well as the distributor, ever yone is bein g affected by it. So how that settles down, and then unit-linked and credit life segment is also something that needs to b e observed, like you mentioned.

So, there are a few balls up in the air, and so margin will be an outcome. At the same t ime, we're not talking about unit -linked reaching 50%. We are also not tal king about kitchen sinking the margins, but there will be a floor. What that floor is , we will determine, but it will be range -bound. And that's really what we have delivered in H1 o f this year.
Moderator: Next question comes from the line of Suresh Ganapa thy with Macquarie Capital.
Suresh Ganapathy : Yes. I have harp a little bit more on margins because when you ended FY'24, you ended with a margin of 26.4%, right? And the guidance w as that the new regulations perhaps can bring it down by 100 basis points. As I look at second quarter, we are already at 24.4%, so we are already 200 basis points below what you ended FY'24 at, and even without the surrender value regulations kicking in.
Does that mean that 100 basis points will

now further b e below 24.4%, which means it looks like you will be 300 basis points below your earlier guidance ? I understand that the growth has been strong and therefore your VNB outcomes will still be good , aroun d 16% -17%, as you have been guiding. But clearly, on the margin side, it looks like we are likely to undershoot the target.
And the second thing is I'm very surprised to see all your competitors completely rubbishi ng the new surrender regulation saying th at everything will be fine and we can easily manage and pass it on. Is that the view you hold? How do you look at some of the commentary from your peers?
Vibha Padalkar: So a few things on the co mparison of H1 '24 versus H1 '25. See, in H1 '24, our unit -linked was 28% of overall versus 36% in H1 of this year. So quite a significant tilt , like I've alluded before , on the realities of what we are seeing right now. We can choose to give easily 26 -plus percent margins , but not grow. And this is something that I' ve been articulating over the last 6 -7 months or so ; this conundrum that exists .
And when I look at my new to HDFC Life custo mers, over 70% of my growth is from new customers, meaning first -time buyers. And some of them

are coming on the back of unit -linked. So, with my ability to cross -sell to them , the conundrum is do I say no to them or do I have a balance ? And hence, I' m saying it will be range -bound, a little bit on the upper side , instead of it being slightly lower than 30%, it is in the mid -30s, and that is a conscious call that we have taken.
At the same time, I think there' s a lot of focus on one metric that perhaps is an outcome. And the reason I'm calling that out is, yes, the margins are a

shade lower. But if I were to look at growth in H1 of l ast year, I grew 9% versus H1 o f this year, I grew 31%. If I were to look at the VNB, like I said, VNB is really cash, do I say no to generation of that cash and hence accretion to my embedded value just because I want to stay range -bound in margin.
I have no doubt in my mind that as an d when there's a little bit more calibratio n in equity markets, unit -linked like we have seen, will go down in terms of popularity. That will happen and that's when given our balanced product mix and our ability to switch amo ngst all our sa les force fairly will seamlessly happen, wherein slightly higher -margin products will start gaining centre stage.
So, this we see as a market phenomenon, that's not likely to stay forever. And we have to react and adapt to the markets and we very sharply focus that as long as I'm making money out of the business that I'm selling, I think it is good business.
Suresh Ganapathy : So, Vibha, you're saying that just for the time being, let us dismantle the VNB guidance, all what matters is the VNB growth. Whatever could be the components of that, the VNB growth will be at healthy 15% + or 16%-17% as you're guiding. That doesn't matter what the composition is, right?
Vibha Padalkar: Yes. Except with a caveat that there wi ll be a floor. So , we're not saying it could be 500-600 basis points lower , we're saying it will be range -bound. On a full year basis, last year, we ended 26.3% . Leaving surrender charges aside, we are talking about some range -bound margin being the outcome. But in the pecking order, I 'll go for growth and new customer acquisition , and second is VNB. Margins will be an outcome as long as it is range -bound.

Because otherwise, like I said, I could easily lose my ranking and that's been seen before, wherein you lose your overall ranking i n the industry, but you give very high levels of margin. We thi nk that also is not a good outcome. I have to acquire more customers and look at how I upsell to those cust

omers
down the line, right? So that's our considered strategy from now as long as mark ets remain elevated. So that's poi nt number one.
To your second question, Suresh, on no impact, we have said that there will be a 100 basis points impact at the company level. At the same time, we will try and reduce that impact by renegotiating with 300 -plus partners and all our 2 lakh -plus agents, and we are right n ow in that process. As you will certainly understand that we are in multi -tie in all relationships , right? So , it's not a bilateral conversation, but it's a multi -prong conversation. We talk to a partner, partner talk to other insurers, and then there is a loop back into us and into them. And so , all of that is going on right now.
By and large, partners understand where the regulator is coming from and it will take about a quart er for the econom ics to se ttle down. Some combination of deferment of commission, clawback of commission and lower ed commission to some extent is what we're having convers ations abou t. There will be som e impact, but I don't see it as being a material impact once all of these discussions are through.
Suresh Ganapathy : So just one last clarification. You sai d there's some deferment o f pricing you did, partially which also affected the margin. Why would you do deferment of pricing for non -par? It is all old products, right? In old products, the pricing remains the same, right?
Vibha Pad alkar: The thing is that, as of 1st of October, if I'm not compliant with the new regulation o n surrenders and some of the other nuances, I'm not allowed to sell those new polici es. There's only so much of IT bandwidth and our processing capability with the same set of people and overnight, I have to change more than 40 -plus products to make them compliant.
We could have changed the IRRs on an existin g old product b ecause interest rates have chan ged, but we chose not to do it because then I would have had to sacrifice a new product in lieu of the old product. So we just took a call

that that ha d an impact for a few weeks, and that transl ated to 70-odd basis

points impact.
But it was very important for all our key products to be revised and that we are able to start with a bang on 1st of October . This was the trade -off we had to make so all of our channels and subchan nels have the main bread and butter products that they and their partners are used to selling and customers are used to buying.
Suresh Ganapathy : Okay. So , you are just saying that it's a bandwidth issue. I mean, a bandwidth was dedicated towards the newer products instead of trying to focus on repricing the existing products. So that's the simple thing,
Vibha Padalkar: Yes. Absolutely. I had to focus on new business and not spook our distribution channels, to say that I don't have the key product that they sell.
And my different subchannels have preferences on a certain variant, on a certain term and so on. Every time there is a significant change, even considering the Unit Linked changes that happen ed back in time , there's something or t he other to trade -off, given the volume of changes that one needs to do at a company of our scale.
Suresh Ganapathy : Sorry, my last question, I have to squeeze in on IFRS. What did the MCA circular say? It said perhaps al l non-bank promoted insurance companies have to comply with IFRS and you guys for the time being get an exemption and therefore, we will have to wait for the IRDA circular. Is my interpretation right? What is the impact and how you're looking at it?
Niraj Sh ah: Yes. So a couple of things. One is initially MCA came out with a definitive time line, one was for non -bank-held insur ance companies and other one was for the res t. They specified a date for the non -bank -held companies, which they later defer

red to IRDA. So IRDA will basically decide the date of implementation for all insurance companies, whether they are ba nk-owned or non bank -owned. So that was one change that hap pened after the initial MCA circular.
As things stand today, we have received the communication from IRDA and we believe some peers have also received communication, which talks about

IRDA's intent to roll it ou t from April 2027. So , there is a p hase-wise implementation plan, which we understand will be followed where all the large listed as well as unlisted insurance companies will go into Phase 1. And we basically have this window of abo ut 24 to 30 months to g et this done. And that's where it is as far as this is concerned.
But of course, IRDA has also said that this is, in some sense, an endeavor, so we will obviously be prepared to be ready well ahead of time . But we will await a v ery clear direction from IRD A in terms of the final implementation guidelines.
Moderator: The n ext question comes from the line of Madhukar Ladha with Nuvama Wealth Management.
Madhukar Ladha : Vibha, you mentioned in your comments that you deferred pricing on few of the non -par produ cts. I wanted to get a sense of what was the impact on this quarter's margins or the first half ’s margins because of that? And th e 100 basis points that you're talking about would be versus the margin of last year, right? So that was question number one.
Also, if I look at your distri bution mix, it seems that the bancassurance channel, the growth is there, but it's a little softer. So just wanted to get a sense of what has played out. So , on a year -over-year basis, growth was a little softer in the bancassu rance channel side. So, yes , those would be my 2 questions.
Vibha Padalkar: Yes. I'll take the second question, and Niraj can answer on the margin walk.
Our growth has actually been very healthy at about 20% * in bancassurance channel . So soft is because of the base effect. If you remember, last September was a bumper year for us, wherein we touched a counter share of 70% at HDFC Bank, and that is really what is causing it. So , it is more a base effect than i ntrinsically there being a slowdown.
*rectified to 26% growth in bancassurance channel in Q2 in the following comment by MD & CEO
Madhukar Ladha : And so , if I may just ask again, what's our counter shar e now and then?

Vibha Padalkar: Sorry, just to clari fy, we grew by 26% in Q2FY25 , which I think is a fairly healthy growth. And if I didn't have the base impact, then it would have been even healthier. And the counter share hovers around 65 %-66%, so about 2/3rd of the busin ess and it is settled down there.
Niraj Shah: On the margin front there are a coupl e of things that we had said. One is, of course, the unit-linked mix , which is higher compared to last year. Similarly , annuity w hich is lower compared to last year. And also, there is residual impact which came through from the lag in repricing by a few weeks. So that, from a quantification perspective, up to 30-40 basis points is something that we would attribute to delayed repricing . But a significant part of impact would be still attributed to the change in product mix, for which we have articulated th e reasons as well .
Vibha Padalkar: Just to add , when you look at unit linked m ix compared to last year , it was 30% in Q2 of last year versus 34% in Q2 of this year. So , some of the impact is due to higher unit linked and some is due to d eferment in repric ing o f non-par.
Madhukar Ladha : And if I were to just ask what was the impact of not repricing the non -par in this quarter, just to get a sense of normaliz ed margins before we go into increas ed surrender value regime?
Niraj Sha

h: Yes, that's what I mention ed, 30 -40 basis points is what you can basically look at.
Madhukar Ladha : Just for the non -par, right?
Niraj Shah: Yes, this is for the non -par becaus e repricing is for non-par only, basically, the non -par savings and annuity products.
Moderator: The next question com es from the line of Manas Agrawal with Sanford C. Bernstein.
Manas Agrawal : A couple of questions. Correct me where I'm missing the delta . Your Q oQ product mix has improved, but your margin has gone down. Your repricing impact is 30 -40 basis po ints o n the non -par piece, so not able to tie that in , that's the first question. Second question is, is there any impact on the funnel

for your annuity business due to changes in the government employee pension plans? That's it.
Niraj Shah: Yes. So , the 3 0-40 basis points, as I was talking about is on H1 basis , from our reporting perspective . All the repricing line happened in the second quarter. So, the impact in the second quarter was higher. So , if you see the slide that we carry in our investor present ation, we called it out for the period, which is half year. But for the quarter, the impac t of repricing would be higher, it will be closer to maybe 100 basis points.
Manas Agrawal : Understood. On the second one?
Vibha Padalkar: On the annuity business, we will have to see as to what the government articulates in a lot of nuances. So , we will have to wait and watch to see any impact on annuity on that.
Manas Agrawal : Understood. I wanted a clarification. I know there's not a lot of clarity on what the modal ities will be, but annuitization is not compulsory in the revised pension scheme? Is that correct?
Niraj Shah: No, that is not clear yet. We await clarifications on the UPS or the Unified Pension Scheme. What has ba sically been articulated so far is the in tent to give some sort of guaranteed pensions for the government employees. How that is going to get funded to some extent has been discussed . But what happens once the funding is done, is something that is yet to emerge in terms of how the management will happen. And what happens on vesting from an annuity perspective als o yet to be clarified. So , we will have to wait and watch on that front.
Moderator: The next question comes from the line of Gaurav Jain with ICICI Prudential Mutual Fund.
Gaurav Jain : A couple of questions from my side. If you can put in some more ligh t on what is this calibration in credit life that we are taking, which has led to some degrowth in the group protection business? And what would be the guidance

for the same going into H2?

Second is, is the repricing required for surrender regulations with HDFC
Bank done? And third is, if I take the lower end of the guidance also, which
is like 18% APE growth in FY25 and 15% VNB growth in FY25, th e ask rate
on margin from H2 will it be a high 26.4%, Vibha?
So, while I understand margin is a derived number and one should not put a
lot of focus to it and focus more on absolute VNB . But is there something
that can give you some confidence as t o these repricing, etcetera, will help
you deliver bett er margin in H2? Or how should that be looked at?
Vibha P adalkar: I'll take your point on repricing. As far as the customer is concerned at HDFC
Bank, there is no repricing or any customer for that mat ter. We are not
looking at repricing as a result of the surrender charges. So , in the normal
course of any inter est rate movements like we reprice, that's something that
will be an ongoing exercise as far as HDFC Bank is concerned . Also
commercial in terms of HDFC Bank, those conversations have happened .
Obvio usly, I don't want to share partner level conv ersations, but yes, they
have been long

had. And they are in line with what is the expectation of the
regulator as well. So, that's going to be a non -event. A s far as margins are
concerned, again, we are not te thering ourselves to a margin like I explained,
while there will be a floor.
But at the same ti me, we're not back solving for a margin because like I
explained, that is fairly counterproductive. But whether it's 100 -150 basis
points lower than where we end ed last year in lieu of growth and most
importantly, VNB grow th, that's what we are trying to solve for. We would
love for all three to be growing in one direction , but market reality is only
because of unit -linked are saying something else, and then we ne ed to stay
relevant while we go through this cycle as well. So that's how we see it.
Vineet Arora : I'll take th e question on CP. Our CP numbers are largely based on the
moderation, which is happening in the entire unsecured and the MFI sector.
And becaus e CP i s an attachment product , and as the disbursement in that
sector has softened, our CP numbers a re not showing the growth that was
planned for earlier. I think that's the difference which is showing in the CP
numbers.

Apart from that, there i s some bit of competitive pressure getting built up
because the volumes have gone down . So, we might choose to reduce our
exposure to certain partners where the competitive pricing is not making
sense. S o, we will have a threshold for ourselves and beyond that, we m ight
want to just lie low for some partners for some time.
Vibha Padalkar: And just to add , sensible pricing in credit life is important. We are the market
leaders in this space, and we have been in this space at least for the last 10 -12
years. And this ir rational pricing time and again is not new. What also gives
us the confidence is the deep relationships that we enjoy with our partners.
And while there could be some pricing agg ression, time and again, we have
found that we have gone back into that partne rship.
And without naming certain partner s, with a very marquee south -based
lender ; we went through this cycle of taking a back seat when the pricing was
extremely aggressive , when we tr ied to triangulate the claims experience they
were seeing, we took a b ack seat. And now we are full throttle when
repricing was on the table again, we got invited again and we won the
mandate. So , I think this is a phase that we are in rig ht now, and that's
something that is part and parcel of this cycle.
Niraj Shah: And just a couple of things I'll add , unlike the retail business, which is about
30 to 40 years in terms of term as and the experience kind of pans out over a
period of time and there are different levels of disclosure in the industry, as
you're aware. So , mortal ity variance for some may not necessarily be
disclosed.
But as far as the CP business is concerned, most of the business lines have a

tenure of anywhere between 12 to 3 6 to 48 months, a large part of the business is in that range. And also, a large part o f that business is retained on the books of the insurance companies. So, there is very limited reinsurance suppor t on that as well. So, with that, the aggression is some thing that gets found out very quickly relative to the retail business. So that's somet hing that we have seen over multiple cycles in our experience.

Gaurav Jain : That was helpful. Just 1 last q uestion . We also saw degrowth in annuity, which would have led to some margin compression, is there also competitive intensity or challenge or how is that shaping up?

Vibha Padalkar: Yes. There is no other reason. It's purely competitive intensit y wherein, logically, if you're gi ving out a rate that you're more than what you're earning on a G -Sec underlying

asset, clearly, that is not a sustainable pro position.

And time and again we have seen and I've talked about this in the past in the context of right pricing on retail protecti on.

When you withdraw this kind of stimulus, your frontline sales will struggle to sell. So , we believe that we rather price it right. We're talking about longevity risk., Some of this perhaps will star t straightening out due to the change in surrender charges. Some of the aggression on pricing perhaps was, if I may say so, funded by surrender charges on non -par and with that, r educing quite significantly, we expect to se e some sense prevailing on the pr icing of term , annuities and credit life.

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA .

Shreya Shivani : Ma'am, I just wante d to understand how the negotiations with the distributors usually pan out? So , for example, you guys have launched a majori ty of your 40 new products from 1 st October onwards. So , all of your distribution partners have agreed to certain terms and conditio ns? And they can come back and r enegotiate with you after wh at time period? How does this usually pan out? That's my first question.

And my second question, again, on the new products that have been launched. How much cut have we taken? I know that we did not re price our non-par product in the second quarter. So how much repricing or how much cut in IRRs did we do when we launch ed the surrender value version of these products? Those are my two questions. Thank you.

Vibha Padalkar: Yes, hi. Shivani, on the f irst part, see, there are conversations with partners and not just for us, but even our peers, is fairly fluid at this point in time. Conceptually, there is an understanding at least with key partners and some

combination of deferment, cla wback and/or redu ction. That 's where we are today.

It's not to say that we haven't done anything with certain partners , that's not the case at all. At the same time, like I mentioned earlier, that we are in a multi -tie situation in each one of our part nerships. And so , it will be dynamic. There will be, to some extent, multipronged conversations that the partners will be having.

And perhaps also having some conversations with regulators to understand what is happening and so on. So , this will take a quarter in my view to settle down. In terms of your question that when can they come back? See, again, this is dynamic. It is not signed and sealed, but I think we'll have to see whether a very good outcome, like some of our partners are ta lking about to say that whe rever we w ill do a commission clawback, they are saying that they will strengthen their persistency in such a way that the amount that we claw back will significantly reduce, which is a g ood focus to have . Some of these good practices might also come through. We'll have to wait and watch, and that's really a good alignment between the customer, the distributor and the manufacturer.

If that were to happen and persistency goes up, then I think there is a win - win. And if that happens, then we can share more economics w ith partner s as well and vice versa. So , give us some time. I think a quarter or so will be

required for it to settle down.
Second answer is, we h aven't repriced anything due to these regulations. In
the normal course of repricing because of interest rate movements, that keeps
happening.
Shreya Shivani : Okay. So there has been no repricing since whenever the last was done,
nothing in 1Q, nothing in 2Q in spite of the new surrender value regulations
getting launched?
Niraj Shah: No. So , in fact, we were tal king in other direction in the last few minutes
there. In fact, there was some repricing th at was required to be done, but we
had delayed it because of compliance with the product

regulations. So , there's

no intention to have downwards repricing on account of the chang e in
regulations.
Moderator: Thank you. Next question comes from the line of Sanketh Godha with
Avendus Spark.
Sanketh Godha : Thank you for the opportunity. The way I understood is that you did not
reprice products based on su rrender chargers and you are not changing as of
now any commission structure. So, if I add back the 30 -40 bps what you
made in 1H margin. You are at 25 %, so be cause o f no commission clawback
to a large extent and no repricing, there is a 100 -basis point im pact in the
margin until you renegotiate the commission structure assuming product mix
remains the same. That's the right understanding, right?
Vibha Padalkar: Yes. S o, we had said that 100 basis points impact if we did nothing. But
obviously, we're not go ing to be doing nothing.
Sanketh Godha : But you said you will take 1 quarter to renegotiate and redo everything. So ,
for a quarter, you will operate at 100 bas is poin ts lower margin compared to
where you usually would like to operate ?
Vibha Padalkar: No. T hat's not the outcome.
Vineet Arora : This is Vineet here. Like Vibha also mentioned , we have alre ady don e
commercial negotiations with most of our partners , some of them are still
underway. Some stability will arise because it's an open architecture and
multi-tie arrangement , so some stability will come through with time . But let
me say that majority of our bus iness, effective 1st October is on revised
commercials.
Sanketh Godha : Okay. Got it. And the second question is - in the first quarter results, you said
that we intend to raise 20 billion or INR 2,000 crores of sub -debt. We
stopped at INR10 billion. And so just wanted to understand what is the rate at
which this was raised and where have we parked it? So is there a likely
negative impact on the margin s because of the INR1,000 crores sub -debt
going ahead?

And lastly, in ULIP, you said that your intention is slowing down the
business or putting a cap on contribution. So that higher sum assured strategy
still might be a le ver available to grow if the ULIP demand is still there? Or
do you think that story has already ma xed out and therefore it is better to
control the contribution of ULIP overall on the business?
Vibha Padalkar : On your first point, yes, we raise d INR 1,000 crores, the rate is 8.05%. And
the solvency that we have got to now is 192%. As regards to UL, I think
you're referring to higher sum assured in UL. For certain segments of
population that is still an attra ctive proposition. The UL product itself is also
currently the flavo ur of the seas on. So , it's a combination of two propositions
in one.
And so whatever the customer wants, as long as it delivers value for us in
terms of VNB, we are happy to sell that. And so , we also have that in our
arsenal.
Niraj Shah : Sanketh, to your pointed questio n, it's not maxed out. There is still some
potential, and we are going to be exploring that in the seco nd half of the year
and going forward as well, not just in terms of higher sum assured, but also
rider attachment. So , there is a significant scope in im proving that as we go

forward.
Sanketh Godha : Got it. And Niraj, this 8.05% negative carry on the VNB m argin , would be how much?
Niraj Shah : Not material. In fact, given that this money will be entirely invested , we'll try and limit negative carry to maybe 30-40 basis points. So not a very significant imp act on the VNB. On INR 1,000 crores, it's not a meaningful number, as you can appreciate .
Mode rator : Thank you. Next question comes from the line of Prakhar Sharma with Jefferies.
Prakhar S harma : Hi, thank you. So actually, sorry to keep delving on the

margin thing, but given so many factors involved , I just wanted to ask you that this quarter, as you mentioned in the last 15-20 odd days, you were selling as per the new product norms and the re was a 600 basis point impact on margin. Would it be

like in the next qua rter, if the whole three months actually goes in any sort of a fix, do you think the impact on margins in the third quarter will be basically a multiplier effect of the 100 bps give n that the period gets longer? Or how should we expect it to pan out?
Vibha Padalkar : First of all, in quarter two , the 100 basis points was not an impact. The 100 basis points is future impact due to surrender charges. The 70 bas is points impact was due t o the re -pricing. Now how are we looking at the margins going forward? Again, just to repeat , wha t we're looking at is overall growth so that full year growth ends in the range of 18% to 20%.
VNB growth range of 15% to 17% and then the resultant will be th e margin. At the same time, they will be fairly range -bound. But whether it will be 50 basis poin ts, 100 basis points here and there, that will be an outcome.
Niraj Shah : So, on a base case, H2 margins a re likely to be slightly higher than H1 margins given everything else being equal, but it really depends in terms of how some of these things evolve. We've already discussed in terms of the surrender value implementation as well as the produ ct mix. But on an H2 basis, that's what we can expect. We'll wait an d see where that finally lands, and we'll obviously try and solve for the VNB growth number.
Vibha Padalkar : And also , just to add over there, we have put out an impact of surrender charge s of 100 basis points. And we do believe that some of the pricing aggression that we saw in some of the value -accretive segments like annuity and protection , Some of that we think should taper off a little bit and thereby hopefully putting us on an equitable footing to be able to compete and get market share in those segme nts. So , we are reasonably optimistic on that.
Prakhar Sharma : Understood. So just to reconfirm from the IRDA gave an extension of about three months. So , the way it will apply is that, the manufacturer , - HDFC Life, will have to be compliant on 1st Octobe r or is it three months later? And second, when you hav e the partner arrangement, can they continue to remain fluid or there is a sunset clause to make those adjustments also ?
Niraj Shah : So Prakhar, just to be clear , all products that are allowed to be so ld after October 1 have to be compliant. The re is no dispensation on that. The three -

month period is to launch products which are not yet compliant as on October 1. Three more months have been given by the regulator to make your other products, which were not compliant by October 1 , compliant, if yo u want to sell them or you may choose to withdraw them.
Vibha Padalkar : So, they need to be compliant with system and clauses . But if it's not compliant, you won't be allowed to sell it after 1st of October. You won't be required to withdraw it, but you will not be allo wed to sell it. That's what we've got three months for.
Moderator: Thank you. Next question comes from the line of Mr. Nischint Chawathe with Kotak Institutional Equities.
Nischint Chawathe : Hi. Thanks for taking my question. You reported a fairly strong growth in non-par, in fact, much higher than ULIP. It's a little counterintuitive in t he current regime. And I remember you mentioned that you're not going to

engage in flash sales towards the end of t he quarter. So , I was just curious
what happened? Is there a specific variant or something that was espec ially
pushed in this quarter or is it something that the delay in re -pricing act

ually
helped in selling these products?
Vibha P adalkar: Yes. So, we had talked about the Click 2 Achieve , which is a blockbuster
product that amassed INR 100 crores in 16 days. So , this is the same product
that we had referred to in last quarter.
Niraj Shah : And Nischint, there's bee n no change in our prod uct mix through the quarter.
It has been in that zone anywhere between 37% -38% on non -par; in fact,
close to 40% non -par in quarter two. But right through the quarter, it's not
been any higher in September.
Nischint Chawathe : Sure. And just again, going ba ck to the sharing burden of surrender penalty
guidelines . Somewhere the smaller agents would pr obably be at some kind of
a risk because they may not have cash flows when commissions go down to
support their earnings. There is s ome risk of people at a margi n kind of
exiting the industry.
So, what is it that you are thinking to kind of support the sma ller agents and
kind of ensure that the industry continues to grow because there's always this

kind of a debate, right ? When you cut down commissions, some of th e
weaker agents tend to be weeded out of the market ?
Vineet Arora : Yes. So, I think t he way we have launched our structure is quite similar to
what we have seen in the market being launched by other players . It's also
tiered in a fashion that the agents wh o are with us for a longer period are able
to get a higher u pfront and the adjustment happened in the subsequent years.
Also, the agents who have better persistency are the ones who will benefit
more. So clearly, there is a move towards getting more qualit y business. As
far as smaller agents are concerned or new ag ents are concerned, yes, we start
with a smaller upfront. But as they improve on the quality and as they
improve on their book with us , they start to move to the higher slabs.
So, it's a matter of building the book and staying with us and then they start t o
move in for the higher slabs. So how this impacts the entire distribution and
acquisition of agents? I think still insurance is a ve ry favo urable piece. Even
after this kind of adjustment on the upfront, we would still stand out in the
market as compared to other financial instruments.
And we don't believe it should have a substantial impact, but we'll observe it
over the next few mont hs.
Nischint Chawathe : And would you sort of envisage or think that we kind of move to a near -full
trail model on commissions?
Niraj Shah : So, we have all kind of structures available. There are certain agents who
prefer certain models , and there are certain agents who prefer slightly more
upfront depending on their disposition and where they come from. And I
think as the agents become stronger and build more and more book for
themselves, they also then like to move to a trail model so that they c an even
out their commission and maybe earn slightly higher overall.
But agents who are new , do prefer higher upfront.
Moderator: Next question comes from the line of Dipanjan Ghosh with Citi.

Dipanjan Ghosh : Just a few questions. First, the agency growth has been quite robust over the
last few quarters, especially this quar ter. And we have been adding agents
also at a very sharp speed. I just want to understand in terms of the agency
growth, if you can kind of split it or give some colo ur on the quality of
growth between the new agents versus the existing agents or any sort of
numbers on the acquisition ratios , if they have changed?
And lastly, whether you're adding more agents in the Tier 2 markets or the
growth from the agency making more in Tier 2 markets? Because your term
growth in the agency channel has also been quite strong. Some colo ur on the
overall agency cohorts. And the second question is more o

f an extension from
the previous participant's ques tion, which is on the non -par segment. Just
wanted to get some color on the ticket size breakup and growth across
differen t ticket sizes in your non -par category, what is driving that?
And just one data-keeping question on the HDFC Bank channel, what is y our
growth for the second quarter? If you can kind of spell that out?

Vineet Arora : Sure. First, I will address the entire agent piece. So , our agent growth and the business mix is actually quite robust and spread geographically. We would have got n early 70% of our business coming from Tier 2 and Tier 3. And the expansion of agent and branches that we undertook about , about 1 .5 years back is also starting to now give us results.

And we are continuing with our expansion on agency and we're adding more branches as well. You have seen the number of agents that we are addin g. So obviously, this entire focus is what is helping us g o deeper in the market and get better quality business from these agents. Your other question wa s on HDFC Bank. 21% was the HDFC Bank quarter 2 growth.

Vibha Padalkar : And just to add here this is despite a very significant traction that we saw in Septembe r of last year.

Niraj Shah: Yes. Last year , August, Se ptember was a high base.

Dipanjan Ghosh : And the question on non -par across ticket si zes, if you can give some color on that?

Niraj Shah : All our savings products are fairly tight in that 100,000 -110,00 0 kind of a range. In fact, non -par and unit -linked are very close to each other about 115,000 -120,000 also in certain pockets and participating is maybe in the 90,000 range. So overall, ticket size is about 100,000 on the savings products.

Dipanjan Ghosh : But the growth will be similar across th ese cohorts when I look at 2Q or 1H?

Niraj Shah : Within non -par, you mean?

Dipanjan Ghosh : What you mentioned is the ave rage or the median t icket size, b ut if I look at the higher end of the spectrum versus the low er ticket size segment should the growth be si milar, let's say, in more than INR4 lakhs -INR5 lakhs segment ?

Niraj Shah : Yes. So , on a low base which got impacted after the budg et, the growth is fairly robust across all ticket size s within non -par, even at higher ticket sizes . So, the growth that you see in the non -par mix which is upwards of about 70% plus is reasonably uniform across ticket size.

Moderator: Next question comes from the line of Rishi Jhunjhunwala with IIFL Institutional Equities.

Rishi Jhu njhunwala: Than k you for the opportunity. Just one question , you mentioned about not changing much on the repricing of the products post the surrender value changes from 1st October. Given that we are 15 days into the quarter, just wanted to understand how your compet ition has reacted during the same period in terms of repricing of products? And in case there has been lower repricing done, do you see that as an opportunity to gain market share in multi -insurer distribution channels?

Vibha Padalkar : While Niraj will ans wer specifics on any repricing, this is the point I made earlier too, that you can see some of this aggression on pricing in these cases where y ou're hardly retaining any spr ead or having very aggressive pricing , maybe 40% cheaper on term or ev en annuity rates . We do believe that for some of it , the source was perhaps surrender charges.

So, with calibration in surrender charges, some of that aggression is bound to go down. Everything possibly might not be passed on to the partners and it

will h ave to be s hared between the three different constituents in this. So yes, I do believe that some of this over the next quarter will hopefully move to more calibrated pricing.

Niraj Shah:

We had some instances of repricing across non -par savings products as well as annuity products downward. And to be fair, it could be a combin ation of responding to the surrender guidelines as well as interest rate changes. So , I think hard for us to say, but we have observed definitely downward repricing

on some of these segments.
Moderator: Next question comes from the line of Aditi Joshi with JP Morgan.
Aditi Joshi : The first one is on the participating product, the categ ory growth has been particularly weak a nd when I talk to some of your pee rs, they have been saying t hat they would like to grow this particular category. So , I just wanted to understand like what are you thinking about this particular product going forward?
And the second one is, can you just help explain the g rowth differential between the Tier 2, Tier 3 and the Tier 1? And just particularly in the context of Tier 2 and Tier 3, I just wanted to understand that even in terms of the ULIP product is it again like a popular product in Tier 2, Tier 3 because somewhat the Tier 2 -Tier 3 are less risk averse? So , I just wanted to understand that if the ULIP continues to be popular in those cities as well.
Vibha Padalkar : On par, we have been known as a par company forever. And so , we are fairly enthused about par products, especially to certain customer profiles , in certain geographies , in certain channels and so on. It's just that rig ht now what we are going through is a fairly polarized buying behavior and preferences.
One is like we have talked a lot on this call on the popularity of unit-linked in line with equity marke ts and the other is in terms of guaranteed produc ts. Par lies somew here in between and actually can give a fairly good upside because the equity component backing up our product is significantly more than a non-par product for us , where it's nearly zero.

So, we do believe that over a period of time this should bounce back and hopefully with certain product launches we will be able to revitalize that segment, hopefully in H2, we will see a little bit of traction.
Niraj Shah: Yes. So , the growth h as been fairly ev en across Tier 1, 2 and 3 for us in this period close to 30% -31% across Tier 1 as well as Tier 2 & Tier 3. It's just that the base on which this growth has come is different. As you can appr eciate last year Tier 1, we had a fairly challeng ing period post the budget. So , the base on that was favorable and there was a 30% plus growth in Tier 1 markets.
Tier 2 and 3 grew fairly well last year as well, if you recollect, both in terms of vo lume as well as ticket size. That growth journey c ontinu es in this period as we continue to expand our distribution and product portfolio. So even on a higher base , Tier 2, Tier 3 growth has been fairly robust , very close to company average in this period. And in terms of unit -linked products, I think contrary to what we may think given the aspiration to get the upside and participation in the equity markets, it's b een fairly uniform across tiers.
We don't see very meaningful difference in demand for unit -linked products across different tiers. We, of course, ex ercise caution in terms of our engagement with customers depending on their profile, but the demand is fairly secular , whichever geography you look at, given the external environment.
And j ust to add one more aspect to what Vibha mention ed on par, very lin ked to this whole environment where right now moderation is something which people are kind of giving a pass right now. It's either the upside from equity or the long -term guarantee o f non -par which is attracting customers at this point in time. So as the environment normalizes we would expect par to come back fairly strongly as well.
Moderator: Next question comes from the line of Roshan Chutke

y with ICICI Prudential
Mutual Funds.
Roshan Chutkey: Firstly, I want to congratulate you for laying out this 17% -18% sort of guidance for VNB growth , very commendable that is. But I want to

understand here, how sustainable is this 17% -18% growth say in the face of falling market conditions, when ULIP probably not do very well for us, so is that sustainable?

Question two is essentially I want to understand where this 100 bps impact on
margins came from for this quarter which was 30 bps to 40 bps for the 1H
that you referred to? That was not clear to me. These are my two questions .
Vibha Padalkar : Yes, we should be abl e to deliver, we have said 15% to 17% VNB growth the
year after, not really knowing what the environment is goin g to be, the macro
environment, b ut over the past several years that's through business cy cles,
that's the kind of growth we have managed to del iver. And given our
balanced product mix and product innovation , hopefully credit life also
comes back like I explained previously. So , I think that we have many levers
for us to c ontinue with this growth trajectory as far as VNB is con cerned,
without rema ining tethered to a particular NBM.
Niraj Shah : So, to just reiterate our conversations on the margin movement. Firstly, from
last year to this year, largely it is product mix, higher unit -linked , lower
annuity and some aspect of repricing. If you were to just look at for the
quarter versus last year, it's primarily repricing lag because all the repricing
lag happened towards the end of this quarter and that's broadly where it is.
So, it's for the period, it's a combination of higher unit -linked, lower ann uity
and some repricing. For the quarter, it is pretty much lag in repricing.
Roshan Chutkey : What do you mean by repricing of the products? I mean, did we kind of miss
out on repricing based on interest rate movements?
Niraj Shah : Not missed out. We basic ally took a call that we had these 3 months since the
notification of the new regulation came in, we had this period to make most
of our products available on October 1. That require d us to make a lot of
changes across all products. And one of the changes that would have got
done was on repricing. For us, the priority was to ensure that 90% of products
were available for business on October 1. That's what we did prioritize .
There would have been maybe some repricing that we would have ideally
liked to do m aybe towards end of August, that got done towards end of

September. So that is something that caused this kind of gap as far as
repricing of non -participating and annuity products is concerned.
Roshan Chutkey : So that was to the extent of 100 bps because o f this one month delay?
Niraj Shah : Yes, you could say that, a few weeks. In fact, just maybe 3 to 4 weeks of
delay, yes.
Roshan Chutkey : And how much is the impact on VNB margin this quarter because of credit
life products?
Niraj Shah : So just to complete the earlier point, non -par is about 38% -40% of the mix.
That's the reason why the impact is fairl y meaningful. Annuity is also a fairly
meaningful part of the business at close to 5 % odd, so where close to 50% of
the business, there was some elements or some products in which the
repricing had a lag. That's the reason why the impact is what it is.
Credit lif e, is a profitable segment. Vineet did speak about some segments in
which there was a slowdown and the competitive intensity because of which
we woul d have probably ste pped back a bit. Yes, that would have added to
some extent to this is sue, but primarily driven by repricing.
Moderator: Next question comes from the line of Prithvish Uppal with Elara Securities .
Prithvish Uppal : Just wa nted to understand where you see the bu

siness mix moving in the
second half given that we have some pricing competition intensity in annuity
and Credit Protect and we want to be a little more calibrated around the ULIP
segment. So , which products do you se e driving the gro wth for us in the
second half?
And particularly around non -par as well, given the uncertainties that are there
with distribution , what is the outlook for how you see this particular segm ent
performing as well? And basis this, if you look at your full year guidance , the
margin for the second half works out be between a 26% -27% kind of range.
So what products do you think would essentially drive that?
Vibha Padalkar : Yes. So , on non -par that you mentioned, I just t hought I'll pick that up. I n the
first half of the year, we've grown upwards of 70 % plus. The growth has been

good in non -par. To your question on what sort of a mix that you'll see? I t will be fairly similar. Unit-linked is a shade above 35% and no n-par savings is just shy of 40%. Term and annu ity together are about 11%, 12%.
We would like to see an uptick like we discussed with the previous caller on par. Par going up to about 1/5th of our business would be a good outcome in H2, and that's the endeavour. Hopefully, we'll also have some interesting offerings in H2 on par to be able to revise interest and some other interventions also.
We've reasonably been fairly steady, ex cept for unit -linked uptick that you see in H1, that we think those e levated levels, while range -bound will continue to be there. So that's as far as the retail product mix is concerned, Credit life should get slightly better than where we were in H1. But we will have to see to what extent, like I mentioned, recalibration in terms of sensible pricing on credit lif e as well as annuities come through , now that there is pressure on the system due to the new surrender charge regime.
We believe there will be some level of restraint in terms of the aggression . And that's where I think we should benefit to some extent in both what you mentioned, credit life and in annuity.
Prithvish Uppal : And just continuing on one of the questions fr om an earlier caller, which is as peers and competition looks at revising the IRRs downwards, because the spreads compared to what we were offering was significantly higher for some of the smaller and mid -sized compan ies. So as these spr eads narrow and given with interest rate movement , repricing should come through. How are you looking at the segment from a competition perspective and in ter ms of how favorable you see the scenario can play out for HDFC Life?
Niraj Shah : So we started to see some calibration in terms of IRRs from some of the players on a few products, we believe we will see more of it as the quarter and the rest of the year pa ns out. And we do believe that the gap should start closing between now and the end of the year. But we'll have to wait and see. I think there'll be different approaches that companies may choose to follow.
We've been fairly consistent in terms of what we would like to do and the business that we've garnered in various product categories are with our

pricing and underwriting approach. So , I woul d believe if there is more convergence in that within the sector, it should benefit us.
Moderator : The last ques tion comes from the line of Supratim Datta with Ambit Capital .
Supra tim Datta : A lot of my questions have already been answered. Bu t I just wanted to get some sense on the margin s. Just wanted to understand how does return profile across the products differ ? We have a sense of how the margins across different products look like, how does the returns differ? How do you plan to balance margin versus returns across the product mix? And

could this ch ange
once we move to IFRS? Those are my 2 questions.
Niraj Shah : Sorry, Supratim, just to be clear, your question is in terms of margin versus return on capital?
Supratim Datta : Yes. Within the different products, we know that ULIP is lower margin. But how would the ROE profile o r return on capital profile across the products differ? And how does that play a role in your product selection or the balancing? And how would that change once you mo ve to IFRS?
Niraj Shah : So for us, I'll answer in short, not very different for per unit of capital in terms of value, it's not very different because when you look at a category like unit -linked where the required capital might be low, but the gap between the customer charges and the cost of acquisition at the point of sale is fairly high.
Even if we were to, let's say, move fro m VNB per unit of capital to return per unit of capital, we would proba bly make the same decisions from a business perspective. So that's the way we would like to t hink. As far as Ind AS or IFRS is concerned, the big change there will be in terms of the matching principle being followed more consistently between rev enue recognition and expenses over the course of th e policy.
So that should give a better vi ew of the accounting results as we go forward, but we'll have to wait and see once the regulation fin ally comes in or rather gets impleme nted.

Supratim Datta : Okay. And would that change the capital requirement across products ?

Niraj Shah : So that's more to do with risk -based capital, which IRDA may come up with over the next maybe 18 to 24 months. At tha t point in time, the capital requirement, which today is based on a certain fr amework that could change as we go forward. Directionally, we believe it will allow most players to write more business with the same amount of capital, but we will wait for some of these things to get completely clear in terms of how the regulator plans to implement this as we go forward.
Moderator: We have reached the end of question -and-answer session. I would now like to hand the conference over to Vibha Padalkar for closing c omments.
Vibha Padalkar : Thank you e veryone for joining today's call. Please feel to reach out to our IR team in case of any follow -on queries. Have a great evening and wish you all a very happy Diwa li. Good evening.
Moderator: On behalf of HDFC Life Insur ance, that concludes this conference.

Call: Apr 2025

April 25, 2025
Ref. No: HDFC Life/CA/2025- 26/11
Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra-Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai- 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 540777
Dear Sir/ Madam,
Sub: Transcript of earnings conference call for the year ended March 31, 2025
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Thursday, April 17, 2025, to discuss the financial performance of the Company for the year ended March 31, 2025.
The said transcript has been hosted on the Company’s website at https://www.hdfclife.com/aboutus/investor-relations .
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Narendra Gangan
General Counsel, Chief Compliance Officer &
Company Secretary

Vibha Padalkar: Good evening, everyone, and thank you for joining us for our Earnings Conference Call for the year ended March 31, 2025.
Our Results , along with the investor presentation, press release, and regulatory disclosures have been made available on our Website and the Stock Exchanges .
Joining me on this call are Niraj Shah – Executive Director and CFO ; Vineet Arora – Chief Business Officer , Distribution , Data and Technology ; Eshwari Murugan – our Appointed Actuary ; and Kunal Jain – Head , Investor Relations and Business Planning.
I am pleased to share that the Board of Directors at their meeting today have approved the appoin tment of Vineet as a Whole -Time Director effective May 1st, 2025 . I request you to join me in congratulating him in his expanded role as a fellow board member.
Section 1 on Macroeconomic Context:
India has continued to demonstrate resilience amid global vo latility, supported by steady domestic demand, improving rural sentiment, and a strong services sector. While near -term risks such as geopolitical tensions and tariff wars loom large, India's stable macroeconomic foundation offers a buffer. We remain watch ful of how these factors may influence household savings and overall demand for long -term financial products.
Recent GDP forecast suggests a moderation in growth for FY26 and increased turmoil in global trade flows, leading to potential uncertainty in the near term. While we do not see any immediate signs of a material slowdown in insurance demand, we remain watchful and will continue to evaluate developments as they unfold quarter -by-quarter. In this environment, softening interest rate cycle and volatile equity markets might lend support to traditional savings product offerings. Also, the revised tax thresholds announced in the union budget could provide a measured boost to both disc retionary consumption a nd long -term financial savings.
Moving on to Section 2 on Business Performance:
FY25 was a year where we deepened our reach, continued sharpening our value propositions, and demonstrated the resilience of our business model. Moreover , aligning with our stated aspirations, we have nearly doubled all key metrics between FY '21 and FY '25. As we step into our 25th year of operations, our focus remains clear to build a future -ready life insurer that grows sustainably, serves responsibly, an d innovates purposefully.
We are happy to report an 18% growth in individual APE for FY '25 in line with our stated growth aspirations for the year. This growth was broad -based, driven in equal measure by an increase of 9% in policies written and an increase of 9% in average ticket size.

The life insurance sector too demonstrated steady momentum during the year, outperforming several other segments within the Nifty 50, a reflection of its inherent resilience and growing role as a trusted pillar of lon g-term financial planning. Within this context and based on available 11-month industry data, we outperformed both t he private and overall sector. Our overall industry market share expanded by 70 basis points to 11.1% and by 30 basis points to 15.7% within the private sector. Notably, our policy count grew faster than the overall and private sector.
Almost three -fourths of our new customers onboarded in FY '25 as first -time buyers from HDFC Life, reflecting our expanding reach across tier one, two, and three markets. In total, we insured about 50 million lives in FY '25.
Moving on to the next Section 3 on “Product Mix”:
The composition of our individual APE was ULIPs at 39%, non -PAR savings at 32%, participating products at 19%, and term and annuities at 5% each. ULIP demand remains strong despite market volatility in quarter four, while participating products saw strong tr

action led by
the launch of Click 2 Achieve PAR. Non -PAR savings also posted robust growth of 25% for the year. We expect traditional p roducts to perform well in FY '26, aided by lower interest rates and equity market uncertainty.
Retail protection continued to show growth momentum with APE growth of 25%. Credit protect growth remained muted due to subdued disbursement trends, particularl y in the MFI space. Despite that, we retained our market leadership in this segment with a well -diversified partner base. The rider attachment rates improved further across retail and group products. Annuities grew faster than the industry in 11 M FY'25 and combined with protection, these segments contributed 41% of our total new business premium. Retail sum assured grew by 18% year -on-year and by 32% on a two year CAGR basis.
We continue to outpace the industry on this metric over a two -year horizon and ma intain our leadership in overall sum assured. We remain on the forefront of product innovation. With industry first launches like Click 2 Achieve PAR Advantage and San chay Aajeevan G uaranteed Advantage or SAGA in the pension space. SAGA combines dual guarantees, joint life benefits, liquidity options and tax advantages with a simplified issuance process. Retirement remains a core focus aligning with our brand promise of “Sar Utha Ke Jiyo ”. We see this segment as a long-term structural opportunity drive n by increasing life expectancy , changing socioeconomic dynamics and rising awareness around retirement planning.
We are committed to innovation while maintaining a disciplined approach to risk management. This includes appropriate product pricing, prude nt underwriting practices, and effective hedging mechanisms, all of which underpin our ability to deliver sustainable, customer -centric solutions across market cycles. This balanced approach has enabled us to navigate regulatory changes ,

macroeconomic vola tility and evolving customer expectations while continuing to grow faster than industry , also maintaining consistency and qu ality of business underwritten.
Moving on to Section 4 on Financial and Operating Metrics:
The value of new business for FY '25 stood at Rs. 3,962 crores reflecting a 13% growth. New business margins for the year were at 25.6% . We have successfully managed to contain the impact of the new surrender charge regulations as well as continued preference for unit-linked products.
Emb edded value rose to Rs. 55,423 crores with an operating return on embedded value of 16.7%. We raised Rs. 2,000 crores of sub -debt in two tranches during the year, thus improving solvency by 20%. We closed the year with a solvency ratio of 194%. Profit afte r tax rose by 15 % to Rs. 1,802 crores driven by strong growth in back book profits of 18%. The board has recommended a final dividend of Rs. 2.10 per share in line with our payout policy, aggregating to a payout of Rs. 452 crores.
We have consistently del ivered positive and range -bound operating variance over the past nine years, excluding the COVID year , thus underscoring prudent risk management, disciplined execution, and strong fundamentals.
Renewal collections grew by 13% year -on-year. Persistency met rics strengthened further with 13th and 61st month at 87% and 63% respectively. We saw a steady improvement in 13 -month persistency across customer cohorts and geographies despite the expansion of our footprint into newer segments and markets. 61st-month persistency rose by over 1,000 basis points aided by the positive impact of the long -term savings products that were intro duced around FY20.
Moving on to the next Section 5 on Distribution Highlights:
All channels registered double -digit growth.
Our counter -share within HDFC Bank has remained steady at about 65%. Our priority is to

enhance the profitability of HD

FC Bank channel through a multi -pronged approach,
encompassing product mix optimization, he ightened focus on cross -selling and up -selling initiatives, strategic leveraging of the bank's digital resources, and a commitment to superior customer service.
Our agency channel recorded a healthy growth of 15%. Term business with in agency channel regist ered an outstanding growth of over 50% versus last year. We also ranked #1 in the private sector in terms of total agent count as of February 2025, with close to 30,000 new agents added during the year. We continue to invest in building the agency franchis e, adding over 200

branches in the last 24 months, of which 117 branches were added in FY25 . Our pan India branch count now stands at over 650.
We successfully onboarded around 40 new partners during the year including prominent names such as Sundaram Fin ance, Aditya Birla Finance, Home First Finance, Northern Arc, Repco Home Finance, Mana ppuram, Mira e Asset Share khan, and Peerless amongst others. Our focus remains broad -basing our distribution footprint and finding newer and more efficient ways to reach and serve our customers.
Next, focusing on Customer Experience:
Our endeavor is to enhance customer experience through intuitive digital platforms with over 90% of service requests now handled via self -serve. Turnaround times have shown steady improv ement and key experience metrics such as customer satisfaction scores and first -time resolution have shown continued gains. We proactively refine our practices and processes, often going beyond regulatory expectations. This is to ensure transparency, ease, and trust. In parallel, we continue to strengthen right -selling practices through focused training and tools and processes so that customers receive solutions aligned to their needs.
To stay ahead on customer experience, we have invested in data analytic s and innovation labs to proactively identify early indicators across the value chain. Given the diversity of our customer segments, we remain focused on staying relevant across both physical and digital touch points. In line with this, we are undergoing a technology transformation aimed at building real - time seamless service capabilities, moving us cl oser to Insta service delivery.
Next on Project INSPIRE :
It is our technology transformation initiative and is progressing steadily with incremental tech assets being rolled out through the course of the year. While the coexistence of legacy and new systems might lead to a temporary rise in costs, this transition is designed to unlock meaningful efficiencies , elevate customer experience and strengthen our path forward towards long-term digital leadership.
Next on Subsidiaries:
HDFC Pension continues to maintain its market leadership position in the private pension fund management space with a market share of 43% and assets under management exceeding Rs. 1.15 lakh crore. Its consistent outperformance and rapid scale -up further re inforce our presence in the retirement solution space , a segment we believe holds long -term structural opportunity.
HDFC International also retained its strong credit rating with a 'BBB' insurer financial strength rating from S&P global ratings and a 'B++' rating from AM BEST.

Other Updates:
We were recognized as a "Great Place to Work" and amongst top 50 companies in India for building a culture of innovation.
On the Strategic Outlook :
As we enter our 25th year of existence, our aspiration remains against the backdrop of a stable regulatory regime to consistently outpace sector topline growth, deliver VNB growth in line with APE growth, and double key metrics every four to four and a half years.
FY'25 was characterized by front end delivery on topl ine and VNB with a 3

1% growth in topline
and a 17% growth in VNB in the first half, followed by a relatively softer second half. As we step into FY '26, this base effect is likely to result in a moderate first half with growth momentum expected to pick up i n the second half, leading to a more balanced full year outcome. While the evolving product mix might be margin -accretive, we remain focused on investing in distribution and technology with a three to four year perspective to strengthen long -term capabilit ies. This strategic choice might result in margins to remain range -bound in the short term , but we believe

it positions us well for sustainable qual ity growth.
To Sum Up:
As with any evolving industry in the BFSI space, regulatory change is an inherent fea ture and we believe that disciplined strategy, ability to reimagine business models coupled with execution strength enable us to adapt and emerge stronger. Our track record of navigating a dynamic regulatory and macroeconomic environment reflects our insti tutional resilience and agility.
Looking forward, we expect to operate in a more stable policy regime, offering greater clarity for long -term planning and sustainable growth.
Behind our numbers lie the focused efforts of over 37,000 employees, 2.4 lakh fi nancial consultants and thousands of partner staff, all united by a shared mission to provide financial protection to every Indian household. We remain confident in our ability to deliver consistent, high-quality growth as we continue to build for the long term.
For a detailed overview of our results, please refer to our investor presentation. We are now open to an y questions from participants.
Moderator: We will take our first question from the line of Avinash Singh from Emkay Global.
Avinash Singh: Hi. Good evening. A couple of questions. First one is more of a data question. In the EV walk, if you can just provide the breakup further of operating assumptions and variances between the two and within that, key category like the expenses, persistency, an d mortality. So that will be

the first.
The second one is more on the growth side. Of course, needless to say that you have ended this year well, particularly on the retail side. In the past, if I look at the medium term, typically, the industry and even you have grown on the back of some white space in the product or distribution field, whether it is retail protection at some point, Sanchay Plus, or banca getting opened up or some kind of external event. Now, in this backdrop, at this point, we see particularly the white space in the product and distribution space is almost absent, at least. And we cannot bank on kind of externalities. In this backdrop, what kind of growth do you see on the retail side, particularly the next year? And what channel or product you see that, okay that could be more supportive of that growth. So that 's the second question. And thirdly, if at all any discussion around industry, around any sort of regulation, cap, anything coming on the bank as well as partners? Thanks.
Eshwari Murugan : On impact of operating variance and assumption chang e. Most of the operating variance is coming from persistency and expense, mortality is close to zero and we have a small non material impact of the assumption changes based on the review of the experience during the year.
Avinash Singh: So variances and assumption changes both a re positive?
Eshwari Murugan : Yes. Both are positive.
Niraj Shah: Yes, Avinash, in terms of the questions in terms of what is likely to support growth, what happened in this quarter and what's likely to happen going forward as well. We have seen a few shifts. Unit linked has continued to be elevated, but we continue to attach more levels of protection to that. That is absolutely helping. Also, the persistency levels hav

e become stronger
in unit linked in this period. Participating products have done extremely well in this quarter, has grown upwards of 40% odd in this period. We have spoken about a new product launch in the previo us quarter that started to take off in this quarter. And on a run rate basis, the product mix on participating products has moved to early to mid -20s. We expect some of that to continue in FY26 as we continue to see more and more volatility in the equity e nvironment. We can see some sort of moderation on unit link ed products in the next 12 months. We will wait and see. But we do expect that on a base case . As far as non -PAR products are concerned, that's been fairly steady in the early 30s. That continues t o be the case as we speak, and we expect that to continue going forward as well as the interest rate environment becomes more conducive. While that's not been the issue for us in the past across various interest rate environments, the non -PAR mix has been in the early to mid -30s. So a conducive rate environment will definitely help generate more demand in this segment. So we do expect that to pan out in th is manner in the next 12 months. Protection, grown at about 25% in the last couple of years. We ex pect that to continue growing faster than the overall company growth next year as well. So that's broadly our thought process in terms of how products would support growth as we go forward. New launches from time to time have helped us in this year and we expect that journey to continue next year as well.

Avinash Singh: Is there confidence of maintaining the current growth level s of FY25 in retail for FY26?

Vibha Padalkar: See, time and again, we are asked this question, but time and again, we have demonstr ated that every year we do grow faster. And this year also, whether it is for the year, in the sense, the 11 -month data, or if you look at the quarter, in fact, for the quarter we did exceptionally well, wherein both in terms of our overall industry, marke t share and in the private space was even higher than what it was for the 11 months. So growing faster than the sector, is something that has become p art and parcel .

And, I just want to take your point about white spaces. In fact, if you look at slide 18 of our presentation, we have all the product innovations . Sanchay Plus was ahead of its time and also because possibly acceptance and understanding of the product took a fair bit of time. Now, whatever products we launch, usually, there is shorter lead time to market . Also due to some of the use and file regulations, especially on unit linked and term, our window of being a market leader in that particular product segments has reduced since there is much shorter adoption windo w. But are we innovating in the white spaces that you talked about ? Absolu tely, and if I were to take Sanch ay Aajeevan, the SAGA product, there is no other product that exists today to best of my knowledge in that avatar and just in case you're not very familiar with that product, what that product gives you is an accumulation vehicl e, under a pension umbrella, but also gives you a floor on annuity and a fairly attractive floor today of what mig ht be several years hence. Plus, we give you the option to exit and go and buy someone else's annuity if you want to. So it gives you the comfort, but not the obligation to do it. That is certainly a white space. And we have many more such innovations in the pipeline.

On your point on regulations, I just want to menti on a couple of things. On mis -selling, we keep talking with both our regulator and the government. It is topical. But if I were to look at banca mis-sale, it is not any worse than or it's actually a shade better than some of the other channels, even at an industry level. But at the same time, we respect the sentiment that co

mes through and there are many things that we have operationalized. For example, at HDFC Bank, in the first year of co mplaint for vulnerable segments such as where an annual income is fairly low, say 5 lakh and below annual income or senior citizens is involved , we would just handle those complaints very differently. And that's clearly beginning to show and yield signific ant rewards. And many other things to make insurance sale a lot more holistic at the bank and us having an extra pair of eyes even within the organization to look at complaints. Second part is on caps on bancassurance . The understanding we are getting is t hat banc assurance is an extremely important channel to get to the objective of insurance for all by 2047. In fact, if we see the IRDA I annual report, penetration levels have actually gone down rather than increasing. So ban cassurance having at least betwee n 6x to 10 x more branches than the sector, it'll be a shame to let go of those touch points. So throwing the baby out with the bathwater, what we understand is not the intention of the government. And as long as we pay attention to things like claim settle ment, complaints resolution, and so on, I think it is very much an important channel. At the same time, we will continue to grow our other channels also.

Moderator: We will take the next question from the line of Madhukar Lad ha from Nuvama Wealth.

Madhukar Ladha: Hi, good evening. I had a question on individual protection. If barring some rounding off, there seems to be some slowdown in individual protection in Q4. So can you help understand what's going on over there? And also QoQ, I don't see any big shift in a product mix , but margins have improved considerably. So is that largely to do with fixed cost absorption? And again, coming back to the growth question, given the last few years have been good and last year was obviously also supported by good growth in ULIP. But incrementally with markets being choppy, short -term rates still being a little bit on the higher side, that may prevent non -PAR from actually picking u p considerably. So in that context, how should we think about individual AP E growth ? And finally, how is the com petitive intensity playing out given the new surrender valu e regulations are now in place?

Niraj Shah : First on retail protection, For the year it's grown at 25 %. It had similar growth last year as well. So it's been fairly steady, both in terms of volume as well as value.

Yes, so Q4 also grew at 19%, which is fairly healthy. We don't really see any change in trend there really. 19% is a fairly healthy growth in the overall context of how we are operating. And that is something that we expect going forward as well to continue to grow faster than the overall company growth. That's on protection, no change in trends that we see. In fact, a c ouple of new product launches have actually helped get us to more customer segments. Some of them are at the higher age , some of them are self -employe d and some of them are at higher sum assured levels as well. So, these product launches is something that will help sustain growth and momentum in that overall protection segment as well.

To your question on margins, while overall walk for the year is there in the investor deck, your specific question is on the quarter. So basically a couple of things have ha ppened there. One is there is a negative of the surrender value regulations. That is we had spoken about it last time as well. That's a negative 30 basis points. The 40 basis points expansion is largely on account of inherent product margins that have impr oved from same time last year to this period. We had spoken about lag in repricing and we managed to basically do two -three things. We managed to increase the level of protection in the unit linked products , persistency levels have i

mproved and
longer -term products are being sold. As a consequence of that, inherent product margins have improved in this period. So that's really the reason for expansion in Y -o-Y margins for the quarter from 26.1 % to 26.5 %.
Your other questions in terms of the markets being c hoppy for non -PAR again, we did have this question from Avinash as well. So if you look at a non -PAR mix for the last four to five years, ever since we launched this category six years back, after the first couple of quarters in which the mix was elevated, it has been in the early to mid-30s for the last four and half years, if I can recall. And we have seen various interest rate environments in that period . Flattish environment for a fair bit of time that continues as we speak. It's probably likel y to be different in the next 12

months, given the commentary from the RBI in terms of initiatives for rate cuts to support growth. So that will only be conducive for the non -PAR product segment, as I mentioned. Even in the current flat tish environment, we managed to maintain non -PAR at 30% plus. So we don't expect anything differently on that if at all it will only aid further demand for this product as we go forward.
Last question on the surrender value. Have you seen any change in competitive intensity? We have seen a mix of behavior across the sector. I mean large listed players have continued to be fairly calibrated. We haven't seen any change from them pre or post surrender value regulations. Among st the large unlisted players we have seen different k ind of approaches. Some levels of aggression continues. Some folks have moderated that, given their focus on profitability. So we will see how that will develop , but that's more to do with overall objectives, we believe, rather than a response to surrender value changes. I think we have spoken about sharing the burden with the distribution , we have done that. We have taken a hit of 30 basis points . We have obviously adjusted some of our distribution commercials to support the rest of the burden. Customer pr oposition has remained largely unchanged for us. We have seen some adjustment in customer proposition in some parts of the industry, depending on wh ich player we are talking about.
Vibha Padalkar: And one small data point, Madhukar, is on your first question on individual protection in Q4. If I were to look at quarter -on-quarter, sequentially it has grown by 26 %. So it's more a factor of what happened last year but sequentially it has grown very ha ndsomely.
Moderator: We will take our next question from the line of Nidhesh Jain from Investec.
Nidhesh Jain: First question is on the investments that you spoke abo ut, highlighting that despite product mix shift towards higher margin product next year, you expect margins to be range bound. So can you quantify the investments that you are likely to make next year in terms of let's say a percentage of AP E and in which area we are making these investments ?
Vibha Padalkar: I will give you the areas . Key focus areas are – one is our agency channel, both tied and variable. This would be a combination of branches, training, people, the right hierarchy, right pay scales based on nuance s of geograp hies, technology to enable both our employees in the agency channel and our agents to win and so on. So it's an entire gamut. We are in the process of reimagining our agency channel. So that's one space.
Technology, we talked ab out project INSPIRE and all that we want to do. And as you know, there will always be once you're down a big transformation project, there will always be further ask from business, or how do we embed AI at this stage itself into many parts of what we do. S o that will also require some additional funds to be allocated.

Vineet Arora: So largely in terms of expanding our distribution, improving our quality of people on the ground especially in agency channels, and investments in technology, which gives us the edge over rest of the market in long-term sustainable business .
Nidhesh Jain: Any quantification possible as proportion of APE or any range broad range?
Vibha Padalkar: See Nid hesh, what we saying is that we will be range bound on margins. Anything over and above that, we will invest into business. If unfortunately we don't get that much of an upsid e, because say hypothetically unit link ed continues to remain elevated, then we will gun towards keeping it range bound. If we are helped by a mo re favorable product mix versus some of the

other competing products, non -PAR products start looking attractive because of an interest rate comparison, then we will be likely to get that uplift, which we will just keep ploughing back into these two, broadl y these two buckets. So it will be fairly dynamic and an iterative process.
Nidhesh Jain: Sure, understand and just two data keeping question s. One is if you can share of HDFC Bank in overall AP E and retail protection ticket size for F Y25?
Niraj Shah : Retail protection ticket size is about INR 40,000.
Vineet Arora: HDFC Bank in our APE will be about 4 7%
Vibha Padalkar: But that's on AP E basis, on an NBP basis , it's about 40%.
Vineet Arora: Yes. It's 40% on a n individual premium basis.
Moderator: We will take our next question from the line of Dhaval from DSP. Please go ahead.
Dhaval: Hi. Thanks for the opportunity. Just one clarification to a comment in the opening remarks around medium term growth. So we mentioned that AP E growth and V NB growth to be about double in four and a half years, which implies about 16.5% -17% kind of growth. I was just thinking through are there enough buffers in the business to navigate assuming there are some you know regulatory changes or I mean how do you t hink about this growth estimate , any color around that and similarly on margin at the end of the fourth year , I understand that near term there will be some investments , but at the end of the fourth year just directionally how do you think about margins an y comment around that would be useful ?
Vibha Padalkar: So Dhaval, if you look at slide 4 of our investor presentation, if you look at individual APE on the top left -hand side , you see that over cohort of 4 years, in period FY21 to FY25, we have closed to double, 1.9 x. Similarly, FY17 to 21, we have closed to double. Renewal premium has doubled, annuity has doubled, protection has more than doubled at 2.3 x, AUM has close to doubled, our embedded value has more than doubled. We have fast forwarded it to FY25 numbers. So over a cohort of 4 years or 4-4.5 years, we remain committed to chasing that

number. You said 16 %, 17%? Yes, absolutely. But if you ask me this quarter, next quarter, or immediate when there's global volatility, we will still grow fa ster than the sector, no doubt about it, but it's difficult to pin a number amidst that much of volatility. But definitely over cohorts of four years, yes. And same thing for margins as well. Over a four -year period, all things being equal on the regulator y outlook, margin should start moving a little bit upward. And once our investments are made to the extent that we want to, our tech transformation is out of the way, then yes, it should slightly move up.
Moderator: We will take our next question from the line of the Dipanjan Ghosh from Citi.
Dipanjan Ghosh: Hi, good evening. So, Vibha , in your opening commentary, you mentioned about product optimization at HDFC Bank. So, if you can elaborate on that in terms of what are the strategies around that and while your counter -share has remained constant, are you seeing any VNB

accretion at the bank or you expect to see going ahead? Second question is your agency growth has been quite strong for the past few quarters, especially fourth quarter. So how should o ne think of that broken up between productivity improvement and how much of it is led by the new agents which have been added let us say in the last 12 to 24 months? And lastly on the persistency side, your ULIP persistency in the early buckets have improv ed gradually over the past few quarters and years ? So I just wanted to understand in terms of what are the levers that are really driving this ?
Vineet Arora : In the HDFC Bank product mix, the initiative that we are taking now and we have started doing that since the last few months is to improve our mix of ULIP and some of the initiatives that we mentioned earlier about adding more sum assured into ULIP, more protection into ULIP or going for more longer term ULIP products are the initiatives that we have b een taking. So that even if our ULIP remains at a slightly elevated level , we could still make it more profitable. I think those are few changes and a few more are going to be taken into the next year as we go along by adding more rider s and protection. Th at is something that we expect will help us improve the margins in the HDFC Bank channel.
Coming to the agency channel, the growth has been largely from the sustained agents and efficiencies. The expansion to new branches and the new FLS and the new agents that we would have got from these branches , would have given us about 5% of this business. There is a segment of BAU agents getting hired in the existing branches and that is something that we have been doing . I am not considering that as inorganic , but the inorganic portion would be about 5% of the business .
Vibha Padalkar: On the last question on persistency on unit linked, we have done a lot of things, big and small on that . Right from early warning indicators wherein we believe this is likely to result in poorer persistency, we will probably probe further right at the beginning when underwriting that policy and then taking it onto our books, as well as ensure that SI/ECS mandates are enabled and de - tagging does not happen. There is an extra hand holding to explain to the customer, especially

when there is a fair bit of volatility and there is an intention to surrender . Also keeping a watch when a customer possibly asks repeatedly for what their fund value is and so on . Use of data analytics has also helped us to ascertain propensity to surrender and likelihood . I think that is where we have taken some tough calls , where a particular profile of the customer is not suitable for unit linked product and especially amidst a ve ry volatile environment.
Niraj Shah: So, we will continue these efforts and continue to monitor , Vibha spoke about softening market, the surrenders are actually lower in such markets . And typically we do see in an environment where the markets are doing ex tremely well, we do see some higher levels of surrender. So that is something that we do track on a regular basis . Stepping into the next 12 -odd months, given the equity volatility and the elevated ULIPs that we have written in the past 12 months to 18 months, we will definitely keep a very close eye on customer behavior in terms of how they respond to the volatile equity environment. But some of the building blocks, Vineet and Vibha spoke about, we will obviously continue to work on this.
Moderator: We wil l take our next question from the line of Shreya Shivani from CLSA.
Shreya Shivani: Hi. Thank you for the opportunity and congratulations on a good set of numbers. I have just one question on the outlook we have for a four -year cohort and how we can grow. Towards that, I have a question for the protection book. This is obviously the overall protec

tion book . This book has stayed at about 17.6 -17.7 Bn APE for past three years and I understand it is the group protection which has declined while we have done much better on the individual protection. But towards our 16% -17% topline growth outlook for the next couple of years and particularly giv en ULIPs is going to be volatile next year, what is our view on the group protection bit and how much can this 17 billion business scale up possibly in FY26 apart from just the retail portion of protection ?
Vineet Arora: So our view on group protection ; this year we saw the disbursement in the MFI segment getting impacted and we do expect maybe the next one or two quarters to remain muted on the MFI and then it should pick up. So group protection should start coming back in the second half of the year. On the retail p rotection, there are two ways to grow the retail protection. One is obviously through the retail products by itself, which is term products and the various versions of it. And the other is by increasing the sum assured on the investment plans or by attachi ng more riders on the investment plan . And so these are the multiple methods for us to do this and we are trying to work on all of them . Some show success in different channels in different pockets. But I think largely we are quite confident that the prote ction growth will continue.
Shreya Shivani: So, in the group protection bit, I understand the MFI portfolio, but even on your employer - employee, the GTI bit, that also, what is our outlook? I mean, I understand there was a price war or a competitive intensity this year, but how is things around it?

Niraj Shah: So, Shreya, just to complete, Vineet was talking about, one of the segments on the credit life side, the other two segments are doing reasonably well. We expect that to continue in the next year as well. Housing is reasonably stable , other loans are doing quite well . So that is likely to continue into next year as MFI sta bilizes . Group term, we have been fairly clear in our approach . These are 12 -months renewable contracts. So we basically enter into arrangements which are feasible from our perspective. And we will continue to be fairly calibrated in our approach on that. So we don't really have any targets that we run with on this business. We try and renew the policies that we have written if they are feasible and our approach on new business is very similar as well.
Vibha Padalkar: Also, I want to add here, while we are looking at overall company, we have had pockets of major green shoots in protection. For example, in my opening comments, I mentioned about in agency channel wherein protection has grown by over 50% . Within that, if I were to look at my variable agency channel, protection mix is touching about 14% . On the other hand, if you look at bancassurance, it's around 4%. So , even 4 % in bancassurance going up to 6% on 50% of our business can mean a fairly meanin gful uplift on protection except that as you know the ticket size is much smaller and so it will take a little bit longer to show up as a percentage of overall APE but growth certainly as long as we continue to punch above company level growth slowly but s urely and most importantly with the right pricing. And on our terms, we should be able to grow retail protection brick -by-brick.
Shreya Shivani: Got it. And just one follow up over here. The reinsurance terms and conditions continue to be stable. There is no movement on that side, right, for any of our portfolio protection book?
Niraj Shah: Not in the recent past, but like we managed our pricing, the reinsurers would do the same. And

as we get deeper into India, the experience will be different from how the protection journey started in the top 10 cities. So all of that will have to be factored in, not just by us, but by the reinsurer a

s well. That will be a BAU activity that will happen from time -to-time, but nothing in the recent past.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first question is on the margin bit. You have done very well with the ability to improve inherent margins like you pointed out. But just wanted to understand what other leve rs are remaining to further improve it from here? So, you talked about HDFC Bank and you know what you're doing there, but are there other channels, other products where you can still improve inherent margins? That's the first bit.

Secondly, on project INSPIRE , now it has been, you have been at this project for nearly one year now. Just wanted to understand, do you have a sense of, what could be the savings from a margin perspective from this project? If you could quantify some opportunity.

Lastly, on agen cy, you have made significant investments in agency and you are currently again undertaking a transformation project there. I want you to understand how does all of this get impacted if open architecture comes in agency because they're having some talks in the industry. So just wanted to understand how you are thinking about that?

Vibha Padalkar: I will take the first question on margins. Supratim, obviously, I can't share everything that we are doing on margins, but we do have quite a few levers and we will do it judiciously because it's always a toggle between your topline, quality of business and the actual margins itself - all three are important . So just margin for the sake of margins is not that difficult. Similarly, topline for the sake of topline is not difficult either . It's delivering all these three in tandem which is what is a lot more involved process. But as we have demonstrated time and again, there are many aspects, but the most im portant aspect here is pricing discipline. And that's something we try not to be swayed on. And I've talked about this almost on every call, whether it is on term pricing, if you see on any of the online platforms, you'll see almost a 40% cheaper term for similar kind of a product and similar kind of a customer profile, perhaps with lesser underwriting. Now all of that will come and bite us down the line which it often does on margin . So that temptation is something that we want to reduce. I don't think we can always eliminate but reduce quite substantially . That's one. Second is again pricing discipline on interest rate guaranteed products, especially the likes of annuity . You'll find annuity rates in the market at a higher than the underlying products that one can lock into - so negative spread . That again is not going to be margin accretive . Also, on the interest rate, as the movements happen we have a method and implementation rigor immediately in terms of new policies that are being sold, say on a non -par product . So that becomes very critical in us being able to deliver the margins . Cost control, of course, is a given. So we have many initiatives running so that our cost of servicing a policy steadily goes down. We have had positive operating variance on our operating assumptions in our embedded value walk for as long as I can remember . So that becomes very important that maintenance cost continues to go down and thereby giving us the fuel to be able to not increase acquisition costs very substantially be cause then there is a funding by the maintenance cost structure. So that and then other things I think are talked about earlier on riders or longer term policies and so on. So a combination of all of these things is important.

We are possibly to the best of my knowledge, the only company that has channel CEOs that have not just sales targets, but they have topline, bottom -line targets and quality of business and largely run their channels as if they're

a standalone company. Only thing missing is the corporate avatar , but otherwise they run their own . This is two pronged wherein there's ownership on what kind of business is being sourced, as well as nimbleness and reaction to market conditions . As you grow as a large company, delay in reactions will mean loss of business opportunity . So that has also worked very well. We are into this process now in the third year, and that has also helped big time in each of the channels being very close to company level margins and there's no subsidy or a perpetual sub sidy between one channel and other one .

Vineet Arora: Yes, so on INSPIRE . We started about a year back and this is a long-term project, so we will continue for some more time. The objective of getting into this kind of a program is twofold. One is obviously to create a strategic moat for ourselves, when we work with partners, agents, corporate partners, etc., the integrations will be so seamless that the experience for their customers will be fantastic. That's one clear reason . Second is, like you said, there could be some cost efficiencies coming in because a lot of things could become more automated and seamless and we can hand le more capacity, more volumes with maybe the same number of people and the same number of employees. The third one, which we also see playing out and the important part is the entire science around how can we work with our existing customer a lot more and how can we work with our partners to get more new business coming in. And the new business would depend on how much seamlessly we are able to work on the data and make it more intelligent for the m to happen . So it could be converting a new policy or it could be even recommending the right ticket size for the right customer or adding the right level of protection on that new business. So all these are smart data decisions which could happen now with a lot of data coming into one place and getting more organized. So there are multiple benefits. Difficult to quantify as a percentage. But there are multiple benefits starting from saying that we should expect better retention of partners, we should expect better topline, and we should also expect some more efficiencies to happen.

Supratim Datta: And on the open architecture for agents ?

Vineet Arora: So, like I said better retention of partners, I also meant agents there, because the moment we have a much better exp erience for the agents , for his customers , lot more seamless integration and helping him generate new business, new leads etc. – if we can do that through technology. This really helps us to bring that mo at. On the open architecture of agents, it is not about whether an agent will go and work with multi ple brand s and divide his business, but is about being a company which is able to give the best of the service s and products . We do expect to remain the most preferred company with every agent.

Moderator: We will take our next question from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Thank you for the opportunity . So my question is that the two new product launches that is Click2Achieve Par and SAGA, just want to understand, on overall basis these two products are margin accretive for the company as a whole ? Point number one, because we believe that par products seem to have a little lower margins compared to non -par and given in the fourth quarter par did much better compared to non-par, just wanted to understand will these two new products add more to the margins or par will eat into ULIP. That's point number one.

And then second, just wanted to understand that can these two products in a way cannibalize any other product. For example, SAGA is a product which could have an implication on your regular pay deferred annuities because that is kind of also an accumulation

and then you promise

annuity. So just wanted to understand how you see these two products to play out in near future? And the second thing is on ULIP rider attachment, which you also alluded that in HDFC Bank that might lead to better margin kicker . So just wanted to understan d at the company level, what is the attachment rate now in ULIPs with higher sum assured and then at HDFC bank, what is the difference? And so what is the scope still available to improve the overall margin?

Niraj Shah: Yes, thanks Sanketh. So a couple of things. One is in par, like you rightly said, the margins might be slightly lower than non -par at the base level. But if the products are more longer term , then the margin delta is not as much as it has been in the past and that's something that we are seeing now. Second, the delta between unit linked and par margins is also now coming down dramatically with two things. One is higher levels of sum assured and second is in terms of improving persistency .

So what we have tried to do over the last couple of years is to try and get more and more product mix agnostic while it's never possible to be completely agnostic but we are trying to see if we can have more flexibility in the way we operate and we demonstrated that in the last couple of years with unit linked being significantly elevated compared to the past with minimal dilution in terms of margins . So that is something that we will continue to do as we go forward with higher levels of protection attached to unit linked a s well as improving persistency over the medium to long term. That is one .

Participating products definitely are improving as well in persistency over the last 3 to 4 years . And that also leads to better outcome for the customer as well as for the company . As the agency business starts scaling up, which it has been, that gives us fixed cost leverage, agents are able to have more and more conversations around longer -term products as we have seen in the product mix. And that is something that also hel ps in that journey from a perspective of margins .

On your question on SAGA. So we don't see any cannibalization really. In some sense, it opens up a new segment. So you're right, there is a deferred annuity product that we have. That's also a non -par prod uct. This is a pension non -par product. So as such, the economics remain the same. It does help in opening up a new customer segment. To just give you a very broad example, just a data point, for deferred annuity average customer age is about 55 -57 years . In SAGA, the age could potentially go down to low 40s or early 50s. So it opens up a new segment of customers who are willing to basically save regularly for the next few years and need income only many years down the line. And are able to actually put in money on a regular basis rather than on a one-time basis . So that's something that we have started to see more and more of with this very efficient product design . And we don't expect it to cannibalize. But as such, even if it does, it doesn't really matte r because it falls in the same category while allowing us access to a new customer segment.

Sanketh Godha: And the attachment differential between the company and the HDFC Bank on ULIP?

Niraj Shah: Sorry, we are not getting into that kind of detail, but like Vineet mentioned, the endeavor is to obviously try and make the category a lot more meaningful for the customer as well as for us as a company. The efforts are not restricted to HDFC Bank , it applies to the e ntire organization across channels, across all banking partners, we would make that same attempt to try and increase the rider penetration.

Sanketh Godha: Okay. And maybe the last one. The tech transformation what we are trying to do. So the full

benefit o f it is how far away? Is it 12 months or 24 months way? I understand it's an ongoing project, but because you are doing it on full -fledged basis right now. So meaningful impact should get reflected. So just wanted to understand whether it ’s 12 months away or 24 months away for our company to gain in terms of productivity, margins , etc.?

Niraj Shah: So I will just give you a very basic answer in terms of how are we actually looking at making this kind of investment. Vineet and Vibha spoke about it from a business lens. What we try and do is to basically do a very simple cost benefit analys is. Let's say we do not have any of these investments, how would our BAU technology expense span out over the next five years? And how much incremental expense are we g oing to incur because of this? And are there any benefits that we are seeing out of it in terms of ability to cross -sell more or in terms of manage risk better to improve margins and productivity? When we started this exercise about a couple of years back we spoke about nine streams. Collectively, these nine streams, all of them are CBA positive which basically tell us that through the entire CAPEX period as it moves from CAPEX to operating expenses, each of these will realize a positive value for the company. That's how we approached it because it's difficult to take a call on a one -year basis, but if you were to play it out over a 3 to 5 year period, then all of them make sense to us from an investm ent perspective.

Moderator: We will take our next question from the line of Nitin Jain from FairView.

Nitin Jain: Yes, I have just one question . So can you explain what has gone behind subdued outlook for the first half of FY26?

Vibha Padalkar: It's not s o much subdued as much as we are calling out the base effect. So, in first half of FY25, we had a fairly robust growth of almost 30%. And it's that base effect we are calling out . And then, of course, subdued part is in the sense that whatever is happening macro - economically; in terms of the volatility that we are seeing, possible consumption slow down and also what the RBI governor recently did in terms of downward movement of GDP estimates.

Niraj Shah: I will just add it. It was a story in two ha lves for FY25, we expect the same to happen in FY26 as well. It is just that the dimensions could be different. I think APE growth is likely to be more back ended. VNB growth may not be as back ended as APE growth given the base effect. So that is how we expect it to be, but we will see. And I think, like Vibha mentioned in the call, that the environment is very volatile. So, while we have an outlook on the basis of which we are

going to plan our resources for the year . But we will have to be a lot more dyn amic in terms of how we make some of these investments, as well as the outlook can change as we progress through the year, depending on how the overall environment is shaping up.

Vibha Padalkar: And so, we are continuing to invest. We are also saying that we should grow faster than whatever the sector grows. So, if we get it completely wrong or if the outlook changes for the better very dramatically, then of course we will still be pegging ourselves to t he sector.

Nitin Jain: And if I can, just add one more to this thing . So, you mentioned that the margins will be range bound. So, would it be possible to quantify that, quantify the range, I mean, approximately?

Niraj Shah: We like to retain that flexibil ity to be able to operate because like we saw in the early part of the previous year, we absolutely took all the growth that we could, even though the product mix was dilutive to margins because that does help us engage more deeply with customers over a pe riod of time . We will continue the same approach while we expect the macro environment to be differe nt in FY26 both on equity and interest rates . That will move product mix in a different direction, we understand or we believe from FY25 . But as such , a narrow band is what we'd like to stay within. We don't really have a target that we are chasing in terms of where we want to land or be at the end of the year . VNB growth is what we will be basically looking for and that will basically depend on where t he topline and where the margins could land based on product mix. So, it's going to be more focused on driving VNB growth.

Moderator: We will take our next question from the line of Aditi Joshi from J.P. Morgan.

Aditi Joshi: I have one question , if you lo ok at our operating ROE V in the last two years that has broadly been on the downward trend . So, going forward, what will be our efforts in order to make recovery in that? And just one more if I can . One of your competitors said that they have raised some c apital to support the solvency, in anticipations and order to have some cushions in case anything worse comes off the RBC capital regime. But I think in the past we have communicated that RBC in general will be leading to the release of capital. So just wa nted to have a double confirmation. Do you still think that RBC will still lead to a release of capital?

Niraj Shah: If you look at Slide #6 of our investor deck, you will basically find that EVOP has actually compounded at about 19% odd for the last 5 years and 18% for the last 9 years . So that's something that we look at. The EVOP has a little bit of a denominator effect as well because embedded value has grown faster than the EVOP in the past few years because of the way the markets have been. So, we do track both of these, but in terms of the absolute value generated in rupee terms, the compounding has been in the 18% to 19% range, and that's what we will continue to track .

Now about the subordinated debt that we have raised, we do expect to continue to optimize on that as we move into the next couple of years as well. We will have the retirement of one of the

first tranches of our sub-debt in the next couple of months. And we will look at our position and see if we want to replenish that. That option will always be available.

Eshwari Murugan: On the proposed RBC framework, we expect that the calculation of the capital requirement will be more objective and it will look at all the risks in the company and a lso give rewards to companies which are managing the risk in a much calibrated and efficient manner. From that perspective, we believe that we will be one of the companies who will benefit from the movement to the RBC framework . And in all our discussions with the regulator, regarding timelines as well as the next state of assessment, we believe that the regulator is also thinking on similar lines . We don't expect any adverse impact because of the RBC framework. In fact, we expect the position to be much be tter.

Moderator: We will take a next question from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Yes, hi. Just one question. There is a marginal increase in non -par sensitivity to interest rates . Anything to read out there as to what is the reason for that? And how do we see that?

Eshwari Murugan: The interest rate sensitivity has been range bound. I don't think there is any material change. And what is important to notice is that the margin will be better in a lower interest rate scenari o. And that is what we are always monitoring because of the interest rate guarantee s given on non-par savings products, decline in interest rate is something that we want to have protection against. So these are the two aspects we look at. One is the sensi tivity is range bound, and the other is that increas e in interest rate is the one which gives us a negative impact, whereas our concern is on the decline i

n the interest rate, which gives us a positive impact.

Prayesh Jain: Right. Just one more, if you loo k at the product mix shifting towards non -par, possibly group term and group term products will also increase . Your ULIP margins have gone up. Par, you mentioned that the new products are margin accretive . Then in FY26, you said that the incremental margin s will be utilized in investments. But it could be, as we have been trying to ask you, whether it could be 100 basis points, 200 basis points. If the margins expand by 200 basis points from the FY25 levels, would it entirely be consumed or do you have a th reshold of the amount of investments that you need to do?

Niraj Shah : So hard to say because investments are upfront. So that is something which is a little more definitive and clear. Investments in people, in branches, and in technology, all of th em in some sense we are committed to it. So that is something that will happen . We may make some adjustments depending on how the environment is shaping up . But that's in some sense a commitment. How the product mix will evolve, of course, we will try and dr ive as much balance as we can, as we have in the past. But we will also have to be cognizant of how the environment moves . Inherent margins, Vibha and us, all spoke about efforts that we will make to try and improve inherent margins. Some of that of course is dependent on the competitive intensity as well, so we have to take cognizance of that . So, hard to say how much of margin uplift can

actually come through from product mix and h ow much of it will get subsumed in investments ?
Also, increasing our custom er penetration is equally important. So from that perspective, growth is something that we will look at to ensure that we are able to then balance between these three things. So like we just mentioned repeatedly on the call, aspirations remain to grow fast er than the sector , to try and keep our margins range bound. That basically gives us the flexibility to expand our franchise and in whichever direction it kind of goes, whether it's tier two, tier three, getting deeper into that, opening up new customer se gments, or being able to navigate in a different environment. So as such, we don't want to really be bound by how many basis points with which the margins can expand or contract in a near term period . We have already spoken about our aspirations on a 4 to 5-year period - it's doubling or near doubling. So we keep that as a frame of reference for us.
Moderator: We will take our last question from the line of Neeraj Toshniwal from UBS Securities.
Neeraj Toshniwal: Yes, hi. Two questions. One on the timeline of these investments. So at what point can we see again margins or VNB expanding faster than APE, first. And second is on the product side, on the SAGA product. How many of the customers are actually choosing var iant 2 with a higher guarantee and whether the margins are higher on those products compared to variant 1? So just wanted to understand because that kind of is similar to your whole life non -par guarantee d product, the variant 2, if people choose more of the maturity option. So just these two questions.
Niraj Shah: Yes, so again, nothing further to add on the investments and the impact of that on margins, I think. Like I said, the commitment is made . We will navigate through product mix depending on the environment and try and do justice to the capacity that we are building in terms of resources . And we will come back to you every quarter in terms of how that's moving . As far as SAGA is concerned, early days, it's moving well . I think both these options are pretty much half and half in terms of how the uptake is so far. But I think we will wait and see how that develops .
We are also monitoring various aspects within that in terms of how many folks are bas

ically
taking the guara nteed annuity upfront, what kind of deferral period are they choosing, what kind of coverage are they choosing, single or joint. All of these things are still in early days. It's still kind of developing.
Neeraj Toshniwal: But is the margin higher in the variant 2 versus variant 1, looking at the product structure?
Niraj Shah: It's fairly similar, it's not something that is dramatically different. We have also been asked this question on protection , on ROP versus non -ROP. It's not very different for us because we price it accordingly.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you for joining us today. Please reach out to the Investor Relations team for any follow -up queries. Good evening.

Call: Jul 2025

July 22, 202 5
Ref. No: HDFC Life/CA/202 5-26/29
Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 540777
Dear Sir/ Madam,
Sub: Transcript of earnings conference call for the quarter ended June 30, 2025
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Tuesday , July 15 , 2025, to discuss the financial performance of the Company for the quarter ended June 30, 2025.
The said transcript is also hosted on the Company's website at https://www.hdfclife.com/aboutus/investor -relations .
This is for your information and appropriate dissemination .
Thanking you,
For HDFC Life Insurance Company Limited
Nagesh Pai
Company Secretary & Compliance Officer
Encl.: As above

Vibha Padalkar: Good evening all and thank you for joining us for our earnings conference call for the quarter ended June 30th, 2025. Our results, along with the investor presentation, press release and regulatory disclosures, have been made available on our website and the stock exchanges.
Joining me on today's call are Niraj Shah, Executive Director and Chief Financial Officer; Vineet Aror a, Executive Director and Chief Business Officer; Eshwari Murugan, Appointed Actuary; and Kunal Jain, Head - Investor Relations, Business Planning and ESG.
On a macro -economic context:
FY26 has commenced on a steady note, even as the broader global environment remains uncertain, shaped by trade frictions, geopolitical tensions and divergent growth trajectories across markets. India continues to display relative resilience, though recent high-frequency indicators suggest a mixed picture. On one hand, flows into capital markets have been strong, supported by investor confidence. On the other, trends in consumption and early corporate earnings point to pockets of caution. In this context, li fe insurance remains a compelling choice, anchored in long -term savings, risk protection and financial discipline. Our product and distribution strategy is well -positioned to serve evolving household priorities, and we will continue to assess and adapt our outlook as the year progresses.
Moving on to b usiness performance:
Q1 FY26 began on a strong note, with healthy growth across topline, value of new business and steady margins. Individual Annualized Premium Equivalent (APE) grew by 12.5% year-o n-year,
translating into a robust 2-year CAGR of 21%. We outperformed both the overall industry and the private sector, resulting in a 70 bps increase in our market share at the overall level to 12.1%, a new milestone for us, and a 40 bps gain within the private sector, taking our share to 17.5%. Over 70% of new customers acquired in Q1 were first-time buyers with HDFC Life, underscoring our customer acquisition strength and deepening presence across Tier 1, 2, and 3 markets. Growth during the quarter was led by higher average ticket sizes, supported by traction in select Unit linked and Par products. As the year progresses, we expect a more balanced contribution from both ticket size and policy volumes.
Moving o n to product mix:
Our product mix remained well -balanc ed with ULIPs at 38%, participating products at 32%, non-par savings at 19%, term at 6% and annuity at 5%. Contrary to initial expectations, demand for ULIPs remained strong, supported by sustained strength in equity markets. However, our ULIP mix remains lower than the industry and broadly range -bound. We anticipate a gradual shift, rather than a sharp swing in favour of traditional products over the course of the year.
Participating products have gained traction, driven by refreshed propositions a nd heightened

macroeconomic uncertainty. Both our new offerings, Click 2 Achieve Par Advantage, as well as relaunch of an existing retirement product, have gained significant traction. The refresh also enabled sharper, need -based selling across older age c ohorts and deeper Tier II/III markets in select channels.
Non-par savings has temporarily moderated for us in this quarter, as we fundamentally believe in staying away from irrational pricing. We remain confident that this segment, of which we have been th e pioneers of, will bounce back buoyed by a steeper yield curve. Our non -par annuity business registered a healthy growth of 25% in terms of new business premium.
Retail protection continued to grow faster than the company average, delivering a robust growth of 19% on a YoY basis and a strong 2 -year CAGR of 23%. Credit protect also saw a recovery, aided by higher disbursements, improved attachment rates and expansio n into new lending segments. Whilst the

MFI segment remained soft, the pace of de -growth slowed amongst larger partners, thanks to a more stable regulatory backdrop and favorable base effect.
Retail sum assured grew in double digits and registered a 30% CA GR over two years. We maintained our leadership position in overall sum assured, reinforcing our position as a market leader in protection.
Moving on to f inancial and operating metrics:
In line with our outlook at the start of this year, the Value of New Business (VNB) for Q1 FY26 stood at ■ 809 crore, a growth of 12.7% YoY and a 2 -year CAGR of 15%, with new business margins steady at 25.1%. We are pleased that a 30 bps downward impact of the revised surrender regulations as well as investments into augme nting our Proprietary channel and Project Inspire, was offset by a better product profile.
As indicated, we are consciously reinvesting any margin gains into building long -term capability. As we deepen presence across Tier 2 and 3 markets, we continue t o front -load investments in distribution and technology. With 117 branches added in FY25 (taking our total to 658), and incremental assets from Project Inspire getting rolled out through FY26, we remain focused on scale and efficiency. We expect to maintai n margins through the year, balancing short -term dynamics with our long -term agenda of sustainable and profitable growth.
Embedded Value increased to Rs. 58,355 crore, with an operating return on EV of 16 .3% on a rolling 12 -month basis, a more representative view that smoothens out Q1 seasonality. Solvency remains robust at 192%. Profit after tax grew 14% to Rs. 546 crore, driven by a 15% growth in back -book profits.
Renewal collections registered robust grow th of 19% YoY . Persistency metrics remained healthy, with 13th and 61st month persistency at 86% and 64% respectively. 61st month

persistency improved across cohorts, supported by stronger retention in long -term savings products. The 13th month metric r emains stable sequentially and in line with actuarial assumptions.
On d istribution highlights:
All channels recorded healthy growth. Counter share within our parent bank held steady. Our focus remains on enhancing this channel’s economics through a multi -pronged strategy: diversifying product mix, driving cross -sell and upsell, leveraging the bank’s digital assets, and elevating customer experience. We recorded healthy growth in other bank partnerships as well.
Our a gency channel delivered a 2 -year CAGR o f 10%. Post the changes in Surrender Regulations, industry -wide growth in agency has been uneven. The channel maintained a healthy double -digit protection mix and profitable growth. We have initiated an Agency Transformation Program aimed at boosting activ ation, productivity and long -term viability. Agent additions remain strong, with 23,000 new agents onboarded in Q1 FY26. Business from branches opened in the last 18 months now contributes a high single -digit share, in line with our expectations. We contin ue to focus on improving profitability at a branch level.
As part of more meaningful disclosures, we have now grouped brokers and non -bank corporate agents under the ‘non -bank alliances’ category. Our distribution strategy remains focused on broadening rea ch and recalibrating our market approach to unlock newer opportunities.
Moving on to regulatory updates:
Over the past few years, the life insurance industry has seen a series of regulatory changes aimed at enhancing customer transparency and strengthening sectoral governance. Throughout this period, the industry has demonstrated resilience, with underlying value pools continuing to grow steadily. Encouragingly, recent commentary from policymakers indicates a shift toward a more stable and cons ultative regulatory environment. Specific concerns, such as mis -selling, are being addressed through industry -

wide efforts, including our own focus on right -selling and process
improvements. As one of the leading insurers, we remain aligned with the broade r regulatory vision and continue to proactively strengthen our disclosures, effective sales practices, and customer experience. We believe such balanced regulation will support long -term growth and deeper penetration, particularly as bancassurance and open architecture become key levers for expanding insurance access.
Among other updates, we are pleased to share that MSCI has upgraded our ESG rating from 'A' to 'AA', placing us amongst the highest rated insurers in India and the region.
While the external environment remains dynamic, our fundamentals have held strong; anchored in a balanced product mix, a diversified distribution footprint and a consistent focus on

innovation, customer centricity and disciplined execution. Our aspiration is to continue to outpace industry growth whilst sustaining our position amongst the top 3 in India. As we mark 25 years of serving Indian households, we have planned a series of initiatives through the year to engage with our stakeholders and reaffirm our commitment to bein g a trusted partner in financial protection. Thank you, once again, for your continued trust and support.
For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the participants.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global.
Avinash Singh: Good evening. Thanks for the opportunity. A couple of questions , first one is on margin. If we look the shift of around 16 % between par and non-par mix, the margin is still holding up, it's a commendable performance. Is it kind of supported by the product level margin changes , due to higher rider attachment , changing PPTs , or due to some support from yield curve move ment ?
If I look at that context, a quarter earlier, in your call, you were sounding more confident about margins than APE growth in the first half. But on that note , the margin outcome has not come that great. I mean, if I look at product mix, of course, g reat. Bur w hat change d since Q4 results to Q1 that led to this higher acceptance or demand for par.. Second question is on persistency. I noticed a sharp improvement in 61st month, but let me focus on the marginal worsening of persistency in 13 -month. So, if you can help in understanding , what has led to this marginal deterioration in 13 -month persistency ? And on the note, with the sharp improvement in 61st and maybe some bit of worsening in 13th, is that contributing meaningfully positive towards operating variances?
Vibha Padalkar: Yes, so I will take the in -between question of what I was sounding like last quarter . If I recall, I was saying that margins will remain range bound and growth at that time seemed like it's going to be somewhat muted because of the macroeconomic scenario, which I think will probably continue for another quarter as well based visible slowdown in consumption as well as the tariff situation still being up in the air. So, I think we have delivered well. In fact, if you look at slide 14, which shows the margin walk, we started off with a handicap at the beginning itself of 25 .0% really being 24.7 % because of the impact of surrender charges. So, there has been an expansion of margins of 40 basis points to get to 25.1%. That is one. And second is , something that I had mentioned earlier , last year first quarter , we grew by 31%. So, again there was a base effect, which we had called out. And so , against that base effect, growt h of 13% is very much along expected lines. But just the mathematics of that will mean that there is a fixed cost absorption and the impact is 0.6%, which should, as the

year pans out, that fixed cost absorption 's negative
impact should disappear. So, I think very much in line is how I see things. N iraj, over to you in terms of the shift in mix .

Niraj Shah: So, we have maintained a pricing discipline. Vibha spoke about it to some extent on the call as well. The shift in n on-par mix, as yo u know, is basically a result of some of that . The environment is still fairly upbeat as far as equity thought process of customers is concerned, which is reflecting in the unit -linked mix, which is steady. We managed to maintain our pricing discipline on the non-par side. The mix has come down because of the equity environment as well as , letting go of some business because of irrational pricing. We expect the mix to inch up as the year progresse s and as some of this pricing calibrati on happens in the industry. As far as unit-linked mix is concerned, while the mix remains similar, the level of protection we have been able to attach has increased. So, that has helped us improve our inherent margins in unit-linked while the mix has remai ned the same. And the participating products are inherently longer term. So, the margin extraction on par has also improved compared to what we have had in the past. So, at a very broad level, what's happened is that the delta between segments on margin has come down over the last couple of years. And that is something that helps us maintain a fair bit of flexibility on product mix as we go forward as well.
Vibha Padalkar: Yes, and one other point, just going back a quarter, we had expected some moderation in unit-linked . There were many things on the political front also happening. There was a lot of

uncertainty that was just an overhang. But that does not seem to be the case and unit-linked still has fairly robust demand . So, that is a reality. And like N iraj said, we have worked on some of the product profiles to increase the inherent profitability of some of these products.
Eshwari Murugan: On the persistency, in the 13 -month we have seen a drop of around 1% mainly because of the proportion of large ticket sizes which has reduced post the changes in the taxation. And this is already accounted for in our assumptions because when we look at assumptions, we see the experience by various parameters of which premium size is one of them. So, we already knew that the persistency is going to be lower and that is why you see that the operating variance is still a small positive, it is not a negative, which would have been the case, if we have allowed for higher assumptions. On 61st month, ye s the improving persistency is mainly coming from the product we sold 4-5 years ago, and we have been seeing a gradual improvement in the persistency 13th, 25th and so on. That is definitely going to give a better profitability and that is also factored in our assumption. Hence, we don't see any big operating variance in either direction when you look at our EV walk.
Moderator: Our next question comes from the line of Shreya Shivani with CLSA.
Shreya Shivani: I have two questions. First was on t he ULIPs itself. Just on the basis of interaction with other industry participants, your performance on the ULIP front has been quite different. As rightly mentioned by one of you , you're attaching more protection over here, probably that's still pushing more ULIP sales ? But can you help us understand that has there been any change in the ULIP product design that you were selling till 4Q that you're probably selling right now? Why people are still buying more ULIPs from you when others are reporti ng a ULIP slowdown? My second question is from the public disclosures for the full year. I think you broadly touched on it, but I
just wanted to get a bette

r color on the mortality variances that went negative in FY25, negative 10 crores or so. And even th e persistency and other operating variance for you has been declining for three years. So, any comment on this or what segment is impacting mortality and also the persistency ?
Niraj Shah: I will start with the unit-linked and pass it on to Eshwari for the second question on the variances. On unit-linked, it's all relative, right? For us, while the product design keeps getting refined from time to time in terms of taking customer feedback and adding new features, that is a continuous process at our end. But as such, when you're talking about maybe on a relative basis, I think for us unit-linked historically has been in the mid -20s. In the last couple of years, it has been elevated to the mid -30s or late-30s. So, we have kind of maintained that. And I spoke about our ability to get more flexibility under our product mix because of some of these changes .. So, for some of the others, maybe the levels at which the unit-linked was previously was a lot higher. So, compared to that, maybe it has moderated but for us as such the levels have been fairly calibrated even last year. So, while it was higher for us compared to what it has been historically for us it's still been a lot lower than for some of the peers in the sector.
Shreya Shivani: And in the immediate quarter there has been no change in product design or anything of that sort, right?
Niraj Shah: Nothing which has influenced the mix really. I think we have continued to make changes, but nothing more recent that I can th ink of which has contributed to any change. And the mix has been fairly similar. In fact, Q4 last year if I recollect unit-linked mix was higher than 40%. That has moderated down to 38%. But on a Y oY basis, it is similar.
Eshwari Murugan: On the operating variance, in FY25 there is a 10 crore negative mortality variance, but it's a very small proportion when you look at the overall E V of ~55,000 crores. And as I explained the previous answer, when we look at the experience, we look at the expense of various parameters, and that is already factored in our assumption s. So, we don't expect a big positive or negative variance. And as we have been doing th is exercise for a long period, we have got quite evolved in how we look at the experience a nd how we allow for it in our assumptions. That's why you will see that the variance is coming down because all of that is already reflected in the VNB or in the embedded value. And earlier when we had good persistency in unit-linked over the last 2-3 years that gradually improved , we didn't allow for all of it in our embedded value because we wanted to see the trend and ensure that it is sustainable, which is why you had a big positive persistency variance. But having seen the trend for the last 2-3 years, we have now captured it in the embedded value. That's why variance is expected to be small, but broadly positive over the year.
Shreya Shivani: That is useful. Just one follow up. The mortality variance was because of which segment? Any particular product segment or geography ?
Eshwari Murugan: No, nothing material. As I mentioned, we look at various parameters , some cohort you would have had some variances . But if it's something material, we immediately take interventions, like

the repri cing or looking at some of the due diligence we do at underwriting, et c.
Moderator: Our next question comes from the line of Supratim from Ambit.
Supratim: My first question is on the group protection side. This has been a category which has been declining for around six quarters , but this quarter there has been around 20 % growth. Now, could you help us understand what is really driving this growth? Are you seeing any recovery in growth in credit life segment ? If you coul

d help us understand dynamics here, that would be very helpful.
Then if I move to the agency channel, that again, this quarter that growth in that channel has slowed down. I understand that you are planning at new initiatives of activating regions, but if I see over the last five quart ers, the growth has been on and off. Is this channel being driven by any promotional activity, such kind of one -off activity, which is resulting in the growth being so volatile?
Vineet Arora: The first one around the entire group, see the group p rotection largely is dependent on our MFI as well as the non -MFI segment on the CP business. We have continued to see the downward trend of MFI happening this quarter as well. But we were able to more than compensate for that downtrend through the non -MFI business. And this non -MFI business has been both by additional lines of businesses in the same partner as well as by acquisition of some new partners. So, I think the impact of MFI is now reduced, given that the de-growth of MFI was more than compensated. So, that's the reason why you are seeing the growth coming back in the group business. The other question was around agency channel. So, on the agency channel, like Vibha mentioned that we are doing a big transformation exercise and we are seeing some gre en shoots of those channels coming in. It's not a one -off promotional driven activity. This quarter, our feeling and whatever market intelligence we have, is that there has been an impact overall on agency channel across the industry. However, given that volatility, we have been able to really come back and outperform with respect to how the industry has gone. So, our agency market share has moved up in this quarter, and we expect that trend to continue.
Supratim: Vineet, just two follow -ups here. So, if you could help us split out the protection product by MFI and non -MFI, what would be the mix? And when you're talking about this transformational exercise in agency, what would this entail? If you could give us some pointers, what would this involve th at would be helpful?
Vineet Arora: Yes, so on the protection side, see now with the degrowth of MFI happening over the last nine months now, and maybe another quarter before the base effect starts to kick in, we would be now at about maybe a mid-teens kind of number in our MFI business and the remaining business would be non -MFI. So, that's how the mix would be at this point of time.

In agency , the exercise is more around bringing in the basics of agency, bringing a lot of technology so that we can monitor a lot of ground level activities and how training, activation, and support, etc. is happening. Some changes around the agency life cycle for agents and around our partners on the variable side. So, some of that has gone in. So, a lot of fundamental tweaks etc. in the agency program that we have.
Moderator: Our next question comes from the line of Nitin Jain from Fair View Private Limited.
Nitin Jain: So, my first question is on the product mix. So, the contribution for non-par has increased significantly YoY while par has gone down. How do you see this panning out over the rest of the year and what kind of impact do you anticipate it to have on the margin? And my second question is regarding your commentary last quarter on the FY26 outlook. So, it was more along the lines that H1 could be from slow to muted and growth will pick up H2 onwards. So, are we still holding on to that or are there any changes to that?
Vineet Arora: So, I think going to the first question, it was the other way around. Non-par mix has come down in this quarter and par mix has gone up. Like N iraj mentioned in an earlier answer was that non-par has seen a lot of aggressive pricing in the market. And we did v acate some space deliberately on t

he non-par segment. That's where the non-par mix has come down while we made sure that we were able to compensate for this through the par products . From a margin perspective, they are both in a similar range, so it becomes a margin neutral exercise from our end *. So, I think that is something that we could look at. The other one was around our commentary of growth and how d o we see it. In April, our view was that there would be some slower growth happening at least for the H1 given the uncertainty around the geopolitical landscape and some macro indicators that were there. We also expected ULIP to be slightly muted, but as things have panned out, ULIPs did remain in traction. And the industry growth was actually slower this quarter. We saw that happening in the industry. Given our business etc ., we were able to outperform the industry in the first quarter. So, I think our view still remain that the industry will be slightly slow fo r the first H1, but we do expect that we will continue to outperform the industry.
*This comment was clarified by Niraj Shah in the subsequent queries on page n umber 12 and

13, where he elaborated, " There is a difference between par and non -par margins. Non -par margins are higher than company average. Par margins are closer to company average than it was maybe 5 years back ."

Niraj Shah: I will just maybe add quickly to the second point Vineet mentioned. The industry had a very high base last year on H1 .And that holds true for us as well. So, that mathematically will be the case in H1 . And on the first bit, the product mix, I think, will probably start converging. Non-par is likely to end up in the mid -20s as the year progresses and par will probably come down slightly but will still be upwards of 25 % odd. That's something th at's in line with what we have

been trying to actually achieve as well. All the product segments being between one-fourth to one-third from a savings perspective.

Nitin Jain: So, just to clarify, do we anticipate growth to pick up from H2 onwards?

Vineet Arora : So, seem s to be positive, it should pick up. One is the bas e effect of last year when the growth in H2 was actually slower than the growth in H1. So, mathematically, it should look better. Second is , I think as the fundamentals of the economy move, growth will improve, that would be something that we will also have to discover along the way. But so far, we believe that H2 should be better than H1.

Nitin Jain: And margins will continue to be range bound like within the 25 -27 band ? Or do we see a gradu al uptick as the year progresses?

Niraj Shah: We do expect margins to be range bound for this year. We have taken a slightly longer term view, three years. We do see expansion definitely. But from this year perspective, I think especially given that the growth at an overall level is likely to be relatively softer compare d to last year. Last year we were talking about 18 -20% kind of growth. This year is likely to be lower than that. So, the fixed cost absorption as such, while it will even out through the year, it will still be slightly lower than last year. Our investmen ts like we mentioned continue. So, product mix-related upliftment will actually get in some sense neutralized by some of these aspects. So, I think that's not our objective for this period. VNB growth in line with topline growth will continue to be objecti ve for this yea r. But from a three to five year perspective, certainly there is scope for expansion.

Moderator: Our next question comes from the line of the Dipanjan Gosh with Citi.

Dipanjan Ghosh: Just two questions from my side. First, in terms of non-HBank channels, what has been the growth rate, your counter share in terms of the product mix at HDFC Bank and some of the channel partners. And second, since the few quar

ters you have been mentioning in terms of improving the unit economics of the business or the product profile of the business at HDFC Bank. So, where are we on th is journey and if you can kind of detail out the steps that you're taking in terms of cross -selling , upselling or utilizing some of the digital channels of the bank ? If you can give some color on that .

Vineet Arora: Yes, first is I think our partnership with all the bank partners, including HBank (HDFC Bank) and non -HBank partners is strong and we have seen steady market share in all of those relationships. Our mix of products in non -HBank partners is likely better than HBank relationship, but the entire number of channels and digital interventions in HBank is also giving us a lot of traction. And we saw that happening in the Quarter 1. We have done more digital integration with HBank , and we hope all those things will also give us an impact in Quarter 2 to improve our mix with HBank . To your second question on unit economics, our endeavor on

improving the profile of every product that we are doing, including adding more riders and higher sum assured in ULIPs, t hat's playing out very clearly for us and all the unit economics are working very well at a product level as well as every investment i n the resources that we do. So, I think that's something that is a BAU for us and we continue to improve on those factors as we go along.

Dipanjan Ghosh: Yes, so just to follow up on the second part, I think the question is more directed towards HBank in terms of your product profile and in terms of your economics at that channel, are you seeing improving trajectory?

Vineet Arora: Yes, so the product profile, like I said, in HBank is better than what we had last year. And it is looking upwards in terms of having our mix becoming more p ar and improving our term product as well. A lot of digital integration that we have done have also helped us improve our term share in that entire channel. The other part is about how every unit is tracked ; we track units in various ways. One is product method in which we trying to improve the inherent margin of every product. Second is at a branch level, how do we interact with the partner and improve branch level share of business and productivity. Those reviews are also very constant and BAU . We track branches in different cohorts of less than 50%, greater than 50%, and what kind of market

share we have in e ach of these branches. And those numbers are looking better than what they were last year. So, branches which had a share of less than 50 % for us are now much lower than what they were about a year back. And these are the numbers which are helping us improve unit level of productivity for the sales employees.
Vibha Padalkar : And just to add there, is a conceptual alignment with the bank that they should, along with us, be selling a lot more of protection than the current 3%-4% kind of levels . And some of our other channels are anyway at a much higher percentage of protection. So, very definitive steps and conversations have already happened.
Moderator: Our next question comes from the line of Pra yesh Jain from Motilal Oswal.
Prayesh Jain: Just one question on how the product mix and margins can move, let's leave aside the benefit of operating leverage and getting into cost s. What I heard from the call is that the product level margins between non-par and par are not meaningfully different. So, even if the share of non-par increases, we wouldn't see any product mix benefits coming in the second half in terms of margins ? And how would you then look at or whether do you think that the share of ULIPs can go down and that can bring in some benefits to margins from the product mix perspective. Obviously , I understand that you mentioned that any benefits o

n product margins or any b enefit of product mix will be utilized to absorb the fixed cost or invest into growth but just from product mix perspective can you elaborate as to how should we think about just product mix benefiting the margins?

Niraj Shah: So, Prayesh , a couple of thin gs. One is, I think what Vineet was allu ding to was what I had said earlier on the call, that the delta of profitability within product segments is reducing compared to what it was a few years back for us. Because every product category is now more profitable than what it was, maybe with the exception of maybe protection, where margins used to be in three digits a few years back . But g iven the way the pricing environment is in the industry, it is healthy but not the way it used to be. As far as the par and non-par mix is concerned, we expect the mix to become a little more moderate where the par mix is likely to come down a bit, non-par mix is likely to be higher than where it is at this point in time. So, non-par is still definitely more profitable t han par. It is just that the delta which used to exist around six years back when we introduced the non-par category was a lot higher compared to what it is today. So, that is really the crux of what we were saying. And as the mix changes the way we expect it to over the next three quarters, you could expect some profitability enhancement coming from that mix shift.
Prayesh Jain: And just on this fixed cost absorption thing , at the end of Q4 you were expecting relatively muted growth for Q1 and I thin k the growth has come in better than your expectation and so do you think that you would invest more and utilize that benefit of higher growth that has come in the first quarter ? Or do you think that the margins can expand?
Niraj Shah: I think what we had said in April was that last year was a very high growth here for the sector and for us , we and sector grew at 18 % or thereabouts. Given the whole macro situation and the uncertainty we expected this year to be relatively softer. That's exactly what's h appened in Quarter 1. So, is the growth very different from what we were anticipating? Not really. Because , one is on an absolute basis and second is mathematically because of high base last year , the growth in H1 was likely to be lower than H2 for us in a ny case and that's exactly how it started .. We did mention that our aspiration would be to continue to do better than the sector. We have managed to do that. We still see growth to be lower than last year, but hopefully the quarters , in volume terms , becom e bigger as we go forward because of the way the business pans out as the quarters progress. As far as fixed cost leverage is concerned, again, it's relative. Vibha mentioned there is a negative 60 basis points impact because of lower volumes compared to volumes of the quarter in the previous year. This is what is likely to get erased as the year progresses. The 60 basis points negative is something that, hopefully if things move according to plan, then it should be close to zero. But we'll have to wait an d see how that goes.
Moderator: Our next question comes from the line of Sank het Ghoda with Avend us Spark.
Sanketh Godha: Thank you for the opportunity. Again to harp on that same point ,. you're saying par and non-par margin at the current juncture are broadly similar. So, if ULIP margins are lower than the company average margins in general, then you are saying that at the 25 .1% margin that you are reporting, there is a fair probability that par and non-par will be upwards of 25 .1% at produ ct level, broader indicator I am saying. So, in future, you will be indifferent whether the growth comes from par or non-par in that sense. So, basically from a company's point of view, there is no active reason to change to non-par to just boo

st the margi ns.

Niraj Shah: Sanketh, there is a difference between par and non-par margins . The difference is not as high as it used to be 4 to 5 years back. But the difference is still very much there. Non-par is higher than company average. Par is closer to company average than it was maybe 5 years back. Unit-linked certainly is lower than co mpany average but is slowly now moving upwards , it's now converging towards par because of better persistency as well as higher level of sum assured . So, the delta in margins across all the segments is very much there. Protection is still the most profitable product followed by annuity depending on the way we price the products at least , followed by non-par, par and then unit-linked . It's just that the delta across each of these segments is lower than what it used to be 3 to 4 years back. And t he mix certainly will determine what the margins end up at. So, if the non-par mix improves in the remaining three quarters, it will definitely give a upside to the margin compared to what you're seeing today.

Sanketh Godha: Basically in the waterfall of 1 00 bps improvement due to a better margin profile mix, is predominantly because of your ability to attach higher sum assured or higher riders to the unit linked ? That's a very simple assumption to make ? - Assuming that par grew at the expense of non-par, at least in the current quarter .

Niraj Shah: Unit linked are certainly one part of it, it's also protection also again, I guess in decimals it doesn't show up, but the mix has gone up compared to last year. Credit protect also has grown in this period . Annuity is a lot higher compared to last year. I think it's over 20% growth in this period. So, a lot of these things are margin accretive as you know in terms of segment and each of them have contributed to the produc t profile. So, product profile has all of these aspects apart from the inherent margins of the segment itself.

Sanketh Godha: And last one, how much of ULIP has higher sum assured ? Maybe if you can give a little data around.

Niraj Shah: So, we don't really get into that specifically , given a lot of these things are not the way we make public disclosures, but it's now becoming a very meaningful part. It is higher than what it was last year. It is now becoming a lot more meaningful than it was when we s tarted the journey 2 years back.

Moderator: Our next question comes from the line of Nid hesh Jain with Investec.

Nidhesh Jain: Thanks for the opportunity. My question is on NOP (number of policies) growth. Our NOP growth is still quite weak , though we have done quite fairly well on APE growth despite our base. But NOP growth is bit weak er. A couple of years back, when NOP growth for the sector started to decline, we ha d entered into a growth problem. So, how do you see NOP growth panning out going forward?

Vibha Padalkar : So, Nidhesh, you're right if you look at just on Quarter 1 basis . However, on a two-year CAGR basis, we have grown at about 10%. I am reasonably confident that rest of the year , as we
progress , NOP growth should come back. If you were to look at every cohort that is above 1 lakh ticket size , we have grown fairly well , but in some of the lower ticket sizes , based on some of the experience that has panned out , we have consciously gone back to the drawing board , re-looked at some of our assumptions, pricing, and that happened towards May -June of this year. So, that's really what is impacting it, but NOP growth should come back.

Vineet Arora: Just reiterating what Vibha has said . So, certain lower t icket size segments is where we have deliberately gone slower on NOP growth, putting in some models to figure out which are the profitable segments to pick up, while in all other segments we have seen an increase in NO P growth. So, that's not a challenge. And we expect this to also even out.

Nidhesh Jain: And the second question is on competitive intensity in non-par and annuity. What actually is driving that? Because post the surrender value norms, we thought that competitive intensity from unlisted players will reduce given the surrender assumption, etc. But it seems like the competitive intensity on pricing has further increased in Q1.

Niraj Shah: Yes, I guess in some sense what has happened is some players are becoming more calibrated and some , at least the way we see it, have become more aggressive. So, in balance, I think the intensity is still fairly strong. And I think as far as single -premium annuity products are concerned, it's a little more straightforward to understan d. And a s far as non-par products are concerned, there are other aspects there in terms of how the surrender value builds up across different products. So, some of this also plays a role there and is something that we need to be watchful of. And as we have said in the past as well, our long -term proposition really is something that we will focus on, given the way the interest rate environment is likely to move in the rest of the year, this (non-par) category will definitely be a lot bigger than what it is at this point in time from a mix perspective. We have some launches planned as well that also does help move demand. We have had launches in the par product like Vibha mentioned. So, some of that also doe s move demand. So, while we have to deal with wha tever pricing environment is there in the marketplace that's not necessarily always been the issue from a demand and product mix perspective . Competitive intensity has been high in the past as well, but non-par product mix has been in the mid -30s right through this entire period. So, we will continue trying to do different and new things, and stay away from just pricing game.

Moderator: Our next question comes from the line of Nischint Chawat he with Kotak Instit utional Equities.
Nischint Chawathe: Thanks for taking my question. Just curious, what is our moat in the non-bank alliances? And especially, I think as I see the product mix, the share of ULIP s is fairly high in this segment, especially where it is a multi -insurer shop. So, one might just be a little bit more careful in terms of persistenc y in these channel s.
Vineet Arora : So, in the non-bank alliances there are two categories that we have merged, and we have combined all the corporate agen ts together. I think there is some partners who are higher on
ULIP and do more ULIP, and that's the mix which has gone up in the first quarter. Overall, the mix is fairly in line with what the organization mix is, as far as ULIP is concerned. It is not that it is very high on the non -bank alliances. What also happens is that at a unit or partner level, especially in non-bank alliances, our commercials are completely aligned to what the margins of the product are expected to be or what kind of expense that we c an charge to those people. So, think from that angle, this does not really impact the margin .
Vibha Padalkar: And I want to add here, Nis chint , that you'll be surprised to find that some of our channels are operating at slightly higher than the company level margins, despite some of the product mix that you see on slide 17. It is a function of two or three things. One is, like Vineet said, at what commercials does it make sense? It obviously can not be same commercials ag nostic of whatever is being sold. Second is that what kind of persistency is that channel delivering because like Niraj mentioned earlier, it can have a very different outcome on the fortunes of a unit-linked product for the company. Some channels are ab

le to deliver much higher levels of persistency.
So, it is a combination of these things and it is now getting more nuanced , it is not necessar y that unit-linked will lead to a poorer outcome on margins and that is what we calibrate on a daily basis at a channel and sub-channel level. And philosophically, each one of our channels will and do operate very close to company level margins. So, some of these things, the channel CEOs do very well in terms of need of the channel and where demand is , what co uld be evangelized through the system in terms of rider attachments and so on. For a particular channel, maybe fully underwritten , say protection product maybe fine as long as there is straight through processing , for another channel , that's a lot more sensitive to price, that might not work and so on. So, many nuances on that as against just a unidimensional impression that slide 17 in our presentation gives .
Niraj Shah: And also just to add to what Vineet and Vibha mentioned, if you look at the mix, I will just highlight maybe two differences. If you look at non-par mix, it's 27 % for non -bank alliances versus 19 % for the company. And if you look at term, it's 14 % versus 6 % for the company. So, this itself tells you the kind of ability to have product mix which is very different from what you see in some of the larger banks. And that really definitely helps in terms of maintaining overall profitability at the levels that we want.
Nischint Chawathe: And these are all multi -insurer shops , right?
Niraj Shah: Absolutely, all of them.
Vibha Padalkar: Actually, other than direct, all other channels out of the four quadrants on slide 17 , are multi - insurer shops. Agents also realistically might be multi -insurer .
Moderator: The next question comes from the line of Mohit from Centrum.
Mohit: My question is on retail protection. So, have we seen any repri cing in the retail protection? And we had introduced three protection products past year, Ultimate, Super, and Elite Plus , how has the performance been for th ose product s?
Niraj Shah: So, I think all the products that you spoke about are doing quite well. They were targeted at different segments that we did not have solutions for earlier. So, all of them have started to scale up and a re doing quite well. As far as pricing is concerned, I think it is more gradual, business, as usual, granular approach. To answer it clearly, there is no big -bang change that we have seen. But as Eshwari mentioned earlier, as we go deeper into India , we can expect different customer experience. That customer experience needs to be either priced for or it needs to have a different underwriting process or a combination of both. That's w hat we are kind of trying to do over the last few years. And it's a continuous learning process as we get more data, access to more information, we are able to make the process more frictionless , but still be able to assess the risk. At the same time, getting more surrogate information to be able to make our assessment. And at the same time, you referred to some of the new products that we have launched. Some of it has actually helped us address that in terms of getting through to different customers , for some customers process is important , for some pricing is important and for some flexibility in terms of how their coverage shapes up for the year is important. So, a lot of these things play a role and pricing is one aspect, but not necessarily the only thing really required. And the other aspect of pricing is in terms of the reinsurance capacity has been reasonably stable. In fact, we are

seeing some enhancement in capacity. They are willing to take a slightly longer -term view in terms of increasing pene tration. The pricing is definitely a lot more sustainable now co

mpared to what it was probably 3 to 4 years back from a reinsurance perspective and that is going to actually be a good development from the perspective of sustainable growth of the sector.

Moderator: Our next question comes from the line of Aditi Joshi from JP Morgan..

Aditi Joshi: My question is broadly related to the channel side. The agency channel has somewhat suffered across the industry from the surrender regulations and given this quarter 's trend , the growth could be higher in the other channels like banks. But going forward, do you think this trend is likely to be continued or we can see some pickup in the Banca channel, especially given that agency could remain at this level of gr owth for a while ? So, just some color or how you're thinking about the growth across the channels will be helpful.

Vineet Arora : So, I think for the year, we are looking at all channels growing at very similar levels. In fact, given the investment that we are doing in agency, we expect it to grow faster than the other channels during the remaining months for the year. So, as the impact of all the investments and all the transformation and exercise comes in, we should see better growth coming in the agency channel as compared to others. Overall for the year, I would say all the channels, we are expecting them to grow at a similar number.

Aditi Joshi: So, espec ially on the bank side and you even split this as HDFC Bank and others, , you think it is basically only the base effect that is showing up as a low double -digit growth this year or how are you thinking about that?

Niraj Shah: So, we did mention that the counter -share expansion in HDFC Bank happened in Q1 and H1 of last year. That is something that is now steady. So, the growth that we get from HDFC Bank is going to be more reflective of how the bank grows, which has been fairly steady in this period. Other banks that Vineet spoke about earlier, we continue to obviously compete in intense open architecture while maintaining our overall approach of growth , profitability and risk. And that is something that will develop as the year progresses. But all the channels are growing. Agency, we spoke about , our aim for the agency business is what Vineet spoke about as well . But as far as the banks are concerned, I think all of them are growing reasonably well.

Vinee t Arora: Yes, I think some general volatility , in any of the banks , keeps on happening based on some competitive pressure and what we might do tactically for a shorter period of time in that particular relationship. But overall, for the year, we do not exp ect it to vary much and every channel is expected to be in the same range.

Moderator: Our next question comes from the line of Nitin Jain from Fair View Private Limited.

Nitin Jain: My question is on the growth that we have seen in Q1. So, we have certainly done better than the industry in Q1, which is also reflecting in the market share gain. But have we also done better than our own internal expectation that we had at the beginning of the year, given that we have a high base for H1? And if so, are we a little more upbeat about FY26 growth or there is no change from the view that we had at the beginning of the year?

Vibha Padalkar: Yes, Nitin, this is very much in line with our expectations at the beginning of the year because if you were to look at a 2-year CAGR basis, it is 21.5% growth and that you will agree is a fairly handsome number even versus some of the buoyant periods that the sector has seen. So, yes, I think very much in line and also in terms of margin delivery ,, digesting the 30 basis points impact of surrender charges and so on, we have seen in a way underlying margin expansion of 40 basis points. And VNB growth also on a two -year CAGR basis is 15%.

Moderator: As there are

no further questions from the participants, I now hand the conference over to M s. Vibha Padalkar for clo sing comments.

Vibha Padalkar: Thank you for joining us today. Should you have any follow -up questions, please feel free to contact our Investor Relations team. Wishing you a pleasant evening. Thank you.

Call: Oct 2025

October 24 , 202 5
Ref. No .: HDFC Life/CA/202 5-26/43
Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 54077 7
Dear Sir /Madam ,
Sub: Transcript of earnings conference call for the quarter and half year ended September 30, 2025
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Wednesday, October 15, 2025, to discuss the financial results of the Company for the quarter and half year ended September 30, 2025.
The said transcript is also hosted on the Company’s website at https://www.hdfclife.com/aboutus/investor - relations .
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Nagesh Pai
Company Secretary & Compliance Officer
Encl.: As above

Earnings Conference Call
October 15, 2025

Vibha Padalkar: Good evening all and thank you for joining us for our earnings conference call for half year ended September 30th, 2025. Our results, along with the investor presentation, press release and regulatory disclosures, have been made available on our website and the stock exchanges.
Joining me on today’s call are Niraj Shah, Executive Director and Chief Financial Officer; Vineet Arora, Executive Director and Chief Business Officer; Eshwari Murugan, Appointed Actuary; and Kunal Jain, Head - Investor Relations, Business Planning and ESG.
Macroeconomic Context:
FY26 has progressed on a stable footing for life insurance, even amidst persistent global uncertainty driven by geopolitical tensions, trade disruptions and uneven growth across economies. Closer home, the Indian economy continues to demonstrate resilience, supported by stable GDP growth and encouraging signals from rural markets, helped by a generally good monsoon and improving farm incomes.
While early festive trends have lifted sentiment, high-frequency indicators present a mixed picture. Urban demand remains patchy, and some consumption indicators have moderated. In this evolving macro environment, we remain focused on disciplined execution and delivering sustainable long-term growth.
The recent GST revisions are a constructive structural shift aimed at simplifying compliance and improving affordability. We have ensured that the full benefits of the GST exemption are passed on to our customers. With product pricing now more attractive to customers across segments, we expect to see stronger demand over the medium to long term. While the withdrawal of input tax credit may result in short-term margin pressure, we are confident, similar to the surrender value regulation changes, of managing this effectively over the next 2-3 quarters through operational adjustments and close distributor engagement.
Stepping back, the life insurance sector remains structurally well-positioned, anchored by long-term savings demand, increasing financial awareness and a deepening protection mindset. Our diversified product suite and balanced distribution architecture equip us well to navigate near-term transitions while staying aligned with the sector’s robust long-term growth potential.
Business Performance:
H1FY26 concluded with topline performance broadly in line with expectations. Individual Annualized Premium Equivalent (APE) grew 10% year-on-year, translating into a healthy 2-year CAGR of 20%. We outperformed both the overall industry and the private sector, resulting in a 90 bps increase in overall market share to 11.9%, and a 30 bps gain in private market share to 16.6% for H1FY26.

Growth was broad-based, with several encouraging trends. Tier 2 and 3 markets clocked faster growth compared to Tier 1 cities, reflecting our continued success in expanding reach beyond metros. Over 70% of new customers acquired in H1 were first-time buyers with HDFC Life, reflecting our ability to deepen reach and tap into new customer segments as we incorporate our learnings into our customer onboarding process, underwriting approach and product offerings.
Business momentum was driven by a combination of factors i.e., higher average ticket sizes, sustained traction in ULIP and Par products and resilient demand across income segments.
Growth in number of policies remains at a healthy 2-year CAGR of 9%.
Renewal collections grew by 18% year-on-year. Persistency ratios were stable, with 13-month and 61-month persistency at 86% and 62% respectively. These trends reflect the underlying product and tier mix.
Product Mix:
Our product mix in H1FY26 remained well-balanced and aligned with evolving customer preferences and market dynamics: with ULIPs contributing 42%, participating products at 29%, non-par savings at 18%,

term at 7% and annuity at 4%.
ULIPs continued to witness strong inflows, driven by a combination of positive equity market sentiment and a steady customer appetite for market-linked returns. Our ULIP offerings are designed not only to capture this demand but also to provide enhanced protection benefits via higher sum assured multiples and flexible rider options.
Participating products maintained steady demand, supported by recent launches and a preference among customers for lower-risk instruments amidst macroeconomic uncertainty.
We are beginning to see a pick-up in demand for non-par savings products, supported by the steepening yield curve and higher customer appreciation for long-term guaranteed solutions.
While we have seen varied pricing approaches across the industry in recent months, we expect a more balanced environment going forward, particularly as stakeholders absorb the full implications of the GST changes. Our own approach remains grounded in long-term sustainability and customer value.
The annuity segment, meanwhile, continued its strong momentum, delivering 16% growth in overall new business premium.
Retail protection grew 27% YoY, outpacing overall company growth. Our newly launched Click 2 Protect Supreme combines comprehensive life, illness, and disability protection with flexible payout options and value-added features like Smart Exit and income boost. We are also seeing

early signs of improved demand post-GST changes, and are working on multiple initiatives to drive awareness and adoption of affordable protection. While it’s early days, on retail protection, growth post GST changes was more than 50% in the month of September.
In credit protect, trends in the MFI segment showed signs of revival, with growth resuming in September. Other segments continued to see steady progress driven by improved attachment rates, wider coverage across lending partners and new partner additions.
Retail sum assured grew at a healthy double-digit rate, with a 26% CAGR over two years. We continue to maintain leadership in overall sum assured, underscoring our strength in protection-led propositions.
Financial and Operating Metrics:
New business margin in H1 prior to factoring the GST impact was 25%. Post GST, new business margin for H1 was broadly at FY25 levels, at 24.5%. This translates to VNB growth of 12% pre-GST and reported growth of 10% on YoY basis and a 2-year CAGR of 14% for H1FY26. New business margin in H1 was impacted, as expected, by the withdrawal of input tax credit under the revised GST regime. Around 80% of the business in September was issued post 21st September. This, along with the effect of surrender regulation changes from previous year also weighed on margins vs the previous year. The margin impact was partially offset by higher share of protection and improvement in inherent product margins.
We are actively implementing a series of measures to neutralize the GST-related impact on a run-rate basis over the next 2-3 quarters. We expect to see restoration of a more normalized VNB growth next year i.e. FY27, led primarily by top line expansion. In our view, the GST reform is a momentous, forward-looking change with the potential to structurally expand long-term demand and deepen life insurance penetration in India.
Profit after tax in H1, rose 9% YoY to ■994 crore.
Embedded Value stood at ■59,540 crore, with an operating RoEV of 15.8% on a rolling 12-month basis. The solvency ratio was at 175%, reflecting a combination of dividend payout, repayment of ■600 crore subordinated debt in Q2, writing more protection business and the GST impact.

We plan to raise up to ■750 crore in subordinated debt in one or more tranches in H2. The fund raise is expected to enhance solvency by around 7%.
We are pleased to share that our Assets Under Management (AUM), including that of our wholly owned

subsidiary HDFC Pension Fund Management, has crossed the ■5 trillion milestone; a significant landmark in our 25-year journey.

Distribution Highlights:
All channels recorded healthy growth during the period. Our counter share within HDFC Bank remained stable, while partnerships with other banks also showed healthy expansion.
The proprietary channel achieved strong double-digit growth in Q2. Agency channel has delivered a robust two-year CAGR of nearly 20% in H1FY26, maintaining a healthy double-digit protection mix and driving profitable growth. Agent additions remained healthy, with over 50,000 new agents onboarded on a gross basis in H1 FY26, of which 80% were from Tier 2 and 3 geographies. Our focus continues to be on enhancing profitability at the branch level alongside broader agent activation initiatives.
Other updates:
Our Indian subsidiary, HDFC Pension Fund Management, continued to deliver robust performance, registering a 37% year-on-year growth in assets under management and maintaining its leadership with over 43% market share. Its AUM nearly reached Rs 1.40 lakh crore as on 30 September 2025.
Our people remain central to our sustained success. We continue to invest in nurturing a supportive, inclusive and empowering workplace - one that fosters innovation, collaboration and a strong sense of belonging. We are proud to be recognised for our employee-centric practices:
■ Named among the Best Companies for Women in India 2024 (BFSI)
■ Honoured as an Exemplar of Inclusion in the Most Inclusive Companies Index 2025, by Avtar & Seramount - for the second consecutive year
These accolades reflect the culture we are building, one where every individual can thrive.
To sum up:
As the external environment evolves, we remain confident of the long-term growth potential of life insurance in India. The recent GST reform, while necessitating some recalibration for industry stakeholders, is a structurally positive step - it makes life insurance products more affordable for customers. We remain optimistic about our growth trajectory for H2, with sustained demand across segments and improving consumer sentiment. With a resilient business model, a trusted brand, and a history of disciplined growth through cycles, HDFC Life is well-positioned to grow ahead of the industry.

As we mark 25 years of serving Indian households, our commitment to providing financial protection and building lasting value is stronger than ever. We thank you for your continued trust and support.
For a detailed overview of our results, please refer to our investor presentation. We are now open to any questions from the participants.
Moderator: We will now begin the question-and-answer session. The first question comes from the line of Avinash Singh with Emkay Global.
Avinash Singh: Two questions, first one is on capital. If I see sequentially, solvency ratio has dropped 17 percentage points, I would think nearly 6-7 percentage point impact would come from some retirement of your sub-debt, some part of it will be growth and partly, it could also be due to yield curve movement-led MTM adjustments on some of the hedging positions. Are there any other elements here? And more importantly, tis this the capital level comfortable to support your growth? Do you have any plan to raise sub-debt or any other way to augment the capital? So, that is on capital and growth.
Second, on GST and margin, if I were to just glance through the sensitivity given, i.e., how VNB changes if there is a 10% increase in acquisition cost and maintenance, that’s on a ceteris paribus basis. But the impact, looks meaningful, 18% cost increase on nearly 50-60% of costs that are non-salary related. So, there is a reasonable amount of acquisition cost and maintenance going up.
So, that is wher

e my question is, as you pointed out that, over the next two-three quarters, you
will be doing the adjustments to overcome this impact. So, is there a possible way out unless, the distributor also shares the burden? Because, if this burden is to be absorbed only by product changes or to be absorbed by you, it looks a bit on the higher side. So, are distributors going to part of this burden sharing? Will they sort of share some bit of this load as well?

Vibha Padalkar: So, I will take the second question first, Avinash. On the distributors, a quick conversation. See, it is not only the distributor. It is four or five things that we will do to neutralize it. And we have to be equitable between different stakeholders to be able to do it.

You have mentioned distributors, I think, given changed economics, some of that will certainly happen. We have demonstrated that with surrender charges also. At the same time, we will be pragmatic about it.

There will also be conversations with all our vendors, because only around 50% of the input tax issue is due to commissions. There are others like outsourcing costs, technology costs, and so on. And we will have these conversations with those vendors also.

Then we also have a focus, along with the distributors, not only about commercials, but also on what product mix can we jointly focus on. Even more so than what we were doing, perhaps before GST. So, that is an uplift in terms of unit linked with higher levels of mortality, riders, longer-term par. Every product has some further that we can extract on margin. So, that also will happen.

We will also look at new products. Is there something that is topical, variable annuity, for example. So, there might be some new-to-market products that can also get us that fillip.

And the last point is overall growth, because what we are missing in all of this is that growth is expected to come in a big way. We have already seen 50%+ growth in the month of September on retail term. As we start evangelizing the monumental impact of GST exemption to the customer, hopefully even in other parts of our business, we start seeing that kind of uptick.

So, obviously we can't get into each of the specifics because these are all inter-say conversations, but all of this is something that we have already started working on and many of these things we already are done and dusted with.

Niraj Shah: As far as solvency is concerned, the starting position was 192% in June, you mentioned a couple of elements. There are a couple of others which we would like to highlight. Starting with the dividend payout that we had done earlier in the year, that has about a 4.5% impact. Subordinated debt, we retired, about Rs. 600 crores, so that has around a 6% impact.

The GST impact, we have articulated about 150 basis points impact on solvency. And as far as the rest of it is concerned, it is a function of higher growth on the longer-term individual protection products. That has caused this, as well as the new business strain is embedded into this number.

So, historically, if you look at our solvency levels, they have been in the 180%-185% band. We are reasonably comfortable running at that level. We do plan to raise about Rs. 750 crores of subordinated debt in this quarter. So, that should kind of get us to the levels that we are reasonably comfortable with. And as we know that this is a fairly conservative solvency regime and as we graduate to the risk-based capital solvency regime over the next 12 to 18 months, I think the solvency position will appear to be a lot more robust than what it appears at this level. While the regulatory requirement is 150%, we believe 170%-185% is a fairly good number to operate with.

To your earlier point also on the sensitivities that you referred to on acquisition costs, I think the numbers all kind of tie-in. We have

talked about 0.5% impact for half year. That is basically, it
is about 15% of the period's business. So, you could actually take a gross impact of around 3% for the year. That is what we basically have indicated with our disclosures. And if you were to

tie in the acquisition cost sensitivities, given what Vibha spoke about, not all the costs are impacted from an input tax credit perspective.

So, keeping in mind the composition of our business in individual and group, as well as some of the acquisition costs not having got impacted at all, it kind of ties in with the impact that we are talking about on an annualized basis of 3% with a 10% increase in acquisition costs. So, that is broadly our thought process around this number.

Moderator: The next question comes from the line of MW Kim with J.P. Morgan.

MW Kim: I have two questions. The first question is about the business growth opportunities in Tier-2 and Tier-3 cities. Following the GST tax removal, the insurance products have become more affordable to the public, and the company has been an early mover in developing the business in

Tier-2 and Tier-3 cities. With growing brand awareness and initial success in these regions, what is the company's target for the sales contribution from those regions over the next five years? So, I just want you to quantify on this impact.

Next question is about the asset liability management. We have observed that the company's embedded value and new business value margin sensitivity to the interest rate movement has decreased over the past six months. So, given the current macro volatility, could you elaborate on whether this reduced sensitivity has come at a higher cost or if it remains manageable through the asset management solutions? Additionally, is the bond market sufficiently developed to serve as an effective hedging tool for your asset liability management needs?

Vibha Padalkar: On the first question, Tier-2 and 3 is about two-thirds to 70%, it is somewhere in that range on an APE basis. On a number of policies, it is slightly higher. We expect it to continue similarly because if we were to look at the underlying growth rates, while Tier-2 and 3 is slightly at a higher clip, my ticket sizes are a little bit lesser. So, that is how I think we will see it panning out over the five-year time horizon.

Vineet Arora : I think you also asked about impact of GST on this mix. So, clearly, we have seen a lot of traction happening because of GST, more so in our term business. And we do expect that trend to continue, though it will be normalized from the kind of increase that we saw towards the end of September. We do believe it will get normalized as the things become more business as usual. But definitely in a product like protection, in which the GST impact is quite large and very visible, we expect that to contribute to this continued growth of business.

Niraj Shah: To your second point in terms of asset liability management, like you rightly mentioned, the sensitivities have been fairly range-bound and maybe even going down in the recent periods. It is basically a consequence of a couple of things.

One is our hedging approach hasn't really changed too much. It has been broad-based in terms of duration-matching single premium products and cash flow-matching regular premium guaranteed products through a combination of external and internal instruments. So, that hasn't really changed too much in the past five to six years.

What has happened is that, like you alluded to in terms of, is it coming at a higher cost? Not necessarily. The reason for that is that as interest rates move, we alter our pricing and the cost of hedging is an intrinsic part of that pricing decision as well. So, it is not something that causes an additional dent to any of o

ur economic metrics.

Also, the broad-basing this hedging approach allows us to decide between each of these instruments from different points in time depending on how the economic aspect of a forward-rate agreement works from time to time. So, I think that is broadly how things have been.

Eshwari Murugan : Just to add to that, the sensitivity captures the impact of the interest rate movements on the shareholder assets and the assets with the policyholders which are over and above the best-estimate liabilities because on a statutory basis, we are required to hold higher assets and depending upon where these assets are invested and shape as well as the level of the yield curve, the sensitivity will be slightly different.

But as Niraj mentioned, it's always been range bound and very important to note that in an interest rate down scenario, our values are going to be higher which is what we primarily look at when we are hedging or matching our liabilities under the non-par guaranteed products.

So, the interest rate up is an adverse impact on EV and NBM. That is because the assets are invested in bonds and when the interest rates go up, the value of the bonds reduces. So, only the excess assets are exposed to the risk. All the policyholder liabilities, they are perfectly matched by cash flow matching or by duration matching as mentioned in our Slide 17* of investor presentation.

*Slide 23, incorrectly mentioned as slide 17 in the call

Moderator: The next question comes from the line of Shreya Shivani with Nomura.

Shreya Shivani: Both my questions are around the GST only. Can you help me understand which products get impacted the most because of the GST, in descending order? So, you know, protection, ULIP, non-par, par, whatever it is.

Second is, I wanted the clarity on, if you do nothing, how much of a VNB margin hit on an annualized basis comes for you? And how much time should we build in for expecting that all the negotiations, etc., would get completed?

Just one data keeping question. In your VNB walk, can you explain what is that impact of delay in pricing, that first bit in that chart?

Niraj Shah: We will just start with the last bit on the VNB walk. The starting position on a reported basis was 24.6%. And if you recollect in the previous quarters, there was a point in time when we had articulated the gap in margin due to lag in repricing. That is what we wanted to just restate here to basically say that once you neutralize that, the margin would have been 25% at the beginning of the period and end of the period is 24.5%. But on a reported basis, it is 24.6% to 24.5%.
Vibha Padalkar: So, just to interject here, we didn't want to start off with 24.6% is a limited point. We wanted to say that last year was, should have been 25.0% in H1.
Shreya Shivani: Yes, I remember you didn't reprice the products.
Vibha Padalkar: Yes, which is why we are saying that H1 margin last year was higher. So, actually the starting point is higher.
Niraj Shah: Second is you asked for the annualized impact. I just spoke about it a while back where we said that 0.9% for the quarter or 0.5% for the half year basically is representative about say one sixth of the business. So annualized basis, you would expect a gross impact of about 3%, which ties in with the earlier question around acquisition expense sensitivity.
So, that is on a gross basis. Of course, that is not something that we would want to maintain or stay with. So, our objective is to try and neutralize that over the next couple of quarters. On a run rate basis, we would be very close to where we want to be by end of the year. So, that is something that we would endeavor.
Lastly, in terms of impact of different product segments, I think at least from our perspective, given the market dynamics that we operate in, the biggest impact for us is on unit-

linked
products. And the rest of the products are in some sense fairly benign compared to the impact that we have on unit-linked products given the cap on charges. And that is something that we will try and solve for compared to some of the other business lines.
Shreya Shivani: Just to follow up, you said by Quarter 4 end, probably we would be closer to a more normalized VNB because we would have neutralized the impact, through all the negotiations that we are doing, right. That is what you mentioned?
Niraj Shah: Yes. So, FY 27, we would expect a fully normalized delivery. End of this year and beginning of next year is when the levels would be very close to where we would like them to be.
Vibha Padalkar: So, while we have set two to three quarters, we will try and wrap this up in two quarters.

Moderator: The next question is in the line of Prayesh Jain with Motilal Oswal.
Prayesh Jain: Just extending the previous question on GST trend, you said gross impact is 3%. Now that obviously doesn't factor in the growth that can come in from this, right? So, if you look at the second half, even if you take the gross impact, it is about 3%. But obviously, even if you don't make any alterations to products or to commissions, you still will have some net benefit coming in from the growth, right? Is there a fair way to look at it?
Niraj Shah: Yes, you are right. It is just that we will again take you back to what we discussed at the beginning of the year. If you look at a VNB walk for quarter one as well as for H1, you do see a negative on the fixed cost absorption. Now that is because we are, like we have discussed in the past, capacitized for 16% to 18% growth. But currently we are, while growing faster than the sector, we are still at 10%.
So, we do expect some of this to kind of linger in the second half as well. We do hope to close the gap but we expect this to be a drag still. So, while H2 is likely to be on a higher growth compared to H1, there could still be some lag there. But we will see where we end, given how things are right now.
Prayesh Jain: The second question is on the non-par side. While you mentioned that the ULIP demand has been strong, but is this reduction in non-par is a strategy also, given that the competitive intensity has been high? Because we have seen with some other players the non-par share has been going up and there has been a decently strong demand on the ground for non-par.
So, is there a strategy wherein you are letting go of the business given the competitive intensity? And how do you kind of see this panning out, from where we are today in the first half, do you see the second half could be significantly higher? How should we think about this?
Niraj Shah: Yes, so I think we do expect some pickup in non-par to happen in the second half. And everything that you mentioned is right. We do see some aggression in pricing, which we try and stay away from. We obviously will try and continue to innovate on the product front to try and bring more relevant and interesting propositions to customers.
While we do that, in our case, till last year, the product mix was in the 30-odd percent range. It has come off from there. I think for some of the peers that you are referring to, probably they started on a much lower base compared to where we did. So, I think that is also something to consider.
Having said that, it is definitely a category that we expect to pick up in the second half from a demand perspective, especially given the way the interest rates have moved in the last three-odd

months. It just makes the category more attractive.

Moderator: The next question comes from the line of Madhukar Ladha with Nuvama Wealth Management.
Madhukar Ladha: So just to re-emphasize, if you don't do anything, the

re will be a 300-basis point impact because
of GST, that will partly get offset with volume growth. However, fixed cost absorption may still
be a little bit negative until the end of the year. So, that drag may still continue as far as the
margins are concerned. Is that the right understanding?
Vibha Padalkar: Yes, so I just want to interject. Before all this GST happened on 3rd of September, what we had
alluded to is that last year FY 25, we had ended at 25.6%. And we said that margins will be more
or less range bound and VNB growth will be in line with top line growth because of investments
in two areas that we had talked about. So, that was the starting point.
Now GST impact is there, we have called it out. And we are saying that we will end this year,
over the next two quarters, neutralizing that impact. So, intrinsically, when we have said that we
are going to hold the margins, also this negative impact is due to lower growth. So, we are
capacitized to grow at about 16%-18%, but we said growth is in the early teens, and hence this
is the carrying cost.
So, nothing changes on that front. Unless, because of GST in the second half, overall growth
starts seeing a material uptick. We are seeing that in protection. It is early days, but if that were
to come in sooner rather than later even on some elements of savings, then yes, that differential
should go down fairly rapidly. But we are not factoring it as of now and will watch this space
very closely.
Madhukar Ladha: I also see that that actually if you see your product mix that's moved more towards Par and ULIP,
still the change in business profile is resulting into a positive impact on the margins. So, what
exactly are we doing over here? And you had mentioned that we still have further levers on this
count. So, I wanted to get a sense of, how much further margin improvement can come as a
result of this and over, the next 6-odd months, what sort of driver could that be?
And second, on persistency, 13th and 37th months, we are seeing some dip in persistency. So,
what would be the reason for that?
Niraj Shah: To your first point in terms of the levers as well as the product mix implication on margins. So,
if you were to just look at from the broad categories' perspective, protection has grown at 27%,
which is almost 3x that of the overall company growth. That obviously has played a significant
role in terms of improving the margin profile from a product mix perspective.
Annuity has grown at about 16%. So, I think that also is a fairly significant contributor to that.
Par mix has gone up, which is a little lower than company average margins, but I think it is not
really creating any dent.

The biggest change that has happened is on the unit-linked front, where about one-fourth of the
business that we now do is on higher sum assured. And that is something that absolutely
meaningfully alters the margin profile of this product category for us. And that has actually more
than made up for some of the product mix impact that you would impute from a unit-linked mix
going up and non-par going down. It's more than got neutralized by this factor, apart from the
protection growth and the annuity growth.
In addition to this, the flip side of non-par mix going down is basically pricing discipline, which
adds to the inherent margin of the product. Of course, that's got helped with the way the interest
rates have moved as well. So, all of these things have got the product profile to improve in spite
of the product mix appearing the way it is.
Vineet Arora : I will just add one point here. I think you also spoke about what is the further runway for this
margin increase. Now, you know, one of the parameters that we are looking at and when we are
talking to distribution partners is also to enhance the contribution of this high sum assured and
higher margin ULIP

to compensate for the entire GST impact. And as that discussion goes
forward and we are closing certain counters with that kind of discussion, we do expect mix of
higher sum assured ULIP to even go up further. So, the mix of ULIP between the normal ULIP
and the higher sum assured ULIP will also alter.
Vibha Padalkar: Another point is that, we have been investing and we have talked about it in our agency channel
and growth for the quarter has been materially higher than overall company level growth. And
margins from agency channel are comfortably also higher because of better product mix. So,
just as that, even apart from product mix, even as channel mix continues to move in favor of

agency channel, some of that uplift should also come over the next 6-9 months.
Niraj Shah: On persistency, I think, just the headline number impact is really that of the mix shift in terms of ticket size. That is really the biggest delta between what you see on the 13th month at this point of time, apart from the mix shift that we have spoken about in terms of geographies. So, that is something that we are now building into our business model and we will work towards improving on that as we go forward.
Moderator: The next question comes from the line of Sanketh Godha with Avendus Spark.
Sanketh Godha: So, my first question, if you want to deliver say 15%-16% growth for the full year, the back calculated growth for second half comes to around 19-20% for you to deliver. So, just wanted to understand that the 19-20% growth, how confident you are to deliver in second half so that the 60-bps negative impact of fixed cost absorption can be fully neutralized? So, just wanted to understand the growth color there, given you might be going through a kind of disruption phase when you are negotiating commissions with the distributors. So, that is point number one.

And the second thing I want to check is that your Banca channel growth seems to be flat for first half year-on-year. Bulk of the business comes from HDFC Bank. So, is it fair to say that the market share gain story largely played out till last year? Now, even to that extent, bank is still struggling to contribute anything to growth because the number of policies or premium in general is not growing in that channel. And if it is the case, when you see the revival in the particular channel to happen?
One more thing if I can add. See, the yield curve benefit, I believe, will play out in second half. So, is it fair to say that the non-par margins might look little better in second half compared to first half? And therefore, that could be a negating factor to all the GST-related issues on the margins.
Vibha Padalkar: So, on the first point on growth, Sanketh, I don't think we have alluded to the numbers that you talked about, 16%-19% kind of growth. We have talked about early teens because we are coming off a big base. And also, like we explained in Quarter 1, we can't be decoupled with whatever is happening in the lending environment, in bank growth, overall system-led growth in the BFSI sector and even otherwise. So, we are holding on to what we said, which is early teens growth. And we are on track. We have also said that we will grow faster than the sector and that we have comfortably done with market share expansion, like I mentioned in the call.
So, I if your backward calculation says that we were to eliminate the drag due to lower fixed cost absorption, then yes, we will deliver the kind of growth you mentioned. And that is exactly what we are saying, that because of the overall system-led, or macro environment-led drag, we have under-absorption of cost.
So, we are retaining our outlook of what we said in first quarter and not factoring in any upside that could come through because of GST. We have factored in whatever downside, we have explained that. And there can

only be an upside due to higher volume. That is on point number one.
On point number two on HDFC Bank, we have more or less retained our counter share. See, like I mentioned in the past also, it is not difficult at all, it is our parent. For us to get to 70% or whatever that 'X' percentage share. But really what we are focused on is improving our margins while retaining the current share. And of course, down the line, we are getting more and more nuanced. Now, HDFC Bank also has grown in line with company-level growth. So, it is not really a drag. And on a two-year CAGR, it is a very respectable 20% growth.
Also, we are very selective in terms of what parts of what the bank sells we want to have a share in. And channel has delivered 40% growth on retail protection. So, we are getting more and more nuanced as to what do we want to sell rather than being agnostic between say Rs. 100 of unit-linked and Rs. 100 of protection just to show a higher wallet share. So, that is as far as the HDFC Bank relationship is concerned.

Eshwari Murugan: On non-par, yes, you are right. The margins will be better given the increase in the yields at the longer end. So, that is a right conclusion.
Sanketh Godha: So, sorry, Eshwari, if you can say that if the yield curve holds up at the current level, maybe any positive rub-off you will have on margin delta because of the current shape of the curve, if it holds up for the entire half, second half?
Eshwari Murugan: Yes, if it holds up, we will have a margin delta, but then we just have to look at balancing it against competitive intensity.

Vineet Arora: Exactly. So, yes, if everything else remains the same and that is the only factor then margins will improve. But however, if there is competitive pressure to pass this on, then margins would come back to normal.
Vibha Padalkar: And also, some of the negating of the GST, you know, so many things like this will be in fray. But on a standalone basis, what you are saying is technically correct.
Moderator: The next question is from the line of Dipanjan Ghosh from Citi.
Dipanjan Ghosh: Good evening, everyone. So, just two questions from my side. One, in terms of your non-H Bank partnerships on the Banca side, can you give some color on how your counter share has been changing over the past 12 to 24 months? And just one small question in terms of timelines for the launch of the variable annuity product.
Vineet Arora: So, on the banks beyond HDFC Bank, we have seen a lower growth for the first 6 months. I would say first quarter we had a lower counter share in few of these banks, but towards the second quarter we have been able to recoup our counter share back to what it used to be. And as you know things are panning out, we are now pretty confident of retaining our counter share in these banks.
Vibha Padalkar: And also, some of these banks added more partners. So, it was not that we per se lost counter share. We just had more partners in the open architecture construct, but it has settled down.
Vineet Arora: Yes, I think it will settle down now. And second is, if you also look at our two-year CAGR on these bank counters, it is a healthy 22%.
Niraj Shah: On variable annuity, we are in conversations with the regulator. Hopefully, we should be able to launch it in the last quarter of this year.
Moderator: The next question comes from the line of Nischint Chawathe with Kotak Institutional Equities.

Nischint Chawathe: This is essentially on solvency. How much leeway do we really have beyond the proposed issuance for further capital raise? I mean, if growth in the protection business continues to remain high and especially after getting some tailwinds from GST exemption, to what extent can we support growth and is there going to be any need to

raise equity? So, what are the tools available out there? t
The second is essentially if I look at your P&L statement, there is a reasonably sharp year-on-year decline in policyholders' surplus. So, what is driving this? And just a tiny one over there is your single premium commission rate has again significantly increased on a year-on-year basis.
Niraj Shah: So, on solvency, Nischint, I think, like we have maintained I think level close to 180-odd percent is reasonably comfortable for us to continue growing. At 175%, adding sub-debt of Rs. 750 Cr will take us to that level. Regulatory requirement is 150%. So, I think with this level of growth and product mix, I think we have a significant runway we can go a couple of years and not require equity capital.
Having said that, you are aware that risk-based capital regime is likely to get implemented in this period which will significantly alter the solvency profile of not just our company but the industry in a positive way. So, I think capital is unlikely to be any constraint for growth unless the growth trajectory is dramatically different and the product mix changes a lot faster than we think at this point in time. So, should not be an issue from that perspective.
On policyholder surplus, impact is largely a function of how the segments have done. On the participating front, it's been fairly stable. As far as the non-par is concerned, I think the lower business has actually improved the position there on the individual business. Credit life, which sits in the non-par segment, has grown at 15% in Q2. So, that will cause a strain in the shorter term. That is something that is reflecting here.
Similarly, individual protection has grown at 27%. So, that also causes a strain in the P&L. But that is something that will obviously be accretive from an economic perspective, but it will cause strain in this artificial P&L construct in which we don't have a matching concept. Similarly, the artificial solvency construct in which the requirements are not as per the risk in the product.
Nischint Chawathe: And just single premium commissions increase.
Vineet Arora: So, like Vibha also spoke in her opening remarks, we did see good growth coming in our CP business and we have also seen some green shoots in the last month on the MFI part of the CP business. So, that has shown us some good growth and also the growth in annuity has been healthy. Both of these have contributed to that single premium commission increase .
Moderator: The next question is from the line of Nidhesh Jain with Investec.

Nidhesh Jain: My question is on distribution mix. Within distribution, we have seen very strong growth in the broker channel. So, what is driving that and how sustainable is the current run rate?

Vineet Arora: So, our growth in the broker channel has been due to maintaining our share in some of the broker shops as well as a large growth in the protection business happening through some of the counters. So, these two things have been contributing to our growth in the broker channel. And we do believe it is a very sustainable growth. Even the product mix at the broker channel is reasonably healthy and giving us good margins, better than company level margins. So, that is a sustainable business for us to continue.

Nidhesh Jain: So, the share of broker channel has now become around, I think, 9% of APE. So, you think that this share you will be able to sustain going forward?

Vineet Arora: Yes.

Moderator: The next question is from the line of Vinod Rajamani with Nirmal Bang. Please go ahead.

Vinod Rajamani: So, you spoke about changes that you can make on the product, whether it is a tenure extension, attaching riders, higher sum assured and so on. Also, some channel repricing. But just in terms of rider attachment, any data that you can share? How many produc

ts currently do you have, in which you have a rider attached? And what is the plan going forward as far as the rider attachment is concerned?

The second question I had was on the group side. The way I see it, group can be a natural hedge in terms of this input tax credit. So, is there something we can do on the group side to kind of mitigate some of the impact of this GST?

Vineet Arora: So, like we discussed, that our inherent margin on the products have gone up. And largely, it is because of adding elements of riders, a higher sum assured, and a combination of all of these factors, which helped us in taking the inherent margin up. Also, the factor that more longer-term products are being sold now, as compared to, let's say, earlier. And you can see that our sum assured growth has been healthy. And these are the ones which has really contributed to inherent margins going up.

Vinod Rajamani: Any data around how many riders are attached, like, to your products? And do you have a target in mind and so on?

Vineet Arora: So, I think how many riders are attached is not really a straightforward answer because there could be multiple riders or different kind of products which have different abilities for riders. And some of the products have inbuilt riders, some of them have inbuilt protection, higher protection. So, there is no straight answer for saying that how many riders are attached. But like we said, that to enhance our margins, we do focus on higher embedded protection in savings.

And the protection could come through higher sum assured or through riders or any of these elements.

Vineet Arora: So, the group is excluded from GST and it stays that way. There is no other implication on the group from GST perspective.

Vinod Rajamani: No, so my question was around since it acts as a kind of hedge, is there any strategy there to kind of, you know, to mitigate the impact of this GST change? So, what are we planning in the remainder of the year?

Vineet Arora: So, there is no mitigation for that. Group business itself is growing at a healthy pace and that business is, let's say, immune from this GST change.

Moderator: The next question is from the line of Neeraj Toshniwal with UBS.

Neeraj Toshniwal: Just wanted to recheck on the guidance. Vibha kind of mentioned that the starting point we were probably guiding for a flattish margin by the year end. Adjusting the impact for GST, if we are able to kind of pass on, are we still sticking to that particular guidance?

And second is on the like-to-like basis, obviously, the product level margin seems to have increased significantly because if I look at the product mix, has it been only driven by ULIP, higher sum assured, particularly in ULIP, or it is across the board in all the product categories you are seeing margin uptick or the major delta is coming only from ULIP?

Vibha Padalkar: So, we are seeing an uptick throughout. And there is something or the other in terms of features that we do try and be very nuanced upon and also work very closely with the distributors and construct products that will be meaningful to customers. So, we keep finding ways and regulations also change and so on. So, it is fairly dynamic. So, yes, ex-GST, we are not changing guidance. I mean, we don't like giving per se guidance given so much of volatility. But, yes, whatever we had mentioned in the first quarter, that holds and not taking into account any upside due to positive impacts of GST.

Neeraj Toshniwal: And on the yield curve movement, are we looking to readjust our IRRs basis upwards moving curve or we are not looking to fully pass on or here also it will be driven by competitive dynamics at play? How should one think about the growth of non-par saving in that construct in the coming quarters?

Niraj Shah: We launched this category, I think, about 6.5 years back. W

e keep repricing, I think, we have
repriced upwards 20 times in this period in line with the way interest rates move. And, of course, like we discussed on the call, comparative dynamics also play a role there. And so, all of these things will, I mean, which function on a business as usual (BAU) basis, we will see what is feasible given the interest rate environment, what we are able to earn, as well as where the

competitive pressures are in the categories. So, all of that will continue on a BAU basis. Nothing different that we will do in this period.

Moderator: The next question comes from the line of Gaurav Sharma with HSBC.

Gaurav Sharma: So, first question is on the product mix of the agency channel. I am seeing the sharp decline in the contribution of non-par savings from 40% last year to 21%. So, what explains this? And going forward, like, can we see the shift in the product mix that will support the margins also? And second is on the GST cut, the changes in commission structure. So, just wanted to know that if changes are communicated to distributors, whether it will be the similar type of cuts for all the distributors or it will be aligned to product mix? Like, if a bank is doing more of ULIP, so the cuts will be on the higher side.

Vibha Padalkar: See, on the first point on non-par, I think I explained also in the first quarter, whether non-par pricing or underwriting in term, pricing in term, they are all similar. And we will continue to build business at the pricing and underwriting, in terms of quality, both on mortality and persistency, the way we think will be the right level. And we will continue to withdraw a little bit when it gets somewhat irrational and we will, of course, regain lost ground when we think there is a little bit more rationality.

I think given GST, some of the rational behavior hopefully should percolate down. We have certainly seen that in term business. And we have really grown well on retail term, almost 27%, and sum assured and so on. So, we will replicate the same on non-par. Our overall growth in non-par in H2 should be higher than in H1.

As regards all these conversations with our partners, of course, these are all one-on-one conversations. And there are so many things in the mix. Nothing is one size fits all. And it will be just inter-say between us and them. Moderator: The next question comes from the line of Mohit Mangal with Centrum.

Mohit Mangal: My first question is that, we started Project Inspire about a couple of years back. So, will we continue to invest in that in the future like we did in, like, Financial Year '24 and Financial Year '25? Point number two, we saw a marginal decline in individual policies sold. So, do you see an uptake in H2?

Vineet Arora: So, I will take your first question, which is about Project Inspire. So, we have been on that road now for more than 12 months of groundwork and maybe 18 months including design. We have seen the first few outputs coming. The employees internally, operational teams have started using that platform also for, let's say, our group business first. We will continue to do that investment, take it to logical milestones of rolling out new journeys and everything else over the next 12 to 18 months.

Vineet Arora: On the NOP side, we have consciously done a reduction of NOPs or new business policies from our lower ticket size segment where we had lower persistency etc. So, that is a conscious call. All other segments, which is greater than, let's say, Rs 50,000, have been growing healthy on the NOPs. And we do expect this to play out in the next 6 months as well.

Moderator: This is our last question. It is from the line of Harshal with Asian Market Securities.

Harshal: Two questions from my end. So, firstly on new business str

ain. So, this quarter, we have seen a
very sharp increase in the new business strain, which has led to decline in underwriting profits. So, do we expect that trend to continue in the near future also?

And secondly, in terms of renegotiation with distributors. So, how do we see that playing across channels, particularly if you can give me some color on the online channels?

Eshwari Murugan: The new business strain has grown higher than the APE growth. That is mainly because of the GST impact on the business that was written in the last eight days, which contributed to about 15% of the business in H1. Since this business was written without any changes in the commission or any other features, the strain is a little higher. But going forward, we expect that the strain will reduce because of all the factors that we discussed on how to mitigate the impact of the GST changes. Without the impact, the NB strain would have grown at a similar rate to the business growth.

Vineet Arora: The online channels largely contribute a lot of protection business to us. And we have seen a clear uptick in the protection business from all the online channels as well as from the other channels. In fact, since the GST change, the increase in the protection business and the interest of the customers also in the protection business has been quite healthy. I think we need to monitor this for the next maybe 60 days to see where does this normalize.

Moderator: I would now like to hand the conference over to Ms. Vibha Padalkar for closing comments.

Vibha Padalkar: Thank you for joining us today. Should you have any follow-up questions, please feel free to contact our Investor Relations team. Wishing you all a happy festive season. Good night.

Call: Jan 2026

January 22 , 202 6
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Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 540777
Dear Sir/ Madam,
Sub: Transcript of the earnings conference call in relation to the financial results for the quarter and nine - months ended December 31, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call with analysts and investors held on Thursday, January 15, 2026, to discuss the financial performance of the Company for the quarter and nine-months ended December 31, 2025.
The said transcript is also hosted on the Company's website a t https://www.hdfclife.com/about -us/investor -relations .
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Nagesh Pai
Company Secretary & Compliance Officer
Encl.: As above

Earnings Conference Call
January 15, 2026

Vibha Padalkar: Good evening, everyone, and thank you for joining our Earnings Conference Call for the nine months ended December 31, 2025. Our Results , along with the Investor Presentation, Press Release , and Regulatory Disclosures , are available on our Website and with the Stock Exchanges .
Joining me on today's call are Niraj Shah – Executive Director and CFO; Vineet Arora – Executive Director and Chief Business Officer; Eshwari Murugan – Appointed Actuary; and Kunal Jain – Head (Investor Relations, Business Planning and ESG).
On this call, we look forward to discussing our results , strategic priorities , and the outlook" for the sector, as well as for HDFC Life.
The life insurance sector saw an acceleration in momentum during the third quarter, supported by recent policy reforms and a rising preference for protection -led solutions. The GST exemption acted as a meaningful catalyst, particularly for the protection segment, improving affordability and driving a pic kup demand.
Against this backdrop, the industry reported year -on-year growth of around 10%, with HDFC Life growing faster at 11% on individual WRP. As expected, our growth in Quarter 3 outpaced H1, leading to an acceleration in the nine-month growth. This improvement was largely volume -driven, with a number of policies recording double -digit growth during the quarter. We expect this momentum to sustain into Quarter 4 , supporting a balanced and healthy full -year outcome.
Moving on to business performance :
Individual APE grew 11% year -on-year, translating into a healthy two -year CAGR of 17%. Our overall market share based on individual WRP expanded by around 20 basis points to 10.9% for the nine -month period. Growth was broad -based across geographies, with continued strength across Tier 1, 2, and 3 markets. We also sustained strong momentum in customer acquisition, with over 70% of customers acquired during the period being first -time buyers of HDFC Life's policies.
Moving on to product mix :
Our product mix in 9-month FY26 reflected evolving customer preferences and market trends, with ULIPs contributing 43%, participating products at 27%, non -par savings at 19%, term at 7%, and annuity at 4%. Retail protection delivered strong year -on-year grow th of 42% for the period nine months ended FY26 and 70% in Quarter 3 , significantly outpacing overall company growth. The mix improved meaningfully post the GST change, creating a clear demand tailwind.

The recent launch of Click 2 Protect Supreme has supported category expansion with a differentiated offering introduced at the right time, reflecting our ability to bring relevant and innovative products to market in line with evolving customer needs.
Protection share increased from around 7% in H1 to approximately 9% in Quarter 3 (Q3) . Rider attachment remained strong, and including riders, protection contribution to retail business now stands in double digits at 11% in Q3.
While growth is expected to normalize over time, protectio n is likely to continue growing faster than the overall company. First -time buyers accounted for a higher share within protection at over 80%, with customers increasingly opting for higher sum assured covers. We also saw increased traction from previously underinsured segments, including self -employed profiles, underscoring the widening relevance of protection across customer cohorts.
ULIPs continued to see strong traction supported by favorable equity sentiment, while participating products remained stea dy demand. Non -par savings saw an improvement in Q3 compared to H1, as customers increasingly sought long -term certainty and guaranteed outcomes. While this trend is encouraging, driving a further pickup in Q4 remains a focus area, supported by a favor

able yield curve and the launch of innovative relevant product variants to strengthen momentum in this category.
Credit Protect rebounded str ongly in Q3. The MFI segment saw a pickup aided by a favorable base, while non -MFI segments continued to deliver steady growth. Retail sum assured grew 33% over the nine -month period and 55% in Q3. This growth was supported by higher rider attachment and increased sum assured multiples in ULIP business, reinforcing the quality of growth and alignment with long -term protection objectives.
On financial and operating metrics, while underlying performance continues to be robust, you will recall that we were impacted by the new GST rollout from Q2 onwards, and in Q3, there is a one -time impact from changes under the new Labor Codes, thereby affecting both embedded value and profit after tax. The impact of the new Labor Codes amounts to Rs. 98 crores and has been reflected in embedded value relating to services rendered up to 31st December 2025.
While a better product profile helped us expand margins by 110 basis points, there was an offset largely on account of GST impact. Our margins ended at 24.4%, translating into VNB growth of 7% year -on-year and a two -year CAGR of 11% for nine -month FY26.
On an adjusted basis, VNB growth, excluding the impact of GST and surrender regulation change, would have been 13% for 9M FY26 and 11% for Q3 FY26. The GST impact for the quarter was contained to less than 200 basis points, lower th an the initial estimate impact of 300 basis points. We remain on track to largely neutralize the impact over the next couple of quarters.

Over multiple periods, we have consistently demonstrated the ability to recalibrate the business in response to changing external conditions. This flexibility has enabled us to protect margins, improve efficiency, and meaningfully mitigate the impact of regulatory and structural changes, including GST, Labor Code, and surrender value regulations.
Profit after tax grew by 7% to Rs. 1,414 crores. Excluding one -time Labor Code impact, underlying PAT growth for both nine months and quarter would have been 15%. Embedded value stood at Rs. 61,565 crores, with an operating return on embedded value of 15.6% on a rolling 1 2-month basis.
The solvency ratio remained strong at 180%, supported by the Rs. 749 crores of subordinated debt raised in Q3. In light of the expected implementation of the risk -based solvency regime over the coming quarters, we do not anticipate any requirement for further capital to support organic growth.
Renewal collections grew 15% year -on-year. The 13 -month persistency ratio moderated by 200 basis points. While we have witnessed stress in certain profiles, the experience is largely cohort -specific and does not reflect a deterioration in overall portfolio quality, and mitigating steps have already been taken. We are pleased that the 61st month persistency remained strong at 63%, improving by 200 basis points year -on-year.
Moving on to distribution highlights :
Growth remained healthy across channels, supported by a diversified distribution architecture.
Counter share within HDFC Bank stayed broadly range -bound during the period. Retail protection and rider penetration within the channel has seen a healthy increase, underscoring continued emphasis on us driving profitable mix at HDFC Bank.
Other bank partnerships continued to perform steadily. While competitive intensity has increased there with wider adoption of open archit ecture, we continue to maintain a top 2 market share position across the majority of our partner banks. Growth in these partnerships has been

healthy on a two -year CAGR basis and remains aligned with our medium -term objectives.
The agency channel delivered healthy double -digit growth both in Q3 and over the nine -month period. Gross agent a

dditions remained strong, with over 80,000 agents onboarded during 9M FY26. Our branch network has now crossed 700 branch es, reflecting the culmination of a multi - year expansion effort. As this network matures, our focus has shifted towards scaling productivity, improving activation, and enhancing branch -level profitability. We continue to work closely with our broker and no n-bank partners, with an emphasis on expanding reach, improving engagement, and selectively deepening presence across relevant customer segments.

Moving on to other updates :

On the regulatory front, recent policy signals, including the increase in the FDI limit announced in the budget, are encouraging. Ongoing discussions around distribution -related frameworks are consultative in nature, with the intent of creating a balanced, sustainable ecosystem that aligns the interests of customers, distributors, a nd insurers over the long term.

To conclude :

We remain confident in the long -term prospects of the Indian life insurance sector, supported by strong structural fundamentals and a regulatory environment that continues to evolve with a clear focus on sustai nable growth, deeper insurance penetration.

Our near -term outlook remains constructive. We expect Q4 to build on the momentum seen in the last quarter, with growth in FY27 supported by continued strength in protection and sustained demand across savings segments. As we look ahead, our focus remains on disciplined execution while scaling responsibly.

For a more detailed presentation and discussion on our performance, please refer to our Investor Presentation .

Moderator: We will now begin the question -and-answer session. We take the first question from the line of Avinash Singh from Emkay Global.

Avinash Singh: The first one is regarding product mix. In an environment where bond yields have been kind of holding on, and also, we have seen yield curve movement where your ability to offer a better guarantee rate is higher, whereas the repo rate and all bank deposit rate have gone down , so, typically, one would expect a reasonable comeback in non -par. But if we see h ere, I mean, in your case, it is par that is still outperforming. Non -par is not showing strong growth, and that largely seems to be driven by the banca channel , if I look at the product mix. So , what is kind of putting you in a situation where you are not able , in an environment where one would expect non-par to bounce back ? The non-par is not bouncing back. So , that is one.

Second, just to clarify on Labor Code, this about Rs. 100 crore impact largely, I would say is due to gratuity shortfall, probably pertaining to your permanent and fixed -term employees. So , is this a one -time impact, and on a rolling basis or ongoing basis, there should be no further impact to expect ?

Vibha Padalkar: Second question I will take first. Yes, it is a one -time impact and should not have any material impact on an ongoing ba sis.

Niraj Shah: I think we started seeing some encouraging signs, as we had mentioned in the previous interaction, that we do expect in Quarter 3 (Q3) non-par to start picking up. It has happened now. In Q3, I think the non -par mix is in the 20% range. We had close d H1 at about 17-odd percent . So that has been a meaningful shift that has started to happen, and we expect more of that to happen in the coming quarter as well. So , we have had a couple of new product introductions, and like you rightly mentioned, the macro environment as such is conducive to a long -term guaranteed product of this nature.

However, we still maintain that the momentum in unit -linked continues fairly strong, as you can see from the nine -month numbers, as well as for the quarter, the unit -linked mix continues to be

upwards of 40%. So , that is definitely still very much visible and continues. On the non -par side, some traction has already started, and we will see more of that as we go forward as well.

Also, we do see the intensity of competition in terms of aggressive pricing still there on the ground. We are fairly calibrated, like Vibha mentioned in her initial comments about the kind of business that we are happy to take on board. So, we obviously are tryin g to do whatever we can through new product introductions, energizing the salesforce, and using the macroeconomic environment to put through more of this product, but at the pricing which makes sense to us and risk management that we are comfortable with.

Moderator: We take the next question from the line of Shreya Shivani from Nomura.

Shreya Shivani: My first question is if you can help us understand if your negotiation with the distributor on GST cut, etc., are completed, and from 1st January, have they moved on to new terms and conditions? Is it completed or not?

My second question is the really good performance of persistency on the 61st month. What I find conflicting, or maybe I am not understanding it better, i s that if that trend has improved, then we should be seeing positive, like a bigger benefit in our operating variances, right? But that operating variance seems to be negative. I may be wrong , that maybe it reflects after some time, or if you can just help me understand what's going on over there.

And my third question is on the retail protection product that you have sold. I know you have mentioned the sum assured has been hig her, etc. Now, the math shows that the gross margin on some product is much higher to achieve whatever margins you have achieved for nine months and in the third quarter.

So, is it in the retail protection or even in the ULIP, the rider attachment continu es to be high, and that is why overall VNB margins you have been able to achieve what you have achieved?

Vibha Padalkar: On the first one, yes, short answer, negotiations were completed . And it's moved on in terms of what we said that we would do. On the third question, the bettering of margin profile, happy to

share, is almost across all products, including some what you said, but it is also in unit -linked, it is also in par, it is everywhere.

Eshwari Murugan: The improvement in the 61st month persistency has given us some positive operating variance. The overall operating variance is negative, mainly because of lower 13th month persistency, while some of the reduction or the lowering of the persistency has been factored in our assumptions because these assumptions are based on ticket size, and the reduction in persistency is mainly because of lower ticket size.

We do see a further drop from the last quarter, and this is mainly coming from the business written in the last two to three months of last year. And w e are seeing some lower collection, and that is why there is a negative operating variance. This could be because of some specific cohorts, and we have taken some measures as Vibha mentioned in her opening speech . And we hope that going forward, we will not be having some persistency stresses. But what has already happened, that is what is reflected in the negative operating variance.

Shreya Shivani: And just one follow -up on the distributor negotiations, w hile obviously the details can be left out, but is it fair to say , wide and across with every distributor the negotiations have been completed and whatever has to be passed on has been passed on?

Vine et Arora : Yes, as part of the GST strategy that we spoke about earlier, that we will take a couple of measures. The discussion with the distributors, all of them , are concluded, and we have moved on to the revised commercials.

Moderator: We take the next question from the

line of Rehan Syed from Trinetra Asset Managers .

Rehan Syed: I want to understand regarding the retail protection, growth has been very strong post -GST with a large share of first -time buyers. So , I want to understand how much of this demand do you believe is structured versus a temporary pull forward, and what is your steady -state target mix for protection over the next 12 to 18 months?

And my second question is around Project Inspire, would you share measurable improvements seen in Q3, specifically on issuance time, straight -through processing rates, claims turnaround time and cost per policy? And also, when do you expect full rollout across retail lines?

Vibha Padalkar: So, we don't really take a target as such. We want all our products and ch annels to grow well. Even in the past, even before GST, our protection, retail protection, and credit life , over the past three years , has been growing faster than company -level growth, and that is what we have been targeting. So , we were growing at least maybe 400 -500 basis points higher than company -level growth. And now it is growing significantly faster.

I think in steady state, difficult to say because there has been a lot of interest from new or first - time buyers, like we called out . I have no doubt in my mind that traction will continue. A catalyst is always required for people to focus. I think that catalyst has more than been provided by the government. To what extent this momentum continues, I can't say, but certainly, will it be significantly better than where we were as a sector before? I think so.

Vineet Arora: So, the first phase of Inspire, as we went, we have started going live on our group platforms, and we are already seeing efficiency getting built on the C redit Protect side of the business. The next phase around retail will be at least, I think, a couple of quarters away when we start seeing some benefits there. But on the group side, we have started going live on Inspire, and we are clearly seeing benefits of straight -through processing and straight -through claims.

Moderator: We take the next question from the line of Madhukar Ladha from JP Morgan.

Madhukar Ladha: The operating variance that we see negative of about Rs. 70 crore, can you give us a breakup of that? How much is persistency , mortality , expenses? And also, on the VNB, there is a negative Rs. 60 crores because of expenses. Is this again related to Project Inspire ? Or is there something additional?

And lastly, given we had a target of doubling the VNB over a period of four years, given th is hit because of GST and all the multiple changes obviously happening on the business side, what do you think our target would be? Would you sort of revise any bit of that over the next three, four years? What are the goals in terms of top line and VNB gr owth?

Niraj Shah: So, to start with on operating variances, while we are not really giving specific breakouts, but like Eshwari mentioned, primarily it is on account of persistency gap that we are seeing, and we are trying to close down on. So, you can broadly think about it as a persistency that is from an operating variance perspective.

The VNB hit that you see of Rs. 60 crore is primarily due to the gap between what we capacitized to grow at. As we have said, 16-17%, we are trending for Q3 at 13% and around 11 -odd percent for this year. So, i t is a combination of all our investments in new branches, people in partnerships, as well as in agency, as well as some of the aspects that Vineet spoke about on Project Inspire. So, it is a combination of all of that.

As far as your quest ion around doubling VNB growth every 4-4.5 years is concerned, that aspiration remains. Of course, you will appreciate that there have been a lot of changes that have happened in the last couple of years, regulatory,

starting with surrender value, more r ecently GST, and now the Labor Code impact as well. So , all of that, of course, we need to kind of digest, and we have tried to do that. We have mentioned on the GST front, annualized impact of 300 basis points. We have brought it down to less than 200 in this period, and we will try and progressively bring it down and neutralize over three to six months.

So, all of this is getting, in some sense, absorbed in the business fairly efficiently, and the product -level margins we spoke about is basically get ting enhanced. With all the growth that's coming in, our aspiration to double VNB every 4-4.5 years remains the way it is. Of course, we will have to account for some of these big changes that have happened in the recent past.

Moderator: The next question comes from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: So, the measures which we took on GST on commissions or anything of that kind is already reflected in nine months and 3rd quarter margin, or do we see the benefit to play out in subsequent quarters? Just want to understand the point. Basically, Niraj, you j ust said that 300 bps impact you manage d to reduce it to 200 bps. So, 200 bps is more partial because you might have done mid -quarter. Maybe the benefit will be more there in 4th quarter. That is one first question I had.

And t he second on the margin a gain, despite GST impact, will you attribute entire holding up of the margins from nine months to six months is predominantly because of the protection mix change , or your yield curve benefit also played a role meaningfully for supporting those margins ?

Niraj Shah: Yes, second question first. It is a combination of protection as well as the yield curve going up, some benefit of that, as well as inherent margins in unit-linked products because of higher level of protection. So , like Vibha mentioned, it is a combination of all of these things across product categories.

As far as the GST impact is con cerned, yes, some of these measures have happened mid -quarter after the GST change was announced towards the end of September. We put in place some of these measures with distributors, and you will see some part of it was factored in Quarter 3 . You will see more of that in Quarter 4 and progressively from here on.

As far as the less than 200 basis points impact is concerned, yes, that also is something that you will see lower of as we go progressively. Our intent was to try and neutralize it over thre e to six months. So, Quarter 4 , we would expect to see a much lower impact than we saw in Quarter 3 .

Sanketh Godha: So, Niraj, structurally, will we be able to a rrest the entire impact of GST to less than 100 basis points, maybe if I look at from FY27 perspective?

Niraj Shah: So, we said that FY27, we woul d like to start on a clean slate, having digested the GST impact completely. So , on a run rate basis in March, we want to get to that position. So , when we start Quarter 1 , we would want to then peg ourselves to what we achieved in FY25. So, that is really what we are trying to achieve.

Sanketh Godha: And lastly, on growth, we are a little lower than the industry, even in the 3rd quarter. And I believe that seems to be largely soft because of the ban ca channel, which grew for nine months, by just 2%. So just wanted to understand if we end up at 11-12% growth in the current year, for the full year, then this ban ca reviving back and we getting into high teens or mid teens kind of a growth, is it possible in FY27, or how do we see the growth to play out maybe beyond the cu rrent year?

Vineet Arora : So, current year growth, yes, ban ca channel has seen lesser growth for this year, but if you look at a two -year CAGR, I think the growth is reasonably strong. And we do believe that the channel will continue to deliver good growth going forward. We also have done a lot of investment in proprietary channel around agency and all, and we are seeing results for that also coming in. So , we are quite optimistic about the growth into the next financial year that all channels would then be firing at the pace that they are supposed to fire.

Some of the portion, I think, which Niraj also spoke about, especially around non -par, is that some places in this quarter, we might have not participated to the extent that we could have participated because of the commercials that we wanted to participate at and the quality of business that we wanted. So , I think that is something that we keep on anyway playing tactically to ensure that we always have a good quality book.

Moderator: We take the next question from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.

Prayesh Jain: Just extending on the previous question, in terms of Bancassurance , could you attribute the reason for the slow growth so far in these nine month s? And also, the product mix, if we look at the Bancassurance channel, it is kind of still skewed towards the ULIP category. So , what are the factors that kind of impacting the segment?

Vineet Arora : So, like I said, there are multiple things, and it kind of depends on which partner and which bank are we looking at. There is an issue of mix. There is an issue of competitive aggression and some unrealistic pricing. And there is an issue of some banks going with multiple number of partners. A large portion of this actually got played in Q3.

So, H1, though, remained reasonably strong , Quarter 3 , we saw a lot of this playing out. And we will play this tactically. We will do the business that we feel i s good business to do and we will do that. So , I think we are quite confident that the channel will, over a period of time, continue to deliver good growth.

Prayesh Jain: So, what gives you confidence that this play out, this kind of strategy of bank partn ers, kind of taking business further, will play out ahead? What exactly are the kind of strategies we are taking for this?

Vineet Arora: So, we have seen this in the past also , that there could be tactical aggressive strategies being played by different players . And that has a life of its own. It cannot continue forever. So, it has a life of its own. Sequentially and two -year growth is what we do focus on, and we are quite confi dent that the CAGR over two years is good and is in line with what we expect it to be. Quarter 3 is one aberration where we see overall excessive competitive pressure. And as this competitive pressure kind of levels out, we will be back in the similar grow th for this year as well.

Vibha Padalkar: I also want to add, it is not significantly lower. It is a shade lower. So , if I were to look at first quarter, at our overall growth, AP E growth of 13%, Bancassurance grew 100 basis points lower. Okay. If I were t o look at fast forward to Quarter 3 versus the 13%, it has grown 300 basis points lower.

So, this kind of cyclicality is something , it might be a base effect. It might be something else that is happening. It might be because banks might have grown, but due to irrational pricing, especially if you are competing with unlisted players, you tend to have that, and I have called that out before.

A non -par product at a negative spread might not work, but no one can indefinitely be competitive either on pri cing and/or on underwriting . And we have seen these cycles even amongst different players as counterparties with whom we are competing. Sometimes one is aggressive, sometimes another one is aggressive, and so on . So, it comes around . So, I just want to put in context that it is not, for example, 50% lower. It is a shade here and there . And we have no doubt in our mind that this is a cycle. We have been here before. Like what Vineet says, there

will be some quarter here and there, and it is a matter of time before it evens out . And we do look at it on a two -year CAGR basis as well .
Niraj Shah: Yes, and maybe just to add to that, I mean, if you were to take a slightly longer -term time frame, maybe 6 to 12 months and beyond, I think the environment that we are stepping into is going to require a lot more calibrated business in terms of changes such as risk -based capital and movement to international reporting standards. Some of these will actually put out very clearly the consequences of some of the things that we discussed, so I guess more calibrated, balanced growth is something that I think we can all look forward to . And with that, we can expect the growth to continue to be fairly strong.
Prayesh Jain: The main thing is that the growth in our individual business has been lower than some of your peers in the recent quarter, in this quarter. So , can we come back to the industry growth or better than at least the peer growth in times to come?
Vibha Pada lkar: Yes. I have no doubt in my mind , that is what we have been tracking. And while there will be some cycles up and down, we are talking about top line. I think , equally, we need to look at margins. You will appreciate that, along with quality of b usiness. So , as a responsible listed

company that wants to build good quality business, we will continue to triangulate between this. All things being equal, like you see on term today, there is a reason why we are perhaps right up there in terms of retail term. And t hat is the overall objective and direction in which we need to head.
Same thing at our Bancassurance partners. It is not just the top line, but what is our wallet share of VNB? That also is something that we track very closely. And while we are not disclosing at a partner level, but our wallet share at key partners has continued to go up.
Prayesh Jain: The last q uestion on VNB margins. Niraj, you mentioned that some of the actions have been taken. And so , from January, do you think if the product mix kind of remains the way it is, what we saw in Q3, you will probably have a 150-basis points improvement , if the product mix stays as it is and the growth is, say, similar to what we have seen in this quarter?
Niraj Shah: So, it is difficult to pinpoint a number, but as is visible in the VNB walk that we have, the new business profile already improved by 1.1% in this quarter. So , that was a combination of everything that we mentioned. So , we would expect something similar to kind of continue on these lines, at least directionally on these lines in Quarter 4 . And as Quarter 3 has been faster than H1 growth, we would expect to carry that momentum into Quarter 4 as well. So that should also help the overall profitability. While we have to, of course, continue to digest the impact of GST, and we will do that , but you could expect, as we had mentioned, the impac t of GST to keep coming down and run off completely by the beginning of Q1 of next year.
Prayesh Jain: So, is it fair to say this 1.1% impact of GST will be a much smaller number in the next quarter in Q4? Is that a right way to think?
Niraj Shah: No, t he 1.1% number that you see is actually of just 3.5 months, that is reflecting in this. So , for the third quarter, the impact was actually 190 basis points. And annualized basis, we had said was 300 basis points. So , you will have to keep that in mind , while we will obviously, when we talk to you in April, we will try and bring down this impact for the quarter on the lines of what we are talking about in the 100 -odd basis points kind of range . That is somet hing that we try and execute.
Moderato

r: We take the next question from the line of Dipanjan Ghosh from Citigroup.
Dipanjan Ghosh: So, just two questions from my side. One, i f I were to look at your product -level persistency, especially on a nine -month basis, it seems the non -par bucket is where we are seeing a little bit of a pain in the early buckets. So , in terms of the product category or the channel that is really driving this sort of a pain, if you can give some color on that.
And my second question is basically, if you were to kind of , let's say, think of the next one or two years, given the sort of competitive intensity that you see across the multi -architecture

channels, what sort of confidence do you really have in t erms of kind of managing your counter share at these channel partners?
Vibha Padalkar: So, I will take the second question on counter share. It is already in play. A nd at our largest distributor, HDFC Bank, it's been around for a while, several years. A nd all the new partners, like I said, we are in almost all relationships or material relationships, we are amongst the top two partners. And t hat is today as well.
Also keep in mind the point that Niraj was saying that as we move towards Ind AS, ability for some of this disruption due to more attractive economics and so on, as well as possibly looking

at rationalization of how distribution commissions are paid. So , a whole host of things up in the air that will hopefully lead to a little bit more long -term value -building proposition . And with or without that, we are fairly confident as a combination of being known as a product innovator, giving best value proposition, holistic proposition. Ye s, we don't really see that as being a concern.

Eshwari Murugan: The non -linked persistency has dropped materially, you are right. But if you look at it, the persistency in the last 1-1.5 year had gone up significantly from the previous period, mainly because of very high-ticket size policies that got sold when the tax rules changed.

So, if we take that out, a nd that is already factored in our assumptions, because as I mentioned earlier, the persistency assumptions are based on ticket size. So , we knew that the persistency is going to be lower compared to the previous period. If we leave that out, then the pers istency drop is not much, maybe around 60 -70 basis points lower than what we would have expected. And as we have identified the cohorts where we see this reduction in persistency, and as we have taken measures, we are quite confident that the persistency will be comparable to what we expect in our pricing and in our margin computation. We may not see those high levels of persistency as earlier because the ticket size is much lower due to the changes in the tax rules.

Vibha Padalkar: And just to add, it even strengthened further because there was going to be this tax withdrawal. So, even the persistency or poorer persistency in the norma l course of customer behavior reduced significantly because post that period, no other product was going to be as attractive because it was completely tax -free, even policies above Rs. 5 lakhs . And so, it is really the comparison is against a cohort that wa s a special cohort. This is a more normalized behavior pattern, and it is still, as you know, this is on Slide 28 of our Investor Presentation . You will see that even despite that, traditional savings, like Eshwari said, is marginally lower, but not signif icantly lower.

Moderator: We take the next question from the line of Ansuman Deb from ICICI Securities.

Ansuman Deb: My question is on the commission discussions. So , especially with the regulatory discourse being rife on possible lowering of commissions, do we see any benefit , especially on the cost side of the Bancassu

rance distribution?

The second question is on persistency again. Just to understand better, there is no impact of this surrender charge hike or surrender charge impact on persistency, right?

Vibha Padalkar: On the Banca benefit, it is too early to say be cause we don't really know. I mean, I don't know in which direction finally some of the changes are going to materialize. However, if we hypothetically look at, say, a little bit more of back -ended commission, then to the extent of persistency, there will be aligned economics between customer, the distributor, and the insurer that should benefit overall in the orderly growth of the sector. But I think we will have to wait another quarter, perhaps, or thereabouts for us to really know what are the contours.

Eshwari Murugan: On the persistency, to recall the changes in the surrender value was done from October of last year. So , in the base that we have taken for persistency, only two months of business is having the surrender value or the changes in the benefits. So , it is not coming from these two months of business.

If you look at the initial collection trends, we don't see any difference between the business return in, say, October and November compared to the pr evious month. As we already alluded to, the drop in persistency is mainly on specific cohorts, and that is what we will want to address. We don't see any material change in the behavior or persistency due to the surrender value regulations yet. But yes, we will have to monitor the experience for some time for us to be very confident about it.

Moderator: We take the next question from the line of Kushagra Goel from CLSA.

Kushagra Goel: So, just two questions. One, I wanted to understand on the product pipeline. I remember last call we had mentioned something about the variable annuity product. So , if you could share more color on that.

Second was on the high est sum assured ULIPs. So , just wanted to understand. I think currently it is more than 1/4 of our mix for ULIPs. So , is that growing faster than the overall ULIPs growth? And also, what is the margin differential between the two variants?

Niraj Shah : Yes, so I think on the product side, we continue to bring in new products from time to time across different categories. In fact, the most recent one was on the protection front. I think , those products are doing extremely well. We have also had some introductions on the non -participating side. I was referring to that a little while back. We look forward to some of that panning out in Quarter 4 and beyond.

Variable Annuity, yes, it is a very recent change, a very important regulatory change that has happened, which allows us to offer this kind of a proposition. We look forward to launching that sometime in the next couple of months. And while we do expect that product proposition to keep getting refined as we are able to use more and more hedging instruments over a period of time, but we do believe that it is a fairly strong proposition that we will come out with in the market. And we do expect some of our more discerning customers on the annuity side to start looking at that seriously. But I think we will talk about it once w e have had some experience on that.
Yes, the highest sum assured ULIP, like you rightly said, is about a little more than a fourth of our unit-linked business now , and the margin profile of that is a lot stronger than the base ULIP. We had mentioned this in the past as well. It kind of starts converging towards margins on the participating business, and it is fairly healthy and strong with a high level of persistency as the customers are aware of what they are really buying, given the kind of mortality outflow that happens on account of a product like that. So , it is something that is definitely working very well for customers, and it

is work ing well for the company as well.

Moderator: We take the next question from the line of Himanshu Taluja from Aditya Birla Sun Life AMC .

Himanshu Taluja: Can you just help me calling out, given the initial expectation that our GST impact would be much higher than what is currently so far visible around 110 bps, and probably in 4th quarter, we would see even much lower impact. What are the levers playing out for you to have this better outcome ?
And second, can we say, given the next year, you want to start with a clean state , so probably strong likelihood of improving the margins and going back to our earlier trajectory of 25.5% to 26% VNB margin ?

Niraj Shah: So, on the GST, as it was introduced end of September, and we had our opportunity to talk to you about it in October, what we had said is that we had assessed the impact at about 300 basis points on an annualized basis. And we said that we will attempt to bring it down progressively over two to three quarters. So , the first quarter, we managed to execute on the lines of what we had wanted to do to bring that 300 basis points down to near 200 bps. That is something that we managed to do in the 3rd quarter. Again, our aspiration is to try and bring down that impact to maybe odd 100 basis points in Quarter 4 . We will try and execute towards that as well.
And b asically, by the time we get into FY27, we basically want to put ourselves in a position to grow our margins from FY25 onwards. So, I think that is something that we will attempt to do.
And t he initiatives, again, as we had called out, of course, the biggest catalyst is the GST change that has enabled the protection growth to be higher than what it was pre -GST. So, t hat is one thing that we expect that to continue.

Second is also in terms of the embedded protection side in unit-linked products is something that we have seen sustained performance on that front now. That is also something that is helping the overall new business profile. Credit life as a segment, which is pure protection, is something that has started to do really well, 25% -odd growth in this quarter and 15% -odd for the period. With the credit growth in the overall system being now at fairly strong levels and expected to continue to improve as we go forward, that is also a business line which further ca lls on this front. As we start moving towards the gro wth numbers that we are capacitated for, the negative variance that you see on account of fixed cost leverage is something that we would expect to try and bring down over time as well.
So, multiple such things which will help us, apart from our basic thought process of balanced mix and diversified distribution and risk management being very important, should help us neutralize some of the impact around all the recent big changes that have happened, starting with surrender value changes followed by G ST and now more recently the Labor Code. So , I think that is something that we will try and achieve.

Himanshu Taluja: But can we say probably mostly either the product mix change towards protection, credit life, or either product level margins within the ULIP segment has improved because of going into the higher ticket ? Apart from this, because you are also calling out that are some of the discussions undergoing with our large distributor and probably how has been those discussions? Are you able to do so far, any impact rationalization or not? Can you just help me out to understand?

Niraj Shah: So, it is something we discussed . Vibha spoke about it . Vineet also mentioned . Early days. Like most of the conversations got concluded towards the end of Quarter 3 . You will see the full impact of that coming through over the next few quarters. So, we executed what we wanted to. We have been selective on that as we have discussed. So ,

that is something that will start playing
a role as well. Ye s. Has it played some role in what we were able to execute in Quarter 3 ? Yes. But you will see more of that in Quarter 4 and beyond.

Moderator: We take the next question from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: One was going back to the persistency point. And yes, your data suggests that on a year -on-year basis, there was a decline in the early non -linked buckets. I think if I look at the trend in that bucket for last multiple years, it just looks like there is a steady decline, and it was not like there was a temporary bump for two years back, and it's gone do wn.
The other thing is, typically in the non -linked bucket, if you have lower persistency, it sort of tends to be little in the early periods. It normally tends to be slightly accretive for margins is what our understanding was, and probably one of the r easons why surrender value guidelines were kind of envisaged by the regulator . So, maybe if you could explain that, and I have one more question.

Eshwari Murugan : So, we will definitely look at the disclosures to be able to explain to you how the persistency has actually gone up over the last year. When I say last year, the business written in March and Feb 2023, reflected in the persistency in FY24 and ahead because it is a rolling 12 -month basis. So , definitely, the trend has been that it has gone up, and now it is coming down. So that we will probably explain to you offline.
On the impact of persistency on different products, it is a combination of multiple things depending upon how the benefits are structured and when these benefits are paid, the timing of the payouts, etc. So , it is not necessarily a uniform directional thing, but definitely better persistency improves the margin. That is right. We are just trying to see if we can explain how the trend has been as we speak.
If I recall, persistency on non -linked was in the range of 85% -86% before the impact of high-ticket size, non -par savings, products with very high guaranteed IRRs started influencing the persistency. Yes. In some of the ticket size, we saw persistency as high as 90% and sometimes more than that also.
Like, f or example, if you look at the business written in March '23 with ticket size as high as Rs. 5-6 crores, the persistency has been 95%. So , definitely, that trend has been there, but it was visible in our public disclosures. We will definitely get back to you. So , the normal trend has been around 85% -86% if you exclude this one -off impact, while the current 84% is lower, but it is not much lower than what you see from last year. But as I said the last year is a one -off. And we are working to get to the normal level that we expect the non -linked persistency to be at.
Nischint Chawathe: And o n the term business, now obviously there has been an impressive growth. But somehow on the Banca side, I guess there is still catch -up yet to be reflected in all the channels that are doing well other than Banca . So, anything specifically th at we are doing over here, changing or probably need to change, realign incentives or anything that we can do to sort of improve protection in the Banca channel?
Vibha Padalkar: Nischint, actually, while it doesn't reflect as much because Banca overall vol umes are also high, and savings also usually does well. So , the growth in protection in Banca in Quarter 3 has been more than 40%. So, like I said, ticket size -wise, it will take time because you have to sell 2.5 policies of protection for it to be equal to one policy of savings in Bancassurance . That is roughly the math. So , it will take time, but it is growing fairly handsomely there. And hopefully, it will start showing . It is not showing up right now on Slide 17 because of roundi

ng, but there is a lot going on over there.
And other thing is riders plus moving to, ye s, high sum assured unit -linked. So , all of that, if I were to look at, and that is a point I made, we are looking especially at HDFC Bank as to what is our counter share on VNB, and all of this has helped us improve our counter share of VNB rather than just looking at top line.

And you also mentioned incentives and so on. So , there is a lot of discussion that has already happened. There is buy -in at both ends to focus on this without, of course, disturbing whatever is going well. And we have also launched protection on a group platform, which this will not reflect. Also, in terms of over -the-counter retail platform. So , lots of things happening.
Vineet Arora: So, protection in bank might not be just looked at from term, even though term has also grown significantly in this quarter in the bank channels. But overall protection, if you look at it as a combinati on of term plus high sum assured ULIP plus riders plus the new initiatives that we are doing with the bank, it is quite in line with what the organization has achieve d.
Moderator: We take the next question from the line of Vinod Rajamani from Nirmal Bang.
Vinod Rajamani: I had two questions. One on this hybrid high sum assured ULIP. So , what kind of sum assured multiple do you offer on the annual premium? Is it something in the range of 120 -125%, 25x of

the annual premium or lower than that? So , the concern I have on this particular specific product is there could be some substitution effect and so on if you offer very high sum assured as a multiple of annual premiums. The question is on this high sum assured ULIP.
The other question is, what aspirations do you have on this Tier 3, Tier 4 markets with all this agency rollout that is ongoing? So, any targets you have set in terms of what this will constitute in terms of the overall business mix going forward?
Niraj Shah: So, I will take the first question and pass it on to Vineet for agency and Tier 3, Tier 4. So, average sum assured on unit -linked products is in the 30x kind of a range, while there are cu stomers who prefer to take even higher. But on an average, it is in the 25x -30x kind of a multiple, which is significantly higher than the 10x that we used to see at the portfolio level. Riders sit on top of this. So, it is a combination of high sum assure d as well as riders that is actually making this category a lot more protection -oriented for customers and obviously margin accretive for us.
We are fairly watchful in terms of how we offer this and are tracking persistency reasonably closely on this one. And t hat is a fairly calibrated manner in which we are approaching this.
We are not so bothered about the substitution effect because we are fairly agnostic to how customers buy protection from us, whether it is through group credit life products or through return of premium products, pure protection products, or embedded savings. I think whichever way the customer wants to engage w ith us, we are happy to kind of provide that as long as they understood what they bought, and we get good quality of business through that.
Vinod Rajamani: But j ust one follow -up to that, Niraj , you are not planning to launch, say, 125x annual premium sum assured kind of product o r this kind of super high sum assured kind of ULIPs?

Niraj Shah: No, we don't see the need for that. While, I mean, on paper, we do have products which offer sum assured as high as 80x also, but we don't really s ee too many customers actually looking at that at scale. So, w e are seeing a lot of rider uptake, which is, we believe, the better way to kind of buy this level of protection. Otherwise, of course, the pure-term protection produ

cts are
always there.
Vineet Arora: Just to take that point a little further, so we do not create any underwriting arbitrage between the categories. I think that is an important point, which could be happening in other places where very high sum assured might make sense on a ULIP platform. So , we are quite conscious of how we underwrite and not creating arbitrage between product categories. And t hat is why our approach that you see is more balanced between sum assureds and rid ers and what the customer needs.
Just coming to your question on the distribution depth into Tier 1 , into Tier 2 and Tier 3 using agency. So, our aspiration for agency channel, I think , very clearly, is to make it grow much faster than the organization gr owth. We know that we have been behind on the proprietary channels for some time, and it is a catch -up to get to the rightful share that the agency channel needs to have.
So, I think that is clearly, I mean, we don't really want to put a number at this stage, but in the market, if you look at it, the agency channel should be contributing to maybe a greater than 25% share in the company.
Moderator: We take the last question from the line of Sanketh Godha from Avendus Spark .
Sanketh Godha: It is probably the same question on persistency. The deviation in the variance which we see is largely due to the products which you have sold maybe before the surrender norms came in ? That is the way I should understand. And the second, whether this deviation you think is more transient or you need to make an assumption change so that it will have an overall impact on EV?
Eshwari Murugan : So, while we expect the impact to be transient because we have already taken measures to ensure that the persistency is back to the pre -change, see whether it is done as an assumption change or operating variance, the impact will be similar because it is only one year impact that is going to come. By the time we are at the end of this year, it will either be reflected in operating variance or in assumption change. It will not be a big difference, unlike other cohorts. If it is like the 49th month or 61st month, then it will impact a lot of business sold in the previous 3-4 years. But fortunately, this is only one year of business that will get impacted.
Sanketh Godha: And t he deviation is predominantly in the products which were sold before surrender norms came in, right?

Eshwari Murugan : Yes, because on the policy sold after the surrender value change, the experience is still emerging. It will generally take three to four months for the policyholders to pay the premium and be able to reach the ultimate level of persistency. So , the trend indicates that it is not very different from the policy sold earlier. So , the deviation is mainly coming from policy sold prior to October 24.

Vibha Padalkar: Thank you for joining us today. Should you have any follow -up questions, please feel free to reach out to our investor relations team. Thank you and good night.

Call: Apr 2026

April 23, 202 6
Ref. No: HDFC Life/CA/2026-27/1 1
Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
Bandra -Kurla Complex, Dalal Street,
Bandra (East), Fort,
Mumbai – 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE BSE Security Code: 540777
Dear Sir/ Madam,
Sub: Transcript of Earnings Conference Call - FY'26
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call with analysts and investors held on Thursday, April 1 6, 202 6 to discuss the financial performance of the Company for the year ended March 31, 2026 .
The said transcript has been hosted on the Company's website at https://www.hdfclife.com/aboutus/investor -relations .
This is for your information and appropriate dissemination.
Thanking you,
For HDFC Life Insurance Company Limited
Nagesh Pai
Company Secretary & Compliance Officer
Encl.: As above

HDFC Life Insurance Company Limited FY26
Earnings Conference Call
April 16, 202 6

Vibha Padalkar: Good evening, everyone, and thank you for joining our earnings conference call for the year ended March 31st, 2026. Our results, along with the investor presentation, press release, and regulatory disclosures are available on our website and with the stock exchanges. Joining me today's call are Niraj Shah, Executive Director and Chief Financial Officer; Vine et Arora, Executive Director and Chief Business Officer; Eshwari Murugan, Appointed Actuary; and Kunal Jain, Head, Investor Relations, Business Planning, and Strategy.
On the macroeconomic front, let me begin with the broader macroeconomic context. The gl obal environment has become more uncertain in recent months, with heightened geopolitical tensions and disruptions in energy markets and global supply chains creating near -term headwinds. In such an environment, while near -term demand might be impacted, we believe the life insurance sector remains relatively well positioned given the essential role of long -term savings, protection, and guaranteed outcomes, especially during periods of uncertainty.
Moving on to business performance. During FY26, we continue d to maintain our position amongst the top three insurers by individual WRP. Our private sector market share stood at 15.2% for 11 months FY26. We outperformed the industry in two key focus areas. The first one being retail protection, which grew 43%, and the second one being our agency channel, which also grew ahead of the sector.
Retail sum assured growth for 11 months was higher than the industry, reinforcing the quality of our business mix. Credit protect saw a healthy rebound in the second half of the year, driven by recovery in the MFI segment and robust credit growth, with the company retaining its leadership position in this segment.
From a top -line perspective, FY26 closed below our original expectation. Let me deconstruct this and outline our confidence in the medium -term trajectory. H1 growth for us was ahead of the industry, and quarter three was broadly in line with expectation. The slowdown was largely

concentrated in quarter four, driven by unabsorbed GST, temporary softness in bancassuran ce and deferment of demand in March due to global uncertainty.
However, our proprietary channels bucked the trend, delivering a healthy growth of 15% - 16% in quarter four as well as in FY26, and we thus delivered a full -year individual APE growth of 7% ye ar-on-year. Our confidence to bounce back also stems from our customer acquisition metrics that remain healthy, with over 70% of new customers onboarded during the year being first-time buyers of HDFC Life policies, and that we insured over 46 million live s during FY26.
Next, on product mix - Our individual APE composition for FY26 was unit -linked at 44%, non - par savings at 18%, participating products at 25%, term at 7%, and annuity at 5%. As in prior periods, product mix remained an important driver of ou tcomes during the year. You will notice that our term was 7% versus 5% of last year.

Unit-linked demand remained resilient through most of the year, supported by customer appetite for market -linked participation. Importantly, the quality of our unit -linke d business continues to improve with higher protection multiples and better rider attachment supporting margins. The 13th month persistency over the past two years has also improved. Both these metrics remain a deliberate strategic focus for us.
At the sa me time, non -par demand was softer than our expectations. We have maintained pricing discipline in this segment, and while this has had a near -term impact on volumes, it positions us better from a long -term value and margin standpoint. We have undertaken s elective product refinements to improve competitiveness, and wit

h a more favourable yield curve environment,
we expect non -par savings to gradually recover.
Protection was a clear highlight during the year, with a growth of 43% supported by lower prices post-GST and a strengthened product portfolio. And this continued even in quarter four, when protection growth was 46%. Retail protection mix expanded by nearl y 200 basis points YoY to 7.2% in FY26, and including riders, protection now contributes nea rly 10% of our retail business.
We also saw an improvement in ticket sizes post -GST with customers opting for higher levels of sum assured. Retail sum assured grew by 28% YoY , and we also maintained our leadership position on overall sum assured, reinforcing the quality of our business mix.
Annuities were another area of meaningful progress. During quarter four, we launched Ajeevan Growth Nivesh and Income (AGNI), an industry -first variable annuity plan that combines lifelong guaranteed income with growth potential linked to the Nifty 50 Index. We believe this kind of product innovation opens up new customer segments, and we are encouraged by early traction. Annuity mix increased by almost 300 basis points YoY to around 8% of individual APE in Q4 FY26.
Looking ahead, we expect a gradual shift in the product mix as customers rebalance towards long-term savings and protection in an environment of greater uncertainty. We anticipate non - par savings to gain share relative to FY26, with protection and annuities continuing to grow ahead of the company average.
Moving on to financial and operating metrics. For FY26, value of new business stood at INR 4,034 crores, represent ing growth of 2% YoY . Value of new business growth, excluding the impact of GST and surrender regulations changes (SSV) , would have been broadly in line with overall APE growth. New business margins for FY26, excluding impact of GST and SSV, would have been flat at 25.5%.
Post-GST and SSV impact, they were at 24.2%, a decline of 140 basis points versus FY25. This margin drop was driven by three key factors. First, the impact of GST and surrender value of 130 basis points. Second, the fixed c ost absorption impact of 90 basis points arising from softer than expected top -line growth , particularly in Q4. And third, 40 basis points on account of

strengthening of the persistency assumptions in line with the experience that we had disclosed in Q3. I'm happy to share that our experience in Q4 on persistency was better than what we had mentioned in Q3. These three negative items were offset by a better product profile that contributed 120 basis points.
On GST, the headwind on margins has been moderati ng in line with our guidance. The impact in Q4 was approximately 110 basis points, and we expect this to taper off further and be largely neutralized as we move into FY27. At a product level, underlying margins remain supported by

improvements in product p rofile, including higher protection and annuity contributi on and better rider attachment.
The annual assumption review was undertaken in quarter four, as has been the past practice, which makes the Y -o-Y impact of 40 basis points more visible in that quar ter. From a structural standpoint, the key levers for margin improvement remain intact: continued growth in protection, higher rider attachment, recovery in non -par savings, further enhancement in ULIP protection mix, lower fixed costs per policy, and oper ating leverage as growth normalizes. Based on these factors, we expect margins to improve.
Renewal collections saw steady growth at 15% during the year, reflecting the continued stability of the in -force book. On persistency, the 13th month ratio moderate d by 200 basis points during the year, broadly in line with the evolving business mix. As mentioned in quarter three, this was driven by specific cohorts and does not refle

ct a broad -based shift in portfolio quality.
We have taken necessary actions, as I had mentioned, and we are pleased to share that trend have stabilized in Q4. The 61st month persistency remained robust at 64%, improving by 100 basis points YoY , reflecting the continued strength of the long -duration savings book.
Embedded value stood at INR 62,139 crores. Operating return on embedded value for the period was 15 .0%, and this would have been 15.4% on a normalized basis. Profit after tax for the period stood at INR 1,910 crores. PAT excluding GST and labo ur code impact would have shown a growth of 16%. The board has recommended a final dividend of INR 2.10 per share in line with our dividend payout policy, aggregating to a payout of INR 456 crores.
Our solvency ratio stood at 177%. While we await clarity on the transition timeline to the risk-based solvency framework, we have taken board approval to raise up to INR1,000 crores by way of a preferential issue to our parent, HDFC Bank. This will add 900 basis points to our current solvency. Over the medium term, the move towards a risk -based solvency regime should ensure better alignment of capital with underlying risks and is likely to be beneficial for diversified franchises such as ours.
Moving on to distribution highlights. The ongoing build -up of our agency channel was a strong story for the year. Agency grew ahead of the company by 500 basis points, maintaining a strong protection mix. The channel is now beginning to deliver the returns on the multi -year

investments we have made in branch expansion, talent acquisition, and investment in bespoke products and training, and this has helped improve our relative positioning within the industry.
We have added more than 250 branches over the last 30 months, with business from these contributing to approximately 13% of the agency channel's top l ine. Our focus is now firmly shifting from expansion to productivity, activation, and the branch -level profitability. This should support a more sustainable and higher quality contribution from the channel going forward.
On the other hand, partnership cha nnels experienced elevated volatility during the year, primarily driven by heightened competitive intensity. In response, we exercised fiscal discipline by stepping away from unviable business. Overall, while near -term growth has been influenced by the fac tors discussed, we believe our focus on continued investments in distribution, product competitiveness, partner engagement, and pricing discipline positions us well to deliver more sustainable and profitable growth as the environment normalizes.
Moving on to regulatory and industry developments. The industry continues to evolve in a direction that supports greater transparency, stronger conduct, and more sustainable long -term growth. We view the transition towards Ind AS based reporting as a positive struc tural development. Over time, this should enhance comparability, improve market discipline, and further align business models with long -term value creation.
With respect to Ind AS, we have approval from our board to seek forbearance for FY27. We will be applying to the regulator and are working towards full adoption from FY28. We believe this approach allows for a more calibrated transition, both operationally and from a reporting standpoint. Overall, the direction of regulatory evolution remains construct ive, and we believe well-diversified and disciplined players are well -positioned to operate effectively within this framework.
Moving on to our subsidiaries. Our wholly -owned subsidiary, HDFC Pension Fund Management, continued to strengthen its leadership position with a market share of 43% and assets under management exceeding INR 1.5 lakh crore. Our other subsidiary, HDFC International Re , continues to deliver steady reinsuran

ce performance while scaling its GIFT
City presence.

To conclude, we enter FY2 7 with the GST transition that is largely complete, the yield curve which is supportive for non -par, our agency channel is stronger today than it was a year ago in terms of reach, productivity, and quality of business. Protection portfolio is structurally larger and more meaningful than any other prior point in our journey.
As a result, our embedded value continues to reflect the compounding strength of a high -quality in-force book. Our aspiration to outpace industry new business and VNB growth remains unchanged. For a more detailed discussion of our performance and outlook, please refer to the investor presentation. We will now be happy to take your questions.

Moderator: Our first question comes from the line of Avinash Singh from Emkay Global.
Avinash Sin gh: A few questions. The first one on growth. Yes, as we acknowledge there were multiple factors, some external and some internal. In this context, the particularly the factors which are affecting growth in HDFC Bank channel, be it the competitive intensit y or maybe irrational pricing. How has particularly your wallet share within HDFC Bank channel behaved in Q4 vis-a-vis what it has been for the nine months? How has that changed?
And now what steps you are taking or what you are seeing competitor withdrawing or competitive intensity changing that gives you hope that okay, things will normalize or go back maybe to say in the past levels in FY27? So, this is the question more around HDFC Bank channel and what sort of things giving you confidence there in terms of your growth outlook.
The second one would be , there is a very small piece of business that is the participating group and pension. Now, in your GAAP filing, there is a kind of a sizable negative surplus or deficit in that par segment , even though the business size is very small. So , what exactly is the nature of this and why is there such a big deficit in this segment of business?
And lastly again related to this, the back book surplus is going in an impres sive way even this year, it's 14%. But when I look at the new business strain, I mean given, there is a strong growth in individual protection but at the same time non -par savings have given way to par where typically the new business strain would be lower , but the overall new business strain at the company level is growing very, very strongly.
Is it something to do with the cost structure still remains a bit unfavourable ? What sort of explains that? So, these are my three questions.
Vibha Padalkar: I'll take the HDFC Bank question and then pass it on to Eshwari on par questions . On HDFC Bank, see, I would be more worried if there were some very different product innovation or some massive digital, great technology initiative . Really on competition on price point, we don't believe that that is sustainable on a long -term basis, whether it's aggression on pricing and/or on underwriting. And clearly, it is visible on ground.
So, what will change? I think IFRS is a good segue into what I'm saying because onerou s contracts start becoming very apparent. Also given that RBC possibly has now taken a back seat to IFRS, what all of us thought that RBC would get rolled out first , but if it gets delayed all of this aggression does consume capital as well. So , there's only so far that some of this can be bankrolled.
Plus, we haven't stayed quiet. We have introduced, like I said, products such as our AGNI product (variable annuity) , some of the tweaks that we have done on even non -par, is what you will see bein g rolled out as we speak. Some of that will again go back in terms of our ability to capture the mind of customers, especially against these fairly elevated levels of volatility and

some weaning away from the unit -linked playbook. So that is what gives us the kind of confidence.
Also, we are very granular in terms of discussions with our parent in terms of which are the branches wherein our share is lower than what might be at an acceptable level. Why is that happening? Is it because there is a flooding of additional people, and our manpower share? So, the correlation is fairly strong that where our manpower share is lower than 50% our counter share goes down. So , is there an optimal level of manpower given all AI and other digital assets? Is there a play t o reduce manpower share overall for all three players and can we look at having more digital offerings? Or part of the journey being digital? And once that happens, I do believe that counter share, just given brand synergies, being a market leader in produ cts, I think all of that, I can't share everything that we're doing, but that's what gives us the confidence.
Vineet Arora: I think Vibha covered most of it. Just the fact that we knew exactly where we let go of business

and we know what price point works for us. We do feel that aggression, you know, now that the GST burden on the margin and the cost is also more or less absorbed, it will be easier for us also to come back and have better price points. So , we feel that we will also be more competitive and we should be able to garner more share from these branches that we might have let go of earlier.
Vibha Padalkar: Yeah, and that's an important point. We are very cognizant of the opportunities that we let go because if ab initio it doesn't make commer cial sense as to why are we selling this kind of product, then –we will take a back seat exactly like what happened in protection.
We did that and that has paid us very good dividends in terms of the pricing power. We had to bide our time. We did many thi ngs, some are behind the scenes which I don't want to call out. But many things on protection that today makes us get hold of the kind of profiles that we want to get hold of, rather than just market dynamics saying whatever protection of whatever quality business, let me get that in.
Moving away from that to controlling the narrative to step back to say what kind of lives and what kind of business do I really want, and to recalibrate too many things to get there. So that is really, we are in the process o f doing similar kind of interventions on non -par and par like we did with protection.
Eshwari Murugan: So, on the participating fund, there are three, four things that have happened during the year. One is the impact of GST, which again is split into two parts. One is the existing business and the second is the new business. On the existing business, because there will be no ITC on the renewal commission and the expenses incurred for the maintenance of the policies, that impact has been taken into the rese rves and that is having a negative impact in both life and pension. On the new business as well, because there is no ITC on the GST, that has been absorbed given that we are still looking at the design and the pricing of the par products in the context of the new GST law. So , this has been an impact as we will take some time to transition to new

products. The third is, given the changes to the surrender value regulations from October '24 onwards, for all the participating policies regardless of whether the y are going to surrender or not, we hold a surrender value reserve, which is also increasing the prudence.
Some of this will get released into the FFA going forward, but it has been a one -time impact all coming together in the same period . That is why we see a deficit in the participating fund.
Vibha Padalkar : We have plans to start contributing back to par FFA to grow that over the next couple of

years.
Eshwari Murugan : We will be looking at all these structures to see what is the optimal structure to maintain the fund at an optimal level aiding growth as well as the existing business.
On the back book surplus, the E B surpl us has grown by a lower amount again due to the same reasons. We have allowed for the loss of input tax credit on renewal commission and maintenance expenses on all lines of business . That has resulted in a lower E B surplus growth.
On the new business, ye s, the new business strain should have been lower given that we have done lower non -par. But if you look at the growth in protection business and the credit protect business, that has resulted into a higher strain. And also, on the unit -linked, we are writ ing with higher multiples and also higher rider attachments, that has got a higher reserving requirement and all of these have resulted in the new business strain growth being higher than the earlier years.
And the GST impact is there in both new business and E B. That is also one of the reasons for the new business strain being higher.
Vibha Padalkar : So just to summarize, GST impact and a good problem to have in terms of protection.
Avinash Singh: Vibha, counter share in HDFC Bank, In Q4 versus 9 months?
Vineet Arora : The counter share in HDFC Bank in Q4 was lower than what it was in 9 months. And clearly, for the reasons we have articulated already, we know what the reaso ns were. And we are completely in control of what we can do going forward.
Moderator: Our next question comes from the line of Suresh Ganapathy from Macquarie.
Suresh Ganapathy: Yes, so Vibha, again somewhat indirectly related to the first question itself. You know, in FY23, if you were to make a business projection of your VNB growth, you would have said 15% plus CAGR, right, for the next three years? I am looking at FY26 number, your CAGR has been just 3%, FY26 over FY23. So , it's actually not grown at all in three years' time. I am sure you were not expecting this kind of an outcome.
I know there have been a lot of changes, but unfortunately, the regulator is still talking about some commission caps, so many things are happe ning. Are you confident that with the GST cut, whether it is protection, the next three years will not see a single -digit VNB CAGR?

Vibha Padalkar: So, let me just walk you through . First, I'll give you the CAGR, but FY25 to FY26, FY25 we were at 25.6 %, right? And if I were to back out GST and SSV, the surrender value impact, then my starting point would have been 24.3%. Again st, 24.3%, I was at a similar kind of a number, 24.2%.
Note: The correct way to inter pret the impact of GST and SSV versus previous year margins is to exclude GST and SSV impact from FY26 margins. New business margins for FY26, excluding impact of GST and SSV would have been 25.5% i.e., flat versus FY25 margin of 25.6%
Now to your more philosophical question, because of three very large ticket things that have happened, which is starting from the 5 lakh and above being taxed, followed by surrender charges, followed by GST, business mode l changes have happened unfortunately with alarming regularity and fairly material.
I have high level of confidence in the medium term. However, here and now in one year or so, a little bit more difficult to say just as any business plan. However, the gro wth over the four - year period of 1.8x to 2x, I think that is still something that we will be gunning for. I think in terms of conversations, I think the only large ticket conversation in the media has been will something happen on distribution architecture ?
If that happens, I am very confident that yes, immediate like a

ll the other disruptions I've talked about, there could be some disruption . Will we come out of it? Absolutely. I have no doubt in my mind that it will come. So , to summarize, on a normalize d three -year VNB CAGR would be around 9 %, 10%, and there I am adjusting about INR1,000 crores between this FY23 and the GST impact in FY26.
Suresh Ganapathy: Even if I were to adjust for that, that is still way below your industry standard, right? If I loo k at FY10 to FY21 -22, you were the bellwether on the industry benchmark. All said and done , even normalizing for that, your growth has been weak, your VNB growth has been weak, and competition is not going away. People are going to be aggressive . There is no compulsory listing. So, we are in a tough industry in a way, right, both from a competition angle as well as from a regulatory angle.
Vibha Padalkar: So, on competition , again, I feel with IFRS, it's going to dramatically change the way and bring discipline - it's a proxy for listing in a way because listing or disclosures, unfortunately, if I was a bank then most of my competition is listed and there's only that much agg ression one can exercise and that will be contained. While exactly like you mentioned, that is not the case now. But IFRS, regardless of whether you're going to be listed or not, there are going to be segment - level and even further nuanced disclosures tha t will very clearly show ab initio what are the loss - making or onerous contracts. What did one price for and what actually you're trending for ? So, this is going to be a tectonic change in how companies look at their business.

Now a Promoter might decide to ignore that . That is their prerogative. But given that these companies have promoters who have invested for many number of years, I'm sure they are wanting to see returns at the end of that patient capital infusion . So, I feel very enthused. It might not happen in FY27 because of most companies asking for forbearance, but certainly a year down the line , it should happen. And if disclosure is going to happen in FY28 , then I'm sure companies will start thinking as to, you know, at least internally looking at what their numbers are going to see.
We are also seeing positive trends in protection. You know, we went through the same story on protection and irrational competition and so on. Happy to share that that kind of irrational competition has started seein g some tempering. And that's why you can see our growth being right on the top as far as the industry is concerned on protection. Expecting the similar kind of some level of restraint happening on other parts of savings as well.
Niraj Shah: Suresh, just to maybe step back a little bit. You spoke about period from FY23 to FY26. Unfortunately, both the opening as well as the closing year had a lot of distortions . If you were to just dial back one year say the period from FY20 to FY24, the numbers fairly healthy at 15 %-odd. You go one period before that, it is in a similar kind of a zone. So , the thing is if we're looking at a long -term business building it from a three -to-five-year perspective, you know, the results could be non -linear in a shorter span of time.
But just from a business cycle perspective and everything that is coming in the next three to five years, we absolutely have no doubt as to why the sector and us within the sector not be able to get back to that compounding story that we are used to delivering. So , no real structural issues that we see whether it's in terms of the relevance of the products, customer demand as well as just the overall operating environment .

Suresh Ganapathy: Just one last question on Vibha, your tenure and the IRDA rule. Bit confusing. Can you just clarify when it ends? Is it a 15 -year rule applicable to you? What is the thing? Can you just clarify on tha

t?
Vibha Padalkar: Yes, so Suresh, when these regulations came in 2023, we had written to the regulator and we had received clarification then that the 15 years starts from when I became the MD and CEO.
My tenure, this current tenure ends in September of this year, and the Board will take a suitable call closer to that date.
Suresh G anapathy: And you are five years, right, into the six years into the CEO tenure, right?
Vibha Padalkar: No, I will be completing a term of three plus five, so eight years by the time I finish in September.
Suresh Ganapathy: Okay, so logically speaking, ano ther seven years left as per the IRDA, obviously the Board will take a call, right? Is that the interpretation?
Vibha Padalkar: The interpretation is that it's 15 years from when you get into the saddle as MD and CEO. That is what we had received clarifica tion when we wrote to them in 2023.

Suresh Ganapathy: Okay, but this is not cast in stone. I'm thinking can the regulator change their mind is what my question is.
Vibha Padalkar: I think that will be a question for the regulator.
Moderator: Our next quest ion comes from the line of Madhukar Ladha from JP Morgan
Madhukar Ladha: First, if I just compare the IRRs on the non -par product in sort of the principal HDFC Bank channel offered by your competitor, the difference is quite substantial. Now, what I wanted to understand is if you were to offer higher IRRs, what would be the imp act on your margins? Why can't we sort of offer a more competitive product and capture that counter share?
And can you quantify the operating variance and assumption change between the various elements like persistency, mortality, expenses, if you could gi ve that split?
Niraj Shah: Yeah, so on the question on IRR, basically there are two things here. One is that like you rightly mentioned in certain categories and variants of products the difference is fairly substantial. And since we introduced this catego ry to the market six or seven years back with multiple product innovations, the easiest thing to do is to offer a rate. So , if we could offer a rate which is the highest in the market at the economics that are making sense to us, we would have done that li ke you rightly said.
So, if we are not doing that, it basically tells you that the dilution on the economics is not acceptable at the prevalent rates that some of the peers are choosing to offer. The equally important thing is that given our position in th e market if we end up doing something which is let's say very aggressive or irrational, it unfortunately vitiates the entire environment and it forces peers to do the same. So , then you get into a downward spiral from which the industry will never recover.
So, there's no point playing that game beyond a point. As we articulated earlier on the call, we are looking at things more granularly: customer segments, ticket sizes, product variants where we may choose to be more competitive in the coming year. And th at will be again at levels that will make sense to us. We have said that we want to grow faster than industry and deliver VNB growth in line with that.
So, if we have to make sensible trade -offs between profitability and growth, we will definitely do that, but provided it is within a certain boundary conditions which really makes sense from a medium -to-long-term perspective. So that is really our approach. We don't see this to be a challenge from a medium -to-long-term perspective for all the reasons that we spoke about: the regulatory environment, movement to IFRS, risk -based capital.
It is not an endless road of capital being made available without any questions asked. So that is not going to happen. Given that situation, I think things will stabilize. We g ave the example of protection -the same kind of story panned out a few years back. We

have kind of bided our time

and we are where we are in terms of the leadership in terms of sum assured on individual protection and overall, as well.
Vibha Padalkar: I want to come in here and I'm not making any specific reference to any company but for the broader sector. See, again I'm harping back to IFRS. You know, I could give 70 basis points higher on non -par, for example, like Madhukar you mentioned. B ut no one really knows, is this

lapse -supported product? Which means that you're hoping that customers don't pay their premiums down the line.
So, some of these things will start becoming a lot more apparent under IFRS because then you get to see the full story because if persistency stays good . And which it should because they have bought a product that is giving them 70 basis points higher. But your assumption that you make money is only if only X percentage of customers renew this. So , these nuances are really where the devil is in those details.
So, we can easily match this if we want to match it. But there is no way we are going to have a lapse -supported product, there is no way I mean we are in the business to sell policies and we are hoping that the c ustomer stays vested in the policy till the very end. So , this is only one example but there are many such nuances: what will be the lump sum at the end, if they choose to surrender what is the surrender value that they or the nominee will get?
You know, a nd so on. There are many nuances to this because the corners will have to be cut somewhere else which are not very apparent. The headline item will be that the IRR is so much more. You know, it can't come out of thin air. It can either be bankrolled by the shareholder or wherein something else is there where corners cut.
These are the only two possibilities. Because if I look at expense ratios and persistency, not very different, if at all, worse than where we are today. So that is the limited point. This will normalize.
Madhukar Ladha: Got it. Maybe I can just squeeze in one more question. So , on margins, see on a Q -o-Q basis we were expecting about a 100 basis points improvement because, every quarter we were trying to lower the GST impact. That has not p layed out this quarter. Also , I am guessing it is partly because of the full -year assumption change that also would have impacted.
But giv en, you know, there is a negative expense drag also on the margins, negative sort of assumption change as well, how sh ould one see margins shaping up in FY27 and beyond? I believe it is probably going to be difficult to maintain the earlier sort of guidance of 25.6%. Any comments around that would be helpful?
Niraj Shah: I think if we were to just go back to what we said three months back in terms of what the GST impact is likely to be. We started with 300 basis points, brought it down to 190 and now we are standing at 110 basis points. So as such, that is moving exactly in line with what we had spoken about and are w orking towards internally as well.

And by the time we finish the first half of next year, we should be done with the GST impact and completely absorb it in our business model. Now coming to whether we can get back to the levels that we spoke about at the beginning of the year of about 25.5% , we can get to it. Are we in a tearing rush to get to that at the cost of growth? We are not.
Our objective will be to get to faster than industry growth and maintain VNB in line with that. Along the way, environment stabilizes and we have the opportunit y to expand margins, we will certainly do so. But the first goalpost really is to ensure that the VNB delivery is in line with APE growth next year.
And any sort of expansion on top of that, aided by product mix, scale, all of that is somet

hing
that is de finitely on the table. While in H1 we were faster, Q3 we were largely in line, Q4 was certainly slower than where we want to be. And that is the impact that we need to absorb and we will as we as the growth normalizes.
So, we are not too concerned about t he additional impact that we saw in Q4 on VNB growth and consequently on the full -year margins. We should be able to recover as the growth normalizes next year. So that is not something that we worry a bout as a drag getting into FY 27 and beyond.
If we're t alking about a 3-year perspective, clearly there is room for margin expansion.
But again, it's going to be measured. Some of our investments now have started bearing fruit in terms of branch productivity as well as our expenses on the technology front. Al l of these are expected to increase productivity, efficiency and better risk management. With that, margin expansion is something that we should absolutely gun for, with protection becoming larger and larger part of our business as we go forward.
Vibha Pad alkar: And just to summarize, if you see Slide 13 of our investor presentation, it is exactly what Niraj mentioned. If I ignore the GST, the one -time GST and surrender charge impact, we were very close to the same 25.6% of last year. And the drop is only b ecause of these items. So , it was almost like margins were being held and the starting point is anyway 25.5%.
Madhukar Ladha: Sure, got it. And the assumption change and variance break up if that is if you could give that?
Eshwari Murugan: So, the assumption change is mainly on the persistency, the 13th month persistency had dropped during the year and this has been reflected in the assumptions both in embedded value and new business. So , it's mainly coming from persistency and that too 13th mo nth persistency. All other

cohorts we don't have any material impact either in the assumption change or in the variance.
Moderator: Our next question comes from the line of Dipanjan Ghosh from Citi.
Dipanjan Ghosh: So, few questions from my side. Fir st in terms of the Banca channel and more s pecifically on the non -HDFC Banca channels. Just wanted to get some sense of what's the direction or strategy when you kind of think of these channels? Is it more growth -focused or do you think the focus will be on more VNB counter share?

And from the next two -year perspective, if you can give some colour on that. That's the first question. The second question is on the product pipeline and this is more in line with also the AGNI product that you have la unched. You mentioned that there has been strong traction initially. If you can kind of quantify or give some colour around that? And also, in terms of the refinements on the non -par products that you have done, if you could kind of elaborate on that? And the product pipeline, alongside on the non -par and annuity side? I mea n, if you can kind of sum it up?
Vineet Arora: I'll take the question on t he on the non -HDFC Banca channels. So , the focus, for all channels for us is very clear that it is to go for gro wth subject to a certain VNB. And below a certain VNB, we choose at times not to participate in a certain segment or particular channel also. So , the focus remains same across channels and that is the reason wh y you would see that certain parts in Q4 we did slowdown in certain channels. And that I think remains consistent across channels. And same is the reason why you see a higher focus on our agency and the proprietary business where we have seen faster growth coming in .
Niraj Shah: On products Dipa njan, a couple of things. One is AGNI was basically the first variable annuity product that was introduced and it's absolutely contributed to our share of annuity mix increasing meaningfully in this period. And it was launched towards in the

last quarter, so we expect that
to become a full -stream product going into FY27 and beyond.
And as we understand more of the product category, we would want more potential for innovation in this category as the regulator allows us to use more instruments that will enab le a better customer proposition while we manage our risks appropriately. It is a win -win from a customer perspective for anyone who is reasonably affluent.
We have launched this product at a ticket size of 25 lakh and above to ensure that the customer clearly understands what they are buying and it's not a completely guaranteed product. It is guaranteed up to a point, after which the customer participates in the upside because of the asset allocation that we are able to do in the product.
And that is som ething that we believe is here to stay from a customer who is reasonably affluent and savvy and is not dependent on the entire annuity stream to maintain monthly expenses. So that was really the thought process behind it and there will be a lot more to com e in this space.
As far as non -par savings is concerned, I think a few things that we are basically looking to add to our flagship Click 2 Achieve series and a large part of it is to do with giving more flexibility to customers, looking at customer segmen ts a little more granularly to see what we can do in terms of affording more options to customers as well as getting more competitive.
And over a period of time as the asset side of the market develops, there will be more options that will kind of come th rough in each of these categories. So , I guess a lot of things will be happening behind the scenes, which is just ready to take advantage of a more favourable interest rate environment as we step into FY27.

And the volatility on the equity side so far has not really damp ened unit -linked demand. But we will wait and see how that kind of goes on as we go forward. Asset allocation is currently unfortunately out of fashion, but that is something that we expect to normalize in the next 12 to 24 months. When that happens, with the suite of products that we have and more in the pipeline, we expect the category to do extremely well.
Dipanjan Ghosh: Thanks, Niraj. Just one small follow -up. T his variable annuity product propositions, how are the margins in this product, I mean, compared to industry or company -level margins?
Niraj Shah: It will be higher than company -level margins.
Moderator: Our next question comes from the line of Shreya Shiv ani from Nomura.
Shreya Shivani: A couple of questions on the EV and VNB walk basically. Shouldn't the GST and Labour Code impact be an assumption change because it is a permanent change rather than a variance? Also, comparing to one of your peers, there i s no impact of the yield curve movement on your VNB

walk. What is the thought process behind this if you can explain that?
And has the persistency assumption changes caused a sharp movement in your persistency sensitivity from your sensitivity analysis table? Just one question on the growth outlook o n the competitive landscape etcetera to Vibha. I mean, one way of dealing with the competitive landscape is obviously what you're doing: going granular and trying to find a different kind of pricing for your products etc etera .
However, expanding beyond our obvious markets, expanding into deeper pockets or markets where only few players operate, isn't that something which we would be focused on from a long-term period? Not for FY 27, but if I ask you a bout next 5 years, shouldn't that be one of your strategies , knowing that the competitive landscape can be quite volatile in the urban Tier 1 markets?
Eshwari Murugan: So, on the EV walk, the GST impact is the impact on the existing business because there is no input tax credit on the renewal commission and the m

aintenance expenses. So that is a one -time
impact and it is external environmental impact, that is why it is shown as another operating change or variance.
The loss of input tax credit on the new business, which is part of the business model, is captured in the VNB which is within the embedded value operating profit or within the embedded value walk before the one -off. So , the one -off is actually only one -off; it's only one -time impact on the existing book. The thought process is that whatever is not within the internal environment or the business model of the company, that should be captured as a one -off operating variance.
Niraj Shah: And next year, all of this will sit in the VNB for next yea r. So, it will become part of the business model entirely. This year, since it happened mid -year, the back book had to do what it had to do.

Eshwari Murugan: Yeah, the closing EV will be the opening EV for next year, and next year the entire impact, as Niraj mentioned, if at all there is any impact that is not absorbed, will be in the VNB. In the NBM or the VNB walk, the net impact of changes in interest rate, changes in product pricing, product features, other assumptions etc etera is captured in the produc t profile.
The reason we don't call out economic assumption change separately is that it is not that during the entire year we will not do anything if the changes are in the interest rates are going up or down. There will be lot of dynamic changes in the pricing. It will be very difficult to capture the impact of assumption change assuming that everything stayed the same.
So, the net impact, if the spreads have gone up and you've not repriced it to that extent , it will be an increase in NBM, that will be captured in the product profile. Similarly, if the interest rates go down and you still not repriced it for whatever reason, that will be a negative on that and that will be again captured in the product profile.
So, this is the thought process which we h ave been following for many years now; there is no change in the way we have been showing these impacts. Ye s, on the persistency sensitivity, there are two things which is resulting in a higher sensitivity. One is the proportion of UL IP has gone up compare d to last year.
Hence, higher sensitivity. And also because of the changes in surrender value regulations, even in the non -linked products, the persistency will have an impact on the EV or the margin because unlike earlier where there was some lapse profi ts or surrender profits if the policyholder didn't stay for the scheduled policy term, here there is going to be an impact on the margin, that's why there is a higher sensitivity.
Vibha Padalkar: To take your question on getting deeper into interior India, that's exactly what we're doing. And to remind you that one of the reasons for us to have acquired Exide Life was just that. Because we felt that that was not expressly our core competency. It was happening more because of some of our partners/distributor s were there.
But we formulated an entire go -to-market strategy in Tier 2 and 3. And I'm happy to share that more than 72% of our customers acquired in this financial year, FY26, they were new to HDFC Life. And if I were to look at Tier 2 and 3, they grew faster than Tier 1. Also , if I were to look at say our agency channel, every metric, so our FC base, the financial consultant base, if you look at it, the growth there was 43% on a gross basis .
Our marketing collaterals, using of AI so that every loc al language and dialect is possible right from training to servicing. Even our ads if you see, for the first time this year, we have used, say like in West Bengal, we have used local leading personalities as against national.
So, we're already well on tha t path. Having said that, it's never all easy because we d

on’t have
as much data on all the profiles . So, there will be two steps forward, one step back. But I think we are now in a position of reasonable amount of confidence that within Tier 2 and 3, what are

the profiles that we are comfortable underwriting, and that will only increase as we get more and more data.
Another data point is that as you know we've been opening branches, you know over 200 -plus branches over the past 24 to 36 months, and happy to share that in our agency channel, 13% of the business now comes from the branches that we opened in that time frame. So, we have a holistic strategy of exactly like you're saying, to be amongst the top three movers into that space rather than only opera ting in a more crowded metro salaried kind of space.
Niraj Shah: Maybe just one thing I'll add to what Vibha mentioned is that we are aware as we step into these smaller markets that the time for the branches to get as productive as in the larger markets i s a lot higher, maybe 1.5x more. But we've not shied away from making all these investments.
So, it's just that the timeframe from which we get these returns is a little longer than we would get from a, you know, larger branch. So, both of these happen in parallel, and the trade -offs and basically the payoff periods from both of these can vary. But like you rightly mentioned, I think as you go deeper into India there is more sanity as far as the competitive intensity is concerned, given the obvious, you kn ow, costs involved in going deeper as well as the brand recognition.
We do understand that that is an advantage that that we have, and we plan to build on that as we go forward.
Moderator: Our next question comes from the line of Nischint C hawathe from Kotak Institutional Equities.
Nischint Chawathe: You mentioned that, the counter share at HDFC Bank in fourth quarter was lower than nine months, but if you could give any colour as to, what it was for the entire financial year? And, how does that sort of compare with the broad guidance of two -third counter share at HDFC Bank over the medium term?
Vineet Arora : Yeah, so we were in mid -60s the year before, and this year we would ha ve closed at early 60s.
Nischint Chawathe: And how does the conversation go? Is it something that it kind of reverts over time or there could be some kind of downward revision to this? How does it work?
Vineet Arora: No, so conversations are not only around share because the share is in an open architecture platform and, it's on the ground in every branch and every segment, where we are competing like a normal insurance player. And basis that we know actually at a gran ular level which are the places which are the cohorts that, we would have let go of which led to this loss of share .
And if we need to compete back, we also know what it takes to compete back. So, I think from that angle, it's not about a conversation; it 's more about what business we want and what business we let go.
Nischint Chawathe: Sure, and I recollect at the beginning of last year, you budgeted for around I think 14% odd APE growth. Destiny had other plans, but, when you start this year given the un certainties that are around, how do you budget, for FY27 growth? What would be like your starting point?

Vibha Padalkar: So exactly like you said Nischint, a 14% I think it was actually we had said 12 -13%, but okay, I think low double -digit growth is what we had said. Now with all this uncertainty and we have been here before in terms of when COVID was there and so on. I think we will just take it a month at a time in terms of planning. It is really volatile.
What we will attempt to do is grow slightly fa ster than the sector and while doing that focus on some of the headwinds tha

t we have on protection. We talked about some of the products like AGNI. We will really focus on maximizing Tier 2 and 3 as well, the traction, because it is not as crowded as some of the other markets .
So, I think that's what we will focus on rather than trying to put a number, because a number means that you're going invest resources and so on up front. I think it's a little bit too volatile a situation.
Nischint Chawathe: Fair e nough. And just last one, do you think that this is the right environment for non -par to pick up over ULIPs given the given the way the bond yields have moved and, you could probably leverage that in terms of offering higher IRRs.
Niraj Shah: Yeah, absolutely. We've been waiting Nischint, but it's not happened given the flows continue on the equity side, which is again we have no problem with that , we'll take all the growth that comes in unit -linked as well given that we now have an operating m odel that works. But yeah, it's a bit puzzling to us as well that given the environment and given the uncertainty and the returns on the equity side in the short -term, customers are still ignoring asset allocation.
That is something which I guess like, we discussed earlier, we are ready with multiple product

options for customers and we absolutely believe this year I think the non -par take -up should be higher than what it was last year. It's a bit puzzling why it hasn't happened already.
Nischint Chawathe: But do you think the demand is elastic to IRRs?
Niraj Shah: No, we do not believe so. To some extent, yes, where in an extreme situation where I mean someone's putting 100 basis points more than me, of course they're going to buy that product. But the thi ng is if within a band of like in protection 15 %-20% up and down, it is not elastic , it is driven by multiple things including brand preference and as long as we're in the zone we are okay.
So, in IRR I'll give you an example of annuities. Annuities all th e major players, three or four of us who are 90 %-odd of the market, are pretty much fairly close to each other because that is the pricing that makes sense. And the customers choose based on their preference and the distribution outreach of each of the pla yers.
So similarly on non -par, I think maybe barring one or two players, you find everyone from a mix perspective being anywhere between 15% to 20% of their product mix is non-par. So that tells you that up to a particular point, pricing would matter . But once you're in a range, then

multiple other things take over. So , it's not completely elastic to some extent, when there is an outlier pricing, definitely there will be some demand that gravitates towards it.
Moderator: Our next question is from the line o f Supratim Datta from Jefferies.
Supratim Datta : So my one question is on the rider attachment. So , could you let us know what is the current rider attachment rate that you have, and you know how much further can this be increased? And if the ULIP demand comes off and that's replaced by non -par, could you do the same thing as increasing the sum assured with non -par products as well? Woul d the similar strategy work there as well? And what proportion of the ULIP policies currently has this higher sum assured?
Niraj Shah: We have it highlighted in our investor presentation as well, about one -fourth of the u nit-linked business that we sell comes with higher sum assured. And we started our rider journey about maybe 3 years back with a lot of education internally and putting our systems and processes in place to ensure a seamless experience for customers.
Even far back as a year ago, year and a half back, the rider APE was less than 1% of unit -linked premiums. Today it's at least 5x to 6x times that. And it is only increasing with the number of riders that we're able to bring to the ta

ble with customers opting f or a combination of high er rider s as well as higher levels of sum assured.
So, I think , as of now , we have all the options from a customer perspective whether they want to take higher level of protection in the base sum assured itself or they want to have the option of taking a rider. And that is something that I guess we'll continue as we go forward as well.
On the savings and non -par products, we have not seen a very significant take -up of riders yet, because the thought process there is a little more dif ferent compared to when someone is looking to buy a unit -linked product. We are trying to see how we can improve our attachment ratios on other than unit -linked products as well, but that's still work in progress.
On standalone protection, like Vibha menti oned earlier on the call, there is a fairly significant uptake of pure or non -return of premium products this year given the GST change. Return of premium is also doing reasonably well . It's just that the full impact of the GST price has shown itself in hi gher demand for pure non -ROP products. So , I think having a suite of each of these at scale definitely helps, depending on whatever choice the customer may want to make.
Supratim Datta : Got it. And you know at the overall APE level what would be the proportion of riders?
Niraj Shah: So, again , we have , I think spoken earlier and, on the call, 7% is our pure protection by itself in individual business, and adding riders it comes to 10%. So, I think you can attribute about three -odd percent of our APE t o that.
Moderator: Our next question comes from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: So Vibha or Niraj, the question is that you told that in fourth quarter you lost market share compared to nine months in bank. So, is it fair to say that the competitive intensity actually increased and that's the reason we lost the market share, and if given IFRS fo rbearance is accepted, are you confident that the growth might come back to mid -teens kind of a level next year?
Or whatever the pain has to be taken with respect to non -par unviable business, it has already been there in the current year, and on a lower base that should look little better going ahead, and

therefore the mid -teens growth can come. So, any colour on those lines will be very useful to understand the growth trajectory going ahead ?
Niraj Shah: So Sanketh, given the environment, difficult to put a number in terms of what growth comes ahead as far as the specific question in terms of within HDFC Bank competitive intensity increase in quarter four, yes. Do we expect that to continue into FY27 and beyond? We do not believe so for all the reasons we mentioned because sustainable growth, profitable growth, which is capital efficient, has to be done in a manner which kind of makes sense, even if you have a lower profitability threshold.
So, like we mentioned, we don't have to be, you kn ow, present in all the segments at all points in time. There will be opportunities available to do a lot more granular work to get our counter share where we would like it to be. And that's something that we're already working on. We discussed geographies, we discussed kind of branches, we discussed customer segments. Whatever applies at an overall level will apply to HDFC Bank also in terms of our approach to get our counter share back up to where we would like to see it.
So, we we're not going to be suck ed into unreasonable things that are happening on the ground. We will push ourselves, definitely. We'll do our trade -offs between growth and profitability and keep challenging ourselves in terms of are we missing something which makes sense. We've done tha t in the past, we'll do that again. But anything that absolutely looks, you know, unmanageable from our perspective,

we will not step into even now. So that's our thought process.
Sanketh Godha: But given maybe the capital will come in and maybe sub -debt r aise, will it give a bit of little more comfort o r gunpowder to be little more competitive compared to what you were in the current year? Maybe there was a border case business you missed , you chose to not to do it, but with the capital, will that that tho ught process might change at the fringe level?
Vibha Padalkar: I think we have enough gunpowder to be competitive, but for different reasons, not necessarily because capital has come in. Capital has come in for growth in the normal scheme of things because RBC is likely to come after IFRS rollout has happened.
So, it's more to tide over that. There are quite a few things exactly like we did in the case of protection, which was really being nuanced on driving the narrative rather than being forced into doing things that we are not comfortable doing or don't see the end game in doing all those

things. So, you will have to just wait and watch because again not everything can be disclosed on a call like this.
But yes, we are not just sitting and waiting until the whole thing blows over, but yes, there are at least three or four things up our sleeve to manoeuvre the narrative in a direction that we want to. And just in terms of giving a little bit of colour is that we are looking very granular with in our data to see for which customers we can take not an aggressive but a calculated call, and which ones we absolutely want to avoid. So, it's not one size fits all.
Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services .
Prayesh Jain: The question is on HDFC Bank channel, and I think that's been discussed quite a bit, but just one more angle to it. Whether commission that the competitors are paying to HDFC Bank, does that also come into equation w here the share has come down come down for us?
Second, when you say that the capital raise will give you additional solvency of 900 basis points, do you also build in the additional debt that you can raise via the bonds to build that capital?
And lastly, o n commission regulations if any that comes through, then how would kind of things play out with your primary partner, which is HDFC Bank?
Vibha Padalkar: So, on commissions, everything is identical over here. We do calibrate product mix. So , we will choose the segments in which we want to be materially present. To give you an example, if unit - linked at a low sum assured multiple is the name of th is game or lower premium payment term, then we might take a back seat like we have done. You know, like two premi um payment term at full commercials and so on is something that don't see the end game in that.
So, it's not that the headline commercials are different, no they're identical. However, it's some of the nuances of products that could vary , that's point numb er one. And as regards the outlook in terms of commission regulations and so on, I think we will have to wait and watch. We have had, since you're asking specifically about our primary partner, it is not that we haven't been having conversations on what -if scenarios and they're fully aware, and they also sit at the Board. So, they're fully aware of many different possible scenarios and, you know, what might be viable, what tweaks might be required to business model and so on. Like I said, in the medium term, whatever it is, the demand for insurance is not a figment of our imagination. Exactly like the way demand really took off with this GST cut as far as protection is concerned . So that demand is certainly there. How one taps it through what kind of product s in a new environment ,

if there is one , is something that we will quickly look at and collaborate with our partne

rs for it
to be a win -win.
Niraj Shah : And Prayesh, if I could just quickly repeat your question on that solvency. You asked about whether there is capacity to raise sub -debt? Answer is yes. We could raise on the back of INR 1,000 crore s of equity, INR 500 crores sub -debt, which will give us an additional 4% as and when we believe it would be required or we want to just exercise that option.

Prayesh Jain: Yes, so together these two capital raise options could positively impact solvency by 1,300 bps, right?
Niraj Shah : That's correct. 1,300 -1,400 bps, yes.
Moderator: Our next question is from the line of Vinod Rajamani from Nirmal Bang.
Vinod Rajamani: Yes, thank you for taking my question. So , I have I have one question on retail protection. So , what proportion of buyers would you say on retail protection are first -time buyers? Is there any sense that you're getting that the addressable new -to-insurance kind of pool, that pool is kind of thinning or is that getting a little saturated? How should we think of that? And what is the kind of sustainable quarterly protection growth rate into FY27?
Niraj Shah: Yes, so it is very encouraging to see that post -GST about 80% of the protection business is new to HDFC Life customers that we saw. And as Vibha mentioned in her opening comments, we're basically seeing fair bit of dema nd across different customer segments. And also, in terms of the choices that they're making in terms of taking full advantage of the GST cut to either buy more sum assured or so basically even after the changing price, we're able to maintain our average ticket size, which basically tells you people are buying a lot more cover with the same amount of money.
They could have chosen to buy similar cover with lower premiums, but the most customers have not chosen to do that. So that's a very good sign. With all of this as well, in spite of all of this, we are still fairly under -insured as a as a country and the customer segments that we believe require more insurance.
So, we're far from saturated. Customers are taking making different choices to buy protectio n. Some who are comfortable using the savings vehicle have these options that we discussed earlier in terms of riders or higher embedded sum assured. But a lot of young customers are taking pure protection products and the GST change has been a fairly big catalyst there.
Vinod Rajamani: The other specific question on the HDFC Bank channel. So, is the bank trying to kind of deprioritiz e non-par savings? I mean, if it's a trend which is kind of visible in terms of the fact that ULIP share has been increasing. So, does the bank kind of see it as competing with deposit holders and so on? Is that something which is being felt?
Vineet Arora: No, we haven't seen this kind of a let's say a completely deliberate kind of a move towards one particular product mix. The ULIP mix is mostly coming in from the demand from the customers and more of an easier sale, especially, certain segments like we spoke about when you're able to configure a shorter pay etc etera in ULIPs for certain insurance companies. So, I think that's t he reason why you've seen maybe a larger skew happening in the ULIP side in HDFC Bank.
I have not really seen the reason that this might be competing with a deposit. And also, we have always focused on long -term guarantees, long -term products, which do not really fall into the

bank's competing foray. I mean they work on a medium -term kind of assured returns and our products have always focused on much longer -term guarantees.
Moderator: The next question comes from the line of Tejas D'Cunha, an Individual Investor.
Tejas D'Cunha: I have two questions. What was the percentage contribution from

HDFC Bank channel in the
individual overall new business premium? And the second one, you mentioned that the MFI sector growing and catching up in Q4, what was the growth that was registered in Credit Life new business premium business?
Vineet Arora: MFI, I think we saw the growth coming back in quarter four. Quarter four MFI growth was there because there was also a subdued base last year , growth was in excess of 40% in Q4 , while on an overall year basis, I think we saw business growth of about 13 -odd percent. Slightly slower than our CP growth, but that's the full -year number in the MFI business . On HDFC Bank, our NBP contribution on receive d premium is approximately about 40 -odd percent.

Moderator: The next question is from the line of Manj eet Buaria from Sa amya Advisors LLP.
Manj eet Buaria: Vibha, I had one question. Why did we not revisit our dividend policy and skip about INR 450 crores of dividend payout when we are simultaneously looking to raise INR 1,000 crores in a primary issue?
Vibha Padalkar: See, we do have a lot of retail investors, close to 9 -10 lakhs of retail investors on an average , there are pension funds also. When yo u look at banks, let's take that example. Banks come to the market to raise capital all the time, and they pay dividend. So, it's no different; it's just that in life insurance, the back book so far has largely funded normal growth. Now, protection here has been a lot higher than in the past 17-18 years that I've been associated with the sector. That's a good problem to have, however it requires capital. So, this is growth capital. If there was an issue in terms of some hole that is caused because of some i nefficiencies or something like that, then maybe what you're saying could be considered. But this is growth capital, no different from any other sector, and this is business as usual as far as existing shareholders are concerned, especially the retail shar eholders. I think that's how we had to triangulate; hence we've kept it flat. So, we've tried to balance the two objectives.
Manj eet Buaria: I understand that Vibha, but actually, you know, it's also indicative, right? The Board would not want to raise pri mary unless we are at a fair price. And given the way our valuations have tracked over the last few years, you're indirectly indicating that, we are already at a fair price. So, I mean, ideally you don't want to do that, right? I mean typically banks have raised a lot of capital, they've done it at much higher valuation multiples than their fair value multiples. But anyway, I was just curious about it. Thank you so much.
Moderator: The next question is from the line of Nid hesh Jain from Investec.

Nidhesh Jain: My question is on margin. So, this year, we had a negative impact of 110 basis points because of GST and 20 basis points of surrender s. So that should not recur next year. So, should our starting margin should be higher t han almost 130 basis points what we have shown in FY26?
Niraj Shah: So, Nid hesh, ye s, I mean the GST impact is something that we will neutralize in the first half of next year. Post that, it is completely baked into the business model and after that whatev er delivery happens should be on that basis. So, before GST, or rather I think end of quarter three we did mention that we'd like to get back to the levels of FY25 in the 25 -plus percent range. Can we get to it? We possibly can, but like I mentioned earlie r on the call, that's not something we're going to prioritize.
What we're going to prioritize is to get the growth back to the handle that we are comfortable with and deliver VNB growth at least in line with that. And if there is any potential and scope to expand margins beyond that, absolutely we will try and do that. But the priority will be to get growth back to where we would

like it to be .
Moderator: As there are no further questions from the participants, I now hand the conference over to Ms. Vibha Pa dalkar for closing comments.
Vibha Padalkar: Thank you for joining us today. Should you have any follow -up questions, please feel free to reach out to our investor relations team.

Call: Jul 2026

July 22, 2026

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Listing Department Listing Department
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Plot No C/1, Block G, Sir PJ Towers,
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Bandra (East), Fort,
Mumbai - 400 051 Mumbai – 400 001
NSE Symbol: HDFCLIFE
BSE Security Code: 540777
Dear Sir/ Madam,
Sub:
Transcript of Earnings Conference Call - Q1 FY27
We wish to inform you that pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call with analysts and investors held on July 15, 2026 to discuss the financial performance of the Company for the quarter ended June 30, 2026.
The sa id transcript has been hosted on the Company’s website at
https://www.hdfclife.com/aboutus/
investor -relations .
This is for your information and appropriate dissemination.

Thanking you,

For HDFC Life Insurance Company Limited

Nagesh Pai
Company Secretary & Compliance Officer

Encl. : As above

HDFC Life Insurance Company Limited Q1 FY27
Earnings Conference Call
July 15, 202 6

Vibha Padalkar: Good evening, everyone, and than k you f or joining our earnings conference call for the quarter ended June 30 th, 2026. Our results, along with the investor presentation, press release and regulatory disclosures are available on our website and with the stock exchanges. Joining me

on today 's call are Niraj Shah, Executive Director and CFO; Vineet Arora, Executive Director and Chief Business Officer; Eshwari Murugan, Appointed Actuary and Chief Actuary ; and Kunal Jain, Head IR, Business Planning and Strategy.
Moving on to the macroeconomic front. Let me begin with the broader macroeconomic context. FY27 opened on a firm footing than we anticipated a quarter ago. The RBI's financial stability report reaffirms that the banking and corporate sectors remain healthy , providing a stronger cush ion against external shock s than in past episodes of stress. That said, the environment is not without its watch points. Geopolitical escalations and risks can resurface quickly and we are watching this closely, given bearing on oil prices and broader mark et sentiment.
El Nino als o remains a factor we are tracking, though we do not see this as a broad -based risk at this stage. We believe this improving macro backdrop is constructive for long -term savings and protection businesses like ours, and we remain watchful for any material shi fts as we go through the year.
Moving on to our business performance. We commenced FY27 with Q1 individual APE and WRP growing by 7% and 8%, respectively, while overall APE growth was stronger at 9%, supported by rob ust growth in credit life and gr oup business. On a 2 -year CAGR basis, individual APE growth was 10%, and our retail private market share stood at 16.3%.
Growth during the quarter was underpinned by strong customer acquisition with the number of policies g rowing in double digits and ahea d of industry. Retail Protection continued to outperform the company average growing by 42% and retail sum assured should also continue to outpace the industry, which is a reflection of the quality of our business mix and ou r sustained focus on long -term p rotection outcomes.
Importantly, this growth was broad -based. Channels other than HDFC Bank collectively grew at 17% in Q1 FY27, led by a strong performance by our agency channel and healthy momentum across non -bank alliances, demonstrating th at the underlying engine of our business remains well set up. Business through the HDFC Bank channel remains subdued this quarter, refl

ecting softer volumes at the overall bank level.
We have worked closely with the parent and encouragingly accounted shar e within the bank improved through the quarter and is now trending closer to where it stood at the same time last year. And this is on a run rate basis. While it is early days, we see growth pick up as a matter of time rath er than anything structural, and we expect the channel to progressively contribute to growth as the year progresses.

Our agency channel grew ahead of the company average at 21%, with particularly healthy traction in protection and annuity, a continuin g payoff from our investments over the past few years , in distribution reach, frontline capability and branch productivity.
Our non -bank alliances also delivered a strong quarter with retail protection growing by 60% year-on-year and market shar e across partners remaining largely st able. For FY27, we continue to hold ourselves to two clear marke rs, growing in line with or faster than the industry over the course of the year and delivering VNB growth broadly in line with APE growth as we priorit ize profitable market share gains this year.
We remain disciplined in our approach anchored in customer acquisition, product competitiveness and quality of business and confident that the machinery we have built is positioned to deliver on both.
Moving o n to product mix. Our product mix rema ins w ell diversified. Unit -linked products contributed 44% of individual APE, non -par savings 22%; participating products 15%, retail protection 8% and annuities 11%. Non -par savings crossed mid -20s on a run rate ba sis by the end of the quarter, aided b y cal ibrated rate actioning across select cohorts supported by a favorable yield environment.
We also saw some benefit from competitive repositioning in the category alongside a gradual shift in customer preference to wards guaranteed return products, a tr end w e will continue to watch as the year progresses.
Protection continues to be a standout, growing over 40% year -on-year as we carried forward the momentum from the second half of FY26. Retail protection's share of our business rose from around 6% to 8% and to nearly 11%, including riders. Credit Protect also delivered healthy growth of 19%, supported by a recovery in the MFI segment.
Annuity saw strong momentum on the back of our variable annuity proposition launch ed in Q4 FY26 and which now a ccounts for just under half of our annuity mix and has opened new conversations with both distributors and customers. We believe continued innovation in this category will expand our addressable market over time.
Unit-linked demand remained resilient desp ite mar ket volatility. Looking ahead, we expect our

product portfolio to remain balanced. We do not anticipate ULIP mix increasing meaningfully from current levels and expect the share of non -par savings products to im prove gradually as customers rebalance their asset allocation towards long -term guaranteed solutions amidst evolving market conditions. We also expect protection to remain a key growth driver, although growth rates may moderate in the second half as the im pact of recent tailwind normalizes.
Moving o n to financial and operating metrics. Our value of new business grew 9% to INR 879 crores during the quarter, aided by improvement in new business margins by 100 basis points sequentially versus Q4. On a 2-year CAGR basis, VNB growth was 11%. New bus iness

margins stood at 25%, aided by better product profile, which helped absorb scale -related pressure and a GST impact of approxi

mately 60 basis points .
Residual GST impact now stands at 60 basis points , and we remain on track to fully neutral ize it over the coming quarters. Going forward, while margins should improve with scale and product mix, as stated at the beginning of this year, we will continue to prioritize growth over margin expansion. And hence , we expect new business margins to rema in range bound at current levels.
Renewal collections registered a healthy growth of 19%. Our 13 -month persistency moderated by around 200 basis points to 84% broadly in line with our expectations and driven largely by specific cohorts and softer collecti ons in u nit-linked products. We view this as within our anticipated range, and we are working across customer engagement, collections and attention to drive improvement through the year. 61st month persistency improv ed by over 150 basis points to 65%.
We also cro ssed an important milestone this quarter with our assets under management exceeding INR 4 trillion. Following the successful completion of the preferential capital issuance by HDFC Bank, our solvency ratio im proved to 185%, giving us a strong capita l positi on to support growth ahead.
Profit after tax for the quarter was INR 611 crores and registering a YoY growth of 12%. Excluding impact of GST, this would have been 17% growth. Em bedded value stood at INR 65,860 crores . We would highlight that our 5-year absolute EV accretion has compounded at 18%, which we believe is a more meaningful measure of sustained value creation, particularly as the business scales.
On the regulatory front, IFRS implementation remains on track, and we look forward to further clarity on the time line for implementation of the risk -based solvency framework. Separately, the RBI regulations on third -party product distribution finalized last month and effective January 1st, provide a framework around best -selling practices for distributo rs and we are working closely with our partners to implement these seamlessly.
We also await the discussion paper on distribution remuneration from IRDAI and are hopeful that ensu ing regulations would help in achieving their long -term vision of insurance for all by 2047.
Moving on to our subsidiaries. Our wholly owned subsidiary, HDFC Pension Fund Management continues to strengthen its leadership position with a market share of 43 %, with assets under management of approximately INR 1.75 lakh crores, delive ring 33% growth YoY .
Our reinsurance subsidiary, HDFC International Re continues to deliver steady performance with encouraging traction in GIFT City operations.

To c onclude, as I outlined at the start of this call, the broader environment has be en constructive, and we believe the machinery we have built, namely a diversified distribution franchise, a well -balanced product mix and a disciplined approach to pricing and capital is working as intended.
For FY 27, our aspi ration remains unchanged, t o grow in line with or faster than the industry and to deliver VNB growth broadly in line with APE growth. With GST transition largely behind us and encouraging trends emerging within our bank channels, we remain confident in our ability to deliver profita ble growth over the course of the year.
For a more detailed discussion on our performance and outlook, please refer to the investor presentation. We will be happy to take your questions now.
Moderator: Our f irst question comes from th e line of Avinash with Emkay Global.
Avinash: A couple of questions. The first one would be more on the longer horizo n. If we were to look back over a longer horizon post your listing , one thing that we have seen the peer margin improving materially because post listing you had this non -par savin

g products boost coming
and the margin expansion has been ve ry, very material.
Whereas in y our case, you had one of the best margins when you had listed, as against some other peers, the margin has kind of gone up in between. But today, if I look at last year full year margin or now, the improve ment over the last 7 -8 years is relatively limited – even with product mix turning favorable , operating scale kind of going up. What has put this kind of constraint that your margin improvement has been relatively limited.
Second qu estion would be, looking forward, broadly, you are maintaining the guidance of an industry in line grow th and VNB and APE growth to be in line, basical ly flat margins. I presume that this is for individual APE, that has been kin d of relatively slower. Now going forward, if you were to look, what is giving you the confidence? Is it any sort of a specific channel issue t hat par ticularly you have a solution in sight for or you expect that the weakness in HDFC Bank channel to be co mpensated by maybe agency grow ing faster? So, what is giving us the confidence that it will improve from he re onwards ?
Vibha Padalkar: Yes, so on the margins, actually, fundamentally, our margins would have gro wn. I don't want it to say relative to peer s because -- some are in open architecture, some closed architecture, some are at intensely competitive market commercial, some are at favorable commercial and so on. If you look at o ur own numbers, you will see that margin ex pansion was clearly on the cards, and this is what you see on Slide 5, specially in c ontext of every dip or volatility that you see.
If you were to look at FY 16 onwards, there has been a steady FY 16, FY 18, every 2 years, FY20 till FY 22, there was almost linear growth in m argins, almost between 100 to 150 basis points increase in margins exactly to your point. And this happened as recently as FY 22.

Thereafter, there were three very significant either regula tory or government -related impact on the sector, which we have called out to say first one between FY 22 to F Y24. There was a 90 basis point decline in our margins and thereafter because of the withdrawal of 80C or the INR 500,000 lakhs and above wou ld be taxed, very significant impact also beca use some of our customers were perhaps the more affluent segment and so we were operating at a higher ticket size. So , like we articulated at that time, we change d our strategy to move away from those cohort of customers to a more broad -based , Tier 2 and 3 markets .
And around this time, we rolled out our Tier 2 and 3 strategy. Happy to share that now close to 70% to 75% of our new business comes from Tier 2 and 3 when you look at number of policies. So that has worked very well. Thereafter, when you fast forward margins, so we have reached 26.3% in FY 24. From 26.3% in FY2 4 to 25.6% in F Y25, we had surrender charg es and we had called out that there was a 100 basis points impact on our margins due to surrender charges.
And again, in terms of surrender charges, as you know, we were the architects of non -par product Sanchay Plus , which has now become ubiquitous in the sector. Again, it took us time to re calib rate and look at how we are able to change our business model, economics with distributors, some of it sharing with distributors, and that is what took us sometime between FY24 and FY 25.
Thereafter, onc e surrender charges was done and dusted, we had the GST between FY 25 and FY26. And what we have shown last year is that GST came in the second half of the year, excluding the impact of GST, we actually had a margin expansion. So inherently, ma rgins have gone up and not down. An d net of GST, we had that impact. So really, the only reaso

n I
would attribute is these three very material shifts and impact on business model.
Hopefully, that's answered your question in terms of the 100 basis points down ward shift in margins . And when you look at this quarter, actually, our margins have expanded. If you back out the impact of GST, our margins are actually ending up at 2 5.6% , versus opening of 25.1%. So again, a margin expansion.
And like we have articulated, the 300 basis point impact of GST, we ended last year having digested everything , with about 110 basis points or thereabouts remaining . 50 basis poin ts has been digested in Q1 and w e have about 60 basis points left yet to go ahead, which we are reasonably confident for us to get over that as well .
Vineet Arora : I think on the growth, the way I think Vibha also covered in our opening , our growth in this quarter , if we keep HDFC Bank aside for a minute, has been very broad -based across all the channels. This has been led by our agency c hannel a nd our own proprietary channels, which has l ed this by growing faster than 20%. All the channels combined , excluding HDFC bank , grew by about 17%, and our proprietary channels grew in excess of 20% in this quarter. So , the growth has bee n fairly broa d-based.

Now coming to HDFC Bank, within HDFC Bank, like we have been talking about this in the maybe last 2 quarters also that how certain competitive pressures which we were not comfortable participating in , we have let some share go in that segment -- in the 4-6 months of the last financial year.
In this quarter, a lot of that has evened out. Most of the competition is no w completely benign on those products, which were obviously not profitable for t hem as well. And hence, we have seen the market share coming back. Overall, HDFC Ba nk has not grown this quarter because of a large base. But given that factor, our market share within HDFC Bank has now come back.
Now as the bank continues to grow and we continue the mom entum of our market share increase going forward as well, we are very confident of getting good growth from HDFC bank as well.
Moderator: Our next question comes from the line of Shreya Shivani with Nomura.
Shreya Shivani : I wanted to understand how the product -wise growth shall pan out for the remaining three quarters of the year. So , protection clearly will ha ve a high base coming in from third q uarter. But on the non -par segment, it's good to h ear that the competitive intensity within the H DFC Bank channel has come down.
Is there any other pressure or other competition from FD or any other products that m ay create a problem for us in that prod uct going ahead and within that channel specifically ? So yes, a product -wise outlook on what can pan out in the coming three quarters? And to that extent will our margins remain at these elev ated levels or should we see a little bit more compression coming in if ULIP grow th kicks in from second quarter?
Nira j Shah: At a broad level product mix, there are a couple of shifts that are very noticeable are in protecti on, uptick by 2 percentage points from 6% to 8% over the same period last y ear. And also, as we had indicated over the last few mont hs, the non -par savings bucket has started moving in the right direction. We closed at about 1 8%-odd last year, and for the current period, it's 22% now , on a run rate basis it's close to 25%.
The t hird bit, which is again within the non -par savings cat egory, but falls in the annuity bucket has more than doubled from 5% mix last year to about 11 -odd percent . This is on the back of a new product launch that we had done in Q4 of last year on the variable annuity front. We have a couple of product structures t here, which have been

received extremely well by
customers and our distribution partnerships. So that is something that has also added to the richness of the product profile.
Unit-linked, as anticipated, the same period last year has gone up by about 6 pe rcentage points, but as such on a full year basis is at very similar levels, not having mov ed too much. So , our

outlook for the rest of the year on the product mix is going to be not very diff erent from what you see now. Protection as a percentage is likel y to stay the re or thereabouts.
We expect a higher level of growth in the next nine month s. So lower ticket size protection products may not be able to match in terms of the mix percentage. So t hat's something that you could see.
Annuity as a segment, we ex pect that to continue, which will be significantly higher than last year. Non -par also meaningfully higher than last year. We don't know where it kind of settles. But mid -20s looks like a fair ly good base from where we would like to build. Unit -linked again, not very different from last year. We don't expect any meaningful elevation from her e neither do we expect a very significant downward movement from here on.
In terms of mix, this is where we are . To your question in terms of where do we see margins settle as a consequence of this, very similar to current levels at about 25 %-odd. So , we basically have mentioned about wanting to recoup some of our loss on account of the GST large part of it ha s been done . We endeavor to mitigate the rest of the impact over the next few months , anyway from H2 it will be in the base.
So, we expect to hold our margins at levels similar to where we see today and focusing on VNB grow th in line with APE as the rest of the year shapes up. So , no big movement in the levels of margin from where you are seeing it today. So def initely looking for a higher level than what we delivered last year. But similar to where we are at this time.
Vibha Pa dalkar: So just to add , I think inherent margins ho pefully should go up a little bit, but we want to reinvest it back into business for growth.
Shreya Shivani : And just a follow -up question is on the agency channel and the kind of growth momentum over there. Is it f air to say this is the portion where your majority of Tier 3, 4 ma rket expansion story is playing out? That will be a fair assessment, right? And then your agency channel is

expanding more into the Bharat market, etc. ?
Vineet Arora : It's not just from the Age ncy channel. Even the bank channels have a big rea ch in the Bharat and the Tier 3 towns, etc. So , it's a very fair mix in these towns. Channel expansion is also happening in Tier 1 and Ti er 2. So, we did expand branches, and we are also deep ening in existing market where we had lo wer share of agent channel. So, when we expanded brand, we expanded across markets to increase our reach and second, to increase our depth.
Vibha Padalkar: And happy to share the branches that we opened in our agency channel, in the past 24 months, it contributes almost 16% to our agency AP E.
Shreya Shivani : And most of these branches were in dee per pockets or tha t's again fairly diversified across geographies?

Niraj Shah: The new branches were in the Tier 2, Tier 3 markets, but the growth is more broad -based across T ier 1, 2 and 3. But yes, the more recent branches are in the smaller markets.
Vineet Arora : So the expansion that we took over in the last 2 years, the Phase 1 and 2 of those expansions were more to cover the geographies. The Tier 3 expansion i s more in terms of deepening -

so
there is a portion of the expansion also, which is fo r them.
Moderator: Our next question comes from the line of Sanketh Godha with Avendus Spark.
Sanketh Godha : Just on the Banca thing, you said that market share is coming back in HDFC Bank. So maybe last year, we alluded that we were at early 60s and we used to be in mid-60s. So , when we say that market share is back, are we back to mid -60s or we still have a scope to go back to mid-60s in HDFC Bank?
Vibha Padalkar: We are very selective in which segment we want our market share to go up. I think that is important . The headline number is not something that necessarily is how we look at things. So obviously, in some of the segments that we talked about just now non -par especially as well as in protection and even in par, that’s where probably our focus is a lot more than in unit -linked. So, we are very granular in terms of what are we tracking.
But suffic e to say that we are on track in terms of level playing field, we are also competitive on our product architecture. We tal ked about that earlier. And a few other things that are well positioned to pick up any demand. We are also looking at this in a very granular fashion of which are the laggard branches and so on and having a very bespoke strategy to fix it. The inten tion certainly of the bank will aid some of what I'm saying.
Sanketh G odha : Is it fair to say th at compared to last year in current year or at least for first 3 -4 months, you are operating in a relatively better environment in HDFC Bank compa red to what you witnessed in FY26. So probably, if the bank comes back with the gr owth, you will inv ariably do very well in the particular channel?
Vibha Padalkar: Yes. I think you more or less captured it.
Sanketh Godha : And second questio n which I had was that this par meaningful slow down what you see is predominantly because of our cons cious focus to degrow the immediate cash back plans, which we launched in par or in general migration of business to variable annuity or non -par? Just wanted to understa nd the color of slowdown in par business?
Vibha P adalkar: Yes. So , it's a combination. Our focus has been on non -par and you will agree that we have shown a fair bit of traction on non -par from the late teens to moving -- exit rate, like we said , around 25%. So, some of that has happened.
But also, I think th e overall operating environment, there are preferences of customers where there is a lot more of market volatility, there is some level of relooking at gua ranteed products,

that is for som e part of people's portfolio as they should, plus aided by a favorabl e yield curve environment. So , the combination of all of those.
Sanketh Godha : The reason why I'm asking is that in the previous results call, the articula tion was a little different that non-par business is still not conducive. But in the commentary, what yo u are giving seems to be a little different. So just it is bit confusing to make a clear conclusion whether the demand has come back to really non -par, ei ther because you're offering or industry is offering better deals because of the yield curve benefit or it 's just some ULIP demand or some other produ ct demand is migrating towards non -par?
Niraj Shah: No it's a combination, I'll ju st start with non -par. Non -par we had we've been having a product mix in the 30s for the last few years, ever sinc e we launched the category of products. And last year, we saw a significant downward shift at about 18 %-odd. The reason for that was two fold. We had mentioned that largely the customer mindset move d towards unit linked products in a fairly b ig way. So that was one.

And second, we did see a significant amount of competi

tive intensity in this space, which like
Vineet mention ed, we stepped back to be f ocused on business which we thought was viable from a medium - to long -term perspective. These were the two reasons why the non -par mix went down.

And also, as we mentioned, the environment is a little more, let's just say, beni gn on the ground now because of which ability to kind of compete on sensible terms is higher at this point in time. Alongside that, yes, the interest rate environment does help because the headline rates available now are better than what they were maybe same time last year.

So, it's more in terms of some of these things, which have increased our ability to get to a non-par s hare to this level. It's not necessarily dependent only on, let's say, the in terest rate environment or any one single factor. The cu stomer thought process on asset allocation will in our minds always be a very significant guiding factor on p roduct mix. So, we just want to ensure that we are well positioned across each of these categories and competing on sensible terms. That's what we would like to maintain.

Sanketh Godha : And lastly one small point w hether variable annuity product margins will be better than the company average ? As in general I just wanted to understand the co lor if the product see ms attracti ve. And lastly, in the VNB walk you have an assumption change negative impact of 40 bps outside the 60 bps negative imp act due to GST. So just wanted to understand this 40 bps assumption change is related to what line item ?

Niraj Shah: On the second one , assumption change is largely linked to what we had spoken about last year on the persist ency variance that we had. So , this is something that we have corrected for and taken a hit upfront . On your var iable annuity question, yes, the margins will be higher than company average.

It basically depends on the kind of stru cture that the customer chooses in terms of how many premiums they decide to pay. So , it would be anywhere between an annuity product that you saw the tradi tional annuity product and non -par product, depending on the structure, but hi gher than company average.

Moderator: Our next questio n comes f rom the line of Swarnabh Mukherjee with 36 0 One Capital.

Swarnabh Mukherjee : Two questions. First of all, in terms of the growth, just wanted to have your view on how should we s ee it panning out over this year. Because if I look at, say, the numbers from April to June, we had a stronger print in April and then the print kind of tapered.

And if I w ere to calculate a 2 -year CAGR kind of a number, it is broadly aro und early teens for each of these months. So just wanted to understand that when we think about the rema ining part of the year, should we expect a similar kind of a 2 -year CAGR or should we think that now with a broader port folio of products seeing pickup in growth, we should be able to have the growth trend at a higher level.

And second , in terms of the variable annuity product, just wanted to understand like the customer base, whic h we are targeting on this , what is the opportunity size as per you? Of course, this is an innovation, but would we expect there could b e a competitive intensity picking up in this segment. I think if you could share your thoughts on this.

And t hirdly, in terms of the solvency margin, I understand that it has improved after the preferential issuance , but just wanted to understand th at with the retail protection run rate, we are seeing what kind of runway do we have before we need to go for a fund raise.

Vineet Arora : Like we have articulated , our endeavor is to g row in line with the market, both on VNB as well as on the top line. And that has been ma intained

for the rest of the year. So , whatever we have
seen in t he last three months makes us fairly confident that we should be able to deliver them.

Niraj Shah: To your question on variable annuity, yes, it's a very exciting space. We started out by offering a product a nd have now expanded to two product categories within variable annuities and we expect over the next few years , as the regulator engages w ith us, to develop this category further. We believe there's a lot more scope for innov ation and more options from a cust omer perspective.

The customer segments that we're focusing on, at least to start with was somewhat a little more nuan ce and discerning in terms of ability to live with the variability in the pr oduct bec ause traditional annuity product wa s a guaranteed product with no upside or downside potential. But this product allows the cu stomer an opportunity over a 15 -20 year period to get meaningful upside and that can be illustrated at the time of engaging with the customer.

So that is something that we started off with. As we expanded our product portfolio, we have seen that customers are willing to commit for a lon ger period of time from an investment perspective. They are typically slightly youn ger in age than folks taking a single premium

product. So , there we are able to widen the customer segment and offer ticket sizes, which are slightly lower than what we would do for single premium products as well.
As we understand the customer behavior in our engagement, we will look at how w e can expand the customer segments, but we have been fairly watchful to ensure that the customers understand what this offering is becau se it is different from what the traditional guaranteed product that everyone unde rstood.
On solvency, yes, so as of now at about 185 %-odd after the preferential allotment of INR 1,000 crore s , we have additional sub-debt capacity as well, a mounting to INR 500 crores , giving us potential of additional 4% solvency upside . The run rate that we are at this point in time, we're c omfortable with a 15 -18-odd months runway with the current capital that we have along with the sub -debt capacity.
And we would expect the transition to RBC to happen at this point in time. With the current run rate on protection and non-par or any of the product categories, we believe we should be okay as far as capital is concerned and we definitely look forward to the implementation of the risk based capital framework.
Moderator: The next quest ion is from the line of Nischint with Kotak.
Nischint : Could you comment a bit on growth in the B anca channel beyond HDFC Bank?
Vineet Arora : Last year we spoke about competitive inte nsity in all the bank channel, including the other banks beyond HDFC Bank. And we have seen that also mellow down to a large extent. And our growth in those bank channels have also for this quarter been about 15% , in Banca beyond HDFC Bank .
Nischint: And in that sense, the HDFC Bank is probably a decline is w hat we are seeing right now?
Vineet Ar ora: Marginally lower, but let's say flattish.
Vibha Padalkar: If you see on a 2 -year CAGR basis, HDFC Bank is very similar to other banks, but they had a higher base effect because of ve ry good growth last year.
Nischint : And typically HDFC Bank exhibits kind of mid-teens sort of a growth trajectory , which you believe should catch up for the entire year , is that a fair reading?
Vibha Padalk ar: I think 10% to 12%, because all these reg ulatory changes also spooks distribution. So, I think a 10% to 12% kind of growth of l ate. And that's what even other banks have largely grown , if I look at a 2 -year CAGR basis. I think 2 years CAG R they are about 10%, yes.
Nischint : And age

ncy is kind of trending quite well at around 21%. Do you see this kind of continuing because I'm just trying to kind of connect the dots to the overall guidance.

Vibha Padalkar : We are qu ite confident. The age ncy is a channel is a very bottoms -up funnel. We already have that funnel of new agents.
They have been trained and we look at different buckets of 0 to 12 months, 12 t o 24 months in terms of productivity, products, our presence in all the 250 -plus branc hes that we have added that are now contributing 1 6% to our agency business and it was probably in high single d igits last year. So, it's a very bottoms -up, brick -by-brick growth.
And we have some visibility, all things being equal on the regulatory front and so on , that gives us the confidence that our agency channel sh ould continue to trend well. And not just that we are very happy th at term and annuity together has been growing disproportionately high in our agency ch annel. So that also includes our profitability in the channel.
If you were look at Slide 15 of our inve stor presentation, term and annuity has gone up from 15% to 27%. So not just the growth is good, but also consequently aiding profitability. And other th ings like our active agent count and all of those, if we put it out. But that's what I mean by the underlying building blocks of this channel.
Nischint : And anything specific to read in the sharp increase in non -bank alliances ?
Vineet Arora : Non-bank alliances, growth is largely on the protection busin ess, mainly from the aggregators. And that's where you se e a large traction on term coming in. There is also a base impact, which happened post GST. So obviously post GST, there will be some re-organization on this business, but t hat's the large contributor .
Vibha Padalkar: Yes. also, the exit rate in FY26 , if you look at that, it is 19%. And if you further deconstruct that into H1 and H2, it might actually be a sha de higher in FY26, sec ond half. So more or less in the zone , and it should kind of trend there. We have also done many things on our product competitive proposition, and that has also helped.
Nischin t: So the term tailwind essentially is outside bank and agency, I think if I have to read it this way.
Vibha Padalkar: No agency also. So here in this Slide 17, it might not look like agency as such , but if you were

to look at that 12% underlying, there's a lot more happening in terms of exit rates in agenc y are trending well. The quality of the protection business is also getting reasonably better.
Our direct cha nnel also has seen a fair bit of material uptick from about 8% l ast year to 12% this year and 8% exit rate last year versus that of 12%. So propriet ary channel to move broadly in terms of agency plus direct is trending pretty well on protection, bo th protection and annuity.
Moderator: The next ques tion comes from the line of Dipanjan Ghosh with Citi.

Dipanjan Ghosh : So Vibha , I think at the start of this call, you kind of alluded to the fact that you're looking at HDFC Bank for a more granular perspective both in terms of products and customers. And previously, you've also alluded to the VNB counter share at that channel.
So now if I have to look at , let's say, 1Q '27 and compare, how much of the incremental wallet in terms of term or annuity or non -par of HDFC Bank, in particular, you're able to garner. Is there any color or either VNB counter share , the kind of the trajectory on that or the product level counter share that you're having rather than the blended number. Some color o n that would be

useful. And also, the strategy.
Vibha Padalkar: It is higher. At t he same time, you will appreciate that we are in an intense open arch itecture scenario. And so, some of that information is di fficult for us to share given these are competitive dynamics. But it is noticeably higher.
Dipanjan Ghosh : The second question was in terms of the non -par business. Now if you compare your high -ticke t business mix in non -par versus , let's say, pre-change in taxation levels and immediately post that, how would those ratios be tracking on a run rate basis?
Vibha Padalkar: All our ticke t sizes are doing very well, whether it is lower ticket INR 50,000 to 1 l akh as well as the hig her ticket sizes. Really, it's almost secular growth across ticket sizes.
Vibha Padalkar: I just want to pre-empt that ou r overall ticket size looks muted in terms of growth. The only reason there is that the pro portion of our INR 50,000 and thereabouts ticket size, that proportion has gone up. So , it's a mix impact, but different cohorts of ticket sizes, there is INR 50,000 to 75,00 0, INR 1 lakh to 2.5 lakhs. All of those have largely shown growth, but i t's a mix impact.
Vineet Arora : With higher protection business is going to go down , overall ticket size.
Dipanjan Ghosh : The last question, I think N iraj touched on the fact that over the next 2 years, t he regulator and the companies might be more focused on co -developing differentiated products on the variable annuity part. I just wanted to get some contours or lines of discussion with the regulator o r what incremental strategies or kind of variations ca n come in this particular category.
Niraj Shah: So, the introduction of the category itself was a fairly big step, because this product as understood, i s a fairly sensitive segment at 60 and abo ve, as such. But increasingly over the last few yea rs, w e had developed deferred annuity products as innovation, and we had started getting younger customers engaged to this category.
Over a period of time, single premium products got enhanced with regular premium products for customers who are willing to accum ulate more regularly. And now with variable annuity, I think the level of risk that the customer is able to take, I think the product development is going to be more linked to that. And that is obviou sly going to be based on how comfortable the regulator is in terms of opening up this segment over a period of time.

What is also equally important is the development of the asset side of the market through direct instruments as well as through derivative participation because that is something t hat will hel p manage risk for the customer as well as provide upside. So , a lot of these things are linked. We are in constant engagement with the regulators.
We have seen on paper, which is in the draft stage at th is point in time where life in surance companies will be allowed to participate in the repo market. That is a very big step in the direction to be able to manage risk in a more diversified way rather than being dependent only on count erparties. So, these are some of the thin gs that the regulator will look at from time to time based on our engagement, and that will further develop this category over a period of time.
Moderator : The next question comes from the line of Nidhesh Jain with Investec.
Nidhesh Jain: Two questions. Firstly, on persistency. If we look at the trend s in the traditional business, the persi stency used to be 88 - 89%. That has now come down to 83%. So , is it a reflection of surrender value regulations where the surrender value is high in the first year and that is leading to lower persistency?

And should we treat this persistency as now the steady -state p ersi

stency across our business ?
That is one. Second is what gives you confidence that HDFC Bank channel will start to revive soon? And what is exactly happening there? Because last year also growth was so ft for us. And this year, again, Q1 is quite weak for HDFC Bank channel?
Eshwari Murugan : On the persis tency, it’s a combination of things . The 8 8% or 89% persistenc y was seen when the segment had a large proportion of high -ticket -sized cases. Post the withdrawal of the t ax exemption fo r beyond INR 5 lakhs policies , the ticket size has been reducing. The persistency also has been lower.
One other thing that has happened in the last year, which we had alluded to in the previous calls, was that there was one product feature which was resulting in a lo wer persistency. We have taken action s to ensure that the feature is moderated, and also engaging the distribution channels, as well as the customers, to improve the persistency.
So that is one of the reasons why the p ersistency has fallen to84%. So 40 -50 basis points change. The other thing is that, generally, in the first quarter of the financial year, because of the March pace, which is qu ite large and doesn't get enough time for collection, the persistency is slightly lower. So these are the reasons.
And on the experience being reflected in the assumptions, all these factors which influence the experience, that is, your ticket size, channel, etcetera, is already captured. And that is why our variance is not anything big or mater ial in terms of the EV walk that we have shown.
Nidhesh Jain: So going forward, the number should improve, right? Persistency can improve ? For the traditional business also persistency should improve?

Eshwari Murugan : We expect it to be in 84%-85% range . It's difficult to say that it will go up to 87%, 88% as we have seen . With the ticket size , moderation has happened. But we expect it to get better from the current level.
Vineet Arora : On your question regarding HDFC bank, like you said , there was irrational competitive intensity in the co unter , which led to our share dropping. In this quarter, we have seen that intensity going down and it has been m ore like a level playing field. And hence, our share has come back .
Bank growth this quarter is muted largely because of a large base of last year. And as bank inherently grows from here, we should continue to grow at erstwhile market share that we used to enjoy in the bank.
Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services Limited.
Prayesh Jain : The question is on your guidance . When you mentioned that will grow eit her in line with the industry or faster than the industry. What is the assumption of the industry growth that you have in mind? And adding to that, what is the kind o f traction that you expect on a HDFC Bank channel, whether it is to be at par with the compa ny level growth this year?
Or is it still agency -led and Ban ca and HDFC Bank would stil l be, say, in single digits kind of number. And when you say again on the guidance part, when you say that the VNB growth will be similar to AP E growth , you are talking about probably a margin compression from here on because we ended the year last year at 24.2% and this quarter, we are at 25%. So how should we think about this?
Niraj Shah: So based on where the industry is at this point in time, the 15 -17% kind of a number. If we continue with that base case, the requirement for us for the remaining nine months is to grow maybe a percentage higher than the industry for the f ull year basis. If the growth is lower th en the delta required for us over the industr y will be smaller.
But I think if the current grow

th momentum continues, then 15% industry growth can be a
base case , and we'll probably have to grow at a little over 16% over the next nine months to get to industry -level growth.
To your que stion on VNB, what we have said is a couple of things. One, we definitely expect margin expansion over last year, which wa s at 24.2%, and we are at 25% right now. Where we end up, I think it's going to be a combination of what we see in terms of growth. We are fairly constructive in terms of where the growth numbers will be for the remaining nine months compared to where we are at an overall level today. We will t oggle between the margin outcome and the growth opportunity.
But at an overall level, le t's say, if the growth settles at industry levels, then we should be able to deliver VNB growth similar to topline . If the margins are higher tha n las t year, then there

could be an opportunity for VNB growth higher than APE. But at this point in time, the base case is in line. Given where we are on growth at this point in time, and we'll take it from here quarter -on-quarter.
Prayes h Jain : When you say in line, it's in line with last year, 24.2%?
Niraj Shah: Yes, current level is 2 5%. So, it depends on where our growth fin ally settles. If our growth is at about at industry levels, then the margin could be anywhere between last year an d where w e are today. If the growth is on the lower side, then the margin expansion basically w ill get us to the same outcome.
So, we want to basically retain that flexibility. At this point in time, we are fairly clear that growth is what we want to driv e. Mar gin is going to be, in some sense, incident al. Some of it will be driven by product mix. H2 protection base was very, very high last year. So, some of the conversati ons we had earlier on the call.
So, a lot of it is going to be dependent on that. So , we're n ot really overthinking that too much. We'll focus on getting to growth in line with indu stry. The margin outcome will kind of be in a range, a fairly narrow range as we just discussed.
Prayesh Jain : And what have you pencilled for HDFC Bank growth?
Vibha Padalkar: We don't want to give you channel -wise growt h outlook because, again, that's some of the competitive dynamics. But our philosophy is all channels have to grow and grow to t heir potential. Some will have a particular base effe ct, like I articulated with HDFC Bank.
And some will have further tailwind like our agency because all the investments that we have made . Each channel is on a different path, and we want all our channels to competitively rank, and we d o trac k this very closely.
We look at our agency channel in terms of ranking amongst peers and so on and other channels as well. And that's how we track and run the business. So, each one will have to grow at least in line with the sector.
Modera tor: The next question comes from the line of Vinod Rajamani with Nirmal Bang.
Vinod Rajamani : So, I have a few questions. So, one is on non -par. So, if I compare your non -par offerings versus peers . So, they are able to offer things like I mean, leave the IRR aside, but they are able to offer things like set up structures and bundled business covers and so on.
Whereas we seem to have a sli ghtly mor e kind of rigid kind of framework in terms of ride r dependent products and so on. So, are we likely to kind of refresh our Sanchay Plus offerings in terms of -- I'm not talking about IRRs per se, but just in terms of what features and benefits customer s can get, so that it's more competitive in the market place. That is one.

Then on ban cassurance, we are seeing shift away in ban cassurance back to ULIP. So, the ULIP mix seems to have gone up whereas par has fallen to 14% from 36%. So, is this a deliberate pivot towards volume o ver value? And h ow should we think of that? So, these are the two questions .
Niraj Shah: So, on non -par, I don't know where you got this impression from. But if you look at our product suite, it started with Sanchay Plus and we've had a fair number of products thereafter , the latest among them being Click 2 Achieve , which is a do -it-yourself product with multiple optionalities for customers.
The rider penetration in no n-par today is very, very limited. So, there i s no as such depende nce on putting this out to customers only on the basis of riders. That is something that we would like to do more of, but it's not yet part of the proposition. So clearly, the non-par category expansion or product mix increase is because of a variety of products tha t for various kinds of customers and preferences that they may have in terms of either taking lump sum benefits or taking benefits over a period of time.
Taking accelerated benefits or otherwise and also linked to var ious levels of protection th at they can get within the base product itself so there is a fair bit of options that are available to customers. And like we have always maintained, we will try and be competitive to the extent possible, but we are not go ing to be co mpeting only on price.
Vinod Rajamani : But say, for example, see wellness integration and so on, like, for example, peers like Tata AIA are also able to offer vitality and so on. So , wellness will become more relevant kind o f proposition going forwa rd and so on. So, are you think ing more holistically in terms of offering a better kind of suite of benefits and features to keep customers engaged? I mean, besides the IRR, IRR is one aspect, but leaving the IRR aside are yo u trying to e ntice customers to other ways?
Vineet Aror a: See there are customers when they come to different product categories, they look at different needs. In non -par usually, it's a long -term saving and IRR becomes the most import ant criteria.

Anything you add to it also starts to differentiate or erode the IRR away. So hence the penetration of rider even though it's available, it is less on non -par.
However, if you look at ULIP o n the other hand, –we have seen a good penetration of riders and typically the likes of product that you mentioned about. We also have equivalent products available and those are in place with most of our ULIP sales righ t now. And that al so is leading to an answer for your ULIP question. That the ULIP margin now are much more palatable because of the built -up protection and riders on the ULIP products .
Vinod Rajamani: Just a point on bancassurance is the shift towards ULIP, is that deliberat e or how should we think of that?

Vineet Arora: So shift to ULIP is not like deliberate from our side, but there is a preference that we have seen in the banking channels fo r customers wanting to buy ULI P. We thought that this might peak out and might even g o down. But given even the current market conditions, we are seeing that this demand is reasonably resilient.
So, what we have done structurally is that we have made sure that our ULIP proposition is profitable and it is giving us margins which are bette r than just plain ULIPs. So , a reasonable contribution of the ULIP business now comes with attached riders and hence with better profi tability.
Moderator: Our next question is from the line of Madhu kar Ladha with JP Morgan.
Madhukar Ladha: This discussion aroun d HDFC Bank left me a little bit confused. So , I just w ant

ed to
understand what is our sort of counter share in the last quarter at HDFC Bank channel? Are we now at least in the early 60s so if you could give some number?
And what proportion of our individu al APE is coming from the HDFC banks channel . And then fi nally, where do we see ourselves getting back to because in the foreseeable future, are we looking to get back to the late 60s, mid -60s, percentage sort of a number.
Vineet Arora: On our counter share within HDFC Bank, I stated this earlier, but let me just explain that we have seen some irrational pricing and increase i n competitive in tensity and hence we have taken a step back , which is now mellow ing down and hence our market share now is back to what it used to be in the first quarter last year.
And going forward also, we believe as inherent growth in HDFC Bank channel comes back, we shou ld see our growth also from that channel coming back. Just coming to the contributi on of HDFC bank in the retail AP E. In this quarter, it has been at 47%.
Moderator: The next question is from the line of Mohit Mangal with Centrum .
Mohit Mangal: I have two questions. My first question is on credit protect. I think you have mentioned ri ght now we have 19% growth now given that conditions kind of remain stable? Should we kind of expect this growth to be sustained for the entire year? Question n umber two, I mean, we have been adding more and more branches in the l ast 2 years. So just wanted to know what is our strategy on adding more branches? And how much time does it take for a branch to break even?
Vineet Arora: So on the credit protect, I th ink as the credit environment has been good and disbursements are up, we have seen the growth continuing. And as we believe this environment seems to be continuing on the credit growt h. So hence, I don't see a challenge on credit growth. Even within that, the MF I segment has started to come back and we have seen a faster gro wth in MFI.

Even though it has still not com e up to the same level that it used to be about 1.5 years ba ck. So, there could be some upside from the MFI business that continues to recover. Even though new lines of business es have also come up, there's a gold loan business which is a new er segment for us , beyond MFI.
But as MFI starts to improve, there could be an upside. The other question was on branche s. So, we did a significant expansion over the last 2 years. One branch typically takes about 18 months to break -even and s tart delivering margins and positive profits. And in about 2.5 years, it becomes more mature , that's a typical cycle for a branch.
We have already done a significant expansion and the Phas e 1 and 2 were focused on widening our reach and Ph ase 3 of the branch expansion was focused on deepening our reach. Right now, we have slowed down the expansion only in selective cohorts , where we clearly feel that there is a gap and we need to do it, we are do ing it in this year. And as these branch es stabilise and become mature, we could see further deepening as required. I think from a widening angle we have reached 700 -plus branches across maybe 600 -plus cities, which is a significant reach.

Mohit M anga l: Is the breakeven in 18 months, that's true for Tier 2 and Tier 3 cities as well?
Niraj Shah: Yes. So , this number varies between larger markets and smaller market s, larger markets break - even faster. That would be anywhere between 12 to 18 months. But the smaller markets wi ll take anywhere between 18 to 24 months or 30 months, depending on the size of the market and the kind of productivity we're able to drive. So , it's really dependent on the size of the market .
Vineet Arora: This is a portfolio number . So, it could vary across different marke

ts.
Moderator: There are n o further questions from the participants. I now hand the conference over to Ms. Vibha Padalkar for closing c omments.
Vibha Padalkar: Thank you all for joining us today. Should you have any follow -up questions, please feel free to reach out to our Investor Relations team.